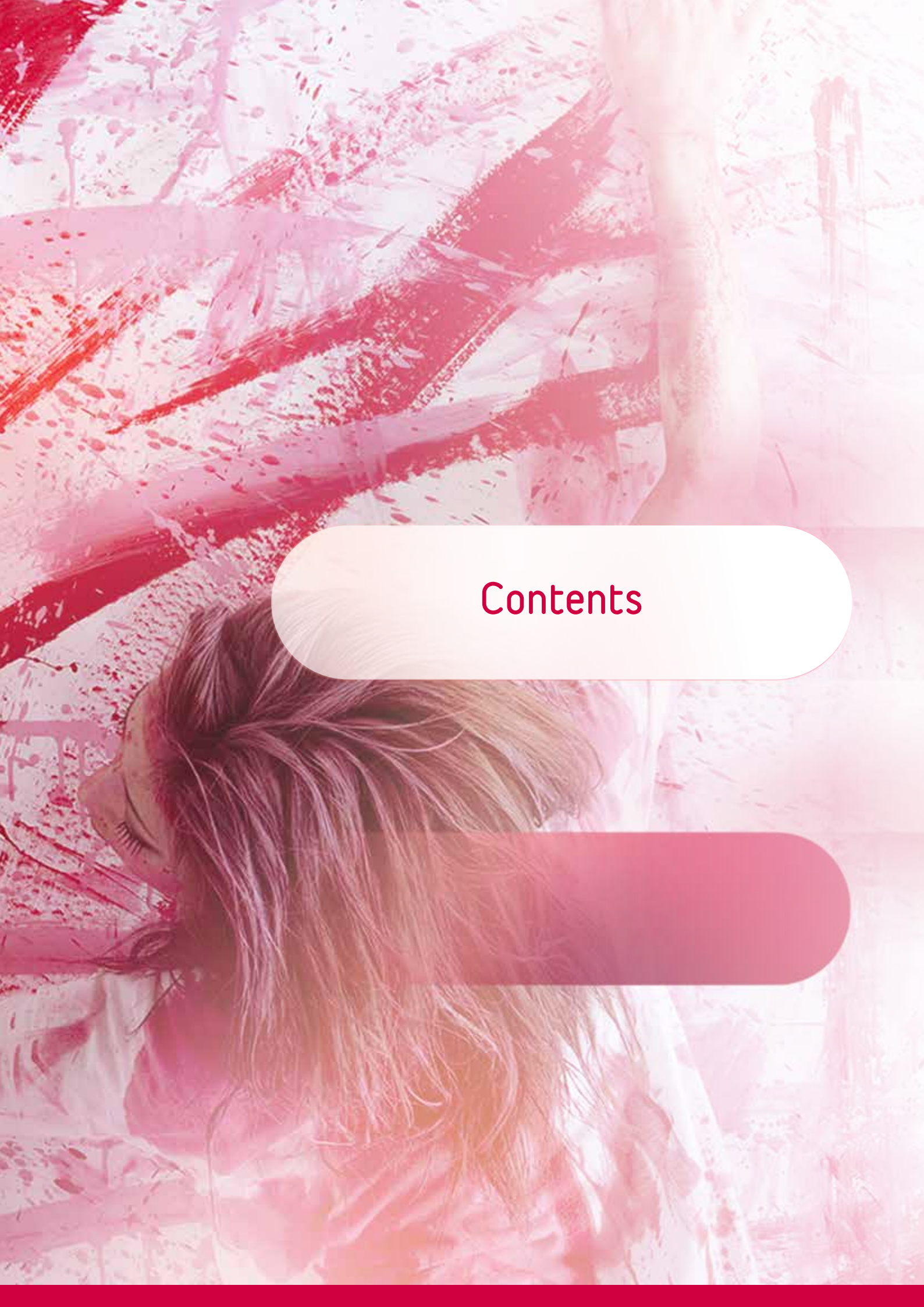




ANNUAL REPORT 2020 BELFIUS



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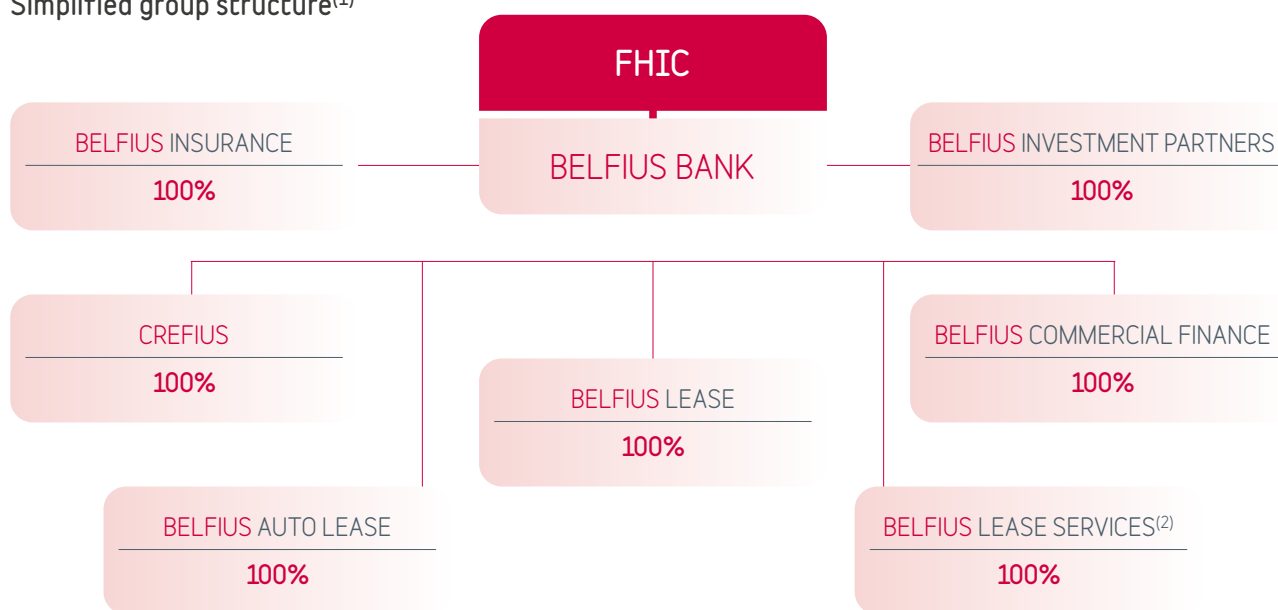
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Profile of Belfius

Belfius is a Belgian banking and insurance group wholly owned by the Belgian federal state through the Federal Holding and Investment Company (FHIC). At the end of 2020, the total consolidated balance sheet amounted to EUR 188 billion.

Simplified group structure⁽¹⁾



(1) For more details, see the list of subsidiaries of the consolidated financial statements in this annual report.

(2) Belfius Lease Services operates under the same brand (logo) as Belfius Lease.

Our main commercial subsidiaries

1. Belfius Insurance

Insurance company marketing life and non-life insurance products, savings products and investments for individuals, the self-employed, liberal professions, companies and the public and social sector. At the end of 2020, the total consolidated balance sheet of Belfius Insurance amounted to EUR 22 billion⁽¹⁾.

2. Crefius

Company servicing and managing mortgage loans. At the end of 2020, the total balance sheet of Crefius amounted to EUR 46 million⁽²⁾.

3. Belfius Auto Lease

Company for operational vehicle leasing and car fleet management, maintenance and claims management services. At the end of 2020, the total balance sheet of Belfius Auto Lease amounted to EUR 426 million⁽²⁾.

4. Belfius Lease

Company for financial leasing and renting of professional capital goods. At the end of 2020, the total balance sheet of Belfius Lease amounted to EUR 1,010 million⁽²⁾.

5. Belfius Lease Services

Financial leasing and renting of professional capital goods to the self-employed, companies and liberal professions. At the end of 2020, the total balance sheet of Belfius Lease Services amounted to EUR 2,111 million⁽²⁾.

6. Belfius Commercial Finance

Company for financing commercial loans to debtors, debtor in-solvency risk cover and debt recovery from debtors (factoring). At the end of 2020, the total balance sheet of Belfius Commercial Finance amounted to EUR 1,012 million⁽²⁾.

7. Belfius Investment Partners

Company for administration and management of investment funds. At the end of 2020, the total balance sheet of Belfius Investment Partners amounted to EUR 158 million⁽²⁾ and assets under management amounted to EUR 19.3 billion.

(1) For more details, see the annual report 2020 of Belfius Insurance.

(2) Total IFRS balance sheet before consolidation adjustments.

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Belfius:
a Belgian banking
and insurance
group.



Our activities

Belfius is a Belgian bank-insurer serving all segments of the Belgian economy, including the retail, SME, public sector and corporate markets. As of 31 December 2020, it was the second largest retail bank-insurer in Belgium, with 3.7 million customers; the third largest bank for SMEs, with approximately 0.3 million professional customers; the largest bank in the public sector, with almost 100% penetration; and the third largest bank for corporates, serving approximately 50% of the Belgian market of companies with a turnover equal to or above EUR 10 million. Belfius serves approximately 30% of the Belgian population.

Belfius' integrated business model is based on creating and leveraging synergies across these client segments, as well as its products and businesses. Belfius organises its commercial activities into its Retail and Commercial segment and Public and Corporate segment:

1. Retail and Commercial

Belfius Bank offers individuals, self-employed persons, the liberal professions (i.e. doctors, lawyers, etc.) and SMEs a comprehensive range of retail, commercial, private banking, wealth management and insurance products and services. Belfius Bank serves its 3.7 million customers through its integrated omni-channel distribution network, which includes 590 branches, its modern interaction platform, Belfius Connect, and a large number of automatic self-banking machines. Belfius has also been developing a digital strategy and is now a leader in mobile banking, with over 1.58 million active mobile users.

Belfius Insurance, a subsidiary of Belfius Bank, offers insurance products to its customers through the Belfius Bank branch network, as well as through the tied agent network of DVV insurance. Belfius' bank-insurance model is fully integrated, with insurance expertise offered through Belfius Bank branches and the omni-channel distribution network. It also offers insurance products through Corona Direct Insurance, which is, according to Assuralia, the fastest growing fully direct insurer in Belgium. Corona operates exclusively via digital media and call channels. Through its Elantis and DVV brands, Belfius Insurance also offers mortgage loans and consumer loans to its customers.

2. Public and Corporate

Belfius offers services to the Belgian public and social sectors (including hospitals, schools, universities and retirement homes). It provides these clients with a wide and integrated range of products and services, including credit lending, treasury management, insurance products, financial markets products and financial IT tools.

Belfius' corporate banking activities are focused on large and medium-sized corporates which have a decision-making centre in Belgium, as well as corporates offering services to the public sector.

Belfius Insurance also sells insurance products to its public and social sector customers. Specific life insurance solutions are offered, especially pension insurance in the first and second pension pillars for civil servants and investment products.

Our staff members

At the end of 2020, Belfius' operations provided employment for 6,474 staff members, and there were approximately 3,600 persons working in the Bank's and Insurer's independent networks.

Key figures

Consolidated statement of income

(In millions of EUR)	2016 IAS 39	2017 IAS 39	2018 IFRS 9	2019 IFRS 9	2020 IFRS 9
INCOME	2,259	2,355	2,361	2,489	2,614
EXPENSES	(1,366)	(1,369)	(1,426)	(1,452)	(1,465)
GROSS INCOME	893	986	935	1,036	1,149
Impairments on financial instruments and provisions for credit commitments	(116)	(33)	(66)	(111)	(453)
Impairments on tangible and intangible assets	3	9	(2)	(7)	(17)
NET INCOME BEFORE TAX	780	963	867	918	679
Tax (expense) income	(244)	(357)	(217)	(252)	(147)
NET INCOME AFTER TAX	535	606	650	666	532
Non-controlling interests	0	0	1	(1)	0
NET INCOME GROUP SHARE	535	606	649	667	532
of which					
Bank	335	435	445	461	319
Insurance ⁽¹⁾	201	171	205	207	212

(1) Contribution of the Belfius Insurance group to the consolidated statement of income.

Consolidated balance sheet

(In millions of EUR)	31/12/16 IAS 39	31/12/17 IAS 39	31/12/18 IFRS 9	31/12/19 IFRS 9	31/12/20 IFRS 9
TOTAL ASSETS	176,721	167,959	164,165	172,439	187,991
TOTAL LIABILITIES	167,709	158,438	154,206	161,933	177,258
TOTAL EQUITY	9,012	9,521	9,960	10,506	10,733

Consolidated balance sheet

(In millions of EUR)	31/12/19 IFRS 9	31/12/20 IFRS 9
TOTAL ASSETS	172,439	187,991
of which		
Cash and balances with central banks	6,716	25,434
Loans and advances due from credit institutions	16,208	11,912
Loans and advances	94,944	98,108
Debt securities & equity instruments	29,490	28,849
Unit linked products insurance activities	3,671	3,813
Derivatives	13,305	12,188
TOTAL LIABILITIES	161,933	177,258
of which		
Cash and balances from central banks	4,017	14,174
Credit institutions borrowings and deposits	5,819	5,008
Borrowings and deposits	85,450	95,338
Debt securities issued and other financial liabilities	27,655	24,402
Unit linked products insurance activities	3,671	3,813
Derivatives	18,630	18,310
TOTAL SHAREHOLDERS' EQUITY	9,984	10,209
of which		
Shareholders' core equity	9,348	9,815
Gains and losses not recognised in the statement of income	636	393
TOTAL EQUITY	10,506	10,733
of which		
Total shareholders' equity	9,984	10,209
Additional Tier-1 instruments included in equity	497	497
Non-controlling interests	25	28

Ratios⁽¹⁾

	31/12/16 IAS 39	31/12/17 IAS 39	31/12/18 IFRS 9	31/12/19 IFRS 9	31/12/20 IFRS 9
Return on equity (ROE)	6.4%	7.0%	7.5%	7.4%	5.6%
Return on assets (ROA)	0.30%	0.35%	0.39%	0.40%	0.29%
Cost-income ratio (C/I ratio)	60.5%	58.1%	60.4%	58.4%	56.0%
Asset quality ratio	2.54%	1.99%	2.05%	1.96%	2.02%
Coverage ratio	54.4%	63.3%	61.6%	62.3%	60.0%
Liquidity Coverage Ratio (LCR) ⁽²⁾	127%	132%	135%	130%	158%
Net Stable Funding Ratio (NSFR)	110%	116%	116%	116%	128%

(1) Unaudited.

(2) 12-month average (as from 2017 onwards).

Solvency ratios

	31/12/16 IAS 39	31/12/17 IAS 39	31/12/18 IFRS 9	31/12/19 IFRS 9	31/12/20 IFRS 9
CET 1- ratio ⁽¹⁾	16.1%	15.9%	16.0%	15.9%	17.1%
Tier 1- ratio ⁽¹⁾	16.1%	15.9%	17.0%	16.7%	18.0%
Total capital ratio ⁽¹⁾	18.4%	18.1%	19.6%	19.2%	20.4%
Leverage ratio	5.3%	5.5%	6.0%	6.0%	6.9%
Solvency II - ratio (before dividend)	217%	230%	219%	212%	212%
Solvency II - ratio (after dividend)	207%	219%	203%	212%	200%

(1) For the determination of the Capital ratios under Basel III, the regulatory authority asks Belfius Bank to apply a prudential deconsolidation of Belfius Insurance and to apply a risk weighting of 370% on the equity instruments held by Belfius Bank in Belfius Insurance after deduction of goodwill. This is commonly known as "Danish compromise".

ESG as a business driver

(In billions of EUR)	2019	2020
Total volume of investment funds managed based on sustainable criteria under management	1.58 ⁽¹⁾	2.89
Total volume of investments managed based on the Portfolio21 criteria under management	13.65	13.50

(1) To align with Belfius' more ambitious ESG strategy, particularly with regards to sustainable investments, the scope has been limited to funds with the "Toward Sustainability" label or sustainable-thematic funds. The 2019 figure (EUR 4.28 bn) was adjusted to the scope set for 2020.

Human capital

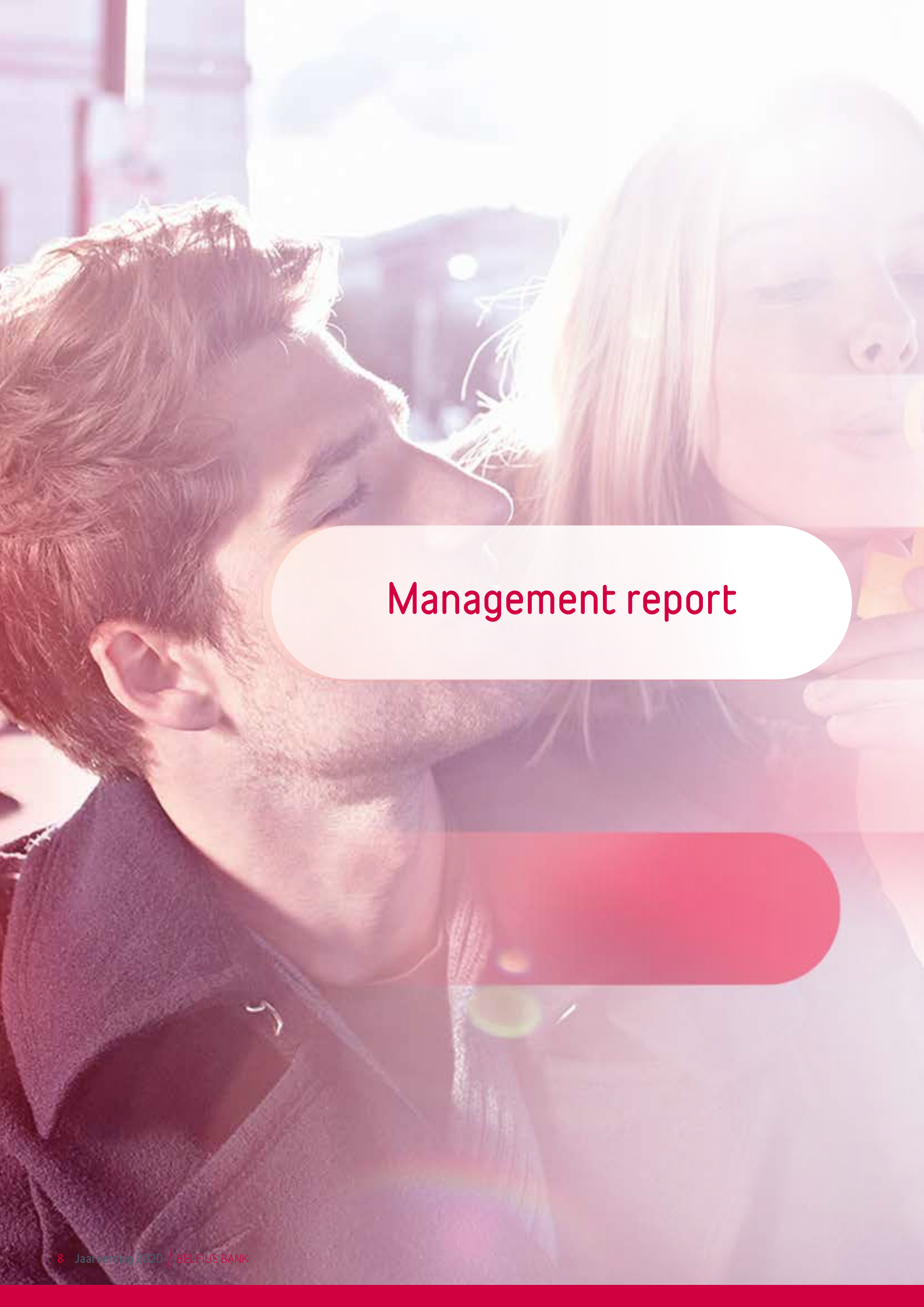
	2019			2020		
Staff members	Men	Women	Total	Men	Women	Total
TOTAL	3,371	3,154	6,525	3,349	3,125	6,474

Ratings of Belfius Bank as at 25 March 2021

	Stand-alone rating ⁽¹⁾	Long-term rating	Outlook	Short-term rating
Fitch	a-	A-	Stable	F1
Moody's	baa1	A1	Stable	Prime-1
Standard & Poor's	a-	A-	Stable	A-2

(1) Intrinsic creditworthiness





Management report



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Marc Raisière

Jozef Clijsters

Message from the chairmen

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A solid result
which enables
Belfius
to continue
to assume its
commitment to
Belgian society.

More than ever in 2020, an exceptional year marked by Covid-19, Belfius remained by its customers' side and pursued its mission, i.e. to contribute to building a sustainable future for Belgium. The financial reserves carefully built up in recent years have been fully utilised to support and to stimulate the Belgian economy. Our net result of EUR 532 million, despite rising credit provisions against the backdrop of a prudent risk policy, demonstrates our resilience and solidity to continue to deliver on our commitment to society and our ambitious growth strategy in the future.

More than ever available for our Belgian entrepreneurs,
as well as the public and social sector

During this year of unprecedented crisis for entrepreneurs and companies, Belfius is more than ever committed to fully support Belgian companies. We have provided substantial support to those in temporary difficulties, far more than our market share would have suggested. Indeed, 23,879 company loans, in an amount of EUR 4.7 billion and 13,840 lease contracts, amounting to EUR 870 million, benefited from deferred payments. Furthermore, we also granted Covid-19 credits with a State guarantee in an amount of EUR 509 million to companies, the public and social sectors. In addition, never before has Belfius made as much new financing available to its

Business and Corporate customers as last year. In addition to EUR 10.2 billion in long-term financing, EUR 6.2 billion were granted in short-term financing, as well as in short and long-term issues.

Belfius has also mobilised its strengths as a partner par excellence of the public sector and in particular the hard-hit social sector. Loans to the tune of EUR 400 million benefited from deferred payments, and the bank granted new financing for a total of EUR 9.4 billion, including EUR 2.6 billion in new long-term loans and EUR 5.9 billion in short and long-term issues.

More than ever accessible for our individual customers

From the first days of the crisis, banking and insurance institutions were recognised by the public authorities as providers of essential services for society. Within this context, Belfius was able to strike an effective balance between protecting its staff members, guaranteeing operational continuity and maintaining customer service. During the past year, virtually all branch staff members remained proactively accessible and available for the customer, even if this was by appointment or remotely, thanks to a high-performance digital and telephone service.

Individual customers who are temporarily deprived of professional income due to the Covid-19 crisis and whose savings do not allow them to continue to pay off their mortgage, can rely on Belfius for the widest range of deferred payment solutions. Within the framework of the Covid-19 sector support measures, 19,464 mortgage loans, in an amount of EUR 2 billion, benefit from deferred payments. In addition, Belfius granted a contractual payment deferral in 8,863 cases representing nearly EUR 1 billion. In 2020, EUR 7.2 billion in new long-term financing was granted to individual customers, again including a further EUR 6.5 billion in mortgage loans

More than ever a caring insurer

At the end of March 2020, the insurance industry also took measures to support its customers facing financial difficulties due to the Covid-19 crisis, including the granting of payment deferrals for insurance premiums. Belfius Insurance goes even further, by spontaneously relaxing the contractual terms and offering extensions of cover.

The Covid-19 crisis did not prevent the increase in non-life premium income at Group level, to EUR 737 million, and above all the growth at Belfius Bank, once again considerably outstripping the market average. In addition, the relatively smaller number of claims files due to Covid-19 and the focus on efficient management resulted in a significant improvement in the combined operational ratio for retail non-life insurance. It reached an excellent 93%. The non-life result now represents almost 30% of the net income of Belfius Insurance.

A crisis which also offers societal opportunities

Not only does Belfius play a leading role in the support measures and make considerable efforts to sustain the Belgian economy and all those who are in difficulty, but it is also able to seize a number of opportunities induced by Covid-19, namely accelerated digitisation and attention to sustainability.

At a digital level, this crisis has led to an unprecedented acceleration of remote services, further motivating Belfius to leverage its world-class mobile app as the cornerstone of a novel digital platform offering customers inspiring and innovative “beyond bank-insurance” solutions. By the end of 2020, the number of active users of Belfius apps for smartphones and tablets increased by 12% to 1.58 million. Product sales via direct channels also showed steady growth.

In 2020, driven by its ambition to help Belgian politicians and local authorities to make the transition to a more sustainable society, Belfius contributed to the realisation of numerous sustainable infrastructure projects, including renovations of public buildings and support for the public sector through increased investment in new digital communication and service platforms.

The increased attention to sustainability during the Covid-19 crisis also seems to herald the beginning of a new era for investment. With its “Funds of the Future”, for the past two years Belfius has been focusing successfully on innovative investment solutions based on societal themes which contribute to a better future for all.

Furthermore, in 2020, Belfius also generally recorded excellent results in savings and investments. Total savings and investments to individual customers (including the Business segment) amounted to EUR 122.5 billion (+7%), of which EUR 45.2 billion came from the Private Banking & Wealth Management customer segment, which grew significantly.

A solid net result, which demonstrates the resilience of our business model

Belfius closes 2020 with an excellent result before provisions of EUR 1,149 million (+11%). Income after taxes amounts to EUR 532 million, to which Belfius Bank and Belfius Insurance contribute EUR 319.4 million and EUR 212.2 million respectively. This is a solid result which once again demonstrates the resilience of our business model as a bank-insurer and enables Belfius to continue to assume its commitment to Belgian society.

Total income was EUR 2,614 million, an increase of 5%. Despite the extremely difficult financial environment, both net interest income and net fee and commission income from the bank as well as insurance income increased.

Belfius continues to invest intensively in new talent and innovative digital solutions, while managing to control costs and keep them under control at EUR 1,465 million. Combined with higher income, this translates into a substantial improvement in the cost-income ratio to 56%, compared to 58.4% in 2019.

In 2020, the sharp economic recession prompted Belfius to adopt a prudent and anticipatory risk policy and to set aside additional provisions for possible future credit losses. Taking into account typical credit provisions on a number of specific files, the overall costs of credit risk reached EUR 453 million in 2020, of which EUR 331 million can be considered as an ex-ante provision.

At the end of 2020, the Basel III CET 1 ratio stood at 17.1%, which is still an excellent level. The Solvency II ratio of Belfius Insurance is still at a very sound level, i.e. 200%. With an LCR ratio of 158% and an NSFR ratio of 128%, Belfius largely meets its liquidity requirements. The total shareholders' equity of the Group increased from

EUR 10 billion at the end of 2019 to EUR 10.2 billion at the end of 2020. In accordance with the directives of the European Central Bank (ECB), which has issued a binding recommendation capping Belfius' distribution ratio at 15% for the financial year 2020, a dividend of EUR 77 million is paid to the shareholder. Provided that the ECB allows it, Belfius intends to add to this first dividend an additional dividend of EUR 130 million in the last quarter of 2021, thus reaching a total pay-out ratio of 40%.

The ESG ambition of Belfius

In 2020, Belfius accelerated its ESG (Environmental, Social & Governance) ambition. We strongly believe that the financial sector has a crucial role to play in the transition to a sustainable society. Sustainability has always been part of our DNA, but we have further strengthened our commitments. Because we are convinced of the importance of the Paris climate agreement, we have made every effort to become the first major Belgian bank to obtain the CO2 Neutral® label, in order to reduce our own environmental footprint and to be a source of inspiration for our customers. We have expanded our Funds of the Future and developed clear sector policies. In line with our ESG ambitions, we have also strengthened our governance by assigning clear responsibilities up to the highest strategic level. We have formalised our commitments by adhering to the highest standards, and we are committed to implementing our policy with maximum transparency.

And 2021?

In a world hit by an unprecedented health crisis and the ensuing economic recession, Belfius is more than ever faithful to its mission: proactively to provide innovative solutions to meet the major challenges of tomorrow, and to offer inspiring answers to guide Belgium and its inhabitants, companies and institutions through this crisis. This is to make them stronger, so that they can continue to build a sustainable future for themselves and for the Belgian society as a whole.

These efforts are also clearly appreciated, and last year this resulted in an overall customer satisfaction score of 95.82%, once again exceeding our strategic objective of 95% satisfied customers.

We would like to thank our customers for this. And we would also like to express our gratitude to our shareholders for their confidence, and especially to our staff members, our independent agents and their teams for their dynamism and commitment throughout this exceptionally complex and difficult year 2020. They are the best guarantee that we will still be there for you, at your side, this year and in years to come.

Brussels, 25 March 2021



Marc Raisière
Chief Executive Officer
Belfius Bank



Jozef Clijsters
Chairman of the Board of Directors
Belfius Bank



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The strong insurance performance demonstrates the resilience of a bank insurance model in current challenging environment.

2020 highlights

Notwithstanding its excellent commercial performance in 2020, Belfius' results have inevitably been impacted by the Covid-19 situation. This led to a marked economic slowdown, high volatility on the financial markets, the widening of credit spreads and the increased cost of credit risk, which has been prudently provisioned for in anticipation of possible future credit losses.

The consolidated net income amounted to EUR 532 million, which is EUR 145 million lower than in 2019 (EUR 667 million). The main drivers for this material decrease were the cost of risk (increasing by EUR 342 million vs 2019), alongside the negative impact on fair values through P&L (accounted for in other income and in life insurance income), while net interest income, fee & commission income and non-life insurance income continued to grow despite the adverse context. Operating costs were kept at approximately the same level as in 2019 (EUR 1,465 million or +1%), despite continued investments in our data and digital transformation journey.

Belfius Bank contributed EUR 319 million to the consolidated net profit, while Belfius Insurance saw its contribution increase slightly to EUR 212 million. The strong insurance performance, contributing to over one third of the total net income, demonstrates the resilience of a bank insurance model in this challenging environment.

Resilient commercial activity in all segments in 2020

- for the second year in a row, Belfius has granted a record amount of **EUR 20 billion in new long term financing** to the Belgian economy. Out of these EUR 20 billion, over half (EUR 10.2 billion) were granted to companies and entrepreneurs i.e. Businesses (SMEs, self-employed and liberal professions) and Corporate customers. This corresponds to an increase of 9% compared to 2019. Belfius also granted EUR 2.6 billion of new long term loans to the Public and Social sector and remains the reference partner for those clients. Furthermore, EUR 7.2 billion in new long-term financing was granted to individual customers, including EUR 6.5 billion in mortgage loans;
- in 2020, **savings and Investments** also performed strongly despite the tense financial market context, reaching an outstanding stock of EUR 164 billion, a growth of 8% compared to December 2019. The Retail and Commercial segment displayed a strong organic growth of EUR +7.2 billion mainly in non-maturing products combined along with a positive market effect of EUR +1.1 billion, while the Public and Corporate segment realized an organic growth of EUR +3.9 billion;
- at Group level, **non-life GWP** reached EUR 737 million and a growth of +3.2%, considerably higher than the overall market growth. This outperformance was mainly achieved thanks to the Belfius Bank channels (+12%);
- **life production** reached EUR 1.83 billion. Life reserves were down by 4.5% at EUR 14.6 billion in December 2020, driven by the Branch 21 reserves (EUR 10.8 billion or -7%) while the Branch 23 reserves continued to growth (EUR 3.8 billion or +4%), in line with our strategy;
- with regard to our digital performance, this crisis has led to an unprecedented acceleration of remote services. The number of **active mobile users** reached EUR 1.6 million at the end of 2020, up 5.6% compared to year end 2019. Belfius' mobile banking app continues to rank #1 in Belgium and #2 in the world, while our insurance digital features were also ranked #1 in Belgium. These achievements confirm the strong relevance of our digital strategy, and Belfius will continue to leverage its world-class mobile app as the cornerstone to offer inspiring and innovative "beyond bank-insurance" solutions to our customers;
- in 2020, Belfius also pursued its longstanding pioneering role in the **transition to a sustainable Belgian society**. Belfius has set an example by becoming the very first major Belgian bank to obtain the CO2-Neutral® label in 2020. Together with its partner CO2Logic, Belfius is committed to help Belgian companies and also local authorities to move towards carbon neutrality, for example by financing the world's most powerful "solar roof". Belfius will also support real estate projects which fully invest in a more sustainable future, and support its customers in adopting more environmental-friendly behaviours, for example through greater reductions on their car insurance policies (where CO₂ emissions and mileage are taken into account in the pricing).

Economic turmoil resulting from the Covid-19 pandemic has impacted the financial performance in 2020

Belfius' consolidated net income 2020 stood at EUR 532 million, lower than in 2019 (EUR 667 million), due to the Covid-19 crisis impact, mainly through the related Loan Loss Provisioning charge ("cost of risk"). The bank contributed for EUR 319 million (-31%) and the insurer for EUR 212 million (+3%).

Total income amounted to EUR 2,614 million in 2020, up 5% compared to 2019 (EUR 2,489 million) thanks to:

- an increase of **net interest income bank** (EUR 1,590 million in 2020 vs EUR 1,488 million in 2019) mainly thanks to:
 - higher outstanding loans with, on average, a higher margin, more than offsetting the negative impact from higher volumes of non-maturing deposits in 2020;
 - the positive impact from the TLTRO III and ECB deposit tiering;
 - a large restructuring of a specific corporate leasing file, leading to a material pre-payment interest;
 - in spite of the negative impact (EUR 9.7 million) from the moratorium on mortgage loans;
- excellent **net fee and commission income bank** (EUR 622 million in 2020 vs EUR 563 million in 2019) mainly due to higher asset management and entry fees;
- increased **non-life insurance income** (EUR 244 million in 2020 vs EUR 199 million in 2019), notably due to the success of the bank-insurance model as well as to an improved NCR linked to the lower claims frequency during Covid-19 lockdown;
- lower **life insurance income** (EUR 273 million in 2020 vs EUR 295 million in 2019), due to the negative impact on financial results on life insurance reserves' investments, particularly from financial instruments accounted for in fair value through P&L and to lower realized capital gains in the life insurance bond portfolio;
- **other income** amounted to EUR -116 million in 2020, more negative than in 2019 (EUR -56 million). The y-o-y delta is mainly stemming from higher bank levies (EUR 222 million in 2020 vs. EUR 205 million in 2019) and lower trading and hedge results mainly due to the impact of increased credit spreads on non basic financial instruments and credit derivatives.

The **operating costs** remained well contained at EUR 1,465 million in 2020, a limited 1% increase vs EUR 1,452 million in 2019, driven by a decrease in staff expenses, general expenses and network costs, and despite the fact that Belfius continued to invest structurally in IT and digitalization. This led to a noticeable improvement in the cost-income ratio at 56.0% in 2020, compared to 58.4% in 2019.

All in all, the combination of strong income dynamics, despite some headwinds from volatile financial markets and lower-for-longer interest rate environment, together with contained operating expenses, notwithstanding continuing investments in commercial activities, ESG, IT and digitization, led to an increase of 11% in **pre-provision income**, to EUR 1,149 million in 2020 (vs EUR 1,036 million in 2019).

In light of the Covid-19 crisis, Belfius made a detailed review of its credit risk portfolio, and materially increased its IFRS 9 provisions in line with the strongly deteriorated economic environment, leading to a **cost of risk** strongly increasing from EUR 111 million in 2019 to EUR 453 million in 2020 (or approximately 35 bps of the outstandings⁽¹⁾), of which EUR 331 million (26 bps) can economically be labelled as our current best estimate "ex-ante provisioning" of expected losses due to the effects of the Covid-19 crisis.

As a result, the **net income before taxes** amounted to EUR 679 million in 2020, compared to EUR 918 million in 2019.

The **tax expenses** amounted to EUR 147 million in 2020 compared to EUR 252 million in 2019, mainly due to lower taxable profit. The consolidated effective tax rate (ETR) stood at 22%, below the statutory tax rate (25.00% in 2020, down from 29.58% in 2019).

As a consequence, **consolidated net income 2020** reached EUR 532 million, compared to EUR 667 million in 2019.

(1) Calculated as the cost of risk divided by the sum of

- loans and advances due from credit institutions (excl. cash collateral) and from customers measured at amortized costs,
- debt securities and equity instruments measured at amortized costs and at FV through OCI (excl. participations and equity) and
- guarantees granted.

Solid solvency ratios and sound liquidity position

In terms of financial solidity metrics, Belfius continues to display sound solvency, liquidity and risk metrics:

- the **CET 1 ratio** stood at 17.1%, 126 bps up compared to December 2019 as a result of a positive impact of higher CET 1 capital (+214 bps) and a negative impact of higher total risk exposure (-88 bps);
- **total capital ratio** stood at 20.4%, compared to 19.2% end 2019;
- the **leverage ratio** increased to 6.9%, up 91 bps compared to December 2019;
- insurance activities also show continued solid solvency metrics, with a **Solvency II ratio** of 200% end of December 2020;
- end 2020, Belfius also continues to show an excellent liquidity and funding profile with a **LCR** of 158% and a **NSFR** of 128%;
- **total shareholders' equity** (Net Asset Value) further improved to EUR 10.2 billion end December 2020 (vs close to EUR 10 billion end 2019).

Covid-19 crisis

Since the first months of 2020, the Covid-19 pandemic has massively disrupted the world in many respects, including from a social and economic point of view, on top of its dramatic health impacts.

Belgium has also been severely affected by the Covid-19. The authorities announced, on 17 March 2020, a nationwide lockdown, requesting individuals to stay at home and companies to implement homeworking whenever possible. This lockdown was maintained until 4 May 2020. A second lockdown was imposed at the end of October, taking effect early November, to tackle the spike of Covid-19 infections across the country. Since then, the authorities have regularly adapted the measures and restrictions, depending on the evolution of the situation.

Belfius had reacted very early on to the Covid-19 situation by first designing a crisis governance, with daily and weekly crisis Management Board meetings since February 2020, in order to address all key aspects of Belfius' general functioning, including:

- the operational risks, especially for safeguarding the health of our staff and the business continuity of our services towards our customers;
- and the financial risks, including the impacts on the financial markets, on liquidity and solvency, on credit risks and profit & loss accounts.

With regard to the operational aspects, Belfius was fully ready for the successive lockdowns and the subsequent homeworking mode, including from an IT viewpoint. The branch network remained open, although direct interactions were carried out under strict conditions. As expected, the incoming calls (either to the branches or to our call center Belfius Connect) significantly increased during the lockdowns. In addition, customers also shifted a lot of their banking interactions to the digital channels. As an example, the number of investment transactions signed digitally more than doubled from former levels during the Covid-19 crisis.

The Covid-19 pandemic and the subsequent lockdown measures are also having a far-reaching impact on the financial situation of the businesses and individuals across the country. To help mitigate these impacts, the Belgian federal government quickly installed an economic task force responsible for reducing the economic consequences of the Covid-19 virus pandemic leading to two different programmes designed to

support the individuals, self-employed and businesses affected by the Covid-19 crisis: a Payment Holiday scheme for different loan types and two Guarantee Schemes for certain new loans.

The deferral of payments for mortgages and non-financial companies was put in place in April 2020 and initially had been expected to last until 31 October 2020. In a second phase, it was decided to extend the support measures until the end of 2020. With the second partial lockdown starting at the end of October a second charter to extend the payment holiday scheme to 31 March 2021 was put in place for households as well as for non-financial companies and self-employed people.

Since the beginning of the Covid-19 crisis, Belfius has fully delivered on its societal role by providing the necessary liquidity and by granting deferred payments for individuals, companies and SMEs in temporary difficulties – and this with an overall contribution materially higher than its market share would have suggested. During 2020:

- 23,879 company loans, in an amount of EUR 4.7 billion, benefited from deferred payments, including renewals on roll-over loans, to corporate and business customers;
- 13,840 leasing contracts of corporate and business customers similarly benefited from deferred payments in an amount of EUR 870 million;
- 424 requests for deferred payments were granted on EUR 400 million of loans to the public sector (mainly the social sector);
- 19,464 requests for deferred payment were granted on EUR 2 billion of mortgage loans under the general Covid-19 scheme, in addition to a contractual payment deferral granted to 8,863 files representing nearly EUR 1 billion;
- finally, EUR 509 million of new loans were granted under the Belgian State guarantee scheme, to corporate, business, public and social sector customers.

Early 2021, out of the EUR 4.7 billion of loans to corporate and business customers and out of the EUR 3 billion of mortgage loans that were granted moratorium during 2020, EUR 1.1 billion respectively EUR 0.1 billion are still subject to payment holidays. 99% of corporate, business and mortgage loan customers for which the moratorium came to an end, have restarted payments of their formerly deferred amounts.

On the insurance side, Belfius Insurance similarly extended support to its customers, including through the deferred payments of premiums (especially on insurance policies related to mortgage loans) and extended covers (a.o. for health care facility volunteers and for the delivery / take away activity).

As explained in detail further in this report, Belfius was of course not immune to the sharp decline in economic activity, the volatility of the financial markets, the widening of credit spreads and the increased cost of risk. Its 2020 results have been materially impacted, a.o. with following specifically Covid-19 related⁽¹⁾ elements:

- a credit cost of EUR 453 million was booked based on the IFRS 9 expected credit losses analysis, mainly through the related Loan Loss Provisioning charge (“cost of risk”). The cost of risk mainly resulted from stage 3 provisioning for EUR 122 million and from ex-ante provisioning (stage 1 and stage 2) for EUR 331 million. The latter results from the combination of
 - deteriorated macroeconomic parameters (EUR 124 million), and
 - expert layers for vulnerable sectors and individually assessed counterparts (EUR 207 million);
- a modification loss of EUR 9.7 million was accounted for as a result of the payments deferrals granted on mortgages loans for so-called “vulnerable clients”, following the moratorium granted on mortgage loans;
- the net income from financial instruments measured at fair value through profit or loss was negatively impacted, following the Covid-19 outbreak, by the negative effect on credit spreads and on equity markets.

(1) This list does not intend to be complete, but rather gives a first high level summary. Moreover, some elements mentioned could also be directly linked to other factors than the Covid-19 crisis, as for instance some migration of loan files to stage 3.

For more detailed information on impacts of Covid-19 we refer to the dedicated Financial Results and Risk Management chapters.



At the heart of the transition towards a sustainable future

1. Our sustainability strategy

1.1. ESG as our compass in an unprecedented year

More than ever, 2020 proved to be a year full of challenges, not only for Belfius, but for society as a whole. The difficulties linked to Covid-19 proved unprecedented, while market conditions in a persistently negative interest rate environment continued to create particularly harsh conditions for the financial sector worldwide.

These unprecedented conditions further convinced us to fully embrace sustainability. Our purpose, *Meaningful & Inspiring for the Belgian Society. Together*, proved even more relevant than ever and was an exceptional compass in an unprecedented year.

Belfius stepped its ESG ambition up a gear in 2020, because we firmly believe in the crucial role that the financial sector has in the transition to a sustainable society. Sustainability has always been part of our DNA, but we have now sharpened our commitments. In doing so, 2020 became the year in which we worked both actively and very consciously on the E (Environment), the S (Social) and the G (Governance).

Environment and climate: Fully convinced of the importance of the Paris Climate Accords, we have worked hard on our carbon neutrality in order to not only reduce our own climate footprint, but also inspire our customers.

Governance: In line with our increased ESG ambition, we also strengthened our governance by assigning clear responsibilities at the highest levels. We formalised our commitments by signing up to the highest standards and we remain determined to conduct our business with maximum transparency. With the launch of clear sector policies (Transition Acceleration Policy), we are boosting the transition to a more sustainable society.

Social dimension: We never forgot the social impact and with our Funds of the Future we ensured that over EUR 742,000 went to well-considered social causes. We also pride ourselves on being a responsible employer, always promoting diversity and seeing differences as an enrichment to our workforce.

In short, in a world hit by an unprecedented health crisis and consequent economic recession, Belfius is now, more than ever, remaining true to its mission by proactively providing meaningful solutions to the major challenges of tomorrow and offering inspiring answers that are guiding Belgium and its residents, SMEs, businesses and institutions through this crisis. These answers will help strengthen each and every one of them so that they can continue to build a sustainable future for themselves, and for Belgian society as a whole.

1.2 About this report

Our 2020 Annual Report's "Corporate Social Responsibility" chapter will look at Belfius' role in Belgian society and, in a broader sense, at the impact its activities have on people, the environment and society at large. The information in this chapter is addressed to all those who have an interest in Belfius' activities: clients, employees, commercial partners, media and the general public. Detailed information on non-financial data and the processes underlying our sustainability strategy is primarily intended for investors, analysts, sustainability experts and NGOs.

Last year Belfius announced a new sustainability strategy in the form of 10 commitments for 2025-2030. In this chapter we take an initial intermediate look at that sustainability strategy, what progress was made in 2020 with regard to each of the commitments, as well as how far Belfius has come with its sustainability policy thus far.

This chapter also contains detailed information on the sustainability features of our banking and insurance solutions, describes the ethical foundations of our business practices and brings together achievements and initiatives that are underpinned by strong social commitment.

The Belfius Annual Report respects Belgian legal requirements pertaining to disclosure of non-financial information and information on diversity (03/09/2017) and thus also complies with the requirements of the corresponding European Directive 2014/95/E.

This particular chapter of the Belfius 2020 Annual Report was prepared in accordance with "GRI Standards", "core" option. A GRI reference table can be found at the end of the report, on page 358.

“ ”

In this unprecedented year,
our purpose, 'Meaningful & Inspiring
for the Belgian Society. Together',
proved even more
relevant than ever.

Truike Vercruysse
Head of Sustainability



1.3. Our commitments: the building blocks of Belfius' sustainability strategy

Last year, to make its sustainability strategy tangible, Belfius defined 10 commitments towards 2025-2030. Some have already been translated into very concrete actions, for others the different actions are being developed and embedded in the strategy 2025.



When fulfilling the 10 commitments mentioned below, Belfius aims to have a maximum impact on the realisation of the SDG agenda.

The 17 Sustainable Development Goals (SDG or Global Goals) are a universal set of goals, targets and indicators that define global sustainable development priorities and ambitions for 2030. Together, they form the agenda that calls for urgent action by all actors of society - governments, business and civil society - to end poverty, protect the planet and ensure prosperity for all.

Although the 17 SDGs form a coherent whole and are all interlinked, we have selected five priority areas in which we can and want to generate the greatest positive impact through our core activities. At the same time, we identified 5 other SDGs in which we believe we can be most meaningful to people, the environment and society by striving for operational excellence.

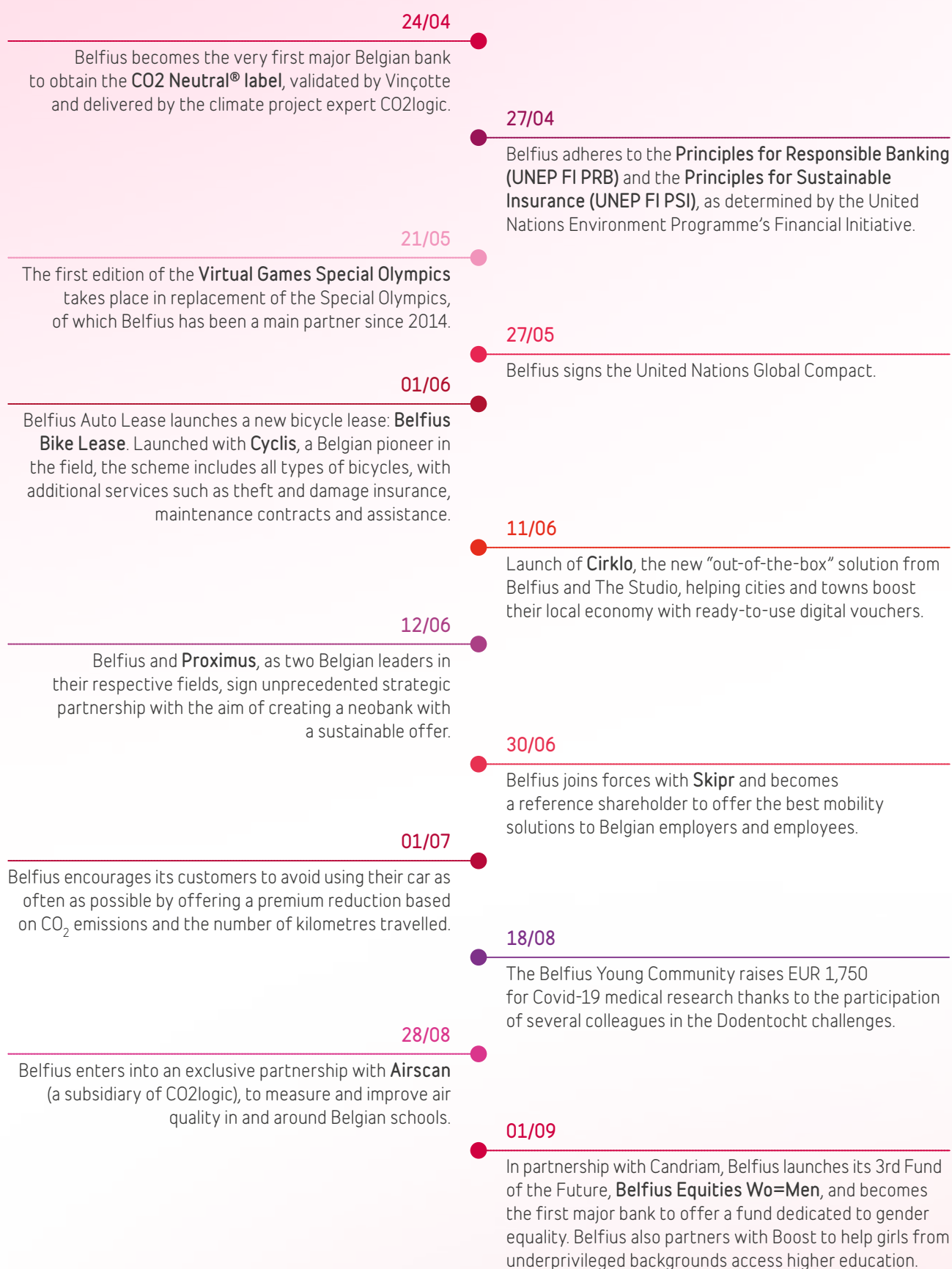
An overview of our 10 commitments for 2025-2030 & the corresponding SDGs they aim to contribute to:

10 COMMITMENTS TOWARDS 2025-2030		SDGS LINKED TO CORE ACTIVITIES	SDGS LINKED TO OPERATIONAL EXCELLENCE
1	Be a leading actor in the transition to a sustainable Belgian economy and society → Embed ESG criteria in core activities and decision-making processes, across all entities; → provide maximum support to customers in the economic and societal transition towards sustainability.	   	 
2	Being and remaining CO₂ neutral → Maintain CO₂-neutrality for Belfius' operations, both for direct (scope 1 and 2) and indirect (scope 3) footprint; → accompany customers to decrease their CO₂ emissions.	 	
3	Encouraging customers to invest sustainably → Gradually move to an offer of exclusively sustainably managed investment products by the end of 2022.	 	
4	Actively working towards a sustainable balance sheet → By 2025, 30% of new long-term loans production will be allocated to projects with a positive impact on society, aligned with the EU Taxonomy and the EU Green Bond Standards.	  	 

10 COMMITMENTS TOWARDS 2025-2030			SDGS LINKED TO CORE ACTIVITIES	SDGS LINKED TO OPERATIONAL EXCELLENCE
5	Reinventing our mobility with a forward-looking vision	→ Evolve towards an offer of shared, multimodal and sustainable mobility solutions; → Belfius Auto Lease aims to achieve a 50% reduction in CO₂ emissions from its car fleet, including both customer and employee cars, by 2025.		
6	Making future-proof infrastructure an absolute priority	→ Provide concrete solutions for infrastructure challenges in Belgium, focusing on among others renewable energy, social housing and drastic reduction of the carbon footprint of government buildings.		
7	Privacy and data protection of our customers is paramount	→ Optimise customer data protection and cyber security to the highest standards; → share customer data in the Belfius app only with customers' consent; → no selling of customer personal data whatsoever.		
8	Equal opportunities and social commitment are and remains our leitmotiv	→ Gradually expand our philanthropy offer through specific investments products; → continue and strengthen our commitment to charitable projects; → promote financial inclusion by simplifying communication to customers; → contribute to a healthier economic system by working towards a cashless society.		 
9	Setting an example as an employer	→ Put in place an offer of lifelong learning to increase the long-term employability of our employees; → achieve a 44% ratio of women at all levels of the company by 2025; → guarantee gender neutrality, equal pay and equal career opportunities.	 	
10	Risk management and financial stability are an absolute essential for Belfius	→ Underpin sustainability strategy by guaranteeing long-term financial stability; → maintain strong solvency and liquidity ratios; → further integrate ESG risks into overall risk management framework.		

1.4 Sustainability @ Belfius in 2020: an overview

Below you will find a chronological overview of events, awards and launches in which we were involved in 2020. This overview provides a good picture of the extent to which sustainability is embedded in our daily operations as a Belgian banking and insurance provider.



18/09

The “**Every Day is Equal Pay Day**” campaign is launched on “International Equal Pay Day”. The event is also used to recall that at Belfius, we do not wait for a particular day to put diversity and equal opportunity, particularly between men and women, at the centre of our concerns.

12/10

Belfius joins the **Belgian Alliance for Climate Action (BACA)** to align its ambitions with those of the Paris Climate Accord.

17/10

Belfius launches its **SDG (Sustainable Development Goals) roadshow** internally via a series of communications - the first one being SDG 1 on the fight against poverty. In line with this, Belfius organises an information session on the importance of this SDG by inviting Viva4Life representatives to present this topic.

21/10

Belfius becomes a member of the **Belgian Institute for Sustainable IT (ISIT-BE)** during its launch in Belgium, thus committing ourselves to promoting a more sustainable, ethical and responsible digital world.

03/11

Launch of **Belfius Equities Be=Long**, Belfius’ fourth Fund of the Future, dedicated to companies developing solutions and technologies for a better quality of life. Linked to this fund is Tubbe, an initiative based on a participatory model that aims to make nursing homes more pleasant and lively for its inhabitants.

18/11

For the 26th consecutive year, Belfius examines the financial health of general and university hospitals in Belgium and publishes its **MAHA (Model for Automatic Hospital Analyses) analysis**, as well as the impact of Covid-19.

26/11

At the Belgian Sponsorship Awards, Belfius wins the gold medal in the **Best Sponsorship** category for the Belfius EuroHockey Championships.

11/12

Belfius’ partner **Hoplr** is awarded the **Technology Tools Award** by the European Social Network. Hoplr enables the transformation of neighborhoods, connecting neighbours and strengthening social ties.

15/12

For the benefit of **Viva For Life**, Belfius organises a series of inhouse training sessions given by staff to raise employee awareness on various sustainable themes (zero waste, circular economy, etc.).

28/12

This year, **Red Nose Day** did not focus on fundraising, but rather on raising awareness. Nearly 60,000 young people received online assertiveness training and the number of OverKop houses (where young people can go for accessible help) increased from 5 to 16. On the **Viva for Life** side, despite the pandemic a record total of EUR 623,345 was raised specifically through Belfius.

“ ”
Responsible
business conduct
based on the
company's values
is an essential
part of the
Belfius strategy.

2. A sound governance

2.1. Our corporate values as a cornerstone

Belfius group's corporate governance and company culture are characterised by our four company values: a fair & authentic behaviour, combined with a customer-oriented and entrepreneurial mindset.

- Satisfied customers are the benchmark for everything we do at Belfius. Customer focus is therefore crucial. At Belfius we also dare to break new ground, to push back frontiers in search of new opportunities.
- However, at the same time we seek a fair balance between the interests of all our stakeholders, to create sustainable long-term value for our customers, society as a whole, the environment and our organisation. We do business in an authentic way, being true, reliable and credible. We respect individual characteristics and find differences to be enriching.

Responsible business conduct based on these values is an essential part of the Belfius strategy. Each and every day this is translated into the daily actions of all Belfius employees at every level of the organisation.

2.2. Our commitment to leading sustainable business principles

Our 10 commitments for 2025-2030 set out concrete ambitions in the transition to a more sustainable society. In addition to these however, we are also committed to a series of guiding principles issued by various international bodies. Since 2020, Belfius has been a signatory to three fundamental conventions:

- The **United Nations Global Compact** encourages companies to voluntarily apply universal principles of sustainable development, including 10 principles relating to human rights, labour, the environment and anti-corruption.
- The **Principles for Responsible Banking**, formulated in 2019, provide the banking sector with a framework for establishing a sustainable and responsible banking system where strategy, portfolio, transactions and business management take sustainability deeply into account.
- The **Principles for Sustainable Insurance** provide the sector with a step-by-step global blueprint for innovative risk management and the development of insurance solutions capable of responding to the risks and opportunities related to environmental, social (ageing population, healthcare, wealth distribution, etc.) and governance issues.

Our commitment to these conventions binds us to not only respect a series of principles, but also to communicate our progress transparently on the websites of the organisations concerned. The first reporting of this kind will take place in the Spring of 2021.

Similar reporting has already taken place as part of the **United Nations Principles for Responsible Investment** (UNPRI) requirements, signed in 2019 by Belfius Investment Partner, our investment fund management and administration subsidiary.

Since 2019, Belfius is also a signatory of the **Women in Finance Diversity Charter**, an initiative to improve gender equality in the financial sector.

At the Belgian level, Belfius participated in the launch of the **Belgian Alliance for Climate Action (BACA)** in 2020, a joint initiative of the Belgian sustainable development network (The Shift), and WWF Belgium. The Alliance brings together companies and organisations with a strong intention to pave the way to a lower carbon economy, by



increasing their climate ambitions in line with the objectives of the Paris Agreement. In particular, Belfius is committed to defining 'science-based targets' in order to continue to reduce its CO₂ emissions on a larger scale, across all of its activities. See further (section 3.3) for more information.

2.3. ESG governance of the Belfius group

Responsibilities for the implementation of Belfius' sustainability strategy have been laid down in a specific ESG governance document, reflecting full commitment from the company's highest management bodies.

- At executive level, both CEOs (Belfius Bank and Belfius Insurance) sponsor the ESG strategy and are directly responsible for its implementation within the Executive Committee. ESG is a regular topic on the agenda of the Group Executive Committee.
- A specific ESG Committee within the Board of Directors took on the role of supporting Belfius' enhanced sustainability ambitions in 2020. It is chaired by the Chairman of the Board of Directors and is made up of members of the Boards of both Belfius Bank and Belfius Insurance, with a strong interest and/or expertise in sustainable development.
The ESG Committee closely monitors the implementation of the sustainability strategy, asks questions throughout the process, validates the proposals of the ESG Steering Committee (see below) and advises the Board of Directors (of both Bank and Insurance) on decisions regarding ESG-related issues.
In 2021, after evaluation, the Board of Directors will decide whether this way of working should be maintained or whether a different approach by the Board of Directors is advisable, given the high importance of ESG.
- The ESG Steering Committee, made up of department heads and managers from all business areas, specifically supervises and steers the ambitions and commitments of the Belfius sustainability strategy. The ESG Steering Committee, headed by the Head of Sustainability and reporting to the ESG Committee, meets on a monthly basis and monitors the progress of the ESG strategy within the respective perimeters.
- The Head of Sustainability heads the ESG Coordination Team and is in charge of the overall coordination of the day-to-day ESG strategy at Group level. Together with the ESG Coordination Team, she conducts a systematic dialogue on ESG affairs with key internal and external stakeholders. She also leads the ESG Steering Committee and is directly accountable to both CEOs.

“ ”
By participating
in the BACA,
Belfius joins
forces with other
companies and
organisations
to pave the way
to a lower carbon
economy.

3. A responsible bank-insurer

3.1. True and reliable business conduct

A responsible, honest and professional attitude on the part of every employee in their dealings with customers and partners is crucial if we are to gain, maintain and justify the trust of our customers and stakeholders. That trust is fundamental.

The relationship with and between our employees is also based on integrity, loyalty, transparency, professionalism and mutual respect. We have established policies relative to these values that are clear and transparent to all:

- [Code of Conduct](#)
- [Anti-Discrimination Policy](#)
- [Whistleblowing Policy](#) (for reporting abuse or malfunctions)

Belfius scrupulously complies with all laws and regulations and respects the rules and practices prevalent in the financial sector. Belfius' policy in this area is outlined in a Compliance Charter and Integrity Policy. These include the following policies concerning specific risk situations:

- [Anti-Fraud Policy](#)
- [Anti-Bribery Policy](#)
- [Anti-Money Laundering \(AML\) Policy](#)

In 2020:

- Two cases were recorded where an employee was manipulated by an external person to carry out certain transactions. Both incidents can, by nature, be related to corruption, although there is no indication of personal gain by the employees involved. The incidents involved a non-management employee from an autonomous Belfius agency on the one part and a central service employee on the other. Both cases were detected at an early stage by the bank's first-line internal control mechanism, which thus proved its effectiveness. There was no financial damage to Belfius' clients, nor to Belfius itself.
- The share of total loss due to internal fraud in 2020 was zero.
- No cases of whistleblowing have been recorded over the past three years.

A full list of all [Policies & Charters](#) is available on our corporate website.

We insist on the fact that each employee is protected by laws and regulations and we expect strict compliance with these. Belfius ensures that its staff members are kept up to date with developments pertaining to their field and that they have access to the information they need to carry out their job properly.

To this end, Belfius has its own compulsory training programme for all staff on ethical and compliance-related issues:

- Ethics
- Anti-Money Laundering (AML) legislation
- Market abuse
- Privacy legislation (Febelfin training)

The training courses are refreshed every two to three years, with ad hoc training cycles also organised for certain profiles. Each employee has his or her own dashboard in which all planned and completed training courses are displayed and monitored by HR and Compliance.

3.2. An honest taxpayer

As a locally-established banking and insurance company, Belfius strives to be transparent with all its stakeholders in the area of taxation. The objectives, guidelines and responsibilities in this domain are described in detail in the Belfius Group [Tax Policy](#).

Belfius complies with all applicable OECD rules on Base Erosion and Profit Shifting (BEPS) that are incorporated into Belgian legislation, as well as the legislation of other jurisdictions where Belfius entities are located. "BEPS" is an OECD action plan against tax avoidance through the abuse of taxation gaps and disparities.

With regards to its commercial activities, Belfius focuses exclusively on the Belgian market. For some very specific activities however, entities are maintained in Luxembourg and Ireland:

- Belfius Financing Company SA issues certain securities to external investors. For technical and operational reasons, it has been decided that these issuances take place in Luxembourg. Belfius Insurance Finance manages a portfolio of shares and bonds there in full transparency vis-à-vis the Belgian tax authorities after receiving a positive ruling in Belgium.
- Ireland-based Belfius Ireland controls a historical long-term bond portfolio, however this portfolio is currently being wound down. Belfius' Irish presence does not constitute a case of tax optimisation as there is no shift of taxable base from Belgium to Ireland.

Consolidated IFRS figures

(In thousands of EUR)	2018	2019	2020
TOTAL CASH TAXES AND CONTRIBUTIONS	(601,241)	(664,257)	(688,067)
Current taxes ⁽¹⁾	(143,246)	(210,630)	(228,428)
Sector levies ⁽²⁾	(221,919)	(222,343)	(237,076)
Social sec. employer	(112,174)	(112,012)	(113,221)
Non-deduct VAT	(80,792)	(81,271)	(68,888)
Other indirect taxes	(43,109)	(38,001)	(40,454)

(1) Cf. Note 7.16. to the consolidated financial statements in the annual report of Belfius Bank.

(2) Cf. Note 7.9. to the consolidated financial statements in the annual report of Belfius Bank.

3.3. Integrating ESG into risk criteria

Comprehensive management of sustainability factors, broken down into environmental, social and governance (ESG) risk factors, must protect both the Belfius group and society at large from physical, transitional and societal risks that its activities could potentially generate. Belfius takes into account both the direct impact and risks from its own buildings and internal activities, as well as the indirect impact and risks connected to lending, investment and insurance portfolios.

The foundations of ESG risk management at Belfius were laid down in 2017 via a materiality analysis that identified the most important ESG factors and risks for Belfius and certain key stakeholders. Since then, these indicators have gradually been embedded into day-to-day operations and decision-making processes. ESG risks are monitored at group level in consultation with Belfius' subsidiaries, without losing sight of each of their specific features.

2020 was a particularly important year for the internal organisation with regards to the planning of ESG risk management. You will find more details in chapter VIII. ESG Risk Management of the 2020 Risk Report.

COMMITMENT

**Risk management
and financial stability are an
absolute essential for Belfius**



In terms of content, the main ESG focus in 2020 was the following:

Accelerating the sustainable transition of our core business by implementing a strengthened sector policy

Belfius' sector policy is a crucial tool for managing exposure to various ESG risks. In 2020, sector policy criteria were reinforced through the Transition Acceleration Policy (TAP) so as to be applied to a range of internal processes: investment management, credit risk acceptance guidelines, money market guidelines, Belfius Lease's decision-making processes and Belfius Auto Lease's validation processes.

This Belfius sector policy imposes exclusions or restrictions on activities in sensitive economic sectors that are either totally or partially inconsistent with our ESG policy: tobacco, gambling, weapons, fossil and nuclear energy, mining, palm oil and soy, and speculation on agricultural raw materials.

The sector policy is evolving and will continue to be refined over time. Belfius also wishes to encourage and support other companies in their transition to more sustainable activities, therefore dialogue with customers and stakeholders will also be an essential component of the sector policy.

Towards a healthy and resilient balance sheet

A specifically dedicated task force was launched in 2020 to gradually carry out a detailed screening of our balance sheet in 2021 with regards to our strategic commitment to sustainability. Based on the ESG risk sensitivity of economic sectors, this process will allow us to obtain a detailed picture of the ESG risk sensitivity of our assets across various economic sectors. The exercise will be guided by the EU taxonomy for sustainable activities, our own sector policy, as well as dialogue with a number of external stakeholders.

From 2022 onwards, Belfius will take appropriate risk mitigation and adaptive measures to minimise the impact of potential ESG risks linked to its core business.

Climate action

Our initial focus will be on climate-related risks: physical risks linked to the consequences of global warming (e.g. floods), and transition risks (financial risks linked to losses in value and costs related to necessary energy transition). Within this context, we have chosen to focus on our real estate portfolios first, as we are convinced that this will have a major positive impact and will allow us to manage several important climate risks.

In April 2020 we began collecting the energy efficiency scores of our residential mortgage portfolio. Necessary developments are currently being made to collect energy efficiency information for other property and loan types as well so as to be able to adapt our systems to systematically collect this new data.

A next step will be the development of an internal Belfius database (Real Estate Repository or RER) in which energy efficiency data can be integrated together with other real estate climate information.

With regards to physical risk, Belfius Insurance has already carried out an initial screening and classification of its insurance portfolio within the context of reinsurance, more particularly with regards to flood risk.

Following the analysis of various property portfolios, objectives will be formulated using the Science Based Targets initiative methodology (SBTi). SBTi is a scientific method that aligns our objectives with the temperature scenarios envisaged by the Paris Climate Agreement (max. +2° C, but preferably max. +1.5° C compared to pre-industrial levels), thereby ensuring that our goals are ambitious enough. This approach is also part of our commitment within the Belgian Alliance for Climate Action (BACA).

We have already achieved climate neutrality for Belfius' operations (more details in section 5) thanks to our existing partnership with CO2logic and a policy of maximum emission reduction, alongside the offsetting of residual emissions. CO2logic screening and the generation of an associated action plan is an exercise that is repeated on a yearly basis so as to maintain our intention of remaining climate neutral.

3.4. Purchasing more sustainably

In 2020, Belfius reviewed its procurement policy to systematically integrate environmental, social and governance (ESG) considerations into its supplier selection process. Suppliers will have to demonstrate their own practices and ambitions in this area. Preference will be given to those who have a robust sustainability policy with concrete actions, that is to say those who:

- have signed the Global Compact or equivalent international commitments
- have set up actions to reduce CO₂ emissions
- offer products that meet circular strategies
- have set up actions to achieve gender equality and equal pay.

The objective is twofold: first, to make our own operations more sustainable, and second to inspire and encourage our suppliers to do business more responsibly. In this way, we only work with companies who share our values, while gradually integrating stronger ESG criteria into core businesses elsewhere, ultimately also contributing to making our own purchasing more sustainable.

These principles were incorporated into a contract for the first time in 2020 in the form of an ethical charter. The ethical charter is an integral part of the contract signed by the supplier. A roadmap established in 2020 plans to integrate ethical charters into all contracts in several stages. By June 2021, new tenders will gradually incorporate the above-mentioned binding ESG criteria.

In order to enter into a contract with Belfius, suppliers will have to comply with environmental and social laws and regulations, as well as a series of circular criteria incorporated into our [ethics charter](#). According to Belfius' sector policy, suppliers, as well as their own suppliers, may not be part of, nor deal with, any controversial sectors.

A period of awareness upfront will encourage existing suppliers to ask themselves the right questions and, if necessary, take any necessary measures to render their activity more sustainable.

Walloon Green Deal

Belfius had undertaken to launch at least two pilot circular purchasing projects in Wallonia by 2022 as part of the Green Deal signed in 2019. Despite the cancellation of various activities related to the current pandemic, projects remain on track in the field of work apparel laundry and catering.

4. Sustainable solutions

COMMITMENT

Be a leading actor in the transition to a sustainable Belgian economy and society

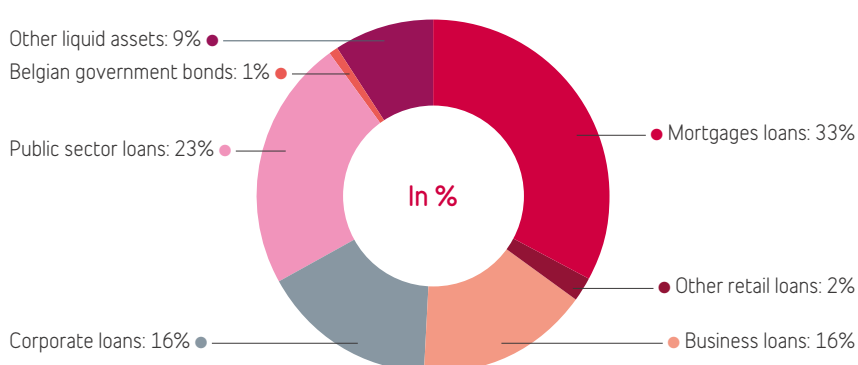


4.1. Recirculating into the Belgian economy and community

Belfius makes maximum use of its financing capacity to carry out projects that have a positive impact on Belgian society. This has always been at the heart of our mission: Belfius customers can be assured that their savings will be reinvested almost entirely in Belgian society and the Belgian economy in the form of loans to households, companies, municipalities, schools and care centres.

The graph below illustrates how customers' savings deposits are used to grant various types of loans that benefit the Belgian economy.

Allocation savings at bank level



In 2013 Belfius granted around EUR 10 billion in long-term finance, spread across all customer segments. In 2020, that figure amounted to EUR 20 billion.

Summary of Belfius Bank loans

(In billions of EUR)	Outstanding loans at 31/12/18	Outstanding loans at 31/12/19	Outstanding loans at 31/12/20	Loans granted in 2020
To the public and social sector (long-term)	26.7	25.7	24.2	2.6
To self-employed workers, SMEs and large companies (long-term)	27.1	30.3	32.9	10.2
To Belgian families for private projects	34.7	37.7	40.2	7.2
Of which mortgage loans	32.4	35.5	38.0	6.5
TOTAL	88.5	93.7	97.3	20.0

Deposits collected⁽¹⁾

(In billions of EUR)	Total at 31/12/18	Total at 31/12/19	Total at 31/12/20
	89.5	95.0	104.3

[1] Commercial deposits in the broad sense (current, savings and term deposits, retail bonds and savings bonds).

4.2. Sustainable finance and insurance

The EU Green Deal, a roadmap for a sustainable European economy

With the European Green Deal and the Next Generation EU Recovery Plan, the EU is sharpening its priorities with regards to the environment, climate and energy.

With some 50 key actions, the EU Green Deal is the roadmap for making the European economy sustainable, by transforming climate and environmental challenges into opportunities in all policy areas and making the transition to a climate-neutral Europe in 2050 fair and inclusive for all. This translates to a drastic transformation of our economic model, requiring an estimated additional EUR 260 billion in investment annually.

Next Generation EU, Europe's recovery stimulus package to support the economy in its relaunch after the Covid-19 crisis, aims at a greener, more digital and more resilient Europe. In this context, Belfius wants to be the engine that makes the Belgian economy ever more sustainable, offering financial solutions to all types of customers, while enabling them to achieve their own sustainable business objectives.

4.2.1. Sustainable lending solutions

BEEP (Belfius Energy Efficiency Package)

BEEP is a unique financing package for companies, public authorities, educational institutions and social profit organisations who wish to invest in reducing their energy needs, switching to alternative energy sources or producing their own energy. To this end, Belfius is the only Belgian bank to collaborate with the European Investment Bank (EIB) within the framework of the European PF4EE programme (Private Finance for Energy Efficiency).

Achievements in 2020:

- Financing of several new projects: photovoltaic projects, energy cogeneration projects in apartment buildings and the use of biomass or other renewable energy sources.
- Renewal of the European Investment Bank (EIB) contract for projects approved until December 2021.

Belfius has now been able to finance 53 projects within this programme with a total project value of approximately EUR 45 million.

ELENA (European Local Energy Assistance)

ELENA is a joint initiative of the EIB and the European Commission within the framework of the European research and innovation programme Horizon 2020. ELENA provides grants for the development of energy efficiency and building-linked renewable energy programmes for public and social profit clients. Since 2019, Belfius has been the first and only commercial bank to be awarded an ELENA grant to actively assist its public and social profit customers in the development of these projects.

In 2020 Belfius and the ELENA initiative achieved the following:

- The thorough renovation of buildings with specific attention to energy renovation via SBRS (Smart Building & Renovation Solution), Belfius' all-in solution integrating funding, an energy audit and project management. In 2020, the number of projects launched accounted for a total of EUR 106 million (see next paragraph).
- Belfius is examining third-party investor solutions for installing PV systems on roofs and land. In this way, the public or social profit client can obtain cheaper greener electricity for 10 to 15 years, after which time the client becomes the owner of the installation.
- Belfius wishes to act not only as a financing partner, but also as an investment partner for DBFM energy projects and has applied for several projects in 2020.
- Aster CV: Belfius was appointed as the coordinator for the financing of the installation of 90,000 PV systems on the roofs of approximately 60,000 buildings belonging to Flemish social housing companies in the period 2021-2025.

“ ”
Belfius wants to be the engine that makes the Belgian economy ever more sustainable, enabling our customers to achieve their own sustainable business objectives.

COMMITMENT

Making future-proof infrastructure an absolute priority



Smart Building and Renovation Solution (SBRS)

Belfius Bank has been supporting public and social sector institutions in their real estate projects for over 30 years. Our specialised Public Real Estate department advises these institutions and goes a step further than simply financing building projects. A team of architects, engineers and lawyers ensures that authorities are able to continue to focus on their core business throughout a construction project.

Through its Smart Building and Renovation Solution product, Belfius engaged in 2020 to provide technical, financial, administrative and legal assistance to 41 institutions in their new projects. Public Real Estate supported schools, police stations/fire brigades, residential care centres, projects for housing for the elderly, shelters for young people, accommodation for people with disabilities, cultural centres, sports infrastructure projects and administrative centres.

Each project sees a joint effort between project manager, construction partners and management in the analysis of the most recent evolutions in the field of energy, sustainable development, circular economy, IOT (Internet Of Things), etc. in order to find the perfect balance between price and performance.

Smart cities, climate action and circular economy

Since entering into an initial partnership agreement in 2014 (Smart Cities & Sustainable Development), where EUR 400 million of preferential credit was made available (of which EUR 200 million by Belfius) for 62 projects in the areas of local energy efficiency, urban development and mobility, Belfius went on to renew and extend its partnership agreements with the European Investment Bank (EIB) in 2016 and 2018 with the Smart Cities, Climate Action & Circular Economy programme.

These agreements included two new advantageous credit lines of EUR 800 million (EUR 400 million of which was financed by Belfius), benefitting a total of 130 projects.

Programme Smart Cities & Sustainable Development and Smart Cities & Climate Action & Circular Economy (with the EIB) - Summary per line of credit (2014-2020)

	Smart 1.0	Smart 2.0	Smart 3.0
Total amount of projects (In EUR)	485,936,228 ⁽¹⁾	455,335,235 ⁽²⁾	478,677,506 ⁽³⁾
Number of projects	59	66	64

(1) of which an EIB line of EUR 200,032,838.

(2) of which an EIB line of EUR 200,024,432.

(3) of which an EIB line of EUR 173,337,279. At the end of 2020 not all loans had been drawn down for current projects with this third funding envelope. The remaining part of the project amounts is financed by long-term loans granted by Belfius, by advance payments on subsidies, amounts from credit still available, short-term loans and cash loans granted by Belfius (for the use of own resources).

A total of 189 projects that impact the daily lives of millions of people in Belgium were financed thanks to the partnership between Belfius and EIB, representing a total investment of more than EUR 1.4 billion.

Renewable energy

As of 31 December 2020, Belfius' total investment in renewable energy amounted to around EUR 1.6 billion. This included project finance and loans via Belfius Bank and its subsidiary Belfius Lease in the areas of biomass, solar energy, onshore and offshore wind energy, energy cogeneration and energy efficiency.

Together, these projects provide enough renewable energy each year to meet the energy needs of around three million Belgian households and the avoidance of roughly 4 million tonnes of CO₂ emissions each year.

COMMITMENT

Actively working towards a sustainable balance sheet



2020 saw Belfius supporting renewable energy projects with a total potential capacity of EUR 192 million that included:

- 430 Mw in wind energy: refinancing of a recent offshore wind farm with a capacity of 370 Mw and the financing of onshore wind turbines with a total capacity of 60 Mw.
- 59 Mwp in solar energy: photovoltaic installations on the roofs of logistics warehouses.

Belfius is the only Belgian bank to co-finance all eight Belgian offshore wind farms with a total capacity of 2262 Mw.

CO₂ Impact Loan

With the CO₂ Impact Loan, a specific offer of consultancy and credit for CO₂ reduction projects, Belfius, in partnership with the Belgian sustainable development company and consultancy CO2logic, accompanies and encourages professional clients in their ambitions to reduce CO₂ emissions.

To translate this long-term strategy into practice, CO2logic supports its clients in defining the scope of their analyses and ambitions and in drawing up a CO₂ balance sheet. Both parties then agree on a reduction plan and KPIs defined, measured and certified by CO2logic.

CO₂ KPIs are then included in the Belfius loan offer. They are submitted by the customer before the due date stipulated in the contract and are then recalculated and certified during the loan's term. If the KPIs are reached, the interest rate is reduced at the next review.

Energy-efficient private homes

Belfius helps Belgian households with their energy-saving construction and renovation projects.

With the **Green Renovation Loan**, Belfius offers a credit formula for investments aimed at improving home insulation, installing double or triple glazing, replacing old boilers with high-efficiency versions, installing a heat pump or solar panels, or having an energy audit carried out, amongst others. Green Renovation Loans accounted for half of the total number of consumer renovation loans in 2020.

The **Energy-efficient Housing Loan**, intended for the construction of a new home with an E-level ≤ 30, granted a number of specific benefits to frontrunners in the field of energy-efficient building and was awarded the BEN-label (Near-Energy-Neutral) by the Flemish government.

In recent years, the E-level standard for new builds has been systematically tightened and, from 2021, NZEB (nearly zero energy building) will be the standard for every new home built (BEN or near-energy neutral in Flanders / Q-ZEN or quasi-zero energy in Wallonia).

The Energy-efficient Housing Loan has thus fulfilled its mission and was discontinued at the end of 2020. Between 2013 and 2020, Belfius granted BEN-loans to nearly 1,900 residential loans for low-energy construction, amounting to a total of nearly EUR 414 million.

Since 2020 Belfius has been anticipating the obligation to collect energy certificates from residential properties, pledged as part of new mortgage applications from 2021 onwards. This will allow us to assess the energy performance of our portfolio of pledged properties and, ultimately, stimulate customers to make necessary investments to improve the energy performance of their residential properties.

Green Renovation Loan

	2018	2019	2020
Number of loans	2,891	3,784	5,068
TOTAL AMOUNT (In millions of EUR)	31.9	43.8	57.9

Eco & Eco Plus car loan

	2018	2019	2020
Number of loans	4,196	4,840	4,689
TOTAL AMOUNT (In millions of EUR)	54.90	59.50	53.30

Bike loan

	2018	2019	2020
Number of loans	1,201	1,890	2,355
TOTAL AMOUNT (In millions of EUR)	3.75	6.17	7.98

Finally, Belfius is also a pilot bank for the EEMI (Energy Efficient Mortgages Initiative) and is a member of the BVK Commission on Sustainable Loans which aims to design and launch energy-efficient mortgages in Belgium, thereby stimulating and channelling private capital towards investments in energy efficiency.

Supporting sustainable mobility solutions

Belfius offers various credit formulas based on sustainable mobility:

- The Eco Car Loan allows customers to finance the purchase of a car with low CO₂ emissions: a car with CO₂ emissions ≤ 135g/km according to the WLTP standard; or CO₂ emissions ≤ 108g/km according to the NEDC 1.0 standard; or a hybrid or LPG-equipped car.
- The Eco Plus car loan is a specific credit formula for those who want to switch to an electric car, plug-in hybrid car, or a car running on natural gas or hydrogen. With this loan, customers can borrow up to 120% of the purchase price to cover any additional costs, such as the installation of an electric charging station or solar panels.
- For several years now, Belfius has also been offering a bicycle loan as part of its product range.

Airscan

In 2020, Belfius concluded a partnership with Airscan. A subsidiary of CO2logic, Airscan aims to create a healthy environment by raising awareness about the importance of good air quality, while proposing concrete actions, expertise and technology to achieve it. Through this unique partnership Belfius and Airscan equip schools with measuring devices that analyse the quality of indoor and outdoor air. These measurements are then used to establish an action plan to both create a healthier environment in and around schools, and reduce their carbon footprints.

4.2.2. Sustainable insurance solutions

Belfius Insurance offers life insurance products (savings and risk products) and non-life products (mobility and property protection), as well as mortgage loans, amongst others.

Life Insurance

As a life insurer, Belfius is involved in pension and ageing issues and insures Belgians against risks such as serious illness, hospitalisation, unemployment, work incapacitation or death.

15% of pensioners in Belgium live below the poverty line. One in nine 40-year-old men will not reach the age of 65 and one in three men and one in four women will be diagnosed with cancer before the age of 75. Offering protection to cope with the financial difficulties that may arise from these various risks is our job as life insurers.

Insurance is based on the law of large numbers where mutualisation ensures that premiums covering these large risks remain relatively affordable. In 2020, we were able to help 401 people pay off a loan at a difficult time thanks to outstanding balance insurance linked to mortgages.

5,497 clients received their supplementary pension capital in 2020. Belfius also wishes to play an awareness-raising role in this area. According to a recent report by the Court of Auditors (18/11/2020), the supplementary pension (second pillar), constituted through an employer or self-employed status, still concerns only a too small part of the population, even if the first pillar is insufficient for a large part of the population. With Yume, a simulation integrated into the Belfius application, we want to make the working

population aware of this possible future financing gap and encourage them in a positive way to take action to guarantee their future standards of living. Together with Assuralia and the government, we are continuing to reflect on how to tackle this issue.

We are also continuing to expand our range of risk coverage and develop relevant warranties so that customers can be adequately protected at all times. We intend to go even further in making clients aware of other risks related to death or serious illness.

Belfius is also supporting entrepreneurship and the economy by insuring the self-employed starting up, for example by covering them against disability and by giving them the possibility to build up a supplementary pension while reducing their social security contributions.

Non-life insurance

As a non-life insurer, Belfius Insurance plays a role in the transition to a more sustainable society. Our customers can make sustainable choices safe in the knowledge that their assets are protected against fire, theft, damage, etc.

Belfius Insurance continued to protect its customers against all kinds of risks throughout the pandemic. Agreements were reached at industry level on the deferral of insurance premium payments and the extension of contracts in response to government measures. Belfius Insurance also went further than sector agreements in its warranty extensions, both for its private and professional customers.

Within this context we have extended coverage for companies that have had to temporarily modify their activity, such as restaurant owners who had to organise take-away sales or deliveries. The same is true for companies forced to temporarily increase their workforce due to Covid-19 measures. Healthcare provider insurance for example was automatically extended to supplementary care assistants who came in to help. Another example on the private coverage side is that we extended coverage to items lent to neighbours or acquaintances during the lockdown period.

In addition, our range of products and services continues to evolve in a way that supports more sustainable lifestyles.

- With the “App-normal” home insurance, launched by Belfius in September 2020, home owners of recent builds (<10 years old) can receive specific discounts with a supplementary eco-discount if the home is energy-efficient. In the event of damage, the additional costs of complying with new building standards are taken into account in any compensation.
- Belfius Car now grants premium reductions to customers who limit their ecological footprint. A discount on their premium that can reach 20% if they drive less than 17,500 km and choose a vehicle that emits less than 135 g of CO₂ per km. The purchase of a new car is not necessary in order to benefit from this scheme.
- Corona Direct Insurance has an innovative car insurance product where you only pay for kilometres driven. The “insurance per kilometre” has already convinced more than 100,000 customers. Customers estimate how much they will drive in a year, after which Corona Direct calculates the personalised premium. If they drive less, the difference is refunded. This “pay as you drive” approach results in a fair premium for a responsible mobility behaviour.
- An insurance policy for bicycles is being prepared for 2021, while for motor vehicles assistance provided in the event of an accident will be re-examined so as to be able to offer alternative mobility solutions instead of systematically offering a replacement car.

4.2.3. Sustainable leasing solutions

Helping professionals shift to sustainability through financial leasing and renting

Belfius Lease, a subsidiary of Belfius Bank, markets financing formulas in the form of the financial leasing and renting of buildings and professional capital goods to companies, the public and social sectors, the self-employed and liberal professions.

By the end of December 2020, it was managing a portfolio of 61,713 active contracts for a total outstanding amount of EUR 2,857 billion, all activities combined (equipment and property leasing). This represents 24% more contracts than the 49,891 contracts in 2019. Belfius Lease thus confirms its position with an overall market share of 16% in the third quarter of 2020⁽¹⁾.

Belfius Lease has supported its professional customers since the beginning of the Covid-19 pandemic in close cooperation with the distribution network. It provided favourable responses to more than 2,500 requests for payment moratoriums, even though the Royal Decree on moratoria did not concern leasing. Belfius Lease was the first leasing company to organise these moratoria. From the end of March 2020, IT procedures and processes were adapted to be able to automatically grant capital relief of three or six months.

Promoting more sustainable mobility:

Investments and behaviours supporting a more sustainable economy and mobility were developed throughout 2020. This was also supported by the current pandemic's lock-down periods. Belfius Lease is playing its part in this change of mentality, currently managing more than 10,000 leasing contracts for electric bicycles. Its fleet of financed bicycles has more than doubled over the past year, for an investment amount of more than EUR 47 million.

Over 2,000 electric, hybrid or natural gas vehicles are running on Belgian roads under the Belfius Lease banner, for a total investment of EUR 150 million. The democratisation of electric vehicles and the growing offer of hybrid models still promise appreciable growth. Belfius Lease also continues to favour electrical equipment in the civil engineering sector (forklift trucks, pallet trucks, road equipment, etc.).

Investments in renewable energy

Currently, more than 500 contracts are underway in the field of solar panels, cogeneration equipment and wind turbines, for a total investment exceeding EUR 400 million euros (compared to EUR 387 million in 2019). Through these installations, Belfius Lease produces the equivalent of the annual electricity consumption of 109,477 households, compared with 81,000 in 2019 (calculation based on an average price of EUR 1,000 per kWp and an electricity consumption of 4 kWp per year per household).

Vendor leasing and circular economy

Keeping products, their components and materials in circulation for as long as possible is the main principle of circular economy. Leasing has a role to play in this model where use takes precedence over possession. Belfius Lease takes a leading role in this domain through vendor leasing in areas that are constantly expanding: production equipment, but also furniture, lighting systems, etc. The end user pays for the use of the asset according to a pay-as-a-service or pay-per-use principle, while Belfius Lease assumes the financial risk by purchasing the goods that will be offered for lease by its professional customers.

Belfius Lease teams also participate in reflection around circular economy concepts and the Belgian economy as a whole, mainly within the Sustainable Leasing Commission of Febelfin and the Circular Economy Task Force, which bring together Febelfin and players in the leasing sector. The objective is to accelerate the transition to circular economy by developing suitable financial solutions.

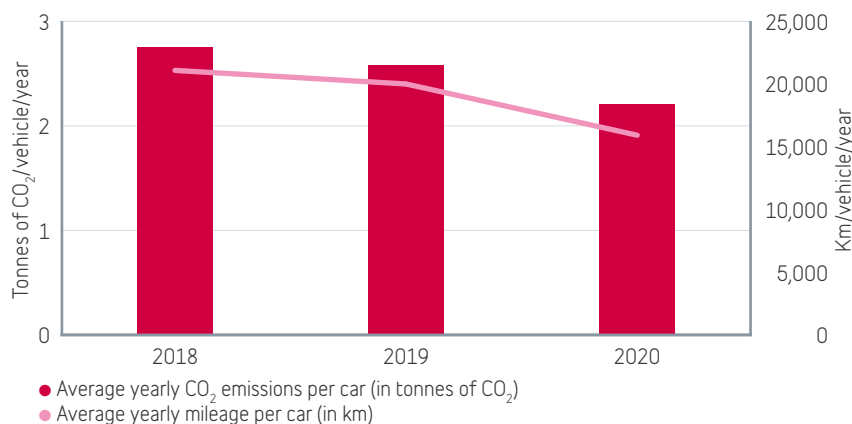
(1) The market share at 31/12/2020 is not yet available at the time of closing this document.

In 2020 Belfius Lease was also the only leasing company in Belgium registered as a participant and purchaser in Green Deal Vlaanderen, an initiative that focuses on financing the circular economy.

Increasing sustainable mobility through full service leasing solutions

Belfius Auto Lease, Belfius' subsidiary in charge of full service leasing of cars, intends to drive mobility towards greater sustainability by reducing the CO₂ emissions of its fleet with 50% by 2025. There are two major axes to realise this objective: moving towards a fleet with more green cars with less or zero emission and reducing the number of kilometres travelled by offering flexible alternatives to car use.

Evolution of the average yearly CO₂ emissions & mileage per car



Compared to 2019, Belfius Auto Lease fleet's average CO₂ emissions were down in 2020 by 20.45%, an evolution that is explained by reduced mileage per car and the share of electric and hybrid vehicles in new production increasing by 52.05%. Their proportion in the total fleet of Belfius Auto Lease reached 9.24% in 2020, compared to 6.75% in 2019. The Belfius Auto Lease fleet now counts 23,253 cars, 10.98% more than in 2019.

The average number of kilometres travelled fell by 14.75%. This decrease is partly explained by the Covid-19 crisis resulting in less travelling but is also due to the development of a mobility offer that complements the use of cars.

A flexible, convenient and sustainable mobility offer

Belfius Auto Lease is gradually implementing new flexible, convenient and sustainable mobility solutions to respond to the changing needs of its customers (companies and their employees, public sector and social profit entities). To realise this new mobility offer, Belfius Auto Lease has set up the following new partnerships:

- In addition to car leasing (Belfius Car Lease), Belfius Auto Lease expanded its offer to include bicycle lease, **Belfius Bike Lease**. Launched with Cyclis Bike Lease, the Belgian pioneer in this field, this is an all-in offer for all types of bicycles with services such as maintenance, insurance and assistance.
- Belfius Auto Lease customers can now benefit from the Skipt's MaaS (Mobility as a Service) offer, **Belfius Move by Skipt**, an all-in one mobility solution, which combines an app designed to facilitate different travel solutions, a payment card valid for all European mobility providers, and a budget management platform for employers with the possibility to launch CO₂ reports.
- In order to provide an intelligent electric charging infrastructure to its customers that want to make the shift to electric and hybrid cars, Belfius Auto Lease started working together with **CenEnergy**.

COMMITMENT

Reinventing our mobility with a forward-looking vision



By 2025, Belfius Auto Lease intends to reduce by **50%** the carbon footprint of its total fleet managed.

“ ”
By using
private capital in
a sustainable way,
we can have a
greater impact on
the environment
and society
as a whole.

4.2.4. Green and sustainability bonds

Belfius supported the following green and sustainability bond issues in 2020:

- Walloon Region: Sustainability Bonds of EUR 200 million and EUR 500 million
- Flemish Community: Sustainability Bond of EUR 1.25 billion
- Ghelamco Invest: Green Bond of EUR 47.5 million
- Fluvius: Green Bond of EUR 600 million

By issuing these types of bonds, we offer authorities, inter-municipal companies and businesses not only the opportunity to diversify their financing with “green” issues on the money market, but also a strengthening of their sustainability policy.

4.2.5. Sustainable real estate projects

Belfius Immo, a subsidiary of Belfius Bank, has mainly been developing residential property for over 30 years. Its origins lie in the development of public projects, but in recent years this activity has shifted towards more private projects.

In addition to developing real estate, Belfius Immo also takes initiatives in the area of affordable and sustainable living:

- Through SMDI (Société Mixte de Développement Immobilier), Belfius Immo, in conjunction with its partners SWL and SRIW, builds affordable housing in Wallonia (in Waremmes, Hognoul, Namur, Libramont, Huy and Arlon, amongst other places).
- With Canius I (Specialised Property Investment Fund - GVBF), Belfius Immo participates as a shareholder in the purchase of new houses and flats according to the “hamster rent” principle. In this case, tenants have the option of purchasing the rented energy-efficient home within a certain period of time (e.g. 5 years) at a pre-set price with a refund of rent already paid.

Across all of its projects, Belfius Immo seeks to integrate the most recent technologies in terms of energy, sustainability, circular economy and IOT (Internet of Things).

4.3. Towards sustainable asset growth

Together with its savers and investors, Belfius is striving to make the change for a better society. By joining forces and using private capital in a sustainable way, we can have a greater impact on the environment and society as a whole.

In 2020 Belfius undertook to offer only socially responsible investment funds by the end of 2022, a major commitment in our strategy. On the way to this goal, our investment offering will systematically be further developed in terms of sustainability. At the same time, Belfius constantly seeks the best return for investors.

To this end, Belfius works with two fund managers:

- Subsidiary **Belfius Investment Partners (Belfius IP)** is the Belfius Group’s centre of competence in asset management (fund management). Belfius IP supervises the entire range of Belfius funds so that they are in line with Belfius’ strategic options and sustainability commitments. Belfius IP also manages a series of investment funds offered to Belfius customers and is the point of contact for external asset managers, including Candriam, our main external partner, but also JP Morgan AM & BlackRock.

A dedicated team within Belfius IP closely monitors ESG regulatory and social developments, actively participates in sector sustainability projects and provides ESG investment expertise to the entire Belfius Group.

Belfius IP is a signatory to the UNPRI (United Nations Principles for Responsible Investment), therefore making a formal and external commitment to embed and continually strengthen sustainability principles.

Read more about [Belfius IP’s sustainable investment funds policy](#).

→ **Candriam** has always been Belfius' main partner for the development of investment funds for technical, day-to-day management.

Candriam is a pioneer in responsible investment and was one of the first fund managers to exclude companies in a number of controversial sectors from its funds and to select companies based on their social behaviour (ESG criteria). Since then, Candriam has remained a benchmark for sustainable investment and is also a signatory to the UNPRI.

4.3.1. The Funds of the Future

Today, socially motivated investors want to know what they are investing their money in and want to be able to see and follow how they are positively contributing to a better world.

With this in mind, Belfius launched its Funds of the Future in 2019 where we systematically focus on difficult but pertinent social or environment-related trends - areas where the urgency is high and the solution must come from a shared conviction and priority deployment of resources by all social players. That's why Belfius is developing a constantly growing range of funds that allow private investors to make a genuine contribution to solving problems that are close to their hearts. Belfius adds a further dimension by, for example, providing financial support to good causes via partnerships with local entities, charities or similar initiatives.

An overview:

→ **Belfius Equities Cure: focus on oncology**

Belfius and Candriam donate part of their management fees to the Stichting tegen Kanker (Foundation Against Cancer) to support research, prevention and support for cancer patients and their families.

→ **Belfius Equities Climate: focus on climate**

The objective of this fund is to be carbon neutral. The remaining CO₂ emissions from underlying economic activity that cannot be completely eliminated will be compensated through global CO₂ reduction, capture and storage projects.

Launched in 2020:

→ **Belfius Equities Wo=Men: focus on gender equality**

Belfius uses part of its management fee to support Boost, a Belgian initiative that helps disadvantaged young people to obtain a diploma and find work on the labour market. The money raised by Belfius will be primarily used to fund initiatives for young girls.

→ **Belfius Equities Be=Long: focus on life expectancy & quality**

A portion of management fees is paid to the King Baudouin Foundation to encourage the "Tubbe" initiative within nursing homes. The Tubbe model, which originated in Sweden, aims to make rest and care homes attractive places to live and work. Based on relationships and the active participation of all, Tubbe offers greater autonomy to residents through actions such as the planting of a vegetable garden, flexible activities schedules, or the organisation of festive events. Each resident is free to make his or her own choices.

An ever-increasing number of investors are concerned with the potentially negative impact of their investments on society and the environment.

As mentioned earlier in this report, 2020 marked the beginning of Belfius' journey towards systematically making its range of funds more sustainable by the end of 2022. This also means that Belfius will exclude certain non-sustainable activities from its range of funds. At the same time, Belfius wishes to continue helping certain sectors and businesses to make the transition to a more sustainable, future-proof business model.

To this end, Belfius has already applied various methods of ESG screening to part of its range of funds.

- Increased screening with criteria additional to basic legal criteria (based on the former Belfius sector policy (see section 2.3X) and Candriam's extra-legal exclusion policy).
- The "best-in-class" approach.
- Thematic funds focusing on one or more social and/or environmental themes.

In 2020 Belfius went one step further by extending the scope of its sector policy (Transition Acceleration Policy) to all Belfius Group activities. This is a sector policy that aims to both exclude certain activities that are considered unsustainable (e.g. tobacco production and gambling), while supporting activities in transition (e.g. in the energy sector).

This means that from 2021 on, all investment funds (not only sustainable funds) will be subject to a much more thorough ESG screening than before. The sector policies will gradually be introduced into portfolios in order to have all products and portfolios come in line with this policy by 31 December 2022. It will also be applied by external fund management partners Candriam, BlackRock, JP Morgan AM, etc. within the same timeframe.

4.3.2. Best-in-Class Funds

Alongside its Funds of the Future (see above), Belfius offers a wide range of sustainable or "SRI" funds (Sustainable & Responsible Investing) for which Candriam or Belfius IP use the "best-in-class" method to screen underlying assets:

- Candriam only invests in companies and countries with the best ESG scores, i.e. the best sustainable development performance in their sector or region.
- Only companies that comply with the principles of the United Nations Global Compact (UNGC) are included in the portfolio. These principles are based on four pillars: human rights, labour law, environment and anti-corruption. Companies that violate these principles are excluded. Companies that are active in controversial sectors or activities according to Candriam policy are also excluded.
- This approach is combined with an active dialogue with companies and their stakeholders in order to ensure that ESG criteria are respected even more fully.

The Belfius range, which is managed according to the "best-in-class" principle, currently includes:

- Belfius Select Portfolio Sustainable, a discretionary asset management agreement that invests exclusively in companies and public institutions that score well, not only in terms of financial performance, but also in terms of corporate social responsibility. The assets are selected on the basis of ESG criteria.
- 11 "Candriam Sustainable" funds 3 "Candriam SRI" funds, issued and managed by Candriam, as well as 2 internal investment funds Branch 23 "Sustainable" (via the KITE Bold/Mix contract) whose underlying funds are managed by Candriam.
- 2 internal investment funds Branch 23 Sustainable (via the KITE Bold/Mix contract) whose underlying funds are managed by Candriam.

4.3.3. Sustainable thematic investment funds

A third type of sustainable fund in the Belfius range, alongside the Funds of the Future and Best-in-Class funds, are the thematic investment funds. The thematic approach gives investors the opportunity to invest in companies that actively offer solutions to global sustainability challenges, such as water scarcity and sustainable forest management, renewable energy and clean technology, food supply and quality, safety and protection of personal data and health.

4.3.4. Towards Sustainability label

The Belgian Towards Sustainability label, created in 2019, is now highly respected in the investment world. It is a quality standard for sustainable investment products, including investment funds, providing investors with the guarantee that certain quality criteria for sustainable and socially responsible investment products have been met. The standard combines criteria in three areas:

- Analysis according to environmental, social and governance (ESG) criteria.
- Exclusions (with strict rules for coal and non-conventional fossil fuels).
- Transparency requirements.

In 2020, a further 6 Belfius funds received the Towards Sustainability label, 3 of which are pension savings funds. This means that approximately 25% of Belfius' fund range now carries the label.

4.3.5. Engaging with companies

As fund managers, both Belfius IP and Candriam maintain an active and constructive dialogue with the companies in which their respective funds invest. By doing so, they make their views, concerns and ideas known to the management of these companies, therefore potentially influencing decisions made by top management. It also provides an opportunity for company executives to make their views known to fund managers.

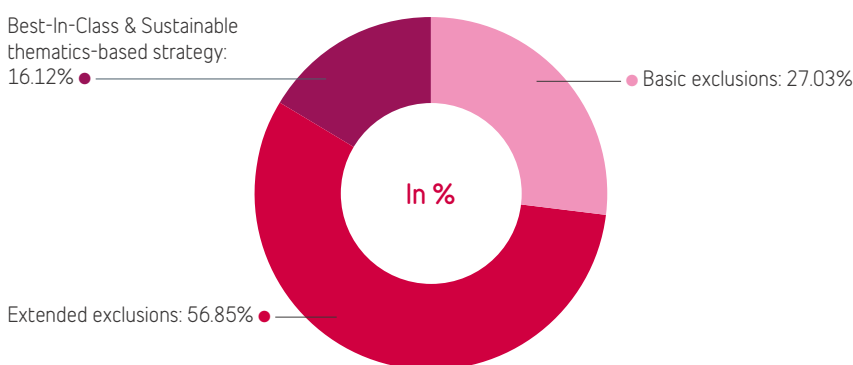
- Belfius IP constantly monitors its investment portfolios, paying particular attention to ESG criteria when selecting underlying instruments (funds, trackers) in which external portfolio managers may invest. In the event of any deviation from this, a step-by-step dialogue is initiated with the manager in order to find a solution. Read more about this in the [Belfius IP Engagement Policy](#).
- As an asset manager, Candriam invests directly in companies and, as a shareholder of the companies in the portfolio, uses its voting rights at general meetings to help steer decisions in a sustainable direction where it is considered necessary. Candriam publishes an annual report on its voting behaviour as a shareholder (proxy voting). Read more in [Candriam's Engagement Policy](#).

4.3.6. Overview of and ambition in sustainably-managed funds

Sustainable funds (Best-in-Class, Sustainable Thematics-based, Funds of the Future) represented 20.91% of funds offered in 2020 (55 funds out of a total of 263), or 16.12% of total assets of EUR 17.92 billion.

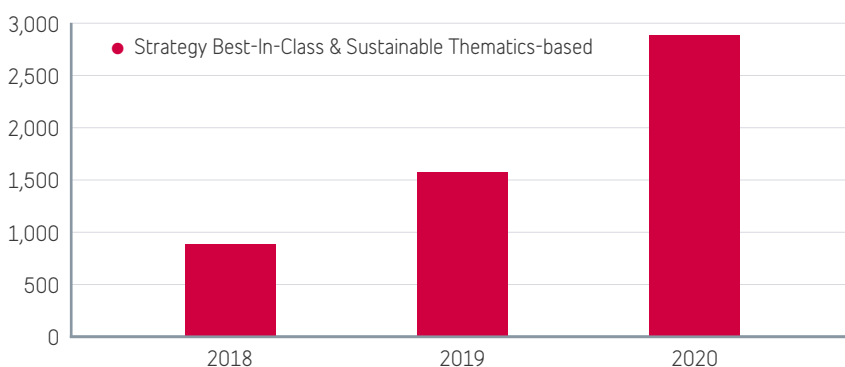
Funds subject to in-depth screening represent 47.53% of the funds we offer, with assets under management representing 56.85% of the total. Another 31.56% of the funds we offer do not currently carry the Febelfin label, however they include the basic legal exclusions in their screening.

Breakdown of AUM by investment strategy



Sustainable funds have been increasing and by the end of 2022 Belfius aims to offer its clients a range exclusively composed of sustainable funds.

Sustainable Investment Strategies Applied in Belfius Asset Management – 2018-2020 (in millions of EUR)



From 2021 onwards, these funds will be classified according to the classification imposed by SFDR. These funds will also be gradually subject to Belfius' own sector policy.

COMMITMENT

Encouraging customers
to invest sustainably



4.3.7. Carbon footprint

Since the Paris Climate Conference held in 2015 (COP21), CO₂ or carbon footprints have received a great deal of attention in the management of investment portfolios. Candriam has been calculating and publishing the carbon footprint of its SRI funds since the Montreal Carbon Pledge.

Absolute carbon footprint⁽¹⁾

	2018	2019	2020
Absolute Carbon Footprint of Best-In-Class SRI and sustainable thematics-based Funds Marketed by Belfius (t CO ₂ e)	20,614	78,174	105,738

(1) All data is based on calculations conducted by Candriam, except for 2018, which is based on data calculated by Trucost at the request of Candriam.

Weighted average carbon footprint⁽¹⁾

	2018		2019		2020	
	Portfolio	Benchmark	Portfolio	Benchmark	Portfolio	Benchmark
Carbon Footprint of Belfius Portfolio in Best-In-Class Candriam SRI and sustainable thematics-based Funds (t CO ₂ e /m EUR revenues of companies in portfolios)	118.2	229.1	99.3	210.3	63.6	95.8

(1) All data is based on calculations conducted by Candriam, except for 2018, which is based on data calculated by Trucost at the request of Candriam.

By measuring the carbon footprints of SRI-funds including the Best-in-Class & Sustainable thematics approach, Candriam involves investors in the fight against global warming while allowing sectors and companies with high greenhouse gas (GHG) levels to shift to a greener business model.

Similarly, we publish the carbon emissions of our portfolio of the above-mentioned types of funds managed by Candriam and marketed by Belfius. These emissions total 105,738 tonnes of CO₂, an increase in absolute emissions of 35% largely due to the increase in the total volume of Best-in-Class and Sustainable thematics funds (+83%) under management and, to a lesser extent, to a globally observed trend of an increase in absolute emissions at company level. The weighted average carbon footprint, which decouples portfolio companies' turnover growth from CO₂ emissions, decreased by 36% however, which is a positive trend.

A full list of the range of sustainable investments offered by Belfius is available on our website.

4.4. Portfolio21: responsible management of Belfius Insurance's reserves

Like any insurance company, Belfius Insurance keeps a reserve to meet its contractual obligations to pay out capital, interest and indemnities to clients. This reserve is largely built up from the insurance premiums paid by clients.

Belfius Insurance invests these reserves in accordance with the principles of Portfolio21, the sustainable management project developed by Belfius Insurance in partnership with Candriam and the independent agency Vigeo Eiris. This is a global investment strategy that aims to contribute to sustainable development by transparently incorporating non-financial criteria into the investment portfolio management process.

4.4.1. Portfolio screening

Investment exclusion criteria for our portfolio are primarily based on compliance with international norms and standards, more specifically:

- The ILO (International Labour Organisation): constructive dialogues are entered into with issuers of securities (companies or countries) that have been the subject of controversy for violation of human rights in the workplace in order to defend workers' basic rights and improve work conditions. The outcome of that dialogue determines whether or not a share, bond, or investment fund from that issuer has, or still has, its place in the portfolio.
- The Government Pension Fund of Norway: Portfolio21 applies the strict environmental protection standards of the Norwegian Pension Fund, which in turn bases itself on a number of international environmental conventions and the UN Global Compact. Belfius Insurance does not accept any companies in its portfolio that violate these environmental standards.

Moreover, as for all of Belfius' activities, the Belfius Group's sector policy has been applicable to Portfolio21 since 2020.

4.4.2. A strong Belgian character

Belfius Insurance's investment portfolio (excluding buildings, mortgages and cash) amounted to around EUR 13.5 billion at the end of 2020. The majority of this (EUR 8.96 billion or 66.4%) is invested in government bonds. The listed portion (shares and real estate) represents EUR 922.9 million or 6.83% of the portfolio.

Our investment portfolio has a strong Belgian bias - 62.5% of the total amount of government bonds is invested in Belgian government bonds, while our equity portfolio, with 74.77% of the total, is mainly Belgian-oriented.

4.4.3. Engaging with companies

Thanks to Portfolio21, companies whose business practices may not be in line with international standards and the Belfius sector policy are also encouraged to evolve in the right direction. Every year, Vigeo Eiris enters into a dialogue with 15 to 20 companies from the investment universe on behalf of Belfius Insurance. On the basis of this dialogue, an independent Technical Committee decides on the status of the company concerned. Read more in the [Belfius Insurance Engagement Policy](#).

4.5. Digital innovation at the service of sustainable development

Belfius also offers innovative digital solutions beyond traditional banking and insurance products, supporting the population in its environmental and social efforts.

- **Jane:** With our Jane initiative, we are helping meet the social challenge of an ageing population by aiding those suffering from a loss of autonomy to be able to live at home for as long as possible. Discrete sensors installed in the home, combined with an artificial intelligence algorithm that learns the elderly person's habits, make it possible to alert relatives in the event of an unusual event.
- **The Birdhouse:** Since 2015 Belfius has been the main partner of The Birdhouse start-up accelerator, of which Belfius owns a 20% stake. Birdhouse helps Belgian entrepreneurs turn their ideas into reality. Every six months it organises an intensive coaching programme in Ghent and Antwerp for a limited group of budding entrepreneurs. For a whole semester they receive free training and advice from experts and successful entrepreneurs. Every year, the programme helps to get almost 30 start-ups on track, including in the ESG arena.
Belfius finances the costs of the programme for start-ups and takes a 3% stake in their capital. Belfius Insurance has made EUR 10 million in investment capital available to invest in the most promising start-ups.
- **Hoplr:** Hoplr has been a Belfius Insurance partner since its participation in the Birdhouse programme in 2020. This neighbourhood connection platform boosts dialogue, exchange and citizen participation to create smarter, more caring and sustainable cities. In Belgium and the Netherlands, more than 2,000 neighbourhoods are already using Hoplr, with a total of more than 500,000 users. The platform has undergone a remarkable period of growth with the Covid-19 generated lockdown periods and has made it possible to relay numerous solidarity actions and maintain a form of connection within neighbourhoods.
In 2020, Hoplr received one of the European Social Network's Technology Tools Awards, as well as a World Summit Award in the Government & Citizen Engagement category and a Seal of Excellence from the European Commission.

The Studio - supporting citizens and local authorities in their sustainable development efforts

Born in 2017, this Belfius subsidiary imagines and develops useful and inspiring digital products. It has a particular focus on solutions that encourage sustainable behaviour and local consumption. The Studio now offers cities, municipalities and inter-municipal organisations three products:

- **Buck-e** is a digital mobility platform aimed at encouraging children to cycle or walk to school. Thanks to tags inserted in bicycles, helmets and safety jackets, the school detects each arrival by bike or on foot. Every green route gives children points that can subsequently be converted into virtual currency, which they can then spend in local shops. Schools benefit not only from changes in behaviour, but also experience improved air quality and safety around the school. Buck-e was founded in 2019 by the Antwerp municipality of Bonheiden and was the result of a collaboration between The Studio and the Belgian company Flow Pilots. In 2020 it convinced four new municipalities and today it equips 26 schools across Belgium.
- In October 2019, The Studio and the intermunicipal waste management company MIWA launched the **MIWA My Waste** app to encourage the citizens of Waasland to produce less waste.
- **Cirklo Light** is the result of a collaboration with the Onze Stad App and is the latest achievement from The Studio. Via this web platform, citizens of client towns and cities can buy or receive gift vouchers in local shops. Since its launch in June 2020, more than 50 towns and cities have already used Cirklo Light to promote the local economy with vouchers worth a total of EUR 10 million – a particularly welcome boost to local economies facing the consequences of Covid-19.



5. Environment & climate

Our ambition is to reduce the impact of our operations by following the objectives of the Paris Agreement. To this end, we have set ourselves a framework by adhering to the Belgian Alliance for Climate Action, the United Nations Principles for Responsible Banking (PRB) and Sustainable Insurance (PSI) and the Sustainable Development Goals.

Belfius has been CO₂ neutral with regards to its operations since 2020, a major step in the pursuit of these emission reduction targets. Belfius is the first major bank to be awarded the CO₂ Neutral[®] label by CO2logic. The calculation method used⁽¹⁾ by CO2logic is certified by the external inspection body Vinçotte⁽²⁾. This label attests to our sustained efforts in favour of climate protection.

In practice, we reduce CO₂ emissions as much as possible. Our efforts are not only focused on our buildings and their resource consumption (energy, water, paper, etc.), but also on other aspects that generate emissions, such as employee travel.

Next to the serious reduction efforts, we offset remaining emissions by financing three projects with a positive impact on the world's climate. We are currently bolstering our approach by working with CO2logic to develop an ambitious plan to further reduce these residual emissions, in line with the European Commission's Green Deal plan.

The CO₂ Neutral label, received in April 2020, covers CO₂ emissions for the 2019 fiscal year. The Belfius Group is already CO₂ neutral for 2019 and intends to remain so in the coming years.

(1) Bilan Carbone.

(2) Certified for 3 years since 2019.

“ ”
We are currently working with CO2logic to develop an ambitious plan to further reduce our residual emissions.

COMMITMENT

Be a leading actor in the transition to a sustainable Belgian economy and society



By 2025, Belfius will further reduce its carbon footprint by 20%⁽¹⁾

5.1. The Belfius Group's carbon footprint

Our carbon footprint, according to CO2logic's calculation methodology, reflects greenhouse gas emissions linked to the company's operations. Our CO₂ emissions, depending largely on our consumption of fossil fuels, decreased in 2020 (-28.5% compared to 2019) due to the obvious impact of the Covid-19 crisis and the massive increase in homeworking, in addition to our continuous efforts to reduce CO₂ emissions for several years.

In the table below:

- **Scope 1** covers direct emissions related to heating with primary energy (gas, heating oil) and fuels (service vehicles, company cars and business trips made with private vehicles including leasing). Since 2019, this also includes refrigerant gases from building cooling systems, based on an assumption of a 10% annual loss.
- **Scope 2** covers emissions related to the electricity we consume. Since 2008, our electricity consumption has been fully compensated by European Guarantee of Origin labels from different technologies (on and offshore wind, photovoltaic panels, bio-mass). As a result, emissions from this item can be considered as zero. Emissions would reach 3,113.4 tonnes if our electricity were not of renewable origin. We also include the indirect impact of green electricity linked to the production of solar panels, wind turbines, etc. in Scope 3.
- **Scope 3** concerns indirect emissions, mainly related to home-to-work travel (excluding company cars and business travel with private vehicles, included in Scope 1), and paper consumables. Water consumption, waste and business travel are also included in Scope 3. Given the exceptional situation due to Covid-19, we have also included the estimated CO₂ emissions linked to generalised homeworking in Scope 3. As of 2020, we will also add the indirect emissions linked to the production process of the resources we consume: gas, heating oil, vehicles and electricity.

Emissions of CO₂ by source (in tonnes of CO₂)

	2018	2019	2020	Evolution from 2019 to 2020
SCOPE 1	8,620.3	8,580.5	6,831.0	-20.4%
Gas consumed	3,449.1	3,158.3	2,643.6	-16.3%
Heating oil	81.2	63.6	67.8	6.5%
Vehicles owned (company car, Flex business travel refunds)	3,990.1	4,258.6	3,019.6	-29.1%
Refrigerants	1,099.9	1,099.9	1,099.9	0.0%
SCOPE 2	-	-	-	
Electricity consumed (market-based method)	-	-	-	
Electricity consumed (location-based method)	3,867.3	3,663.0	3,113.4	-15.0%
SCOPE 3	7,649.3	7,289.4	4,508.6	-38.1%
Paper consumed	991.3	776.1	665.0	-14.3%
Water	24.2	24.6	10.2	-58.5%
Waste (paper, cardboard, PMT, unsorted)	136.1	119.6	49.7	-58.4%
Home-work-home travel (impact of homework included)	5,679.2	5,614.9	1,773.8	-68.4%
Business travel (private vehicles)	458.4	415.9	71.0	-82.9%
Business travel (public transport)	46.9	44.4	32.5	-26.8%
International business travel by train	5.8	3.1	0.8	-74.6%
International business travel by plane	170.3	145.7	11.2	-92.3%
Transporting mail	79.0	79.0	67.2	-15.0%
Transporting valuables	58.2	66.2	40.5	-38.8%
Indirect emissions related to scope 1 & 2	-	-	1,786.6	
TOTAL EMISSIONS	16,269.7	15,870.0	11,339.6	-28.5%

(1) 2019 being the referential year

Using a more appropriate method of calculation has led to the addition of two new CO₂ emission categories to our total emissions. While we see a decrease in direct emissions, we are fully aware of the impact of homeworking on the emissions that should be accounted to Belfius as employers and, as of today, we will add this category to fully take into account all important emissions factors. Similarly, this year we are including the indirect emissions related to scope 1 and 2, since the production of energy (even green energy) can be a source of CO₂ emissions.

5.2. Reducing resource use and avoiding waste

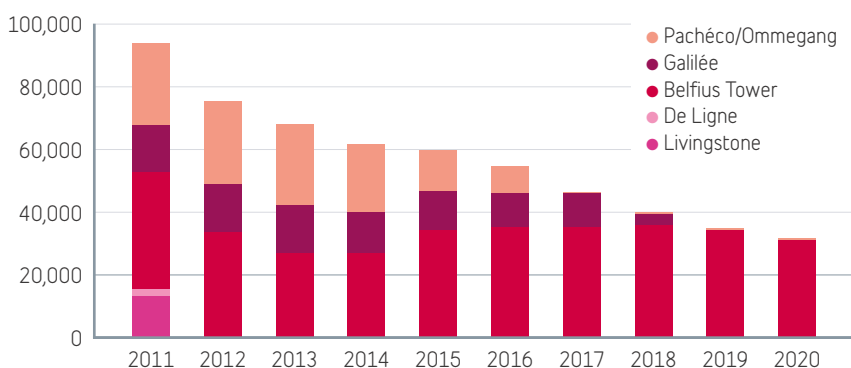
In order to achieve CO2logic's carbon neutrality, we are first and foremost working to reduce our energy and paper consumption, travel and waste. Our independent agencies are also working to further reduce their CO₂ emissions.

5.2.1 Energy savings

Since 2011, we have reduced our primary energy consumption by 66% (47% over the past five years). This is a long-term reduction that we have achieved thanks to the centralisation of our buildings in Brussels. We saw a 9% reduction between 2019 and 2020, and this decrease, which is smaller than what could have been expected given the intensive homeworking in 2020, is explained by the design of our central headquarters, which does not allow us to "deactivate" equipment or comfort levels by zones or floors.

Although Belfius consumes exclusively green electricity, validated by a label of guarantee of sustainable origin since 2008, we are continuing our efforts to improve our energy performance. Our membership of Green IT (see section 5.4) to reduce our CO₂ emissions related to our IT activities, complements the programme we are developing to reduce our environmental impact. Our aim is to further reduce our energy consumption by 20% by 2025 compared to 2019.

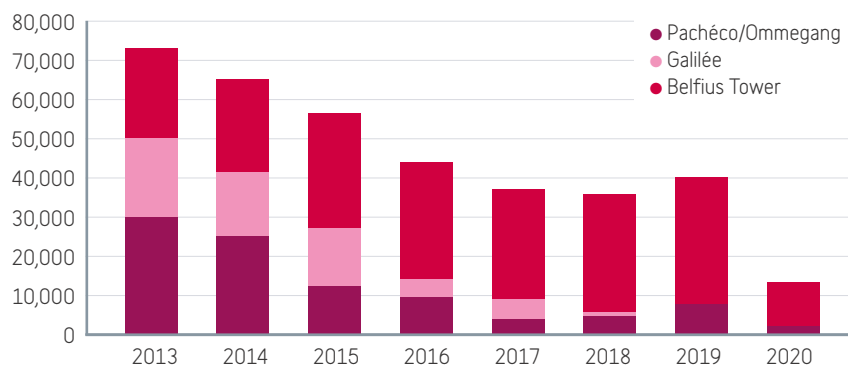
Changes in the consumption of primary energy at the central offices in Brussels
(in MWh_{ep})



5.2.2. Water consumption

Water consumption at head offices decreased by 76% in five years and by 67% since last year. Over the past few years, this evolution was attributed to the grouping of several buildings. In 2020 however, the reduction can be explained by the increase in homeworking imposed by the government to limit the spread of Covid-19.

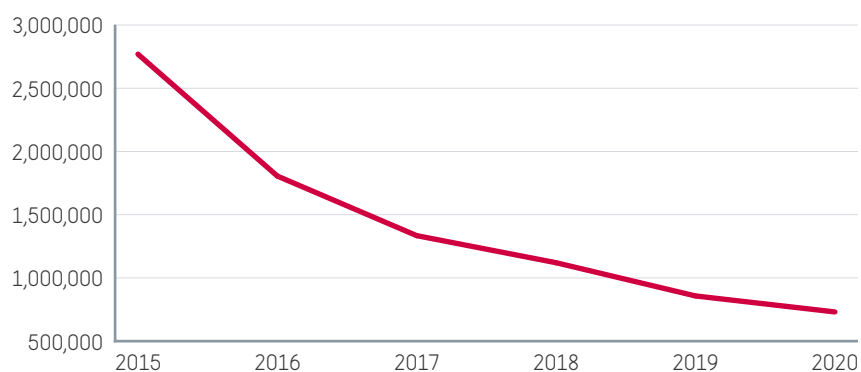
Water consumption at head office in Brussels (in m³)



5.2.3. Paper reduction

After energy resources, the paper used for printing and photocopying - almost all of which is FSC-certified - is the main resource consumed by Belfius, with a mass of almost 724 tonnes in 2020. This figure represents a decrease of 14.31% compared to the previous year.

Evolution of the number of A4 pages printed in the last 6 years



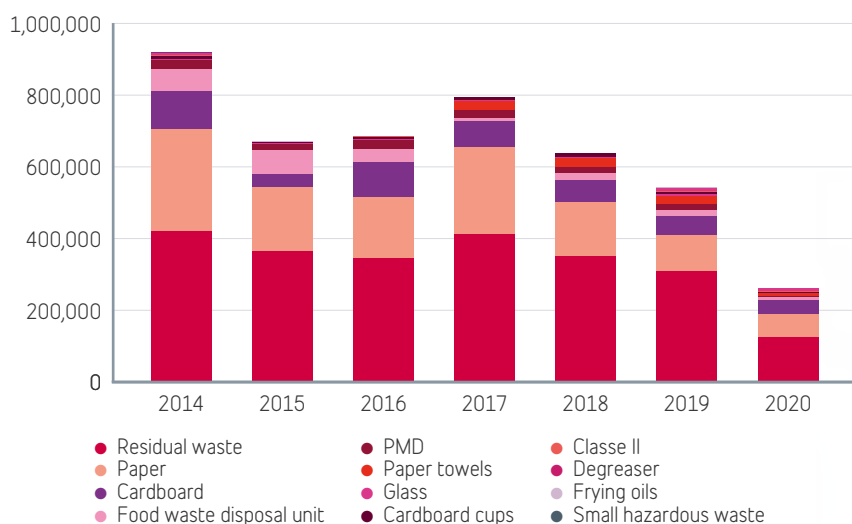
This decrease was mainly due to the widespread use of laptops made available to all employees by Belfius, the elimination of filing cabinets, and a 30% reduction in the number of printers at head office. A reduction in printers will also continue in local branches. A 60% reduction in the number of printers in these local branches is foreseen for 2021, translating to an estimated 40% reduction in printing.

Belfius is also making great efforts to reduce the printing of its customers' account statements by encouraging their digitalisation. At branch level, this process reduces the use of paper for both insurance products and banking services.

5.2.4. Waste steadily decreasing

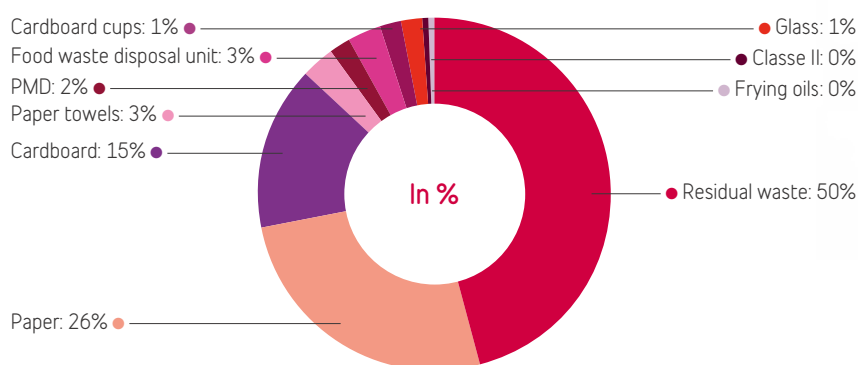
In 2020, the head office reduced its waste by 52% compared to 2019 – a reduction that was obviously linked to the Covid-19 situation. All categories of waste were impacted, but more particularly PMD (-74%), cardboard cups (-73%) and paper hand towels (-69%), which have all decreased significantly. Although this was an exceptional and temporary reduction, Belfius continues to work on waste reduction (with a target of -50% by 2025) on the basis of 2019 data.

Production waste at the Brussels head office (in kg)



The challenges set for 2025 are namely to reduce the volume of residual (unsorted) waste and paper to be recycled, and to increase the proportion of recycled waste (mainly PMT and cups). Internal campaigns regularly help to raise awareness about these issues among employees.

Breakdown of waste produced at the Brussels head office in 2020



All waste mentioned concerns non-hazardous waste and is recycled, except for the residual waste, which is incinerated⁽¹⁾.

(1) Information provided by the waste disposal contractor.

5.2.5. Sustainable commuting

The current health crisis has greatly reduced the ecological impact of commuting. Since 2019, CO₂ emissions have been reduced by 76% due to almost continuous compulsory homeworking since March 2020. In an attempt to benefit work-life balance and to reduce road traffic and air pollution, we have already been proposing a maximum of two days of homeworking per week for several years now. In order to achieve our CO₂ reduction ambitions, we want to further increase the average number of homeworking days per employee per year. In 2020, homeworking was the standard as of the start of the Covid-19 pandemic and 95% of the Belfius employees worked from home. The estimated number of homeworking days was 148⁽¹⁾ (compared to 31 in 2019 and 27 in 2018) out of a maximum of 220 days worked.

Today, 77.5% of employees at the Brussels head office use public transport to get to work, and 2.5% make the entire journey by bicycle. Only 19.6% travel alone by car or motorbike. The modal share of solo car use has fallen by 64% in 20 years and by 11% since last year. This is the result of the ambitious Mobility Plan implemented at Belfius since the beginning of the 2000's which offers free public transport and parking at the station, kilometre allowance for cyclists and pedestrians, facilities for cyclists and motorcyclists (secure parking, changing rooms, showers), and car-sharing bonus. This plan also discourages solo car use since parking must be paid for by employees who travel to work in Brussels alone in their car.

For all of the Belfius Group (all subsidiaries included) across the country, the modal shares (main mode of transport used) for home-to-work journeys for 2020 were:

- 57.8% for public transport (against 57.5% in 2019)
- 38% for private motorised transport: car, motorbike, car-sharing (38.4% in 2019)
- 4.2% for active modes: walking or cycling (4.1% in 2019).

COMMITMENT

Being and remaining
CO₂ neutral



5.3. Offsetting and carbon neutrality

Regardless of our total residual CO₂ emissions, we fully offset them to achieve carbon neutrality. To do so, we finance climate projects certified by Gold Standard, Verified Carbon Standard, Plan Vivo, or the United Nations Framework Convention on Climate Change (UNFCCC).

In 2020, we offset 15,870 tonnes of CO₂ (footprint calculated for 2019) by participating in the financing of three projects:

→ Agroforestry in Zambia (compensation of more than 2,870 tCO₂):

Inappropriate agricultural practices, poverty and a loss of precious forests and ecosystems are threatening Zambia. To make ends meet, farmers often have to rely on illegal poaching practices. This project trains farmers in sustainable methods that safeguard the forest and enhance their families' livelihood. Sustainable agriculture and forest conservation is promoted at a landscape level, while building resilient local communities that are protectors of the land. Through this project, Belfius has helped 206 farmers, protected 1,333 hectares of land and saved 614,784 trees.

→ Water project in Rwanda (compensation of 4,000 tCO₂):

Many in Rwanda do not have easy access to clean water, often collected from polluted sources. In order to make water safe for consumption, it has to be boiled first by using firewood. This process results in deforestation and the release of greenhouse gas emissions. By rehabilitating wells, this project provides safe water and ensures that households consume less firewood. Belfius' contribution has provided more than five million litres of water, helping 2,102 people and preserving 22.4 hectares of forest.

(1) For 2018 and 2019, the number of days are those as recorded by each employee in the telework day accounting system. The reality may differ.

→ **Wind energy in India** (compensation of 9,000 tCO₂):

The Indian power grid is damagingly reliant on fossil fuel-based power plants. The country ranks extremely high on coal dependency, which emits huge amounts of CO₂. As a consequence, the Indian energy sector contributes to pollution and poor air quality. This project builds wind turbines, providing the power grid with clean, renewable energy and stimulates the transition to a low carbon economy. Belfius' contribution represents 9,179 MWh of wind energy and covers the annual consumption of 8,499 households.

For a lasting impact, Belfius' will continue to support these projects to offset our residual emissions from the year 2020 (11,339.6 tonnes of CO₂). In the coming years, Belfius has the ambition to create its own offsetting project in collaboration with a Belgian organisation to offset its CO₂ emissions.

5.4. Green IT

Following our membership of the **Green IT** Belgium Club at the beginning of 2020, Green IT carried out a first analysis of the environmental footprint of our IT systems to find out what they represented in terms of CO₂ emissions, consumption of primary energy, water and abiotic (non-living) resources. Our results were compared with those of 38 other large companies in a variety of sectors. The complete data are currently being validated but, according to primary findings, Belfius is already achieving good results in terms of water consumption and abiotic resources. Several factors contribute to this, such as:

- The exclusive use of recycled paper for printing and the internal recovery of used paper for recycling.
- A relatively low rate of IT equipment (low number of servers per employee, and high IT equipment lifespan).
- The outsourcing of our data centres to specialised companies powered by hydro-electric power - an energy source that consumes little water and generates few greenhouse gases.

The analysis carried out by Green IT in 2020 also led to the decision to establish specific governance to continue reducing the environmental footprint of our IT systems, with a strategy aligned with Belfius' overall ESG strategy. Initial initiatives will focus on more responsible use and purchasing of IT equipment.

From 2021, we will:

- Add social and environmental clauses to calls for tenders for equipment and services.
- Monitor the end-of-life of this equipment - preference will be given to suppliers who give it a second life.
- Raise awareness regarding good practices for more sustainable IT amongst all departments concerned (buyers, building management, IT, CSR, etc.).

Another recent development is that Belfius became a member of the **Belgian Institute for Sustainable IT (ISIT-BE)** since its creation in October 2020. This Belgian "think and do tank" is inspired by the French Institut du Numérique Responsable (INR). At a time of digital transformation, its ambition is to bring together companies, organisations and individuals to help them reduce the environmental and social footprint of their IT systems.

In 2021 Belfius will sign the ISIT-BE charter which commits us to evolve towards a sustainable IT system. It will not only be a question of reducing the environmental impact, but also of developing accessible and inclusive digital services and encouraging the emergence of new behaviours and values thanks to digital technology, while all the while maintaining ethical and responsible digital practices with transparent and measurable technologies and services.

6. Social commitment

6.1. Sustainable community involvement

Belfius has a strong tradition of supporting social projects - social commitment is in our DNA and at the heart of our strategy. Every year, Belfius staff actively support various charities and other initiatives. In line with our strategy, we opt for meaningful Belgian long-term partnerships with organisations that work for those who have been given fewer opportunities in life.

6.1.1. Charitable projects

Red Nose Day

Together with VTM, Qmusic and Het Laatste Nieuws, Belfius has supported Red Nose Day from its inception. In 2020, Red Nose Day once again set out to make all young people in Flanders more mentally, physically and socially resilient. This is more relevant than ever in these times of Covid-19, where young people are going through a testing time. Due to the pandemic, the initiative did not focus on raising money in 2020, but rather on raising awareness. Thanks to this, almost 60,000 young people received online assertiveness training, and the number of OverKop houses (where young people can go for accessible help) increased from five to 16.

Viva for Life

Belfius has been supporting Viva for Life (an initiative run by the Belgian radio and television station RTBF, in partnership with charity Cap 48) since 2014 and has been its main sponsor since 2016. Viva for Life is committed to the fight against child poverty, which affects one in four children in Wallonia and almost one out of every two children in Brussels.

Money raised Red Nose Day

(In EUR)	2018	2019	2020
Proceeds from Red Nose Day	4,269,073	4,315,197	N/A

Money raised Viva for Life

(In EUR)	2018	2019	2020
Amount from Belfius ⁽¹⁾	385,252	461,137	623,345
Total raised ⁽¹⁾ for Viva for Life	4,929,220	5,658,352	7,061,534

(1) The "Amount from Belfius" is the amount raised by Belfius through its various programmes, whereas the total raised represents the proceeds raised for Viva For Life in the whole of Wallonia and Brussels.



All donations and profits from this initiative are managed by Cap 48, which is also responsible for selecting the dozens of supported associations. A total of 136 institutions were supported in 2020 with funds collected in 2019. Despite the fact that the Viva for Life concept was significantly modified by Covid-19, the 2020 edition still managed to raise an impressive EUR 7,061,534, of which EUR 623,345 was contributed by Belfius.

Special Olympics

Through Belfius' partnership with Special Olympics Belgium since 2014, we are supporting those with intellectual disabilities and encourage their integration into Belgian society through sport. Despite Covid-19, the Special Olympics did take place in 2020 and a modified virtual version saw a record participation of 11,000 athletes.

6.1.2. Philanthropy programme

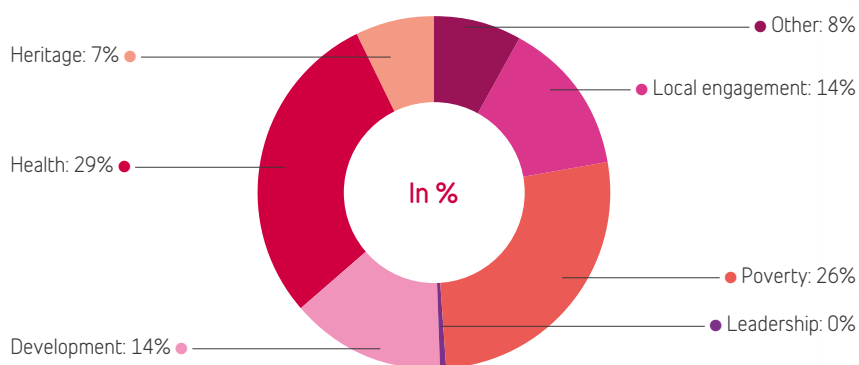
Helping through Wealth offer

With its Philanthropy programme, Belfius offers customers a specific framework for including a charity as a structural element of their wealth management or estate planning. Belfius thus responds to the demand of clients who wish to support certain associations, or combat societal problems in a structured manner. Through this programme, Belfius supports its clients in the creation of their own registered fund within an existing structure, such as a public utility foundation or university.

To date, more than 1,615 funds have been created. In 2020, 197 funds were in operation and more than EUR 4 million were transferred from the estate of Belfius customers to charities.

Themes chosen by clients range from health, poverty and development aid, to local involvement and heritage preservation, to name but a few.

Thematic allocation of philanthropic funds in 2020



Contribution through Funds of the Future

As outlined in section 4.3.1, our Funds of the Future invest in organisations that offer solutions and/or products aimed at tackling social and environmental problems. Belfius adds a further dimension by financially supporting good causes through partnerships with local entities, charities or similar initiatives.

- Via Belfius Equities Cure, Belfius donated EUR 476,182 to the Foundation against Cancer in 2020.
- Via Belfius Equities Climate, Belfius transferred EUR 48,145 in 2020, the equivalent of 13,236 tonnes of CO₂.
- Via Belfius Equities Wo=Men, Belfius gave EUR 97,000 to Boost.
- Via Belfius Equities Be=Long, Belfius donated EUR 121,000 to Tubbe.

COMMITMENT

**Equal opportunities
and social commitment is and
remains our leitmotiv**



6.1.3. Inclusion and equal opportunities

Social products

To help the Belgian government's Social Services organisation (CPAS) in their mission, Belfius has developed a series of specific banking products that facilitate access to basic banking services.

These products are aimed at those who find themselves in a difficult situation and who are unable to enter the banking system on their own. Belfius has integrated these products into the BelfiusWeb electronic banking application used by the CPAS. No other bank in Europe offers a service of this kind. In total, Belfius has delivered around 180,000 social products and 85,000 bank cards. You can find an overview of our social products on our website.

École 19

At the end of 2020, Belfius extended its partnership with École 19 until 2023. École 19 is a highly innovative school where young people aged 18 to 30 can train in computer coding even without a secondary school diploma. In 2020, the school moved from Uccle to the centre of Brussels to be more accessible by public transport. The school also continued its diversification policy to attract a wider female audience and more Dutch-speaking students. In 2020, four students from École 19 followed internships at Belfius and two were subsequently recruited.

6.1.4. Belfius Art Collection

Belfius has been sharing its passion for art with the public for the past decade. Every year, the Belfius Art Gallery on the 32nd floor of the Belfius Tower, our Brussels headquarters, presents a selection of some 60 works of art from our collection, grouped around a given theme. The Belfius Art Collection, which is comprised of 4,300 works, is the largest private collection of Belgian art.

In order to allow as many people as possible to enjoy this artistic heritage, even during Covid-19 times, we organised virtual tours of various exhibitions via our website. In this way, many visitors managed to enjoy a virtual visit to the Belfius Art Gallery in 2020. Our Facebook and Instagram pages also highlight exhibits and give the public a glimpse behind the scenes.

Our support of Belgian art also translates to the loan of works from the collection to museums in Belgium and neighbouring countries and, in 2020 more than ever, to the acquisition of works by young Belgian talent during a difficult year for culture.

COMMITMENT

**Setting an example as
an employer**



6.2. Our employees

Being a relevant and inspiring organisation in Belgian society and taking our responsibilities within our company – all that starts internally. Regardless of age or function, Belfius wants to offer its employees the following:

- Sustainable employment and long-term prospects, thanks to multiple and continuous opportunities for learning and training, active career management and careful support for change.
- A job that holds meaning thanks to a strong purpose and defined values, facilitated by a group of managers who are trained, supported and recognised for this function.

6.2.1 Lifelong learning

At a time when technologies and working methods are changing at high speed, working for a banking and insurance company constantly requires the acquiring of new skills and knowledge, with the current health crisis only further accelerating change.

To guarantee and develop the employability of its employees, Belfius offers staff an extensive training programme via the 'My Development' portal. Since the autumn of 2020, this portal has also provided access to Share&Learn, an internal platform for sharing informative or inspiring content. A few months after its launch, it has already seen the sharing of 450 videos or documents, particularly in the field of distance collaboration and effective homeworking.

Belfius equally supports a range of development initiatives organised by and for employees. In these Train Your Colleagues sessions, employees with specific expertise share with their colleagues. Some examples include digital expertise (Digital Speed Dating) and linguistics (Linguistic Lunches). At times these trainings can go far beyond the hard and soft skills associated with the banking and insurance business. As part of our commitment to society, around ten employees offered to share their experience for the benefit of Viva for Life at the end of 2020 on various sustainable development themes: diversity, circular economy, waste reduction, voluntary work, etc.

6.2.2. A sustainable career policy

The new career policy implemented in 2019 at Belfius Bank is based on two pillars. On the one hand, a reflection tool in the form of a personal online questionnaire, enabling employees to ask themselves the right questions to manage all aspects of their career – on the other, each employee has the opportunity to invite his or her manager to a career interview at least once every 12 to 18 months to discuss his or her plans for the future.

Despite the Covid-19 context, 735 employees indicated that they were ready to have their career interview or had already had it. The initial feedback on the questionnaire was very positive. A more interactive tool is being prepared for the beginning of 2021, in parallel with the redesign of the My Development portal.

6.2.3 Strong focus on wellbeing, especially in pandemic times

A structured approach to wellbeing

Belfius has been following a structured approach to employee well-being for several years. A "wellbeing tool" makes it possible to identify the level of resilience and the risk factors, at both collective and individual level, so that targeted measures can be taken.

At the individual level, employees receive a confidential report with concrete courses of action. They can find support internally from the psycho-social team, but also externally through the Employee Assistance Program (EAP). (See also the HR chapter of this report).

The examination of these collective and anonymised data, but also of the periods of absence and work accidents, which are closely monitored by the Committee for Protection and Prevention at Work (CPPT), also makes it possible to take adjusted measures. In 2020, there were 15 accidents at work and 19 accidents on the way to and from work, resulting in a total of 69 days of absence.

Employee satisfaction and engagement

We measure the satisfaction and commitment of our staff members annually through the engagement barometer. The 2020 results are excellent, despite the Covid-19 crisis. Belfius has achieved high and rising scores, both in terms of staff satisfaction and commitment. At a Group level (Belfius Bank and Belfius Insurance), the survey reveals a level of commitment of 90% (compared to 84% in 2019) and a level of satisfaction of 96% (compared to 91% in 2019).



We aim for an average
employee engagement score
of more than 90%

Maintaining connections during Covid-19

The meaning that everyone finds in work to a large extent also depends on the quality of contacts and collaboration - an aspect that the long period of homeworking that began in March 2020 was in danger of undermining. Thanks to the introduction of an innovative working environment for an optimal work-life balance (BeWoW project) in 2017, homeworking had already become a common practice for the majority of our employees. The constraint of generalised homeworking did not give rise to any major organisational difficulties therefore, however a series of initiatives have nevertheless helped to safeguard individual wellbeing and facilitate collaboration:

- The “how are you doing” survey was organised six times between March and October 2020, with massive participation - 64% of responses on average. The results, systematically shared with social partners and all staff, made it possible to refine the support offered to employees.
- Tips and tricks for homeworking on the Intranet: how to organise your day well, maintain your energy, keep in contact, etc.
- Reorganisation of training courses so that they could take place virtually.
- Yoga, Zumba, body training, mindfulness or laughter yoga via Skype, given by colleagues trained in these fields, to compensate for the inaccessibility of the Brussels headquarters’ sports hall: more than 200 sessions were held between April and December with more than 2,000 participations by 323 different employees.
- But also: virtual visits of the Belfius Art Gallery, virtual applause for the Belfius teams, edited video of the cheers and wishes of employees for their colleagues...

6.2.4 Leadership

Leaders play an essential role in aligning everyone behind the same vision, transmitting meaning and inspiration, accompanying change and bringing values to life within teams. Beyond the training available on MyDevelopment, initiatives are continuing to help team leaders develop their leadership skills and support the agility of their teams.

2020 saw widespread homeworking, so last year managers were offered support that was largely focused on the remote management of their teams, where they received training and specific tools to help optimise remote team collaboration.

Launched in 2018, the LeaderShift project ended in early 2020. A total of 600 leaders assembled into small groups and experienced an immersive 5-day experience alternating company visits, conferences, intensive training sessions, exchanges and networking. The objective was to integrate the mindset, tools and behaviours necessary to accompany and anticipate the many challenges and changes that still await Belfius.

6.2.5 Sustainability-linked criteria in management remuneration

Belfius also encourages the sustainable orientation of managers through their variable remuneration. One third of their variable remuneration depends on qualitative objectives related to Belfius’ social responsibility: a customer satisfaction rating of more than 95%, proven leadership skills and a high level of employee commitment. From 2021 onwards, new ESG criteria will be added to these objectives in order to provide even greater support for ESG considerations in management decisions.

6.2.6 Levering cultural change

Our role as a socially responsible banking and insurance employer requires a fair, authentic, customer-oriented and entrepreneurial attitude: FACE, the four Belfius values (see 2.1). Following the launch of these values in 2019, we are currently thinking about how to render them as concrete as possible in everything we do at Belfius by making them part of our culture. Various workshops organised in 2020 have led us to identify two levers for cultural change which will be implemented in 2021.

6.2.7 An active diversity policy

Supporting equal opportunities in Belgian society starts with a HR policy that is favourable in terms of diversity. The more inclusive our policy, the more our organisation reflects the reality of an increasingly diverse society and the better it will be able to meet

expectations in terms of products and services. Since 2015, a Diversity Manager and a Diversity Steering group have been specifically responsible for this.

Gender diversity

Belfius Group is gradually establishing a better gender balance at all levels of the organisation. Today, women represent 35.4% of management and 33.8% of senior management (compared to 32.2% and 33.1% respectively for the previous year). Our target is 44% overall by 2025.

We continue to take an active part in the 'Women in Finance' initiative to improve gender balance in the financial sector. By signing the Financial Sector Diversity Charter in 2019, we are committed to pursuing a set of diversity objectives, making them public and reporting on them annually. The results are published on the Department of Finance website.

For Belfius, equal pay for men and women is also a matter of course. Today, Belfius' remuneration policy is gender neutral and non-discriminatory. An analysis to measure a possible gender pay gap is carried out every two years and is presented to the social partners (Works Council). This will be the case in 2021.

In addition, we are planning the following:

- A revision of the remuneration policy is planned for Q3 2021. A paragraph on equal pay and opportunities for men and women will be included. This will further reinforce the importance Belfius gives to this issue.
- At the beginning of the annual appraisal process: specific guidelines on gender equality will be communicated to team leaders when determining salary increases and variable remuneration.
- For Senior Management (DC, SE & KE): The Remuneration Committee (Board level) will ensure that the amounts awarded are not discriminatory in terms of gender.

In 2020, of the 799 men and 684 women who were entitled to take parental leave or "Covid-19" parental leave, 122 men and 188 women actually took it (compared to 84 and 116 respectively in 2019). Of the 310 people who took parental leave in 2020, only 3 are no longer working at Belfius.

- The rate of return to work follows the extent to which parents actually return to work after parental leave. In 2020, it is 99.03%.
- The retention rate after 12 months for parents who took parental leave in 2019 is 100%.

Generational diversity

Various initiatives are in place to encourage cross-functional collaboration so as to allow younger employees to unfurl their full potential.

- The two-day **Bridge Builders** seminar aims to discover another working environment, develop one's network and, above all, to build bridges. This is done both between generations so as to enable young and more experienced employees to work together on specific topics, and also between Belfius and the outside world by collaborating with establishments in the social sector in Brussels. Only one of the two annual editions could take place in its usual form in 2020. The second was held virtually and was a great success according to the 40 or so participants.
- The **Belfius Young Community (BYC)** brings together employees under the age of 36 to support them in the early years of their careers. Through its activities, it contributes to broadening the role of young employees so that they can leave their mark on Belfius' corporate culture. In addition to fun, networking and civic commitment, the BYC also contributes to innovation by regularly presenting the results of its work to Management. Every year, it also organises a meeting with the members of the Executive Committee of Belfius Bank and Insurance.



By 2025, women
will represent at least **44%**
at all levels of the organisation

Diverse profiles

We are convinced that teams made up of employees with different personalities, talents and backgrounds are more successful. Innovation, accelerated by changes in technology and behaviour, requires broad skillsets.

For further details on recruited profiles and HR topics, please consult the Human Resources chapter.

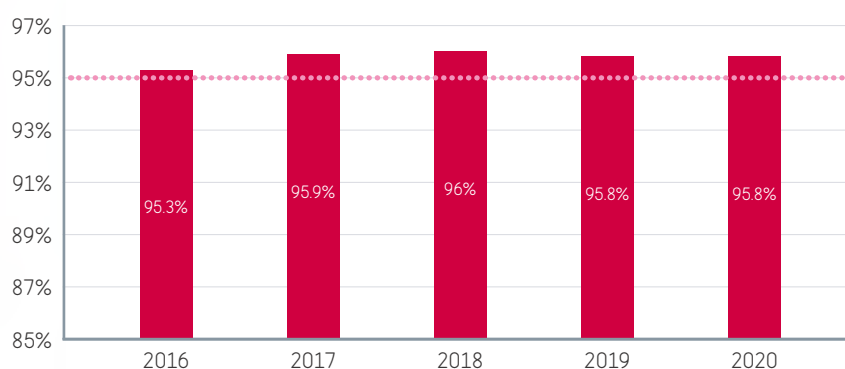
6.3. The customer at the heart of our strategy

Our social commitment is part of our raison d'être: Meaningful & Inspiring for Belgian Society. Together. As mentioned above, four values help us make this a reality on a daily basis: authenticity, fairness, entrepreneurial spirit and, last but not least, customer orientation. Establishing a lasting relationship with our clients, taking their opinions into account and satisfying their demands, is just as important as optimising our operational services or financial performance.

6.3.1 More than 95% of customers satisfied for over five years

Belfius Bank attaches great importance to customer satisfaction, which it measures regularly. In 2020 we sent a satisfaction survey to 512,391 retail customers (RCB). 70,653 participated in the survey and gave Belfius an average score of 95.7%, confirming an increase in satisfaction for the second consecutive year. On the Public, Social & Corporate (PCB) side, 597 customers responded out of 5,404 invited to participate and gave an overall score of 95.9%. Overall, Belfius Bank obtained a satisfaction score of 95.8%⁽¹⁾ for 2020. This is the fifth consecutive year that Belfius Bank has exceeded its target of 95% satisfied customers.

Change in Customer Satisfaction: Belfius Bank Overall



6.3.2 Beyond expectations

In addition to providing quality products and services as our core business, we continue to develop 'beyond banking' solutions in areas where our expertise enables us to offer innovative solutions. More information on this can be found in section 4.5. Over the years, a true digital ecosystem has been taking shape, contributing to creating a sustainable relationship with our customers through quality life-easing products and services with a focus on the home, mobility and telecoms. Our multifunctional Belfius Pop-Up app now offers eight different services that facilitate the use of alternative means of transport, allow customers to manage their pension savings, or buy service vouchers directly through the app.

Out of these eight services, three new ones were launched in 2020:

- Direct access to Monizze meal vouchers, eco-vouchers and gift vouchers
- Facilitating parking in the city with 4411 (Be-Mobile)
- Carrying out property searches or selling property on Immovlan.

(1) The weighting is 2/3 for RCB and 1/3 for PCB.

More than 215,000 customers have subscribed to at least one of these services, and over 60,000 of these customers use at least one of them on a regular basis. Of these customers, more than 90% find our proposal very interesting and more than 80% would recommend these services. In 2020, Belfius Pop-Up counted more than 440,000 transactions, despite the slowdown linked to Covid-19.

New partnerships are constantly contributing to the expansion of our service offering, going beyond customer expectations. In 2020 we formed three additional strategic partnerships with:

- **Skipr**, with its innovative 'mobility as a service' (MaaS) solution for companies wishing to facilitate multimodal mobility
- **Proximus**, with whom we are developing a joint offer, including a neobank that will be launched in 2021 under the name Banx
- **Immovlan**, complementing our expertise in supporting our clients at every stage of their real estate project.

6.3.3 Data privacy

As it is stated in one of our 10 commitments, Belfius will never sell the personal data of its customers to third parties and will always work on an explicit consent-based approach if data were needed to be exchanged to better serve its customers.

Data confidentiality

At Belfius, respect for privacy and the protection of personal data are fundamental commitments. They are set out in [Belfius' Privacy Policy](#) and are reflected internally in a regularly updated privacy policy and associated guidelines.

Each new customer approach - whether it involves offering products, services, digital tools or information - is subject to a prior GDPR analysis (General Data Protection Regulations, 2018).

Different actors work together to ensure that our processes are compliant with GDPR: The Data Protection Officer (DPO), the Chief Information Security Officer (CISO), the Digital Security Officer (DSO), the Non-Financial Risk Department (NFR), the Legal Department and the Compliance Department. In addition, there is a network of Privacy Correspondents in each department to support and advise employees in matters relating to GDPR.

Employees are also made aware of the issue of privacy protection through mandatory e-learning sessions (followed by 94.22% of employees at the end of 2020) and through regular communication via channels such as a detailed file on the Intranet and regular messages addressed to either all employees, or to more focused groups within the context of specific projects.

GDPR rights and data breaches

The GDPR guarantees customers a series of rights, including access to their personal data. Our digital channels make it easy for them to exercise these rights, as shown by the 13,285 requests for access by customers in 2020. In each case, we provided a response within the legal deadline of one month. 98.8% of the requests (13,126) concerned the right of access to personal data and more than 99.5% of these passed through our digital channels and were processed the next working day. The results confirm that Belfius can offer its customers full transparency on personal stored data.

The governance and handling of data breaches is described in a separate privacy guideline. No significant data breaches were identified in 2020. Only eight minor incidents were reported to the Data Protection Authority (DPA), compared to three in 2019. In each case we provided a prompt response and appropriate action was taken.

COMMITMENT

Privacy and data protection
of our customers is
paramount



6.3.4 Information security

The digitalisation of the banking landscape goes hand in hand with ever-evolving cyber-risks. For Belfius, the protection of information is essential, especially that of its customers. We want to guarantee high performance in terms of IT security so that our customers can completely trust us in this respect.

In 2019, the European Directive PSD2 ("Payment Services Directive") considerably expanded the possibilities for consumers and banking as well as non-banking institutions, in the field of online and mobile payments. Various techniques exist in the market to allow third parties to access account information and thus enable payment instructions from interfaces of third party payment providers. Reverse engineering is one of these techniques, which entails significant cybersecurity, fraud & data protection risks. For this reason, Belfius remains on its initial stance to block all access through the use of reverse engineering techniques.

In order to guarantee information security within Belfius, the Information Security Steering (ISS), managed by the Chief Information Security Officer (CISO) and chaired by the Chief Risk Officer, ensures a well-managed and coordinated information security strategy, whereby an adequate system of prevention, detection, protection and reaction is put in place in accordance with regulatory requirements for information security. Major security projects are foreseen in a two-year security roadmap.

Mandatory cybersecurity training has been completed by 100% of Belfius employees and security audits take place every two years to assess the maturity of security processes and controls.

For more details on the cybersecurity and data protection policy, please refer to the 2020 Belfius Risk Report.

6.3.5 Respecting codes of conduct

In addition to its internal policies, Belfius adheres to codes of conduct issued by various organisations such as:

- **Febelfin**: by adhering to the code of conduct of the Belgian financial sector federation, Belfius undertakes to remain true to the values of the sector in its daily interactions with customers.
- **BeCommerce**: the code of conduct of the federation of Belgian companies active in e-commerce aims to enable consumers to make online purchases reliably and securely.
- **Assuralia**: Belfius Insurance adheres to the proposed code of conduct of the federation of insurance companies for rapid, high-quality claims handling.

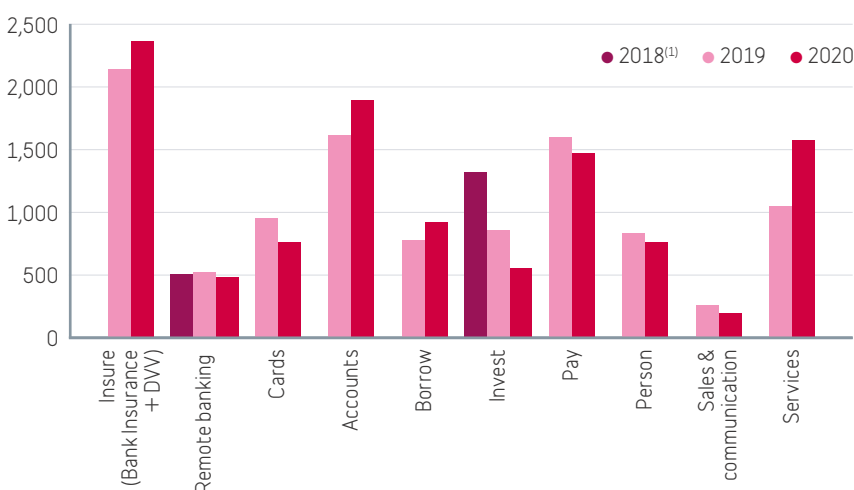
6.3.6 Listening to our customers: complaint management

Belfius pays close attention to the complaints it receives. It analyses each case and provides a solution in conjunction with the Bank's various entities. This treatment is carried out according to a step-by-step protocol that guarantees impartiality.

Complaints by customer segment

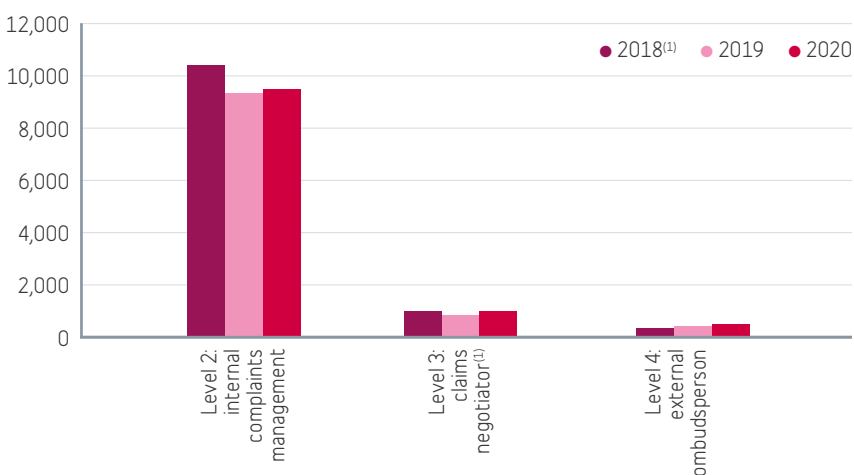
On the **Retail & Commercial Banking** (RCB) side, the 10,980 complaints handled in 2020 represent an increase of 4% compared to 2019. Our complaints management teams have been operating at 100% capacity to respond quickly to complaints, particularly those related to the current health situation.

Closed complaints by topics (RCB)



(1) Figures for 2018 are not available due to a change in domain names since 2019.

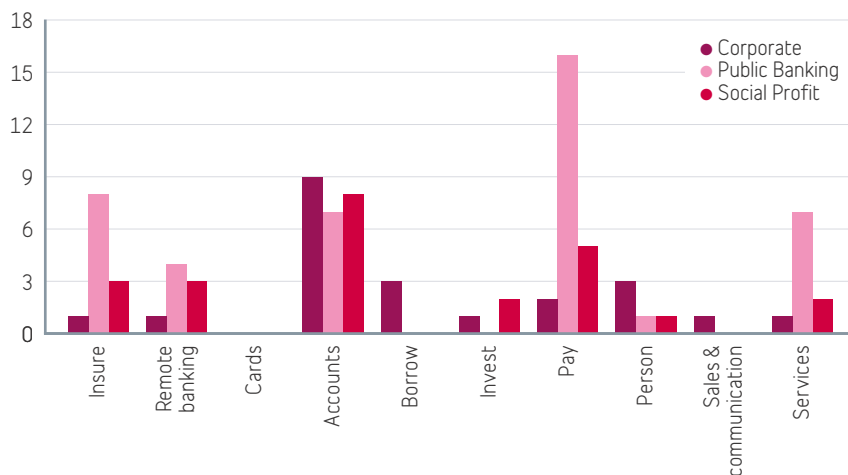
Closed complaints according to level of management (RCB)



(1) Level 3 - Negotiator Complaints no longer applies to DVV Insurance since 2019. The figures for 2018 have been adjusted to allow a correct comparison.

For **public, social and corporate** (PCB) clients, the number of complaints remained stable, rising from 86 in 2019 to 89 in 2020. Almost half of the complaints (48%) came from the public sector. The rest came from social profit (27%) and corporate (25%) customers.

Closed complaints by topics (PCB)



The impact of the 2020 health crisis

6.8% of the complaints registered in 2020 (754 in total) were specifically related to the current health situation. In addition to these complaints specifically stamped as Covid-19 related, complaints related to service in branches increased by 77% in the second half of 2020, compared with the same period in 2019. They mainly concerned the partial closure of branches, which were forced to operate by appointment only, as well as health security measures on the premises. Most of the other complaints concerned requests for a moratorium on business loans (47 complaints) or housing loans (52 complaints).

Complaints related to fraud increased by 68%, most probably as a result of the health crisis and the consequent increase in distance purchasing.

Discrimination and privacy complaints

The number of complaints relating to these two fundamental aspects is increasing, but its proportion relative to the total number of complaints remains limited.

With regards to the 67 complaints in 2020 relating to discrimination:

- 31 cases concerned access to basic banking services. In order to strike the right balance between the right to basic banking services and regulatory obligations relative to customer identity (Know Your Customer), the bank undertook various interactions with Fedasil and the Red Cross in 2020. It paid particular attention to complaints concerning unaccompanied minors under guardianship.
- The other 36 complaints mainly concerned the termination of the Comfort Banking telephone service (that could be useful for the visually impaired, the elderly and those unable to use a PC or who are in a situation of reduced mobility), a problem with special card readers for the visually impaired, and poor reception that was equated with racism.

150 of the complaints dealt with in 2020 concerned privacy, compared to 176 in 2019. The majority of them (106) concerned GDPR legislation. The others mainly concerned identity theft, or poorly addressed but unopened mail (thus representing no violation of private data). 120 of the complaints related to other areas can also be linked to GDPR issues and often concerned access to personal data by an unauthorised third party following a change of address, deletion of a power of attorney, etc.

6.4 Dialogue with our stakeholders

Finally, we believe that the role we want to play in society can only be fulfilled in a meaningful way through constructive dialogue with all of our stakeholders. By regularly contacting different stakeholder groups, we can gauge their main concerns and expectations with regards to Belfius. In this way we keep our finger on the pulse, become aware of stakeholders' current issues and happenings, and allow ourselves to be inspired by them. They in turn have the opportunity to influence our policy choices and gain greater knowledge regarding how Belfius works.

This interaction helps to determine our choices, choices that we believe will have a positive impact on major societal challenges, ultimately for the benefit of all.

The table below gives a concise overview of our most important stakeholders, the way in which we enter into dialogue with them today and the most important topics of conversation.

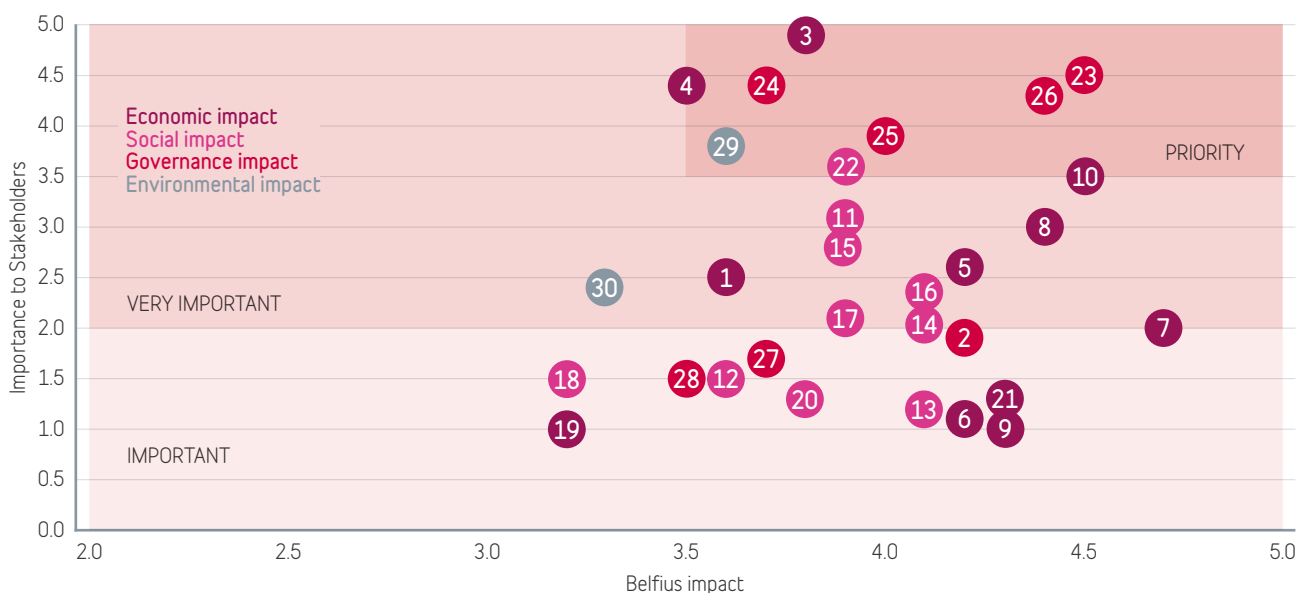
Stakeholder	How do we enter into dialogue?	Main topics of conversation
Customers	- Besides the digital channels (websites, mobile app) and Belfius Connect (a direct advice channel that can also be reached after working hours and on Saturdays) the main channel for maintaining contact with customers remains the physical channel (bank and insurance offices), where our bankers and advisors provide customers with all the necessary service - Through an ongoing series of customer satisfaction surveys - Through an ongoing management process of suggestions and complaints	- Suggestions and complaints from customers - Sustainable responsible investing - Product transparency - Access to financial services
Employees	- Through a permanent feedback culture in which employees and managers are encouraged to continuously give each other open and constructive feedback, under the motto "In control of your own career" - Through a career discussion between employee and manager, at least once every 12 to 18 months - Via live information sessions and webinars given by top and senior management, with Q&A - Through a "how are you doing" survey, organised six times between March and October 2020, gauging the well-being of employees during mandatory homeworking due to Covid-19-measures - Through the annual engagement barometer, a survey that invites employees to make their voices heard on the internal operation of the company - Via representation in social bodies and a network of union representatives - Via a network for psychosocial help from persons of trust and the prevention adviser	- Fair and competitive remuneration - Coaching and career guidance - Training and education - Pleasant and healthy working conditions: new way of organising work to create a more current and open corporate culture - Physical and mental health of employees - Transparency about strategy, policy and results
Social and civil society organisations, NGOs	Via dialogue with various organisations and NGOs and cooperation with their surveys and assessments	- Communication about corporate social responsibility, aims and commitment of Belfius - Belfius' investment policies
Shareholder	Via periodic consultation and operational contacts with the Federal Holding and Investment Company (FPIM)	- Transparency about the company's performance and results - Risk management - Ad hoc information for answering external questions provided quickly and properly
Sector federations, employer organisations and unions	- Via membership and representation in the financial management of financial and economic federations (Febelfin, Assuralia, BVK, BLV, BVB, BEAMA), employer organisations, cooperation platforms for innovation, technology and sustainable development (The Shift) - Via social bodies and the subcommittees linked to them	- Sharing knowledge with sector federations - Putting social responsibility into practice - New way of organising work to create a more current and open organisation
Governments and regulators	- Via collaboration in ministerial consultation initiatives on a federal and regional level - Via a systematic follow-up of regulatory initiatives that have an impact on the financial sector and by responding to public consultations - Via periodic consultation with the regulators and particularly with the NBB, the FSMA and the ECB	- Compliance with regulations and statutory obligations - Proper financial reporting - Exclusion criteria in granting loans - Green procurement policy
Ratings agencies, sustainability experts, analysts, (financial) press	- Via press conferences regarding the bank's results, with associated investor calls - By actively engaging with rating agencies, entering into a constructive dialogue on periodical ESG reviews and providing detailed feedback - Day-to-day questions and answers via the bank's press spokesperson	Transparency about how the business is conducted, proper financial and non-financial communication

6.5 Materiality analysis

Belfius conducted a materiality analysis in 2017 to determine which topics should be considered as “material” (i.e. most relevant) for Belfius when designing its sustainability policy. The results are presented in a materiality matrix to highlight the topics which need to be focused on.

The subjects (‘indicators’) which came out of the analysis as ‘priority’ or ‘very important’ appear in the first quadrant (top right). These topics, along with those having a strategic impact on Belfius, were incorporated to a maximum extent in ESG risk management and in Belfius’s sustainability policy.

Materiality Matrix



Results of the materiality analysis

PRIORITY

- 3 Products and services with environmental and social benefits
- 23 Ethics, compliance and honest banking
- 4 Sustainable and responsible investing and lending
- 26 Fighting corruption and fraud
- 29 Restricting the indirect impact on ten environment and climate (Impact on the environment and climate caused by products and services)
- 25 Fiscal transparency
- 24 Transparent remuneration and compensation policy
- 22 Financial inclusion, access to financial services for everyone
- 10 Long-term financial stability
- 2 Information and IT platform security
- 6 Digitalisation and innovation of products and services
- 7 Customer satisfaction, service quality
- 9 Reinvesting savings in the local economy
- 13 Employee health, safety and wellbeing at work

IMPORTANT

- 12 Social dialogue and stakeholder relations
- 18 Financial literacy
- 19 Corporate philanthropy
- 21 Respect for human rights in the workplace and in business relations
- 27 Green procurement policy
- 28 Joining the public debate about responsible banking
- 20 Social commitment

VERY IMPORTANT

- 1 Comprehensive risk management including environmental and social risks
- 8 Transparency to customers: clear and correct communication about products and services
- 5 Protecting customer privacy and data
- 11 Employment conditions and social protection
- 14 Talent development and training
- 15 Policy on diversity and equal opportunities
- 16 Attracting and retaining talent
- 17 Employee involvement and commitment
- 30 Restricting the company’s direct impact on the environment



Human resources

Belfius attaches great importance to its talents; this human capital plays a key role in the company's success. Human resources policies help to position Belfius as a highly customer-oriented organisation that is adapted to a constantly changing environment.

Belfius presented its 2025 strategy "Meaningful & Inspiring for Belgian Society. Together" at the beginning of February 2020 to all its staff members, who gave it a very warm welcome. Shortly afterwards, the Covid-19 crisis set in, significantly changing our way of working. Through our actions aimed at helping our customers to cope with the crisis, while preserving the wellbeing of our staff members and the health of Belfius, we have already given substance to this strategy. This accelerated implementation has brought meaning and confidence to our staff members.

From the outset, we decided to tackle the crisis over the long term, with strength and determination, without any stop and go, and by choosing to telework over the long term for those functions which allowed it. This strong guideline, with the wellbeing of staff members at its heart, was highly appreciated.

Although teleworking had already become the norm for the majority of our staff members, it quickly became clear to us that, with its widespread use, it would be essential to provide adequate support to both individuals and teams, both in terms of healthy collaboration and individual wellbeing. This is what we set out to do.

After the crisis communications of the first few days, we put in place a series of initiatives, all of which are grouped together in a specific folder on InSite #TogetherAgainstCovid:

- a Pulse survey, organised on a regular basis, which takes the pulse of the teams by asking a simple question: "How are you doing?", and supplemented by a second question, which is different for each edition. The particularly high participation rates are a sign of the interest in the survey and the need for our colleagues to express themselves;
- advice on teleworking: how to organise your day, maintain your energy, keep in touch and so on: a specific section to inspire staff members;
- online learning sessions organised by our team of trainers;
- online sports and relaxation activities.

1. Continuing the implementation of the new corporate culture

The four Belfius values provide the framework within which our new corporate culture is promoted, day after day. These four values are:

- **customer orientation**: the satisfaction of our customers is and will remain the benchmark and ambition that governs everything we do;
- **authenticity**: we respect each person's individuality and find differences enriching. Everyone is at their best if they can be themselves;
- **fairness**: we seek to balance the interests of all our stakeholders: our aim is to create long-term value for our customers and our company, as well as for the community and the environment;
- **entrepreneurial spirit**: we dare to take new paths and to push the limits. We also have a flair for opportunity, which we aim to deliver with passion, determination and integrity.

1. Continuing the implementation of the new corporate culture.
2. Our staff members: the backbone of our company.
3. Investing in our talents.
4. Continuing to invest in wellbeing.
5. Aiming for authenticity and diversity.

2. Our employees: the backbone of the organisation

Our strategy is a response to the challenges which Belfius – and by extension the entire banking sector – is facing today. Within this framework, Belfius has chosen to support the “employability” of each of its staff members as much as possible. Together, we have the strength to face the challenges of tomorrow.

2.1 Key figures

In 2020, Belfius employed 6,474 members of staff (3,125 women and 3,349 men), of whom 98.5% had permanent contracts. In 84.5% of cases, these were staff members working full-time, which is virtually identical to the situation in previous years (2019: 84.6%, 2018: 84.4%).

The age pyramid shows the distribution of the number of staff members by age group. These figures show that ageing is not only one of the major challenges of the near future (more than 45% of staff members are aged 50 or over), but also offers opportunities in terms of the “employability” of younger staff members, who can continue to develop within the organisation as a result.

Movements in the number of active employees in the consolidated Belfius group (headcount)⁽¹⁾

Type of contract	2019			2020		
	Male	Female	Total	Male	Female	Total
Permanent contract	3,275	3,080	6,355	3,294	3,080	6,374
Fixed-term contract	96	74	170	55	45	100
TOTAL	3,371	3,154	6,525	3,349	3,125	6,474

(1) All of the figures relating to staff are for the “active” headcount (unless stated otherwise), i.e. excluding employees taking early retirement, on long-term sick leave, full-time time credits, on secondment.

Movements in the number of active employees working full-time / part-time in the consolidated Belfius group (headcount)⁽¹⁾

Work regime	2019			2020		
	Male	Female	Total	Male	Female	Total
Full-time	3,259	2,261	5,520	3,228	2,244	5,472
Part-time	112	893	1,005	121	881	1,002
TOTAL	3,371	3,154	6,525	3,349	3,125	6,474

Movements in the number of active employees per age category in the consolidated Belfius group Belfius (headcount)⁽¹⁾

Age category	2019			2020		
	Male	Female	Total	Male	Female	Total
20y-29y	255	241	496	252	246	498
30y-39y	502	511	1,013	523	496	1,019
40y-49y	941	1,031	1,972	876	984	1,860
50y-59y	1,370	1,243	2,613	1,322	1,243	2,565
60+	303	128	431	376	156	532
TOTAL	3,371	3,154	6,525	3,349	3,125	6,474

(1) All of the figures relating to staff are for the "active" headcount (unless stated otherwise), i.e. excluding employees taking early retirement, on long-term sick leave, full-time time credits, on secondment.

2.2. Employee satisfaction and engagement

We measure the satisfaction and commitment of our staff members annually through our engagement survey. The 2020 results were excellent, despite the Covid-19 crisis. Belfius achieved high and rising scores, both in terms of staff satisfaction and commitment. At a Group level (Belfius Bank and Belfius Insurance), the survey revealed a commitment level of 90% (compared with 84% in 2019) and a level of satisfaction of 96% (compared with 91% in 2019).

"Satisfaction indicator" scores from the Engagement Survey (Belfius Bank and Belfius Insurance)

	2019	2020
Belfius Bank	92.2%	96.7%
Belfius Insurance	86.6%	95.5%

"Engagement Indicator" scores from the Engagement Survey (Belfius Bank and Belfius Insurance)⁽¹⁾

	2019	2020
Belfius Bank	84.8%	90.9%
Belfius Insurance	78.7%	88.8%

(1) All of the figures relating to staff are for the "active" headcount (unless stated otherwise), i.e. excluding employees taking early retirement, on long-term sick leave, full-time time credits, on secondment.

2.3. Staff intake

To be able to face the challenges of the future, Belfius is convinced that it is necessary to invest today in tomorrow's solutions. For Belfius, as for many other companies, the natural turnover of personnel and the need to recruit new profiles is a major challenge. Belfius is constantly on the lookout for new talent, and above all for an extremely wide range of profiles.

In 2020, 648 internal and external vacancies for permanent positions were published for Belfius Bank and Belfius Insurance. Among the levers for attracting new talent, Belfius welcomed 55 trainees. In addition, the number of new staff members (on open-ended contracts) fell slightly: 269 in 2020, compared with 281 in 2019.

Each year Belfius recruits around twenty Young Professionals. These are young people who have just graduated or who already have limited working experience. Throughout the Belfius organisation, these young staff members work on strategic projects in different departments for four six-month periods.

Movements in the number of "arrivals" per age group in the consolidated Belfius group, excl. transfers between entities⁽¹⁾

Year	Age group	Male	Female	Total
2019	20-29	57	53	110
	30-39	55	35	90
	40-49	29	30	59
	50-59	14	8	22
TOTAL 2019		155	126	281
2020	20-29	60	51	111
	30-39	49	36	85
	40-49	41	17	58
	50-59	9	6	15
TOTAL 2020		159	110	269

(1) All of the figures relating to staff are for the "active" headcount (unless stated otherwise), i.e. excluding employees taking early retirement, on long-term sick leave, full-time time credits, on secondment.

Number of internal and external vacancies at Belfius Bank and Belfius Insurance, excl. temporary vacancies

	2019	2020
# vacancies	786	648

Number of work experience trainees at Belfius Bank and Belfius Insurance (from school)

	2019	2020
Male	44	30
Female	27	25
GRAND TOTAL	71	55

“ ”

Through our actions to help our customers face the crisis while preserving the well-being of our staff members and the health of Belfius, we have already given substance to our Inspire 2025 strategy.

Camille Gillon
Chief Human Resources Officer
Associate Member of the Management Board



2.4 Staff departures

In absolute figures, the number of departures decreased last year. The majority of these were staff members in the 60+ age group, who were retiring. They account for 84 of the 256 departures, or 32.8% of the total.

At the end of 2020, the 50+ age group represented 47.8% of the active population at a Group level (Belfius Bank and Belfius Insurance). In the future, continuing to invest in new and young talent will more than ever be a cornerstone of our HR strategy.

In 2020, there was a natural attrition at Belfius Bank and Belfius Insurance of 3.10% and 6.36% respectively. Compared with 2019, this percentage was relatively stable at Belfius Bank (3.04% in 2019) and lower at Belfius Insurance (7.70% in 2019).

Movements in the number of “departures” per age group in the consolidated Belfius group, excl. transfers between entities⁽¹⁾

Year	Age group	Male	Female	Total
2019	20-29	26	22	48
	30-39	44	29	73
	40-49	21	15	36
	50-59	26	28	54
	60 and +	44	14	58
TOTAL 2019		161	108	269
2020	20-29	18	15	33
	30-39	23	23	46
	40-49	32	20	52
	50-59	23	18	41
	60 and +	53	31	84
TOTAL 2020		149	107	256

Movements in churn in Belfius Bank en Belfius Insurance, i.e. number of departures in year N / [(# headcounts at 31/12 for year N-1 + # headcounts at 31/12 for year N) / 2]⁽¹⁾

	2019	2020
Belfius Bank	3.04%	3.10%
Belfius Insurance	7.70%	6.36%

(1) All of the figures relating to staff are for the “active” headcount (unless stated otherwise), i.e. excluding employees taking early retirement, on long-term sick leave, full-time time credits, on secondment.

2.5 Internal Mobility

Changes in our environment, such as new technologies, digitisation, early retirement, and so on require our staff members to be flexible. People no longer embark on a “job for life” and having the ability to reinvent and reorient oneself has become the basis for a sustainable career. One of the ways to achieve this is to move to another role/ function within the company. As an employer, Belfius offers a wide range of functions, both in the central and regional departments, and offers a wide variety of job opportunities to potential candidates. In 2020, 238 staff members changed jobs within the company (compared with 295 in 2019 and 251 in 2018).

3. Investing in our talents

In an environment that is changing more and more rapidly, continuing education or “lifelong learning” plays an essential role and cannot be stressed enough. Belfius is convinced that it is the best guarantee for a staff member to stay one step ahead of the latest developments (new technologies, new jobs/roles and so on). Consequently, Belfius provides its staff members with the means they need to continue investing in their personal development and, by doing so, gives them the opportunity to adapt to the changing needs of the business and its customers.

Following the lockdown, new ways of working have become necessary. Teleworking has been generalised, digital transformation has accelerated and various processes have been reviewed. From March onwards, the HR teams concerned mobilised to continue offering quality training and learning in new digital or distance formats. The training offering was also supplemented by the introduction of new programmes to support both managers and all staff members during this particular period.

To guarantee and develop the employability of its employees, Belfius offers them a broad training program through the “My Development” portal. Since autumn 2020, this portal also provides access to Share&Learn, an internal platform for sharing informative or inspiring content. A few months after its launch, it already has 450 videos or documents, particularly in the field of remote collaboration and efficient teleworking.

The support offered to managers has largely focused on the remote management of their teams. From the beginning of widespread homeworking, leaders have received specific training and tools to optimize remote team collaboration.

In 2020, Belfius Bank recorded an average of 5.98 days of training per full-time equivalent, and Belfius Insurance 7.01 days. At Belfius Bank, the evolution is linked to the decrease in conventional training (explained by the context of Covid-19). The changes observed at Belfius Insurance can be explained by a significant increase in on-the-job training.

4. Continuing to invest in wellbeing

As a modern and attractive employer, Belfius has invested a great deal in recent years in innovative working conditions for its staff members.

Throughout the long period of teleworking, which began in March 2020 following the start of the Covid-19 crisis, the health and safety of all staff members remained the priority.

In addition to all the necessary preventive measures, a number of initiatives were also put in place to contribute to and preserve the wellbeing of everyone. Of the various initiatives introduced,, we would like to highlight the following:

- the organisation of the “How are you doing?” survey, six times between March and October 2020;
- the systematic sharing of results with social partners and all staff members, which enabled us to refine our actions where necessary;
- the daily monitoring of absenteeism, and
- the individual follow-up of each staff member who was infected or in direct contact with a person infected by Covid-19.

4.1. A structured approach to wellbeing

Beyond preventative services for health and wellbeing at work or the psychosocial unit, Belfius has adopted a structured approach to wellbeing for its staff members. This initiative has two components:

- a “wellbeing tool”, which each staff member can use at specific times. On the basis of a detailed questionnaire (focused on the staff member’s work and personal situation), this tool proactively identifies the “risks to wellbeing” through a personal report. It also provides practical advice and assistance in taking action, as well as an individual barometer measuring professional and personal endurance;
- the Employee Assistance Programme (EAP). Thanks to this programme, staff members can have a “coach” at their disposal at any time, completely anonymously if they wish. This means that staff members in difficulty (for business or personal reasons) can receive proactive support.

4.2. Absenteeism

Over the years, absenteeism at Belfius has remained relatively stable. The decrease in the absenteeism rate observed in 2020 is explained by the generalisation of teleworking as part of the management of the Covid-19 crisis.

For Belfius Bank, the absenteeism rate was 3.76% in 2020 compared with 4.49% in 2019 and 4.12% in 2018. For Belfius Insurance, the absenteeism rate was 4.98% in 2020 against 5.67% in 2019 and 5.76% in 2018.

5. Aiming for authenticity and diversity

The Belfius diversity policy aims to offer every staff member the opportunity to grow and develop his or her talents and is based on three cornerstones: gender, generations and personality type.

5.1. Gender

As far as gender is concerned, Belfius has set itself the goal of achieving a better gender balance within the organisation. For the boards of directors, this balance is regulated by law⁽¹⁾, but Belfius would like to extend it to all layers of the organisation. To that end, Diversity Steering was created, and is responsible for monitoring and implementing this ambition in practice.

In 2020, the percentage of women in management positions reached 35.4% (against 32.2% in 2019). This trend was also reflected among Senior Managers, where women represented 33.8% of the total at the end of 2020 (against 33.1% in 2019). We can be proud of this positive evolution, but Belfius intends to set the bar even higher and aims to achieve a percentage of women at all levels of the organisation of at least 44% by the end of 2025.

Gender breakdown among members of the Board of Directors of Belfius Bank

2019			2020		
# directors	of whom women	% female	# directors	of whom women	% female
15	5	33%	16	6	38%

5.2. Generations

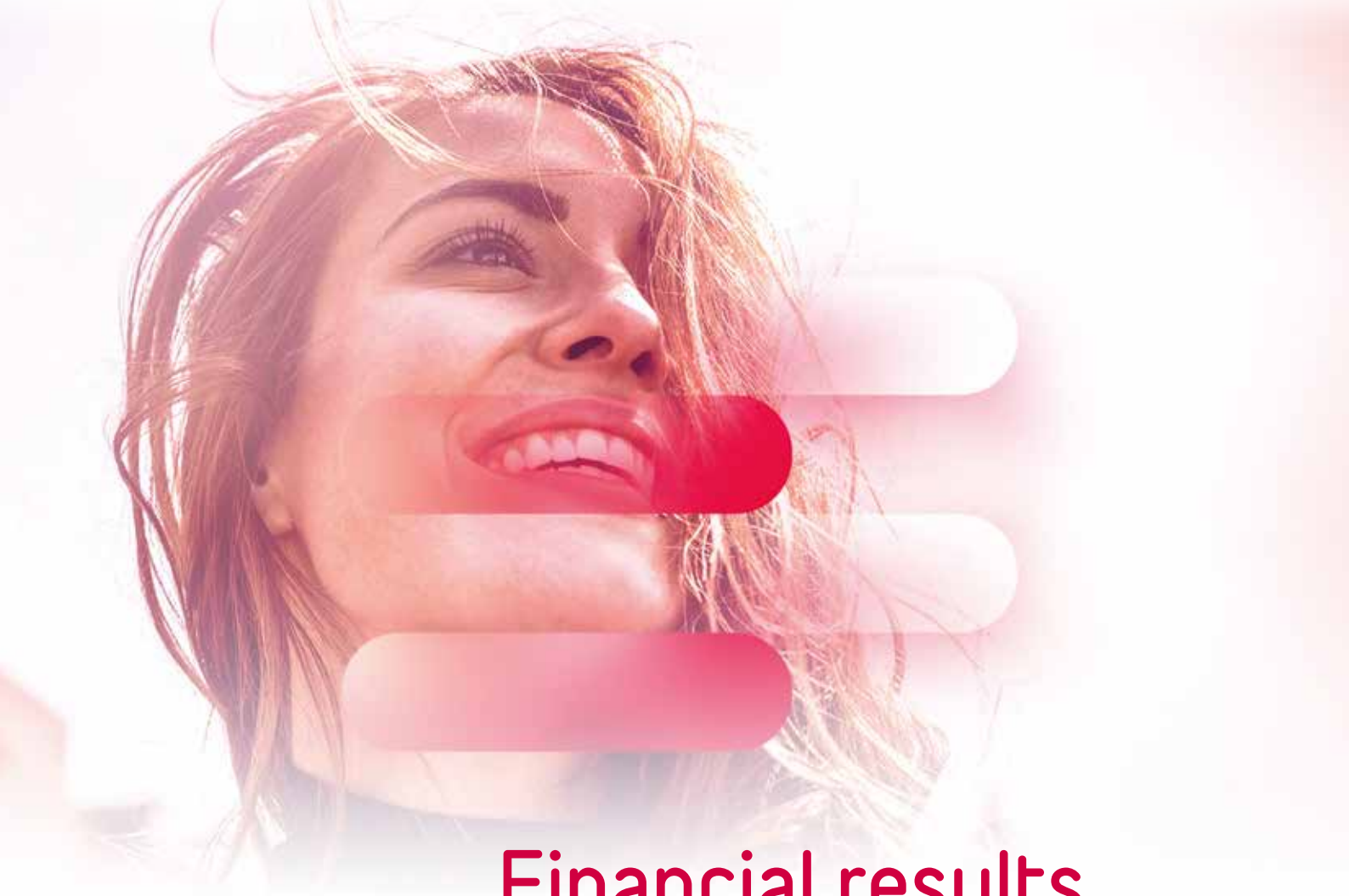
Belfius staff members cover five generations, from baby boomers to generation Z. This generational diversity enhances capabilities, experience and skills. The value of this diversity grows even more in the encounter between generations. The two-day "Bridge Builders" seminar enables Belfius to focus on the added value of collaboration between the generations. This initiative aims to build bridges, not only between the different generations (by enabling young and more experienced staff members to work together on specific topics), but also between Belfius and the outside world (by collaborating with institutions in the social sector in Brussels). Only one edition could take place in its usual form in 2020. The second was held remotely. It was a great success according to the forty participants and may be repeated, even after Covid-19.

5.3. Personality types

The third cornerstone is the diversity of profiles and personalities. Belfius is convinced that teams composed of staff members with a mixture of personalities, talents and backgrounds are more successful. This is why Belfius offers training courses such as "Discover Your Colours", "Emotional Intelligence for Communication" and "Boost your creative skills", where participants learn not only to know themselves better, but also to communicate and collaborate better with colleagues and customers, taking their individual personalities into account.

The wide range of talents at Belfius gives an extra boost to the successful realisation of our strategy.

(1) Since 1 January 2019, at least one-third of the members of the Board of Directors appointed by the Belgian State or by a company controlled by the Belgian State are expected to be of a different gender than the other members (see Table Gender breakdown among members of the Board of Directors of Belfius Bank).



Financial results

Preliminary notes to the consolidated financial statements

1. Changes to the scope of consolidation

Belfius acquired a stake of 32.63% in Skipr, a mobility software solution for professionals, which enables its users to manage, plan, book and pay for their mobility requirements. The investment is consolidated using the equity method. Belfius announced a partnership with Immovlan in 2020, an innovative real estate platform and will become a reference shareholder by acquiring a 30% equity stake in January 2021. The investments in Skipr and Immovlan enable Belfius to create partnerships around two of its major strategic focus areas: Mobility and Home.

Belfius acquired a stake of 33.33% in Fairville through the incorporation of certain assets of its wholly owned subsidiary, The Studio. This new partnership allows Belfius to accelerate the development of sustainable digital local citizen services. The subsidiary is consolidated using the equity method.

Belfius sold its fully consolidated subsidiary BrightKnight.

Belfius Insurance injected an additional EUR 3 million into Jaimy, which increased its shareholding to 89.19%. Furthermore, Belfius Insurance also injected an additional EUR 3 million into Jane, which increased its shareholding to 87.97%. In March 2021, Belfius Insurance injected additional capital of EUR 1 million into Jaimy, which increased its shareholding to 90.84%. Furthermore, in January 2021 Belfius Insurance injected additional capital of EUR 2.2 million into Jane, which increased its shareholding to 91.04%. These investments ensure that the entities can further develop and commercially expand in their respective markets.

Belfius Insurance continues to invest in direct property and purchased the real estate companies, Immo Saint Michel and Philadelphus. Both entities are fully consolidated. Furthermore, Belfius Insurance acquired a stake of 48.03% in the real estate investment company, Vicinity Affordable Housing Fund. This investment is consolidated using the equity method.

Belfius Insurance acquired a 100% stake in the real estate company, Alysea, in February 2021, for a total amount of EUR 21 million.

The investment company, Auxipar, changed its name to Capline on 4 February 2020.

2. Fundamentals of the consolidated financial statements

The consolidated financial statements of Belfius are prepared on a going concern basis, in accordance with the International Financial Reporting standards, as adopted by the EU.

Analysis of the consolidated balance sheet

Total assets increased by EUR 15.6 billion, or 9.0%, from EUR 172.4 billion for the year ending 31 December 2019, to EUR 188.0 billion as of 31 December 2020. The total assets are composed of EUR 170.2 billion for the Belfius Banking Group (compared with EUR 154.2 billion at 31 December 2019) and EUR 17.8 billion for the Belfius Insurance Group (compared with EUR 18.2 billion at 31 December 2019). These amounts represent the contribution of the Banking and Insurance Groups to the consolidation scope and do not reflect their respective standalone total assets.

The increase in assets and liabilities stems primarily from additional funding received from the participation in the TLTRO III and from deposits from customers due to the organic growth of current and savings accounts. While there was an increase of mortgage loans, a significant part of the funding was deposited at the deposit facility of the NBB. A decrease in the fair value of the derivatives was noted, due mainly to the impact of the offsetting for derivatives concluded with LCH (London Clearing House), though partially compensated for by lower interest rates.

Peter De Baere
Head of Financial Communication



“ ”
Belfius
continues
to display
sound financial,
solvency and
liquidity metrics.

Summarised consolidated balance sheet

	31/12/19	Contribution Bank into group ⁽¹⁾	Contribution Insurance into group ⁽¹⁾	31/12/20	Contribution Bank into group ⁽¹⁾	Contribution Insurance into group ⁽¹⁾	Evolution
(In millions of EUR)							
TOTAL ASSETS	172,439	154,215	18,225	187,991	170,212	17,779	+15,552
Of which							
Cash and balances with central banks	6,716	6,716	0	25,434	25,434	0	+18,718
Loans and advances due from credit institutions	16,208	16,169	39	11,912	11,815	97	-4,296
A. Measured at amortised cost	16,208	16,169	39	11,912	11,815	97	-4,296
Loans and advances	94,944	90,440	4,504	98,108	93,448	4,660	+3,164
A. Measured at amortised cost	93,391	88,913	4,479	96,812	92,170	4,642	+3,420
C. Measured at fair value through profit or loss	1,553	1,528	25	1,296	1,278	18	-257
Debt securities & equity instruments	29,490	17,591	11,898	28,849	17,263	11,586	-641
A. Measured at amortised cost	22,476	16,443	6,034	22,039	16,152	5,887	-437
B. Measured at fair value through other comprehensive income	5,257	216	5,041	5,170	201	4,969	-87
C. Measured at fair value through profit or loss	1,756	933	823	1,639	909	730	-116
Unit linked products insurance activities	3,671	0	3,671	3,813	0	3,813	+142
Derivatives	13,305	13,304	1	12,188	12,188	0	-1,117
TOTAL LIABILITIES	161,933	144,515	17,419	177,258	160,239	17,019	+15,325
Of which							
Cash and balances from central banks	4,017	4,017	0	14,174	14,174	0	+10,157
Credit institutions borrowings and deposits	5,819	5,802	18	5,008	5,004	4	-811
A. Measured at amortised cost	5,819	5,802	18	5,008	5,004	4	-811
Customer borrowings and deposits	85,450	85,450	0	95,338	95,338	0	+9,888
A. Measured at amortised cost	85,397	85,397	0	95,287	95,287	0	+9,890
B. Measured at fair value through profit or loss	53	53	0	51	51	0	-2
Debt securities issued and other financial liabilities	27,655	27,654	1	24,402	24,402	1	-3,252
A. Measured at amortised cost	19,342	19,341	1	16,069	16,068	1	-3,273
B. Measured at fair value through profit or loss	8,313	8,313	0	8,333	8,333	0	+21
Unit linked products insurance activities	3,671	0	3,671	3,813	0	3,813	+142
Derivatives	18,630	18,626	4	18,310	18,253	57	-320
Provisions for insurance activities	13,180	0	13,180	12,659	0	12,659	-521
Subordinated debts	1,157	1,157	0	1,151	1,151	0	-7
A. Measured at amortised cost	1,157	1,157	0	1,151	1,151	0	-7
TOTAL SHAREHOLDERS' EQUITY	9,984	9,203	781	10,209	9,476	733	+225
Of which							0
Shareholders' core equity	9,348	9,141	208	9,815	9,429	387	+467
Gains and losses not recognised in the statement of income	636	62	573	393	47	346	-242
TOTAL EQUITY	10,506	9,700	806	10,733	9,973	760	+227
Of which							
Total shareholders' equity	9,984	9,203	781	10,209	9,476	733	+225
Additional Tier-1 instruments included in equity	497	497	0	497	497	0	0
Non-controlling interests	25	0	25	28	0	27	+3

(1) Information based on non-audited figures

1. Assets

1.1. Cash and balances with central banks

Cash and balances with central banks increased by EUR 18.7 billion, 278.7%, to EUR 25.4 billion (31 December 2019: EUR 6.7 billion). Belfius deposits part of the TLTRO III at the NBB, within the framework of its liquidity management.

1.2. Loans and advances due from credit institutions

Loans and advances due from credit institutions decreased with EUR 4.3 billion, 26.5%, to EUR 11.9 billion (31 December 2019: EUR 16.2 billion). The decrease in reverse repurchase agreements of EUR 4.7 billion, due to money market movements, was partially offset by an increase of cash collateral paid of EUR 0.4 billion.

1.3. Loans and advances

Loans and advances increased by EUR 3.2 billion, or 3.3%, to EUR 98.1 billion (31 December 2019: EUR 94.9 billion), stemming from an increase in loans of EUR 2.9 billion (mainly term and mortgage loans) in line with our strategy to further develop our commercial franchise and to support the Belgian economy. Cash collateral increased by EUR 0.3 billion.

Certain loans do not pass the SPPI test and are therefore measured at fair value through profit or loss. These mostly relate to loans to the public and social sector, with specifically structured interest rate features. The outstanding volume decreased by EUR 0.3 billion to EUR 1.3 billion as of the end of 2020, mainly due to repayments.

The asset quality ratio, indicating the ratio between impaired (stage 3) loans and advances and the gross outstanding loans and advances, increased from 1.96% at 31 December 2019 to 2.02% at 31 December 2020 (see chapter on Risk for additional information).

1.4. Debt securities and equity instruments

The Belfius Banking Group contributed EUR 17.3 billion (31 December 2019: EUR 17.6 billion) to the debt securities and equity instruments portfolio and the Belfius Insurance Group contributed EUR 11.6 billion (31 December 2019: EUR 11.9 billion).

The debt securities measured at their amortised cost decreased by EUR 0.4 billion, or -1.9%, to EUR 22.0 billion (31 December 2019: EUR 22.5 billion) following the sale of certain Italian government bonds with a book value of EUR 0.6 billion at Belfius Bank, as well as disposals at Belfius Insurance.

The financial assets measured at fair value through other comprehensive income decreased by EUR 0.1 billion, or -1.7%, to EUR 5.2 billion (31 December 2019: EUR 5.3 billion). This is ascribed to the disposal of some equity instruments (EUR 0.4 billion), as well as to negative fair value adjustments on equity instruments following declining stock markets compared with the 2019 year-end. Debt securities increased due to positive fair value adjustments resulting from lower interest rates despite higher credit spreads compared with the 2019 year-end.

Debt securities measured at fair value through profit or loss decreased by EUR 0.1 billion, or -6.6%, to EUR 1.6 billion (31 December 2019: EUR 1.8 billion) due to some disposals out of the funds portfolio (EUR 0.1 billion) and to negative fair value adjustments, caused by declining stock markets following the Covid-19 pandemic.

1.5. Unit-linked products insurance activities

Unit-linked products within our insurance activities (Branch 23) increased by EUR 0.1 billion, or 3.9%, to EUR 3.8 billion (31 December 2019: EUR 3.7 billion), resulting from transfers of customer investments from Branch 21 policies coming to maturity and positive fair value adjustments, partially offset by structured Branch 23 products reaching due dates.

1.6. Derivatives

Derivatives decreased by EUR 1.1 billion, or -8.4%, to EUR 12.2 billion, (31 December 2019: EUR 13.3 billion), mainly due to the impact of the offsetting for derivatives concluded with LCH, partially compensated by lower interest rates. The total impact of the offsetting for derivatives concluded with LCH amounted to EUR 7.8 billion at the end of 2020, compared with EUR 7.2 billion at the end of 2019.

2. Liabilities

Total liabilities increased by EUR 15.3 billion, or 9.5%, to EUR 177.3 billion (31 December 2019: EUR 161.9 billion), resulting from an increase in funding sources in "Cash and balances from central banks", explained by the additional participation in the TLTRO III and "Deposits" from customers, as well as a shift from "Debt securities issued" towards "Deposits".

2.1. Cash and balances from central banks

Cash and balances from central banks increased by EUR 10.2 billion to EUR 14.2 billion (31 December 2019: EUR 4.0 billion). At the end of 2019, Belfius had an outstanding TLTRO II and TLTRO III participation of respectively EUR 1.2 billion and EUR 2.8 billion. Belfius drew an additional EUR 11.5 billion TLTRO III in 2020 and repaid the outstanding TLTRO II, resulting in a total TLTRO III participation of EUR 14.3 billion as of 31 December 2020.

2.2. Credit Institutions borrowings and deposits

Credit Institutions borrowings and deposits decreased by EUR 0.8 billion, or -13.9%, to EUR 5.0 billion (31 December 2019: EUR 5.8 billion), resulting from a decrease in deposits explained by short-term liquidity management.

2.3. Borrowings and deposits

Borrowings and deposits increased by EUR 9.9 billion, or 11.6%, to EUR 95.3 billion (31 December 2019: EUR 85.4 billion), mainly due to strong organic growth of demand and savings deposits.

2.4. Debt securities issued and other financial liabilities

Debt securities issued and other financial liabilities decreased by EUR 3.3 billion, or -11.8%, to EUR 24.4 billion (31 December 2019: EUR 27.7 billion).

The debt securities measured at amortised cost decreased by EUR 3.3 billion, or -16.9%, to EUR 16.1 billion (31 December 2019: EUR 19.3 billion), mainly due to the maturity of EUR 3.0 billion in certificates of deposit and EUR 0.8 billion in covered bonds, partially compensated by the issuance of EUR 0.5 billion in covered bonds, EUR 0.5 billion in Preferred Senior bonds and EUR 0.5 billion in Non-Preferred Senior bonds.

Debt securities measured at fair value through profit or loss remained stable at EUR 8.3 billion.

2.5. Derivatives

Derivatives decreased by EUR 0.3 billion, or -1.7%, to EUR 18.3 billion (31 December 2019: EUR 18.6 billion), mainly due to the impact of the offsetting for derivatives concluded with LCH, partially compensated by lower interest rates. The total impact of the offsetting for derivatives concluded with LCH amounted to EUR 7.8 billion at the end of 2020, compared with EUR 7.2 billion at the end of 2019.

2.6. Provisions for insurance activities

Gross technical reserves for Life decreased by EUR 538 million, or -5%, to EUR 11.4 billion (31 December 2019: EUR 11.9 billion). In the current low interest rate environment, a continued shift can be noted from Branch 21 products towards alternative investment forms, such as Branch 23 or Branch 44 products. As a result, a substantial part of the Branch 21 investment policies coming to maturity were not reinvested in new Branch 21 investment contracts.

A shadow loss was recognised of EUR 301 million in 2020, whereas no shadow loss was recorded in 2019. The increase stems partially from decreasing interest rates and an asymmetric evolution of the credit spreads on assets versus liabilities, as well as some refinements of the models. For the segregated funds managed by Belfius Insurance, shadow accounting was recognised for EUR 49 million, an increase of EUR 11 million

compared with 2019, mainly explained by the increase in the fair value of the debt instruments resulting from lower interest rates.

The technical provision for Non-Life products increased by EUR 17 million, or 1%, to EUR 1.3 billion (31 December 2019: EUR 1.3 billion) due mainly to an increase in the Non-Life portfolio and some additional reserves to anticipate the new version of the indicative tables on large claims on physical injuries for Motor TPL and General TPL. Nevertheless, claims provisions decreased as a result of the lockdown period following the Covid-19 crisis, which positively impacted the loss results. Furthermore, Belfius recorded a release of EUR 13 million of claims provisions, in line with the risk appetite framework in comparison with a release of EUR 5 million in 2019.

2.7. Subordinated debts

Subordinated debts decreased by EUR 7 million, or -0.6%, to EUR 1.2 billion (31 December 2019: EUR 1.2 billion).

3. Equity

Total equity increased by EUR 227 million, or 2.2%, to EUR 10.7 billion (31 December 2019: EUR 10.5 billion) mainly attributable to the profit for the period amounting to EUR 532 million, partially offset by a decrease of EUR 242 million in gains and losses not recognised in the statement of income. The fair value of debt instruments measured at fair value through other comprehensive income decreased due to higher credit spreads, partially offset by the low interest rate environment. The fair value of equity instruments measured at fair value through other comprehensive income decreased due to declining equity markets.

3.1. Shareholders' core equity

Shareholders' core equity increased by EUR 467 million, or 5.0%, to EUR 9.8 billion (31 December 2019: EUR 9.3 billion). This increase was due mainly to the profit for the period of EUR 532 million, partially offset by the results realised on equity instruments that are recognised directly in retained earnings. A total of EUR 52 million (after tax) of realised losses on such transactions was reported in 2020 (mainly at Belfius Insurance). The payment on Additional Tier 1 amounted to EUR 14 million after tax (considered as dividend under IFRS).

3.2. Gains and losses not recognised in the statement of income

Gains and losses not recognised in the statement of income decreased by EUR 242 million, or -38.1%, to EUR 393 million (31 December 2019: EUR 636 million). The contribution of the Belfius Banking Group amounted to EUR 47 million (decrease of EUR 15 million) and the Belfius Insurance Group to EUR 346 million (decrease of EUR 227 million).

The fair value of debt instruments measured at fair value through other comprehensive income decreased with EUR 123 million, or -36.5%, to EUR 214 million (31 December 2019: EUR 337 million) and stems from higher credit spreads and realised gains resulting from disposals by Belfius Insurance, as well as the recognition of a shadow loss of EUR 170 million (after tax), partially offset by lower interest rates compared with last year.

The fair value of equity instruments measured at fair value through other comprehensive income decreased by EUR 142 million, or -53.9%, to EUR 121 million (31 December 2019: EUR 263 million), due to declining stock markets following the Covid-19 pandemic and the recognition of a shadow loss of EUR 66 million (after tax), partially offset by some disposals, with a realised loss.

Gains (losses) on cashflow hedges increased by EUR 13 million to EUR -69 million (31 December 2019: EUR -82 million), due mainly to the changes in basis spreads on derivative positions in GBP and USD.

The remeasurement of defined benefit plans decreased by EUR 15 million, or -18.0%, to EUR 69 million (31 December 2019: EUR 84 million), due mainly to the effect of a decrease in the discount rate, partially compensated by the positive return on plan assets.

The discretionary participation feature of insurance contracts increased by EUR 24 million, or 73.3%, to EUR 58 million (31 December 2019: EUR 33 million). The total amount of future profit sharing amounts to EUR 156 million. An amount of EUR 84 million was recorded through the statement of income compared with EUR 103 million at year-end 2019. The remaining EUR 72 million (EUR 58 million after tax) is accounted for via equity.

3.3. Additional Tier-1 instruments included in equity

There was no variation in the value of the additional Tier 1 issue.

“ ”
Net Asset Value
at EUR 10.2 billion
at end 2020.

Analysis of the consolidated statement of income

Summarised consolidated statement of income

(In millions of EUR)	31/12/19	Contribution Bank into group ⁽¹⁾	Contribution Insurance into group ⁽¹⁾	31/12/20	Contribution Bank into group ⁽¹⁾	Contribution Insurance into group ⁽¹⁾	Evolution
INCOME	2,489	1,967	522	2,614	2,069	544	+125
Of which							
Net interest income	1,900	1,488	412	1,992	1,590	402	+91
Net income from financial instruments at fair value through profit or loss	96	97	(1)	24	47	(23)	-72
Net income on investments and liabilities	53	(4)	57	55	15	40	+1
Net fee and commission income	580	563	16	641	622	19	+61
Technical result from insurance activities	(20)	0	(20)	68	0	68	+88
Other income and expense	(196)	(200)	4	(220)	(220)	0	-25
EXPENSES	(1,452)	(1,205)	(247)	(1,465)	(1,207)	(257)	-13
GROSS INCOME	1,036	762	275	1,149	862	287	+113
Impairments on financial instruments and provisions for credit commitments	(111)	(118)	7	(453)	(448)	(5)	-342
Impairments on tangible and intangible assets	(7)	(1)	(5)	(17)	(14)	(3)	-10
NET INCOME BEFORE TAX	918	642	276	679	400	279	-239
Tax (expense) income	(252)	(181)	(71)	(147)	(81)	(66)	+105
Attributable to non-controlling interests	(1)	0	(1)	0	0	0	+1
NET INCOME GROUP SHARE	667	461	207	532	319	212	-136

(1) Information based on non-audited figures

1. Income

Total income increased by EUR 125.1 million, or 5.0%, to EUR 2,614 million (31 December 2019: EUR 2,489 million). Belfius Banking Group contributed EUR 2,069 million (31 December 2019: EUR 1,967 million) and Belfius Insurance Group contributed EUR 544 million (31 December 2019: EUR 522 million).

1.1. Net interest income

Net interest income increased by EUR 91.3 million, or 4.8%, to EUR 1,992 million (31 December 2019: EUR 1,900 million), mainly due to higher volumes in loans combined with a strict pricing discipline despite the pressure of the lower interest rate environment, lower outstandings in Branch 21 and reinvestments at lower market yields. The net interest income in 2020 was supported by the TLTRO applied interest rate for EUR 78 million (of which EUR 76 million from the TLTRO III), compared with EUR 16 million in 2019. Based on current and forecast net lending volumes, there is a reasonable expectation that the conditions of the TLTRO programme over the period from 24 June 2020 to 23 June 2021 will be met and therefore the effective interest rate includes the additional reduction of 50 basis points. Furthermore, 2020 was also positively impacted by the extensive restructuring of a specific corporate leasing file. Finally, a modification loss of EUR 9.7 million was recognised as a result of the relief granted to vulnerable customers, following the moratorium granted on mortgage loans. The mortgage loans of vulnerable customers are merely extended by the deferred period, without making up for lost value. As a result, the present value of the lost time value needs to be recognised upfront for these loans.

1.2. Net income from financial instruments measured at fair value through profit or loss

Net income from financial instruments measured at fair value through profit or loss decreased by EUR 72 million to EUR 24 million (31 December 2019: EUR 96 million). Net trading income decreased by EUR 47 million to EUR 44 million for the year ending 31 December 2020, due mainly to the fall in interest rates and higher funding spreads compared with year end 2019. The net result from financial instruments mandatorily measured at fair value through profit or loss decreased by EUR 31 million to EUR -33 million for the year ending 31 December 2020, due to the negative impact of declining equity markets, partially compensated by low interest rates. The net result of hedge accounting increased by EUR 8 million to EUR 15 million for the year ending 31 December 2020 and was impacted, among other factors, by basis risks.

1.3. Net income on investments and liabilities

Net income on investments and liabilities increased by EUR 1.3 million, or 2.5%, to EUR 55 million (31 December 2019: EUR 53 million).

In 2020, Belfius Insurance realised EUR 23 million from the sale of bonds in order to manage its duration gap, compared with EUR 57 million in 2019.

An additional EUR 42 million of capital gains was realised in 2020 on the sale of tangible fixed assets, mainly on the partial sale of the Galilee building.

1.4. Net fee and commission income

Net fee and commission income increased by EUR 61.4 million, or 10.6%, to EUR 641 million (31 December 2019: EUR 580 million). The increase was attributed principally to an increase in commission income on asset management fees resulting from higher entry and management fees and higher average outstanding volumes, as well as on the insurance activity due to higher Non-Life fees. Note that commission income on payment services decreased in 2020 due to lower transaction volumes caused by the Covid-19 lockdown.

1.5. Technical result from insurance activities

The technical result from insurance activities Life and Non-Life improved by EUR 87.8 million to a profit of EUR 68 million (31 December 2019: loss of EUR 20 million).

The technical result from insurance activities Life improved by EUR 44 million. Interest guarantees decreased by EUR 43 million due to the declining outstanding volume in Branch 21 Life and a decreasing average guaranteed interest rate on the remaining volumes.

In Non-Life, the technical margin improved by EUR 44 million, resulting mainly from lower claims charges especially in Car and Workers' Compensation insurance lines relating to the Covid-19 lockdown period, as well as in Property and All Risks. The cost for natural disasters, net of reinsurance, remained stable at EUR 25 million compared with 2019. In addition, a claims provision of EUR 31 million was recognised to anticipate the new version of the indicative tables on large claims with physical injuries for Motor TPL and General TPL. Following the reassessment of the technical provisions for Non-Life, and in line with the Non-Life Risk Appetite Framework, EUR 13 million in release of claims provisions was recorded in 2020 compared with EUR 5 million in 2019.

1.6. Net other income and expenses

Net other income and expenses decreased by EUR 24.6 million, or -12.6%, to a loss of EUR 220 million (31 December 2019: a loss of EUR 196 million).

Belfius recognised an expense of EUR 237 million in 2020 as sector levies (including the contribution to the Single Resolution Board), an increase of EUR 15 million compared with 2019. Belfius has opted in the past to pay part of its contribution to the Single Resolution Fund through an Irrevocable Payment Commitment.

“ ”
Strongly
increasing
net fee
and commission
income
in 2020.



Cost-income
ratio
at 56%

2. Expenses

Expenses increased by EUR 12.5 million, or 0.9%, to EUR 1,465 million (31 December 2019: EUR 1,452 million), stemming from further investments in human capital, digitalisation and innovation efforts. Belfius combines this with a strict cost control in other areas, leading to an overall controlled increase in expenses, whereby the increase in the costs of depreciations related to our investments is almost fully offset by decreasing operational expenses and network costs. Note that Belfius recognised accelerated depreciations due to the revised useful life of internally developed software in 2020 given the rapid changes in technology and the accelerated uptake of digital services as a consequence of the Covid-19 pandemic.

2.1. Staff expense

Staff expense decreased by EUR 6.6 million, or -1.0%, to EUR 630 million (31 December 2019: EUR 637 million).

2.2. General and administrative expense

General and administrative expense decreased by EUR 17.4 million, or -3.6%, to EUR 471 million (31 December 2019: EUR 489 million), in line with the strict cost containment that is being applied and with the impact of the Covid-19 crisis on office costs, events and marketing costs and temporary reallocation of resources from some more expensive long term strategic projects to less expensive shorter term crisis management, despite the increase of the professional fees (mainly due to increasing use of interims and consultancy services for some major strategic projects).

2.3. Network costs

Network costs decreased by EUR 0.8 million, or -0.4%, to EUR 211 million (31 December 2019: EUR 212 million), in line with our continuously decreasing network footprint.

2.4. Depreciation and amortisation of fixed assets

Depreciation and amortisation of fixed assets increased by EUR 37.3 million, or 32.4%, to EUR 152 million (31 December 2019: EUR 115 million) following continuous investments in digitalisation and innovation and the renewal of the core banking and insurance applications leading to more own-development costs being capitalised and resulting in increased amortisation of intangible assets. Furthermore, Belfius recognised accelerated depreciations due to the revised useful life of internally developed software in 2020 given the rapid changes in technology and the accelerated uptake of digital services.

3. Gross income

Gross income increased by EUR 112.5 million, or 10.9%, to EUR 1,149 million (31 December 2019: EUR 1,036 million). Belfius Banking Group contributed EUR 862 million (31 December 2019: EUR 762 million) and Belfius Insurance Group contributed EUR 287 million (31 December 2019: EUR 275 million).

4. Impairments

4.1. Impairments on financial instruments and provision for credit commitments

Impairments on financial instruments and provision for credit commitments increased by EUR 341.7 million to EUR 453 million (31 December 2019: EUR 111 million). The evolution of stage 1 and 2 impairments reflects the update of the underlying macro-economic scenarios and their weighting, in line with EBA guidance, to reflect the changes in the economic environment and prospects following the Covid-19 crisis. Furthermore, Belfius applied management overlays on expected credit losses for certain risk pockets (defined in terms of sectors, groups of companies or individual exposures) in the loan portfolios that were hit particularly hard by the Covid-19 pandemic. Additional impairments were also recognised on a limited number of corporate customers that entered stage 3 during 2020.

4.2. Impairments on tangible and intangible fixed assets

Impairments on tangible and intangible assets increased by EUR 9.9 million to EUR 17 million (31 December 2019: EUR 7 million).

Belfius recognised an impairment of EUR 12 million on previous refurbishment works carried out for ATMs in bank branch buildings following the project with Batopin, which will centralise the management of ATMs for different Belgian banks.

Belfius reassessed its intangible and tangible assets for the Covid-19 impacts, whereby an impairment of EUR 2 million was enacted on the intangible assets of Jaimy.

5. Net income before tax

Net income before tax decreased by EUR 239.0 million, or -26.0%, to EUR 679 million (31 December 2019: EUR 918 million). Belfius Banking Group contributed EUR 400 million (31 December 2019: EUR 642 million) and Belfius Insurance Group contributed EUR 279 million (31 December 2019: EUR 276 million).

6. Tax expense

The tax expense, including deferred taxes, decreased by EUR 104.5 million, or -41.5%, to EUR 147 million (31 December 2019: EUR 252 million), due mainly to lower taxable profit in entities of Belfius and the decrease in standard tax rate to 25%.

A decrease in the effective tax rate to 21.7% was observed in 2020, compared with 27.4% in 2019.

Net deferred tax income decreased by EUR 122.9 million to EUR 81 million (31 December 2019: EUR -42 million), due mainly to temporary differences for fair value adjustments and impairments.

7. Net income group share

Total net income amounted to EUR 532 million (31 December 2019: EUR 667 million).

8. Dividend

In line with the restrictions on dividend distribution, based on the ECB recommendation, the meeting of the Board of Directors of 25 March 2021 proposed to the General Meeting of 28 April 2021, to pay an ordinary dividend of EUR 77 million in respect of the accounting year 2020, corresponding to the lower of (i) a pay-out ratio of 15% on the 2020 adjusted net profit and (ii) 0.20% of 2020 year-end CET 1 ratio.

9. Solvency

9.1. Solvency at Bank level

At the end of 2020, CET 1 ratio amounted to 17.11%, an increase of 126 bps compared with the end of 2019. Note that this transitional CET 1 ratio takes into account the transitional IFRS 9 measures and the other positive effects of the Covid-19-related regulatory adjustments, estimated at 144 bps.

The increase in CET 1 ratio is the result of positive effects from higher CET 1 capital (+214 bps) offset by the negative effects from the higher total risk exposure amount (-88 bps).

CET 1 capital amounted to EUR 10,150 million, compared with EUR 8,941 million at the end of 2019. The increase in CET 1 capital of EUR 1,209 million results mainly from

- the inclusion of the net consolidated result of EUR 532 million;
- the inclusion of the equity reserves of the Belfius Insurance group of EUR 146 million;
- the impact of the add-back of IFRS 9 provisions, thanks to the transitional arrangements stated in the CRR of EUR 413 million;
- the increase in the revaluation of the portfolios of debt and equity instruments of EUR 281 million;
- the decreased deduction for software and other intangible assets of EUR 79 million, thanks to the Covid-19-related relaxations provided by the ECB;
- partially offset by the correction for foreseeable dividends of EUR 210 million (based on a 40% pay-out ratio) and
- a decrease in the remeasurement of pension plans of EUR 21 million.

At the end of 2020, total risk exposure of Belfius amounted to EUR 59,309 million, an increase of EUR 2,911 million compared with EUR 56,398 million at the end of 2019.

The credit risk exposure amount, including counterparty credit risk, increased by EUR 2,017 million to EUR 44,559 million as new loan production remained strong during the period, mainly in the business banking and corporate segments. This effect was partially offset by management actions. Note that since 1Q 2020, Belfius is subject to a regulatory add-on due to the new definition of default which was, however, offset by the Covid-19-related regulatory measures: extension of the SME supporting factor, IFRS 9 transitional measures and new treatment of software assets.

The total risk exposure amount for Danish Compromise increased by EUR 2,522 million to EUR 9,391 million, due mainly to the change in the valuation method used for the participation in Belfius Insurance.

The CVA exposure amount decreased by EUR 642 million due to active management of counterparty credit risk, including additional CVA hedges, the unwinding of uncollateralised swaps with financial counterparts and the increased use of CCP clearing.

The market risk exposure amount increased by EUR 59 million as a result of market evolutions.

Operational risk exposure amount increased by EUR 106 million over the period, in line with the increase in income.

In anticipation of a more stringent regulatory framework applicable from 2020 onwards and in accordance with article 3 of CRR, Belfius had included in its 4Q 2019 solvency requirements an additional risk exposure amount of EUR 1,150 million. As of the end of 2020, Belfius cancelled these additional regulatory risk exposure amounts as these were assessed to be – for the time being – not appropriate during the Covid-19 crisis.

At the end of 2020, the Tier 1 capital ratio amounted to 17.95%, an increase of 121 bps compared with the end of 2019. This increase follows the evolution of the CET 1 ratio since there are no new AT 1 elements.

The total capital ratio amounted to 20.37%, an increase of 117 bps compared with the end of 2019.

9.2. Solvency at Insurer level

The Solvency II ratio (before dividend) of Belfius Insurance stood at 212% at the end of December 2020, which was stable in comparison with the ratio as of December 2019 (without dividend).

The decrease in regulatory own funds (without the foreseeable dividend of EUR 140 million) was fully compensated by a same proportionate decrease in SCR.

The Solvency II ratio, including the foreseeable dividend of EUR 140 million, is 200%.

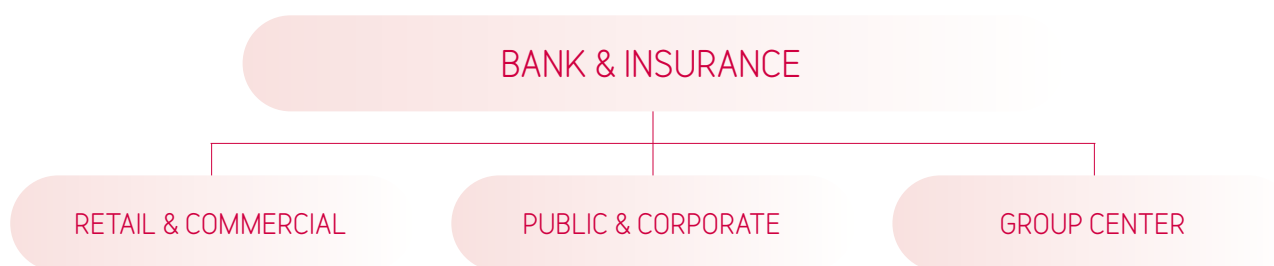
More detailed information is provided in the “Capital management” chapter of this annual report.



Segment reporting

Analytically, Belfius splits its activities and accounts into three segments: Retail and Commercial (RC), Public and Corporate (PC) and Group Center (GC); with RC and PC containing the key commercial activities of Belfius.

- **Retail and Commercial (RC)**, managing the commercial relationships with individual customers and with small and medium-sized enterprises, both at bank and insurance level.
- **Public and Corporate (PC)**, managing the commercial relationships with public sector, social sector and corporate clients, both at bank and insurance level.
- **Group Center (GC)**, containing the residual results not allocated to the two commercial segments. This consists mainly of results from Bond and Derivative portfolio management.



Key figures of the segment reporting (unaudited)

Balance Sheet

(In billions of EUR)	31/12/19		
	Assets	Liabilities	Equity
Retail and Commercial (RC)	63.3	84.3	2.8
Public and Corporate (PC)	43.4	25.7	2.7
Group Center (GC)	65.7	51.9	5.0
TOTAL	172.4	161.9	10.5
of which banking group ⁽¹⁾	154.2	144.5	9.7
of which insurance group ⁽¹⁾	18.2	17.4	0.8

(1) Note that the assets, liabilities and equity represent the contribution of Belfius Bank and Belfius Insurance group to the consolidated balance sheet.

(In billions of EUR)	31/12/20		
	Assets	Liabilities	Equity
Retail and Commercial (RC)	66.4	91.2	2.5
Public and Corporate (PC)	43.4	29.0	2.7
Group Center (GC)	78.3	57.0	5.6
TOTAL	188.0	177.3	10.7
of which banking group ⁽¹⁾	170.2	160.2	10.0
of which insurance group ⁽¹⁾	17.8	17.0	0.8

(1) Note that the assets, liabilities and equity represent the contribution of Belfius Bank and Belfius Insurance group to the consolidated balance sheet.

Loan-to-deposit
ratio at 89%

The assets and liabilities allocated to Retail and Commercial (RC) and Public and Corporate (PC) reflect the commercial activities of those business lines. While RC shows excess funding, PC is more asset-driven. As a whole, the commercial balance sheet showed a funding excess with a sound loan-to-deposit ratio of 89% at the end of December 2020.

Note that there are no internal sales or purchases between segments; these assets and liabilities within a segment are those generated and originated by the business lines.

The equity allocated to Retail and Commercial and Public and Corporate is normative regulatory equity, which is derived from the regulatory risk exposures of these business lines multiplied by 13.5% (Belfius' minimum operational CET 1 ratio).

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Integrated bank-insurer
anchored in all segments of the
Belgian economy.

Key figures of the segment reporting (unaudited)

Statement of income

(In millions of EUR)	31/12/19			
	Retail and Commercial	Public and Corporate	Group Center	Total
INCOME	1,731	550	207	2,489
EXPENSES	(1,057)	(228)	(167)	(1,452)
GROSS INCOME	674	322	40	1,036
Cost of risk	(37)	(77)	3	(111)
Impairments on (in)tangible assets	(8)	1	0	(7)
NET INCOME BEFORE TAX	630	246	42	918
Tax (expense) income	(169)	(67)	(16)	(252)
NET INCOME AFTER TAX	461	179	26	666
Non-controlling interests	(3)	0	1	(1)
NET INCOME GROUP SHARE	464	179	25	667
of which banking group ⁽¹⁾	287	164	10	461
of which insurance group ⁽¹⁾	177	15	15	207

(1) Note that the statement of income represents the contribution of Belfius Bank and of Belfius Insurance Group to the consolidated statement of income.

(In millions of EUR)	31/12/20			
	Retail and Commercial	Public and Corporate	Group Center	Total
INCOME	1,745	613	255	2,614
EXPENSES	(1,080)	(246)	(139)	(1,465)
GROSS INCOME	665	367	116	1,149
Cost of risk	(183)	(304)	33	(453)
Impairments on (in)tangible assets	(17)	0	0	(17)
NET INCOME BEFORE TAX	466	64	149	679
Tax (expense) income	(108)	(12)	(27)	(147)
NET INCOME AFTER TAX	357	52	122	532
Non-controlling interests	(1)	0	1	0
NET INCOME GROUP SHARE	359	52	121	532
of which banking group ⁽¹⁾	196	19	105	319
of which insurance group ⁽¹⁾	163	33	16	212

(1) Note that the statement of income represents the contribution of Belfius Bank and of Belfius Insurance Group to the consolidated statement of income.



Retail and Commercial (RC)

1. Business description RC

Belfius Bank is one of the leading bank-insurers in Belgium, with 3.7 million retail and commercial customers served through 590 branches as of the end of 2020, as well as our bank insurance remote service channel, Belfius Connect, and a large number of automatic self-banking machines. Belfius Bank is also market leader in mobile banking, with 1.6 million active mobile users⁽¹⁾ as of the end of 2020. Belfius Mobile is the 2nd best mobile banking app worldwide (according to a Sia Partners research). In terms of products, Belfius Bank is the third largest provider of mortgage loans in the Belgian market, with a 17% market share (based on new mortgage loan production in 2020) and the fourth largest provider of savings and investment products in Belgium, with an estimated market share of about 12%. It is the third largest provider of finance to SMEs, with 300,000 business customers and an estimated market share of about 16.9% (based on outstanding loans).

Belfius Insurance offers insurance products to retail and commercial customers through the Belfius Bank branch network, as well as through the tied agents network of DVV insurance. It also offers insurance products through Corona Direct Insurance. Given the growth of this channel over past years, Belfius Insurance's business model is increasingly focused on bank-insurance. Belfius Insurance's scope also includes Elantis, which offers mortgage loans and consumer loans through independent brokers, recorded in the balance sheet of Belfius Insurance, Belfius Bank and a third-party bank.

Based on the 2019 Assuralia study, Belfius Insurance had a market share in life insurance of 7.0% and in non-life insurance of 5.5% for 2019, making it overall the fifth largest insurer in Belgium.

(1) Defined as using the mobile/tablet app at least (on average) once a day.

3.7 million
retail
and commercial
customers.

1.1. Customer Segmentation

In 2020, Belfius continued to apply some sub-segmentation of its customers across the Retail and Commercial segment. Belfius' sub-segments include:

- retail, which comprises individuals with a financial footprint below EUR 100,000;
- privilege, which comprises individuals with a financial footprint between EUR 100,000 and EUR 500,000;
- private, which comprises individuals with a financial footprint between EUR 500,000 and EUR 2.5 million;
- wealth, which comprises individuals with a financial footprint worth over EUR 2.5 million; and
- business, which comprises self-employed individuals, liberal professions (e.g., lawyers, accountants and doctors) and SMEs with turnover below EUR 10 million.

Higher customer interaction based on Data and Digital.

All Retail and Commercial customers are able to benefit from convenient digital mobile and internet banking service channels and a modern remote-access and service centre, Belfius Connect, which supports Belfius' omni-channel paperless service on core products with call, chat and e-mail capabilities to interact with customers. On weekdays, Belfius Connect is currently available from 8 am to 10 pm, and on Saturdays from 9 am to 5 pm. Belfius Connect's digital and remote access capabilities are enhanced and upgraded continuously.

For retail customers, Belfius focuses on top-quality self-service digital solutions and gives customers access to specialists at key moments of life, either in branch or remotely. The retail product offering consists mainly of credit cards, payment accounts, non-life insurance products (e.g. car, home and family, assistance), consumer and mortgage loans, saving accounts, pension savings and other investment products (e.g. mutual funds and Flex Invest Plan).

For privilege customers, Belfius provides access to local account managers and regional insurance and credit specialists in order to help customers identify the best solutions for building, managing and preserving their assets. Products and services are based on the Belfius Convictions and 'Meaningful & Inspiring' solutions, thematic solutions with the so-called double impact (through donations), and include a wide range of banking, insurance and asset management services.

For Private Banking and Wealth Management customers, Belfius offers a dedicated local Private Banker or a specialised Wealth Manager to identify solutions to structure, optimise, manage and protect their assets, including estate planning. The products and services offering includes discretionary asset management, MyPortfolio – a bespoke asset management system – Wealth Analysis and Financial planning, real estate, philanthropic and art solutions. In 2020, despite the Covid-19 crisis, a first illiquid assets deal for Belfius was launched with Tristan Capital Partners, a European real estate investment trust with positive track record stretching back more than 20 years. We also launched new solutions in asset management in collaboration with BlackRock and JP Morgan.

Belfius maintains contact with these customers through its innovative Wealth Management Hub and Private Houses, with Febelfin-certified Wealth Managers offering a holistic approach. Belfius' Wealth Management offerings are bespoke and include estate planning, family company transmission, a dedicated digital experience and access to financial market experts.

Belfius' offering for business customers is targeted at professionals, self-employed individuals, and SMEs (up to EUR 10 million turnover), with a combined "professional-personal" approach at the core of Belfius' commercial strategy. The offering focuses on both banking and insurance solutions at every stage of a business's life (start-up, growth and transmission) and personal lifecycles (investment and mortgage loans, investment and pension planning) with specific solutions, notably for starters, medical and accountancy professionals. Products include tailored financing (loans, factoring leasing), liquidity management and payment solutions, investments, mobility solutions, non-life insurance products and business life products.

Products

The Retail and Commercial segment provides a full range of banking products and a broad range of life and non-life insurance products that address the needs of this customer segment.

Payment Products

Payment products are offered in the form of packages of payment accounts linked to a debit and credit card, depending on the level of service selected: from the free entry-level Belfius Pulse package to the Platinum product. The granting of a credit card is subject to acceptance through an efficient risk management process. Customers can also elect to receive a MasterCard Prepaid card. All cards include the contactless payment capabilities with card or Android smartphone.

Belfius proposes specific packages (Business Pack and Business Pack Plus) for business customers. Belfius offers additional services tailored to their needs, such as cashflow management. Belfius also supports the development of local businesses through a comprehensive offer of payment means (POS + E/M Commerce).

All these products are increasingly available digitally through all mobile and Internet channels.

Given the constant development of payment systems in a changing European legislative framework (including the introduction of PSD2), Belfius has invested in new solutions (for example the possibility to link cards to a Fitbit or Garmin). Belfius is also a main shareholder of Bancontact Payconiq, a market leader in local card and payment systems in Belgium, and Isabel, the largest fintech company in Belgium, providing multi-banking services for business users.

Credit Products

Belfius' main credit products for retail customers are mortgage loans, which are offered at a broad range of fixed or variable interest rates. Belfius also offers consumer loans (including car loans), personal loans and renovation loans.

Belfius offers credit products tailored to the needs of business customers, including tax funding, working capital facilities (particularly Belfius Business Cash+) and investment loans.

Belfius also assists start-ups in obtaining financing through the programme it launched in conjunction with the European Investment Fund (EIF), whereby the EIF provides a guarantee for up to half of the loan amount. Belfius Bank is the only bank in the Belgian market cooperating in this manner with the EIF.

Savings and Investment Products

Savings and investment products fall into two categories: balance sheet products and off-balance sheet products. Balance sheet products include savings accounts, current and term accounts, savings certificates and bonds issued by Belfius, for all our clients including business customers. Off-balance sheet products include discretionary portfolio management, mutual funds, shares and bonds issued by third parties.

Two new Funds of the Future were launched in 2020, Belfius Wo=Men and Belfius Be=Long and reinforce the thematic solutions with double impact.

→ Belfius Wo=Men is a fund dedicated to driving a positive corporate culture towards greater Gender Equality through a selection of the top 100 stocks with higher gender equality scores. Double impact will be generated to alleviate inequalities for women. In practical terms, part of the commission income is donated for scholarships dedicated for women or sport for women sponsored via the King Baudouin Foundation.

→ Belfius Be=Long is investing in companies whose ambitions are to build a future where living a longer, happier and healthier life is made possible. Belfius Be=Long focuses on companies that capture the immense potential of these major demographic, technological, medical and lifestyle trends. A dual impact is generated through the donation of part of the commission income to Tubbe, a King Baudouin Foundation initiative.

Belfius also provides life insurance investment products. Belfius distinguishes between Branch 21 (life insurance with a capital guarantee and guaranteed minimum return, to which a variable profit participation may be added) and Branch 23 (life insurance without capital guarantee, but with a potentially higher return via investment funds) products. Belfius also sells a combination of capital guaranteed and unit-linked products, commercially known as Branch 44 products.

Through its active management of customers and investment solutions, based on the Belfius Convictions, Belfius offers an investment approach aligned with each customer's preferred level of autonomy. In 2020, Belfius launched a Conviction-based approach in managing the investments of its customers: a strong and well-defined set of Belfius Convictions has become the backbone of the investment strategy, leading to regular decisions on asset allocation that are communicated to clients.

As a cornerstone of Belfius' commercial approach, YuMe provides support for segmented customer onboarding with actionable insights. An improved YuMe Investors version was released in 2020 in order to generate and activate investment insights for customers based on their long-term goals and aspirations. The required steps were taken in 2020 to launch a new "YuMe Private" for the Private Members in 2021, the starting point of the Private Membership that provides a clear view across all of the customer's assets.

Customers can monitor all their savings and investment products in real-time on their mobile and tablet devices in the Belfius applications. Through its mobile-first omni-channel investment advice, Belfius can make personalised proposals for investing via smartphones, tablets and personal computers, in a way compliant with MiFID II.

Insurance Products

Belfius Insurance offers a comprehensive range of life and non-life insurance products through the Belfius Bank branch network and its digital touchpoints. It also offers these products through the tied agents network of DVV Insurance, as well as through Corona Direct Insurance.

The product range includes non-life insurance cover: car insurance (third-party and comprehensive), third-party civil liability insurance, home & family insurance, and miscellaneous risks insurance. For non-life insurance products, the most significant products are property insurance and car insurance, which accounted for 37% and 43% of gross written premiums in RC in 2020, while health insurance and workers compensation each accounted for 2% of gross written premiums in 2020.

In addition, life insurance products such as pension savings, mixed life insurance, savings insurance, guaranteed income cover, death insurance and credit balance insurance linked to mortgage loans are also offered. Other products, such as the Private Supplementary Pension for the self-employed (PLCI/VAPZ) and the Individual Pension Commitment (EIP/IPT) are offered to business customers. Branch 21 remained the most significant life insurance product category in terms of gross written premiums in RC in 2020, although Branch 23 continued to increase across the Belfius insurance portfolio. For 2020, Branch 21 classical products, Branch 21 financial products and Branch 23 products accounted for 50%, 21% and 29% of gross written premiums, respectively.

1.2. Distribution Channels

Belfius has an omni-channel business model aimed at striking the right balance between human interactions and efficient, user-friendly digital and remote-access interactions. The innovative digital and remote-access approach is geared towards retail customers, with value-added branch interactions for those customers at key moments of their life. The account management focus is geared towards privilege, private and business customers, who are also supported by digital and remote-access tools.

Belfius offers its banking and insurance products through a network of 590 branches as of the end of 2020, plus its digital channels and Belfius Connect remote service centre. It also offers its insurance products through its network of 313 (end 2020) DVV tied insurance agent branches, plus its direct insurance subsidiary, Corona Direct Insurance, and its Elantis brand.

Branch Network

Belfius Bank serves its customers through 590 branches (as of the end of 2020), of which 457 are tied independent agent branches and 133 are Belfius' own branches. The 590 branches are grouped into 93 organisational "clusters". On average, each cluster operates across 6 branches and has a salesforce of approximately 34 people.

Local empowerment is a key focus, with decision-making organised as close as possible to the customer. Each cluster offers access to specialists in insurance, mortgage loans and consumer finance, a wealth manager, a local private banker, a local corporate & business banker and account management for investors. Incentives for each branch are tied to its financial and/or commercial results, customer satisfaction and legal and regulatory compliance scores.

DVV Tied Agent Network⁽¹⁾

DVV Insurance has been operating for more than 90 years in the Belgian life and non-life insurance markets. Through 313 branches (as of the end of 2020), each with its own dedicated insurance experts, DVV Insurance offers individuals, the self-employed and small enterprises a complete range of insurance products and mortgage loans.

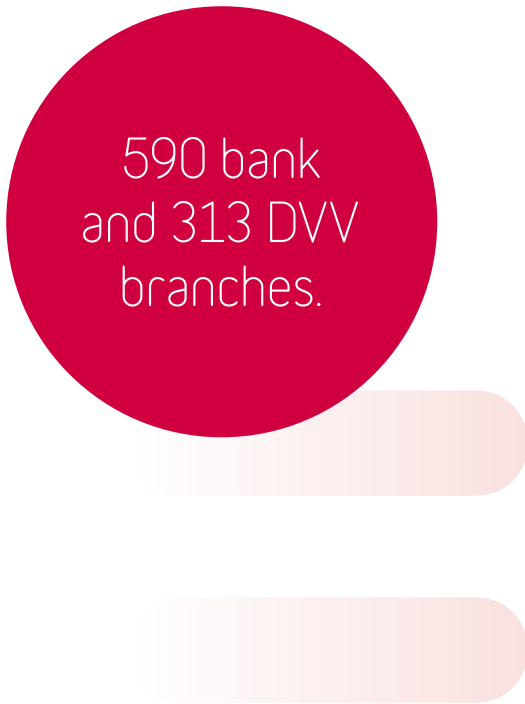
DVV's strategy is aimed at extending its customer base, relying on a high-quality product range of both life and non-life insurance products for personal and business needs. Personal service and advice by the local intermediary constitute the key added value for its customers. The spearheads of this strategy are the rejuvenation of the customer portfolio, a clear focus on business insurance expert and the ongoing digitalisation to support the local DVV adviser.

In 2020, the DVV tied agent network remained the most important channel for the distribution of Belfius non-life insurance products, both in the retail and business segments.

Corona Direct Insurance

Corona Direct Insurance is Belfius' direct insurance subsidiary. It offers its 222,000 customers insurance products through direct channels (e-commerce, telephone). The insurance products offered by Corona Direct include family, car, home, funeral, pet and some other insurance policies. Corona Direct has a fully digital E2E standardised and innovative product offering at a competitive price, plus strong customer service and the agility to innovate, including by offering products such as pay-as-you-drive car insurance.

⁽¹⁾ Note that the commercial brand, LAP, which was used in the French-speaking part of Belgium, converted to DVV (which was already used in the Dutch-speaking part of the country) during the course of 2020.



590 bank
and 313 DVV
branches.

Belfius Connect

Our Belfius sales & servicing centre (Belfius Connect) supports omni-channel end-to-end sales flows, using a range of communication channels (including telephone, mail, chat and social media) to interact with customers. While the branches had to close their information points and could only welcome customers by appointment due to the Covid-19 crisis, Belfius Connect played a crucial role by remaining available (on weekdays from 8 am until 10 pm and on Saturdays from 9 am until 5 pm) to answer customers' questions and accompany them in remote sales flows by guiding them through the digital channels.

Elantis

Since 2012, Belfius Insurance has included the Elantis brand, which offers mortgage loans and consumer loans through independent brokers. As of 31 December 2020, Elantis accounted for EUR 0.2 billion, or 13%, of Belfius' outstanding consumer financing and EUR 3.8 billion, or 10%, of Belfius' outstanding mortgage loans.

1.3. Digital, data & beyond banking

Belfius has consistently been a frontrunner in the process of mobile digital transformation, thereby protecting its core business, but also reinforcing its brand and closeness to customers in a more digital world, leading to the transformation of its business model towards a strong digital-human collaboration.

The Belfius Mobile App leads in the world in convenience, functionalities and user experience design.

The Belfius Mobile app was once again recognised as one of the leading Banking Apps in the world: (amongst others by Deloitte and Sia Partners), thereby reinforcing closeness to customers (the Belfius brand and leaving less room for neo-banks to disrupt Belfius' customer relationships).

In the Belgian market, Belfius Mobile was the highest ranked (4.6*) mobile banking app in both app stores for the fifth year in a row.

Most recently, the digital leadership of Belfius was further confirmed, with Sia Partners ranking Belfius as #1 in Belgium in its very first digital benchmark study for the Belgian insurance market. The survey compared the extent of the digital offering, along with the customer journey and experience, contact channels and the functions and services that are available digitally.

This award is confirmed by the latest figures observed at Belfius Insurance:

- 10% of home and family insurance policies are subscribed digitally end2end, for tenants this percentage increases to 20%;
- 15% of sales are made following a digital simulation;
- 25% of the policies in a Belfius branch are signed digitally;
- claims for home policies are already handled 40% digitally and as much as 60% after a storm.

The mobile platform has continued to evolve to address customers' changing mobile needs. Strong customer adoption continues to increase year after year, with 165,000 additional customers using our app in 2020 (equalling the same growth as in 2019). At the end of 2020, the Belfius App had a total of 1.58 million active users, using the app on a (more than) daily basis (36 log-ons per month). This growth in mobile activity among its customers has been significantly higher than that of Belfius' European peers. As such, Belfius Mobile has evolved to be the frontrunner in digital payments and servicing channels, with over 560 million log-ons in 2020.

“ ”
The Belfius Mobile App
was once again recognised
as one of the leading Banking Apps
in the world, thereby reinforcing
closeness to the customers.

Geert Van Mol,
Chief Digital Officer
Associate Member of the Management Board



New functionalities are added every 3 months. The latest releases include:

- digital sales of the AppNormal Home & Family Insurance making it possible to underwrite a new modular insurance policy on a smartphone, tablet, PC and in branches;
- digital claims handling through an automated chatbot, MyBo;
- a new 5-digit pin code for log-on and confirming transactions in Belfius mobile;
- payments via Garmin & Fitbit;
- digital signing for various products, e.g. business loans, life insurances, ...
- on-street parking;
- a newsroom and inspiration page in Belfius mobile to share the latest news and Belfius' convictions on investing;
- a Bottom Bar Navigation to make all functionalities more easy accessible.

The implementation of efficiency initiatives across Belfius' business lines and the development of Belfius' digital service offering have played a significant role in the improvement of Belfius' financial performance. These initiatives include operational efficiency improvements in the branch network, product portfolio and the salesforce, as well as efficiencies delivered by its mobile platform. A key component of Belfius' strategy is to continue capitalising on these initiatives and further optimising its operating model through ongoing integration and further digitalisation. As such, Belfius is able to maintain a controlled cost base, balancing its cost-savings and efficiency gains with further strategic and innovation investments.

Digital Sales

Supported by ever-increasing customer adoption and enhanced App features, digital sales also continued their growth path:

- 40% of new Belfius customers became a customer through a digital channel;
- 67% of pension savings plans were sold digitally, of which 80% via mobile;
- 45% of new credit cards were sold through digital channels;
- digital sales contributed to 25% of recurring investment plans sales, while digital communication flow contributed a further 18% to branch sales, underlining the commercial added value of an innovative digital and omni-channel approach;
- in its initial months, the newly launched AppNormal BHF insurance resulted in 9% of all insurances originated digitally. Meanwhile, the MyBo chatbot already handles 38% of claims received in Home & Family.

The exponentially growing number of digital interactions will be key over the coming months and years in the transition to a convenient digital sales and servicing platform hence increasing digital sales and service. The digital platform, supported by customer analytics, creates numerous opportunities for cross-selling, including through proactive customer proposals in the high number of digital touchpoints per month per user at a cost-effective service cost for Belfius.

In addition, the Covid-19 related lockdowns have contributed to a noticeable take-up of digital signing (including for Enterprises, through Smarty for instance). Digital signing is now possible for almost all payments, investment products, mortgages and non-life insurance products.

Data

Data was a catalyst in 2020 for creating value for the customer and an enabler for allowing Belfius to operate more efficiently and thus reduce costs and better assess risk, so that each customer receives the right advice at the right moment, with a personalized experience. Data was also an enabler to allow Belfius to operate in a more cost-efficient way and with an enhanced risk assessment framework. Given the impact of the global pandemic on business and corporate banking, risk management speeded up the categorisation of all E&E transactions to monitor the impact of Covid-19 on companies in an industrialised way. Already today data is being used to optimise the

targeting of (digital) sales offers and communications. To continue this data transformation journey in 2021, a new programme with a new Target Operating Model has been started to allow Belfius to become an even more data-driven company, running on an integrated corporate data platform.

Beyond banking partnerships

In 2020 Belfius made material progress in the execution of the Beyond strategy. In the Home ecosystem, Belfius has set up a partnership agreement with Immovlan, the second largest property platform of Belgium, with the ambition to develop a digital Home Platform within Belfius digital channels to enhance the offer of home-related services towards Belfius customers, and also towards the Immovlan customers.

In Mobility, through a partnership agreement with Skipr, the objective is to put in place a sustainable and inspiring mobility vision in Belgium and to offer to customers a truly integrated mobility experience in Belfius Mobile, thanks to the integration of Skipr routeplanner solution and adjacent high frequency mobility services.

In addition, a unique strategic partnership with Proximus was announced and is being implemented, with the objective of marketing an exclusive and digitally integrated offer for the respective customers:

- the Belfius customers will have access to a specific offer developed by Proximus to which they can subscribe through the different Belfius sales channels;
- the Proximus customers will have access to an exclusive, innovative, and attractive digital banking offer developed by Belfius through a specially designed digital platform.

A new home was also found for The Studio, with the sale of BrightKnight (to Reply Ltd.) and the contribution of the remaining operations of The Studio into a new joint venture (Fairville) together with Nuhma and CipalSchaubroeck.

This Beyond strategy gives Belfius additional options for the future, for instance in terms of broadening its customer offer and enhancing its digital distribution power.

2. Commercial performance RC in 2020

The RC commercial activity remained solid in 2020, despite the Covid-19 crisis environment. As of 31 December 2020, **total savings and investments** amounted to EUR 122.5 billion, an increase of 7.2% compared with the end of 2019. The organic growth in 2020 amounted to EUR 7.2 billion, much higher than in 2019, stemming from the large increase in non-maturing deposits (saving and payment accounts), explained by the context of uncertainty linked to the Covid-19 crisis. In 2020, as was already the case in 2019, customers displayed greater interest in capital-protected products, such as payment accounts and saving accounts, in an environment of volatile stock markets. Despite this context, the amount of investments entrusted to Belfius via mandates and service contracts increased by 7.8% in 2020, reaching EUR 12.4 billion, thanks mainly to positive organic growth.

On-balance sheet deposits totalled EUR 78.0 billion as of 31 December 2020, up 8.8% from the end of 2019. This strong increase is fully explained by the exceptional increase of savings in the context of the Covid-19 lockdown. Current and savings accounts reached EUR 19.4 billion (+26.2%) and EUR 50.4 billion (+6.9%) respectively. Investments in term products (savings certificates and term accounts) continue to decrease.

Off-balance sheet investments increased by 8.7%, compared with the end of 2019, to EUR 34.3 billion, despite turbulent and uncertain economic context. This strong increase stems from both positive market effect and positive organic growth.

Life insurance reserves for investment products amounted to EUR 10.1 billion, down 7.3% compared with the end of 2019. Investments in Branch 21 life insurance guaranteed products decreased due to the low interest rate environment. This drop was partially offset by an increase in Branch 23 and Branch 44 products.

Total loans to customers rose strongly (+7.0%), to EUR 56.9 billion as of 31 December 2020. The increase was mainly in mortgage loans (+6.9%) and business loans (+8.4%). Mortgage loans, which account for two-thirds of all loans, amounted to EUR 38.0 billion at the end of 2020, while consumer loans and business loans stood at EUR 1.7 billion and EUR 16.7 billion respectively.

Retail and Commercial (Unaudited)

(In billions of EUR)	31/12/19	31/12/20	Evolution
TOTAL SAVINGS AND INVESTMENTS	114.2	122.5	+7.2%
DEPOSITS	71.7	78.0	+8.8%
Savings accounts	47.1	50.4	+6.9%
Savings certificates	1.3	0.8	-40.4%
Bonds issued by Belfius	7.6	7.4	-3.4%
Current accounts	15.4	19.4	+26.2%
Term accounts	0.3	0.1	-55.2%
OFF-BALANCE SHEET INVESTMENTS	31.6	34.3	+8.7%
LIFE INSURANCE RESERVES⁽¹⁾	10.9	10.1	-7.3%
Capital guaranteed products (Branch 21)	5.9	4.9	-16.5%
Unit-linked products (Branch 23)	2.6	2.7	+3.5%
Combination of capital guaranteed and unit-linked products (Branch 44)	2.4	2.5	+3.5%
of which capital guaranteed products	1.4	1.4	+2.5%
of which unit-linked products	1.0	1.1	+4.9%

(1) Investment products.

New long-term loans granted to retail and commercial clients during 2020 amounted to EUR 11.8 billion, compared with EUR 13.4 billion in 2019. Despite the Covid-19 crisis, new production of mortgage loans was very satisfactory in 2020 and amounted to EUR 6.5 billion (lower than the 8.0 billion in 2019, which had been boosted by the “Woonbonus” scheme in Flanders at the end of 2019). During the same period, EUR 4.6 billion in new long-term business loans were granted, up 1.8% compared with 2019. In 2020, Belfius also assisted 15,189 new start-ups in their development.

Retail and Commercial (Unaudited)

(In billions of EUR)	31/12/19	31/12/20	Evolution
TOTAL LOANS TO CUSTOMERS	53.2	56.9	+7.0%
Mortgage loans	35.5	38.0	+6.9%
Consumer loans	1.8	1.7	-2.8%
Business loans	15.4	16.7	+8.4%
Other retail loans	0.4	0.5	+4.5%

The **total insurance production** from customers in the Retail and Commercial segment reached EUR 2,228 million in 2020, compared with EUR 2,302 million in 2019, a decrease of 3%.

Life insurance production stood at EUR 1,581 million in 2020⁽¹⁾, down by 6% compared with 2019⁽²⁾. Unit-linked (Branch 23) production went down (-6%) due to stock market volatility and the closure of branches during the Covid-19 lockdown period. Traditional Life (Branch 21/26) production decreased (-7%) due to the low guaranteed rates.

Non-life insurance production in 2020 stood at EUR 647 million, up 5% compared with 2019, boosted by the Bank distribution channel (+12%) and DVV Insurance (+2%). Premium collection at Corona, Belfius’ direct insurer, was more than EUR 66 million, down by 5% compared with 2019, dragged down by the discontinuation and sale of the Affinity non-life portfolio. Excluding that impact, growth in the direct channel was 5.1%.

The mortgage loan cross-sell ratio for credit balance insurance decreased to 133% at the end of 2020. The lower cross-sell is mainly due to a switch of production towards more Singles and Private customers. The mortgage loan cross-sell ratio for property insurance remained stable at 85%.

Total insurance reserves in the Retail and Commercial segment amounted to EUR 13.2 billion. Life insurance reserves decreased slightly (-6%) from the end of 2019 to EUR 12.2 billion at the end of 2020. Unit-linked reserves (Branch 23) increased by 4%, while traditional guaranteed life reserves (Life Branch 21/26) decreased by 10%, demonstrating the gradual life product mix transformation from guaranteed products to unit-linked products. Non-life reserves remained stable at EUR 1 billion.

Retail and Commercial (Unaudited)

(In billions of EUR)	31/12/19	31/12/20	Evolution
TOTAL LIFE INSURANCE RESERVES⁽¹⁾	13.0	12.2	-6.0%
Guaranteed products (Branch 21/26)	9.3	8.4	-9.9%
Unit-Linked (Branch 23)	3.6	3.8	+3.9%

(1) Investment products and insurance products.

(1) Of which EUR 719 million Gross Written Premiums and EUR 863 million transfers.

(2) Of which EUR 907 million Gross Written Premiums and EUR 781 million transfers.

3. Financial results RC in 2020

Net income decreased by 23%, from EUR 464 million in 2019, to EUR 359 million in 2020. This is due mainly to an exceptional increase of cost-of-risk provision, as a result of the Covid-19 crisis.

In 2020, **total income** amounted to EUR 1,745 million, up 0.8% compared with the end of 2019, demonstrating the resilience of Belfius RC's business model in the context of the Covid-19 crisis and in an adverse interest rate environment.

- net interest income of the bank amounted to EUR 852 million, a slight decrease of -0.4%, due mainly to margin pressure on non-maturing deposits and partially compensated by the strong loan volume growth at increasing margins;
- net fee and commission of the bank increased strongly by 10.6% and amounted to EUR 572 million. This increase was driven by higher fees from savings and investments, resulting from strong volume growth with increasing entry and management fees (in bps);

Financial Results RC

(In millions of EUR)	2019	2020
INCOME	1,731	1,745
Net interest income bank	855	852
Net fee and commissions bank	517	572
Life insurance contribution	248	232
Non-life insurance contribution	200	214
Other	(90)	(124)
COSTS	(1,057)	(1,080)
GROSS INCOME	674	665
Cost of risk	(37)	(183)
Impairments on (in)tangible assets	(8)	(17)
NET INCOME BEFORE TAXES	630	466
Tax (expense) income	(169)	(108)
NET INCOME AFTER TAXES	461	357
Non-controlling interests	(3)	(1)
NET INCOME GROUP SHARE	464	359
ADJUSTED NET INCOME⁽¹⁾	464	359

(1) Adjusted results are Alternative Performance Measures and are defined and reconciled in the APM-document on the website: www.belfius.com.

Ratios

(in%)	2019	2020
Cost-income ratio ⁽¹⁾	61.0%	61.9%
RoNRE ⁽²⁾	17.4%	12.4%

(1) Expenses relative to income.

(2) Return on Normative regulatory equity (RoNRE) is calculated by Belfius as the net income as a percentage of the average Normative regulatory equity.

Normative regulatory equity & risk exposures

(In millions of EUR)	2019	2020
Normative regulatory equity ⁽¹⁾	2,819	2,833
Regulatory risk exposures	21,076	23,791

(1) The Normative regulatory equity of the business line is calibrated. The business line's CET 1 ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line and some CET 1 capital deductions allocated to the business line (to a very limited extent, since the most important part of CET 1 capital deductions are allocated to GC).

- life insurance contributions amounted to EUR 232 million, down 6.7% compared with 2019. Life income was strongly impacted by the negative specific items coming from the fair value and lower capital gains compared with 2019. Without this impact, Life without specifics was above the previous year, due mainly to excellent financial management and ALM;
- non-life insurance contribution strongly increased by 6.8% and amounted to EUR 214 million following excellent results from all channels. This was despite the setting aside of provisions for physical injuries related to the so-called indicative tables (EUR 31 million);
- other income amounted to EUR -124 million in 2020 compared with EUR -90 million in 2019, a decrease of EUR 34 million, stemming mainly from higher cost-of-sector bank levies in 2020 of EUR 10 million, lower income from financial market activities and lower received dividends.

In 2020, **total expenses** amounted to EUR 1,080 million, an increase of EUR 23 million or 2.2% compared with 2019. This increase stemmed mainly from increasing IT investments and from exceptional amortisations on internally developed software, given the rapid changes in technology and the accelerated uptake of digital services as a consequence of the Covid-19 pandemic. Staff expenses, network costs and general expenses in RC were lower in 2020 compared with 2019.

As a result, **gross income** decreased to EUR 665 million in 2020, down EUR 9 million or -1.4% compared with 2019.

The **cost of risk** amounted to EUR 183 million in 2020, a strong increase of EUR 146 million compared with 2019. Unsurprisingly, the cost of risk in 2020 was heavily impacted by the Covid-19 situation. Stage 2 expected credit losses increased in 2020, reflecting our anticipated best estimate with respect to the economic effects (both on macroeconomic and on debtor level) of the pandemic.

Impairments on tangible and intangible assets amounted to EUR 17 million, composed mainly of an impairment on ATM in bank branch building (EUR 12 million), an impairment on agency buildings (EUR 2 million) and an impairment on Jaimy (EUR 2 million).

Pre-tax income stood at EUR 466 million, down EUR 164 million or -26.1% compared with 2019.

Tax expenses amounted to EUR 108 million in 2020 compared with EUR 169 million in 2019. This decrease was due mainly to lower profit before taxes.

As a result, **RC net income Group share** decreased by 22.7% and amounted to EUR 359 million in 2020.

There was no special item in RC in 2020, hence the **adjusted net income RC** amounted to EUR 359 million in 2020, down 22.7% compared with adjusted net income RC 2019.

RC cost-income ratio amounted to 61.9% in 2020, compared with 61.0% in 2019. The Return on Normative Regulatory Equity (RoNRE) stands at 12.4%, compared with 17.4% in 2019.



“ ”

Belfius has an omni-channel business model aimed at striking the right balance between human interactions and efficient, user-friendly digital and remote-access interactions.”

Sylvie Busschaert
Director Strategy & Corporate Office



Public and Corporate (PC)

1. Business description PC

Belfius offers a comprehensive range of products and services to approximately 10 440 public and social sector institutions and 11 490 corporates. The Bank continued to lead the market in the public and social sector segment, thanks to its more than 160 years of involvement in the sector. In addition, Belfius continued its successful growth strategy in the Corporate segment, expanding its market share for loans to corporates from 8.7%⁽¹⁾ in 2013 to 17.5%⁽¹⁾ in 2020.

1.1. Customer segmentation

Belfius offers a comprehensive range of banking and insurance products and services, aimed at public and social sectors (Public and Social) and medium and large-sized Belgian corporates (Corporate). The public and social sector segment, comprising approximately 10,440 customers, includes local public authorities (e.g. municipalities, provinces, police zones and Public Centres for Social Welfare), supra-local public entities (e.g. intermunicipal companies), regional and federal public institutions, health insurance funds and trade unions, healthcare providers (hospitals, retirement homes), education (e.g. universities, schools) and housing, as well as other customers, such as foundations, social secretariats and pension funds.

In the corporate customer segment, Belfius serves approximately 11,490 medium-sized and large corporates operating in Belgium in all sectors, with an annual turnover in excess of EUR 10 million.

(1) Belfius' own estimate

“ ”
Number 1
in the public
and social sector
and a
leading partner
for corporates.

1.2. Distribution Channels

The commercial network for the public and social sector business includes 42 bankers spread across three regions. Relationship managers are dedicated to specific segments of customers and therefore have significant insight into how their customers function, allowing the managers to find the most appropriate banking and insurance solutions.

The commercial network for the corporate clients includes 73 corporate bankers spread across four regions. In addition, a group of corporate bankers is focused on serving local medium-sized corporates in the local branch network.

In the Public and Corporate segment, the banker acts as the central point of contact or “hub” in the commercial relationship with the customer. He or she is the sole contact and maintains a relationship of

trust with the customer throughout the customer lifecycle. Corporate and Public bankers can also, at any time, call on in-house experts, known as “spokes”, for the various product and service lines, e.g. for matters related to investments, financing, Cash Management Services (formerly servicing), Trade Finance, Belfius Commercial Finance, insurance and leasing. This “hub-and-spokes” approach is at the heart of Belfius’ Public and Corporate customer service model.

Even though the primary customer contact is the banker, due to the nature and volume of transactions, digital platforms are still the most prevalent servicing tools among customers. Belfius was also the first bank in Belgium to offer a mobile banking application tailored to the needs of the public and corporate segments (e.g. allowing entities to safely sign transactions without limits on the amounts).

Belfius has a digital offering with its totally renewed BelfiusWeb application. This application offers more features and new functionalities, enabling customers to combine account information and initiate payments within our digital channels (desktop and mobile).

In this context and since March 2019, Belfius now enables its Corporate customers to make drawdowns on Straight Loans or Roll-Over credits directly via the new BelfiusWeb.

In June 2020, Belfius launched Smarty, a new fast and secure online platform that deals with application forms (accounts, cards, BelfiusWeb, etc.) at Belfius. Available 24 hours a day, 7 days a week, everything goes through digital channels and saves customers considerable time. They can also sign documents on their smartphone.

1.3. Products

Belfius offers a range of traditional and specific products for companies and public and social sector entities, helping them to develop their business and manage their cashflow.

Payment Products

Parallel to its standard bank offering, which includes accounts, debit cards, credit cards and cash pooling, as well as a full range of payment methods, Belfius also offers payment products suited to the various needs of Public & Corporate customers, such as social accounts and prepaid cards. There are also solutions for online payments, with the renewal of the contract with online payment specialist Mollie, and the exclusive collaboration with Twikey for all direct debit requirements, as well as new methods for requesting payments and e-invoicing.

In the context of PSD2, Belfius aims to position itself as an account aggregator. Through BelfiusWeb, Belfius offers account management with other banks and also enables payment transactions to be carried out from these accounts.

For its terminals, Belfius signed an agreement to work with PayWorld (in addition to the existing partnership with Worldline), a new partner in the world of in-store payments, with a high level of servicing and an attractive subscription model for Business customers.

For its Corporate customers that also operate abroad, Belfius offers a wide range of products and tailor-made solutions through its newly created Transaction Banking division, bringing together all solutions to support customers operating internationally. Outside Belgium, Belfius works with a strong network of foreign banks, both in Europe and worldwide.

To support its public customers, Belfius offers cashier and cash management services, and is the long-time cashier for all regional Belgian authorities, bar one, and almost all Belgian municipalities. In 2019, Belfius embarked on the contract from the Wallonia-Brussels Federation (French community), as well as the ones for COCOM and IRISCARE. Through the IRISCARE contract, Belfius is handling the payment of family allowances

in Brussels from 1/1/2020 onwards. Also to be noted are the renewal of the contract with the German-speaking Community and the addition of Famiwal to the WPS (Wallonia Public Service) cash management contract.

Belfius places great importance on the security of transactions and is constantly monitoring its internal procedures for preventing fraud. Belfius has also developed an additional 3-pronged security offering to assist corporates and public authorities with the prevention, detection and management of cyber fraud risks. Belfius and its partners then perform a scan of in-house procedures, an IT audit of the customer's security systems and an anti-fraud analysis programme.

Financing Products

Belfius offers its Public & Corporate customers a range of long-term and short-term credit products to enable them to finance and develop their business.

The credit services and products include a specialised set of financing solutions tailored to their specific needs.

Firmly believing that granting credit quickly to healthy businesses may prove to be essential for getting them through the Covid-19 crisis, Belfius now includes a "State-backed Covid-19 loan" as part of its system for lending. An adapted credit application form has been made available to clients.

Our solid financial base has enabled us to offer our support to a very large number of Belgian businesses that have requested deferment of their loan repayments or an increase in their line of credit, 37,719 payment deferments for corporate loans and lease contracts have been granted as a result.

- Leasing Services: Through its wholly owned subsidiaries, Belfius Lease and Belfius Auto Lease, Belfius also offers various financial and operational leasing solutions;
- Debt Capital Markets (DCM): Belfius is widely acknowledged for its expertise in guiding Belgian bond issuers on the financial markets in the semi-public and corporate sectors;
- Equity Capital Markets (ECM): Belfius is also active in the equity capital markets through the structuring and placement of capital market transactions for its Belgian corporate customers (IPOs, capital increases and private placements of shares). To expand its range of services, Belfius entered into a strategic partnership with Kepler Cheuvreux in 2017. In 2020, Belfius positioned itself as the leading bank operating in ECM in Belgium, being number one in the Belgian market in terms of number of deals of Belgian corporates executed in Equity Capital Markets. Belfius also received the award for "Best Equity Finance House of the Year 2020" from Euronext Brussels. This prestigious and highly coveted award confirms the strategic role that the bank plays in advising its customers and offering them alternative financing methods on the capital markets;
- Real Estate Financing: The real estate department of Belfius has helped build and finance over 1,000 projects in the past 25 years, mainly for public and social sector authorities. Belfius is able to offer to these customers a combination of in-house architects, engineers and project managers specialised in construction and financing;
- Infrastructure Financing: Belfius is a key player in the structuring and financing of large infrastructure investment projects in Belgium, including green energy projects and semi-public real estate and infrastructure projects financed through structured loans, syndicated loans and PPP finance;
- Trade and Export Financing: Belfius offers Belgian companies that also operate abroad a full array of products and services in trade and export finance, from documentary credits to buyer credits. The transactions are executed through a wide network of correspondents, giving Belfius a presence in all major countries around the world. Belfius has just been voted 'Belgium's Best Trade Finance Provider 2021'. This award recognises the efforts made over the past year by Belfius to help and guide Belgian businesses on a daily basis in their import and export activities.

“ ”
Leading bank
in ECM by the
number of ECM
deals in Belgium,
thanks
to strategic
partnership with
Kepler Cheuvreux.

Savings and Investment Products

Belfius offers two categories of savings and investment products to its Public and Corporate segment: on-balance sheet products, such as savings accounts, term accounts, saving certificates and bonds issued by Belfius; and off-balance sheet products, such as discretionary portfolio management, mutual investment funds and bonds issued by third parties. Dedicated product managers create savings and investment products for Public and Corporate customers that respond to their specific needs in terms of risk, structure and duration. Given the persistently low interest rate environment, Belfius applies negative interest rates on sight and savings accounts above certain thresholds which are determined taking into account the global client relationship.

Insurance Products

Belfius Insurance also offers life insurance products to public and social sector customers. Specific life insurance solutions are offered, especially pension insurance in the first and second pension pillars for civil servants.

People Rewards

Belfius also offers a range of financial and insurance products, such as warrants, Belfius car lease and life insurance to all employers wishing to reward their staff as part of a variable remuneration policy.

Belfius also provides a long-term Options Plan. All of Belfius' long-term Option Plans are managed electronically via the MyPlansByBelfius web application.

Cirklo

To make a practical contribution towards the recovery of the local economy, Belfius launched "Cirklo" in June. Using this application, towns and municipalities are able to offer their residents digital shopping vouchers for making purchases in local outlets.

Financial Analysis

Belfius conducts annual financial analyses, offering its customers insights into topics such as the development of local, municipal and provincial finances, including specific focus points for each local authority. Bespoke financial analysis is also offered to individual municipalities and hospitals, not only providing customers with insights in their own finances and also benchmarking them with regional averages or a peer groups. These studies have become key reference management tools for Belfius' public and social sector customers.

Continuing what has now become a tradition, Belfius Bank also presented its state of local finances report in 2020. The 2020 study not only covered municipal budgets, but also the impact of Covid-19 on local authority finances.

SYMIA is a tool that enables local municipalities to view their financial situation over a period of 7 years. This application works on behalf of local authorities and citizens and enables them to view movements in budgets in the long term, as well as to manage budget constraints and measure the financial impact of policy choices while also keeping citizens informed. A Covid-19 module has since been added to the tool.

For the 26th time, Belfius examined the financial situation of general hospitals in Belgium and analysed the figures of the year 2019. A module for estimating the impact of the Covid-19 crisis was also developed.

1.4 Proactive partner in the energy transition

In view of the challenges faced by public institutions and companies in Belgium, Belfius seeks to be a proactive participant in our customers' projects and to play an active part in their transitions towards more sustainable economies.

Given the challenges facing public institutions and businesses in Belgium, Belfius is also seeking to expand its range of sustainable product and service solutions.

Faced with the many climate challenges, Belfius introduced a comprehensive approach (CO₂ impact loans) to help guide customers wanting to make investments designed to reduce their emissions of CO₂. To achieve this aim, Belfius has entered into a partnership with a company recognised internationally as a climate expert (CO2logic) and has developed the CO₂ Impact Loan.

The aim of the CO₂ Impact Loan with CO2logic is to guide businesses and local authorities from A to Z in reducing their emissions of CO₂, regardless of their commitments, their maturity and their ambitions.

The partnership that Belfius Bank and CO2logic set up together a few months ago to work on carbon neutrality, is being expanded to include a new segment dealing with the improvement of air quality. Airscan – a subsidiary of CO2logic – and Belfius aim to equip a large group of schools with peak measuring equipment for analysing the quality of the air, both inside and outside schools. Based on the readings taken, an action plan will be put in place in conjunction with the schools to create a healthier environment for the children in the classrooms, while at the same time dramatically lowering the CO₂ footprint.

Modernising and thoroughly renovating many buildings is a must. Solutions for making them more intelligent – and particularly for consuming less energy and hence reducing CO₂ emissions, are at the forefront of our thinking. With that aim in mind, Belfius offers the Smart Building & Renovation Solution, a tailored, all-in package designed to provide help and guidance with sustainability, from A to Z, to schools, care institutions, companies and local authorities at the various stages of their projects (starting from approximately 1 million euro), from technical and energy audits, right through to the final handover of the building. With its Smart Building & Renovation Solution, Belfius is assisting the government in one of the main pillars of the National Investment Pact, as well as with the urgent modernisation and upgrading needs facing the building stock in Belgium.

Belfius is developing an innovative and all-encompassing mobility strategy that meets the current and future needs of companies and employees, calling on the help of its partners, which are among the best in the country.

Belfius and Lab Box (the start-up studio of D'leteren Auto) have invested a total of EUR 7 million in Skipr, with Belfius becoming a leading shareholder. Skipr offers the ideal all-in-one mobility solution for employers in the public and private sectors, their employees and self-employed workers. Having Belfius on board is part of an exclusive strategic partnership agreement that will enable Skipr to launch an innovative and ambitious development plan.

Finally, Covid-19 and lockdown have totally changed the way we view mobility, with a strong increase in bicycle use, which is likely to remain post Covid-19. Belfius understands this and now offers companies a comprehensive bicycle leasing package called Belfius Bike Lease.

“ ”

In view of the challenges faced by companies and public institutions in Belgium, Belfius seeks to play an active role in their transitions towards more sustainable business models.

Matthias Baillieul,
Chief Strategy & Marketing
Business, Corporate & Public Banking



2. Commercial performance PC in 2020

As of 31 December 2020, **total savings and investments** amounted to EUR 41.4 billion, up 11.2% compared with the end of 2019. On-balance-sheet deposits increased by EUR 3.1 billion (+13%) to EUR 26.3 billion. Off-balance-sheet customer investments, increased by 8.5% to EUR 14.7 billion. Life insurance reserves on investment products decreased slightly to EUR 0.4 billion.

Public and Corporate (Unaudited)

(In billions of EUR)	31/12/19	31/12/20	Evolution
TOTAL SAVINGS AND INVESTMENTS	37.2	41.4	+11.2%
Deposits	23.2	26.3	+13.2%
Off-balance sheet investments	13.5	14.7	+8.5%
Life insurance reserves ⁽¹⁾	0.5	0.4	-9.1%

(1) Investment products.

Total outstanding loans fell slightly to EUR 40.4 billion (-0.5%). In Public & Social Banking, the decrease of outstanding loans continues and is the result of lower demand, increased competition in the segment and a structural shift towards more alternative financing via the (debt) capital markets. Outstanding on Corporate loans grew by EUR 1.3 billion, due mainly to increased drawing on roll-over loans, mainly in 2Q 2020, in the context of the Covid-19 crisis.

Public and Corporate (Unaudited)

(In billions of EUR)	31/12/19	31/12/20	Evolution
TOTAL OUTSTANDING LOANS	40.6	40.4	-0.5%
Public and Social	25.7	24.2	-5.7%
Corporate	14.9	16.2	+8.4%
OFF-BALANCE SHEET COMMITMENTS	20.7	22.9	+10.7%

Belfius granted EUR 8.2 billion (+14%) in **new long-term loans** in the Belgian economy to Corporate and Public and Social sector customers.

The production of long-term loans for Corporate customers amounted to EUR 5.6 billion (+16%), confirming Belfius' position as one of the top four banks in the segment. Its market share in terms of loans increased from 16% in 2019 to an estimated 17.5% at the end of 2020.

In 2020, Belfius granted EUR 2.6 billion (+11%) of new long-term financing to the public sector. Belfius remains the undisputed leader in this market and responds to every financing tender issued by public bodies, to which it offers sustainable financing conditions. Belfius manages the cashflow of virtually all local authorities and was awarded 64% (in number of files) of the public sector financing files put out to tender in 2020.

Belfius also further strengthened its leading position in the **Debt Capital Markets** (DCM) for (semi-)public and private companies: in 2020, the bank issued EUR 7.6 billion (EUR +1.7 billion) in innovative financing instruments in the form of short-term issues (average outstanding amount on commercial paper) and long-term issues (Medium Term Notes and bonds).

The Public and Corporate segment's commercial results in **insurance** decreased in terms of underwriting volumes, in particular for:

- **non-life GWP**: Implementation of run-off strategy in Brokers and Bancassurance led to a normal decrease of GWP compared with 2019 (-8.4%) to EUR 90 million;
- **production in the life segment**, which exceeded 2019 by EUR 19 million with EUR 249 million, thanks to overperformance on first and second pillar, in combination with higher production in segregated funds. Production in Branch 26 remains close to zero as provided for in the strategy, or EUR 30 million lower than in 2019.

Public and Corporate (Unaudited)

(In millions of EUR)	31/12/19	31/12/20	Evolution
TOTAL PREMIUMS RECEIVED	329	339	+3.1%
Life	230	249	+8.1%
Non-life	98	90	-8.4%

3. Financial results PC in 2020

Net income decreased by 71%, from EUR 179 million in 2019 to EUR 52 million in 2020. This is due to an exceptional increase of cost of risk provision, as a result of the Covid-19 crisis.

In 2020, **total income** amounted to EUR 613 million, up EUR 63 million, or +11%, compared with 2019.

- net interest income of the bank amounted to EUR 483 million, up 11% compared with 2019. This is due mainly to a strict pricing discipline on savings and investments, higher loans volumes and margins and positive impact from the extensive restructuring of a specific corporate leasing file in January 2020;
- the bank's net fee and commission income increased significantly in 2020, to EUR 57 million (EUR +9 million);
- the life insurance business ended with a result of EUR 42 million in 2020, 13% lower than in 2019;
- non-life insurance contribution increased strongly from EUR -1 million in 2019 to EUR 30 million in 2020, as a result of a sharp decrease of the non-profitable run-off portfolio.

In 2020, **total expenses** were 246 million EUR, a rise of 8% compared with 2019. This was mainly as a result of accelerated depreciations in 2020 resulting from the revised service life of software developed in-house given the rapid changes taking place in technology and faster uptake in the use of digital services.

As a result, **gross income** was EUR 367 million in 2020, an increase of EUR 45 million, or +14% compared with 2019.

The **cost of risk** amounted to EUR 304 million in 2020 (compared with EUR 77 million in 2019). This unprecedented situation stems from an extremely high number of contracts moving to stage 2 in 2020. The impairments on (in)tangible assets was nil this year.

As a result, **pre-tax income** amounted to EUR 64 million, this was EUR 182 million lower than in 2019.

The **tax charge** amounted to EUR 12 million in 2020, while it was EUR 67 million in 2019.

As a result, the **PC net income Group share** reached EUR 52 million in 2020, while it amounted to EUR 179 million in 2019.

There was no special item in PC in 2020, so the **adjusted net income PC** was EUR 52 million in 2020 compared with EUR 179 million adjusted net income in 2019.

PC cost-income ratio was 40.1% in 2020, down from 41.5% in 2019. The Return on Normative Regulatory Equity (RoNRE) was 1.9%.

Financial Results PC

(In millions of EUR)	2019	2020
INCOME	550	613
Net interest income bank	436	483
Net fee and commissions bank	48	57
Life insurance contribution	48	42
Non-life insurance contribution	(1)	30
Other	20	1
COSTS	(228)	(246)
GROSS INCOME	322	367
Cost of risk	(77)	(304)
Impairments on (in)tangible assets	1	0
NET INCOME BEFORE TAX	246	64
Tax (expense) income	(67)	(12)
NET INCOME AFTER TAX	179	52
Non-controlling interests	0	0
NET INCOME GROUP SHARE	179	52
ADJUSTED NET INCOME⁽¹⁾	179	52

(1) Adjusted results are Alternative Performance Measures and are defined and reconciled in the APM-document on the website: www.belfius.com.

Ratios

(in%)	2019	2020
Cost-income ratio ⁽¹⁾	41.5%	40.1%
RoNRE ⁽²⁾	7.0%	1.9%

(1) Expenses relative to income.

(2) Return on Normative regulatory equity (RoNRE) is calculated by Belfius as the annualized net income as a percentage of the average Normative regulatory equity.

Normative regulatory equity & risk exposures

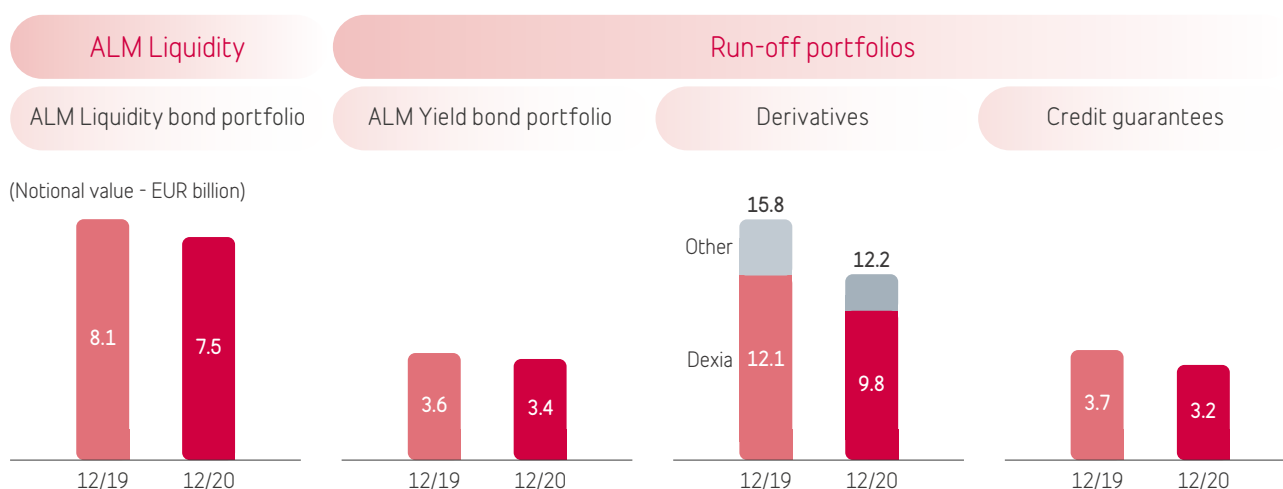
(In millions of EUR)	2019	2020
Normative regulatory equity ⁽¹⁾	2,676	2,768
Regulatory risk exposures	20,019	22,410

(1) The Normative regulatory equity of the business line is calibrated. The business line's CET 1 ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line and some CET 1 capital deductions allocated to the business line (to a very limited extent, since the most important part of CET 1 capital deductions are allocated to GC).

Group Center (GC)

Group Center operates through two sub-segments:

- Run-off portfolios, inherited from the Dexia era, which mainly comprise:
 - a portfolio of bonds issued by international issuers, particularly active in the public and regulated utilities sector (which includes UK inflation-linked bonds) and ABS/RMBS, the so-called ALM Yield bond portfolio;
 - a portfolio of credit guarantees, comprising credit default swaps and financial guarantees written on underlying bonds issued by international issuers, and partially hedged by Belfius with monoline insurers (mostly Assured Guaranty); and
 - a portfolio of derivatives with Dexia entities as counterparty and with other foreign counterparties.
- ALM liquidity and rate management and other Group Center activities, composed of liquidity and rate management of Belfius (including its ALM Liquidity bond portfolio, derivatives used for ALM management and the management of central assets) and other activities not allocated to commercial activities, such as corporate and financial market support services (e.g. Treasury), the management of two former specific loan files inherited from the Dexia era (loans to Gemeentelijke Holding/Holding Comunal and Arco entities), and the Group Center of Belfius Insurance.



1. ALM Liquidity bond portfolio

The ALM Liquidity bond portfolio is part of Belfius Bank's total LCR liquidity buffer and is well diversified with high credit and liquidity quality.

At the end of 2020, the ALM Liquidity bond portfolio stood at EUR 7.5 billion⁽¹⁾, down EUR 0.6 billion, or -7%, compared with December 2019. The decrease was

due mainly to the partial deleveraging of EUR 0.6 billion of Italian sovereign bonds. At the end of 2020, the portfolio was composed of sovereign and public sector bonds (62%), covered bonds (32%), corporate bonds (4%) and asset-backed securities (2%). Belgian and Italian government bonds in the ALM Liquidity bond portfolio both amounted to EUR 1.5 billion⁽¹⁾ and EUR 0.9 billion⁽¹⁾ respectively.

At the end of 2020, the ALM Liquidity bond portfolio had an average life of 6.9 years, and an average rating of A- (99.9% of the portfolio being investment grade) compared with BBB+ at year-end 2019. The average rating improved thanks to the partial deleveraging of the Italian sovereign position.

2. ALM Yield bond portfolio

The ALM Yield bond portfolio of Belfius Bank was used to manage excess liquidity (after optimal commercial use in the business lines) and consisted mainly of high-quality bonds from international issuers.

At the end of 2020, the ALM Yield bond portfolio stood at EUR 3.4 billion⁽¹⁾, down EUR 0.1 billion or -3.8%, compared with

December 2019. At the end of 2020, the portfolio was composed of corporates (72%), sovereign and public sector (12%), asset-backed securities (10%), and financial institutions (6%). Almost 85% of corporate bonds, composed mainly of long-term inflation linked bonds, are issued by highly regulated UK hospitals, infrastructure companies and utilities such as water and electricity distribution companies. These bonds are of satisfac-

tory credit quality and the majority of these bonds are covered by credit protection from a credit insurer (monoline insurer) that is independent from the bond issuer.

At the end of 2020, the ALM Yield bond portfolio had an average life of 19.2 years. The average rating of the ALM Yield bond portfolio stood at A. 97% of the portfolio was investment grade.

3. Derivatives with Dexia entities and foreign counterparties

During the period it was part of the Dexia Group, formerly Dexia Bank Belgium (now Belfius Bank), it was Dexia Group's "competence centre" for derivatives (mainly interest rate swaps): this meant that all Dexia entities were able to cover their market risks with derivatives with Dexia Bank Belgium, mainly under standard contractual terms related to cash collateral. The former Dexia Bank Belgium systematically rehedged these derivative positions externally, as a result of which these derivatives broadly appear twice in Belfius' accounts: once in relation to Dexia entities and once for hedging.

The total outstanding notional amount of derivatives with Dexia entities and interest rate derivatives with international counterparties amounted to EUR 12.2 billion⁽¹⁾ at the end of 2020, down EUR 3.6 billion, or -23%, compared with EUR 15.8 billion at the end of December 2019⁽²⁾.

Derivatives with Dexia entities decreased by 19% (or EUR -2.2 billion) to EUR 9.8 billion at the end of 2020. This decrease is due mainly to amortisations. Derivatives with international counterparties decreased by EUR 1.4 billion (or -37%) to EUR 2.4 billion at the end of 2020. This strong decrease in non-collateralised foreign counterparty derivatives is mainly the

result of the novation in June 2020 of derivatives with counterparty CAFFIL (Caisse Française de Financement Local) to its holding SFIL and subsequently cleared by LCH.

The fair value of Dexia and international counterparty derivatives amounted to EUR 2.9 billion at the end of 2020. After collateralisation, the Exposure at Default (EAD) amounted to EUR 0.9 billion.

At the end of 2020, the average rating of the total portfolio stood at BBB and the average residual life of the portfolio stood at 12.8 years⁽³⁾.

(1) Nominal amount.

(2) Pro forma figure. Please note that Kofiba (ex-Dexia Kommunalbank Deutschland / DKD) bought in 2Q 2019 by Helaba and therefore out of Dexia Group is now a collateralised derivative on a foreign counterparty and therefore no longer reported here.

(3) Calculated on EAD.

4. Credit guarantees

At the end of 2020, the credit guarantees portfolio amounted to EUR 3.2 billion⁽¹⁾, down EUR 0.6 billion or -15% compared with December 2019. It relates essentially to Financial Guarantees, and Credit Default Swaps issued on corporate/public issuer bonds (91%) and ABS (9%). The good credit quality of the underlying reference bond portfolio, additional pro-

tection against credit risk incorporated in the bond itself and the protections purchased by Belfius, mainly from various monoline insurers (US reinsurance companies, essentially Assured Guaranty) resulted in a portfolio that is 99% investment grade in terms of credit risk profile. This portfolio also contains Total Return Swaps for an amount of EUR 0.2 billion⁽¹⁾.

At the end of 2020, the average rating of the portfolio stood at A- (compared with A at year end 2019). The average residual life of the portfolio stood at 9.0 years.

“ ”
Strong
decrease
in derivatives
within
the run-off
portfolio.

5. Other Group Center activities

Other activities allocated to Group Center include:

- the interest rate and liquidity transformation activity performed within ALM, after internal transfer pricing with commercial business lines, including the use of derivatives for global ALM management;
- the management of two legacy loan files inherited from the Dexia era, i.e. the investment loans to two groups in liquidation, namely Gemeentelijke Holding/Holding Communal and some Arco entities;
- the flow management, including hedge management, of internal and external interest rate derivative flows given that Group Center is the Belfius Competence Centre for interest rate derivatives;
- treasury activities (money market activities); and
- the results including revenue and costs on assets and liabilities not allocated to a specific business line.

The Group Center of Belfius Insurance is also fully allocated to these other Group Center activities. The Belfius Insurance Group Center contains income from assets not allocated to a specific business line, the cost of Belfius Insurance's subordinated debt, the results of certain of its subsidiaries and costs that are not allocated to a specific business line.

(1) Nominal amount.

6. Financial results GC in 2020

Net income stood at EUR 121 million in 2020, compared with EUR 25 million in 2019.

In 2020, **total income** amounted to EUR 255 million, which was EUR 48 million more than in 2019. This strong increase stems from the net interest income and results mainly from interest rate transformation results and money market transactions, including the impact of the two-tier system set by the ECB (new facilities to deposit money at ECB at a non-negative rate).

Total expenses decreased from EUR 167 million in 2019 to EUR 139 million in 2020, mainly following lower general expenses and a lower restructuring provision than in the previous year.

The **gross income** improved from EUR 40 million in 2019 to EUR 116 million in 2020.

The **cost of risk** stood at EUR +33 million in 2020, compared with EUR +3 million in 2019. The main part of the positive amount of 2020 is explained by a reversal on a specific file. There was no impairment on (in)tangible assets in 2020 as in 2019.

Pre-tax income stood at EUR 149 million in 2020 compared with EUR 42 million in 2019.

Taxes amounted to EUR 27 million in 2020 compared with EUR 16 million in 2019. In 2019, we recorded the positive impact of a reversal of EUR 6 million following the prescription of a tax uncertainty within London Branch, but a negative impact from fiscal losses in Ireland. In 2020, in addition to the lower corporate tax rate in effect from this year (25% vs 29.58% in 2019), we saw the positive impact of EUR 10 million following the recovery and reversal of tax uncertainties related to fairness tax.

As a result, **Belfius' GC net income group share** amounted to EUR 121 million in 2020, compared with EUR 25 million in 2019.

Excluding special items, the **adjusted net income GC** stood at EUR 107 million in 2020, compared with EUR 41 million in 2019.

Financial Results GC

(In millions of EUR)	2019	2020
INCOME	207	255
Net interest income bank	197	254
Net fee and commissions bank	(2)	(6)
Life insurance contribution	(2)	0
Non-life insurance contribution	0	0
Other	14	7
COSTS	(167)	(139)
GROSS INCOME	40	116
Cost of risk	3	33
Impairments on (in)tangible assets	0	0
NET INCOME BEFORE TAXES	42	149
Tax (expense) income	(16)	(27)
NET INCOME AFTER TAXES	26	122
Non-controlling interests	1	1
NET INCOME GROUP SHARE	25	121
ADJUSTED NET INCOME⁽¹⁾	41	107

(1) Adjusted results are Alternative Performance Measures and are defined and reconciled in the APM-document on the website: www.belfius.com.



Capital management

This chapter is an integrated part of the consolidated annual financial statements.

Capital management at the Bank

1. Prudential supervision

1.1. Minimum Requirement

Belfius Bank reports on its solvency position on a consolidated level and on a statutory level in line with CRR/CRD IV regulations:

- the minimum capital requirements ("Pillar 1 requirements") as defined by Article 92 of Regulation (EU) No 575/2013 (CRR);
- the capital requirements that are imposed by the decision following the SREP pursuant to Article 16(2)(a) of Regulation (EU) No 1024/2013 and which go beyond the Pillar 1 requirements ("Pillar 2 requirements");
- the combined buffer requirement as defined in Article 128(6) of Directive 2013/36/EU (CRD IV).

As a result of the annual "Supervisory Review and Evaluation Process" (SREP) finalised by the ECB at the end of 2019, Belfius must comply for 2020 with a minimum CET 1 ratio of 10.57% (including the countercyclical capital buffer), composed of:

- Pillar 1 minimum of 4.5%;
- Pillar 2 Requirement (P2R) of 2%;
- capital conservation buffer (CCB) of 2.5%;
- buffer for (other) domestic systemically important institutions (O-SII buffer) of 1.5% (imposed by the National Bank of Belgium); and
- countercyclical capital buffer (CCyB) of 0.07%.

Belfius has to respect the full combined buffer requirements (capital conservation buffer, countercyclical capital buffer, buffer for systemically important institutions and systemic risk buffer) and the Pillar 2 buffer requirements. Note that the ECB also notified Belfius of a Pillar 2 Guidance (P2G) of 1% CET 1 ratio for 2020, a recommended buffer to be held over the minimum requirements set out above.

On 11 March 2020, the Financial Policy Committee (FPC) of the Bank of England reduced the UK countercyclical buffer rate to 0% of bank exposures to UK borrowers with immediate effect, to support further the ability of banks to supply the credit needed to bridge a potentially challenging period due to the economic shock from Covid-19.

For similar reasons, the National Bank of Belgium decided to reduce the Belgian countercyclical buffer rate of banks' exposures to Belgian borrowers. On 28 June 2019, the NBB announced it was going to increase the CCyB from 0% to 0.5% as from 1 July 2020. On 11 March 2020 (in light of Covid-19) the decision was revoked and the rate kept at 0% until further notice.

And on 18 March 2020, the French Haut Conseil de Stabilité Financière followed and set its countercyclical buffer at 0%.

Following these measures, the countercyclical capital buffer requirement for Belfius is now below 0.5bp, relating to Belfius' very limited exposures under the countercyclical buffer requirements of Luxembourg, Hong Kong, Slovakia, Norway, Bulgaria and the Czech Republic.

Due to ECB measures, notified to Belfius on 8 April 2020, banks are able to use capital instruments that do not qualify as Common Equity Tier 1 (such as Additional Tier 1 or Tier 2 instruments) to partially meet Pillar 2 Requirements (P2R - Article 104-a of CRD IV). As a result the P2R total capital buffer of 2% can be split into:

- 1.125% to meet CET 1 instruments;
- 0.375% to meet Additional Tier 1 instruments and;
- 0.5% to meet Tier 2 instruments.

Since 2Q 2020, Belfius has therefore had to comply with a minimum CET 1 ratio of 9.625%, which is composed of:

- a Pillar 1 minimum of 4.5%;
- a Pillar 2 Requirement (P2R) of 1.125%;
- a capital conservation buffer (CCB) of 2.5%;
- a O-SII buffer of 1.5%; and
- a total countercyclical capital buffer of 0%.

The ECB has also confirmed the Pillar 2 Guidance (P2G) for Belfius of 1% CET 1 ratio for 2020, setting the minimum requirement at 10.625%.

At the end of 2020 the ECB informed Belfius that the ECB is not issuing a SREP decision for the 2020 SREP cycle and that the previous '2019 SREP Decision' from the end of 2019 and its amendments remains into force. As a result, Belfius must comply for 2021 with an unchanged minimum CET 1 ratio of 9.625%.

The consolidated CET 1 ratio of Belfius at the end of 2020 stood at 17.11%, well above the 2020 applicable CET 1 capital requirement mentioned above.

Further to these regulatory requirements, Belfius stated in its Risk Appetite Framework that, in normal market circumstances and under stable regulations, it would strive to respect a minimum operational CET 1 ratio of 13.5%, on solo and consolidated levels - this was defined before the Covid-19 pandemic. Even during the Covid-19 pandemic, Belfius continued its support of the Belgian economy, in line with the request of the regulators. As a result, a temporary exemption was validated by the Board of Directors in 1H 2020, to reduce the minimum operational CET 1 ratio to a zone of 12.5% - 13.5%. The reduction in the CET 1 ratio should exclusively cover any credit risk deterioration and loss provisioning, if needed, in order to keep on supporting the Belgian economy. The former minimum operational CET 1 ratio level of 13.5% will be restored once the economic and financial context has normalised.

Please
also refer to the
consolidated
statement
of changes in equity
in the Financial
Statements.

1.2 Applied methodology

In line with CRR/CRD IV regulations part TEN, Belfius was authorised to apply transitory measures in the calculation of its regulatory own funds with limited impact on the regulatory risk exposure. The Belgian application of these measures is described in the Royal Decree of 10 April 2014 (published on 15 May 2014) and was referenced as the “phased in” calculation. The measures impacting the CET 1 capital ended on 31 December 2017 and Belfius Bank has no Tier 2 Instruments subject to the transitional measures applicable until 31 December 2021.

Following the amendments of CRR article 473a in 2020, Belfius requested and was granted by the ECB the application of transitional measures for the first time adoption impact and all subsequent impacts of IFRS 9 on the expected credit loss model from 31 December 2020. As a result, the solvency metrics of 2020 are referenced as “transitional” for both the CET 1 capital and the risk exposure amounts. For a detail of the other CRR 2 Covid-19-related regulatory relaxations and their impact on the CET 1 capital and the risk exposure amounts, please see section 4 in this chapter.

The regulator authorised Belfius to apply article 49 of the CRR and to monitor and report solvency within the prudential scope, where Belfius Insurance is accounted for using the equity method (i.e. not fully consolidated), and to include the capital instruments of Belfius Insurance, subscribed by Belfius Bank, in the total regulatory risk exposure by applying a weighting of 370% (the so-called “Danish Compromise”). Following a modification to article 18 in the CRR regulations, Belfius notified the ECB that, from 4Q 2020, the IFRS equity value of Belfius Insurance would be recognised in the prudential accounts. This modification resulted in a higher CET 1 capital, partially offset by higher risk exposure amounts.

Note that in the 4Q 2019 regulatory ratio's, Belfius used the acquisition cost of Belfius Insurance and thus considered Belfius Insurance as a third party for its prudential accounts.

In addition to the CRR/CRD IV regulations, Belfius is considered as a financial conglomerate with significant banking and insurance activities and is required to comply with the Financial Conglomerate Directive (FICO 2002/87/EC). For this purpose, specific reporting requirements with financial statements, regulatory capital, risk concentration and leverage ratio are sent to the regulator. These calculations and reports are made on the consolidated position of the bank and insurance group.

At the end of 2020, Belfius complied with all requirements requested from a financial conglomerate point of view.

2. Regulatory own funds on a consolidated level

As indicated above, for regulatory reporting purposes, Belfius Insurance group is not consolidated but accounted for using the equity method. As of the end of 2020, the calculation of the equity value is based on the IFRS equity value of Belfius Insurance group. As a result the core shareholders' equity and consolidated net income reported in the consolidated financial statements no longer differ from those reported in the regulatory reporting used for the regulatory core own funds.

Note that the ratio's of 4Q 2019 have not been restated, and the equity value of Belfius Insurance was based on the acquisition cost, hereby considering Belfius Insurance as third-party exposure.

(In millions of EUR)	31/12/19	31/12/20
ACCOUNTING CORE SHAREHOLDERS' EQUITY	9,348	9,816
Transformation of the insurance group in a third party exposure	(198)	0
STARTING POINT FOR THE REGULATORY CORE OWN FUNDS	9,150	9,816

At the end of 2020, the starting point for the regulatory core own funds amounted to EUR 9,816 million and was equal to the core shareholders equity in the consolidated financial statements as Belfius Insurance can now be consolidated through the equity method for prudential purposes. The increase of EUR 665 million compared with the end of 2019 stemmed mainly from Belfius' consolidated net result of EUR 532 million for 2020, the inclusion of the equity reserves of the Belfius Insurance group of EUR 146 million and the AT1 cost of EUR 14 million during the full year 2020 (considered as dividend under IFRS).

Note that the regulatory net income (EUR 532 million) is equal to the consolidated net result. Compared with 2019, there were no further eliminations or scope changes as Belfius Insurance group is no longer treated as third-party exposure.

(In millions of EUR)	31/12/19	31/12/20
CONSOLIDATED NET INCOME	668	532
Elimination of Belfius Insurance	(206)	0
Scope changes:		
dividend (Belfius Insurance)	160	0
other (a.o. intragroup transactions)	31	0
REGULATORY NET INCOME	653	532

Regulatory own funds

(In millions of EUR)	31/12/19 Full	31/12/20 Transitional
STARTING POINT FOR THE REGULATORY CORE OWN FUNDS	9,150	9,816
DEDUCTION OF FORESEEABLE DIVIDEND	(3)	(210)
TRANSITIONAL MEASURES FOR IFRS 9 PROVISIONS	0	413
GAINS AND LOSSES NOT RECOGNISED IN THE STATEMENT OF INCOME	144	404
Remeasurement defined benefit plans	90	69
OCI reserves - portfolios measured at FVTOCI	54	335
Other reserves	(82)	(69)
Prudential filter on the fair value reserves related to gains and losses on cash flow hedges on financial instruments	82	69
DEDUCTIONS AND PRUDENTIAL FILTERS	(350)	(273)
Investments in securitisation positions	0	0
Deferred tax assets on losses carried forward	(1)	0
Changes in the value of own credit standing	(2)	(2)
Value adjustments due to the requirements for regulatory prudent valuation	(71)	(74)
Intangible fixed assets	(153)	(74)
Goodwill	(104)	(104)
Shortfall of provisions over expected losses for IRB portfolios	(2)	(2)
Defined Benefit Pension Plan assets	0	0
Payment Commitments IPC	(17)	(17)
COMMON EQUITY TIER 1 CAPITAL (CET 1 CAPITAL)	8,941	10,150
Additional Tier 1 capital instruments	497	497
TIER 1 CAPITAL	9,438	10,647
Tier 2 capital instruments	1,098	1,066
Excess of provisions over expected losses for IRB portfolios	189	190
General credit risk adjustments SA (standard approach)	105	176
TIER 2 CAPITAL	1,391	1,433
REGULATORY OWN FUNDS (AFTER APPROBATION OF RESULT)	10,830	12,080

CET 1 capital amounted to EUR 10,150 million, compared with EUR 8,941 million at the end of 2019. The increase in CET 1 capital of EUR 1,209 million resulted mainly from:

- the inclusion of the net consolidated result of EUR 532 million;
- the inclusion of the equity reserves of the Belfius Insurance group of EUR 146 million;
- the impact of the add-back of IFRS 9 provisions thanks to the transitional arrangements stated in the CRR of EUR 413 million;
- the increase in the revaluation of the portfolios of debt and equity instruments for EUR 281 million;
- the decreased deduction for software and other intangible assets of EUR 79 million;
- resulting from the Covid-19-related relaxations provided by the ECB;
- partially offset by the correction for a foreseeable dividend of EUR 210 million (based on a 40% pay-out ratio); and
- a decrease of the remeasurement of pension plans of EUR 21 million.

Please note that following the Covid-19 pandemic, the Board of Directors decided not to pay-out any dividend on the result of 2019 (beyond the interim dividend of EUR 100 million already paid in August 2019), in line with the recommendation of the ECB. Regarding the dividend distribution on the result of 2020, the Board of Directors decided, in line with the ECB restrictions on the dividend distribution (ECB/2020/62 of 15 December 2020), to propose an ordinary dividend on the 2020 result of 77 million EUR, corresponding to the lower of (i) a pay-out ratio of 15% on the 2020 adjusted net profit and (ii) 0.20% of the 2020 year-end CET 1 ratio.

(In millions of EUR)	
Consolidated net result 2020	531.6
Correction for coupon for AT1 holders, after tax	(13.6)
Pay out ratio 2020 (capital and dividend policy)	40%
Foreseeable dividend for ordinary shares	207.0
Paid interim dividend	0
Remaining foreseeable dividend for ordinary shares	207.0
Remaining coupon for AT1 holders for 2020	2.9
TOTAL FORESEEABLE DIVIDENDS TO DEDUCT FROM UNDISTRIBUTED PROFIT	209.9

However, for prudential purposes, a deduction of the foreseeable dividend of EUR 210 million had to be made in 2020, determined based on the pay-out ratio as defined by the dividend and capital policy:

- a calculation of the foreseeable dividend for ordinary shares based on a pay-out ratio of 40% multiplied by the 2020 consolidated net result reduced by the full year 2020 coupon cost after tax (treated for accounting purposes as dividend) on the AT1 instrument, rounded by the million; and
- the remaining AT1 instrument coupon cost after tax (treated for accounting purposes as dividend) since the last coupon date, which has not yet been paid out to AT1 holders (i.e. EUR 2.9 million, which for accounting purposes has not yet deducted from equity, for the period between 16 October and 31 December 2020).

The transitional measures regarding the first time adoption impact and all subsequent impacts of IFRS 9 on expected credit losses (Covid-19-related relaxation) amounted to EUR 413 million. As of 31 December 2020, Belfius is allowed to apply transitional measures to add back to its prudential CET 1 capital a portion of the increase of IFRS 9 expected credit loss provisions for the static component (relating to the FTA IFRS 9 on 1 January 2018) and the dynamic components (from 1 January 2018 until 31 December 2020), with the adjusted phasing-in timetable. These transitional arrangements will be applied until 31 December 2023, unless Belfius requests and is granted an exemption.

The increase in “gains and losses not recognised in the statement of income” of EUR 260 million stemmed from the increase in the revaluation of the portfolios of debt and equity instruments of EUR 281 million, mainly of the Belfius Insurance group, partially offset by declining stock markets following the Covid-19 pandemic and a decrease in the remeasurement of defined benefit plans of EUR 21 million due to the effect of a reduction in the discount rate, partially offset by the positive return on plan assets.

The deductions and prudential filters decreased by EUR 77 million, mainly following a decrease in the deduction of software and other intangible assets of EUR 79 million due to a Covid-19-related relaxation, offset by an increased deduction for regulatory additional valuation adjustments of EUR 3 million due to market movements, partially offset by temporary mitigation rules. The deductions for the goodwill for Belfius Insurance and for the irrevocable payment commitment (IPC) with regard to resolution funds remain stable.

Note that the significant and non-significant investments in own funds instruments of financial entities and the stock of temporary differences in the not recognized deferred tax assets remain below the thresholds for deduction of the regulatory own funds and are included in the credit risk exposure amount.

Tier 1 capital amounted to EUR 10,647 million, compared with EUR 9,438 million at the end of 2019. The Tier 1 capital includes the additional Tier 1 issue of EUR 500 million (nominal value) dated February 2018.

Tier 2 capital increased to EUR 1,433 million compared with EUR 1,391 million at the end of 2019. The increase of EUR 42 million was mainly related to the integration of credit risk adjustments determined by a standardised approach (EUR 73 million), partially offset by the decrease of EUR 31 million of the useful prudential value of subordinated Tier 2 instruments.

We refer to the disclosure in the financial statements regarding subordinated debts for a brief description of the additional Tier 1 and Tier 2 instruments and to the detailed characteristics of these instruments in the Pillar 3 – Risk Report.

At the end of 2020, total regulatory own funds amounted to EUR 12,080 million, compared with EUR 10,830 million at the end of 2019.

3. Regulatory risk exposure on consolidated level

Total Risk Weighted Assets (RWA) include regulatory risk exposures for credit risk, including counterparty credit risk, CVA risk, market risk and operational risk. Each of the underlying risks is detailed elsewhere in this report. The risk exposure amount also stems from the Danish compromise, whereby the capital instruments issued by Belfius Insurance and held by Belfius Bank are included in the RWA via a weighting of 370%.

(In millions of EUR)	31/12/19 Full	31/12/20 Transitional	Evolution
Regulatory credit risk exposure	42,543	44,559	+2,017
Regulatory CVA exposure	1,382	740	-642
Regulatory market risk exposure	1,315	1,373	+59
Regulatory operational risk exposure	3,140	3,245	+106
Danish Compromise	6,868	9,391	+2,522
Additional risk exposure (Art 3 CRR)	1,150	0	-1,150
REGULATORY RISK EXPOSURE	56,398	59,309	+2,911

At the end of 2020, Belfius RWA amounted to EUR 59,309 million, an increase of EUR 2,911 million compared with EUR 56,398 million at the end of 2019.

The credit RWA, including counterparty credit risk, increased by EUR 2,017 million to EUR 44,559 million due to:

- volume and credit quality (EUR +3 billion)
 - New loan production remained strong during the period, mainly in the business banking and corporate segments. The Covid-19 crisis has not yet significantly materialised at a bank level;
- methodological changes and regulatory measures (EUR -0.1 billion)
 - Since 1Q 2020, Belfius is subject to a regulatory add-on due to the new definition of default which was, however, offset by the Covid-19-related regulatory measures: extension of the SME supporting factor, IFRS 9 transitional measures and new treatment of software assets (EUR+0.2 billion);
- management actions (EUR -1.15 billion), with the sale of Italian bonds being the main driver;
- market parameters (EUR +0.2 billion).

The RWA for the Danish compromise increased by EUR 2,522 million to EUR 9,391 million, due mainly to the change in the valuation method used for the participation in Belfius Insurance.

The CVA RWA decreased by EUR 642 million due to active management of counterparty credit risk, including additional CVA hedges, the unwinding of uncollateralised swaps with financial counterparts and an increased use of CCP clearing.

The market RWA increased by EUR 59 million as a result of market evolutions.

Operational RWA slightly increased by EUR 106 million over the period, in line with the increase in income.

In total, regulatory measures had an impact of -0.5 billion, while management actions contributed to reducing the RWA by EUR 1.8 billion.

In anticipation of a more stringent regulatory framework applicable from 2020 onwards and in accordance with article 3 of CRR, Belfius had included in its 4Q 2019 solvency requirements additional RWA of EUR 1,150 million. As of the end of 2020, Belfius cancelled these additional regulatory RWA as there were assessed to be – for the time being – not appropriate during the Covid-19 crisis.

4. Application of COVID-19-related regulatory adjustments

The severe economic shock caused by the Covid-19 pandemic and the exceptional containment measures have had a far-reaching impact on the economy. The extraordinary circumstances of the Covid-19 pandemic and the unprecedented magnitude of challenges triggered calls for immediate action to ensure that institutions were able to channel funds to businesses and households effectively and to mitigate the economic shock caused by the Covid-19 pandemic. As a result, the ECB took several measures to ensure that the financial system would

be able to continue giving support to the economy. This was performed through an adaptation of the transitional measures for the impacts of IFRS 9 on expected credit losses and the possibility to apply some of the final elements of the Basel III framework early (CRR 2 / CRD 5).

For Belfius, the following Covid-19-related relaxations were applied, with impacts identified on the solvency ratios in the prudential consolidation perimeter:

- the accelerated application date for the revised supporting factor for SME loans;
- temporary relaxation rules for the Prudent Valuation (AVA) calculation;
- the exceptions for Covid-19-related overshooting in the market risk VaR models;
- the transitional measures for IFRS 9 provisions;
- the accelerated application date for a more favourable prudential treatment of some software assets.

Covid-19 related regulatory adjustments	Implementation date	Impact prudential capital	Impact risk exposure	Impact on CET 1 ratio	Comment
SME supporting factor	2Q 2020		x	+46 bps in 4Q 2020	early implementation
Prudent Valuation (AVA) calculation	2Q 2020	x		+9 bps in 4Q 2020	temporary relaxation
Exceptions in market risk VaR models	2Q 2020		x	+3 bps in 4Q 2020	excluding COVID-19 outliers
IFRS9 transitional measures	4Q 2020	x	x	+75 bps in 4Q 2020	adapted regulation
Prudential treatment of software	4Q 2020	x	x	+11 bps in 4Q 2020	early implementation

5. Solvency ratios for Belfius Bank on a consolidated level

At the end of 2020, CET 1 capital ratio amounted to 17.11%, an increase of 126 bps compared with the end of 2019. Note that this transitional CET 1 ratio takes into account the transitional IFRS 9 measures and the other positive effects of the Covid-19-related regulatory adjustments, estimated at 144 bps.

The increase in CET 1 ratio is the result of positive effects from higher CET 1 capital (+214 bps) offset by the negative effects from the higher total risk exposure (-88 bps). We refer to the comments above for further information.

At the end of 2020, Tier 1 capital ratio amounted to 17.95%, an increase of 121 bps compared with the end of 2019.

The total capital ratio amounted to 20.37%, an increase of 117 bps compared with the end of 2019.

Note that without the application of the IFRS 9 transitional measures, the fully phased-in CET 1 ratio as per 31 December 2020 would decrease by 75 bps, the Tier 1 capital ratio would decrease by 76 bps and the total capital ratio would decrease by 77 bps.

Applying the “Danish compromise” compared with the deduction method for capital instruments of Belfius Insurance (equity deducted from CET 1 capital and subordinated debt instruments deducted from Tier 2 capital) had the following impacts: using the deduction method would result in an increase of 31 bps of the transitional CET 1 ratio and a decrease of 32 bps on the transitional total capital ratio.

(in %)	31/12/19 Full		31/12/20 Transitional	
	Danish Compromise	Deduction method	Danish Compromise	Deduction method
CRR/CRD IV				
Common Equity Tier 1 ratio (CET 1 ratio)	15.85%	16.43%	17.11%	17.42%
Tier 1 capital ratio (T1 ratio)	16.74%	17.06%	17.95%	18.05%
Total capital ratio	19.20%	19.02%	20.37%	20.05%

6. Solvency ratios for Belfius Bank on statutory level

At the end of 2020, the CET 1 ratio on Belfius Bank's prudential level (before inclusion of the prudential statutory net result of EUR 296.7 million) amounted to 16.73%.

At the end of 2020, the available distributable items on statutory level amounted to EUR 4,058 million.

7. Leverage ratio for Belfius Bank on a consolidated level

In December 2010, the Basel Committee on Banking Supervision (BCBS) published guidelines for calculating the leverage ratio as a non-risk based ratio which primarily aims to restrict the size of the bank's balance sheets and consequently the use of excessive leverage.

The leverage requirement became a binding requirement with CRR 2, published in the EU Official Journal on 7 June 2019 and will be applicable from June 2021. The CRR 2 integrates the leverage ratio in the Pillar I requirement and sets the level of minimum requirement at 3%, a surcharge for banks considered as G-SIB or O-SIB has also been introduced, the EBA has fixed this surcharge for G-SIB and has a mandate to analyse whether some O-SIB (like Belfius) should be given the same or similar additional buffer requirement.

The leverage ratio is defined as the Tier 1 capital (the numerator) divided by the exposure measure (the denominator), computed as balance sheet assets after certain restatements on derivatives, securities financing transactions, off-balance-sheet items and prudential adjustments (for items already deducted from the numerator).

In order to be consistent with the calculation of the regulatory Tier 1 capital (numerator), the calculation of the leverage exposure (denominator) is based on the prudential consolidation perimeter, where Belfius Insurance is accounted for using the equity method.

Furthermore, the application of transitional measures for IFRS 9 provisions from December 2020 and the COVID-19-related regulatory measure to temporarily exclude certain exposures to central banks from June 2020 have an impact on the denominator.

The risk of excessive leverage is managed through the Financial Plan process. The leverage ratio as defined in the CRR is further an integrated part of the Risk appetite framework for which internal limits and targets are set which is validated by the Board of Directors. The risk of excessive leverage is included in the Belfius reporting and control processes and is monitored regularly. Any important deviation and/or prudential changes in the leverage ratio is reported to the appropriate committees for management actions.

At the end of 2020, the Belfius transitional leverage ratio stood at 6.85%, an increase of 91 bps compared with the end of 2019 and well above the minimum pillar 1 requirement of 3%, applicable from June 2021 onwards.

The increase is the result of positive effects (+76 bps) from the higher level of Tier 1 capital (see above) and positive effects (+15 bps) from the decreased total leverage

(In millions of EUR)	31/12/19 Full	31/12/20 Transitional
TIER 1 CAPITAL	9,438	10,647
Total assets	172,440	187,991
Deconsolidation of Belfius Insurance	(17,797)	(16,810)
Adjustment for derivatives	(16,880)	(16,678)
Adjustment for securities financing transactions exposures	4,259	9,628
Adjustment for Central Banks exposures	0	(25,434)
Adjustment for prudential corrections in calculation of Tier 1 capital	(260)	233
Off-balance sheet exposures	17,072	16,500
LEVERAGE RATIO EXPOSURE	158,834	155,431
LEVERAGE RATIO (IN%)	5.94%	6.85%

exposure measure, mainly from higher volumes of loans to customers and an increase in securities financing transactions exposures due to increased off balance commitments, offset by the temporary Covid-19-related prudential adjustment allowing banks to partially exclude certain Central Bank exposures.

Without the temporary partial exclusion of certain Central Bank exposures the transitional leverage ratio would decrease by 96 bps.

Please note that the fully phased-in leverage ratio, excluding the transitional measures for IFRS 9 provisions but including the temporary partial exclusion of certain Central Bank exposures would decrease by 25 bps.

8. Minimum requirement for own funds and eligible liabilities (MREL)

On 17 April 2019, the National Bank of Belgium (NBB) notified Belfius Bank of the MREL requirement imposed by the Single Resolution Board (SRB), setting the consolidated MREL requirement for Belfius Group at 10.56% of Total Liabilities and Own Funds (TLOF), to be met at all times.

Based upon data as of 31 December 2020 and according to the current Banking Recovery and Resolution Directive (commonly referred to as 'BRRD1'), Belfius' eligible own funds and liabilities for MREL purpose stood at EUR 19.8 billion, in excess of the MREL requirements of EUR 16.1 billion.

On 28 January 2021, the NBB notified Belfius that going forward it is to execute the SRB MREL instruction regarding the minimum requirement for equity and eligible liabilities at the consolidated level of Belfius Bank under BRRD2. For Belfius Bank, the MREL requirement on a consolidated basis is set at 22.87% of Total Risk Exposure Amounts (TREA) and 6.84% of Leverage Risk Exposures (LRE). Belfius Bank must meet the target no later than 1 January 2024 and must provide for a linear build-up of equity and eligible liabilities towards the requirement. The SRB also determined an interim target of 22.37% of TREA and 6.84% of LRE which must be met by 1 January 2022. The SRB MREL instruction also provides for a subordination requirement: Belfius Bank must meet at least 15.25% of TREA and 6.84% of LRE by means of subordinated MREL. Own funds used to meet the combined buffer requirement (CBR) set out in Directive 2013/36/EU (at 4% of TREA for Belfius currently) are not eligible to meet the requirements expressed in TREA. Belfius Bank must comply with this subordination requirement by 1 January 2024 at the latest.

With the annual review of MREL requirements by SRB, Belfius currently estimates that its MREL subordination requirement could be lowered from 2023 onwards, to 13.5% of TREA (or 17.5% of TREA including current CBR requirement), based on forward looking assessment of the formula applied by SRB.

It is to note that Belfius is to be impacted by a change in MREL eligibility, from 1 January 2021 onwards, whereby "liabilities should be directly issued and should not be owned by an undertaking in which the institution has a participation of more than 20%". As a consequence, the liabilities issued by Belfius Financing Company (Belfius' Luxembourg-based issuance vehicle for CP and Retail Bonds) cease to be MREL-eligible and are to be excluded. Applying this exclusion pro forma as per end 2020, Belfius MREL would be EUR 2.2 billion lower (from EUR 19.8 billion to EUR 17.6 billion). Despite such exclusion, Belfius already meets its expected BRRD2 MREL requirements end 2020. Indeed, expressed in TREA, Belfius MREL of EUR 17.6 billion amounts 29.67% (including a CBR of 4%), or 25.67%, to be compared with 22.87% of the 2024 final binding target. In the same way, Belfius MREL subordination of EUR 14.4 billion amounts 24.28% (including a CBR of 4%), or 20.28% to be compared with EUR 15.25% of the binding target. Expressed in LRE, Belfius MREL subordination of 9.27% stands in excess of 6.84% MREL requirement.

Capital management at Belfius Insurance

1. Prudential supervision

Belfius Insurance reports to its regulator, the NBB. Amongst others, a quarterly report concerning its solvency margin and liquidity is required, both at a consolidated and at a statutory level.

As part of prudential supervision over systemic insurers, highly detailed information is also provided to the NBB about the company's strategy, its ALM policy and the sufficiency of its technical provisions.

2. Regulatory own funds

The risks that Belfius Insurance faces are reflected in the "Solvency II requirements", which are applicable to all EU Member States. The own funds of Belfius Insurance available to cover the requirements are determined according to the valuation and eligibility principles defined in the Solvency II regulation, Directive 2009/38/EU.

The regulatory own funds of Belfius Insurance amounted to EUR 2,390 million at the end of December 2020. These were composed 82% of the highest quality capital Tier 1. Tier 2 capital was EUR 375 million and consisted mainly of two subordinated loans granted by Belfius Bank, while the Tier 3 capital relates to a deferred tax asset of EUR 58 million.

Compared with December 2019, the regulatory own funds of Belfius Insurance decreased by EUR 216 million. This development is due mainly to the provision of a foreseeable dividend of EUR 140 million. The continuous decline of the interest rates led to an increasing Best Estimate of Technical Provisions and was not fully offset by the increasing market value of the investments. In addition, deferred tax assets were defined as a component of regulatory own funds.

Belfius Insurance consolidated

(In millions of EUR)	31/12/19	31/12/20
AVAILABLE FINANCIAL RESOURCES BEFORE FORESEEABLE DIVIDEND	2,466	2,390
Tier 1	1,925	1,786
IFRS Equity	2,144	2,079
Valuation difference (after tax)	(219)	(293)
Restricted Tier 1	171	171
Tier 2	371	375
Subordinated debt	360	364
Others	11	11
Tier 3	0	58
DTA	0	58
AVAILABLE FINANCIAL RESOURCES AFTER FORESEEABLE DIVIDEND	2,466	2,250
AFR before foreseeable dividend	2,466	2,390
Foreseeable dividend	0	140

3. Solvency requirement

The Solvency II Capital Requirement (SCR) is calculated based on the consolidated asset and liability portfolio of Belfius Insurance, Corona Direct and those investment entities that are fully consolidated for Solvency II purposes.

The SCR for Belfius Insurance is determined using the “Standard Formula”, as defined in the Solvency II regulation, taking into account a volatility adjustment and making use of the transitional measure for equities. In its SCR, Belfius Insurance has to apply the restriction on the use of Loss Absorbing Capacity of Deferred Taxes, as prescribed by the NBB.

Belfius Insurance’s SCR amounted to EUR 1,125 million at the end of December 2020, a decrease of EUR 37 million compared with the end of 2019.

The decrease is the result of management actions, particularly on the equities portfolio and ALM management and some refinements on models and assumptions, including regulatory changes.

Market Risk is still the main contributor to the SCR due to the spread risk and equity risk, followed by underwriting risks. The SCR linked to the interest rate risk is limited thanks to Belfius Insurance’s ALM policy of strictly limiting the gap between the duration of assets and liabilities on the balance sheet of Belfius Insurance.

(In millions of EUR)	31/12/19	31/12/20
SOLVENCY CAPITAL REQUIREMENT	1,162	1,125
Market risk	917	798
Credit Risk	188	179
Insurance Risk	667	701
Operational Risk	97	96
Diversification	(528)	(528)
Loss absorbing capacity of technical provisions and deferred taxes	(178)	(122)

4. Solvency ratios at Belfius Insurance

The Solvency II ratio (before dividend) of Belfius Insurance stood at 212% at the end of December 2020, similar to the ratio in December 2019 (without dividend). The decrease in regulatory own funds – without the foreseeable dividend of EUR 140 million – was fully offset by a similar proportional decrease in SCR. Including the foreseeable dividend, the Solvency II ratio was 200%.

However, given the current level of uncertainty on the depth, magnitude and duration of the impacts of Covid-19, the Board of Directors of Belfius Insurance proposed to the General Assembly to restrict the dividend over FY 2020 to EUR 35 million and to maintain the remaining profit to be allocated in retained earnings pending the further analysis of all impacts of the Covid-19 crisis. The dividend pay-out following the contractual profit allocation of EUR 4.6 million has been provided for.

Further to the minimum regulatory requirements of 100%, Belfius Insurance has, in current market circumstances and under current regulations, defined a minimum operational Solvency II ratio of 160%, both on a solo and on a consolidated level.

In addition to the establishment of a complete risk framework, the Solvency II regulations also require a self-assessment in which, taking the business plan into account, the future capital buffers are estimated and a number of sensitivity analyses are performed. In these analyses, Belfius Insurance still has the appropriate capital margins required to absorb shocks, as stated in the Risk Appetite Framework approved by the Board of Directors.

A 50 bps fall in the level of interest (compared with the level at the end of 2020) would have an impact of -6 pp on the Solvency II ratio. A stock market shock of -30% on share prices would have an impact of -9 pp, while a drop in the real estate portfolio of 15% would decrease the solvency ratio by -9 pp. A 50 bps rise in the credit spreads across the whole bond and credit portfolio would result in a drop of -31 pp and the elimination of the Volatility Adjustment in the calculation of the Best Estimate of liabilities would result in an impact of -9 pp. The reduction of the Ultimate Forward rate (UFR) from the current level of 3.75% to a level of, for instance, 3% would decrease the solvency ratio by -10 pp.

Solvency II-ratio

(in %)	31/12/19	31/12/20
Solvency II ratio (before dividend)	212%	212%
Solvency II ratio (after dividend)	212%	200%

	Shock	Solvency II Ratio (in %)
Base case (after dividend)		200%
Stress scenarios		
Interest rate	-50 bps	194%
Equity	-30%	191%
Credit Spread		
Credit spread on corporate bonds	+50 bps	192%
Credit spread on government bonds	+50 bps	177%
Credit spread on corporate & government bonds	+50 bps	169%
Real Estate	-15%	191%
No Volatility Adjustment (VA)		191%
Ultimate forward rate (UFR) @ 3%		190%

Capital adequacy

1. Economic Capital

As required by Pillar 2 of the Basel regulation, Belfius has an internal mechanism for the quarterly monitoring of main risk appetite and capital adequacy ratios. This quarterly reporting is supplemented by monthly monitoring that addresses some of the key risk appetite and capital adequacy ratios.

1.1. Definition

Economic capital is defined as the potential deviation of Belfius' economic value from its expected economic value at a given confidence interval and time horizon. The confidence threshold (99.94%) chosen for scenarios involving losses in value corresponds to the Bank's targeted senior unsecured debt rating at a horizon of one year (A rating for 2020).

The economic capital quantification process is organised in three phases: identifying the risks (risk inventory definition and cartography, reviewed on an annual basis, in collaboration with the various business lines), assessing (measuring) the risks (mainly on the basis of statistical methods and/or scenarios) and aggregating the risks based on an inter-risks correlation matrix.

Most risks are capitalised based on measuring the unexpected loss. However, if alternative management techniques (limits, other buffers than capital, governance) are considered more appropriate to cover them, some risks are not capitalised.

The economic capital is central in the context of Belfius' risk appetite and is also complementary to the Stress Tests framework for Internal Capital Adequacy Assessment Process (ICAAP) purposes.

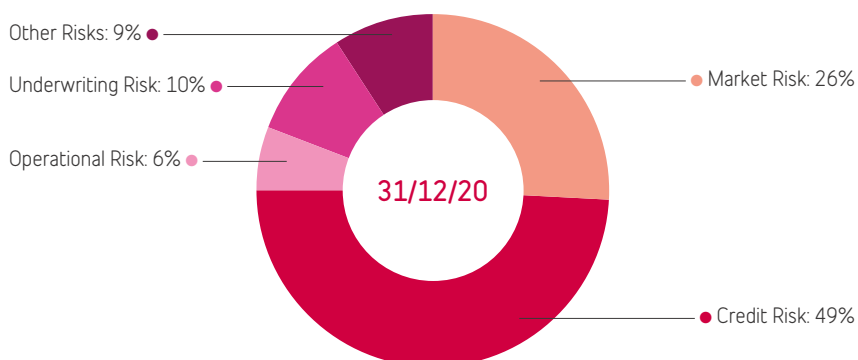
1.2. Economic Capital Adequacy

The Management Board, which also acts as the Risk Appetite Committee (RAC), is responsible for managing the capital level and allocation process and has authority in all matters relating to economic capital. The RAC analyses, among other things, the various models involved in calculating the economic capital and monitors the (regulatory and economic) ratios, limits and triggers.

Belfius' economic capital was EUR 5,579 million at the end of December 2020 (against EUR 5,486 million at the end of 2019).

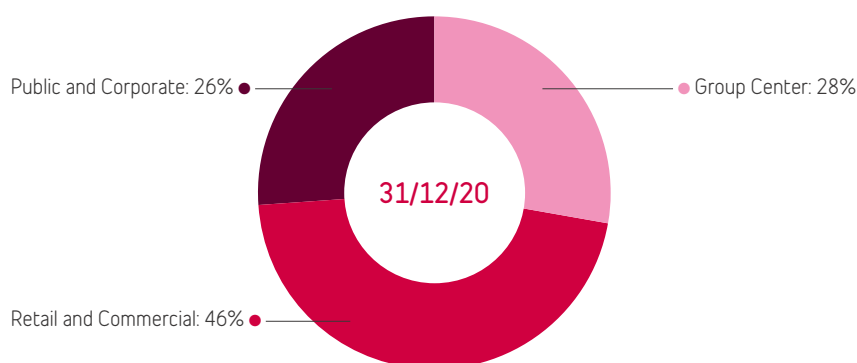
Credit risk represented approximately 49% of the economic capital and was the main contributor; market risk (including interest rate risk, foreign-exchange rate risk, spread risk and equity risk) was 26%, underwriting risk 10%, operational risk 6% and other risks (prepayment, funding, etc.) 9%.

Breakdown of economic capital by type of risk



By business line, the economic capital was allocated as follows: Retail and Commercial (RC) and Public and Corporate (PC) represented 46% and 26% respectively of Belfius' economic capital; the balance was made up of 28% allocated to the Group Center (mainly for the Belfius general balance sheet management in terms of interest and funding risks, including the bonds investment portfolios and for the portfolios of derivatives and run-off credit guarantees).

Breakdown of economic capital by business line



Normative regulatory equity

The total normative regulatory equity is derived from the starting point of the regulatory core own funds adjusted for the deduction of foreseeable dividend, and further without any other prudential filter or deduction and amounts to EUR 9,606 million at the end of 2020, compared with EUR 9,147 million at the end of 2019.

The normative regulatory equity of each business line is calibrated. The business line's CET 1 ratio is set at 13.5%, taking into account the regulatory risk exposures allocated to the business line and some CET 1 capital deductions allocated to the business line (to a very limited extent, since the most important part of CET 1 capital deductions are allocated to GC). The delta with the total normative regulatory equity is allocated to Group Center.

(In millions of EUR)	31/12/19	31/12/20
REGULATORY CORE OWN FUNDS	9,150	9,816
Deduction of foreseeable dividend	(3)	(210)
TOTAL NORMATIVE REGULATORY EQUITY	9,147	9,606
of which allocated to		
Retail and Commercial Banking	2,819	2,833
Public and Corporate Banking	2,676	2,768
Group Center	3,652	4,005



Risk management

This chapter is an integrated part of the consolidated annual financial statements.

Introduction

Belfius' activities are exposed to a number of risks such as - but not exclusively - credit risks, market risks, liquidity risk, non-financial risk, insurance risk, changes in regulations, the macro-economic environment and geopolitical risks in general, that may also have a negative impact on the bank's balance sheet and profit and loss accounts.

To manage adequately these risks, Belfius has put in place a sound governance, including a robust risk framework and a sound risk culture.

1. Macroeconomic environment in 2020

Economic developments in 2020 were dominated by the Covid-19 crisis. The outbreak of the pandemic in the eurozone and the subsequent lockdowns resulted in a heavy decline in GDP in the second quarter. This was followed by a strong catch-up in economic activity in the third quarter due to a relaxation of the Covid-19 measures. A new wave of infections at the end of the year again weighed heavily on economic growth, especially in contact-intensive service sectors. In the eurozone, GDP fell by 6.8% in 2020, and in Belgium it fell by 6.3%.

1.1 Uneven impact of Covid-19

The economic impact of the Covid-19 crisis in the eurozone differs greatly among member states. Spain, Italy and France were particularly hard hit, while the German economy suffered relatively less damage in 2020. An economic recovery is expected

in the eurozone in the course of 2021 as more residents are vaccinated and restrictions in social life are relaxed. The recovery in 2021 is expected to be driven by the resurgence of household consumption. Part of the money saved during the pandemic is expected to be spent back in the second half 2021.

1.2 Tax policy

In response to the Covid-19 crisis, there was a strong policy response at the national and European level in 2020. Tax support packages including wage subsidies and temporary short-time working systems are aimed to limit the economic damage caused by the lockdowns. In July 2020, the European Commission announced a EUR 750 billion (Next Generation EU) recovery plan to mitigate the socio-economic impact of the pandemic and help support economic growth in the coming years. The contraction in GDP and the fiscal policy response have deteriorated public finances in the euro area. In the eurozone, government debt climbed to 97.3% in the third quarter of 2020, in Belgium to 113.2%.

1.3 Monetary policy

In monetary policy, the ECB responded to the Covid-19 crisis by expanding the money supply and providing the financial sector with cheap financing. Inflation is expected to pick up in 2021 due to higher energy prices, but remains well below the 2% mark, which keeps the ECB's monetary policy expansionary. The interest on the Belgian OLO with a term of 10 years fell in the course of 2020 to -0.36%.

2. Ratings

Between 1 January 2020 and 25 March 2021, rating agencies took the following decisions:

- on 30 March 2020, Fitch affirmed the long term issuer default rating of Belfius Bank at A- and revised the outlook from Stable to Negative;
- on 23 April 2020, S&P affirmed the long term issuer credit rating of Belfius Bank at A-;
- on 21 October 2020, Fitch affirmed the long term issuer default rating of Belfius Bank at A- and revised the outlook from Negative to Stable.

On 16 February 2021, S&P assigned an A- long term issuer credit rating to Belfius Insurance, with Stable outlook.

Ratings of Belfius Bank as at 25 March 2021

	Stand-alone rating ⁽¹⁾	Long-term rating	Outlook	Short-term rating
Fitch	a-	A-	Stable	F1
Moody's	baa1	A1	Stable	Prime-1
Standard & Poor's	a-	A-	Stable	A-2

(1) Intrinsic creditworthiness

Governance

In line with Art. 194 of the "Banking Law", Belfius is managing risks based on a group-wide⁽¹⁾, consolidated and integrated risk management framework and Belfius assumes a risk-based approach to further strengthen the conglomerate dimension..

The overall objective is to have a risk management coordination, ensuring consistency while respecting the entities' specificities, responsibilities and legal/regulatory obligations. The main pillars of this risk management are an appropriate risk governance structure, a robust and aligned risk framework, risk monitoring and decision taking process.

“ ”
 Belfius has shown
 sound resilience
 in this real life
 stress test
 of Covid-19,
 highlighting
 the importance
 of a strong risk
 management
 framework and
 appetite.



The conglomerate dimension of Belfius' Risk Governance includes :

- at the level of the Board of Directors, joint RC/RUC's (Risk Committee / Risk & Underwriting Committee) are scheduled;
- at the level of the Management Board (strategic level):
 - a Group Management Committee, with potential conflicts dealt at the level of Mediation Committee;
 - a joint Non-Financial Risk Committee (NFRC), related to all NFR topics;
 - a Group Financial Conglomerate Review Committee (GFCR), assuring an overview of all subsidiaries. It tackles amongst other the risk management framework of each subsidiary;
- at a general risk level (tactical/operational level), several committees are joint or 'Belfius Together' (BB; Belfius Bank; BI; Belfius Insurance & BIP; Belfius Investment Partners):
 - the Conglo Risk Executive Committee (Conglo Risk ExCom) with participation of the CRO of Belfius Insurance and CRO of BIP;
 - the Capital Group Committee (CGC) is a joint BB & BI committee;
 - the Investment Conviction Committee is a joint BB & BI & BIP committee (including Candriam as well);
 - the BI Assets & Liabilities Committee (ALCo) in which BB participates;
 - the BIP Pricing & Methodology Committee BIP in which BB participates;
- at the specific risk level, several subdomains have a common governance with 'Belfius Together' sub-committees for various risks:
 - the Information Security Committee;
 - the Anti-Fraud Steering Committee;
 - recent initiative to have a cross committee for ESG/Climate Risk.

The 3 entities have a similar risk policies & guidelines framework and approach.

The 3 entities use similar and/or common tools ensuring consistency and enabling coherence as well as an integrated management of risks and internal controls:

- Risk Appetite Framework: defined and validated group-wide by Belfius Bank and cascading down to subsidiaries;
- Risk Management & Control executed through the "Senior Management Report on the Assessment of the Internal Control";
- ICAAP (Internal Capital Adequacy Assessment Process) & Recovery Plan (Belfius Bank) and ORSA (Own Risk and Solvency Assessment; Belfius Insurance).

The Conglomerate dimension has been further developed with a closer oversight of subsidiaries, especially those with lower risk culture and further alignment of major Risk policies in a conglomerate approach. This included taking the first steps to implement in 2021 specific risk appetite frameworks at subsidiary level that will reflect and monitor their own (financial and non-financial) vulnerabilities and risks. A first AML risk assessment was performed on conglomerate level, as well as an inventory of all AML risks and policies in the subsidiaries.

(1) Belfius Bank, Belfius Insurance, Belfius Investment Partners

Marianne Collin
 CRO Belfius Bank

1. Risk governance structure

A performant risk governance structure is considered as a central cornerstone to sound risk management. A robust risk committee set-up incorporates effective communication and reporting lines and a clear delineation of responsibilities and competences. Such a set-up ensures a two-way process of risk management instructions and feedback enabling senior management to execute its management and supervisory obligations.

1.1. Risk committees on strategic level operating within the Management Board

Three risk committees have been set up within the Management Board of Belfius Bank, prepared by the Risk department and meeting 2 to 4 times⁽¹⁾ a year:

- the **Risk Policy Committee (RPC)** surveys the definition and the implementation of the Bank's principal risk management and measurement policies, processes and methodologies, and supervises their validation status;
- the **Risk Appetite Committee (RAC)** surveys Belfius' risk appetite, capital adequacy and capital allocation;
- the **Non-Financial Risks (NFR)** Committee ensures a well-governed and coordinated non-financial risk framework for an effective Non-financial risk management.

In addition to these three risk committees, four functional areas also report to the Management Board without a separate committee being set up for them:

- the **Credit Risk Committee (CRC)** centralizes, in a strategic and end-to-end process view, all credit risk related topics (origination, monitoring, impairment) into one committee with presence of the Management Board members who are directly involved (CRO, Head of RCB & PCB);
- the **Financial Markets Committee (FMC)** has as prime function the effective risk management oversight and steering of the Financial Markets activities. It is held once a month with a strict quorum including members of the Management Board (CRO, CFO and Head of PCB);
- the **Asset & Liability Committee (ALCo)**: while the Management Board and the Board of Directors have the ultimate responsibility for setting the strategic risk appetite and business objectives, they delegate to the ALCo the effective ALM management within the regulatory framework. The Liquidity Management Committee has been mandated by the ALCo to take care of all aspects relating to liquidity management and steering as well as the reporting on the liquidity situation;
- the **Capital Group Committee (CGC)** anticipates, understands, prepares, analyses & monitors all capital aspects on a conglomerate level (Bank, Insurance & related subsidiaries) in compliance with regulatory, legal and economic constraints. It also acts as Prudential Watch Committee (PwaC) to enable Belfius to anticipate, to understand, to steer and to follow-up on prudential reforms, guidelines, proposals and evolutions thereof impacting Belfius and its entities.

1.2. Risk committees on tactical /operational level

The Management Board delegates certain decisions to a tactical/operational level. The details of this delegation are set out in the applicable committee charters. For matters that fall outside this delegation, the tactical/operational level provides information or puts forward opinions to the Management Board, which then decides.

The committees that are part of the tactical/operational level are committees on which the Risk department generally participates alongside business divisions. Risk committees which are steered by the Risk department focus mainly on risk appetite and methodology. Risk/Business committees which are steered jointly by the Risk department/Business focus mainly on guidelines, transactions and risks on counterparty risks. The Risk department has a veto right in many of these committees, as well as the right to bring files for decision to a higher governance level.

(1) This is not a fixed number. As the composition of these committees is equal to the Management Board, the specified topics may be presented in a management board without the specific set-up of these dedicated committees.

2. Risk appetite

Risk appetite is the level of risk that an institution is prepared to take given the expectations of the main stakeholders (shareholders, creditors, regulators, rating agencies, customers, employees ...), in order to ensure the safeguard of a sound risk and financial profile in the context of the strategy 2020-2025. This risk appetite is defined by the Board of Directors, on proposals from the Management Board. The Risk Department prepares the Management Board's proposals and the Board of Directors' decisions, and also sets the rules and the framework for implementation of those rules.

Based on a holistic approach, risk appetite is a central reference point:

- for guiding strategy and planning;
- for framing performance in terms of growth and value creation;
- for facilitating day-to-day operating and commercial decisions.

The Bank's risk appetite consists of a series of quantitative elements (target Key Risk Indicators or KRI's) and qualitative elements (statements) that are designed to express the risk levels and types that are not acceptable, that are tolerated and targeted in order to achieve business strategy. The quantitative framework is based on a mix of accounting ratios (gearing), regulatory ratios (solvency, liquidity), economic ratios (economic capital, earnings at risk) and internal KRIs. The different metrics cover a wide range of risks (credit risks, solvency, liquidity, market risks, concentration risks, non-financial risks, compliance risks, model risks ...). Next to the quantitative part, qualitative statements consisting of guiding rules aiming to define the risk appetite that cannot be expressed through quantitative ratios.

Limits have been defined on each of these ratios with different zones, which lead to different governance and measures in case of breach. They are reviewed and updated each year by the competent bodies. The Risk and Finance departments are responsible for monitoring these ratios and, if there are discrepancies, for proposing measures to the Management Board to ensure the limits are met.

The Risk Appetite Framework (RAF) has been updated and approved by the Board of Directors in December 2020. The updated RAF includes a broader coverage with new or updated quantitative ratios for Financial risks (MREL), Non-Financial risks, Compliance and Model Risks.

3. Stress tests

Stress tests are part of the ICAAP and are designed to measure the Bank's sensitivity, in terms of losses, additional weighted risks, liquidity needs or equity capital requirements that could impact Belfius in scenarios featuring significant unexpected shocks on the financial markets and/or in the own financial situation of Belfius.

Belfius performed an internal stress testing programme with its financial Plan 2020-2025. The Bank developed a set of alternative and severe macroeconomic scenarios designed to anticipate different possible outcome for the Covid-19 pandemic and to simulate how Belfius might be affected under these circumstances. These different stress tests measure the potential deviations from the "base case" Financial Plan and from Risk Appetite targets set by the management in terms of solvency, liquidity and profitability. These stress tests were submitted to the Management Board as well as to the Board of Directors. Mitigating actions and recommendations were proposed for each of the stress tests.

4. Recovery plan

An update of Belfius Recovery Plan has been submitted to the ECB during the second half of 2020. According to regulator recommendations, Recovery plan stress scenarios were related to the Covid-19 pandemic. This plan provides a set of recovery measures that would be taken to restore the Bank's long-term viability in the event of a significant deterioration of the macroeconomic environment.

5. Resolution

Resolution is defined as the restructuring of a bank within the Single Resolution Mechanism (SRM) issued by the Single Resolution Board (SRB) through the use of resolution tools. The objective of the SRB is therefore to ensure an orderly resolution of failing banks with minimum impact on the real economy and on public finances of the participating Member States and beyond.

Belfius, being considered as significant financial institution in Belgium, has to ensure that all necessary information will be provided to the SRB, responsible for preparing a resolution plan that would be available in case of a severe crisis leading to an hypothetical failure of the Bank.

Belfius resolution therefore consists of the application of identified resolution tool(s) to the Bank which best achieve resolution objectives.

Credit risk

1. Methodology

For the management of its credit risks, Belfius uses an Advanced Internal Rating Based approach. This means that Belfius makes use of internal models for defining the key risk parameters Probability of Default (PD), Loss Given Default (LGD) and Credit Conversion Factor (CCF - the conversion of an available credit line in an expected amount draw down) for off-balance sheet commitments. Regarding the CCF parameter, Belfius makes a distinction between retail and non retail counterparties: an advanced model is applied for retail counterparties, while non-retail counterparties use the regulatory values.

In order to implement the consecutive EBA guidelines on the default definition, on PD, LGD and Credit Risk Mitigants and as a response to TRIM ("Targeted Review of Internal Models") findings, Belfius has set up in 2020 a comprehensive model transformation plan with respect to the pillar 1 models.

Rationalization and simplification are key principles that will guide this credit risk model portfolio transformation. The reduction of the number of models by reviewing the model scope in line with the Belfius Strategy, a simplification of the model structure of certain models, and the right balance between the A-IRBA approach and a less sophisticated approach will be analyzed. During the implementation of this program, a special attention will be given to:

- The data quality framework for modeling;
- The implementation of a comprehensive MOC (Margin of Conservatism) framework;
- The treatment of low default portfolios in the perspective of a limited number of observed defaults.

This transformation plan will be rolled out over about 3 years and will provide Belfius with a renewed set of models, fully compliant with the latest regulatory requirements, that will continue to be an effective cornerstone of the credit acceptance, loan lifecycle management, credit risk management processes and reporting.

At the end of 2020, the first new model related to mortgage LGD was already in a review process at ECB level.

2. Credit limits and credit committees

One of the main pillars of risk management at Belfius is the robustness of its credit acceptance process:

- it relies on a large range of directives, delegation rules and various governance instruments, aimed at strictly controlling credit risks;
- Belfius has defined counterparty limits and delegations of competences for various types of credit risks which are monitored every day, reported every quarter to governance bodies and, on top of that, assessed each year by the Risk Committee and the Board of Directors.

Counterparty limits represent the maximum risk level acceptable on individual counterparties and/or economic groups:

- they reflect Belfius' risk appetite in its individual customer relations;
- they are set on the basis of the customer's risk profile, the focus being mainly (but not exclusively) on their internal rating;
- they are completed with a full set of portfolio guidelines:
 - the Covid-19 crisis did not change fundamentally Belfius' risk appetite and tolerance levels for 2021, despite the challenging environment and its ambitious strategy;
 - while the major part of portfolio limits were left unchanged, temporary Covid-19 adjustments have been introduced for a limited number of portfolio limits.

The credit decision process within Belfius consist of three types of decisions:

- automated decisions where the Bank compares the customer's credit application with a series of technical risk and commercial parameters, and in which the results from the scoring and/or rating models play an important role;
- delegated decisions, i.e. decisions taken by staff to whom, *intuitu personae* and based on the certification of their risk competencies, decision-taking powers have been delegated;
- regular decisions taken by credit committees.

When granting credits to medium-sized and large enterprises as well as Public and Social customers, an individualized approach is implemented:

- credit analysts examine the credit request autonomously and define the customer's internal rating;
- then a credit committee takes a decision on the basis of various factors such as solvency, the customer relationship, the customer's prospects, the credit application and the collateral;
- in the analysis process, credit applications are carefully examined and only accepted if the perspective of continuity and the borrower's repayment capacity are demonstrated;
- to support the credit decision process a RAROC (Risk Adjusted Return on Capital) or RoNRE (Return on Normative Regulatory Equity) is used to assess the expected profitability of the credit transaction or even if the full relationship with the customer is adequate (compared to a target level);
- as such, the RoNRE is an instrument for differentiating the risks and for guiding the risk-return combinations in an optimal way.

Belfius Bank follows a strategy of being close to its customers:

- credit and risk committees have been regionalized as much as possible and decision-making powers have been delegated to regional commercial and credit teams, both strengthening the principle of decision-by-proximity;
- this resulted in a greater involvement of the various teams in the decision-making process, as well as in a stronger monitoring of the use of the delegated powers mentioned above;
- and provides a significant added value to our customers, regardless of the segment in which they operate.

The Bank monitors the evolution of the solvency of its borrowers throughout the whole credit lifecycle:

- the different portfolios of the Retail and Commercial Business, for which risk management relies on a portfolio approach, are reviewed periodically;
- customer ratings, using an individualized approach, are also updated periodically, in line with the Bank's choice to apply AIRB (Advanced Internal Rating Based) models;
- the economic review process of credit applications guarantees that any signs of risk can be detected in time and subsequently monitored and/or addressed;
- this review process is organized in an annual cycle, with in-depth analysis for customers with important credit exposures and/or significant (positive or negative) evolutions in their risk profile;
- it is complemented with early warning tools in order to detect proactively clients' financial deterioration.

3. Fundamentals of credit risk in 2020

The credit risk in the loan portfolio has been dominated in 2020 by the Covid-19 crisis and its significant economic impact. Due to lockdowns, social distancing, group and travel restrictions, businesses highly suffered from closure and lack of consumer confidence. Most sectors have known an important impact during the first lockdown but were able to recover without compensating the loss of revenues. Some sectors were/are still hit by a mandatory closure such as hospitality, close contact professions, event and travel companies and would be severally hit without government intervention and financial concessions.

To mitigate the economic consequences of the Covid-19 pandemic, governance bodies installed different support measures for individuals, self-employed and businesses affected by the Covid-19 crisis.

Belfius responded to this unprecedented crisis by putting in place an end-to-end screening of the loan portfolio, consisting of:

- a bottom-up screening by the bankers to evaluate impact of and resilience to the crisis;
- an evaluation of the need to take risk mitigating actions or to apply a close monitoring;
- the granting of payment deferrals and state guaranteed loans;
- detection of vulnerable clients showing a significant increase of credit risk based on before mentioned criteria leading to classification into watchlist and/or forbearance and to higher and stressed ECL (expected credit losses);
- Covid-19 adjustment of the IFRS 9 Impairment methodology (see section 3.2.3.)

At the same time, Belfius strengthened its Credit Risk Framework in terms of:

- governance: specific Covid-19 committees at regional and central levels with focus on screening, risk mitigating actions and reviews as well as a regular dedicated sessions of the Management Board to follow-up on the risk mitigating initiatives and impact on the Cost of Risk;
- framework: a specific rating guidance has been developed to guide credit analysts to take into account on a level playing field the economic impact of Covid-19;
- monitoring: development of a more detailed credit risk reporting and a bi-weekly dashboard, including on early warning signals integrating alternative data sourced from a transactional analysis of accounts.

Although regulatory credit risk exposures increased (see also Capital management chapter in this report), the full impact of the Covid-19 on the credit quality has not materialized so far in significant downgrades impacting in a material way regulatory risk weights of our credit risk exposures. The impact on asset quality of Covid-19 is more elaborated in section 6 of this chapter.

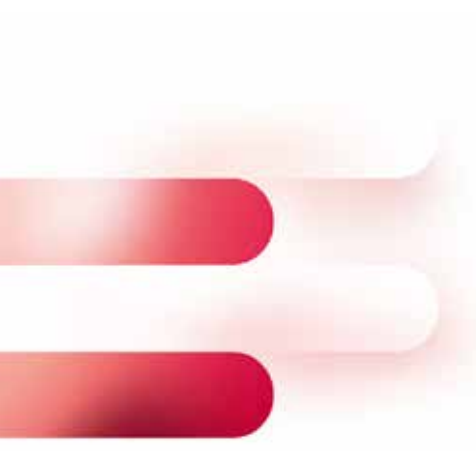
3.1. Measures in Covid-19 crisis to support the Belgian Society

Throughout the year, the economic shock caused by the Covid-19 pandemic and the exceptional and successive lockdown measures had a far-reaching impact on businesses and consumers. In particular, a material numbers of households have faced temporary or permanent unemployment and falling income, while enterprises have faced closures, disruptions in supply chains or productivity declines due to other sanitary measures and reduced demand, and some still are. Without support measures, all this could have resulted in significant (but mostly temporary) difficulties in repaying loan instalments or suppliers.

To help to mitigate these impacts, the Belgian federal government quickly installed an economic task force responsible for combating the economic consequences of the Covid-19 pandemic, which includes the Ministry of Finance, the National Bank of Belgium (NBB) and Febelfin. The aim of the task force is to implement a program to support individuals, the self-employed and businesses affected by the Covid-19 crisis.

The program, that was put in place from March 2020, has two pillars:

Pillar 1: The Payment Holiday. This is applicable to loans to viable non-financial companies and self-employed people as well as to mortgage loans for individuals who are financially affected by the Covid-19 outbreak:

- 
- for **mortgage loans** borrowers who suffered an income loss because of the Covid-19 crisis and who have limited financial resources, a moratorium was granted by the banks. Both the capital and the interest are deferred, so there is no repayment at all during the period of the moratorium for these borrowers. After this period, payments are restarted, including the interest due for the moratorium period. Only for “vulnerable” customers, i.e. customers who have a remaining Net Available Income less⁽¹⁾ than EUR 1,700 there is no recovery of the interest due for the moratorium period;
 - a moratorium for **non-financial companies and self-employed people** is applicable for viable companies. During the moratorium period, companies must not make any repayments of principal amounts due. However, the interest payments remain due;
 - in addition, a legal moratorium for **consumer loans** (i.e. a payment suspension) has been put in place from mid-May onwards and consists of a payment break for a maximum period of three months (postponement of resetting to zero for the credit lines) and renewable once the recovery of interest is due over the remaining term of the loan without NPV impact. In these cases, the request has to be initiated by the customer (no pro-activity from the banks) and the customer has to prove to have been financially affected by the Covid-19 crisis.

The deferral of payments for mortgages and non-financial companies has been in place since April 2020 and had initially been expected to last until 31 October 2020 for a maximum of six months. In a second phase, it was decided to extend the support measures until the end of 2020, but requiring a borrower request.

The EBA has clarified that only moratorium programs which fulfil the requirements of the General Payment Moratorium (for instance those under the Federal public moratorium) can benefit from flexible treatment. For instance, the EBA Guideline clarifies that the payment moratoria do not trigger classification as forbearance or distressed restructuring in case of legislative or non-legislative moratoria. However, the Guideline clearly highlights the need for adequate identification of situations where borrowers may face longer-term financial difficulties and requires to classify exposures in accordance with the existing regulations. To note that, in addition to these public moratoria, Belfius also executed some ‘Belfius-specific’ moratoria (which do not fall under the definition of General Payment Moratorium) to the customers of its leasing or factoring entities.

With the second partial lockdown starting at the end of October and running much longer than the first one, a second charter to extend the payment holiday scheme to 31 March 2021 was put in place for households as well as for non-financial companies and self-employed people.

Aside the public moratoria, Belfius granted also moratoria under contractual schemes.

Recently an additional extension has been offered to non-financial companies and self-employed people until 30 June 2021. To offset the EBA requirement to limit the public payment holiday schemes to maximum 9 months, Belgian banks have combined

(1) We use the following definitions for net monthly household income:

→ For salaried workers: the monthly income in February 2020, including recurring incoming payments such as maintenance and rental income but not including child allowance payments and after the deduction of consumer loan and mortgage repayments for the primary residence.

→ For self-employed: the monthly income before the coronavirus crisis (calculated as follows: income earned in 2019 divided by 12 months), including recurring income such as maintenance repayments and rental income but not including child allowance payments and after the deduction of consumer loan repayments, mortgage repayments for the primary residence and repayments for any business loans in your own name.

the second charter with a third charter to continue to support self-employed people and financially sound companies who already enjoyed a public payment holiday for more than 9 months, without the banks benefiting of the flexible forbearance treatment

Pillar 2: The Guarantee Scheme. The (first) guarantee scheme consists of a total allowance of EUR 50 billion for all new loans and loan commitments up to 12 months maturity granted by banks to viable non-financial companies and self-employed people until 30 September 2020. Banks are entitled to a part of the overall amount of the state guarantee based on their market share. At the end of the guarantee scheme period the losses on the guaranteed loans incurred by each bank will be distributed as follows:

- first 3% to be covered by the bank itself;
- between 3% and 5% to be equally shared by the Belgian state and the bank;
- above 5%, 80% of the losses to be covered by the Belgian state.

In view of the need for longer maturities, the Government decided to introduce a (second) EUR 10 billion guarantee scheme for loans to SME (following the Belgian/European definition) with a minimum duration of >12 months and a maximum of 36 months, part of the former EUR 50 billion scheme. It was approved by the Belgian Parliament on 16 July 2020. In contrast to the first guarantee scheme, this second version is optional for the participating bank: banks can choose whether an eligible SME credit will be brought under the guarantee mechanism or not. This guarantee scheme covers 80% of all loan losses under this scheme, which also differs from the first scheme. This second guarantee scheme has been extended on 30 December 2020 and is valid until 30 June 2021 and allows maturities up to 60 months.

Since the beginning of the Covid-19 crisis, Belfius has fully delivered on its societal role by providing the necessary liquidity and by granting deferred payments for individuals, companies and SMEs in temporary difficulties – and this with an overall contribution materially higher than its market share would have suggested. During 2020:

- 23,879 company loans, in an amount of EUR 4.7 billion, benefited from deferred payments, including renewals on roll-over loans, to corporate and business customers;
- 13,840 leasing contracts of corporate and business customers similarly benefited from deferred payments in an amount of EUR 870 million;
- 424 requests for deferred payments were granted on EUR 400 million of loans to the public sector (mainly the social sector);
- 19,464 requests for deferred payment were granted on EUR 2 billion of mortgage loans under the general Covid-19 scheme, in addition to a contractual payment deferral granted to 8,863 files representing nearly EUR 1 billion;
- finally, EUR 509 million of new loans were granted under the Belgian State guarantee scheme, to corporate, business, public and social sector customers.

Early 2021, out of the EUR 4.7 billion of loans to corporate and business customers and out of the EUR 3 billion of mortgage loans that were granted moratorium during 2020, EUR 1.1 billion respectively EUR 0.1 billion are still subject to payment holidays. 99% of corporate, business and mortgage loan customers for which the moratorium came to an end have restarted payments of their formerly deferred amounts.

A similar package of support measures has been taken by the insurance sector in March and April 2020:

- interest and capital repayments on mortgage loans contracted with insurance companies, as well as payment of premiums on mortgage protection insurance, are suspended until 31 March 2021, provided that insurance policyholders can prove that they are facing financial difficulties because of the Covid-19 crisis. This agreement is fully in line with that concluded by the government with the banks. In addition, a payment deferral until 31 March 2021 is possible for home insurance premiums linked to mortgage loans;

- concerning loans granted to corporates, the insurers also apply the conditions already set for the banking sector, namely a loan repayment delay until 31 March 2021;
- the insurance sector also committed to extend cover, with no further formalities, for pension, death, disability and hospitalisation under group insurance (contracted by employers) for all persons in temporary unemployment. The payment of premiums due by employers in this context is deferred until 31 March 2021. It is up to the employers to decide whether or not to use this possibility.

3.2. Cost of Risk in 2020

3.2.1. IFRS 9 impairment methodology at Belfius

Reference is made to Belfius' Risk Report 2019 for a full description of the Belfius process to compute IFRS 9 expected credit losses (ECL).

The basic principles of the process to compute IFRS 9 expected credit losses (ECL) are as follows:

- Belfius Bank, and its subsidiaries, recognise loss allowances for ECL on financial instruments at amortized cost or at fair value through OCI;
- ECL are measured through a loss allowance that depends on the financial instrument's status:
 - for performing exposures (i.e. instruments that have not incurred a significant increase in credit risk since origination), referred to as stage 1, a 12-month ECL is calculated;
 - for under-performing exposures (i.e. instruments that have incurred a significant increase in credit risk since origination), referred to as stage 2, Lifetime ECL are calculated;
 - non-performing exposures (i.e. exposures that become credit-impaired), are classified in stage 3 and the ECL reflect the remaining exposure after a best-estimate of future recoveries.
- ECL are probability-weighted estimates of credit losses. This is expressed as the present value of cash shortfalls i.e. the difference between the cash flows that are due to the entity in accordance with the contract and the cash flows that the entity expects to receive;
- ECL calculations use probability of default (PD) and loss given default (LGD) parameters. Point-in-time PD's are used that inter alia incorporate forward-looking macro-economic information through the use of four different macro-economic scenarios. These scenarios are built upon internal information delivered by the Belfius Research Department, who uses external and internal information to generate a forecast "neutral" scenario of relevant economic variables along with a representative range of other possible forecast scenarios. The external information includes economic data and forecasts published by governmental bodies and monetary authorities;
- Belfius assigns probabilities to the four forecast scenarios (neutral, optimistic, pessimistic and stress) and makes the link between:
 - macro-economic variables; and
 - credit risk and credit losses through identified and documented relationships between key drivers of credit risk and credit losses for each portfolio of financial instruments on the one hand and statistical analysis of historical data on the other hand;
- given that ECL estimations are complex and to a certain extent judgmental, the afore-mentioned mechanical approach is completed by management judgment through "management call" layers. These layers can be positive or negative and aim to include any elements entering in the ECL calculation which have not been taken into account by the mechanical computation on an individual level or a (sub)portfolio level.

3.2.2. Drivers of the cost of risk in 2020

In the Covid-19 perspective, the cost of risk is built according to a waterfall principle:

- the provisions for stage 1 and 2 are calculated in a mechanical mode, based on a view on the macro-economic conditions (past and future) (pillar 1);
- if Belfius considers that certain risk pockets, defined in terms of sectors or groups of companies, are not sufficiently covered by the mechanical provisions, certain expert overlays are added (pillar 2);
- if, additionally, expert analysis pointing to counterparts with a potentially increased credit risk, that were not detected by the mechanical approach and not yet classified

‘as unlikely to pay’, the provisions constituted could be insufficient. For these cases, an individual management adjustment on the expected credit loss in stage 2 is added (pillar 3);

- for counterparts in a default status (stage 3), the normal impairment process is run and specific provisions are calculated and booked (pillar 4). Provision levels are based on an individual assessment of exposure and collateral. A number of corporate loans, that were already showing increased risk profiles pre-crisis, have shifted to default in 2020, requiring additional specific impairments (stage 3). Some other loans resulted in release of impairments.

The Cost of Risk 2020 of EUR 453 million is composed of an increase of ECL’s in stages 1 and 2 for a net amount of EUR 331 million and a provision for defaulted loans of EUR 122 million.

The net increase of EUR 331 million in stage 1 and 2 reflects the importance of the Covid-19 ECL overlays that were accounted for, in particular in the Business and Corporate segments. In order to cover for the increase of credit risk, linked to certain risk pockets in these segments, significant exposures were shifted from stage 1 to stage 2, inducing a net reduction of the ECL in stage 1 and an increase in stage 2 for which life time expected losses are calculated.

3.2.3. Covid-19 adjustments to the impairment methodology: further insights

The current crisis is unprecedented with very unusual features such as its speed and scale, a widespread lockdown of activities, uncertainties about the timing and shape of recovery, the impact of the measures taken by the Federal State, the Regions, central banks and regulators, etc.

In this context, Belfius’ basic principles for ECL computations have remained largely unchanged, however some material adjustments to the afore-mentioned approach were required in order

- to maintain adequate coverage ratios on estimated increased risk profiles and
- to comply with updated regulations, for instance on forbearance and guidelines to avoid pro-cyclicality.

Therefore, the following adjustments were made:

Pillar 1: macroeconomic factors-methodology

Expected credit loss calculations are based on a long-term average (2009-2022) for all the relevant macroeconomic factors, with a backward and a forward looking part.

To calculate ECL, Belfius still defines four probability weighted forward-looking scenarios each with their own macro-economic parameters to build optimistic, neutral, pessimistic and stress cases. Yet, the scenarios have been adapted to the current circumstances and more probability weight has been put on the pessimistic and stress scenarios.

Counteractive dampening measures have been implemented by national and regulatory authorities. These have been included in the ECL calculations. They refer, inter alia:

- to changes to avoid, to some extent, pro-cyclicality in ECL calculations by giving a greater weight to long-term normalized outlook evidenced by past experience when estimating long-term ECL (giving weight to through-the-cycle approach);
- to account for moratoria and guarantee schemes: regulatory guidance was given with respect to the treatment of exposures covered by public and private moratoria related to Covid-19, both from a prudential (forbearance as unlikely-to-pay classification) and an accounting perspective (as an indication of significantly increased credit risk).

Pillar 1: macroeconomic factors used in 2020

Belfius' neutral scenario includes an important recession for 2020, however, expectations have been revised to mitigate recession figures in the course of the year on the basis of macro-economic figures (Belgian GDP: -8% in 4Q vs -10,6% in 2Q). This recession is expected to be followed by a partial rebound in 2021 and 2022 (Belgian GDP: +3.9% in 2021 and +3.3% in 2022) enabled by the vaccination campaign and assuming that no new major lockdown effect are to be expected.

In terms of unemployment, the neutral scenario implies an unemployment increase from 5.4% in 2019 to 9.2% in 2020. An improvement to 7.4% in 2021 is forecasted. The 2020 unemployment figure includes the exceptional temporary unemployment observed that is expected to be, to a certain extent, converted into structural unemployment.

GDP (% YoY)

	2020 (2Q20)	2021 (2Q20)	2022 (2Q20)	2020 (2Q20)	2021 (2Q20)
Belgium	-8.0 (-10.6)	3.9 (8.2)	3.3 (2.1)	9.2 (7.9)	7.4 (8.4)
Eurozone	-7.9 (-10.9)	3.6 (8.1)	2.6 (3.5)	10.6 (10.4)	9.0 (9.6)
United States	-4.0 (-8.0)	3.3 (4.8)	2.8 (3.5)	-	-

Unemployment (%)

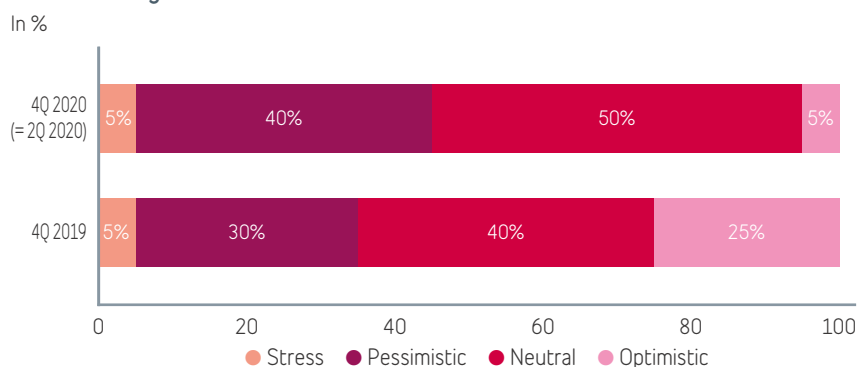
The neutral case is completed with an optimistic, a pessimistic and a stress scenario. The table (below) illustrates the Belgian GDP Growth assumptions, as of 4Q 2020, under the four scenarios. Please note, that for the credit provisioning as of end 2019 other, pre-Covid 19 assumptions were used.

GDP BE (% YoY)

Scenarios	As of end 2019	As of 4Q 2020
For year	2020	2020 (2Q20) 2021 (2Q20)
Optimistic	1.5	-7.3 (-6.0) 9.0 (5.0)
Neutral	1.1	-8.0 (-10.6) 3.9 (8.2)
Pessimistic	0.8	-10.3 (-12.5) 3.1 (6.0)
Stress	-0.5	-12.5 (-13.9) 2.3 (6.4)

A 50% weight has been assigned to the neutral scenario, while the weight of the more negative scenarios has been increased due the Covid-19 crisis, bringing the weight of these scenarios to 45%. The more optimistic scenario is given a 5% probability. The weights were modified in 2Q 2020 and kept unchanged since then.

Scenario weights



Sensitivity of the impairment stock stage 1 & 2 to changes in scenario weights

The following table provides an overview of the stage 1 & 2 impairments sensitivity to:

- the weight of macroeconomic scenarios; and
- the most relevant macro economic factors being GDP and Unemployment assuming the current Covid-19 IFRS-9 method is maintained. Note that the sensitivity is not linear and cannot be simply extrapolated.

(In millions of EUR)	What if 85% optimistic ⁽¹⁾	Weighted average scenario 4Q20	What if 85% pessimistic ⁽¹⁾	What if 85% stress ⁽¹⁾
Impairment stock stage 1&2	846	964	1.008	1.113
% change vs WA scenario	-12%	0%	5%	15%
		Optimistic 5% Neutral 50% Pessimistic 40% Stress 5%		

(1) 5% on each of the 3 other scenarios.

Pillar 2 and 3: overlays to cover for certain risk pockets

The Covid-19 adjusted mechanical calculations are completed with expert overlays. Due to the unusual situation and the sectoral impact of Covid-19, these overlays gained further scale and importance in the course of 2020. The overlays are designed to result, overall, in best estimate total coverage of ECL in some specifically identified risk pockets (defined in terms of sectors, groups of companies or individual exposures) when the credit risk is estimated (potentially) insufficiently covered by the mechanical provisions.

Risk pockets

VULNERABLE COMPANIES	Companies with low ratings belonging to sectors identified as very much impacted by Covid-19 and flagged as having lower resilience
COMMERCIAL REAL ESTATE	Sensitive market segments (e.g. retail, leisure, hospitality)
MORTGAGES	Loans at risk: to borrowers using moratorium and loans with indicators pointing out to potentially higher risk pockets (buy to let loans, loans to borrowers with low ratings)
INDIVIDUAL NAMES	Expert analysis pointing to counterparts with a potentially increased credit risk, that were not detected by the mechanical approach and not yet classified "as unlikely-to-pay"

Concretely, one or more IFRS 9 parameters have been stressed when computing the ECL. For mortgages a stressed LGD value was applied, for Commercial Real Estate and vulnerable companies an add-on was applied on the mechanically calculated expected credit loss, reflecting the characteristic of the risk pocket.

This review fed the formal quarterly impairment process and resulted into shifts of individual files or risk pockets from stage 1 to 2 and to the application of the Expected Credit Loss levels that were deemed adequate to cover the increased credit risk.

Governance

The governance process did not change fundamentally, with the Research department responsible for providing the macro-economic parameters and scenarios, the computation engines (enhanced for increased flexibility and simulation power) and the governance of expert and impairment committees that were in place before the crisis. However, a higher frequency and in-depth reporting to the Management Board and Board of Directors was established to ensure proper guidance and decision-making process in view of the materiality of the Covid-impact and its unprecedented nature.

The current approach is deemed to reflect the expected credit losses in a best estimate way. Yet, the evolution of the pandemic and its economic impacts remain uncertain meaning that figures are subject to upwards or downwards adjustments in coming quarters.

It is to be recalled that stage 1 and 2 provisions constitute protection against expected credit losses on files that could enter into a default status. To what extent these stage 1 and 2 provisions will be transformed into stage 3 provisions, covering incurred credit losses on defaulted loans, remains subject to uncertainty. On the other hand, if there would be a significant improvement in macroeconomic environments and/or even more successful government support measures allowing that such currently anticipated transitions to default will not occur, part of the impairments could be reversed over time.

3.3. Evolution of the portfolio by segment

3.3.1. Retail (mortgages and consumer credits)

Several factors have influenced the mortgage lending activity:

- termination of tax benefits on mortgage loans as of 1.1.2020, which has accelerated the production of loans at the end 2019 followed by a slowdown early 2020;
- supervisory expectations regarding the lending standards of mortgage loans which has been implemented by means of a strengthening of the underwriting criteria;
- the Covid-19 crisis, which has impacted the confidence of the customers, and which has made the acquisition of properties more difficult because of the lockdown.

Despite this complicated environment, the production volumes of mortgage loans remained relatively high leading to an FEAD at the end of 2020 of EUR 36 billion. The average PD is remaining stable at 0.50% over the years.

The integration into the Risk Appetite Framework of a target Mortgage production and portfolio, the adjustment of the underwriting rules (with respect to LTVs, DSTIs,...) for specific risk pockets and a continuous monitoring with feedback loop to the underwriting criteria, have allowed Belfius to steer its Mortgage production and portfolio to align with the NBB supervisory expectations.

This resulted in a significant improvement of credit standards at origination, in particular the high LTV segment (>80% and 90%) for both buy-to-let loans and first time buyer loans. Since 2019 the part of the production with a LTV>90% decreased with 17%.

The asset quality ratios remained very low given that due to the Covid-19 moratoria and other support measures many clients were able to avoid payment difficulties.

Despite low inflow of NPL loans, and consequently low stage 3 impairments, the Cost of Risk has been strongly impacted by the Covid-19 crisis. This impact is fully related to the stage 1 and 2 impairments, reflecting a strategy of anticipative provisioning in line with the macro-economic perspectives and to cover for potential negative evolutions in certain risk pockets (as higher LTV and/or a buy-to-let mortgage loan).

The production of consumer loans further slowed down, a trend already observed in 2019 resulting in a FEAD at 2020 year end of EUR 5.2 billion, 0.6% lower than in 2019.

3.3.2. Business and Corporate clients (incl. Covid-19 sensitive sectors)

The Belgian economy heavily depends on international trade and most of its economic sectors are geared towards the export of products. Global trade weakened in 2020, while the disruption to trade flows and supply chains further amplified the negative effects, especially for the sectors delivering goods and services to sectors highly impacted by the sanitary crisis. The UK left the EU on 31 January 2020. An agreement on its new partnership with the EU, more specifically by the EU-UK Trade and Cooperation Agreement was agreed on 24 December 2020. As a result, a number of uncertainties have been removed, but certain risks remain present: the treaty does not solve everything, lacks some safeguards and could hold some surprises.

Belfius' exposure to Business and Corporate (mostly large- and medium sized corporates with a decision-making centre in Belgium as well as corporates offering services to the public sector) clients amounted in FEAD end 2020 to EUR 50.5 billion.

The quality of the portfolios remains stable. Belfius keeps taking the necessary measures to ensure that its growth strategy goes hand in hand with a good credit-worthiness.

The credit risk in the loan portfolio has been dominated in 2020 by the Covid-19 crisis and its significant economic impact:

- a risk mitigation strategy for corporates, SME and self-employed was defined in the context of the Covid-19, based upon two complementary approaches: a bottom-up approach analysing individual clients identified as “at risk” and continuous credit risk monitoring. The bottom-up approach was executed by screening the portfolio with pluridisciplinary teams of Front Office, Loans, Risk Management and Legal. This in-depth analysis of the loan portfolio was conducted in waves in order to prioritize on most Covid-19 impacted sectors and companies with the lowest estimated resilience.
With 90% of the exposures screened at year end, our analyses revealed that only a small fraction of Belfius’ outstanding exposure is actually situated in these highly impacted sectors or have been subject to specific risk mitigating actions to temper the risk;
- Belfius has mapped the impact of the Covid-19 crisis specifically for the segment of Business and Corporate clients. The sectors actually suffering the most from the crisis are those which have been obliged to cease the major part of their activities due to a decision of the government, the second most affected sectors are those which are heavily impacted by social distancing measures; Business and market players active in these sectors have been severely hit financially, as it is extremely difficult for them to offset the lost turnover, and to return swiftly to the usual turnover once the economy rebounds.

Sector sensitivity	% of total portfolio ⁽¹⁾
CATEGORY 1 Sectors directly forced to stop the major part of their activities due to Government’s decision (Such as hospitalities, arts, events and retail trade excluding food)	1.4%
CATEGORY 2 Other sectors with activities heavily impacted by the social distancing measures (Such as travel, transport, airlines, automotive and wholesale trade)	4.0%
CATEGORY 3 Other sectors delivering services for directly impacted sectors at levels 1 and 2 (Such as construction, shipping, warehousing, non-residential real estate and service companies)	6.8%
CATEGORY 4 Sectors that will be suffering from the global economical impact of the crisis (Macro-economic effect with demand and production disruptions)	15.8%

(1) Total loans and debt instruments portfolio (FEAD) on Belfius Bank balance sheet amounts to EUR 180 billion (incl.GC) as per end December 2020.

- sector risks are monitored in a proactive way and specific measures have been defined with regard to a limited number of more vulnerable sectors:
 - Belfius exposure to the more Covid-19 sensitive sectors (categories 1 and 2) is limited to 5.4% of the total portfolio;
 - several assessments indicate that the commercial real estate sector has shown good resilience, also against the Covid-19 crisis, with the exception of certain pockets of risk as commercial real estate for Retail and Hotel/Leisure;
 - Belfius’ exposure to these risk pockets is limited and overall, our acceptance policy, based on guidelines and best practices, has contributed to a sound risk level of the commercial real estate portfolio, which is correctly diversified in terms of underlying asset types, individual name concentration and geographical spread.
- in addition to the existing risk monitoring and as part of the management of the Covid-19 impact, Belfius has put in place a robust risk mitigation strategy with specific committees, action plans and reporting and monitoring activities. The Risk department accelerated the improvement of the process of early warning indicators in order to keep permanently the risks in this market segment well under control.

Within this global context the number of bankruptcies decreased significantly (-33%⁽¹⁾) in 2020: many companies survive indeed the pandemic through robust support measures:

- they received financial assistance from the government;
- they retained access to credit thanks to agreements between the government and banks;
- they could temporarily suspend the repayment of their loans;
- while the moratorium on bankruptcies also played a not negligible role.

Nevertheless the Cost of Risk related to business and corporate loans exceeded in 2020 significantly the target level, not only driven by the strong increase of the Stage 1 and 2 impairment stock, caused by the deterioration of the macroeconomic factors and the creation of additional Covid-19 layers, but also by some important files that shifted to stage 3.

3.3.3. Public sector clients

Belfius' loan portfolio to the public and social sector amounted end 2020 to EUR 38.3 billion (FEAD) and maintained its low risk profile despite the Covid-19 pandemic:

- Belgian public finances headed for what concerns 2020 towards a historic deficit, while also the debt ratio jumped to record heights;
- the deterioration is of a comparable magnitude in all EU countries, so that the EU decided to mobilize for the first time the maximum budgetary flexibility by activating the 'general escape clause';
- independently of the Covid-19 impacts and the budgetary easing measures planned by the EU, the Belgian finances present an important deficit, which will require financial reconstruction measures in the medium term.

2020 has been a turbulent year for local authorities, who were right in the front line of the sanitary crisis:

- the health crisis will in general not make a material impact in the municipal finances, at least in the short term, although there are differences between regions;
- however, the issue of the pension cost related to their statutory staff and the higher pressure on Social Service will certainly be raised again later on this legislature, and it is just the question to what extent the ambitious and necessary local investment plans will be executed;
- a revision of the multiannual plan seems inevitable for some of the municipalities, but globally municipalities have strong tools to support economic recovery.

From a risk management point of view, the hospital sector is since a few years a focus of attention:

- the figures 2019 confirm once more the fragile financial situation of the hospitals, the extreme low margins remain a reality;
- hospitals are therefore hardly able to face financial setbacks, and certainly not a tsunami like the Covid-19 crisis;
- the (promised) government compensation will therefore be essential to absorb the losses;
- in the long term, a structural reform of their financing seems crucial; only in this way they will be able to provide the strong healthcare that is vital for a prosperous economy;
- 2020 can thus become a turning point for our health care system and for the way hospitals are organized.

(1) Source: Graydon.

The senior housing sector contains traditionally considerable addition risks to operators due to the age and average health profile of the occupiers:

- it is a fact that Covid-19 is an epidemic that has severely hit older adults in Belgium;
- there is a clear concern that growing contagion in senior-care buildings could hurt operations and lead to occupancy declines;
- the viability of some smaller senior living operators might come under pressure, especially in regions where the sector already experienced headwinds related to oversupply and elevated cost pressure;
- the financial health and occupation rate of the affected senior homes are therefore closely monitored by Belfius.

3.4. Insurance

The management of the credit risk of Belfius Insurance is the responsibility of Belfius Insurance risk management team, albeit in collaboration with the credit risk teams of Belfius Bank and aligned with the risk management guidelines that are applicable for the whole Belfius group. As such, this implies that credit limits are defined on a consolidated basis and that transfers of limits between the Bank and Insurance are permitted, on the condition that both parties agree. The CROs of Belfius Bank and Belfius Insurance coordinate the requests among each other.

3.5. Financial markets

The mission of Financial Markets, aligned with the mission of Belfius Bank, is to serve its clients and the Belgian economy with essential financial services. Next to this general objective, an innovative Financial Markets also contributes to the liquidity profile of the Bank through the management of Short-Term and Long-Term wholesale funding and through the management of the investment portfolios: both the ALM Liquidity and Yield portfolios (run-off management of the portfolio inherited from the past).

Despite the health crisis that spread rapidly during the year, credit risk in financial markets remained globally stable during 2020.

The most important credit risk events are as follows:

- Covid-19: Some sectors such as transportation, automotive, shopping centers and recreation, ... have been more impacted because of the length of the Covid-19 crisis. Nevertheless, Belfius' exposure towards these sectors remains limited and to date, the impact has been manageable and limited to a small number of internal rating downgrades;
- Brexit: A hard Brexit has been avoided through the agreement reached by the UK and the EU at the end of the year 2020. Thanks to this, the potential negative consequences are limited and remain manageable;
- despite the headwinds that prevailed during the year 2020, the average rating of the investment portfolios and credit derivatives portfolio, managed within financial markets, remained stable at a level of A-;
- risk concentration: Our main concentrations remain British inflation-linked corporate utility bonds and Italian sovereign bonds, which are of satisfactory credit quality and are closely monitored;
- de-risking: Market developments have enabled us to sell 30% of our exposure to Italian sovereign debt at the end of 2020 as well as to continue to reduce our exposure to the riskiest assets such as Tunisian sovereign debt or volatile assets such as old uncollateralized exposures.

Credit risks in relation to Financial Markets activities are monitored by the Credit Risk Limit Framework which is part of the Risk Appetite Framework. Counterparty and country limits are monitored by FM Risk Management in order to limit risk concentrations.

4. The risk management process concerning Forbearance, Watchlist, Default and Impairments

4.1. Forbearance

Forbearance measures imply the granting of concessions towards a debtor facing or about to face difficulties in meeting its financial commitments. These concessions may take the form of modifications to the loan contract or some refinancing.

They apply to all loans and debt securities that are on-balance sheet and also to some off-balance sheet commitments. They do not apply to debt securities held for trading exposures.

Specific criteria are established for each business segment. These provide a practical interpretation of the concepts of “financial difficulties” and “concession”. When granting a concession, the Bank is always led by a number of mainly business-related and economic factors. The fact that concessions are made is one of the Watchlist indicators at Belfius and lead to a transfer of the exposures from stage 1 to stage 2 under IFRS 9.

Due to the unprecedented situation, which customers and institutions face today with the Covid-19 pandemic and given that authorities have fully acknowledged that payment moratoria are effective tools to address short-term difficulties caused by the limited operations of many enterprises or by short-term unemployment for households, the EBA has provided flexibility and guidance to the banks with regard to forbearance reclassification.

According to the new EBA Guidelines on legislative and non-legislative moratoria⁽¹⁾, institutions are allowed to grant payment holidays for a pre-defined set of obligors, for which there need not be an automatic regulatory reclassification as forbearance. However, the EBA clearly clarifies that banks are required to continue to correctly identify those situations where borrowers may face longer-term financial difficulties and classify exposures in accordance with the regulation. In addition, the EBA clarifies that the existence of any credit risk mitigation (including state guarantees due to Covid-19) should not exempt the banks from performing the assessment of the obligor's unlikelihood to pay or affect the results of such an analysis.

Belfius reviewed its forbearance criteria established within this purpose. In line with the EBA guidance, there is no automatic change in the forbearance classification for borrowers only due to new loan granted under the state guarantee scheme or EBA compliant requested moratoria. Clients which were granted legislative, non-legislative and other moratoria during the Covid-19 pandemic continued however to be assessed on an individual basis, taking into consideration the existing forbearance criteria and longer-term capacity to repay. In this context however, the most vulnerable clients associated with high PD's and, with potentially longer-term use of moratoria are recognized as forborne.

At the end of 2020, an amount of EUR 1,031 million of loans at Belfius complied with the forbearance definition, of which EUR 79 million related to Belfius Insurance compared to EUR 818 million and EUR 61 million at the end of 2019. EUR 624 million or 60% of these forborne exposures are still performing. The most relevant contributors to the Forbearance are Corporate (EUR 376 million) and Business customers (EUR 383 million).

4.2. Watchlist

The Watchlist Guideline defines internal and external (early warning) indicators to identify a significant increase of credit risk that may lead to an intensive follow-up and/or management of credit files. This allows the bank to closely monitor increasing credit risks and to take adequate credit mitigation measures in order to reduce credit risks pro-actively.

This is also reflected in the provisioning policy by applying a stage 2 for the majority of these exposures. On a quarterly basis, dedicated Risk Committees identify the files requiring a higher level of monitoring.

4.3. Default

A transversal default definition is applied within the entire Belfius Group and on all market segments in line with the EBA Guideline⁽²⁾.

A default status is assigned to the debtors who satisfy either one or both of the following criteria:

- the debtor has material exposures which are more than 90 days past due;
- the debtor is assessed as unlikely to pay its credit obligations in full without realization of collateral, regardless the existence of any past due amount or the number of days past due.

More details
on forborne
exposures are provided
in the note
9.2.7 Forbearance
in the Financial
Statements.

(1) EBA/GL/2020/02

(2) EBA/GL/2016/07

Belfius Default guideline provides in-depth description of indicators used to categorize an exposure in default⁽¹⁾. The Default Committee within the Risk department is competent to define the default status.

Based on regulatory evolutions, Belfius has implemented the EBA updated definition of default as of mid March 2020⁽²⁾. Its internal guidelines are updated accordingly. The aim of the EBA guideline is to harmonize the definition of default across the EU prudential framework.

Main impacts are the materiality threshold for obligations past due that are now composed of both an absolute and a relative threshold, and the introduction of a probation period of 3 months before reclassification to a non-defaulted status.

4.4. Impairments

At the end of 2020, the total impairment stock amounted to EUR 2,184 million compared to EUR 1,827 million to the end of 2019. This EUR 357 million increase is mainly explained by the impact of the Covid-19 crisis.

The decrease of expected credit losses in stage 1 results from shifts to stage 2 and stage 3 with as driver the Covid-19 economic environment deterioration, transferring exposures to stage 2 and 3. This stage 1 decrease is more than counterbalanced by an increase of expected credit losses in stage 2 and 3 mostly driven by the overlays and name based expected credit losses adjustments for the stage 2.

(1) An economic loss related to the sale of credit obligations will be treated as an indication of default if the loss on the sale of credit obligations is related to the credit quality of the obligations themselves and material i.e. when the economic loss related with the sale of the credit obligation(s) amounts to minimum 5% of the total outstanding amount of the obligation(s) subject to the sale.
(2) EBA/GL/2016/07

5. Exposure to credit risk

Full Exposure at Default "FEAD" is determined as follows:

- for balance sheet assets (except for derivatives): the gross carrying amounts (before credit risk adjustments);
- for derivatives: the fair value of derivatives after netting, increased with the potential future exposure calculated under the current exposure method (add-on);
- for Securities Financing Transactions: the carrying amount as well as the excess collateral provided for repurchase agreements;
- for off-balance sheet commitments: either the undrawn part of credit facilities or the maximum commitment of Belfius for guarantees granted to third parties.

FEAD for instance provides a consistent metric to present a combined view of the Bank and Insurance respective exposures to credit risk.

Breakdown of credit risk by counterparty

(FEAD, in EUR million)	31/12/19	31/12/20	Of which	
			Bank	Insurer
Central governments	18,094	36,570	30,282	6,288
of which government bonds	9,967	9,703	3,629	6,074
of which EU Central Bank	6,673	25,418	25,418	0
Public sector entities	44,342	43,585	41,882	1,703
Corporate & Project Finance	38,864	42,958	41,659	1,299
Monoline insurers	4,718	4,600	4,600	0
ABS/MBS	749	427	392	35
Individuals, self-employed and SME's	52,220	54,554	50,393	4,160
Financial institutions	13,415	11,456	10,540	916
TOTAL	172,401	194,149	179,748	14,402

The figures in the above table are after elimination of intra-group exposures and exclusion of equity positions and other assets not qualified as credit exposure, but with inclusion of credit exposure of trading activities and counterparty credit risk.

Exposures are allocated to the final counterparty, apart from ABS/MBS for which the exposure to the original counterparty is used.

As at 31 December 2020, the total credit risk exposure, within Belfius reached EUR 194.1 billion, an increase of EUR 21.7 billion or 12.6% compared to the end of 2019.

This increase is entirely attributable to the banking activity as the credit risk exposure at the level of Belfius Insurance remained stable at EUR 14.4 billion at the end of 2020.

The increase by EUR 18.5 billion observed on the segment central governments is mostly due to the additional liquidity reserve taken up by Belfius and deposited at the NBB considering the adjusted TLTRO III scheme implemented by the ECB. Nearly half (49%) of the government bonds portfolio is invested in Belgian government bonds at the Group level. While at bank level the Belgian government bonds represents 45% of the total government bond portfolio, the relative proportion at Belfius Insurance stood at 51%.

The credit risk exposure on individuals, self-employed and SMEs (28% of the total), Public Sector entities (22%) and corporates (22% of the total) constitute the three main categories. The exposure on the categories individuals, self-employed and SMEs and corporates increased by EUR 2.3 billion and EUR 4.1 billion respectively, reflecting Belfius' strategy to support the Belgian economy.

The credit risk exposure on public sector entities and institutions that receive guarantees of these public sector entities decreased with EUR 0.7 billion.

The credit risk exposure on financial institutions declined in 2020 by EUR 2.0 billion.

The credit risk on monoline insurers on bonds issued by issuers principally active in infrastructure and public utilities projects is predominantly an indirect risk arising from credit guarantees written by Belfius Bank and reinsured with monoline insurers. The exposure declined by EUR 0.1 billion over the period.

Belfius' positions are mainly concentrated in the European Union: 92% or EUR 166.1 billion at bank level and 89% or EUR 13.7 billion for Belfius Insurance. The total relative credit risk exposure on counterparties situated in Belgium is 70%, 5% in France, 4% in the United Kingdom, 1.4% in the United States and Canada, 0.9% in Spain and 0.9% in Italy.

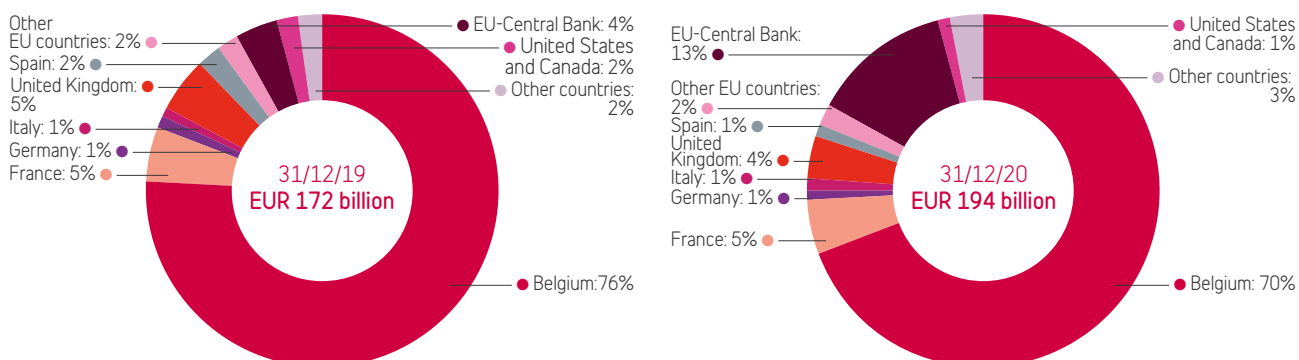
The credit risk exposure to counterparties in the United Kingdom amounted to EUR 7.6 billion. About half of this credit risk exposure concerns bonds, of which close to two-third are inflation-linked, issued by utilities and infrastructure companies in the

United Kingdom that operate in regulated sectors such as water, gas and electricity distribution. These bonds are of satisfactory credit quality (100% investment grade), and moreover most of the outstanding bonds are covered with a credit protection issued by a credit insurer that is independent from the bond issuer. The remainder concerns the bond portfolio of Belfius Insurance, a short-term credit portfolio for treasury management of Belfius Bank and receivables on clearing houses. The credit risks on those portfolios are also of satisfactory credit quality.

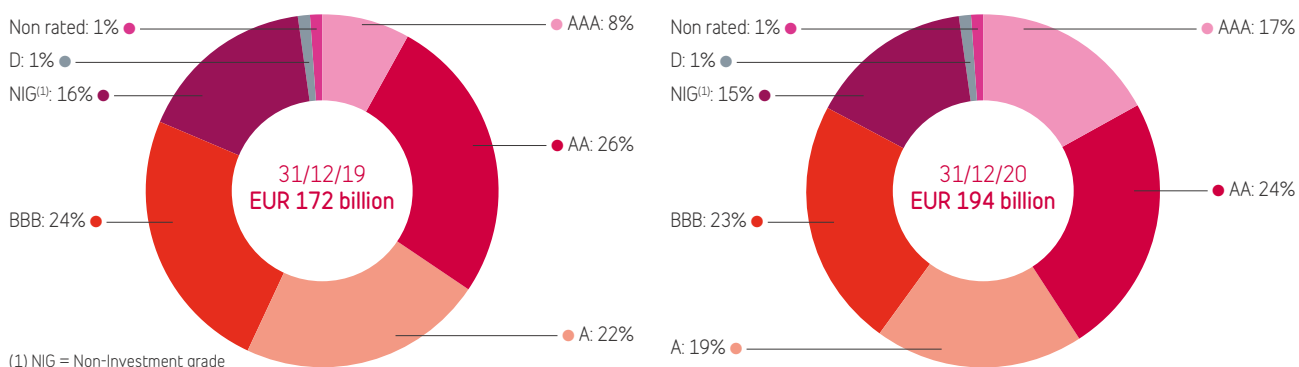
Exposures to UK declined by EUR 1.9 billion over the period as a consequence of business transfers from our counterparties in anticipation of Brexit.

At the end of December 2020, 82% of the total credit risk exposure had an internal credit rating investment grade (IG).

Breakdown of credit risk by geographical region



Breakdown of credit risk by rating



6. Asset quality

At the end of 2020, the amount of impaired loans amounted to EUR 1,997 million, an increase of 7% compared to year-end 2019, mainly driven by a limited number of specific customers in default. During the same period, the gross outstanding loans to customers increased by 4.1% and amounted to EUR 98,640 million as the end of 2020. As a consequence, the asset quality ratio remained stable at 2.02% at the end of 2020. The coverage ratio slightly decreased to 60.0% at the end of 2020 compared to 62.3% at the end of 2019.

Asset Quality⁽¹⁾

(in millions of EUR, except where indicated)	31/12/19	31/12/20
Gross outstanding loans and advances to customers (measured at amortised cost)	94,907	98,640
Impaired loans and advances to customers (measured at amortised cost)	1,859	1,997
Stage 1 impairments on loans and advances to customers	198	134
Stage 2 impairments on loans and advances to customers	159	495
Stage 3 impairments on loans and advances to customers	1,158	1,199
Asset quality ratio ⁽²⁾	1.96%	2.02%
Coverage ratio ⁽³⁾	62.3%	60.0%

(1) Belfius Insurance included.

(2) The ratio between impaired loans and advances to customers and the gross outstanding loans and advances to customers.

(3) The ratio between the Stage 3 impairments and impaired loans and advances to customers.

Market risk

1. Overview

1.1. Market risk definition

Overall, market risk can be understood as the potential adverse change in the value of a portfolio of financial instruments due to movements in market price levels, to changes of the instrument's liquidity, to changes in volatility levels for market prices or changes in the correlations between the levels of market prices.

Management of market risk within Belfius encompasses all Financial Markets activities of the Bank and focusses on interest rate risk, credit spread risk, foreign-exchange risk, equity risk (or price risk), inflation risk and commodity price risk.

In the Risk report we make the distinction between the Structural & ALM risk on the one hand and Trading Market Risk on the other hand.

Market risk of Belfius Insurance is separately managed by its ALCo's. Belfius Insurance's ALCo makes strategic decisions affecting the balance sheets of the insurance companies and their financial profitability taking into consideration the risk appetite pre-defined with the Belfius Bank and Insurance group (i.e. directional ALM position in interest rate risks, equity and real estate risks, volatility and correlation risks).

1.2. Risk types

The sources of market risk are changes in the levels of:

- interest rates;
- credit spreads;
- inflation;
- foreign-exchange rates;
- equity prices;
- commodity prices;

and their related risk factors like volatility or correlation for example.

Interest rate risk may be understood as the variation of the value of assets or liabilities of the Bank following changes in interest rates quoted on the markets. It is most pronounced in debt instruments, derivatives that have debt instruments as their underlying reference asset and other derivatives whose values are linked to market interest rates.

Credit spread risk is linked to the credit spread curve that can change for a counterparty even if the credit quality (rating) remains the same. This impacts the XVAs and mainly the Credit Value Adjustment (CVA).

Foreign-exchange risk is the potential risk that movements in exchange rates may adversely affect the value of a financial instrument or portfolio. Despite exchange rates being a distinct market risk factor, the valuation of foreign-exchange instruments generally requires knowledge of the behaviour of both spot exchange rates and interest rates.

Equity price risk is the potential risk for adverse changes in the value of an institution's equity-related holdings. Price risks associated with equities are often classified into two categories: general (or non-diversifiable) equity risk and specific (or diversifiable) equity risk.

2. Structural & ALM risk

2.1. Policy on asset & liability management

Managing structural exposure to market risks (including interest rate risk, equity risk, real estate risk and foreign exchange risk) is also known as Asset & Liability Management (ALM). The structural exposure at Belfius results from the imbalance between its assets and liabilities in terms of volumes, durations and interest rate sensitivity.

Belfius' Board of Directors has the ultimate responsibility for setting the strategic risk tolerance, including the risk tolerance for market risks in non-financial markets activities. The Management Board of Belfius Bank and Belfius Insurance have the ultimate responsibility for managing the interest rate risks of Belfius within the above set risk tolerance and within the regulatory framework.

The real operational responsibility of the effective asset & liability management (ALM) is delegated to the Asset & Liability Committee (ALCo). The ALCo manages interest rate risk, foreign exchange risk, and liquidity risk of the Bank's respectively insurer's balance sheet within a framework of normative limits and reports to the Management Board. Important files at a strategic level are submitted for final decision to the Management Board, that has the final authority before any practical implementation.

The ALCo of the Bank is responsible for guiding and monitoring balance sheet and off-balance sheet commitments and, doing so, places an emphasis on:

- the creation of a stable income flow;
- the maintenance of economic value;
- the insurance of robust and sustainable funding.

The ALCo meets regularly, chaired by the Chief Financial and Strategic Officer (CFSO), with meetings attended by the Chief Risk Officer (CRO) and members of the Management Board responsible for commercial business lines (or their mandatees).

The ALCo of Belfius Insurance plays the same role for the insurance company pursuing the same objectives but with a focus on the economic value and solvency according to the Solvency II regulation. The risk indicators are calculated based on a harmonised risk method for Belfius, supplemented by factors specific to Belfius Insurance relating to their risk management.

2.2. Interest rate risk

2.2.1. Interest rate risk of the banking activities

In respect to the interest rate risk, Belfius Bank pursues a prudent risk management of its interest rate positions in the banking book within a well defined internal and regulatory limit framework, with a clear focus on generating stable earnings and preserving the economic value of the balance sheet and this in a macro-hedging approach, thoughtfully considering natural hedges available in the bank balance sheet.

The management of non-maturing deposits (such as sight and savings accounts) and non-interest-bearing products use portfolio replication techniques. The underlying hypotheses concerning expected duration, rate-fixing period and tariff evolution are subject to constant monitoring and, if necessary, they are adjusted by the ALCo. Implicit interest rate options like prepayment risk are integrated through behavioural models.

Interest rate risk has two forms: economic value volatility and earnings volatility. The measurement of both of these forms is complementary in understanding the complete scope of interest rate risk in the banking book.

Banks' ALM objective is to protect the net interest income for downward pressures in current historically low interest rate environment, while respecting the limits on variation of economic value.

Economic value indicators capture the long-term effect of the interest rate changes on the economic value of the Bank. Interest rate sensitivity of economic value measures the net change in the ALM balance sheet's economic value if interest rates move by 10 bps across the entire curve. The long-term sensitivity of the ALM perimeter was EUR -35 million per 10 bps at 31 December 2020 (compared to EUR -50 million per 10 bps at 31 December 2019), excluding interest positions of Belfius Insurance and of the pension funds of Belfius Bank.

Earnings at Risk indicators capture the more shorter term effect of the interest rate changes on the earnings of the Bank. Therefore, indirectly through profitability, interest rate changes can also have a shorter term solvency effect. A 50 bps increase of interest rates has an estimated positive impact on net interest income (before tax) of EUR +31 million of the next book year and an estimated cumulative effect of EUR +168 million over a three year period, whereas a 35 bps decrease would lead to an estimated impact of EUR -20 million of the next book year and an estimated cumulative effect of EUR -143 million over a three year period.

Besides directional interest rate risk also curvature risk, due to steepening or flattening of the interest rate curve, is followed up within a normative framework by the ALCo. The same goes for basis spread risk between Euribor and Eonia or €STR and cross-currency spread risk.

The low interest rate environment puts considerable pressure on the Bank's standard transformation model. On the one hand, the interest paid to depositors remains close to zero or is even legally prohibited to go below 11 bps while the interest received on commercial loans is constantly lowered following market rates and competitive pressures. On the other hand, customers continued to refinance and prepay their mortgages. However, the decisions of the ECB to introduce a tiering on deposits at the ECB and the more advantageous conditions of TLTRO III bring a little relief to the pressure on the bank's transformation model.

2.2.2. Interest rate risk for the insurance activities

The aim is to manage and limit the volatility in the income statement that can be caused by interest rate fluctuations and to safeguard the economic value of the shareholders' capital. Therefore, Belfius Insurance, as a matter of policy, does not hold any exposure with a high interest rate risk.

The duration that reflects the interest rate sensitivity of the balance sheet, is considered to be the leading measuring instrument for interest rate risk. The partial and global sensitivities of the interest rate risk per time bucket are more precise indicators that are monitored by the ALCo.

The limits for the interest rate risk are approved by the Management Board and the Board of Directors. They are translated to the Risk Appetite Policy for global risk indicators and to the Investment Framework for more operational risk indicators and monitored by the ALCo.

Belfius Insurance maintained its ALM strategy which is targeting to keep the duration between assets and liabilities pretty much balanced.

Taking into account the historically low interest rates persisting for a longer period, Belfius Insurance has been forced to revise its current product range substantially. Taking into account the Solvency II capital requirements in combination with the low interest rates and the current taxation rules, it was not easy to offer customers attractive investment insurance products in Branch 21 and Branch 26. So, there are several initiatives on which we give customers an opportunity to foresee a certain degree of security in their investment in Branch 23 through the Branch 44 concept.

2.2.3. Aggregate interest rate risk for the Belfius group

The figures at the right show the impact on the Belfius group Net Asset Value and the Earnings at Risk for the next book year of a parallel upward shift of the yield curve of 10, resp. 50 bps.

(In thousands of EUR)	31/12/19	31/12/20
BELFIUS BANK		
Sensitivity (+10 bps)	(50,409)	(34,770)
Earnings at risk (+50 bps)	3,264	30,889
BELFIUS INSURANCE		
Sensitivity (+10 bps)	6,874	5,224
Earnings at risk (+50 bps)	2,178	2,981

2.3. Credit spread risk

The credit spread risk is dealt with in the "Credit risk" section.

The sovereign and credit portfolio is managed by the investment departments under supervision of the respective ALCo's of Belfius Bank and Belfius Insurance. Its management is carried out according to a risk framework monitored by the risk department. The framework provides risk guidance for the investments. It sets risk appetite and operational limits for ensuring the credit quality of the credit portfolio within the well defined limits and a sound diversification (e.g. among industry sectors or countries). Sensitivity analysis and stress testing are regularly performed.

At Belfius Insurance, the credit spread risk has been fully integrated in the Risk Management. Indeed, moving toward Solvency II, the credit spread risk became more than before a key driver of the solvency position of the insurance company both for the net asset value's sensitivity and for the capital requirement.

2.4. Equity risk

The equity risk is a key contributor to the net asset value's sensitivity and the capital requirement of the insurance company. The equity portfolio is managed by a dedicated Investment team under supervision of the ALCo. The investments are again framed by risk guidance and operational limits according to the risk appetite of Belfius Insurance.

Market risk management tools include stress test measurements that provide an indication of the potential market value loss under different scenarios and the solvency ratio's resilience.

The table at the right shows the price sensitivity of Belfius Insurance's equities portfolio to a downward shock of 30%.

(In thousands of EUR)	31/12/19	31/12/20
BELFIUS INSURANCE		
Market value - quoted shares & assimilated	501,175	379,250
Market value - quoted real estate	277,776	195,006
Shock 30% (negative)	(233,685)	(172,277)
VaR (99%, 10 days)	36,037	175,891

2.5. Real estate risk

The property investments are made of deals offering long term stable returns mostly on the Belgian market. As such, these property investments must be viewed as a way of optimizing the risk/return of the investment portfolio and are allocated to the long-term life insurance business.

The table below shows the price sensitivity of Belfius Insurance real estate risk to a downward shock of 15%.

(In thousands of EUR)	31/12/19	31/12/20
BELFIUS INSURANCE		
Market value - not quoted real estate	720,808	727,068
Shock 15% (negative)	(108,121)	(109,060)

2.6. Foreign exchange risk

Although Belfius Bank uses the EUR as its reporting currency, part of its assets, liabilities, income and expenses are also generated in other currencies. The elements of the profit and loss accounts which are generated in foreign currency are systematically and on an ongoing basis converted in EUR, resulting in only limited net FX positions.

The foreign exchange rate risk is not significant at Belfius Insurance, as less than 1% of the portfolio's total market value is denominated in foreign currencies. The possibilities of holding exposures in foreign currencies is moreover deliberately limited by the Investment Framework.

2.7. Pension funds

Specific reports on the pension plans managed by the pension fund are submitted to the investment committee of those plans as a result of the delegation given by the ALCo. The investment committee analyses the impacts of the plans' position on interest rate, inflation and equity risk.

3. Trading market risk

Financial Markets activities encompass client-oriented activities and hedge activities at Belfius Bank. No Financial Markets activities are undertaken at Belfius Insurance. For their needs in Financial Markets products, they turn to Belfius Bank or other banks.

3.1. Market risk governance

With the purpose of effectively managing the market risks Belfius Bank is facing, FM Risk Management has identified the following cornerstones as key pillars the risk management of its Financial Market (FM) activities:

- an efficient organisation fostering an accurate identification, analysis and reporting of the different risks Belfius Bank is bearing, as well as a continued training of people in order to remain up to date with the latest evolutions in theories, regulatory issues, metrics or market changes;
- a robust limit framework with differentiated limits by activity or risk factor that is to be respected by all parties involved in market activities. On top of the VaR limits or P&L triggers, several other metrics have been identified as key controlling tools in the risk management process:
 - limits on notional amounts;
 - limits on maturities;
 - limits on type of products;
 - limits on sensitivities (known as "Greeks": delta, etc.);
 - back testing;
 - stress tests.
- finally, this framework is regularly submitted for revision to the FM Committee in order to be commensurate to the risk appetite defined by the Board of Directors of Belfius Bank.

3.2. Market risk measures

The Value-at-Risk (VaR) concept is used as the principal metric for proper management of the market risk Belfius Bank is facing. The VaR measures the maximum loss in Net Present Value (NPV) the Bank might be facing in normal and/or historical market conditions over a period of 10 days with a confidence interval of 99%. The following risks are monitored at Belfius using a VaR computation:

- the interest rate, inflation and foreign exchange (forex) rate risk: this category of risk is monitored via a historical VaR based on an internal model approved by the National Bank of Belgium. The historical simulation approach consists of managing the portfolio through a time series of historical asset yields. These revaluations generate a distribution of portfolio values (yield histogram) on the basis of which a VaR (% percentile) may be calculated. The main advantages of this type of VaR are its simplicity and the fact that it does not assume a normal but a historical distribution of asset yields (distributions may be non-normal and the behaviour of the observations may be non-linear);
- the general and specific equity risks are measured on the basis of a historical VaR with full valuation based on 300 scenarios;
- the spread risk is measured via a historical approach, applying 300 observed variations on the sensitivities.

Since the end of 2011, Belfius has computed a Stressed Value-at-Risk (SVaR) on top of its regular VaR, which also enters into the computation of weighted risks for Market Risk. This SVaR measure consists of calculating a historical VaR on 250 consecutive business days observation period which generates the largest negative variations of Net Present Value in the Bank's current portfolio of financial instruments.

3.3. Market risk exposure

The overall average VaR of Financial Markets activities increased to EUR 14.7 million in 2020 vs EUR 12.9 million in 2019.

The VaR decreased during in the first half of 2020 but increased sharply during the first heat of the Covid-19 crisis in March and continued to fluctuate. During the third quarter, the VaR decreased due to closing positions and market value evolutions, followed by a slight increase during the last quarter of 2020.

Value-at-Risk by activity

VaR ⁽¹⁾ (99% 10 days)					31/12/20			
(In millions of EUR)	IR ⁽²⁾ & FX ⁽³⁾	Equity	Spread	Other risks ⁽⁴⁾	IR ⁽²⁾ & FX ⁽³⁾	Equity	Spread	Other risks ⁽⁴⁾
By activity								
Average	6.8	4.8	0.7	0.7	7.3	5.8	1.2	0.4
EOY	6.0	4.4	0.3	0.4	8.7	6.2	0.5	0.4
Maximum	11.6	7.6	2.2	1.5	12.3	8.4	3.6	0.4
Minimum	3.5	3.7	0.2	0.4	4.5	2.6	0.2	0.3
Global								
Average		12.9				14.7		
EOY		11.2				15.8		
Maximum		18.4				21.5		
Minimum		9.1				9.4		
Limit		26.5				24.3		

(1) The Value at Risk (VaR): is a measure of the potential change in market value with a probability of 99% and over a periode of 10 days.

(2) IR: interest rate risk and inflation risk.

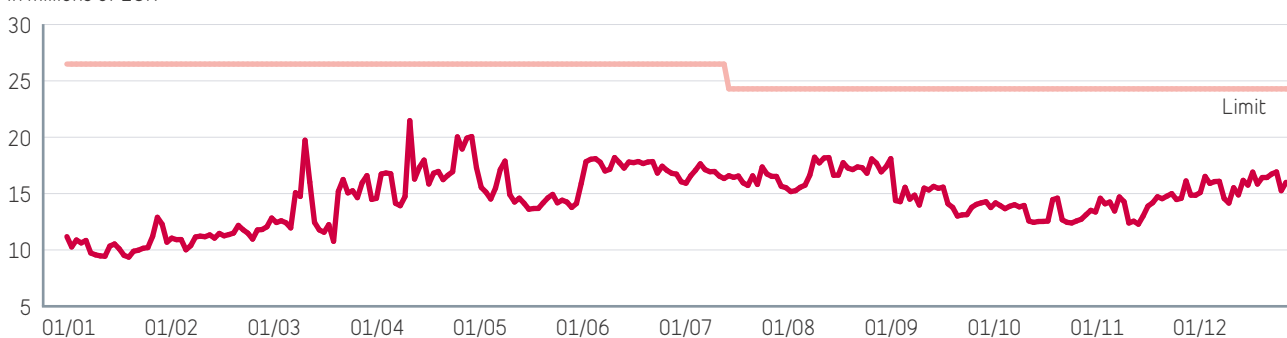
(3) FX: forex risk.

(4) CO₂ risk.

The total VaR limit was adjusted in June 2020 from EUR 24.6 million to EUR 24.3 million, by eliminating parts that were no longer or only partly used.

Evolution of global VaR in 2020

In millions of EUR



Evolution of HVaR and SVaR (Internal Model) in 2020

In millions of EUR



3.4. Stress Testing

Although the VaR is a very useful risk management tool for controlling day-to-day loss-risk exposures, it does not fully withstand the test of abnormal market movements, and it does not always give a total accurate picture of market exposure. Stress tests reveal sometimes better such information by gauging Belfius' vulnerability of the market position to exceptional events and hence by providing additional information about market risks alongside the information embedded in the VaR. These risks include those associated with extreme price movements and those associated with scenarios not reflected in recent history or implied by the parameters used to compute the VaR. Consequently, Belfius Bank uses stress tests in addition to the VaR approach.

The stress test framework has been reviewed (update of the scenarios) and the scope has been enlarged to include stress tests on Fair Value Hedge positions, XVA and Credit Derivatives.

Three types of scenarios are considered: calibrated scenarios (shocks on each risk factor, calibrated as quantiles of their historical distribution), specific scenarios (specific shocks on some risk factors) and historical scenarios (scenarios based on previous crises).

The results of these stress tests are monthly reported in the FM Risk Monitoring Report and quarterly to the FMRR.

3.5. Regulatory internal model and back testing

The aim of back testing is to test the accuracy and the mathematical soundness of the internal market risk measurement methodologies by comparing the calculated market risk figures with the volatility of the actual results. Back testing is a prerequisite for Belfius Bank since we use internal models to calculate the regulatory capital requirement for market risks.

The result of the back test is the number of actual market losses greater than their corresponding VaR figures (i.e. "the number of exceptions"). According to this number, the regulators among others will also decide on the multiplier to be applied for determining the regulatory capital requirement for market risks.

Currently, two types of back testing are processed at Belfius Bank:

- hypothetical back testing compares the hypothetical results of the portfolio's end-of-day value and, assuming unchanged positions, its value at the end of the subsequent day. This result is therefore without any provisions adjustments and other non-involved risk factors. The holding period is one day. During 2020, there were 5 negative exceptions to the hypothetical back testing. This results from the worldwide financial crisis following the Covid-crisis in March. Therefore, the ECB decided to not take into account the exceedings procured during this crisis. As a result, only 2 negative exceedings are officially taken into account for the calculations of the RWA during 2020;
- real back testing compares the portfolio's end-of-day value and its actual value at the end of the subsequent day excluding fees, commissions, and net interest income. In 2020, there were 4 exceptions to the real back testing, but only 1 is taken into account due to exclusion of the ECB.

Liquidity risk

1. Liquidity risk at Belfius Bank

1.1. Liquidity management framework

Belfius Bank manages its liquidity with a view to comply with internal and regulatory liquidity ratios. In addition, limits are defined for the balance sheet amount that can be funded over the short term and on the interbank market. These limits are integrated in the Risk Appetite Framework (RAF) approved by the Board of Directors and reported on a quarterly basis. Available liquidity reserves also play a key role regarding liquidity: at any time, Belfius Bank ensures it has sufficient quality assets to cover any temporary liquidity shortfalls, both in normal markets and under stress scenarios. Belfius Bank defined specific guidelines for the management of LCR eligible bonds and non LCR eligible bonds, both approved by the Management Board. All this is laid down in the liquidity guideline, approved by the ALCo.

Asset and Liability Management (ALM), a division situated within the scope of the Chief Financial and Strategic Officer (CFSO), is the front-line manager for the liquidity requirements of Belfius Bank. It identifies, analyses and reports on current and future liquidity positions and risks, and defines and coordinates funding plans and actions under the operational responsibility of the ALCo and under the general responsibility of the Management Board. The ALCo also bears final operational responsibility for managing the interest rate risk contained in the banking balance sheet via the ALM department.

ALM organises a regular Asset and Liability Forum (ALF), in presence of the Risk department, the Treasury department of the Financial Markets and representatives of the commercial business lines. The Asset and Liability Forum is in the first place a discussion forum on all topics with a link to the ALCo in preparation to the ALCo memos. This forum has been mandated by ALCo to translate the strategic funding plans into tactical and operational funding strategies aligned to the financing needs stemming from Belfius' balance sheet and within the regulatory constraints (LCR, NSFR, encumbrance, MREL...).

ALM monitors the funding plan to guarantee Belfius Bank will continue to comply with its internal and regulatory liquidity ratios.

ALM reports on a daily basis to the CFSO and CRO and on a monthly basis to the Board of Directors about the Bank's liquidity situation.

Second-line controls for monitoring the liquidity risk are performed by the Risk department, which ensures that the reports published are accurate, challenges the retained hypothesis and models, realises simulation over stress situations and oversees compliance with limits, as laid down in the Liquidity Guidelines.

1.2. Exposure to liquidity risk

The liquidity risk at Belfius Bank is mainly stemming from:

- the variability of the amounts of commercial funding collected from Retail and Private customers, small, medium-sized and large companies, public and similar customers and the way these funds are allocated to customers through all type of loans;
- the volatility of the collateral that is to be deposited at counterparties as part of the CSA framework for derivatives and repo transactions (so called cash & securities collateral);
- the value of the liquid reserves by virtue of which Belfius Bank can collect funding on the repo market and/or from the ECB;
- the capacity to obtain interbank and institutional funding.

This year was focused on the management of the liquidity risk under Covid19-crisis. From the start Belfius maintained its strong liquidity position mainly through a strong increase in commercial deposits which compensated:

- the temporary difficulties on the short term wholesale markets; and
- the increase of commercial assets driven by moratorium of loans and increased drawing on credit lines in the first half year.

In 2020 Belfius Bank participated in the TLTRO III for an additional amount of EUR 11.5 billion, thus reaching a total amount of EUR 14.3 billion of TLTRO funding. TLTRO II has been fully paid back. EUR 2 billion of retained covered bonds have been issued to be pledged at the ECB as part of the collateral requirements for TLTRO III purposes.

1.3. Liquidity Risk Management

Strategies, scope and processes of liquidity risk management

The liquidity report covers Belfius Bank on a consolidated level, i.e. the Bank with its subsidiaries and branches, incl. companies for securitization, excluding Belfius Insurance.

The strategy of the liquidity risk management is described in the Liquidity Risk Management Guidelines and in the Risk Appetite Framework (RAF). The RAF constitutes the highest level of risk limits and principles that express the risk tolerance of the Bank.

Monitoring is done through internal and regulatory liquidity Key Risk Indicators (KRI), with respective internal limits set up in the RAF. The liquidity KRI are reported on a regular basis and any exceeding of the limit is reported to the ALF and to ALCo, which has power of decision. Respect of those KRI is also tested under stress scenarios.

In addition, a series of Early Warnings indicators are monitored daily to identify as soon as possible liquidity tension on the markets.

In addition to the regulatory indicators, liquidity risk management focuses on:

- internal liquidity ratio: a daily ratio that measures if Belfius Bank can survive a severe crisis for a minimum period of 3 months without recovery options (excluding repos on liquidity buffer and a limited amount of ECB funding);
- funding gap: a daily follow up of the maximum funding gap limits by currency and by maturity bucket;
- funding plan and stress testing: development of a strategic funding plan with the projection of the funding sources and requirements over the next 5 years giving a projection of the liquidity reserves, LCR ratio, NSFR ratio, MREL requirements and asset encumbrance ratio. A severe stress scenario, combining Belfius specific and market specific events is applied on this Funding Plan: all RAF limits on liquidity KRI have to be respected;
- collateral management: daily monitoring of collateral position and collateral needs of the Bank and their respective impact on liquidity;
- intraday liquidity risk: in order to meet payment and settlement obligations on a timely basis under both normal and stressed conditions Belfius must have a sufficient buffer for operational and stressed outflows. The intraday liquidity is managed by the Treasury desk and controls are performed by Operations and Risk Management with a reporting of these tests to the ALF;
- Contingency Funding Plan (CFP): through a daily dashboard Belfius Bank created an adequate early warning system to detect market specific or Belfius specific liquidity events. A set of recovery measures is defined and regularly tested in the market with realistic amounts of funding, time to market and pricing. The CFP is consistent with the crisis management organization of Belfius Bank and has a clear decision process about responsibilities and organization of an ad-hoc ALCo to decide to activate the recovery measures;
- Recovery Plan (RP): in the RP a number of stress scenarios are defined that could bring the Bank near to failure. Recovery measures that can be launched to avoid this failure are tested in various scenarios;
- Liquidity Adequacy Statement (LAS): the ILAAP (internal liquidity adequacy assessment process) results in the LAS where the Management Board confirms in a statement that Belfius has enough liquidity to fund its activities and to sustain severe stresses and that liquidity risk is in line with the defined RAF and compliant with ILAAP requirements.

Belfius Bank developed the Liquidity Risk Management Guidelines and the RAF limits in order to remain sufficiently liquid in stress situations, without resorting to recovery actions which would generate significant costs or which would interfere with the core banking business of Belfius Bank.

1.4. Consolidation of the liquidity profile

During 2020, Belfius consolidated its diversified liquidity profile by:

- maintaining a funding surplus within the commercial balance sheet;
- continuing to obtain diversified long-term funding from institutional investors;
- collecting short and medium-term (CP/CD/EMTN) deposits from institutional investors.

Belfius Bank participated in the ECB TLTRO III funding programme for an amount of EUR 14.3 billion with the purpose to finance investment needs of SMEs, social sector and retail clients (mortgage loans excluded).

Belfius Bank closed the year 2020 with a 12-month average LCR of 158%. The LCR of the Bank has remained within our driving range during 2020 with a strong increase after the participation in the TLTRO III.

The Net Stable Funding Ratio (NSFR), based on our current interpretation of Basel III rules, stood at 128% at year-end 2020, an increase also explained by the participation in the TLTRO III.

1.5. Liquidity reserves

At the end of 2020, Belfius Bank had quickly available liquidity reserves of EUR 35.7 billion. These reserves consisted of EUR 24.9 billion in cash, EUR 7.8 billion in ECB eligible bonds (of which EUR 6.2 billion are CCP-eligible (Central Counterparty-eligible), EUR 1.3 billion in other assets also eligible at the ECB and EUR 1.5 billion in other liquid bonds.

These liquidity reserves represent 13.5 times the Bank's institutional funding outstanding end 2020 and having a remaining maturity of less than one year.

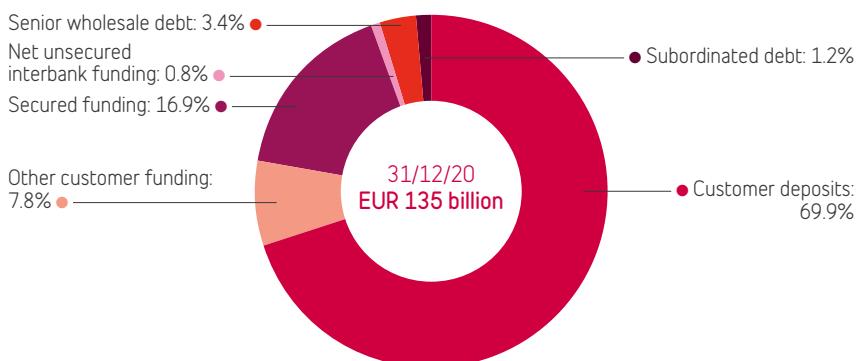
1.6. Funding diversification at Belfius Bank

Belfius Bank, as a universal bank, has a stable volume of commercial funding that comes from its RC and PC customers. Seeing the further increase of commercial funding, this source of funding represents an increasing part of total funding of Belfius Bank. RC and PC funding equals EUR 105 billion of which EUR 71 billion is from RC. The increase of EUR 10 billion commercial funding compared to 2019 is used to finance the commercial loans.

The loan-to-deposit ratio, which indicates the proportion between assets and liabilities of the commercial balance sheet, decreased under the Covid19-crisis and stands at 89% at the end of 2020.

Belfius Bank also receives medium-to-long-term wholesale funding, including EUR 7.7 billion from covered bonds (EUR 5.3 billion backed by mortgage loans and EUR 2.4 billion by public sector loans) and EUR 14.3 billion in TLTRO funding from ECB as at 31 December 2020.

Belfius' main funding sources



Note that during 2020 Belfius Bank issued EUR 0.5 billion Covered Bonds, EUR 0.5 billion Preferred Senior Bonds and EUR 0.5 billion Non Preferred Senior Bonds. The Preferred and Non Preferred Senior Bonds will enable us to further contribute to the MREL requirements.

The remainder of the Bank's funding requirements comes from institutional short-term deposits (Treasury) mainly obtained through placement of Certificates of Deposit and Commercial Paper (CP).

Next to that, Belfius Bank also has a historical bond portfolio, including an ALM portfolio for liquidity management purposes, with highly liquid assets.

As a result of derivative contracts to cover interest rate risk of its activities, Belfius Bank has an outstanding position in derivatives for which collateral must be posted and is being received (cash & securities collateral). Against the background of historical low interest rates, in net terms, Belfius Bank posts more collateral than it receives.

1.7. Encumbered assets

Encumbered assets represent the on- and off-balance sheet assets that are pledged or used as collateral for Belfius' liabilities. Belfius has encumbered a part of its loan portfolio for issuing covered bonds and residential mortgage-backed securities (RMBS). Furthermore, assets are encumbered for repurchase agreements and collateral swaps. Belfius also participates in TLTRO, for which assets are pledged as collateral. Finally, a part of Belfius' encumbrance results from collateral posted to secure derivatives transactions.

Belfius is active on the covered bond market since the set-up of the first covered bond programme in 2012.

The Bank is also collecting funding through repo markets for a limited amount and other collateralised deposits. A small part of the credit claims is pledged directly as collateral for intraday liquidity.

Since 2017 in the context of the management of its liquidity buffer, Belfius is also active in securities lending transactions under agreed Global Master Securities Lending Agreements (GMSLA).

The balance of encumbered assets is mainly linked to collateral pledged (gross of collateral received) for the derivatives exposures under the form of cash or securities and in 2020 to the collateral posted for the TLTRO funding. A significant part of collateral pledged is financed through collateral received from other counterparties with whom the Bank concluded derivatives in the opposite direction. The exceptional drawing on the TLTRO III, allowing Belfius to generate additional P&L and capital in order to sustain the Belgian economy, has led to a higher than normal asset encumbrance ratio.

Regarding the "Other assets" (unencumbered) on balance sheet, they are mainly composed of assets not available for encumbrance such as derivatives value, fair value revaluation of portfolio hedge and tax assets.

At year end 2020 (point-in-time) the sources of asset encumbrance (matching liabilities) mainly consisted of:

- own covered bonds issued (EUR 7.7 billion);
- TLTRO (EUR 14.3 billion);
- derivatives exposures (EUR 11.6 billion);
- securities lending transactions (EUR 2.4 billion).

For the full disclosure under EBA guidelines we refer to the Risk Report of Belfius Bank.

2. Liquidity risk at Belfius Insurance

As an insurance company, Belfius Insurance bears mainly insurance liabilities at relatively long term that are largely stable and predictable. Consequently, funding requirement is quite limited. The premiums paid by policyholders are placed in long-term investments in order to guarantee the insured capital and committed interests at the contract's maturity date. Several regulatory and internal liquidity indicators demonstrate that Belfius Insurance constantly holds enough liquid assets to cover its commitments on the liability side of the balance sheet.

For its liquidity management, Belfius Insurance may use part of its bond portfolio in repo-transactions to absorb short term liquidity needs.

The Investment department is responsible for Belfius Insurance's liquidity and cash-flow management. Therefore, it uses long-term projections of the cash-flows of assets and liabilities. These cash flows are simulated under both normal and stressed situations. Projections of cash-flow requirements for next twelve months are also used.

The assets are valued in market value. The "Undetermined" category includes the Branch 23 products and shares.

The liability side includes repo transactions and Branch 23 products within the "Undetermined" category.

(In millions of EUR)	2019	
	Assets	Liabilities
< 1 year	997	1,532
1 < 5 year	3,472	4,454
5 year and +	12,182	6,835
Undetermined	5,667	4,957
TOTAL	22,317	17,779

(In millions of EUR)	2020	
	Assets	Liabilities
< 1 year	1,119	1,127
1 < 5 year	3,189	4,061
5 year and +	12,365	7,120
Undetermined	5,611	5,411
TOTAL	22,284	17,719

Non financial risk – operational risk

1. Non-Financial Risk management Framework

In 2019, the operational risk management framework has been extended to “Non-Financial Risk”. The term Non-Financial Risk (NFR) must be understood as a broad umbrella covering all risks except “financial risks” (such as market, ALM, liquidity, credit and insurance risks). NFR covers among others operational risks (including fraud, HR, IT, IT security, business continuity, outsourcing, data-related risks, privacy ...) as well as reputational, compliance, legal risks, etc.

The NFR management framework determines the principles that ensure an effective management of the non-financial risks. The principles are further elaborated in specific Policies/Guidelines adapted to the business activities. These general principles are compliant with the applicable legal and regulatory requirements.

The framework is based on four axes:

- a risk mapping and taxonomy in order to ensure consistency within the organization, including a regular review of this mapping and taxonomy to identify emerging risks;
- clear roles and responsibilities, as well as a well-defined way of working together for all the risks based on the 3 LoD model (decentralized responsibility);
- a strong governance/committee structure involving the appropriate level of management; and
- transversal risk processes and related policies, such as: self assessment of risks and internal controls, incident monitoring, risk reporting, risk appetite definition and follow up, business continuity and crisis management.

2. Risk Appetite

The formal definition of a Risk Appetite Framework (RAF) is the key reference for the group risk management practice and it covers both financial and non-financial risks.

The RAF for NFR contains quantitative elements (target values or ratios) and qualitative elements (statements) and is articulated around three concepts on which limits are defined:

- “Risks”: What are the risks? How to appreciate the risk level (past and forward looking)?
- “Risk management capacity”: What is the capacity to manage the risks?
- “Loss tolerance”: What are the potential P&L and future RWA impacts we tolerate?

3. Transversal risk processes

3.1. Incident management

The systematic collection and control of data on operational incidents is one of the main requirements of the Basel Committee regarding operational risk management.

The reporting mechanisms ensure that the responsible parties are notified quickly when incidents occur. Major incidents are investigated thoroughly and are also reported to the CRO/Management Board. Such incidents are also subject to specific actions plans and appropriate follow-up under the responsibility of the concerned line management for avoidance, mitigation or limitation of the related risk.

For the period 2018-2020, Belfius Bank’s average annual potential net losses stemming from operational incidents amounted to EUR 2.19 million. Note that one-off costs to manage the Covid-19 situation and operational savings made in the Covid-19 context are not included.

The main areas of operational losses were essentially due to incidents associated with external fraud and incidents in relation to execution, delivery and process management. Other categories remain limited in amount but not necessarily in number of events.

The most important part of the financial impact resulting from operational incidents comes from the bank's retail business.

3.2. Self- Assessment of Risks and Internal Controls

Another important task of risk management is the analysis of the overall main potential risks and related key controls, performed with Belfius Group's main entities. This is achieved through a bottom-up Self Assessment of Risks and Internal Controls in all departments and subsidiaries, using the COSO methodology. These exercises may result in the development of additional action plans to further reduce potential risk. These exercises also provide an excellent overview of the main risk areas in the various businesses. These self-assessments are conducted annually and use the same methodology both for the Risk Control Self Assessment (RCSA) and for the yearly reports submitted to the respective Boards of Directors regarding the assessment of internal control. Belfius Bank submits the senior management report on the assessment of the internal control also to its regulator.

3.3. New Product Approval Process (NPAP)

The process of developing or changing a function (product, service, activity, process or system) involves a sound (ex-ante) risk assessment, the so called New Product Approval Process. Its purpose is to ensure that all risk related to any new or changed functions are assessed by relevant experts and addressed accordingly and is overseen by a dedicated steering committee.

3.4. Managing insurance policies

The possible financial impact of Belfius' operational risks are also mitigated by taking out insurance policies, principally covering professional liability, fraud, theft and interruption of business and for cyber risk. This is standard practice in the financial services' industry.

3.5. Business continuity

Belfius is committed to its clients, counterparties and regulators to put in place, maintain and test viable alternative arrangements that, following an incident, allow the continuation or the resumption of critical business activities at the agreed operational level and entirely compliant with the Belgian Regulation.

The supporting process, the business continuity and crisis management, is in a uniform way applied at all Belfius entities and relies on a.o. threat analysis, business impact analysis, reallocation strategies (dual office, remote work, etc.), effective management reporting, business continuity plans as well as exercise and maintenance programs. In that way, Belfius can proof its resilience also to the current Covid-19 situation.

4. Focus on key non-financial risks/domains

4.1. Information Security

For Belfius, the purpose of information security is to protect Belfius' information that has a value for the organization: i.e. the information generated by the business, the information belonging to our clients, and also the information, derived from freely accessible or publicly available data, which has acquired a value as a result of the treatment carried out by or on behalf of Belfius. The threats against data and the information are: their loss of integrity; their loss of confidentiality; and their unplanned unavailability. The mission of information security is to guard against these threats.

Belfius also considers that the objective regarding information security extends to managing the risks linked to the consequences of these threats if they have materialized in terms of customers' confidence, finance, reputation, peer confidence

(regulators, financial markets) and confidence of our business partners. An information security strategy derived from these principles has been approved and is applicable to all actions pertaining to information security.

In order to guarantee the information security within Belfius, the Information Security Steering (ISS) Committee, managed by the Chief Information Security Officer (CISO) and chaired by the Chief Risk Officer, ensures a well governed and coordinated information security strategy whereby an adequate system of “prevention”, “detection”, “protection” and “reaction” is put in place, in line with regulatory requirements towards information security.

The steering of Belfius information security is relying on tangible figures and quantitative statements: deviations from risk appetite are challenged. Moreover, large security projects are grouped together in a security roadmap which typically spans the course of two years. Of course, the ever-evolving security threat landscape requires organizations to be resilient and anticipate on existing and future threats.

A risk management framework has been successfully implemented in 2020 for supporting the Core Banking Renewal that is a major digital and transversal transformation project for the group leading to a change of paradigm for IT. Its governance relies on a CBR Controlling Board for managing the risks of this project. The CBR Controlling board is also chaired by the CRO and managed by the CISO.

4.2. Data privacy

Respect for privacy and customer satisfaction

The respect for privacy and the protection of personal data is a key commitment at Belfius, which is translated into a sound internal governance and principles to be followed in the respect of GDPR. Belfius is also very committed to avoid personal data breaches and to manage any incident as quickly as possible.

Belfius published in May 2020 an updated privacy charter – the initial GDPR-version dates from May 2018 on its website and informed its customers about this update. Towards the staff, an HR-privacy charter is published.

All activities treating personal data are obviously centrally documented by the business lines in a privacy register. GDPR conformity, including a risk assessment for the rights and freedom of the persons whose personal data is treated, is integrated into every process to offer (existing, adapted and new) products, innovative digital tools, services and information sharing to its clients.

In order to continuously guarantee data privacy within Belfius, a dedicated steering related to GDPR regularly meets and a Data Privacy Officer (DPO) is part of the 2nd line of defence. The Belfius Management and several committees are on a recurrent basis informed about GDPR in Belfius. A network of privacy correspondents, active in each department, has been set-up. They work closely with the DPO to continuously raise awareness, control and monitor processes and activities being in line with GDPR. Staff members must also follow on a regular basis GDPR-courses.

Data subject rights can be executed by data subjects via multiple possibilities, including the Belfius online applications and mobile apps. More than 98% of the data subject rights are asked via the Belfius online app and receive an answer in the same app within 1 business day.

4.3. Fraud risk

Belfius applies a zero-tolerance policy for all forms of fraud (internal, external and mixed fraud schemes), is monitoring the threats continuously and is managing the risk based on a global anti-fraud policy defined and steered by senior management.

The roles and responsibilities have been clearly defined which implies in a concrete manner that business and support lines are the first risk managers. The CRO and NFR team including the Anti-Fraud Officer as expert has a clear 2nd LoD role.

In a context of evolving digital channels and faster payments processing, internal controls are continuously screened to prevent fraud and this to protect the interests of Belfius and its employees, customers, suppliers and other stakeholders.

4.4. Outsourcing risk

Belfius is aware that outsourcing & third-party risk are addressed adequately and fully assumes its responsibilities in that regard, including but not limited to overseeing and managing the concerned arrangements and the risks involved.

The Outsourcing risk & material arrangements Policy is compliant with “Final Report on EBA Draft Guidelines on Outsourcing Arrangements”. In particular, the policy provides the appointment of the outsourcing function and the set up of the Outsourcing Management (steering) Committee (“OMC”), whose mission consists in ensuring a well governed and coordinated outsourcing in line with Belfius strategy, risk appetite and regulatory requirements.

Monitoring and control of the significant providers, in particular to whom personal data is transferred, will be sharpened as of 2021 within the 3 lines of defense.

4.5. Employment Practices (HR) & Workplace Safety, Damage to Assets & Public Safety

Concerning physical security & workplace safety, Belfius has a very low appetite for risk. Belfius strives to provide a secure environment for its staff, clients, visitors and assets by ensuring its physical security measures and procedures meet high standards. To obtain this goal, a Security Steering Committee with all stakeholders, monitors systematically the overall situation by means of a dashboard. It also acts as a forum to reflect and to dialogue on actual incidents, and on action plans to reduce the risk to acceptable levels.

4.6. Managing the Covid-19 crisis

Since March 2020, Belgium has been severely affected by the coronavirus (Covid-19), which has led to national confinements and the massive and long-term use of teleworking. Moreover, Belfius has committed itself to providing financial support to individuals and companies for getting through the crisis.

All these measures have led to adapted working methods and processes, but also to a changed environment in which Belfius operates and to which Belfius reacts in line with the following key objectives:

- protecting the health of its collaborators and clients;
- guaranteeing the continuity of its activities and services to the clients;
- communicating constantly and in a timely manner; and
- assuming the responsibilities to be meaningful and inspiring for Belgian society.

During the Covid-19 situation, Belfius gave evidence of operational resilience and successful crisis management thanks to a pro-active approach based on risk analyses and scenarios.

Belfius strictly applied all governments' directives in order to protect the health of its collaborators and clients, inter alia, by distributing shifty protection means and by enabling social distancing in all premises. On its own initiatives and beyond the official directives, additional measures were also taken, such as quarantine for collaborators that went skiing in Italy or Austria in March 2020, global instructions about internal meetings, trainings, business trips or external visitors, the split of almost all staff into two teams (A/B) which could come alternatively on a bi-weekly basis, the installation of thermal cameras at the entrance of the main building, the compulsory wearing of a mouth mask, the limitation of the building capacity to maximal 30%, the implementation of approval and reservation processes for those coming on site, and so on.

Further, telework became the absolute standard work organization in 2020. Belfius had proactively and largely in advance increased the telework capacity and provided those who had no experience with teleworking (e.g. collaborators of branches) the necessary equipment, so that the result that more than 95% of all collaborators worked exclusively from home during these periods of confinement.

In order to guarantee the continuity of the operations, critical activities were closely monitored in order to identify and resolve potential (staff) issues well in advance. As telework was the new organizational standard, a specific business continuity plan was also developed and tested in July in the case of a major failure of telework so that staff members performing critical activities at home are able to return to the buildings and to restart their activities within 2 hours whilst avoiding any unnecessary contamination risk.

The Covid-19 crisis also increased certain exposures such as information security, outsourcing and fraud risk. Close monitoring was performed and additional mitigation measures were taken where necessary to reduce the related risks. For example, awareness campaigns were launched to cope with increasing fraud attempts, due to changing customer behavior and new very intensive fraud schemes with focus on customers. Next, major outsourcing arrangements were scrutinized with focus on business continuity, financial stability and logistics in order to identify potential disruptions in time. Finally, the impact of this long-term crisis on the organization was also assessed: only 7% of the key internal controls were impacted and adjustments were made so that the control environment was appropriately adapted to the new situation.

Insurance risks

1. Definition

Belfius Insurance, as a part of Belfius, takes up risk through the insurance contracts that it underwrites. The risks within the underwriting risk category are associated with both the exposure covered by the specific line of insurance (Life or Non-Life) and the specific processes associated with insurance business (claims processing, premium collection, pricing, selection, etc.).

The risks that apply to all lines of the insurance business can be globally categorised as follows:

Life underwriting risk

Is the risk arising from the life insurance obligations, in relation to the perils covered and the processes used in the conduct of business. It is split up into seven sub segments:

- mortality risk, which is the risk that mortality occurs when increases. It applies to all undertakings for which the pay-outs are expected to be paid out increase when there is a rise in mortality;
- longevity risk is the opposite of the mortality risk. It applies to policies for which a fall in mortality would result in an increase in the expected pay-outs (e.g. pension policies). Improvements in medical treatments that prolong life without restoring the ability to work could cause these risks to materialise at a greater frequency than currently observed;
- morbidity or disability risk relates to the risk of loss or disadvantageous movement in expected benefits caused by changes in the level, nature, trend or volatility of the degree of disability;
- lapse risk for Life is described as the risk of loss or increase in pay-out caused to a difference between the effective exercise rate of the contractual options by the policyholder and the expected exercise rate. The term "options" should be viewed in the broad sense of the word: this submodule contains options in relation to redemption, cancellation or premium reduction, as well as the expansion of the guarantees. For some policies, exercise may be at the benefit of the insurance company, while for others it may result in a loss. As a result, this submodule features two scenarios: one in which the options are exercised more frequently than expected and another where they are exercised less frequently;
- expense risk corresponds with the risk that the expenses are higher than expected or that they subdue to higher inflation than expected;
- revision risk only applies for the annuities whose amounts may be valued negatively for the insurer as the result of a change in the statutory environment or in the policyholder's health situation;
- catastrophe risk is restricted to policies where an immediate and dramatic rise in mortality would result in an increase in benefits.

Non-Life underwriting risk

Is the specific insurance risk arising from Non-Life insurance contracts. This uncertainty about the results of the insurer's underwriting could be split in three sub segments:

- premium risk which is the risk where the amount of premiums received is not sufficient to pay claims that occur during the coverage period to which the premiums relate to;
- reserve risk is the risk of loss or un-favourable change in the value of the insurance undertakings arising from changes in the frequency and severity of the insured events, as well as in the date and amount of the claims to be paid;

- catastrophe risk is the risk arising from unpredictable events including, but not limited to, windstorms, coastal inundation, floods, severe winter weather, and other weather-related events, pandemics, large-scale fires, industrial explosions, earthquakes and other man-made disasters such as civil unrest and terrorist attacks, that is not covered by the premiums or reserves.

Product design risk

Is the risk of loss resulting from features, options or guarantees that were unanticipated in the design and pricing of the insurance product.

2. Managing the insurance risk

The Risk & Underwriting Committee gives recommendations about strategy in the area of underwriting and reserving for the insurance companies within Belfius Insurance and the resulting policy, in particular with regard to the following points:

- types and characteristics of the insurance business that Belfius Insurance is willing to manage;
- selection criteria for the risks that match the risk appetite;
- the way in which the actual underwriting is monitored;
- the managing between, on the one hand, the insurance premiums collected and, on the other, the claims to be paid out when costs are borne;
- identification of the risks arising from the undertakings of Belfius Insurance, including the implicit options and the capital that is guaranteed by the insurance products;
- making provisions for claims.

The overall strategy is developed by each concerned entity and is follow-up by the local persons in charge.

Reinsurance is one of the methods used to limit the insurance risk. The main objective of reinsurance is to reduce volatility in capital requirements and profits, and to diminish the uncertainty associated with the risk in the insurer's valuation.

The drivers of reinsurance are:

- capacity: reinsurance gives insurers greater flexibility in terms of scope, type of risk and business volume that they can safely accept. This enables insurers to embark on new business or to expand their activities for a short period;
- stability: structured reinsurance programmes enable insurers to stabilise their operating income;
- protection: reinsurance provides protection against cumulative financial losses caused by a succession of events (such as poor weather) or against significant financial losses arising from a single event;
- funding: reinsurance can be an alternative to a capital increase;
- expertise: reinsurers assist insurers in their area of expertise. The qualified staff of reinsurance companies offer their services, for instance in establishing a new business.

3. Sensitivities

Belfius Insurance evaluates the effect of sensitivities on available financial resources. The technical reserves are expressed in fair value.

Given the low interest rates, the value of the technical reserves is higher than the redemption value, which results in a negative impact on capital in the event of a reduction in the lapse rate. The sensitivity to the lapse rate is relatively stable in 2020 compared to 2019.

The review of cost assumption has a negative impact on the available financial resources and its sensitivity. The low interest rates increases the impact.

An increase of the mortality rates has also a negative impact on available financial resources.

As for life activities, in non-life business, higher costs assumptions lead to a lower result. An increase of claims leads also to a lower result.

Underwriting risk Life: scenario that corresponds to⁽¹⁾

(In millions of EUR)	Impact on available financial resources before taxes	
	31/12/19	31/12/20
An increase of 15% in mortality	(40.2)	(45.4)
An increase of 10% in costs +1% inflation	(188.7)	(207.5)
A decrease of 10% in the lapse rate	(33.2)	(33.8)

(1) Scope: Belfius Insurance SA (= Belfius Insurance solo), branche 23 included.

Underwriting risk Non-Life: scenario that corresponds to⁽¹⁾

(In millions of EUR)	Impact on result before taxes	
	31/12/19	31/12/20
An increase of 10% in administrative costs	(8.8)	(9.4)
An increase of 5% in claims	(21.3)	(17.3)

(1) Scope: Belfius Insurance SA and Corona SA (= Belfius Insurance conso).

4. Development of claims

The claims triangle is the usual method for expressing the settlement of non-life claims stretched out over a number of years. Inter alia it enables actuaries to assess the appropriateness of the non-life technical provisions. Between the event and closing date of a claim, the insurer assesses the amount on total cost of the claim. During this period, the insurer establishes a reserve that equals to the estimated amount of future payments for the claim.

Given the reserve is an estimate, there is a risk that the amount effectively paid is different (higher or lower). To assess that risk, it is necessary to study the variation of two amounts:

- the total of payments made prior to that date;
- the reserve established on that date for future payments.

The sum of these two components is called the total incurred claims cost.

The table below shows the evolution for Belfius Insurance SA and Corona SA since 2010 of the sum at the end of each year, of the total incurred claims cost per year of occurrence.

Claims development (excluding reinsurance and internal costs)

(In thousands of EUR)											
Year of settlement	Year of occurrence										
	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
Estimation at the end of the year of occurrence	376,927	368,410	366,403	365,798	415,445	389,632	427,822	417,069	441,459	452,780	394,673
1 year later	377,982	365,547	350,517	324,524	392,976	361,479	402,910	396,145	431,019	438,787	
2 years later	376,143	355,306	334,313	312,883	381,044	353,512	385,904	377,854	430,883		
3 years later	370,819	350,249	329,882	306,454	374,836	351,551	379,367	377,418			
4 years later	370,924	352,804	328,046	303,051	371,983	345,737	374,251				
5 years later	363,378	350,780	323,899	301,179	369,929	346,817					
6 years later	360,537	351,335	319,633	297,842	370,320						
7 years later	357,875	344,245	317,895	295,826							
8 years later	354,384	341,644	313,659								
9 years later	350,988	338,422									
10 years later	351,308										

(In thousands of EUR)											
Actual estimation	351,308	338,422	313,659	295,826	370,320	346,817	374,251	377,418	430,883	438,787	394,673
Cumulative payments	(306,478)	(305,439)	(278,017)	(259,715)	(319,533)	(280,290)	(299,521)	(282,143)	(307,822)	(298,653)	(188,381)
Actual provisions	44,830	32,983	35,642	36,111	50,787	66,527	74,730	95,275	123,061	140,134	206,292

(In thousands of EUR)											
Provisions (after 2010)											906,372
Provisions (before 2010)											152,847
Internal costs											44,967
Accepted deals											24,350

TOTAL⁽¹⁾ **1,128,536**

(1) Claims reserves 31 December 2020 - note 6.5.2.



Corporate governance

Composition of the Management Board and the Board of Directors of Belfius Bank

1. Management Board

1.1. Composition

On 31 December 2020, the Management Board of Belfius Bank consisted of 5 members, namely: Mr Marc Raisière, chairman, Ms Marianne Collin and Messrs Dirk Gyselinck, Olivier Onclin and Johan Vankelecom.

On 19 December 2019, the Board of Directors approved the modification, from 1 January 2020, of the remit of Johan Vankelecom, CFO, in order for him to assume additional responsibilities in the Financial Conglomerate and strategic development domains of Belfius. The new title for his position from 1 January 2020 onwards is Chief Financial and Strategic Officer – CFSO.

The renewal of the mandate of Mr Marc Raisière, director and chairman of the Management Board, for a term of four years – i.e. until the close of the ordinary General Meeting of Shareholders in 2025 – will be submitted to the ordinary General Meeting of Shareholders in 2021.

Since 1 January 2019, the Management Board, in consultation with the Board of Directors, appointed three associated members, Mr Patrick Devis, IT Manager, Ms Camille Gillon, HR & Building Management Manager and Mr Geert Van Mol, Data & Digital Manager. The associated members of the Management Board attend the meetings of the Bank's Management Board in an advisory capacity.

Chairman	Marc Raisière
Members	Marianne Collin
	Dirk Gyselinck
	Olivier Onclin
	Johan Vankelecom

A Group Committee was also established. This Committee is made up of the five members of the Management Board of Belfius Bank and the chairman of the Management Board and the CFO of Belfius Insurance and the 3 associated members of the Management Board, in an advisory capacity. The Group Committee deals with various group strategic matters and important issues for a banking and insurance group.

Within the Management Board of Belfius Bank, the financial conglomerate dimensions receive a focused attention. To this end the agenda of the Management Board includes since this year, at this least on a quarterly basis, a Group Financial Conglomerate Review (GFCR). This GFCR aims at contributing to enable an optimal integration across the Belfius Group.

1.2. Remit

The Management Board is responsible for the effective management of the Bank, directing and coordinating the activities of the various business lines and support departments within the framework of the objectives and general policy set by the Board of Directors. These powers do not include determining the Bank's overall policy, or actions reserved for the Board of Directors by the other provisions in the Companies and Associations Code or by the Banking Law.

The Management Board ensures that the Bank's business activities are in line with the strategy, risk management and general policy set by the Board of Directors. It passes on relevant information to the Board of Directors to enable it to take informed decisions. It formulates proposals and recommendations to the Board of Directors, with a view to define or improve the Bank's general policy and strategy.



The members of the Management Board form a collegial body. They are required to carry out their duties with complete objectivity and independence.

Under the supervision of the Board of Directors, the Management Board takes the necessary measures, including supervisory measures, to ensure that the Bank has a robust and appropriate organisation structure suited to the Bank's organisation, in order to guarantee the effective and prudent management of the Bank in accordance with the Banking Act.

In principle, the Management Board meets once per week.

2. Board of Directors

2.1. Composition

As of 31 December 2020, the Board of Directors consisted of 16 members, 5 of whom were members of the Management Board (see table below). The Board of Directors consists of professionals from a variety of industries, including the financial sector and has the expertise and experience required associated with the Bank's various operating businesses.

On 23 May 2019, the Board of Directors of Belfius Bank appointed Mr Stijn Bijmens as IT expert in order to assist the Board of Directors in the IT matters. He is invited to the Board of Directors on a frequent basis for strategic IT topics.

During the course of 2020, the director's mandates of Mr Jozef (Jos) Clijsters, chairman of the Board of Directors, Ms Carine Doutrelepon and Ms Lutgart Van den Berghe and Messrs Paul Bodart, Chris Sunt and Rudi Vander Vennet were renewed for terms of two years. These mandates will end at the close of the General Meeting of Shareholders in 2022. Mr Jozef (Jos) Clijsters was also appointed as an independent director.

Moreover, Mrs Isabel Neumman was appointed as independent director by the ordinary General Meeting of Shareholders on 29 April 2020 for a term of two years, to end at the close of the ordinary General Meeting of Shareholders in 2022.

The Board of Directors also notes the decision of Mr Jozef (Jos) Clijsters to end his mandate as chairman of the Board of Directors and independent director of Belfius Bank at the ordinary General Meeting of Shareholders in 2021. The Board of Directors therefore decided to appoint Mr Chris Sunt as chairman of the Board of Directors at the close of the ordinary General Meeting of Shareholders in 2021.

Mr Jean-Pierre Delwart also expressed his decision to end his mandate as independent director at the ordinary General Meeting of Shareholders in 2021 as he reaches the age limit.

It will therefore be proposed to the ordinary General Meeting of Shareholders:

- to renew the director's mandates of Ms Diane Rosen, Mr Chris Sunt and Mr Marc Raisière;
- to appoint Mr Bruno Brusselmans and Mr Peter Hinssen as independent directors for a term of four years, to end at the close of the ordinary General Meeting of Shareholders in 2025.

Jos Clijsters

Chairman of the Board of Directors of Belfius Bank

**Board of directors
of Belfius Bank**
(financial year 2020)

Main function

		Non-executive director	Member of the Management Board	Independent director	Audit Committee	Nomination Committee	Remuneration Committee	Risk Committee	Mediation Committee
Jozef Clijsters	Chairman of the Board of Directors of Belfius Bank SA	★ ⁽¹⁾		■ ⁽¹⁾⁽²⁾		■ ⁽¹⁾	■ ⁽¹⁾		★ ⁽¹⁾
Marc Raisière	Chairman of the Management Board of Belfius Bank SA		★						
Marianne Collin	Member of the Management Board of Belfius Bank SA Chief Risk Officer, responsible for Risk Management & Compliance		■						
Dirk Gyselincx	Member of the Management Board of Belfius Bank SA Responsible for Wealth, Entreprises & Public		■						
Olivier Onclin	Member of the Management Board of Belfius SA Responsible for Private, Business & Retail Banking		■						
Johan Vankelecom	Member of the Management Board of Belfius Bank SA Chief Financial & Strategic Officer, Responsible for Corporate Strategy, M&A/Partnerships/Participations, Capital Management, Financial Conglomerate Steering and Investor Relations, ALM, Legal & Tax, Accounting, Strategic Planning and Performance Management (SPPM), Strategic Research & Belfius' Asset Management		■						
Paul Bodart	Director of companies and non-profit organisations	■		■	■				
Jean-Pierre Delwart	Chairman of the Board of Directors of Solvac	■ ⁽³⁾		■ ⁽³⁾					■ ⁽³⁾
Martine De Rouck	Independent Director of Orange Belgium SA	■		■	■ ⁽⁴⁾				
Carine Doutrelepon	Lawyer and full Professor at the Université Libre de Bruxelles	■		■		■ ⁽⁵⁾	■ ⁽⁵⁾		■ ⁽⁴⁾
Georges Hübner	Full Professor at HEC Liège, Liège University	■		■	★			■	
Isabel Neumann	Independent Director at Belfius Bank SA/NV, Non-executive Director at King's college London University	■		■				■ ⁽⁴⁾	
Diane Rosen	Director Humanitarian Services at Belgian Red Cross and Vice president Blood Services at Belgian Red Cross	■		■		■ ⁽⁶⁾	■ ⁽⁴⁾	■ ⁽⁷⁾	
Chris Sunt	Honorary Lawyer ⁽⁸⁾	■		■	■ ⁽⁹⁾			■ ⁽⁹⁾	
Lutgart Van den Berghe	Emeritus extraordinary professor at the University of Ghent and emeritus part-time professor at the Vlerick Business School	■		■		★	★		
Rudi Vander Vennet	Full Professor in Financial Economics and Banking at the University of Ghent and lecturer Banking and Insurance at Solvay Business School (ULB)	■		■				★	

★ Chairman

(1) until 28 April 2021.

(2) from 29 April 2020 onwards.

(3) until 28 April 2021.

(4) from 7 May 2020 onwards.

(5) until 29 April 2020.

(6) from 7 February 2020 onwards.

(7) until 31 December 2020.

(8) chairman of the Board of Directors of Belfius Bank SA/ NV from 28 April 2021 onwards.

(9) until 28 April 2021.

2.2. Remit

The Board of Directors defines and supervises the strategy and objectives of the Bank, as well as the risk management, including the level of risk appetite, at the proposal or recommendation of the Management Board.

In the context of this responsibility, the Board of Directors is actively involved in general policy, in particular with regard to supervision of the risk policy, organisation and financial stability of the Bank and its governance, including the definition of the credit institution's objectives and values.

Also as Belfius Bank is head of the Belfius Financial Conglomerate, Belfius Bank's Board of Directors is responsible for the general policy, risk appetite and strategy of the Belfius Group and the compliance of the subsidiaries herewith.

The Board of Directors also approves the Bank's Governance Memorandum.

In 2020, the Board of Directors met twenty-four times.

Relationship between the Board of Directors and the Management Board

Management of the credit institution's activities remains under the exclusive power of the Management Board. Such management takes place without any outside interference and is carried out within the framework of the general policy laid down by the Board of Directors.

Advisory committees established by the Board of Directors

The Board of Directors has established various advisory committees to assist it in its task, i.e. a Nomination Committee, a Remuneration Committee, an Audit Committee and a Risk Committee. These committees are exclusively composed of non-executive directors. In line with the EBA guidelines, the majority of the members of the advisory committees are independent directors. The members of these advisory committees may only belong to a maximum of three advisory committees at the same time. A Mediation Committee has also been established within the governance of the Belfius Group.

1. Nomination Committee

The Nomination Committee plays an advisory role and prepares decisions for the Board of Directors of Belfius Bank in relation to appointments, HR, succession plans, etc. It also ensures the application of provisions concerning corporate governance. With the view to ensure efficiency and consistency across the group policy, this committee also prepares decisions for the Board of Directors of Belfius Insurance, Corona and Belfius Investment Partners on those matters.

1.1. Composition

1.1.1. General aspects

As of 31 December 2020, the Nomination Committee for Belfius Bank consisted of the following members: Baroness Lutgart Van den Berghe, chairman, Mr Jozef (Jos) Clijsters and Ms Diane Rosen

On 7 February 2020, the Board of Directors of Belfius Bank appointed Ms Diane Rosen as a member of the Nomination Committee, with immediate effect.

Ms Carine Doutrelepon acted as a member of the Nomination Committee until 29 April 2020.

Mr Johan Tack was invited as representative of Belfius Insurance to the meetings of the Nomination Committee relating to Belfius Insurance. He was replaced by Ms Cécile Coune in these functions on 28 April 2020.

Chairwoman	Lutgart Van den Berghe
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Members	Jozef Clijsters⁽¹⁾ Chairman of the Board of Directors of Belfius Bank
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	Carine Doutrelepon⁽²⁾
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	Diane Rosen⁽³⁾
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	Johan Tack⁽⁴⁾ Director of Belfius Insurance, invited as representative of Belfius Insurance
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	Cécile Coune⁽⁵⁾ Director of Belfius Insurance, invited as representative of Belfius Insurance
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(1) until 28 April 2021.

(2) until 29 April 2020.

(3) from 7 February 2020 onwards.

(4) until 28 April 2020.

(5) from 28 April 2020 onwards.

1.1.2. Independence and expertise

All of the members of the Nomination Committee are non-executive directors.

Baroness Lutgart Van den Berghe, Doctor in Economics, is an emeritus extraordinary professor at the University of Ghent and emeritus part-time professor at the Vlerick Business School. She is also a member of the Koninklijke Vlaamse Academie van België voor Wetenschappen en Kunsten.

Mr Jozef (Jos) Clijsters, who has a Master's degree in Applied Economics, is chairman of the Board of Directors of Belfius Bank.

Ms Carine Doutrelepon, Doctor of Law, is a lawyer at the Brussels Bar and at the Bar of Paris and full professor at the Université Libre de Bruxelles. She is also member of the Académie Royale des Sciences, des Lettres et des Beaux-Arts de Belgique.

Ms Diane Rosen, commercial engineer, has broad experience in the financial sector. She also has specific experience in human resources. In particular, she has worked as Head of Management Development, Recruitment, Compensation and Benefits at a financial institution.

Mr Johan Tack, who has a Master's degree in economics, is currently director and adviser in the banking and insurance sector. Johan Tack was a member of the Nomination Committee for matters related to Belfius Insurance until 28 April 2020.

Ms Cécile Coune holds a degree in Law and has professional experience in the insurance sector and as previous partner in a law firm. She has executive and non-executive board experience in the insurance sector and was formerly the CEO of AVIABEL. She is committed to corporate social responsibility and, in particular, the promotion of diversity in companies and on boards of directors.

Ms Cécile Coune attends the Nomination Committee for matters related to Belfius Insurance.

The members of the Nomination Committee of Belfius Bank are independent directors and have professional experience in the financial sector.

One of the members was part of the Nomination and Remuneration Committee of a listed company. Another member worked as human resources manager for a financial institution.

All members have professional experience as executive and non-executive directors in various business sectors. Consequently, the members of the Nomination Committee have the adequate skills, based on their educational background and diverse professional experiences, to provide a competent and independent business judgement on the composition and operation of the Bank's management bodies, in particular with regard to the individual and collective skills of their members as well as their integrity, reputation, independence and availability.

1.2. Remit

The Nomination Committee:

- identifies and recommends, for the approval by the General Meeting of Shareholders or of the Board of Directors as the case may be, suitable candidates to fill in vacancies on the Board of Directors, evaluates the balance of knowledge, skills, diversity and experience within the Board of Directors, prepares a description of the roles and capabilities for a particular appointment and assesses the expected time commitment. The Nomination Committee also sets the target for the representation of the under-represented gender within the Board of Directors and prepares a policy on how to increase the number of under-represented gender in order to meet that target;
- periodically, and at least annually, assesses the structure, size, composition and performance of the Board of Directors and makes recommendations to it with regard to any changes;
- periodically, assesses the knowledge, skills, experience, degree of involvement and in particular the attendance of members of the Board of Directors and advisory committees, both individually and collectively, and reports to the Board of Directors accordingly;
- periodically reviews the policies of the Board of Directors for the selection and appointment of members of the Management Board, and makes recommendations to the Board of Directors;
- prepares proposals for the appointment or mandate renewal, as the case may be, of directors, members of the Management Board, the chairman of the Board of Directors and the chairman of the Management Board;
- assesses the capacity of a director or a candidate director to meet the criteria set forth for being considered as an independent director;
- examines issues related to the succession of directors and members of the Management Board;
- establishes a general and a specific profile for directors and members of the Management Board;
- ensures the implementation of corporate governance rules;
- prepares proposals for amendments to the internal rules of the Board of Directors and the Management Board;
- assesses the governance memorandum and, if necessary, proposes amendments;
- at least annually, discusses and analyses the quantitative statement and qualitative analysis of communications regarding stress, burn-out and inappropriate behaviour at work and remediation actions.

In performing its duties, the Nomination Committee ensures that decision-taking within the Board of Directors is not dominated by a single individual or a small group of individuals in a way which might be prejudicial to the interests of the Bank as a whole.

The Nomination Committee may use any type of resources which it considers appropriate for the performance of its tasks, including external advice, and it receives appropriate funding to that end.

With the view to prepare the succession of the Chairman of the Board of Directors, an ad hoc committee was established within the Nomination Committee. This ad hoc committee is composed of the members of the Nomination Committee (with the exception of the Chairman of the Board of Directors), together with the Chairman of the Risk Committee and the Chairman of the Audit Committee.

In 2020, the Nomination Committee (including the ad hoc committee) met seventeen times.

1.3. Recruitment policy

1.3.1. Requirements associated with the position of director/member of the Management Board

Each director/member of the Management Board must, on his or her appointment and for the entire term of his or her mandate, have the required expertise and professional integrity to perform his or her duties. A profile for the position has been established for that purpose by the Bank. Moreover, the Bank periodically makes an assessment of the aptitude of directors, members of the Management Board and members of the advisory committees.

In accordance with applicable rules and regulation, every director must, without being prompted to do so, notify the Bank about any element that may have an impact on his or her required expertise, professional integrity and availability to exercise his or her duties as a director.

1.3.2. Procedure for appointment/renewal of mandate

1.3.2.1. Directors

Directors are appointed by the General Meeting of Shareholders (or by the Board of Directors if a director is co-opted) on a proposal from the Board of Directors, after obtaining the opinion of the Nomination Committee. The appointment or renewal of the mandate of a director must be approved in advance by the regulators (ECB & NBB).

The Nomination Committee prepares proposals for appointments, co-opting or renewal of the mandate of directors.

Upon the renewal of a director's mandate, the Nomination Committee will make an assessment of his or her participation to the Board of Directors and assesses whether there are any new elements which could negatively impact the aptitude of the director to perform this new mandate. The Nomination Committee will also ensure taking into account a competence matrix, that the Board of Directors has at all times sufficient competencies within its ranks to be able to define the strategy, to supervise its implementation and to address future challenges. The Committee will then send an opinion to the Board of Directors.

On a first appointment or mandate renewal, the chairman of the Board of Directors and the Nomination Committee will ensure that the Board of Directors and the General Meeting of Shareholders have sufficient information with regard to the candidate director to be able to assess whether the latter has the expertise and professional integrity required to perform these tasks.

1.3.2.2. Members of the Management Board

The chairman and members of the Management Board are appointed by the Board of Directors from among the directors who have acquired sufficient professional experience in the banking and financial sector, on proposal of the Management Board, and after obtaining the opinion of the Nomination Committee and the approval of the regulator (ECB & NBB). As for the chairman of the Management Board, his or her appointment will be decided by the Board of Directors on proposal of the Management Board, after consultation with the chairman of the Board of Directors and a positive opinion of the Nomination Committee.

Board of Directors	Number of members	16
	Ratio men/women	62.5%/37.5%
	Independent directors	11
	Main degree qualifications (several people may have more than one degree)	Economics / Business Administration / Finance / Law/ Engineering / Mathematics / Actuarial Sciences
Management Board	Number of members	5
	Ratio men/women	80%/ 20%
	Main degree qualifications (several people may have more than one degree)	Engineering (commercial, civil) / Economics/ Business Administration / Finance / Mathematics / Actuarial Sciences

1.4. Diversity policy

A diverse Board of Directors includes differences in background, language, gender, age and professional skills relevant for Belfius. These differences are to be considered in determining the optimum composition of the Board of Directors (competence matrix) and when possible should be balanced appropriately.

The Nomination Committee reviews and assesses the composition of the Board of Directors on its behalf and recommends the appointment of new directors. In reviewing the composition of the Board of Directors, the Nomination Committee will consider the benefits of all aspects of diversity, including, but not limited to those described above.

In identifying suitable candidates for appointment to the Board of Directors, the Nomination Committee will consider candidates on merit against objective criteria and with due regard for the benefits of diversity on the Board of Directors.

The Nomination Committee also conducts the annual review of the effectiveness of the Board of Directors and the regular evaluation of individual directors and advisory committees. As part of these effectiveness evaluations, the Nomination Committee will consider the balance of skills, experience, independence and knowledge as well as the diversity of the Board of Directors.

Furthermore, at its meeting of 25 August 2015, the Nomination Committee set a target for gender representation within the Board of Directors and established a policy aimed at increasing the number of members of the currently underrepresented gender in order to achieve this target.

In accordance with legal requirements (Article 7:86 of the Companies and Associations Code) the Nomination Committee set a target of achieving and maintaining a minimum of one-third representation of the other gender on the Board of Directors (Management Board included). For the application hereof, the required minimum number of members of the under-represented gender will be rounded to the nearest whole number.

Should the number of directors of the under-represented gender be less than one-third, then the next Ordinary General Meeting of Shareholders will have to take this into consideration to compose a Board of Directors that will meet this requirement.

The Nomination Committee assesses on an annual basis the progress made towards achieving the objective of diversity on the Board of Directors and also makes recommendations to the Board of Directors in this respect.

As of 31 December 2020, the Board of Directors was composed fully in line with the principles stated above.

Chairwoman **Lutgart Van den Berghe**

Members **Jozef Clijsters⁽¹⁾**
Chairman of the Board
of Directors of Belfius Bank

Carine Doutrelepont⁽²⁾

Diane Rosen⁽³⁾

Johan Tack⁽⁴⁾
Director of Belfius Insurance,
invited as representative
of Belfius Insurance

Cécile Coune⁽⁵⁾
Director of Belfius Insurance,
invited as representative
of Belfius Insurance

(1) until 28 April 2021.

(2) until 29 April 2020.

(3) from 7 May 2020 onwards.

(4) until 28 April 2020.

(5) from 28 April 2020 onwards.

2. Remuneration Committee

The Remuneration Committee plays an advisory role and prepares decisions taken by the Board of Directors of Belfius Bank regarding remuneration. With the objective of efficiency and consistency regarding group policy, this committee also prepares decisions for the Board of Directors of Belfius Insurance, Corona and Belfius Investment Partners in this regard.

2.1. Composition

2.1.1. General aspects

As of 31 December 2020, the Remuneration Committee for Belfius Bank was composed by the following members: Baroness Lutgart Van den Berghe, chairman, Mr Jozef (Jos) Clijsters and Ms Diane Rosen.

Ms Carine Doutrelepont exercised her functions of a member of the Remuneration Committee until 29 April 2020. She was replaced by Ms Diane Rosen on 7 May 2020.

Mr Johan Tack was invited as a representative of Belfius Insurance to the meetings of the Remuneration Committee relating to Belfius Insurance. He was replaced in his functions on 28 April 2020 by Ms Cécile Coune.

2.1.2. Independence and expertise

All of the members of the Remuneration Committee are non-executive directors.

Baroness Lutgart Van den Berghe, Doctor in Economics, is an emeritus extraordinary professor at the University of Ghent and emeritus part-time professor at the Vlerick Business School. She is also a member of the Koninklijke Vlaamse Academie van België voor Wetenschappen en Kunsten.

Mr Jozef (Jos) Clijsters, who has a Master's degree in applied economics, is chairman of the Board of Directors of Belfius Bank.

Ms Carine Doutrelepont, Doctor of Law, is a lawyer at the Brussels Bar and at the Bar of Paris and full professor at the Université Libre de Bruxelles. She is also member of the Académie Royale des Sciences, des Lettres et des Beaux-Arts de Belgique.

Ms Diane Rosen holds a degree of Commercial Engineer and has broad experience in the financial sector. She also has specific experience in human resources. In particular, she has worked as Head of Management Development, Recruitment, Compensation and Benefits at a financial institution.

Mr Johan Tack, who has a Master's degree in economics, is currently director and adviser in the banking and insurance sector. Johan Tack was invited to the Remuneration Committee for matters related to Belfius Insurance.

Ms Cécile Coune holds a degree in Law and has professional experiences in the insurance sector and as previous partner in a law firm. She has executive and non-executive board experience in the insurance sector and was formerly the CEO of AVIABEL. She is committed to corporate social responsibility and, in particular, the promotion of diversity in companies and on boards of directors. Ms Cécile Coune is invited to the Remuneration Committee for matters related to Belfius Insurance.

All of the members of the Remuneration Committee of Belfius Bank are independent directors and have professional experience in the financial sector.

One of the members was also part of the Nomination and Remuneration Committee of a listed company.

All of the members have professional experience as executive directors and additional professional experience as non-executive directors in various business sectors.

Consequently, the members of the Remuneration Committee have the required skills, based on their educational and professional experience, to give a competent and independent judgement on remuneration policies and practices and on the incentives created for managing risks, capital and liquidity of the Bank.

2.1.3. Collaboration and interaction with other advisory committees of the Board of Directors

In order to perform its tasks correctly (cfr. below), in 2020 the Remuneration Committee interacted regularly with the Risk Committee and the Audit Committee.

The Risk Committee ensures that the Belfius group's risk management, capital requirements and liquidity position, as well as the probability and the spread in time of profit are correctly taken into consideration in decisions relating to remuneration policy.

Within Belfius Bank, this is reflected in the formulation of an opinion on a global "Risk Gateway" (see § 2.3.1.3) and by the establishment and assessment of Key Risk Indicators on an annual basis. Their preparation is undertaken by the Risks divisions, in collaboration with the Human Resources division.

The Audit Committee contributes to the establishment of objectives for the Auditor General and for the Compliance Officer.

The audit department at Belfius Bank will provide an independent and regular analysis of the remuneration policy and its practical implementation. The latest follow-up study was conducted in 2019. This audit did not raise any particular comments.

2.2. Remit

The Remuneration Committee prepares the decisions for the Board of Directors, including by:

- developing the remuneration policy, as well as making practical remuneration proposals for the chairman, the non-executive members of the Board of Directors and the members of the advisory committees under the Board of Directors. The Board of Directors submits these remuneration proposals to the General Meeting of Shareholders for approval;
- developing the remuneration policy, as well as making practical proposals for the remuneration of the chairman of the Management Board and, on his proposal, for the remuneration of the members of the Management Board; the Board of Directors then determines the remuneration of the chairman and the members of the Management Board;
- providing advice on the proposals made by the chairman of the Management Board of Belfius Bank in relation to the severance remuneration for members of the Belfius Bank Management Board. On the proposal of the Remuneration Committee, the Board of Directors of Belfius Bank determines the severance remuneration of the chairman and members of the Belfius Bank Management Board;
- advising the Board of Directors in relation to the remuneration policy for employees whose activity has a material impact on the risk profile of Belfius Bank (known as "Identified Staff") and in relation to the compliance of the allocation of remuneration to Identified Staff with regard to the remuneration policy put in place for such people;
- preparing the remuneration report approved by the Board of Directors and published in the annual report;
- periodically checking to ensure that the remuneration programmes are achieving their objective and are in line with applicable regulations;
- annually assessing the performance and objectives of the members of the Management Board;
- providing an opinion on the elaboration of a global "Risk Gateway" in consultation with the Risk Committee, containing various levers applied at various points in the performance management cycle, with an impact on determination of the variable remuneration.

The Remuneration Committee exercises direct supervision over the determination of objectives and remuneration of the individuals responsible for the independent control functions (Chief Risk Officer, General Auditor and Compliance Officer).

In 2020, the Remuneration Committee met three times.

2.3. Remuneration

2.3.1. Introduction

2.3.1.1. Decision-making powers

The Board of Directors decides on the remuneration of the members of the Management Board at Belfius Bank, based on the advice of the Remuneration Committee and the chairman of the Management Board.

The Management Board sets the remuneration of the senior managers who may have a material impact on the risk profile of Belfius Bank, subject to the nature or level of the positions in question and/or their remuneration, within the framework of the remuneration policy. The Remuneration Committee gives advice regarding this policy and takes note of the information as a whole.

2.3.1.2. Remuneration policy

The remuneration policy of Belfius Bank and its subsidiaries was developed by Human Resources and the Legal Department and submitted for advice to the Remuneration Committee and for approval to the Board of Directors. The Risk Committee was also involved in developing the remuneration policy.

The remuneration policy includes, on the one hand, general principles applicable to all Belfius Bank employees. On the other hand, taking into account the principle of proportionality agreed in advance with the NBB, it contains specific provisions exclusively applicable to the members of the Management Board and to employees whose activity has a material impact on the risk profile of Belfius Bank (i.e. "Identified Staff"), given the nature or level of the positions themselves and/or their remuneration.

When annually updating the list of Identified Staff, Belfius Bank takes account of European Directives. The Remuneration Committee and the Risk Committee are also informed of the result of such update.

2.3.1.3. Strategy guidelines approved by the Board of Directors in accordance with regulations

Fixed remuneration constitutes a considerable part of total remuneration and is designed to reward the performance of employees, taking into account their experience, their level of education and qualifications, their duties, responsibility and the level of their position.

Limiting the portion of remuneration related to performance and results achieved is intended to discourage excessive risk-taking. For 2020, the proportion between fixed and variable remuneration was 30% for members of the Management Board and less for senior management, if performance was normal ("target"). Exceptional performance can never result in that percentage being more than 50%.

The total amount of performance-related remuneration (performances in 2020) is determined in relation to movements in the net income of Belfius Group. When deciding the envelope for performance-related remuneration, one of the main drivers will always be a sound capital basis to deal with the impacts of a crisis (e.g. Covid-19).

The policy also includes a risk gateway, which is a mechanism (ex-ante) involving the total budget for the variable remuneration of senior management being reduced in the case of a material deterioration of solvency ratios (CET 1/RWA) or liquidity ratios (LCR) under the levels fixed in the risk framework.

Performance-related remuneration is paid individually depending on the available envelope, collective results and the achievement of individual objectives.

For performances in 2020, Key risk indicators (KRI) were included in the targets of members of the Management Board and employees whose activity has a material impact on the risk profile of Belfius Bank. The aim is to properly take into account the

different types of (current and future) risks at each point in the assessment cycle: an insufficient score on one or more of such risk indicators has a negative impact on the variable remuneration.

The establishment, monitoring and assessment of these risk indicators are coordinated by the Chief Risk Officer (CRO) and submitted to the Remuneration Committee and the Risk Committee. Where appropriate, the CRO will confer with the General Auditor and the Compliance Officer and will also consult regularly with the Human Resources division.

Belfius Bank may also reduce performance-related remuneration, or even drop it to zero, in the event of poor (collective or individual) performances, taking account of the level of seniority of the employee and/or the legal basis on which that performance-related remuneration is based.

At the end of 2015, a policy in relation to deferred variable remuneration ("deferral") was established for employees whose activity has a material impact on the risk profile of Belfius Bank. This proposal was formulated by the Human Resources division, in collaboration with the Capital & Liquidity Management, Legal and Risk divisions. This policy had been applied each year since 2015.

In practical terms, for employees whose activity has a material impact on the risk profile of Belfius Bank, to the extent that their performance-related remuneration exceeds the amount agreed in advance with the NBB, 50% of the performance-related remuneration will be deferred over a period of 5 years (60% if the performance-related remuneration would be higher than EUR 200,000) for members of the Management Board and their direct reports and 3 years for the others. 50% of the total variable remuneration will be paid by a financial instrument, which reflects the financial health of the business. The terms of this policy are integrated in the Belfius group's remuneration policy.

The risk gateway (see above) will also be applied at the end of the first quarter in order to determine whether the deferred variable remuneration payable in that year can also effectively be paid.

If appropriate, variable remuneration may be subject to an ex-post risk adjustment via a malus or clawback.

The context of the Covid-19 pandemic prompted the Board of Directors to reflect in depth on the level of variable remuneration at Belfius Bank and on the level of remuneration relating to 2020 performances. This thought process took account of the recommendations made by the regulators, the ECB and the NBB.

It emerged from this analysis that variable remuneration at Belfius is absolutely not of a nature to affect its financial soundness. The extent of variable remuneration depends on mechanisms that combine the financial performance and the resilience of the company, as well as individual performances. Belfius has shown itself to be (i) very active in its role of financing the Belgian economy and (ii) resilient in the face of the Covid-19-crisis and financially robust (CET1 of 17.1%) and a liquidity buffer in excess of EUR 35 billion.

The Board of Directors therefore stated that it is in favour of the granting of variable remuneration for 2020, with particular attention paid to the principles of recognition, fairness, consistency and reputation.

With this in mind, the Board of Directors decided, taking the regulator's recommendations in the context of the Covid-19 crisis into account, to reduce the variables of the members of the Management Board by applying a discretionary reduction, independent of company and individual results. The Board of Directors decided to reduce the cash

payment planned in March 2021, provided it was linked to the variable remuneration for 2020 by 50% for the CEO and by 25% for the other members of the Management Board. For other staff members, whose activity has a material impact on the risk profile of Belfius Bank, the Board of Directors acknowledged the fact that the budget for performance-related remuneration already takes sufficient account of the impact of the Covid-19 crisis.

Following this same analysis, the Board of Directors, in line with the principles stated above, was of the opinion that deferred variable remuneration resulting from past performances (2015-2019) could be paid or allocated using the mechanisms in place (risk gateway and financial instrument).

2.3.2. Remuneration of members of the Management Board

2.3.2.1. Fixed and performance-related remuneration

The remuneration of members of the Bank's Management Board consists of a fixed part and a performance-related part.

The fixed and performance-related remuneration of members of the Management Board constitutes a ceiling from which are deducted any attendance fees or directors' fees paid to a member of the Management Board by a third-party company (for which the member performs a mandate on behalf of Belfius Bank).

The remuneration of the Management Board is approved by the Board of Directors. The members of the Management Board do not participate in the discussions or make decisions in this regard. The chairman of the Management Board does not participate in the discussions or make decisions about his personal situation.

2.3.2.2. Remuneration for 2020

Remuneration of the chairman of the Management Board

The remuneration of the chairman of the Management Board is made up of:

- a fixed part, i.e. fixed remuneration, group insurance, other insurances and benefits;
- a variable part, with payments spread over 7 years and with payment linked to the financial health of the company (e.g. the criteria for the soundness of BB's equity capital).

Fixed remuneration

The fixed remuneration of the chairman of the Management Board amounts to EUR 650,000.

The amounts granted from his group insurance (expected benefit at 65 year), for other insurance policies (mainly insurance against death and disability) and the other benefits (mainly reimbursement of expenses and company car costs) amounted to EUR 182,367.

Performance-related remuneration

The Board of Directors decided to grant to the chairman of the Management Board a performance-related (2020) remuneration of EUR 234,195. The acquisition of this amount is spread over 7 years, provided certain conditions are met. Half of the total (deferred) performance-related remuneration is awarded in cash and the other half in a financial instrument.

In view of his performance in 2020, the chairman of the Management Board is entitled to an initial payment of EUR 46,840. This amount has been reduced by 50%, i.e. EUR 23,420, following the decision of the Board of Directors mentioned above.

The balance of the performance-related remuneration will be spread over the coming 6 years.

When granted, the performance-related variable remuneration allocated for performances in 2015, 2016, 2017, 2018, 2019 and 2020 was spread over seven years. This variable remuneration may give rise to payment of a deferred performance-related remuneration, as follows: EUR 167,104 in 2022; EUR 115,088 in 2023; EUR 95,636 in 2024; EUR 70,837 in 2025; EUR 41,830 in 2026 and EUR 14,050 in 2027. This remuneration will only be paid if certain conditions, including solvency, liquidity and profitability are met.

It is important to reiterate that every payment of (deferred) performance-related remuneration depends on the annual assessment of the financial instrument and may be subject to an ex-post risk adjustment via a malus or clawback clause (cf. 2.3.1.3. supra).

In this context an amount of EUR 169,463 was paid in 2020 to the chairman of the Management Board as performance-related remuneration linked to the performance in 2015, 2016, 2017, 2018 and 2019.

Consequently, an amount of 819,463 EUR was paid to the chairman of the Management Board (fixed and variable remuneration) in 2020.

Taking into account the amounts granted for the group insurance and other insurances and benefits for the chairman of the Management Board, the total amount related to the financial year 2020 is EUR 1,001,830 (fixed and variable remuneration, group insurance, other insurance and benefits).

Remuneration of the other members of the Management Board

Fixed remuneration

The fixed remuneration of the members of the Management Board (divided among 4 persons) amounts to EUR 1,647,000.

The (aggregated) granted premium for their group insurance (expected benefit at 65 year), for other insurance policies (mainly insurance against death and disability) and the other benefits (mainly reimbursement of expenses and company car costs) amounted to EUR 432,251 (divided among the 4 members).

Performance-related remuneration

The Board of Directors decided to grant to the members of the Management Board (4 persons) a performance-related remuneration for 2020 totalling EUR 587,469. Half of the respective total (deferred) performance-related remuneration for each member of the Management Board is awarded in cash and the other half in a financial instrument. The acquisition of this amount is spread over 7 years, provided certain conditions are met.

Given their performance in 2020, the members of the Management Board are entitled to an initial payment of EUR 146,866. This amount has been reduced by 25%, i.e. EUR 36,716, following the decision of the Board of Directors mentioned above.

The balance will be spread over the coming 6 years.

When granted, the variable remuneration allocated (four individuals) on the basis of the performance-related remuneration for performances in 2015, 2016, 2017, 2018, 2019 and 2020, was spread over seven years. This variable remuneration may give rise to the payment of deferred performance-related remuneration, as follows: EUR 365,143 in 2022; EUR 213,525 in 2023; EUR 177,409 in 2024; EUR 136,357 in 2025; EUR 86,177 in 2026; and EUR 29,375 in 2027. This remuneration will only be paid if certain conditions, including solvency, liquidity and profitability are met.

It is also important to reiterate that every payment of (deferred) performance-related remuneration depends on the annual assessment of the financial instrument and may be subject to an ex-post risk adjustment via a malus or clawback clause (cf. 2.3.1.3. supra).

In this context an amount of EUR 378,504 was paid in 2020 to the four members of the members of the Management Board as performance-related remuneration linked to the performance in 2015, 2016, 2017, 2018 and 2019.

Consequently, in 2020, the four members of members of the Management Board received an amount of EUR 2,025,504 (fixed and variable remuneration).

Taking into account the amounts granted for the group insurance and other insurances and benefits for the four members of the Management Board, the total amount related to the financial year 2020 is EUR 2,457,755 (fixed and variable remuneration, group insurance, other insurance and benefits).

Other

Belfius Bank has no option plan. During 2020, no option was granted to members of the Management Board or exercised by the latter.

In accordance with Article 450 of Regulation no. 575/2013, Belfius Bank declares that a remuneration of more than EUR 1 million was granted to one employee of Belfius Bank in 2020.

In 2020, no exceptional bonus was granted within the context of a recruitment and no severance remuneration was paid to members of the Management Board.

2.3.3. Remuneration of employees whose activity has a material impact on the risk profile of Belfius Bank (excluding the members of the Management Board and the members of the Board of Directors)

Fixed remuneration

The fixed remuneration paid in 2020 to the members of staff concerned (196 members of staff at the end of 2020) was EUR 26,521,714.

Performance-related remuneration for the year 2020

A total amount of EUR 6,259,920 was granted in 2021 to the members of staff concerned as performance-related remuneration for the year 2020. The entirety of this amount was paid since none of those members of staff received performance-related remuneration for 2020 above the amount agreed in advance with the NBB.

This amount was granted for EUR 5,603,720 in warrants⁽¹⁾ and for EUR 656,200 in cash.

(1) A capitalisation share (class C) of the Belfius Equities Europe Conviction, a subfund within the Belfius Equities sicav registered under Belgian law.

	Corporate functions	Independent Control Functions	Private, Business & Retail	Wealth, Enterprises & Public ⁽¹⁾	Total
Fixed remuneration	7,440,074	5,223,409	4,101,301	9,756,930	26,521,714
Performance related remuneration	1,878,512	769,295	1,049,472	2,562,641	6,259,920

(1) Financial Markets included

Remuneration by business area

In line with the directives from the European Banking Authority (EBA), the overall quantitative data relative to remuneration for each business area is stated in the table above.

Option plans

Belfius Bank has no option plan. During 2020, no option was granted to employees whose activity has a material impact on the risk profile of Belfius Bank or exercised by the latter.

Severance remuneration

In 2020, severance remuneration was paid to 4 employees whose activity has a material impact on the risk profile of Belfius Bank.

The total amount of this payment was EUR 1,014,766.

For the year 2020, one individual (referred to in point 2.3.3.) was awarded, by exception, a signing-on bonus.

2.3.4. Remuneration of members of the Board of Directors (non-executive directors)

The total remuneration paid to the members of the Board of Directors of Belfius Bank, except the members of the Management Board, i.e. the non-executive directors for 2020 was EUR 1,207,125 for 74 meetings (compared with EUR 824,504 in 2019 for 60 meetings). This amount includes the remuneration for their mandate as directors (a fixed amount, which is identical for all members of the Board of Directors, except for the chairman), as well as their fees for attending the Board meetings and the various advisory committees (a fixed amount for each meeting attended, varying for the members of the meeting, on the one hand, and for the chairman, on the other).

In 2020, Belfius Bank has 1 additional non-executive director compared with 2019. The composition of the advisory committees was also expanded.

Management of the Covid-19 crisis led the Board of Directors to increase the frequency of its meetings in 2020, with increased presence and greater engagement of non-executive directors at these meetings.

The non-executive directors do not receive a performance-related remuneration or options.

The chairman of the Board of Directors has a company car at his disposal.

The chairman and the members of the Management Board do not receive any indemnity for attending the meetings of the Board of Directors or of the advisory committees.

Number of meetings and remuneration for each non executive director in 2020⁽¹⁾

	Mediation Committee (2 meetings)	Board of Directors (24 meetings)	Risk Committee (22 meetings) ⁽¹⁾	Audit Committee (13 meetings) ⁽¹⁾	Nomination Committee (10 meetings) ⁽¹⁾	Remuneration Committee (3 meetings)	Total Remuneration (In EUR)
Doutrelepoint Carine	2	21			4		63,000
Delwart Jean-Pierre	2	21					56,700
Clijsters Jos	2 ⁽³⁾	23 ⁽³⁾			9	3	252,900
Hübner Georges		24	22	13 ⁽³⁾			135,900
Van Den Berghe Lutgart		24			10 ⁽³⁾	3 ⁽³⁾	117,000
Sunt Chris		23	21	12			103,500
Bodart Paul		22		13			80,100
Vander Vennet Rudi		24	22 ⁽³⁾				144,900
Rosen Diane		24	21		7	3	119,700
De Rouck Martine		23		7			70,200
Neumann Isabel ⁽²⁾		14	14				63,225
							1,207,125

(1) Some meetings were not remunerated. Joint meetings of two committees were indeed only once remunerated, for example.

(2) Member of the Board of Directors since 29 April 2020.

(3) Chairman.

3. Audit Committee

3.1. Composition

3.1.1. General aspects

As of 31 December 2020, the Audit Committee for Belfius Bank consisted of the following members: Messrs Georges Hübner, chairman, Paul Bodart, Chris Sunt and Ms Martine De Rouck.

On 7 May 2020, the Board of Directors of Belfius Bank appointed Ms Martine De Rouck as a member of the Audit Committee, with immediate effect.

3.1.2. Independence and expertise

The Audit Committee must have at least one independent director with the individual expertise required in accountancy and/or audit. The majority of the members of the Audit Committee must be independent directors. The chairman of the Committee is appointed by its members. Furthermore, the members of the Audit Committee must have collective expertise in the fields of banking, as well as accountancy and auditing.

The Audit Committee of Belfius Bank is composed of four non-executive directors. All four are independent directors, namely Mr Georges Hübner, Mr Paul Bodart, Mr Chris Sunt and Ms Martine De Rouck.

Mr Georges Hübner, who holds a degree in Business Administration and a PhD in Management, is Full Professor in Finance at the HEC Liège, University of Liège and former Associate Professor at the University of Maastricht. Among his other achievements, he was a member of the college of experts appointed by the Parliament following the financial crisis. He has professional experience in accountancy and audit acquired in his activities in education, expertise and chairmanship of qualifying examination boards for the Certified Auditors Institute (IRE/IBR).

Mr Paul Bodart, an engineer holding a degree in Master of Business Administration, was Professor at the Solvay Business School until the beginning of 2020. He has professional experience in accounting and audit acquired in particular through the tasks he performed as a member of the Audit Committee of the Russian Stock Exchange (Moscow Exchange - MOEX) and in those tasks he performed as a member of the Audit Committee of the National Settlement Depository, Russia's central depository, as chairman of the Audit Committee and a member of the Risk Committee of Dexia and of Dexia Crédit Local and as a member of the Audit Committee of Euroclear Bank. Moreover, he has considerable experience in the banking and finance sectors, in particular in executive functions (more specifically, he was CEO of the Belgian banking subsidiary of the Bank of New York Mellon Group, responsible for group operations in the eurozone).

Mr Chris Sunt holds a law degree. In his former capacity as a lawyer specialising in finance law for more than 30 years (honorary lawyer since 1 March 2020), he also acquired relevant experience in accountancy and auditing.

Ms Martine De Rouck has a degree in Mathematical Sciences and Actuarial Sciences. She has experience in the banking and financial sectors, in particular through her various functions, including with BNP Paribas Fortis Bank SA, from 1978 to 2016.

Consequently, the Audit Committee has at least one independent director with the individual expertise required in accountancy and/or audit, as well as the required collective expertise in the field of banking, accountancy and auditing. A majority of the members of the Audit Committee are independent directors.

Chairman	Georges Hübner
Members	Paul Bodart
	Chris Sunt ⁽¹⁾
	Martine De Rouck ⁽²⁾

(1) until 28 April 2021.

(2) from 7 May 2020 onwards.

3.2. Tasks and remit

The Audit Committee assists the Board of Directors in its task of carrying out prudential controls and exercising general supervision in a broad sense.

3.2.1. Financial reporting

The Audit Committee monitors the integrity of the financial information provided by the company, in particular by evaluating the accounting standards used, including the criteria governing the scope of the consolidation. The Audit Committee's supervision also extends to the follow-up of regular financial information before its submission to the Bank's Board of Directors.

The Audit Committee monitors the process of establishing financial information and makes recommendations or proposals to guarantee its integrity.

3.2.2. Internal audit and risk management

At least once a year, the Audit Committee examines the efficiency of the internal audit and risk management systems set up by the Management Board to ensure that the main risks (including the risks linked to compliance with current laws and regulations) are properly identified and managed. To that end, the Management Board submits to the Audit Committee a report regarding the assessment of internal auditing.

During 2020, the Audit Committee took notice of the activities of the Compliance department, the activities of Audit and Control, the activities of the Legal & Tax department, as well as the monitoring activities of the risks (e.g. credit, market, liquidity and operational risks and the risks with regard to the ICT security).

3.2.3. Functioning of internal audit

The Audit Committee assesses the operational efficiency and independence of the Internal Audit division. The Audit Committee also verifies the extent to which the management responds to the findings of the Audit department and its recommendations. In 2020, the Audit Committee examined and approved the annual business report for 2019, the audit plan 2021, and the half-yearly business report (H1) for 2020, as well as the half-yearly follow-up reports on the recommendations. The latest version of the Internal Audit Charter was validated in 2020.

3.2.4. Statutory audit

The Audit Committee provides the Board of Directors with information about the results of the legal audit of the statutory and consolidated financial statements, as well as explanations as to the manner in which the legal audit of the statutory and consolidated financial statements contributed to the integrity of the financial information and as to the role played by the Audit Committee in that process.

The Audit Committee also monitors the legal audit of the statutory and consolidated financial statements. This includes monitoring questions asked and recommendations made by the auditor.

In 2020, the Audit Committee reported to the Board of Directors on the statutory and consolidated financial statements of Belfius Bank at 31 December 2019, 31 March 2020, 30 June 2020 and 30 September 2020. After considering the comments received from the management of the Bank and the external auditors, the Audit Committee delivered a favourable opinion to the Board of Directors on the annual financial statements.

3.2.5. External audit function and monitoring of auditor's independence

The Audit Committee satisfies itself that the external auditor(s) carries (carry) out his/her (their) audits properly.

The Audit Committee monitors the independence of the external auditor(s) and his/her (their) auditing programme.

The Audit Committee makes a recommendation to the Board of Directors with regard to the appointment or renewal of the mandate of the auditor.

3.3. Functioning

The Audit Committee may demand to see any useful information or supporting evidence and may carry out any inspection it feels is necessary. To that end, it calls on the services of the Internal Audit department of Belfius Bank.

In 2020, the Audit Committee met thirteen times. In addition, three electronic Audit Committee meetings were held.

The Audit Committee of Belfius Bank operates independently from the Audit Committee implemented at Belfius Insurance. The Audit Committee of Belfius Bank held three joint meetings with the Audit Committee of Belfius Insurance, in particular when the insurance company's annual financial statements for 2019 and the half-yearly financial statements at 30 June 2020 were presented.

The Audit Committee of Belfius Bank held 9 meetings jointly with the Risk Committee to examine, amongst others, the effective management report on the assessment of the internal control report 2019, the report on the risks linked to the use of valuation models, the follow-up of the implementation of the IT-security strategy, as well as the quarterly risk monitoring report (including the risks related to Covid-19).

3.4. Internal Audit

The Internal Audit Charter states the fundamental principles that govern the Internal Audit function at Belfius by describing its mandate, objectives, its role, its responsibilities and its overall modes of operation. Additionally, through the Audit Charter, the independence of the Internal Audit function is assured. The Audit Charter was approved by the Board of Directors in 2020 and is reviewed at least every three years.

Belfius Bank has an internal audit function that meets international standards on methodology and reporting.

The internal audit function is an independent and objective activity that provides the organisation with reasonable assurance regarding the extent to which its operations are controlled and supervised. As part of its work, the internal audit function provides recommendations for improvements and in doing so creates added value. The head of internal audit reports to the chairman of the Audit Committee.

This indicates that the internal audit function helps the organisation to achieve its objectives, by monitoring the risk management, internal audit processes and governance processes in a systematic and disciplined manner and by making proposals designed to increase efficiency. This is done mainly by carrying out audit assignments and following up on audit recommendations.

The head of internal audit at Belfius Bank is responsible for internal audits at group level (Auditor-General). The head of internal audit at Belfius Insurance therefore has a functional link to the Auditor-General. In this way, the independence of the head of internal audit at Belfius Insurance vis-à-vis his/her governing bodies is combined with the use of uniform audit practices of high quality (audit planning, audit methodology, following up on audit recommendations, etc.) within the Belfius group.

4. Risk Committee

4.1. Composition

4.1.1. General aspects

As of 31 December 2020, the Risk Committee for Belfius Bank consisted of the following members: Mr Rudi Vander Vennet, chairman, Mr Georges Hübner, Ms Isabel Neumann and Mr Chris Sunt.

On 7 May 2020, the Board of Directors of Belfius Bank appointed Ms Isabel Neumann as a member of the Risk Committee, with immediate effect.

Ms Diane Rosen acted as a member of the Risk Committee until 31 December 2020.

Chairman	Rudi Vander Vennet
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Members	Georges Hübner
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	Diane Rosen⁽¹⁾
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	Chris Sunt⁽²⁾
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	Isabel Neumann⁽³⁾
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(1) until 31 December 2020

(2) until 28 April 2021.

(3) from 7 May 2020 onwards.

4.1.2. Independence and remit

The Risk Committee of Belfius Bank consists of four independent directors, namely Mr Rudi Vander Vennet, Mr Georges Hübner, Ms Isabel Neumann and Mr Chris Sunt.

The members of the Risk Committee must individually have the knowledge, skills, experience and aptitudes necessary to enable them to understand the Bank's risk strategy and appetite level.

Mr Rudi Vander Vennet holds a degree in economics, an advanced master's degree in finance and a PhD in economics and is currently full professor of economics and banking at Ghent University and also teaches banking and insurance at Solvay Business School (ULB). He has experience as a board member at various financial institutions.

Mr Georges Hübner, who holds a degree in Business Administration and a PhD in Management, is Full Professor in Finance at the HEC Liège, University of Liège and former Associate Professor at the University of Maastricht. Among other achievements, he was also a member of the college of experts appointed by Parliament following the financial crisis.

Ms Diane Rosen holds a degree of Commercial Engineer, has professional experience in the financial sector and specifically in banking, in construction and in real estate sectors. She was formerly Finance Director of BAM Belgium.

Mr Chris Sunt holds a law degree. In his former capacity as a lawyer specialising in finance law for more than 30 years (honorary lawyer since 1 March 2020), he also acquired the relevant risk management experience.

Ms Isabel Neumann holds a degree of Commercial Engineer, has professional experience in the financial sector and specifically in the banking sector. She was formerly Managing Director Investment Banking of America Merrill Lynch.

The members of the Risk Committee have the individual expertise and professional experience required to define strategy regarding risk and the level of risk appetite of an institution. They have acquired the specialisation necessary, in particular as directors, with other institutions and/or in their university training. Consequently, the Risk Committee has the required individual knowledge and expertise.

4.2. Remit

The Risk Committee has advisory powers and responsibilities with regard to the Board of Directors in the following areas:

- appetite and strategy regarding the Bank's current and future risks, more particularly the effectiveness of the risk management function and the governance structure to support them;
- monitoring implementation of risk appetite and strategy by the Management Board;
- allocating the risk appetite to various categories of risks and defining the extent and limits of risk in order to manage and restrict major risks;
- considering the risks run by the Bank with its customer tariffs;
- assessing activities which expose the Bank to real risks;
- supervising requirements in terms of capital and liquidity, the capital base and the Bank's liquidity situation;
- the guarantee that risks are proportional to the Bank's capital;
- formulating an opinion with regard to major transactions and new proposals for strategic activities that have a significant impact on the Bank's risk appetite;
- obtaining information and analysing management reports as to the extent and nature of the risks faced by the Bank;
- monitoring the Internal Capital Adequacy Assessment Process (ICAAP), the Internal Liquidity Adequacy Assessment Process (ILAAP) and the Recovery Plan.

4.3. Functioning

The Risk Committee meets at least once per quarter. It also meets on an ad-hoc basis in relation to specific matters.

In 2020, the Risk Committee met twenty-two times, of which nine were joint meetings with the Audit Committee. There was one joint meeting with the Risk & Underwriting Committee of Belfius Insurance.

The Risk Committee operates independently of the Risk & Underwriting Com-

mittee of Belfius Insurance. At the request of the chairman of the Bank's committee, a joint Risk Committee of Belfius Bank and Belfius Insurance may be held. To promote sound remuneration policy and practices, subject to the tasks of the Nomination Committee and the Remuneration Committee, the Risk Committee examines whether incentives in the remuneration system properly take into account the institution's risk management, equity requirements and liquidity position, as well as the probability and distribution of

profit over time. The Risk Committee and the Audit Committee periodically exchange information, in particular concerning the quarterly risk report, the senior management report on the assessment of internal control and the risk analyses performed by the Legal, Compliance and Audit Departments. The aim of this exchange of information is to enable the two committees to perform their tasks properly and may take the form of a joint meeting.

Mediation committee

In 2014 the Board of Directors decided to establish a Mediation Committee within the Belfius group.

1. Composition

The Mediation Committee is composed of five members:

- the chairman of the Board of Directors of Belfius Bank, who acts as chairman;
- two independent directors of Belfius Bank;
- two independent directors of Belfius Insurance.

As of 31 December 2020, the Mediation Committee was composed by the following members:

- Mr Jozef (Jos) Clijsters, chairman of the board of directors of Belfius Bank
- Ms Carine Doutrelepont and Mr Jean-Pierre Delwart, independent directors of Belfius Bank
- Ms Cécile Coune and Mr Jean-Michel Kupper, independent directors of Belfius Insurance.

Ms Carine Doutrelepont was appointed as a member of the Mediation Committee on 7 May 2020.

Mr Johan Tack was member of the Mediation Committee until 28 April 2020. On the same date he was replaced by Mr Jean-Michel Kupper.

Ms Cécile Coune was appointed as a member of the mediation committee on 5 August 2020.

In 2020, the Mediation Committee met on two occasions.

2. Remit

The Mediation Committee is responsible for passing opinions relating to material transactions or operations between, on the one hand, Belfius Bank and its subsidiaries and, on the other hand, Belfius Insurance and its subsidiaries, or between their respective subsidiaries, which may give rise to potential conflicts of interest. Such opinions are sent to the Board of Directors of the companies concerned, which will then take a final decision about the planned transaction or operation.

In 2020, the status on ESG strategy implementation at Belfius was discussed in this Committee.

Chairman	Jozef Clijsters⁽¹⁾ Chairman of the Board of Directors of Belfius Bank
Members	Jean-Pierre Delwart⁽¹⁾ Independent Director Belfius Bank
	Carine Doutrelepont⁽²⁾ Independent Director Belfius Insurance
	Johan Tack⁽³⁾ Director of Belfius Insurance, invited as representative of Belfius Insurance
	Jean-Michel Kupper⁽⁴⁾ Independent Director Belfius Insurance
	Cécile Coune⁽⁵⁾ Independent Director Belfius Insurance

(1) until 28 April 2021.

(2) from 7 May 2020 onwards.

(3) until 28 April 2020.

(4) from 28 April 2020 onwards.

(5) from 5 August 2020 onwards.

Internal audit and risk management systems regarding financial statements

Belfius Bank applies various internal audit and risk management systems to its financial statements. These audits are carried out at different levels.

The inventory is reconciled on a daily basis with the balances in ACEC/ACSE via the reconciliation tool ACNR. Unreconciled amounts are reported via the monitoring and matching tool, INTELLIMATCH. At the end of each month, the balance sheet and off-balance sheet inventory in the GEXL general ledger is reconciled with the balances in ACEC/ACSE. Unreconciled amounts are reported via an online tool in GEXL. The related accounting Competence Centre (back office) is responsible for analysing the nature of the differences and for initiating corrective actions.

The accounts (Belgian GAAP and IFRS) are closed on a monthly basis. A first level of control is performed by the Accounting Competence Centres which take full responsibility for the general ledger (balance, off-balance and statement of income) and the inventory. In respect to Financial Markets activities, FM Risk Management is responsible for the validation of the statement of income and the gains and losses not included in the statement of income. The procedures and control activities are documented by each department involved.

Corporate Accounting Control performs a second level of control and provides functional guidance for the closing process, the centralisation and final validation of all relevant accounting data and disclosures for reporting purposes. A risk-based approach is adopted to determine the nature and extent of the control activities. The controls mainly relate to a variance analysis of balances and ratios, sample-based testing, review of supporting documentation and reasonability controls. The results of the analytical review are documented in a highlights report, which is subject to management review.

The procedures and control activities are documented by each department.

The first and second levels of control provide reasonable assurance on the completeness, accuracy and appropriate presentation of the accounting data, in accordance with the financial and prudential framework.

The main subsidiaries of Belfius Bank apply similar internal audit and risk management systems to their financial statements. From October 2017 onwards, the preparation of the financial statements of Belfius Insurance and its subsidiaries have been outsourced to Belfius Bank in order to further align and optimise the processes. Continuity can be guaranteed as the resources and competences of Belfius Insurance involved in the preparation and internal audit of the financial statements were also transferred to Belfius Bank.

External activities of directors – Article 62, §2 of the Act of 25 April 2014 on the status and supervision of credit institutions and stockbroking firms

As of 31 December 2020, the directors of Belfius Bank held 34 directorships in commercial companies other than Belfius Bank (including 14 directors and executives in commercial companies of the Belfius Group).

Under the Regulation by the National Bank of Belgium dated 6 December 2011 relating to the pursuit of external activities by the directors and executives of regulated

companies, Belfius Bank is required to disclose any external appointment held by its directors and senior executives. Belfius Bank has chosen to publish such appointments in its annual report filed with the National Bank of Belgium.

KPMG	Services provided in 2020				
	Audit of financial statements	Other certification	Tax advice	Other services	Total
(In thousands of EUR)					
KPMG BEDRIJFSREVISOREN / REVISEURS D'ENTREPRISES	1,578	3	0	64	1,645
Belfius Bank	833	0	0	60	893
Subsidiaries (bank perimeter)	178	0	0	4	182
Belfius Insurance	567	3	0	0	570
OTHER KPMG ENTITIES	97	0	0	403	500
Belfius Bank	0	0	0	403	403
Subsidiaries (bank perimeter)	84	0	0	0	84
Belfius Insurance	13	0	0	0	13
TOTAL	1,675	3	0	467	2,145

Statutory auditor

The task of auditing the financial situation and financial statements of the Bank was entrusted to KPMG Reviseurs d'entreprises, BV/SRL, represented by Messrs Olivier Macq and Kenneth Vermeire.

The table above provides an overview of the fees paid to the current Statutory Auditor for services provided to Belfius Bank and its Belgian companies associated with Belfius Bank or to its foreign subsidiaries during the 2020 financial year.

Compliance

1. Role

The function of Compliance is to ensure the integrity of the Bank's activities and the management of Compliance risks. The Compliance department ensures that Belfius, its subsidiaries, staff members, suppliers and intermediaries comply with the legislation, as well as with internal rules and norms applicable to Belfius.

Emphasis is placed principally on the rules relating to the protection of customer interests, also known as rules of good conduct, such as MiFID for investment services, the protection of privacy and the prevention of conflicts of interests.

On the one hand, Compliance advises and informs management and the commercial and operational divisions of the Bank of the correct and appropriate application of the law and regulations, both within the context of establishing corporate strategy, the development of new activities, distribution channels and processes, and within the framework of specific files or transactions. To that end, it actively monitors developments in Belgian and international legislation, in close collaboration with the Legal department.

On the other hand, Compliance organises the independent supervision and control of the correct implementation of established procedures and instructions. As such, it oversees the effectiveness of policy and proposes corrective measures if they are necessary.

2. Organisation

Compliance is organised around a central Compliance department based on 3 pillars: Business Advisers (advisory function), the Compliance Risk Control team (control function) and the anti-money laundering unit. These three teams are supported by a specific unit that frames projects at an IT and organisational level.

The central Compliance department can also call on the services of a large network of Compliance Correspondents within the Bank's various divisions, as well as a network of Compliance Managers with the salaried and independent branch networks. These latter two networks play an important role, particularly in the introduction of Compliance policy and procedures, as well as training and awareness in that regard.

A Compliance Officer accredited by the FSMA is at the head of the Compliance organisation. From 1 January 2019 onwards, the Compliance Officer reports directly to the Chief Risk Officer, member of the Management Board, and, if necessary, may directly approach the chairman of the Audit Committee, the chairman of the Board of Directors and the Regulator.

As provided for by the regulations, the department also has an Anti-Money Laundering Compliance Officer.

The Anti-Money Laundering Compliance Officer (AML CO) is head of the anti-money laundering team, which combats money laundering practices. Belfius makes every effort not to be involved in laundering money from illegal activities, the organisation of tax fraud, financing terrorism or circumventing international embargos. To underline this commitment, the AML CO has established a general compliance framework with policies and broad preventative measures and controls. Proper knowledge of the customers and their identification, verification of the origin of financial flows on accounts and detection of dubious transactions are all vital elements in the prevention of such practices.

In the context of the new General Data Protection Regulation (GDPR), which came into effect in May 2018, the former role of Privacy Officer at Compliance has become part of the new position of the Data Protection Officer (DPO) created in May 2018 at the level of Operational Risk Management. The transition process was problem-free.

The Compliance Officer of Belfius Bank ensures that a coherent and effective Compliance policy is applied within all the subsidiary companies of the Belfius Group. Belfius Bank outlines the group policy and defines the Compliance methodology to be used. Each regulated subsidiary company has a local Compliance Officer who is responsible for the application of the specific policy within his/her company. These Compliance Officers report functionally to the Compliance Officer of Belfius Bank. They are in charge of the Compliance activities at their entity level, including the identification and assessment of compliance risks, providing advice to business and management, monitoring and second-line controls; defining and implementing Compliance action plans. On a periodic basis, the local Compliance Officer reports to the local Management Board, Board of Directors, as well as the Compliance Officer at Belfius Bank about Compliance activities and risks.

3. Charter – Expanded powers

In order to guarantee the independence of the Compliance function, its mandate, remit, organisation and tasks are formally established in a specific Charter, approved by the Bank's Board of Directors. The Charter also grants Compliance unlimited access to all the information and all the staff members within the Bank, in relation to analyses or controls it deems necessary.

The Compliance Charter is periodically evaluated and is expanded, where necessary, in line with developments in regulations, the detection of new potential risks, and/or the adjustments of the risk appetite of the Belfius Group. In recent years, the scope of the Compliance function has been expanded to include, among other things, advice and observance in relation to advertising, the law on market practices and the legislation concerning consumer loans, mortgages and anti-bribery measures. The Charter is applicable to all regulated subsidiary companies in the Belfius Group.

General information

Share capital and allocation of profit of Belfius Bank

1. Share capital and evolution of the capital during the financial year 2020

The share capital of Belfius Bank is three billion, four hundred and fifty-eight million, sixty-six thousand, two hundred and twenty-seven euros and forty-one cents (EUR 3,458,066,227.41) and is represented by 359,412,616 registered shares. The shareholding of Belfius Bank is as follows: 359,407,616 registered shares are held by the public limited company of public interest Federal Holding and Investment Company (FHIC), in its own name, but on behalf of the Belgian State, and 5,000 registered shares are held by the public limited company Certi-Fed. Certi-Fed is a wholly owned subsidiary of FHIC.

In accordance with the provisions of the law, the Extraordinary General Meeting of Shareholders of 19 March 2019 authorised the Board of Directors to increase the share capital of the Bank in one or more stages to a maximum of three billion, four hundred and fifty-eight million, sixty-six thousand, two hundred and twenty-seven euros and forty-one cents (EUR 3,458,066,227.41). That authorisation is valid for five years from publication of the resolution of the ordinary general meeting of shareholders in the Appendices to the Belgian Official Gazette.

No change was made to the share capital of the Bank in 2020.

2. Allocation of profit

The company results for the 2020 financial year recorded a profit of EUR 605,584,745.16. This profit includes an amount of EUR 528,584,745.16 to be carried forward.

3. Annual dividend

The Board of Directors will propose to the Ordinary General Meeting to distribute a dividend of EUR 77 million to the shareholders.

Amendment of the articles of association

The articles of association of Belfius Bank were amended on 22 April 2020 (amendment of the articles of association to provide that the general meeting can deviate from the rule that a non-executive director can only be re-appointed for a maximum of two mandates).

Main amendments to the scope of Belfius on a statutory basis

In 2020, Belfius continued to develop in different areas in order to strengthen its positioning and its strategy:

- In mobility services, Belfius has become the reference shareholder of Skipr, a Belgian start-up with a 'Mobility as a Service' platform. Skipr combines an application to facilitate intermodal travel, a mobility card to access any provider in the EU and a budget management platform, making it the first all-in-one mobility solution in Europe.
- In real estate-related services, with a 30% stake, Belfius became a reference shareholder of Immovlan, alongside the Rossel Group (35%) and Roularta Media Group (35%). This holding is part of a strategic collaboration agreement between Belfius and Immovlan aimed at combining their digital expertise and continuing to diversify their range of services related to residential real estate. Together, the three Belgian shareholders are joining forces to make Immovlan the reference digital real estate platform on the Belgian market and to assist and guide customers in a unique and integrated way at every stage of their real estate projects.
- In the management and provision of cash to its customers through its holding in the newly created company Batopin. Batopin (Belgian ATM OPTimisation INitiative) is a project of Belfius, BNP Paribas Fortis, ING and KBC which together ensure the development of an optimal ATM network in Belgium. Security and efficiency are at the heart of this initiative, as well as financial and social inclusion.
- In digital solutions to cities and towns, through the creation of Fairville. Fairville is a new company created equally between Belfius, Cipal Schaubroeck and Nuhma, which offers digital solutions to cities and municipalities focusing on the local economy, sustainability and mobility. The collaboration between the three partners offers many advantages: they will be able to explore new markets and improve the quality of their products, but also have more resources to continue investing in innovative solutions for local authorities.

Within the context of simplifying and reorganising the bank's scope, Belfius Bank:

- sold its shares in BrightKnight (via its subsidiary The Studio) to Reply. BrightKnight was created by Belfius in April 2017 to provide its customers and others with innovative Robotic Process Automation solutions. BrightKnight has helped various companies automate their processes. Given the growth of the business, Belfius wanted BrightKnight to have a shareholder in line with its sector of activity to enable it to grow while maintaining its quality of service. Reply is a consulting company made up of a network of highly specialised companies which help industrial groups to define and develop business models in order to optimise and integrate processes, applications and tools, using new technologies and new paradigms, such as Artificial Intelligence, Big Data, Cloud Computing, Digital Communication, the Internet of Things, Mobile and Social Networking.

Various transactions relating to real estate or financial holdings took place, including:

- the disposal of its holdings in Bedrijvenscentrum Limburg and Wetenschapspark Limburg (two business centres offering premises and logistics facilities to small companies),
- participation in the capital increase of the Société Régionale d'Investissement de Bruxelles (now Bruxelles-Finance),
- participation in the restructuring of the shareholding and financing of Fairtrade Belgium, a cooperative company active in fair trade.

Material litigation

Belfius (Belfius Bank and its consolidated subsidiaries) is involved as a party in a number of litigations in Belgium, arising in the ordinary course of its business activities, including those where it is acting as an insurer, capital and credit provider, employer, investor and taxpayer.

Belfius recognises provisions for such litigations when, in the opinion of its management taking into account all available elements, including an analysis by its company lawyers and external legal advisors as the case may be,

- a present obligation has arisen as a result of past events,
- it is probable that Belfius will have to make a payment, and
- the amount of such payment can be estimated reliably.

With respect to certain other litigations against Belfius, of which management is aware, no provision has been made according to the principles outlined here above, as the management is of the opinion, after due consideration of appropriate advice, that, while it is often not feasible to predict or determine the ultimate outcome of all pending litigations, such litigations are without legal merit, can be successfully defended, or that the outcome of these actions is not expected to result in a significant loss.

In the opinion of Belfius, the most important cases are listed below, regardless of whether a provision has been made or not⁽¹⁾. Their description does not deal with elements or evolutions that do not have an impact on the position of Belfius. If the cases listed below were to be successful for the opposite parties, they could eventually result in monetary consequences for Belfius. For litigations for which no provision has been made, such impact remains unquantifiable at this stage. Note that, apart from the cases listed below, continued vigilance can be observed in the prevention of money laundering (AML) in the Belgian financial sector. In this context, as is customary, Belfius is collaborating with the Belgian authorities and monitors this closely.

1. Housing Fund of the Brussels Capital Region

On 9 October 2012, the Housing Fund of the Brussels Capital Region (Woningfonds van het Brussels Hoofdstedelijk Gewest/Fonds du Logement de la Région de Bruxelles-Capitale) summoned Belfius Bank before the Brussels Commercial Court. The Housing Fund subscribed for a total amount of EUR 32,000,000 to 4 treasury notes issued by Municipal Holding (Gemeentelijke Holding/Holding Communale), placed by Belfius acting as dealer under the Municipal Holding commercial paper program, between July and September 2011 (Commercial Paper program). Due to severe financial difficulties encountered by the Municipal Holding, the Housing Fund granted a voluntary waiver to the Municipal Holding on 24 November 2011 and received repayment for EUR 16 million. The Municipal Holding entered into liquidation in December 2011. Due to the intervention of Belfius as dealer of the treasury notes, the Housing Fund demands the payment by Belfius Bank of the non-repaid capital. As the loss incurred on this investment is the result of a voluntary waiver of the claim by the Housing Fund, which matches half of the investment, Belfius Bank rejects the demand from the Housing Fund.

On 27 March 2014, the Brussels Commercial Court accepted the claim application by the Housing Fund, but declared it unfounded.

The Housing Fund lodged an appeal against this judgement on 3 June 2014.

There was no significant evolution in this claim since 2016. The date of the hearings is not yet known. No provision has been made for this claim.

(1) Note that, where relevant, Art. 92 of IAS37 may apply to this section.

2. Arco - Cooperative shareholders

Various parties, including Belfius Bank, have been summoned by Arco - Cooperative shareholders in two separate procedures, i.e. one procedure before the Dutch speaking Commercial Court of Brussels and another procedure before the Court of First Instance of Brussels:

- On 30 September 2014, 737 shareholders from 3 companies of the Arco Group (Arcopar, Arcoplus and Arcofin) initiated (with support of Deminor) proceedings against the Arco entities and Belfius Bank before the Dutch speaking Commercial Court of Brussels (the "Deminor Proceedings"). On 19 December 2014, 1,027 additional shareholders of the Arco entities joined in the Deminor Proceedings. On 15 January 2016, 405 additional shareholders of the Arco entities joined the Deminor Proceedings, resulting in a total of 2,169 plaintiffs. On 16 November 2020, a further "Deminor" procedure was initiated, in which all plaintiffs except one joined, to anticipate a possible nullity of the original summons. The content of the two proceedings is identical. As a result, they will be treated together.

The plaintiffs have requested that the Brussels Court rule, among other things:

- in first order, that the agreements by virtue of which they became shareholders of the relevant Arco entities are null and void as a consequence of an alleged defect in consent;
- that the defendants should therefore, in solidum, reimburse the plaintiffs their financial contribution in these entities plus interest;
- in the alternative, a compensation is asked to Belfius Bank for an alleged violation of the information duty; and
- that the defendants are liable for certain additional damages to the plaintiffs.

The financial contribution of the 2,169 plaintiffs for which reimbursement is sought amounted to approximately EUR 6.5 million (principal amount) as at the date of this Report. The plaintiffs' claims in the Deminor Proceedings are based on allegations of fraud and/or error on the part of the Arco entities and Belfius Bank. In the alternative, the plaintiffs have argued that Belfius Bank breached its general duty of care as a normal and prudent banker. In relation to Belfius Bank, the plaintiffs have referred to certain letters and brochures allegedly containing misleading information issued by the predecessors of Belfius Bank. The Belgian State, DRS Belgium (Deminor) and the Chairman of the Management Board of the Arco entities are also defendants in the proceedings before the Commercial Court of Brussels. In the meantime, the VZW Arcoclaim also intervenes in this litigation procedure (on grounds of an alleged transfer of claim by one of the plaintiffs/shareholders). On 1 February 2021, Belfius Bank submitted its final legal briefs. The case will normally be pleaded during several pleading sessions in June 2021.

→ Furthermore, on 7 February 2018, 2 cooperative shareholders summoned the Belgian State before the Court of First Instance of Brussels because they state that the Belgian State has made a fault by promising and introducing a guarantee scheme for shareholders of financial cooperative companies (like the Arco cooperative shareholders) which has been considered illicit state aid by the European Commission. These 2 plaintiffs also summoned Belfius Bank on 8 February 2018 to intervene in this procedure and claim compensation from Belfius Bank because they consider that Belfius Bank erred in the sale of the Arco shares. Groups of Arco-shareholders organized themselves via social media to mobilize other Arco shareholders to become claimant in this procedure, and to the knowledge of Belfius, as of end June 2020, approximately 5,380 Arco shareholders did so. The VZW Arcoclaim also intervenes in this litigation procedure. There is not yet a pleading calendar in this case.

No provision has been made for these claims because Belfius Bank is of the opinion that it has sufficient valid arguments to result in these claims being declared inadmissible and/or without merit.

3. Funding Loss

Belfius Bank is facing some legal actions regarding the issue of indemnities charged for funding losses incurred by the Bank. The latter are charged to professional clients in the case of early repayment of professional credits. These indemnities are calculated in line with the current legal dispositions and the contractual framework of such credits to reflect the financial losses that are actually incurred by the Bank in the case of early repayment of a professional credit. Belfius booked provisions to cover the potential adverse outcome of litigation proceedings. These provisions are reassessed on an ongoing basis, taking into account the evolution of Belgian case law.

4. Investigations into Panama Papers

These paragraphs are mentioned for completeness only, although the matters below do not comprise a litigation. On 5 December 2017, a police search under the lead of an examining magistrate of Brussels (onderzoeksrechter/juge d'instruction) took place at Belfius Bank's head office in the framework of the Belgian "Panama Papers" Parliamentary Commission. The Bank was investigated as a witness and has not been accused of any wrongdoing. The scope of the investigation is to establish whether there are any violations of anti-money laundering obligations and to investigate the link between Belfius Bank (or its predecessors), and, amongst others, Experta and Dexia Banque Internationale à Luxembourg (i.e. former entities of the Dexia group).

To date, Belfius Bank did not receive any further information since the above mentioned police search.

5. Investigation by public prosecutor into the activities of an independent bank agency

Public prosecution has been initiated, a.o. against Belfius Bank, for its alleged role in potential fraudulent activities that would have been conducted with the assistance of a director of an independent bank agency of Belfius Bank in violation of several (banking) regulations.

After a first consultation of the criminal file early January 2021, Belfius continues to believe that it has sufficient valid arguments to result in these claims being declared inadmissible and/or without merit.

No provision has been booked for this case.

Declaration of transparency

Transparency requirements in relation to information about issuers whose securities are admitted to trading on a regulated market.

Pursuant to Directive 2004/109/EC on the harmonisation of transparency requirements in relation to information about issuers whose securities are admitted to trading on a regulated market (referred to below as the “Transparency Directive”) and to Directive 2007/14/ EC of 8 March 2007 laying down detailed rules for the implementation of certain provisions of the Transparency Directive, Belfius Bank has chosen Luxembourg as its Home Member State.

The Transparency Directive has been transposed into Luxembourg law by:

- the Luxembourg law of 11 January 2008 relative to transparency requirements in relation to information about issuers whose securities are admitted to trading on a regulated market;
- the Grand Ducal Regulation of 3 July 2008 officially designating the mechanisms for the central storage of regulated information within the meaning of the law of 11 January 2008; and
- the CSSF Circular No. 08/337 from the Financial Sector Supervisory Commission.

The aforementioned regulation lays down certain requirements regarding information and the publication of data.

Pursuant to article 3(2) of the Luxembourg law relative to transparency requirements incumbent upon the issuers of securities, the Management Board at Belfius Bank states that:

- Belfius Bank has chosen Luxembourg as its Home Member State;
- to the best of its knowledge, the financial statements prepared in accordance with the applicable set of accounting standards give a true and fair view of the assets, liabilities, financial position and the profit or loss of the issuer and of all the undertakings included in the consolidation;
- to the best of its knowledge, the management report includes a fair review of the development and performance of the business and the position of the issuer and all the undertakings included in the consolidation, together with a description of the principal risks and uncertainties that they face.

Country-by-country reporting

Based on article 6a of the Royal Decree dated 23 September 1992, regarding the consolidated financial statements of financial institutions, Belfius discloses the following information on a consolidated basis, split country by country, in which Belfius has an establishment (Branch and or subsidiary).

Countries	Activity	31/12/19			
		Turnover ⁽¹⁾ (In thousands of EUR)	Average FTE ⁽²⁾	Net income(loss) before tax (In thousands of EUR)	Tax (expense) income (In thousands of EUR)
BELGIUM	BANK AND INSURANCE	2,473,184	6,330	906,954	(246,070)
MEMBER STATE		0	0	0	0
Luxembourg	Other financial services and insurance activities	17,338	5	15,849	(4,458)
Ireland	Other financial services and insurance activities	(1,936)	7	(4,793)	(1,379)
TOTAL		2,488,587	6,342	918,010	(251,907)

Countries	Activity	31/12/20			
		Turnover ⁽¹⁾ (In thousands of EUR)	Average FTE ⁽²⁾	Net income(loss) before tax (In thousands of EUR)	Tax (expense) income (In thousands of EUR)
BELGIUM	BANK AND INSURANCE	2,576,041	6,236	642,979	(138,585)
MEMBER STATE		0	0	0	0
Luxembourg	Other financial services and insurance activities	10,450	6	8,897	(2,365)
Ireland	Other financial services and insurance activities	27,157	7	27,108	(6,410)
TOTAL		2,613,649	6,249	678,984	(147,360)

(1) Based on “Income” from the Consolidated statement of income in the Annual report.

(2) Disclosed in the Annual report in the note 7.10 “Staff expense”.

The background of the entire page is an abstract composition. It features bold, expressive brushstrokes in various shades of red and pink, creating a sense of movement and energy. In the lower-left corner, the profile of a woman with long, wavy brown hair is visible, looking downwards. The overall aesthetic is modern and artistic.

Consolidated financial statements

as at 31 December 2020

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Consolidated balance sheet

Assets				
(In thousands of EUR)		Notes	31/12/19	31/12/20
I.	Cash and balances with central banks	5.2.	6,715,928	25,433,799
II.	Loans and advances due from credit institutions	5.3.	16,207,838	11,911,665
	A. Measured at amortised cost		16,207,838	11,911,665
	B. Measured at fair value through other comprehensive income		0	0
	C. Measured at fair value through profit or loss		0	0
III.	Loans and advances	5.4.	94,944,479	98,108,050
	A. Measured at amortised cost		93,391,477	96,811,908
	B. Measured at fair value through other comprehensive income		0	0
	C. Measured at fair value through profit or loss		1,553,002	1,296,142
IV.	Debt securities & equity instruments	5.5.	29,489,565	28,848,865
	A. Measured at amortised cost		22,476,427	22,039,067
	B. Measured at fair value through other comprehensive income		5,257,278	5,170,430
	C. Measured at fair value through profit or loss		1,755,860	1,639,368
V.	Unit linked products insurance activities		3,671,372	3,813,059
VI.	Derivatives	5.6.	13,304,709	12,188,113
VII.	Gain/loss on the hedged item in portfolio hedge of interest rate risk	5.6.	4,881,797	4,631,922
VIII.	Investments in equity method companies	5.7.	64,124	98,880
IX.	Tangible fixed assets	5.8.	1,215,355	1,189,898
X.	Intangible assets	5.9.	206,384	195,833
XI.	Goodwill	5.10.	103,966	103,966
XII.	Tax assets	5.11.	338,443	403,390
	A. Current tax assets		53,723	33,622
	B. Deferred tax assets		284,720	369,769
XIII.	Technical insurance provisions - part of the reinsurer	6.5.	108,074	107,075
XIV.	Other assets	5.12.	1,163,606	931,216
XV.	Non current assets (disposal group) held for sale and discontinued operations	5.13.	23,826	25,700
TOTAL ASSETS			172,439,465	187,991,433

The notes on pages 207 to 343 are an integral part of the consolidated annual financial statements.

Liabilities (In thousands of EUR)		Notes	31/12/19	31/12/20
I.	Cash and balances from central banks	6.1	4,016,777	14,173,519
II.	Credit institutions borrowings and deposits	6.2	5,819,363	5,008,193
	A. Measured at amortised cost		5,819,363	5,008,193
	B. Measured at fair value through profit or loss		0	0
III.	Borrowings and deposits	6.3	85,449,910	95,337,975
	A. Measured at amortised cost		85,397,137	95,286,940
	B. Measured at fair value through profit or loss		52,773	51,036
IV.	Debt securities issued and other financial liabilities	6.4	27,654,505	24,402,198
	A. Measured at amortised cost		19,341,686	16,068,804
	B. Measured at fair value through profit or loss		8,312,819	8,333,394
V.	Unit linked products insurance activities		3,671,372	3,813,059
VI.	Derivatives	5.6	18,630,116	18,310,156
VII.	Gain/loss on the hedged item in portfolio hedge of interest rate risk	5.6	262,708	373,447
VIII.	Provisions for insurance activities	6.5	13,180,229	12,659,377
IX.	Provisions and contingent liabilities	6.6	517,345	624,107
X.	Subordinated debts	6.7	1,157,266	1,150,681
	A. Measured at amortised cost		1,157,266	1,150,681
	B. Measured at fair value through profit or loss		0	0
XI.	Tax liabilities	5.11.	136,648	84,660
	A. Current tax liabilities		81,540	68,470
	B. Deferred tax liabilities		55,108	16,190
XII.	Other liabilities	6.8.	1,437,224	1,320,664
XIII.	Liabilities included in disposal group and discontinued operations		0	0
TOTAL LIABILITIES			161,933,465	177,258,036

Equity (In thousands of EUR)		Notes	31/12/19	31/12/20
XIV.	Subscribed capital		3,458,066	3,458,066
XV.	Additional paid-in capital		209,232	209,232
XVI.	Treasury shares		0	0
XVII.	Reserves and retained earnings ⁽¹⁾		5,013,573	5,616,576
XVIII.	Net income for the period		667,496	531,615
CORE SHAREHOLDERS' EQUITY			9,348,367	9,815,490
XIX.	Fair value changes of debt instruments measured at fair value through other comprehensive income		336,856	213,853
XX.	Fair value changes of equity instruments measured at fair value through other comprehensive income		262,716	121,161
XXI.	Fair value changes due to own credit risk on financial liabilities designated as at fair value through profit or loss to be presented in other comprehensive income		0	0
XXII.	Fair value changes of derivatives following cash flow hedging		(81,709)	(68,761)
XXIII.	Remeasurement pension plans		84,319	69,161
XXIV.	Discretionary participation features of insurance contracts	6.5.	33,212	57,552
XXV.	Other reserves		212	208
GAINS AND LOSSES NOT RECOGNISED IN THE STATEMENT OF INCOME			635,605	393,173
TOTAL SHAREHOLDERS' EQUITY			9,983,972	10,208,663
XXVI.	Additional Tier-1 instruments included in equity		497,083	497,083
XXVII.	Non-controlling interests		24,945	27,651
TOTAL EQUITY			10,506,000	10,733,397
TOTAL LIABILITIES AND EQUITY			172,439,465	187,991,433

(1) Reserves include amongst other statutory and available reserves.

The notes on pages 207 to 343 are an integral part of the consolidated annual financial statements.

Consolidated statement of income

(In thousands of EUR)		Notes	31/12/19	31/12/20
I.	Interest income	7.1.	3,441,636	3,352,799
II.	Interest expense	7.1.	(1,541,463)	(1,361,293)
III.	Dividend income	7.2.	70,279	50,265
IV.	Net income from equity method companies	7.3.	4,918	4,848
V.	Net income from financial instruments at fair value through profit or loss	7.4.	96,148	24,086
VI.	Net income on investments and liabilities	7.5.	53,190	54,517
VII.	Fee and commission income	7.6.	756,445	810,261
VIII.	Fee and commission expenses	7.6.	(176,873)	(169,319)
IX.	Technical result from insurance activities	7.7.	(19,975)	67,851
	A. Gross earned premiums		1,463,046	1,475,214
	B. Other technical income and charges		(1,483,021)	(1,407,363)
X.	Other income	7.8.	216,569	217,989
XI.	Other expenses	7.9.	(412,287)	(438,356)
INCOME			2,488,587	2,613,649
XII.	Staff expenses	7.10.	(636,777)	(630,182)
XIII.	General and administrative expenses	7.11.	(488,519)	(471,136)
XIV.	Network costs		(212,174)	(211,417)
XV.	Depreciation and amortisation of fixed assets	7.12.	(114,909)	(152,184)
EXPENSES			(1,452,379)	(1,464,919)
GROSS INCOME			1,036,208	1,148,730
XVI.	Impairments on financial instruments and provisions for credit commitments	7.13.	(111,438)	(453,133)
XVII.	Impairments on tangible and intangible assets	7.14.	(6,761)	(16,614)
XVIII.	Impairments on goodwill	7.15.	0	0
NET INCOME BEFORE TAX			918,010	678,984
XIX.	Current tax (expense) income	7.16.	(210,116)	(228,428)
XX.	Deferred tax (expense) income	7.16.	(41,791)	81,069
TOTAL TAX (EXPENSE) INCOME			(251,907)	(147,360)
NET INCOME AFTER TAX			666,103	531,624
XXI.	Discontinued operations (net of tax)		0	0
NET INCOME			666,103	531,624
Attributable to non-controlling interests			(1,393)	9
Attributable to equity holders of the parent			667,496	531,615

The notes on pages 207 to 343 are an integral part of the consolidated annual financial statements.

Consolidated statement of comprehensive income

	31/12/19		
	Before-tax amount	Tax (expense) income	Net-of-tax amount
(In thousands of EUR)			
RESULT RECOGNISED IN THE STATEMENT OF INCOME	918,010	(251,907)	666,103
OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS			
Fair value changes of equity instruments measured at fair value through other comprehensive income	214,095	(21,645)	192,450
Remeasurement pension plans	56,285	(14,136)	42,149
Other movements	0	0	0
TOTAL OF OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS	270,380	(35,781)	234,599
OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS			
Fair value changes of debt instruments measured at fair value through other comprehensive income	136,055	(17,762)	118,293
Gains (losses) on cash flow hedges	(125,429)	30,041	(95,388)
Discretionary participation features of insurance contracts	(10,918)	2,280	(8,638)
TOTAL OF OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS	(291)	14,559	14,267
OTHER COMPREHENSIVE INCOME	270,088	(21,222)	248,866
TOTAL COMPREHENSIVE INCOME⁽¹⁾	1,188,098	(273,129)	914,969
Attributable to equity holders of the parent	1,184,650	(273,080)	911,571
Attributable to non-controlling interests	3,448	(49)	3,398

(1) Total comprehensive income includes EUR -4.5 million (of which no share attributable to non-controlling interests) of transfers to retained earnings due to the sale of equity instruments irrevocably measured through other comprehensive income. Note that the tax impact amounts to EUR 0, resulting in a total of other comprehensive income that will not be reclassified to profit or loss of EUR 239.1 million, other comprehensive income of EUR 253.4 million and a total comprehensive income of EUR 919.5 million excluding this effect as it concerns a direct entry to retained earnings. In the table above, the amounts shown reflect the OCI movement of the year on the balance sheet including the effect of the transfer to retained earnings due to the sale of equity instruments during the year.

The notes on pages 207 to 343 are an integral part of the consolidated annual financial statements.

	31/12/20		
	Before-tax amount	Tax (expense) income	Net-of-tax amount
(In thousands of EUR)			
RESULT RECOGNISED IN THE STATEMENT OF INCOME	678,984	(147,360)	531,624
OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS			
Fair value changes of equity instruments measured at fair value through other comprehensive income ⁽¹⁾	(144,472)	6,933	(137,539)
Remeasurement pension plans ⁽²⁾	(20,211)	5,053	(15,158)
Other movements	(5)	0	(5)
TOTAL OF OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS	(164,687)	11,986	(152,701)
OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS			
Fair value changes of debt instruments measured at fair value through other comprehensive income ⁽³⁾	(161,259)	38,212	(123,047)
Gains (losses) on cash flow hedges ⁽⁴⁾	18,945	(5,997)	12,948
Discretionary participation features of insurance contracts ⁽⁵⁾	25,722	(1,382)	24,340
TOTAL OF OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS	(116,591)	30,832	(85,759)
OTHER COMPREHENSIVE INCOME	(281,279)	42,818	(238,461)
TOTAL COMPREHENSIVE INCOME⁽⁶⁾	397,705	(104,542)	293,164
Attributable to equity holders of the parent	393,851	(104,668)	289,183
Attributable to non-controlling interests ⁽⁷⁾	3,855	126	3,981

(1) The fair value of equity instruments measured at fair value through other comprehensive income decreased with EUR 142 million, 53.9%, to EUR 121 million (31 December 2019: EUR 263 million), due to declining stock markets following the Covid-19 pandemic and the transfer in application of shadow accounting of EUR 66 million (after tax), partially offset by some disposals with a realised loss.

(2) The remeasurement of defined benefit plans decreased by EUR 15 million, or 18.0%, to EUR 69 million (31 December 2019: EUR 84 million), due mainly to the effect of a decrease in the discount rate, partially compensated by the positive return on plan assets.

(3) The fair value of debt instruments measured at fair value through other comprehensive income decreased with EUR 123 million, 36.5%, to EUR 214 million (31 December 2019: EUR 337 million) and stems from higher credit spreads and realised gains resulting from disposals by Belfius Insurance as well as the recognition in application of shadow accounting of EUR 170 million (after tax), partially offset by lower interest rates compared to last year.

(4) Gains (losses) on cash flow hedges increased with EUR 13 million to EUR -69 million (31 December 2019: EUR -82 million), mainly due to the changes in basis spreads on derivative positions in GBP and USD.

(5) The discretionary participation feature of insurance contracts increased with EUR 24 million, 73.3%, to EUR 58 million (31 December 2019: EUR 33 million). The total amount of future profit sharing amounts to EUR 156 million. An amount of EUR 84 million was recorded through the statement of income compared to EUR 103 million at year-end 2019. The remaining EUR 58 million (after tax) is accounted via equity.

(6) Total comprehensive income includes EUR 51.8 million (of which EUR 0.1 million attributable to non-controlling interests) of transfers to retained earnings due to the sale of equity instruments irrevocably measured through other comprehensive income. Note that the tax impact amounts to EUR 0, resulting in a total of other comprehensive income that will not be reclassified to profit or loss of EUR -204.5 million, other comprehensive income of EUR -290.3 million and a total comprehensive income of EUR 241.3 million excluding this effect as it concerns a direct entry to retained earnings. In the table above, the amounts shown reflect the OCI movement of the year on the balance sheet including the effect of the transfer to retained earnings due to the sale of equity instruments during the year.

(7) The non-controlling interests are mainly related to the minority stakes in Capline, Jaimy and Jane.

Gains and losses not recognised in the statement of income decreased by EUR 242 million, 38.1%, to EUR 393 million (31 December 2019: EUR 636 million). The contribution of the Belfius Banking Group amounted to EUR 47 million (decrease of EUR 15 million compared to 2019) and the Belfius Insurance Group to EUR 346 million (decrease of EUR 227 million compared to 2019).

Net income before tax decreased by EUR 239 million, or 26.0%, to EUR 679 million (31 December 2019: EUR 918 million). Belfius Banking Group contributed EUR 400 million (31 December 2019: EUR 642 million) and Belfius Insurance Group contributed EUR 279 million (31 December 2019: EUR 276 million).

The 2020 result was strongly affected by the Covid-19 outbreak. Impairments on financial instruments and provision for credit commitments recognised in the statement of income increased by EUR 342 million resulting from the new downward macro economic situation parameters as well as certain management overlays for specific risk pockets.

Despite the pressure of the lower interest rate environment, net interest income increased, mainly due to higher volumes in commercial assets combined with a strict pricing discipline. The insurance results improved due to the technical result from insurance activities Life, supported by solid ALM results and a decrease in the frequency of claims. Commission income evolved positively, mainly in asset management and insurance, thus demonstrating, in this difficult context, the resilience with its bankinsurance model.

The notes on pages 207 to 343 are an integral part of the consolidated financial statements.

Consolidated statement of changes in equity

1. 2019

(In thousands of EUR)	2018	Movements of the period	2019
Core shareholders' equity	9,054,891	293,475	9,348,367
Gains and losses not recognised in the statement of income	391,530	244,075	635,605
Additional Tier-1 instruments included in equity	497,083	0	497,083
Non-controlling interests	16,118	8,826	24,945
TOTAL EQUITY	9,959,623	546,377	10,506,000

The changes in the different categories of equity are disclosed in more detail in the tables below.

Core shareholders' equity (In thousands of EUR)	Subscribed capital	Additional paid-in capital	Reserves and retained earnings	Net income for the period	Core shareholders' equity
AS AT 31 DECEMBER 2018	3,458,066	209,232	4,738,565	649,028	9,054,891
Movements of the period					
Transfers to reserves	0	0	649,028	(649,028)	0
Dividends ⁽¹⁾	0	0	(263,000)	0	(263,000)
Dividends Additional Tier 1	0	0	(12,764)	0	(12,764)
Interim dividend ⁽¹⁾	0	0	(100,000)	0	(100,000)
Variation of scope of consolidation	0	0	16	0	16
Other movements ⁽²⁾	0	0	(2,809)	0	(2,809)
Net income for the period	0	0	0	667,496	667,496
Transfers from other comprehensive income due to sale of equity instruments	0	0	4,537	0	4,537
AS AT 31 DECEMBER 2019	3,458,066	209,232	5,013,573	667,496	9,348,367

(1) Belfius paid a dividend of EUR 263 million in April 2019 from the 2018 results, as well as an interim dividend of EUR 100 million in August 2019 from the 2019 results.

(2) Other movements relate to the first-time application IFRS 16. Refer to note 3 "Accounting principles".

Gains and losses not recognised in the statement of income	Other comprehensive income that may be reclassified to profit or loss			Other comprehensive income that will not be reclassified to profit and loss			Total gains and losses not recognised in profit and loss - Group share
	Fair value changes of debt instruments measured at fair value through other comprehensive income	Gains (losses) on cash flow hedges	Discretionary participation features of insurance contracts ⁽¹⁾	Unrealised result of property revaluation	Fair value changes of equity instruments measured at fair value through other comprehensive income ⁽²⁾	Remeasurement pension plans	
(In thousands of EUR)							
AS AT 31 DECEMBER 2018	218,588	13,679	41,850	212	75,031	42,170	391,530
Movements of the period							
Net change in fair value through other comprehensive income - debt instruments ⁽³⁾	184,015	0	(8,638)	0	0	0	175,377
Transfer to income due to impairments - debt instruments	(37)	0	0	0	0	0	(37)
Transfer to income due to disposals - debt instruments ⁽⁴⁾	(58,376)	0	0	0	0	0	(58,376)
Net change in fair value through other comprehensive income - equity instruments	0	0	0	0	189,759	0	189,759
Net change in fair value through equity - derivatives - hedging reserve ⁽⁵⁾	0	(95,409)	0	0	0	0	(95,409)
Net change in cash flow hedge reserve due to transfers to income	0	21	0	0	0	0	21
Transfers to technical provisions of insurance companies ⁽⁶⁾	(7,335)	0	0	0	2,916	0	(4,419)
Remeasurement pension plans ⁽⁷⁾	0	0	0	0	0	42,149	42,149
Transfers to retained earnings due to sale of equity instruments irrevocably measured through other comprehensive income	0	0	0	0	(4,537)	0	(4,537)
Transfers	0	0	0	0	(453)	0	(453)
AS AT 31 DECEMBER 2019	336,856	(81,709)	33,212	212	262,716	84,319	635,605

(1) Discretionary beneficiary participation is a contractual, but conditional entitlement to receive additional profits over and above a guaranteed return on insurance contracts (life). The discretionary participation feature of insurance contracts decreased to EUR 33 million as at 31 December 2019 stemming from lower volumes of insurance contracts that, in accordance with the profit-sharing plan, may give rise to a discretionary participation right in the future.

(2) The fair value of equity instruments measured at fair value through other comprehensive income increased with EUR 190 million due to market movement.

(3) The fair value of debt instruments measured at fair value through other comprehensive income increased with EUR 184 million. This positive movement stems from lower credit spreads and lower interest rates compared to end 2018.

(4) The fair value of debt instruments measured at fair value through other comprehensive income decreased with EUR 58 million resulting from sales within Belfius Insurance.

(5) Gains (losses) on cash flow hedges decreased with EUR 95 million mainly due to evolution of basis risk on derivative positions in GBP and USD.

(6) These transfers concern amounts after tax following the application of Shadow Accounting on segregated accounts, whereby part of the unrealised profits from financial assets measured at fair value through other comprehensive income is used as cover value for the payments of the obligations for insurance contracts and is therefore transferred to the technical reserves for insurance contracts.

(7) The remeasurement of defined benefit plans increased with EUR 42 million compared to year end 2018 mainly due to the positive return on plan assets and the remeasurement of a pension plan for which Belfius is now informed again of the fair value of the underlying asset portfolio of the segregated fund and change in pension plans parameters. These increases were partially offset by a lower discount curve compared to end 2018.

The notes on pages 23 to ##PRE<SecuritEN> are an integral part of the consolidated annual financial statements.

Additional Tier-1 instruments included in equity

(In thousands of EUR)

AS AT 31 DECEMBER 2018	497,083
Movements of the period	
Issuance of Additional Tier-1 instruments	0
AS AT 31 DECEMBER 2019	497,083

Non-controlling interests	Core shareholders' equity	Gains and losses not recognised in the statement of income	Non-controlling interests
(In thousands of EUR)			
AS AT 31 DECEMBER 2018	14,326	1,792	16,118
Movements of the period			
Dividends	(483)	0	(483)
Net income for the period	(1,393)	0	(1,393)
Net change in fair value through equity	0	4,791	4,791
Transfer to income due to impairments - debt instruments	0	(1)	(1)
Variation of scope of consolidation	10	0	10
Other movements ⁽¹⁾	5,901	0	5,901
AS AT 31 DECEMBER 2019	18,361	6,583	24,945

(1) Other movements relate to third party capital increases in the companies Jaimy (EUR 2.5 million) and Jane (EUR 3.4 million). Refer to note 10.1.

The non-controlling interests are mainly related to the minority stake within Capline, Jaimy and Jane.

2. 2020

(In thousands of EUR)	2019	Movements of the period	2020
Core shareholders' equity	9,348,367	467,123	9,815,490
Gains and losses not recognised in the statement of income	635,605	(242,432)	393,173
Additional Tier-1 instruments included in equity	497,083	0	497,083
Non-controlling interests	24,945	2,707	27,651
TOTAL EQUITY	10,506,000	227,397	10,733,397

The changes in the different categories of equity are disclosed in more detail in the tables below.

Core shareholders' equity	Subscribed capital	Additional paid-in capital	Reserves and retained earnings	Net income for the period	Core shareholders' equity
(In thousands of EUR)					
AS AT 31 DECEMBER 2019	3,458,066	209,232	5,013,573	667,496	9,348,367
Movements of the period					
Transfers to reserves	0	0	667,496	(667,496)	0
Dividends ⁽¹⁾	0	0	0	0	0
Dividends Additional Tier 1	0	0	(13,594)	0	(13,594)
Variation of scope of consolidation ⁽²⁾	0	0	864	0	864
Other movements	0	0	5	0	5
Net income for the period	0	0	0	531,615	531,615
Transfers from other comprehensive income due to sale of equity instruments	0	0	(51,767)	0	(51,767)
AS AT 31 DECEMBER 2020	3,458,066	209,232	5,616,576	531,615	9,815,490

(1) Note that following the Covid-19 pandemic, the Board of Directors decided not to pay out any ordinary dividend over the result of 2019 (beyond the interim dividend of EUR 100 million already paid in August 2019), in line with the recommendation of the ECB.

(2) Variations in the scope of consolidation relate to variations in our shareholding in Jane (EUR 0.2 million), Jaimy (EUR 0.5 million) and M80 (EUR 0.2 million).

Gains and losses not recognised in the statement of income	Other comprehensive income that may be reclassified to profit or loss			Other comprehensive income that will not be reclassified to profit and loss			Total gains and losses not recognised in profit and loss - Group share
	Fair value changes of debt instruments measured at fair value through other comprehensive income	Gains (losses) on cash flow hedges	Discretionary participation features of insurance contracts ⁽¹⁾	Unrealised result of property revaluation	Fair value changes of equity instruments measured at fair value through other comprehensive income ⁽²⁾	Remeasurement pension plans	
(In thousands of EUR)							
AS AT 31 DECEMBER 2019	336,856	(81,709)	33,212	212	262,716	84,319	635,605
Movements of the period							
Net change in fair value through other comprehensive income - debt instruments ⁽³⁾	81,939	0	24,340	0	0	0	106,279
Transfer to income due to impairments - debt instruments ⁽⁴⁾	568	0	0	0	0	0	568
Transfer to income due to disposals - debt instruments ⁽⁵⁾	(17,318)	0	0	0	0	0	(17,318)
Net change in fair value through other comprehensive income - equity instruments	0	0	0	0	(113,793)	0	(113,793)
Net change in fair value through equity - derivatives - hedging reserve ⁽⁴⁾	0	13,019	0	0	0	0	13,019
Net change in cash flow hedge reserve due to transfers to income	0	(71)	0	0	0	0	(71)
Transfers to technical provisions of insurance companies ⁽⁶⁾	(188,192)	0	0	0	(79,529)	0	(267,721)
Remeasurement pension plans ⁽⁷⁾	0	0	0	0	0	(15,158)	(15,158)
Transfers to retained earnings due to sale of equity instruments irrevocably measured through other comprehensive income	0	0	0	0	51,767	0	51,767
Transfers	0	0	0	(5)	0	0	(5)
AS AT 31 DECEMBER 2020	213,853	(68,761)	57,552	208	121,161	69,161	393,173

(1) Discretionary beneficiary participation is a contractual, but conditional entitlement to receive additional profits over and above a guaranteed return on insurance contracts (life). The discretionary participation feature of insurance contracts increased with EUR 24 million, 73.3%, to EUR 58 million (31 December 2019: EUR 33 million). The total amount of future profit sharing amounts to EUR 156 million. An amount of EUR 84 million was recorded through the statement of income compared to EUR 103 million at year-end 2019. The remaining EUR 58 million (after tax) is accounted via equity.

(2) The fair value of equity instruments measured at fair value through other comprehensive income decreased with EUR 142 million, 53.9%, to EUR 121 million (31 December 2019: EUR 263 million), due to declining stock markets following the Covid-19 pandemic, partially offset by some disposals with a realised loss. Transfers to retained earnings due to realised losses of equity instruments irrevocably measured through other comprehensive income amounted to EUR 52 million.

(3) The fair value of debt instruments measured at fair value through other comprehensive income increased with EUR 82 million stemming from higher credit spreads, partially offset by lower interest rates compared to last year.

(4) Gains (losses) on cash flow hedges increased with EUR 13 million to EUR -69 million (31 December 2019: EUR -82 million), mainly due to the changes in basis spreads on derivative positions in GBP and USD.

(5) The fair value of debt instruments measured at fair value through other comprehensive income decreased with EUR 17 million as a result of disposals by Belfius Insurance.

(6) These transfers concern amounts after tax following the application of shadow accounting (EUR 37 million) and the recognition of a shadow loss adjustment (EUR 236 million), whereby part of the unrecognized unrealised gains on financial assets not measured at fair value (f.e. bonds in hold to collect strategy, loans, etc) and recognized unrealised gains on financial assets measured at fair value through other comprehensive income are used as cover value for the payments of the obligations for insurance contracts and if need be, part of the latter are transferred to the technical reserves for insurance contracts, through shadow accounting. More specifically, Belfius compares the difference between a best estimate of its technical provisions and the initially recognized technical provisions, increased with the recognized unrealised gains on financial assets measured at fair value through other comprehensive income and the unrecognized unrealized gains on its financial assets that are not measured at fair value. If there are insufficient unrealized gains on financial assets not measured at fair value to offset the gap between a best estimate and the initially recognized technical provisions, a reclassification is performed from recognized unrealized gains in OCI towards the technical reserve. If there would be insufficient recognized unrealised gains in OCI, the remainder would be provisioned for via P&L.

In 2020, following low interest rate environment, the gap between the best estimate and recognized technical provisions increased more than the unrecognized unrealized gains on the financial assets not measured at fair value due to some negative impacts on these fair values from (i) increased credit risk, (ii) further refinements of some fair value models and (iii) the duration gap between covering assets and liabilities (albeit below 1 year). Belfius has recognized EUR -188 million shadow accounting on the life (OCI) bond portfolio and EUR -79.5 million on the life (OCI) equity portfolio based on a proportional allocation in function of the total OCI reserve of the underlying assets.

(7) The remeasurement of defined benefit plans decreased with EUR 15 million, 18.0%, to EUR 69 million (31 December 2019: EUR 84 million), mainly due to the effect of a decrease of the discount rate, partially compensated by the positive return on plan assets.

The notes on pages 207 to 343 are an integral part of the consolidated annual financial statements.

Additional Tier-1 instruments included in equity

(In thousands of EUR)

AS AT 31 DECEMBER 2019	497,083
Movements of the period	
Issuance of Additional Tier-1 instruments	0
AS AT 31 DECEMBER 2020	497,083

Non-controlling interests

(In thousands of EUR)

	Core shareholders' equity	Gains and losses not recognised in the statement of income	Non-controlling interests
AS AT 31 DECEMBER 2019	18,361	6,583	24,945
Movements of the period			
Dividends	(501)	0	(501)
Net income for the period	9	0	9
Net change in fair value through equity	0	3,908	3,908
Transfer to income due to disposals - debt instruments	0	62	62
Variation of scope of consolidation ⁽¹⁾	(1,383)	0	(1,383)
Other movements ⁽²⁾	610	2	612
AS AT 31 DECEMBER 2020	17,096	10,555	27,651

(1) Variations in the scope of consolidation relate to variations of the shareholding in Jane (EUR 0.6 million) and Jaimy (EUR 0.8 million).

(2) Other movements mainly relate to the net income attributable to non-controlling interests in Capline, Jaimy and Jane.

Equity	31/12/19	31/12/20
BY CATEGORY OF SHARE		
Number of shares authorised and not issued	0	0
Number of shares issued and fully paid	359,412,616	359,412,616
Number of shares issued and not fully paid	0	0
Earnings per share (EUR)		
Ordinary	1.86	1.48
Diluted	1.86	1.48
NOMINAL VALUE PER SHARE	no nominal value	no nominal value
Outstanding as at 1 January	359,412,616	359,412,616
Number of shares issued	0	0
Number of shares cancelled	0	0
Outstanding as at 31 December	359,412,616	359,412,616
Rights, preferences and restrictions, including restrictions on the distribution of dividends and the repayment of capital	0	0
Number of treasury shares	0	0
Number of shares reserved for issue under stock options and contracts for the sale of share	0	0

Refer to the Capital Management chapter of the Management Report for further information on the changes of regulatory own funds and the solvency of Belfius.

Shared-based payments

There are no option plans with Belfius shares as underlying asset.

The notes on pages 207 to 343 are an integral part of the consolidated annual financial statements.

Consolidated cash flow statement

Belfius uses the indirect method for the cash flow statement. The presentation of this statement begins with net income, with sub-

sequent additions to and deductions from that amount for non-cash items, resulting in net cash provided by operating activities.

(In thousands of EUR)	31/12/19	31/12/20
CASH FLOW FROM OPERATING ACTIVITIES		
Net income attributable to equity holders of the parent	667,496	531,615
Net income attributable to non-controlling interests	(1,393)	9
ADJUSTMENT FOR NON CASH ITEMS	44,985	486,768
Depreciation, amortisation and other impairment	142,254	193,164
Impairment on bonds, loans and other assets ⁽¹⁾	20,905	299,486
Net (gains) or losses on investments	(2,879)	(42,052)
Net (gains) or losses on tangible & intangible assets	(2,879)	(41,619)
Net (gains) or losses on consolidated shares & equity method companies	0	(433)
Increase / (decrease) of provisions (mainly insurance provision) ⁽¹⁾	(29,180)	89,243
Unrealised (gains) or losses ⁽²⁾	(125,403)	30,679
Net unrealised gains from cash flow hedges and discontinuations	2	(60)
Income from equity method companies	(4,918)	(4,848)
Dividends from equity method companies	2,412	2,225
Deferred taxes	41,791	(81,069)
Deferred tax income	(47,840)	(147,077)
Deferred tax charges	89,631	66,008
CHANGES IN OPERATING ASSETS	(4,929,617)	(1,836,229)
Loans and advances due from credit institutions	(553,684)	(284,209)
Loans and advances	(3,829,130)	(3,483,807)
Debt securities and equity instruments	(425,311)	1,370,358
Assets from insurance companies	20,365	(10,031)
Tax asset	10,889	18,804
Accrued income from financial assets	53,890	305,226
Other assets	(205,656)	247,812
Assets held for sale-other assets	(981)	(382)
CHANGES IN OPERATING LIABILITIES	5,721,009	14,748,543
Balances from central banks ⁽³⁾	30,839	10,219,162
Loans and advances due to credit institutions	(46,888)	(810,449)
Customer borrowings and deposits	5,775,277	9,864,322
Debt securities and other financial liabilities	908,672	(3,125,824)
Technical provisions of insurance companies	(743,407)	(832,825)
Provisions and contingent liabilities	0	(66)
Tax liabilities	32,372	(13,890)
Accrued expenses on financial instruments	(165,540)	(462,160)
Other liabilities specific to insurance companies	(5,007)	2,496
Other liabilities	(65,309)	(92,223)
OTHER OPERATING FLOWS⁽⁴⁾	(275,323)	(668,298)
DERIVATIVES	231,171	990,277
NET CASH PROVIDED (USED) BY OPERATING ACTIVITIES	1,458,328	14,252,685

(1) Belfius has performed pro forma figures for 31 December 2019 following refinement of the presentation between lines "Impairment on bonds, loans and other assets" and "Increase / (decrease) of provisions (mainly insurance provision)", the total adjustment for non cash items did not change.

(2) This line item represents the fair value adjustments on financial instruments at fair value through profit or loss.

(3) Belfius drew from TLTRO III in 2020 for EUR 11.5 billion.

(4) Other operating flows include adjustments for non cash items and mainly consist of fair value adjustments.

The notes on pages 207 to 343 are an integral part of the consolidated annual financial statements.

(In thousands of EUR)	31/12/19	31/12/20
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of fixed assets	(263,828)	(153,534)
Sales of fixed assets	27,673	76,252
Acquisitions of unconsolidated equity shares	(150,767)	(307,623)
Sale of unconsolidated equity shares ⁽¹⁾	256,561	327,846
Acquisitions of subsidiaries and of business units ⁽²⁾	(4,127)	(25,546)
Sale of subsidiaries and of business units	0	433
NET CASH PROVIDED (USED) BY INVESTING ACTIVITIES	(134,489)	(82,172)
CASH FLOW FROM FINANCING ACTIVITIES		
Issuance of new shares ⁽³⁾	5,930	0
Issuance of subordinated debts ⁽⁴⁾	168,905	0
Reimbursement of subordinated debts ⁽⁴⁾	(234,905)	0
Dividends paid ⁽⁵⁾	(376,246)	(14,095)
NET CASH PROVIDED (USED) BY FINANCING ACTIVITIES	(436,317)	(14,095)
NET CASH PROVIDED	887,522	14,156,418
of which cash outflow for leases	(6,085)	(6,066)
CASH AND CASH EQUIVALENT AT THE BEGINNING OF THE PERIOD	10,838,068	11,725,894
Cash flow from operating activities	1,458,328	14,252,685
Cash flow from investing activities	(134,489)	(82,172)
Cash flow from financing activities	(436,317)	(14,095)
Effect of exchange rate changes on cash and cash equivalents	304	(413)
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD	11,725,894	25,881,900
ADDITIONAL INFORMATION		
Income tax paid (included in line net cash provided (used) by operating activities)	(159,910)	(221,405)
Dividends received (included in line net cash provided (used) by operating activities)	72,681	52,490
Interest received (included in line net cash provided (used) by operating activities)	3,497,361	3,674,971
Interest paid (included in line net cash provided (used) by operating activities)	(1,712,042)	(1,821,496)

(1) Belfius Insurance disposed equity instruments for risk and ALM purposes.

(2) Belfius Insurance acquired the full control (100%) of following shareholdings: Immo Trèfles in Q4 2019, Immo St Michel in Q1 2020 and Philadelphus in Q2 2020.

(3) In 2019 new shares were issued to third parties in the companies Jaimy (EUR 2.5 million) and Jane (EUR 3.4 million). Refer to note 10.1 for more information.

(4) Subordinated debts amounting to EUR 66 million matured in 2019 and were repaid. In preparation for new regulatory requirements (CRR2) Belfius substituted two debts issued by Belfius Financing Company by Belfius Bank issues, whereby the debt was repaid and reissued for an amount of EUR 165 million.

(5) This line includes the dividend paid to the shareholder in 2019 (EUR 363 million) as well as interest paid on the Additional Tier 1 in 2019 (EUR 13 million) and 2020 (EUR 14 million) which is considered as a dividend under IFRS. Note that following the Covid-19 pandemic, the Board of Directors decided not to pay out any ordinary dividend over the result of 2019 (beyond the interim dividend of EUR 100 million already paid in August 2019), in line with the recommendation of the ECB, therefore there is no dividend paid to the shareholder in 2020.

The increase of the adjustments for non cash items to EUR 487 million is mainly due to the increase in impairments on loans and negative fair-value adjustments, both a result of the impact of the Covid-19 crisis on the economic environment. The operating assets and liabilities increased with EUR 12.9 billion as Belfius drew from TLTRO III in 2020, which was partially deposited at the National Bank of Belgium.

Refer to the Liquidity Risk chapter of the Management Report for a detailed description of the liquidity position. Refer to note 5.1 Cash and cash equivalents.

The notes on pages 207 to 343 are an integral part of the consolidated annual financial statements.

Covid-19 crisis

Since the first months of 2020, the Covid-19 pandemic has massively disrupted the world in many respects, including from a social and economic point of view, on top of its dramatic health impacts.

Belgium has also been severely affected by the Covid-19. The authorities announced, on 17 March 2020, a nationwide lockdown, requesting individuals to stay at home and companies to implement homeworking whenever possible. This lockdown was maintained until the 4th of May. A second lockdown was imposed at the end of October, taking effect early November, to tackle the spike of Covid-19 infections across the country. Since then, the authorities have regularly adapted the measures and restrictions, depending on the evolution of the situation.

Belfius had reacted very early on to the Covid-19 situation by first designing a crisis governance, with daily and weekly crisis Management Board meetings since February 2020, in order to address all key aspects of Belfius' general functioning, including:

- the operational risks, especially for safeguarding the health of our staff and the business continuity of our services towards our customers;
- and the financial risks, including the impacts on the financial markets, on liquidity and solvency, on credit risks and profit & loss accounts.

With regard to the operational aspects, Belfius was fully ready for the successive lockdowns and the subsequent homeworking mode, including from an IT viewpoint. The branch network remained open, although direct interactions were carried out under strict conditions. As expected, the incoming calls (either to the branches or to our call center Belfius Connect) significantly increased during the lockdowns. In addition, customers also shifted a lot of their banking interactions to the digital channels. As an example, the number of investment transactions signed digitally more than doubled from former levels during the Covid-19 crisis.

The Covid-19 pandemic and the subsequent lockdown measures are also having a far-reaching impact on the financial situation of the businesses and individuals across the country. To help mitigate these impacts, the Belgian federal government quickly installed an economic task force responsible for reducing the economic consequences of the Covid-19 virus pandemic leading to two different programmes designed to support the individuals, self-employed and businesses affected by the Covid-19 crisis: a Payment Holiday scheme for different loan types and two Guarantee Schemes for certain new loans.

The deferral of payments for mortgages and non-financial companies was put in place in April 2020 and initially had been expected to last until 31 October 2020. In a second phase, it was decided to extend the support measures until the end of 2020. With the second partial lockdown starting at the end of October a second charter to extend the payment holiday scheme to 31 March 2021 was put in place for households as well as for non-financial companies and self-employed people.

Since the beginning of the Covid-19 crisis, Belfius has fully delivered on its societal role by providing the necessary liquidity and by granting deferred payments for individuals, companies and SMEs in temporary difficulties – and this with an overall contribution materially higher than its market share would have suggested. During 2020:

- 23,879 company loans, in an amount of EUR 4.7 billion, benefited from deferred payments, including renewals on roll-over loans, to corporate and business customers;
- 13,840 leasing contracts of corporate and business customers similarly benefited from deferred payments in an amount of EUR 870 million;
- 424 requests for deferred payments were granted on EUR 400 million of loans to the public sector (mainly the social sector);

- 19,464 requests for deferred payment were granted on EUR 2 billion of mortgage loans under the general Covid-19 scheme, in addition to a contractual payment deferral granted to 8,863 files representing nearly EUR 1 billion;
- Finally, EUR 509 million of new loans were granted under the Belgian State guarantee scheme, to corporate, business, public and social sector customers.

Early 2021, out of the EUR 4.7 billion of loans to corporate and business customers and out of the EUR 3 billion of mortgage loans that were granted moratorium during 2020, EUR 1.1 billion respectively EUR 0.1 billion are still subject to payment holidays. 99% of corporate, business and mortgage loan customers for which the moratorium came to an end, have restarted payments of their formerly deferred amounts.

On the insurance side, Belfius Insurance similarly extended support to its customers, including through the deferred payments of premiums (especially on insurance policies related to mortgage loans) and extended covers (a.o. for health care facility volunteers and for the delivery / take away activity).

As explained in detail further in this report, Belfius was of course not immune to the sharp decline in economic activity, the volatility of the financial markets, the widening of credit spreads and the increased cost of risk. Its 2020 results have been materially impacted, a.o. with following specifically Covid-19 related⁽¹⁾ elements:

- A credit cost of EUR 453 million was booked based on the IFRS 9 expected credit losses analysis, mainly through the related loan Loss Provisioning charge ("cost of risk"). The cost of risk mainly resulted from stage 3 provisioning (for EUR 122 million) and from ex-ante provisioning (stage 1 and stage 2) for EUR 331 million. The latter results from the combination of (i) deteriorated macroeconomic parameters (EUR 124 million), and (ii) expert layers for vulnerable sectors and individually assessed counterparts (EUR 207 million). The current approach is deemed to reflect the expected credit losses in a best estimate way. Yet, the evolution of the pandemic and its economic impacts remain uncertain meaning that figures are subject to upwards or downwards adjustments in coming quarters. It is to be recalled that stage 1 and 2 provisions constitute protection against expected credit losses on files that could enter into a default status. To what extent these stage 1 and 2 provisions will be transformed into stage 3 provisions, covering incurred credit losses on defaulted loans, remains subject to uncertainty. On the other hand, if there would be a significant improvement in macroeconomic environments and/or even more successful government support measures allowing that such currently anticipated transitions to default will not occur, part of the impairments could be reversed over time;
- A modification loss of EUR -9.7 million was accounted for as a result of the payments deferrals granted on mortgages loans for so-called "vulnerable clients", following the moratorium granted on mortgage loans;
- The net income from financial instruments measured at fair value through profit or loss was negatively impacted, following the Covid-19 outbreak, by the negative effect on credit spreads and on equity markets.

For more detailed information on impacts of Covid-19 we refer to the dedicated Financial Results and Risk Management chapters.

(1) This list does not intend to be complete, but rather gives a first high level summary. Moreover, some elements mentioned could also be directly linked to other factors than the Covid-19 crisis, as for instance some migration of loan files to stage 3.

Notes to the consolidated annual financial statements

II. Post balance sheet events

Please find below an overview of non-adjusting events between the balance sheet date (31 December 2020) and the publication of this report.

Dividend

In line with the restrictions on dividend distribution based on the ECB recommendation, the Board of Directors of 25 March 2021 has proposed to the General Assembly of 28 April 2021, to pay an ordinary dividend of EUR 77 million in respect of the accounting year 2020, corresponding to the lower of (a) a pay-out ratio of 15% on the 2020 adjusted net profit and (b) 0.20% of 2020 year-end CET1 ratio. At request of the ECB, Belfius is to retain full discretion to reduce or even cancel the intended distribution beyond 30 September 2021, if the ECB recommendation would be extended or if such intended distribution would not be consistent with the outcome of the 2021 supervisory cycle.

Immovlan

In January 2021 Belfius took a 30% stake in Immovlan. With a 30% stake, Belfius becomes a major shareholder of Immovlan. This participation falls within the framework of a strategic collaboration agreement between Belfius and Immovlan aimed at combining their digital expertise and continuing to diversify their range of services related to residential real estate.

III. Accounting principles on a consolidated basis

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Notes to the financial statements

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

The common used abbreviations below are:

- IASB: International Accounting Standards Board;
- IFRIC: Interpretation issued by the IFRS Interpretations Committee;
- IFRS: International Financial Reporting Standards.

In the following text, "Belfius" refers to "Belfius Bank & Insurance".

The financial statements have been approved by the Board of Directors of Belfius Bank on 25 March 2021.

Accounting policies

1. Basis of accounting

1.1 General

The consolidated financial statements of Belfius have been prepared in accordance with IFRSs as issued by the IASB, including interpretations ("IFRICs") issued by the IFRS Interpretation Committee, as adopted by the European Union including the conditions applicable to interest-rate portfolio hedging ("carve-out").

The Royal Decree of 5 December 2004 requires Belfius to publish its consolidated financial statements in accordance with IFRSs adopted by the European Union as from 31 December 2006.

The consolidated financial statements are prepared on a going-concern basis. They are expressed in thousands of Euro (EUR) unless otherwise stated.

1.2 Accounting estimates and judgements

In preparing the consolidated financial statements, management is required to make estimates, assumptions and judgements that affect the amounts reported. To make these assumptions and estimates, management uses information available at the date of preparation of the financial statements and exercises its judgement. While management believes that it has considered all available information in developing these estimates, actual results may differ from the estimates and the differences could be material to the financial statements.

Judgement is used principally in, but not limited to, the following areas:

- Assessment of the business model considering the way performance of the assets is evaluated, the risks that affect this performance and the compensation of managers (see section 6.2.1);
- Assessment whether or not the contractual terms of a financial asset are solely payments of principal and interest (cf. SPPI test) (see section 6.2.1);
- Determination whether or not there is an active market based on criteria such as volume, actual trade, market liquidity, bid offer spread for financial instruments measured at fair value (see section 6.7);

- Determination of fair value for financial instruments measured at fair value by means of valuation techniques (see section 6.7);
- Determination whether or not Belfius (jointly) controls an investee or has significant influence over an investee: this control assessment considers all facts and circumstances, such as voting rights, potential voting rights, rights of the investor, type of activity (see section 3.);
- Identification of non-current assets and disposal groups held for sale and discontinued operations (IFRS 5) (see section 14.);
- The appropriateness of designating derivatives as hedging instruments and the probability that the temporary reliefs from applying specific hedge accounting requirements related to the IBOR reform phase I are no longer applicable (see section 6.6.2 + IBOR reform related notes);
- Existence of a present obligation with probable outflows in the context of litigations (see section 18.);
- Measurement of expected credit loss allowances and choice of the appropriate models as well as the use of appropriate assumptions about future economic conditions and credit behaviour of the customer, including the Covid-19 related impact (see section 6.5, the Risk Report, and the relevant notes in the financial statements);
- Assessment of significant increase in credit risk for a financial asset since its initial recognition to determine whether 12-month or lifetime expected losses should be recognised. This assessment takes into account qualitative and quantitative reasonable and supportable forward-looking information, including the Covid-19 related impact (see section 6.5, the Risk Report, and the relevant notes in the financial statements);
- Grouping of assets with similar credit risk characteristics and continuous monitoring of the appropriateness of the credit risk characteristics to assess whether they continue to be similar (see section 6.5), and
- Classification of a financial instrument or its component parts as a financial liability or equity based on the economic substance rather than the legal form of the instrument or its component (see section 6.1.).

Estimates are principally made in the following areas:

- Determination of the fair value less costs to sell for non-current assets and disposal groups held for sale (see section 14.);
- Determination of expected credit losses by using the relative weighting of forward-looking scenario's on credit behaviour of customers, the Probability of Default (PD) and Loss Given Default (LGD), including the Covid-19 related impact (see section 6.5, the Risk Report, and the relevant notes in the financial statements);
- Determination of the change in fair value for financial liabilities designated as at FVTPL attributable to a change in credit risk of the financial liability (see section 6.3.2.);
- Determination of the useful life and the residual value of property, equipment, investment property and intangible assets (see section 10. and 11.);
- Determination of the market value correction to adjust for market value and model uncertainty (see section 6.7);
- Measurement of liabilities for insurance contracts (see section 8.);

- Testing the adequacy of liabilities for insurance contracts considering model uncertainty, economic and non-economic assumptions (see section 8);
- The measurement of hedge effectiveness in hedging relations (see section 6.6.2. and 6.6.3.);
- Actuarial assumptions related to the measurement of employee benefits obligations and plan assets (see section 17. and note 6.7.);
- Estimation of future taxable profit for the recognition and measurement of deferred tax assets (see section 16.);
- Estimation of the recoverable amount of cash-generating units for goodwill impairment (see section 12.2.).

These judgements and estimates are discussed in the corresponding sections (as referenced above) of the accounting policies and/or the Risk Report and the relevant notes in the financial statements.

2. Changes in accounting policies and applicable standards since the previous annual publication that may impact Belfius

The overview of the texts below is made until the reporting date of 31 December 2020.

2.1 IASB / IFRS and IFRIC texts endorsed by the European Commission and applied as from 1 January 2020

The IASB has published amendments to References to the Conceptual Framework, to IAS 1 and IAS 8 "Definition of material", to IFRS 3 "Definition of a business", to IFRS 9, IAS 39 and IFRS 7 "Interest Rate Benchmark Reform - phase I", and to IFRS 16 "Covid-19-Related Rent Concessions". They have been applied, if required, but the impact on the financial statements is negligible.

- The "Amendments to References to the Conceptual Framework in IFRS Standards" updates references to previous versions of the Conceptual Framework in IFRS Standards, their accompanying documents and IFRS practice statements.
- Amendments to IAS 1 and IAS 8 "Definition of material" refine the definition of material and align the definitions used across IFRS standards and other publications. The new definition of material forms part of the IASB central theme on "Better communication in Financial Reporting". The new definition states that information is material if omitting, misstating or obscuring could reasonably be expected to influence decisions of primary users of the financial statements.
- Amendments to IFRS 3 "Definition of a business" clarifies the meaning of a business when applying IFRS 3 "Business Combinations". To be considered as a business, an acquired set of activities and assets must include, at a minimum, an input and a substantive process that together significantly contribute to the ability to create outputs. The amendments also include an election to use a concentration test. This is a simplified assessment that results in an asset acquisition if substantially all of the fair value of the gross assets is concentrated in a single identifiable asset or a group of similar identifiable assets.
- Amendments to IFRS 9, IAS 39 and IFRS 7 "Interest Rate Benchmark Reform - phase 1" provide temporary reliefs from applying specific hedge accounting requirements to hedging relationships directly affected by uncertainties related to IBOR reform. Belfius has analysed the proposed temporary reliefs

and concludes that the impact of the specific requirements for which relief is proposed are either non-existent or immaterial. Additional information is provided in the IBOR related (hedging) notes to the financial statements and the Risk Report.

- Amendment to IFRS 16 "Covid-19-Related Rent Concessions" permits lessees with the possibility to account for rent concessions arising as a direct consequence of the COVID-19 pandemic as if they were not lease modifications. An entity applying this practical expedient should disclose this fact as well as the amount recognised in profit or loss. This amendment is effective for annual reporting periods beginning on or after 1 June 2020 but the impact for Belfius as a lessee is minor and immaterial. For lessors, there is no similar relief. However, the impact for Belfius as a lessor is minor and immaterial.

2.2 IASB / IFRS and IFRIC texts endorsed by the European Commission during the current year but not yet applicable as from 1 January 2020

Nil.

2.3 New IFRS, IFRIC and amendments issued during the current year but not yet endorsed by the European Commission

Standards with impact for Belfius

- Amendments to IAS 1 "Classification of Liabilities as Current or Non-current" clarify the criteria for the classification of a liability as either current or non-current. A liability is classified as non-current if the entity has the right to defer settlement of the liability for at least 12 months after the reporting period. The amendments specify that an entity's right to defer settlement must exist at the end of the reporting period and that classification is unaffected by management's intentions or expectations about whether the entity will exercise its right to defer settlement. In addition they clarify how lending conditions affect classification. They also clarify requirements for classifying liabilities an entity will or may settle by issuing its own equity instruments. These amendments are effective from 1 January 2022 but the expected impact is estimated to be minor. However, the exposure draft to defer the effective date to 1 January 2023 as a result of the Covid-19 pandemic, has not yet been endorsed by the European Commission.
- Amendments to IAS 16 "Property, Plant and Equipment: Proceeds before Intended Use" prohibit a company from deducting from the cost of property, plant and equipment amounts received from selling items produced while the company is preparing the asset for its intended use. Instead, a company will recognise such sales proceeds and related costs in profit or loss. These amendments are effective from 1 January 2022 but the expected impact is estimated to be minor.
- Amendments to IAS 37 "Onerous Contracts—Cost of Fulfilling a Contract" specify which costs a company includes when assessing whether a contract will be loss-making. These amendments are effective from 1 January 2022 but the expected impact is estimated to be minor.
- Amendments to IFRS 3 "Business Combinations" updates a reference to the Conceptual Framework for Financial Reporting without changing the accounting requirements for business combinations. These amendments are effective from 1 January 2022 but the expected impact is estimated to be minor.

- “Annual Improvements to IFRS Standards 2018-2020” contains minor amendments to three standards and one illustrative example (IE): IFRS 1 “First-time Adoption of International Financial Reporting Standards”, IFRS 9 “Financial Instruments”, IAS 41 “Agriculture” and an Illustrative Example accompanying IFRS 16 “Leases”. All amendments are effective from 1 January 2022 but only the amendment to IFRS 9 might impact Belfius. The amendment “IFRS 9 – fees in the 10 per cent derecognition for financial liabilities” specifies that only fees paid or received between the entity (the borrower) and the lender, including fees paid or received by either the entity or the lender on the other’s behalf are included when applying the 10 per cent test in assessing whether to derecognise a financial liability.
- Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 “Interest Rate Benchmark Reform – Phase 2” deals with replacement issues that might affect financial reporting when an existing interest rate benchmark is either reformed or replaced. The amendments provide two practical reliefs for these IBOR related changes to financial instruments: 1) a relief for changes in the basis for determining the contractual cash flows on financial assets and financial liabilities that are treated as changes to a floating interest rate by revising the effective interest rate in order to avoid the derecognition or the immediate recognition of a modification gain or loss of the financial instrument, 2) a relief for changes in the formal designation of a hedging relationship in order to avoid the discontinuation of the existing relationship or designation of a new hedging relationship. These amendments are effective from 1 January 2021 and apply retrospectively, but restatement of comparative information is not required. Early application is admitted. Additional information is provided in the IBOR related (hedging) notes to the financial statements and the Risk Report.

Standards with no impact

Nil.

Standards not applicable for Belfius

Nil.

2.4 Ongoing projects

2.4.1 IFRS 17 “Insurance contracts” (effective for annual periods beginning on or after 1 January 2023)

In June 2020 the IASB issued the final version of IFRS 17 “Insurance Contracts” after a considerable consultation process following its first release in May 2017. The changes made to the initial text will not impact the timing of the implementation project, and several of the amendments have been welcomed by Belfius. The European Commission is in the process to validate the standard.

IFRS 17 is a comprehensive accounting standard and establishes completely new principles for the recognition, measurement, presentation and disclosure of insurance contracts. The new standard introduces a single principle based framework to account for all types of insurance contracts, including reinsurance contracts held or issued and investment contracts with discretionary participation features. The new standard supersedes IFRS 4 and should be applied retrospectively unless impracticable, in which case alternative approaches can be applied.

Based on our understanding and ongoing analysis, implementing the new standard will have a significant impact on the financial statements, key performance indicators and operations of Belfius Insurance and Belfius Group. However, the impact cannot yet be quantified given the status of the project. Considering the complexity of the standard, a dedicated implementation team has been assigned to the IFRS 17 implementation project, with applicable committees to ensure strict project governance.

2.5 Changes in presentation

Nil.

3. Consolidation

3.1 Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of

- the acquisition-date fair values of the assets transferred by Belfius;
- the liabilities incurred by Belfius to former owners of the acquiree; and
- the equity interests issued by Belfius in exchange for control of the acquiree.

Acquisition-related costs are recognised in profit or loss as incurred. At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value at the acquisition date.

Non-controlling interests may be initially measured either at fair value or at the present ownership instruments’ proportionate share in the recognised amounts of the acquiree’s identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. The equity and net income attributable to the non-controlling interests are shown separately in the balance sheet and statement of income respectively.

When the consideration transferred by Belfius in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at its acquisition-date fair value and included as part of the consideration transferred in a business combination. Subsequent changes in the fair value of the contingent consideration are typically recognised in profit or loss.

When a business combination is achieved in stages, previously equity interests held by Belfius in the acquiree is remeasured to fair value at the acquisition date (i.e. the date on which Belfius obtains control) and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss where such treatment would be appropriate if that interest were disposed of.

3.2 Subsidiaries

Subsidiaries are those entities over which Belfius has, either directly or indirectly, control. Belfius controls an entity when it is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Subsidiaries are fully consolidated as from the date on which effective control is transferred to Belfius and are no longer consolidated as from the date on which control is lost. Intercompany transactions and balances, and gains and losses on transactions between consolidated companies of Belfius are eliminated. Where necessary, the accounting policies of the subsidiaries are aligned to ensure consistency with the policies adopted by Belfius.

When Belfius loses control of a subsidiary, the profit or loss on disposal is calculated as the difference between:

- the aggregate of the fair value of the consideration received and the fair value of any retained interest; and
- the previous carrying amount of the assets (including goodwill) and liabilities of the subsidiary and any non-controlling interests.

3.3 Jointly controlled entities and associates

A joint venture is a joint arrangement whereby the parties have joint control of the arrangement. Joint control is a contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control. Joint ventures are accounted for using the equity method.

Associates are investments in which Belfius has significant influence, but does not exercise control. This is usually the case when Belfius owns between 20% and 50% of the voting rights. Investments in associates are initially measured at cost and accounted for using the equity method.

Following the equity method, the ownership share of net income for the year is recognised as income of joint ventures and associates, whereas the share in other comprehensive income of joint ventures and associates is carried on a separate line of the statement of comprehensive income. The investment is recorded in the balance sheet at an amount that reflects Belfius' share of the net assets of joint ventures and associates increased with related goodwill.

Gains and losses on transactions between Belfius and its "equity method investments" are eliminated to the extent of the interest therein of Belfius. The recognition of losses from joint ventures and associates is discontinued when the carrying amount of the investment reaches zero, unless Belfius has incurred or guaranteed legal or constructive obligations on behalf of the associate or joint venture. Where necessary, the accounting policies of the joint ventures and associates are aligned to ensure consistency with the policies adopted by Belfius.

3.4 Structured entities

A structured entity is an entity whose activities are not governed by way of voting rights. These entities generally finance the pur-

chase of assets by issuing debt and equity securities that are collateralised by assets held by the structured entities. The debt and equity securities issued by the structured entities may include tranches with varying levels of subordination. In assessing whether Belfius has power over such investees in which it has an interest, Belfius considers factors such as the purpose and design of the investee, its practical ability to direct the relevant activities of the investee, the nature of its relationship with the investee and the size of its exposure to the variability of returns of the investee.

4. Offsetting financial assets and financial liabilities

Financial assets and financial liabilities are offset (and, consequently, only the net amount is reported) when Belfius has a legally enforceable right to offset and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

5. Foreign currency translation and transactions

5.1 Foreign currency translation

On consolidation, the income and cash-flow statements of foreign entities that have a functional currency different from the presentation currency of Belfius are translated into the presentation currency (EUR) of Belfius at the average exchange rates for the year (annual reporting) or the period (interim reporting) and their assets and liabilities are translated at the respective year-end or quarter-end exchange rates.

Exchange differences arising from the translation of the net investment in foreign subsidiaries, associates, joint ventures and of borrowings and other currency instruments designated as hedges of such investments, are recorded as a cumulative translation adjustment within equity. On disposal of a foreign entity, such exchange differences are recognised in the statement of income as part of the gain or loss on disposal.

5.2 Foreign currency transactions

For individual Belfius entities, foreign currency transactions are accounted for using the approximate exchange rate at the date of the transaction. Outstanding balances of monetary and non-monetary items carried at fair value denominated in foreign currencies are translated at period- or year-end using the exchange rates applicable at period- or year-end. Historical rates are used for non-monetary items carried at cost and such items are not subsequently remeasured for changes in exchange rates. The exchange differences for non-monetary items carried at fair value are governed by the same accounting treatment as for fair value adjustments. Exchange differences for monetary items are recorded in the consolidated statement of income.

6. Financial instruments

6.1 Recognition and initial measurement

At initial recognition, judgement can be required in determining the appropriate classification of the financial instruments. Debt and equity instruments issued by a group entity are classified as a financial liability or as an equity instrument in accordance with the substance of the contractual arrangement rather than the legal form of the instrument and the definitions of financial liability and equity instrument.

Regular way purchases of financial assets are recognised on settlement date, which is the date of delivery to Belfius. Financial assets (other than regular way purchases) and financial liabilities are recognised in the Group's balance sheet when the Group becomes a party to the contractual provisions of the instrument.

Financial assets and liabilities that are not measured at fair value through profit or loss are initially measured at fair value plus or minus transaction costs that are directly attributable to the acquisition or issue of financial assets and liabilities. Transaction costs for financial assets and liabilities measured at fair value through profit or loss are recognised immediately in profit or loss.

Although the transaction price is the best evidence of fair value for all financial instruments, a day one profit or loss may be applicable.

The day one profit or loss is the difference between:

- the transaction price and the quoted price in an active market for a financial instrument; or
- the transaction price and the fair value determined by using a valuation technique (mark-to-model), if the instrument is not quoted.

If all the inputs of the model are observable, the day one profit or loss will be recognised immediately in the statement of income.

If all inputs of the model are not observable, the day one profit or loss will be amortised over the expected life of the instrument, where this is appropriate. However, if the data subsequently becomes observable, the remaining portion of day one profit or loss will be recognised in the statement of income.

In cases of early termination of the underlying instrument, the remaining portion of day one profit or loss will be recognised in the statement of income.

6.2 Classification and subsequent measurement of financial assets

6.2.1 General

According to IFRS 9, the classification and measurement of financial assets is based on both the entity's business model for managing the financial assets and the financial asset's contractual cash flow characteristics (referred to as the Solely Payments of Principal and Interest test – SPPI test).

The following business models are available for managing financial assets:

- Hold to collect contractual cash flows;
- Hold to collect contractual cash flows and sell;
- Other, such as trading and management of assets on a fair value basis.

IFRS 9 introduces the following categories for the measurement of debt instruments. The methods for the measurements are:

- Fair value through other comprehensive income (FVTOCI) – financial assets will be classified into this category if the assets

meet the SPPI test and the business model is to hold the assets to collect contractual cash flows and to sell the assets;

- Amortised cost – financial assets will be classified into this category if the assets meet the SPPI test and the business model is to only hold the assets to collect contractual cash flows;
- Fair value through profit or loss – financial assets that do not fall within the two categories above will be measured at fair value through profit or loss.

Debt instruments that meet the amortised cost or FVTOCI criteria can be irrevocably designated at fair value through profit or loss if it eliminates, or significantly reduces, an accounting mismatch in profit or loss.

Investments in equity instruments are classified at fair value through profit or loss because they do not meet the SPPI test. However, IFRS 9 allows an entity to make an irrevocable election to present in other comprehensive income subsequent changes in the fair value of an investment in an equity instrument within the scope of this Standard that is neither held for trading nor contingent consideration recognised by an acquirer in a business combination to which IFRS 3 applies. Dividends from investments in equity instruments are always recognized in profit or loss unless the dividend clearly represents a recovery of the cost of the investment.

The cash flow characteristics test (or Solely Payment of Principal and Interest test)

The cash flow characteristics test assesses whether contractual cash flows are solely payments of principal and interest on the principal outstanding, consistent with a basic lending arrangement. For contractually linked instruments a “look-through” approach is applied to determine whether the SPPI criterion is met for the tranches of the instrument taking into consideration the contractual terms of the tranche and the characteristics of the underlying pool as well as the exposure to credit risk.

Principal is the fair value of the financial asset at initial recognition and may change over the life of the financial asset (in case of repayments of principal). Interest is the consideration for the time value of money, the credit risk and may also include consideration for other basic lending risks and costs (such as liquidity risk and administration costs) as well as a profit margin.

In making this assessment, Belfius takes into account:

- Contingent events that would change the amount or timing of the cash flows (by assessing the cash flows arising before and after the change in cash flows);
- Terms that may adjust the contractual coupon rate including variable rate features (whether or not variations can be regarded as compensation for credit risk);
- Prepayment and extension features (by assessing amount of prepayment and cash flows during the extension period); and
- Terms that limit the entity's claims to cash flows from specified assets (such as non recourse features).

Business model

The business models are determined by the Board of Directors for homogenous portfolios and reflect how the financial assets are managed together to achieve a particular objective. The determination of the business model takes into account all relevant information in normal scenarios and also considers the following factors:

- Past experience regarding the frequency, volume and timing of sales, the reasons for such sales and expectations about future sales activity;
- How the asset's performance is evaluated and reported to key management personnel;
- How risks are assessed and managed; and
- How managers are compensated.

Belfius applies the following business models to manage its financial assets:

- Hold to collect contractual cash flows;
- Hold to collect contractual cash flows and sell;
- Any other business models such as trading and management of assets on a fair value basis.

At initial recognition of a financial asset, Belfius determines whether newly recognised financial assets are part of an existing business model or whether they reflect the commencement of a new business model.

Once a year, Belfius reassesses its business models to determine whether the business models have changed since the preceding period.

Change in Business model

A future change in business models for existing financial assets and the related prospective reclassification of all affected financial assets will be very exceptional as it should be the consequence of an acquisition, sale or development of an activity or a business line that is significant for the operations of each of the entities of Belfius Group and is demonstrable to external parties. In view of its significance, the proposition to change should be discussed and decided by the appropriate governance bodies.

6.2.2 Financial assets measured at amortised cost (AC)

Debt instruments (including hybrid contracts) that are held within a business model "hold to collect contractual cash flows" and with contractual cash flows that are SPPI compliant and for which Belfius has not elected the fair value option, are subsequently measured at amortised cost.

This category includes debt instruments with the objective of holding these debt instruments until maturity and generating a stable interest margin. When loans are sold to a securitization vehicle that is consolidated, this does not preclude their classification as hold to collect.

Sales are not an integral part of the "hold to collect contractual cash flows" business model but may be consistent with this business model if sales are close to maturity, sales are due to an increase in credit risk or sales are not significant (even if frequent)

or infrequent (even if significant). Judgement should be applied to determine whether the sales are consistent with a "hold to collect contractual cash flows" business model.

Amortised cost is the amount at which the debt instruments are measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation of any difference between that initial amount and the maturity amount using the effective interest method (cf. section 6.9. Interest income and expense), and adjusted for any impairment for expected credit losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss when they arise. Any gain or loss on derecognition is recognised in profit or loss.

6.2.3 Financial assets measured at fair value through other comprehensive income (FVTOCI)

This category includes debt instruments and investments in equity instruments.

Debt instruments measured at fair value through other comprehensive income

Debt instruments that are held within a business model whose objective is achieved by both collecting contractual cash flows and selling the debt instruments and whose contractual cash flows are SPPI compliant, are subsequently measured at fair value through other comprehensive income on the condition that Belfius has not elected the conditional fair value option.

Debt instruments included in funds with dedicated assets (segregated funds) or for which flexibility is required to face potential surrenders of life insurance contracts, investment opportunities or kept to face potential liquidity needs are included in this category.

Movements in the carrying amount representing unrealised gains and losses arising from changes in the fair value are recognised in other comprehensive income under the line item XIX. "Gains and losses not recognised in the statement of income - Fair value changes of debt instruments measured at fair value through other comprehensive income".

When the debt instrument is disposed of Belfius recycles the cumulative gain or loss previously recognised in other comprehensive income to the line item VI. "Net income on investments and liabilities" in the statement of income.

Interest revenue and impairment are recognised in profit or loss. Foreign exchange gains and losses on debt instruments measured at FVTOCI that are part of an effective currency risk designated hedging relationship are recognised in other comprehensive income; otherwise they are recognised in profit or loss. Interest income is recognised using the effective interest method similar to financial assets measured at amortised cost.

Investments in equity instruments measured at fair value through other comprehensive income

Are included in this category, equity instruments that meet the IAS 32 definition and that are neither held for trading nor representing contingent consideration recognised by an acquirer in a business combination, and for which Belfius at initial recogni-

tion irrevocably on an instrument-by-instrument basis has elected to measure them at fair value through other comprehensive income (FVTOCI).

Subsequent changes in fair value, foreign exchange gains and losses and realised gains and losses are presented in other comprehensive income under the line item XX. "Fair value changes of equity instruments measured at fair value through other comprehensive income". On derecognition, the cumulative gains or losses previously recognised in other comprehensive income as mentioned above, are not subsequently reclassified to the statement of income but are transferred within equity to the line item XVII. "Reserves and retained earnings".

Fair value measurement is required for all equity instruments, even if those instruments are not quoted in an active market. Acquisition cost as appropriate estimate of fair value is only admitted in limited circumstances (cf. section 6.7 Fair value of financial instruments).

Dividends are recognised in the statement of income when the right to receive payment of these dividends is established, it is probable that the economic benefits associated with the dividends will flow to Belfius and the amount of the dividends can be measured reliably. If a dividend represents a return of investments, it will be accounted as a reduction of the acquisition cost.

6.2.4 Financial assets measured at fair value through profit or loss (FVTPL)

Financial assets subsequently measured at fair value through profit or loss consist of debt instruments and investments in equity instruments. Non hedging derivatives are treated in section 6.6.1.A Derivatives – Trading portfolio, including embedded derivatives.

Debt instruments held for trading

Debt instruments held for trading are intended to generate a profit from short-term fluctuations in price or dealer's margins or are included in a portfolio in which a pattern of short-term profit taking exists. Belfius initially recognises these instruments at their fair value and subsequently remeasures them at fair value, with unrealised and realised gains and losses recorded in the statement of income under the line item V. "Net income from financial instruments at fair value through profit or loss". Interest income and interest expense (negative yield) are accrued using the effective interest rate method and Belfius opted to record these under the line item I. "Interest income" and II. "Interest expense".

Debt instruments designated at fair value through profit or loss (referred to as fair value option)

In some cases and if appropriately documented, Belfius can at initial recognition irrevocably designate debt instruments that meet the business model hold to collect and/or hold to collect and sell criteria and that give rise to cash flows that are SPPI compliant at fair value through profit or loss in order to eliminate or significantly reduce an accounting mismatch.

The valuation rules as mentioned under paragraph "Debt instruments held for trading" apply to this category.

Debt instruments measured at fair value through profit or loss (non basic instruments)

This category includes debt instruments with contractual cash flows that are not SPPI compliant such as some structured loans as well as financial assets with a legal form of equity but, based on the substance of the contract, meet the definition of a debt instrument (such as open-end funds, shares with legal end date, real estate certificates).

The valuation rules as mentioned under paragraph "Debt instruments held for trading" apply to this category.

Investments in equity instruments measured at fair value through profit or loss

This category includes investments in equity instruments held for trading as well as non trading investments in equity instruments that at initial recognition were not irrevocably elected to be designated at fair value through other comprehensive income.

Gains and losses due to remeasurement to fair value (realised and unrealised) and foreign exchange gains and losses are recognised in the statement of income under the line item V. "Net income from financial instruments at fair value through profit or loss".

Dividends are recognised in the statement of income under the line item III "Dividend income" unless the dividend clearly represents a recovery of part of the cost of the investment.

6.3 Classification and subsequent measurement of financial liabilities

6.3.1 Financial liabilities measured at amortised cost (AC)

These liabilities are subsequently measured at amortised cost and any difference between their amount made available and the amount due at maturity is recognised in the statement of income as interest expense or interest income. The accretion or amortisation of this difference is recognised over the remaining duration of the liabilities using the effective interest rate method.

6.3.2 Financial liabilities measured at fair value through profit or loss (FVTPL)

Financial liabilities are measured at fair value through profit or loss when, at initial recognition, the liability is either held for trading or at initial recognition irrevocably designated at fair value through profit or loss.

Financial liabilities held for trading

This section does not deal with trading derivatives that are described in section 6.6.1 below.

Financial liabilities held for trading includes short positions in securities. These instruments are intended to generate a profit from short-term fluctuations in price or dealer's margins or are included in a portfolio in which a pattern of short-term profit taking exists. Belfius initially recognises these instruments at their fair value and subsequently remeasures them at fair value, with unrealised and realised gains and losses recorded in the statement of income under the line item "Net income from financial instruments at fair value through profit or loss".

Financial liabilities designated at fair value through profit or loss (FVTPL)

A financial liability other than a financial liability held for trading or contingent consideration that may be paid by an acquirer as part of a business combination may upon initial recognition be designated at fair value through profit or loss in the following circumstances:

- The use of designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- The financial liability forms part of a group of financial assets, financial liabilities or both that is managed and its performance is evaluated on a fair value basis, in accordance with a documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- The financial liability contains one or more embedded derivatives and IFRS 9 permits the entire hybrid (combined) contract to be designated at FVTPL.

The valuation rules applicable for financial liabilities held for trading apply except for the recognition of own credit risk.

Changes in fair value attributable to own credit risk of a financial liability to which the fair value option is applied, are recognised in other comprehensive income under the line item XXI. "Fair value changes due to own credit risk on financial liabilities designated as at fair value through profit or loss to be presented in other comprehensive income", unless this recognition would create or enlarge an accounting mismatch in profit or loss. These amounts are not subsequently reclassified to profit or loss. Instead, they are transferred to the line item XVII. "Reserves and retained earnings" upon derecognition of the financial liability. The remaining amount of the change in fair value is recognised in profit or loss.

6.4 Derecognition and modification of financial assets and liabilities

Financial assets are derecognised when the contractual rights to the asset's cash flows expire or when substantially all the risks and rewards of ownership of the asset are transferred to another entity.

Regular way sales that meet the above derecognition criteria of financial assets are derecognised on settlement date, which is the date of delivery by Belfius. Financial liabilities are derecognised when they are extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires).

If a substantial modification of a financial asset or a financial liability (including an exchange of debt instruments with substantially different terms) occurs and the contractual terms governing the cash flows are renegotiated, the financial asset or financial liability is derecognised. If a modification occurs and the existing contract is not derecognised, a modification gain or loss is recognised in the statement of income. This gain or loss is determined by recalculating the gross carrying amount of the existing financial instrument as the present value of the renegotiated or modified contractual cash flows, using the financial instrument's original effective interest rate (or the credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets).

For modified financial assets that are not derecognised, an assessment is made to determine whether there has been a significant increase in the credit risk of the financial asset, by comparing the risk of a default occurring at the reporting date (based on the modified contractual terms) and the risk of a default occurring at initial recognition (based on the original, unmodified contractual terms). Depending on the outcome of the assessment, a change in loss allowance may be recorded (cf. section 6.5 on impairment of financial instruments).

6.5 Impairment of financial instruments

Impairment determination and calculation is governed by the Credit risk impairment guidelines of the Risk department and more details are available in the section "Risk management - IFRS 9 Impairment methodology" of the Management Report of the consolidated financial statements.

6.5.1 Determination of the impairment

Expected credit losses (ECL) associated with debt instruments carried at amortised cost and debt instruments measured at fair value through other comprehensive income (FVTOCI) are determined on a forward-looking basis. For lease receivables, Belfius has not opted to apply the simplified approach of recognising lifetime expected losses. Loan commitments and financial guarantees not measured at fair value through profit or loss are also subject to impairment and the loss allowance is recognised as a provision. No impairment losses are recognised on investments in equity instruments.

Loss allowances and provisions for 12-month expected credit losses are initially recognised on trade date for financial assets in scope of impairment (debt instruments, lease receivables and contract assets), loan commitments and financial guarantees not measured at fair value through profit or loss.

12-month expected credit losses relates to the portion of lifetime expected credit losses that represent the expected credit losses resulting from default events that are possible within the 12 months after the reporting date.

The default committee within the Risk department is competent to define the default status.

A transversal default definition is applied within the entire Belfius Group and on all market segments. However for a limited number of specific segments (for example sovereigns, banks, international corporates...) some deviation have been applied. The Belfius Default guideline provides in-depth description of indicators used to categorize an exposure in default.

With the exception of purchased or originated credit-impaired (POCI) financial assets, the amount of expected credit losses is measured through a loss allowance at an amount equal to either an 12-month ECL or a lifetime ECL. Lifetime ECL are the losses that result from all possible default events over the expected life of the financial asset.

At initial recognition, POCI assets do not carry a loss allowance for 12-month expected losses but lifetime expected credit losses are incorporated into the calculation of the effective interest

rate. The amount recognised as a loss allowance for such assets is not the total amount of lifetime expected credit losses, but instead the change in lifetime expected credit losses since initial recognition of the financial asset, which may be a negative or positive amount.

Expected credit losses are a probability-weighted estimation of expected cash shortfalls discounted at the original effective interest rate of the financial asset or the credit-adjusted effective interest rate in case of POCI financial assets. Expected cash shortfall is the difference between the cash flows due under the contract and the cash flows expected to be received, taking into consideration the value of collateral and other credit enhancements.

The estimation of cash flows considers all contractual terms of the financial asset (such as prepayment, extension, call and similar options) through its expected life.

Impairment calculation is based on a two-fold building block approach:

- Block 1: determination of the appropriate stage per exposure;
- Block 2: calculation of the expected credit losses per exposure for stages 1, 2 and 3.

The following credit exposures are distinguished and all exposures are individually assessed:

- Performing credit exposures i.e. exposures for which there has not been a significant increase in credit risk since origination (stage 1);
- Under-performing credit exposures i.e. exposures for which there has been a significant increase in credit risk between the moment Belfius originated or purchased the financial asset and the reporting date (stage 2);
- Non-performing credit exposure i.e. exposures that become credit impaired (stage 3).

A change of the classification into stages can go in both directions.

Performing credit exposures – Classification Stage 1

All exposures not classified in stage 2 (significant increase of credit risk since origination) or stage 3 (occurrence of impairment) are by definition classified in stage 1. For these exposures, Belfius recognises at initial measurement a 12-month expected credit loss, i.e. the expected credit loss that results from those default events on the financial instrument that are possible within 12 months after the reporting date.

Under-performing credit exposures – Classification Stage 2

Exposures for which there has been a significant increase in credit risk between origination or purchase of the financial asset and reporting date are classified in stage 2.

A significant increase in credit risk for an individual exposure of a counterpart is based on the following quantitative and qualitative factors:

- A significant deterioration of the lifetime probability of default (lifetime PD) of the counterpart; and
- The fact that the customer to whom the individual exposure belongs is put by Belfius on its Watchlist, this is the list that identifies counterparties where problems might arise (or have arisen). There is however one exception: a new contract may be classified in Stage 1 if, when originating the contract, the customer already figures on the Watchlist and that since then there is no new significant increase in credit risk for this contract.

In two situations, there will be a mandatory classification on the Watchlist:

- If one or more credit products of the counterpart was accorded a “Forbearance flag”, forbearance being a new, additional concession or the prolongation of an existing concession;
- If an exposure is overdue for more than 30 days, unless one can clearly prove that it concerns an operational past due or that the overdue is not a sign of a significant increase of credit risk since initial recognition.

In assessing whether a significant deterioration of the lifetime PD occurred since origination, a comparison is made between lifetime PDs at the date of origination with lifetime PDs at reporting date. Details are available in the section “Risk management - IFRS 9 Impairment methodology” of the Management report of the consolidated financial statements.

Non-performing credit exposure – Classification at Stage 3

At each reporting date, the Default Committee assesses whether there is an objective evidence that a financial asset or a group of financial assets is impaired/defaulted. If affirmative, these financial assets are considered as credit-impaired and are transferred to Stage 3 and a lifetime expected loss is recognised.

The expected credit losses are measured as the difference between the asset’s gross carrying amount and the present value of estimated future cash flows discounted at the financial asset’s original effective interest rate. Any adjustment is recognised in profit or loss as an impairment gain or loss.

An impaired/defaulted status is attributed to debtors that satisfy either one or both of the following criteria:

- The debtor has material exposures which are more than 90 days past due;
- The debtor is assessed as unlikely to pay its credit obligations in full without realisation of collateral, regardless the existence of any past due amount or the number of days past due.

6.5.2 Accounting treatment of impairments

Debt instruments carried at amortised cost and lease receivables

At each reporting date, changes in the amount of impairment losses are recognised in the statement of income under the line item XVI. "Impairment on financial instruments and provisions for credit commitments". Impairment losses are reversed through the same line item of the statement of income. The impairment loss is recorded as a deduction of the gross carrying amount of the asset (allowance) in the balance sheet (statement of financial position).

Debt instruments measured at fair value through other comprehensive income (FVTOCI)

Debt instruments measured at fair value through other comprehensive income are governed by the same accounting principles in respect of impairment applicable to debt instruments measured at amortised cost.

However, the loss allowance shall be recognised in other comprehensive income as part of the revaluation amount in the line item XIX. "Fair value changes of debt instruments measured at fair value through other comprehensive income" and shall not reduce the carrying amount (i.e. fair value) of the financial asset in the balance sheet (statement of financial position).

Calculation and recognition of interest income

The underlying basis for calculating the effective interest depends on the status of the financial instrument:

- The gross carrying amount (amortised cost before deducting any expected loss allowances) for non-credit impaired financial assets (stage 1 and 2);
- The net carrying amount (gross carrying amount less expected loss allowances) for credit-impaired financial assets (stage 3).

Interest income for originated or purchased credit-impaired financial assets is recognised by applying the credit-adjusted effective interest rate to the amortised cost of the financial asset. Lifetime expected credit losses are incorporated in the credit-adjusted effective interest rate.

Write-offs

Debt instruments are written off when there are no reasonable expectations of recovering the debt instrument. Belfius only applies full write-offs and exposures in stage 1 and 2 are always transferred to stage 3 before being written off.

A write-off constitutes a derecognition event and the stock of loss allowance is not reversed but used against the reduction of the gross carrying amount of the instrument written off. Any additional loss is reported in the statement of income in the line item XVI. "Impairment on financial instruments and provisions for credit commitments".

Loan commitments and financial guarantees not measured at fair value through profit or loss

Off-balance-sheet exposures such as credit substitutes (e.g. guarantees and standby letters of credit) and loan commitments are usually converted into on-balance-sheet items when called. However, these off-balance-sheet exposures are subject to

12-month or lifetime expected losses. The expected loss is recognised as a provision in the balance sheet and the date that Belfius becomes a party to the irrevocable commitment is considered as the date of initial recognition for applying the impairment requirements.

Loan commitments

At the end of each reporting period a provision based on 12-month expected losses calculated on the expected portion of the loan commitment to be drawn down within the next 12 months is recognised. In case of a significant increase in the risk of default of the underlying loan, lifetime expected credit losses are recognised on the expected portion to be drawn down over the remaining life of the loan commitment.

The expected credit loss is the present value of the difference between the contractual cash flows if the holder of the loan commitment draws down the loan and the cash flows that are expected to be received if the loan is drawn down. The remaining life of the loan commitment is the maximum contractual period during which there is an exposure to credit risk. In case of arrangements that include both a loan and an undrawn commitment component (such as credit cards), the period for estimating expected credit losses is beyond the contractual date on which repayment could be demanded but the period over which the lender is exposed to credit risk. In practice, the expected loss horizon is a minimum of 1 year and credit risk mitigations could be additional guarantees or reducing the loan commitment.

Financial guarantees

For financial guarantee contracts changes in the risk that the specified debtor will default on the contract are considered. At each reporting period, the amount of the loss allowance equals the 12-month expected credit loss unless there has been a significant increase in the risk of default, in which case the loss allowance is calculated for lifetime expected credit losses. Expected losses reflect the cash shortfalls equal to the difference between the expected payments to reimburse the holder for a credit loss that it incurs less any amounts that are expected to be received from the holder, the debtor or any other party.

6.6 Derivatives

6.6.1 Derivatives – Trading portfolio, including embedded derivatives

When a derivative is not designated in a hedge relationship, it is deemed to be held for trading and Belfius initially and subsequently measures all derivatives at the fair value obtained from quoted market prices, discounted cash-flow models or pricing models, as appropriate. All changes in fair value are recognised in the statement of income.

The interest results of derivatives for which there is an economic hedge relationship are recognised in interest income/interest expense.

Derivatives are reported as assets when their fair value is positive and as liabilities when their fair value is negative.

When a hybrid contract contains a host that is a financial asset in the scope of IFRS 9, the entire hybrid contract, including all

embedded features, is assessed for classification. However, if the host contract is a financial liability, a lease receivable, an insurance contract or another non-financial host contract an assessment is made to determine whether the embedded feature requires separation and should be presented as a separate derivative in trading. This is the case when:

- Risks and characteristics of the embedded features are not closely related to those of the host contract;
- The hybrid contract is not carried at fair value with unrealised gains and losses reported in the statement of income and;
- A separate instrument with the same terms as the embedded feature would meet the definition of a derivative.

6.6.2 Derivatives – Hedging

As the development of the new macro hedge accounting model (cf. “Accounting for dynamic risk management activities”) is still in progress, the IASB provided all entities including those that engage in portfolio hedge accounting of interest rate risk with the following accounting policy options until the IASB Research project “Dynamic Risk Management” is completed.

- Option 1: Apply the new hedge accounting requirements of IFRS 9 and continue to use the IAS 39 model for interest-rate portfolio fair value hedging;
- Option 2: Continue to apply the existing (micro) hedge accounting requirements in IAS 39, including the IAS 39 interest-rate portfolio fair value hedge model.

In both cases, the use of the IAS 39 interest-rate portfolio hedging model is subject to expanded disclosure requirements.

Belfius has opted to continue to apply the existing (micro) hedge accounting requirements of IAS 39 and the “Carve out” conditions applicable to interest-rate portfolio hedging as endorsed by the European Commission.

Hedging derivatives are categorised as either:

- A hedge of the fair value of a recognised asset or liability or a firm commitment (fair value hedge) or a fair value hedge of the interest rate risk exposure of a portfolio (cf. section 6.6.3); or
- A hedge of a future cash flow attributable to a recognised asset or liability or a forecast transaction (cash-flow hedge).

Derivatives are designated as hedging instruments if certain criteria are met:

- Formal documentation of the hedging instrument, hedged item, hedging objective, strategy and relationship is available before hedge accounting is applied;
- The hedge is documented in such a way as to show that it is expected to be highly effective (within a range of 80% to 125%) in offsetting changes in the fair value or cash flows attributable to the hedged risk in the hedged position throughout the reporting period; and
- The hedge is effective at inception and on an ongoing basis.

Belfius records changes in the fair value of derivatives that are designated and qualify as fair value hedges in the statement of

income, along with the corresponding change in fair value of the hedged assets or liabilities that is attributable to the specific hedged risk. If relevant, the interest accruals of the designated hedging instruments are recognised in line item I. “Interest income” or II. “Interest expense”.

If the hedge no longer meets the criteria for a fair value hedge or if the hedge is voluntarily discontinued, the adjustment to the carrying amount of a hedged interest-bearing financial instrument is amortised to the statement of income over the remaining life of the hedged position (or the hedging instrument if shorter) by an adjustment of the yield of the hedged item.

The effective part of the changes in the fair value of derivatives that are designated and qualify as cash-flow hedges, is recognised in “Other comprehensive income” under the item XXII. “Fair value changes of derivatives following cash flow hedging” (see “Consolidated statement of changes in shareholders’ equity”). The ineffective portion of the change in the fair value of the hedging instrument (if any) is recognised directly in the statement of income. The amount recognised in other comprehensive income should be the lower in absolute value of the cumulative gain or loss on the hedging instrument from the inception of the hedge, and the cumulative change in the fair value (present value) of the expected cash flows on the hedged item from the inception of the hedge.

Amounts deferred in equity are transferred to the statement of income in the periods during which the hedged item affects the statement of income.

6.6.3 Fair value hedge of the interest-rate risk exposure of a portfolio

As mentioned in section 1.1 General, Belfius makes use of the IAS 39 provisions for portfolio fair value hedges of interest rate risk as endorsed by the European Commission (cf. EU carve out) because it better reflects the way financial instruments are managed.

Awaiting the completion of the IASB Research project “Dynamic Risk Management”, Belfius continues to apply the current carved out provisions.

The hedging instruments are a portfolio of derivatives, which may contain offsetting positions. Belfius recognises the hedging items at fair value with any changes in fair value accounted for in the statement of income. The hedged items include financial assets and liabilities at amortised cost and debt instruments measured at FVTOCI.

The hedged interest-rate risk revaluation of elements carried at amortised cost is reported on the balance sheet under the line item VII. “Gain/loss on the hedged item in portfolio hedge of interest rate risk” whereas the hedged interest-rate risk revaluation of elements carried at FVTOCI is included in the line items II.B “Loans and advances due from credit institutions - Measured at fair value through other comprehensive income”, III.B. “Loans and advances - Measured at fair value through other comprehensive income”, and IV.B “Debt securities & equity instruments - Measured at fair value through other comprehensive income”.

6.7 Fair value of financial instruments

6.7.1 General principles

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Quoted market prices in an organised market (such as a recognised stock exchange) are to be used as fair value, as they are the best evidence of the fair value of a financial instrument. Quoted market prices are not available for all financial assets and liabilities held or issued by Belfius.

If a financial instrument is not traded on an active market, recourse is provided by valuation models. A valuation model reflects the transaction price on the measurement date in an arm's length exchange under normal business considerations, i.e. the price that would be received by the holder of the financial asset in an orderly transaction that is not a forced liquidation or forced sale or the price to transfer the liability.

The valuation model takes into account all factors that market participants consider when pricing the financial instrument. Measuring the fair value of a financial instrument requires consideration of current market conditions. To the extent that observable inputs are available, they are incorporated into the model.

Only in very exceptional circumstances (i.e. where no relevant information is available about the performance and operations of the investee) cost will be used for the fair value valuation of investments in unquoted equity instruments.

6.7.2 Specific rules

The specific rules and approaches used for the determination of fair value of financial instruments are summarised in note 9.1. "Fair value".

6.8 Sale and repurchase agreements and lending of securities

Securities sold subject to a linked repurchase agreement ("repos") are not derecognised and remain on the balance sheet. The corresponding liability is recorded under the line items II.A "Credit institutions borrowings and deposits - Measured at amortised cost" or III.A "Borrowings and deposits - Measured at amortised cost", as appropriate. The asset is included as "pledged" in the supporting notes to the financial statements.

Securities purchased under agreements to resell ("reverse repos") are recorded as off-balance-sheet items and the corresponding loans are recorded in line items II.A "Loans and advances due from credit institutions - Measured at amortised cost" or III.A "Loans and advances - Measured at amortised cost".

The difference between the sale and repurchase price is treated as interest income or expense and is accrued over the life of the agreements using the effective interest rate method.

Securities lent to counterparties are not derecognised. Securities borrowed are not recognised in the balance sheet. Fees related to securities lending and borrowing are recorded within the line

items VII. "Fee and commission income" and VIII. "Fee and commission expense".

6.9 Interest income and expense

Interest income and expense are recognised on an accrual basis in the statement of income for all interest bearing instruments using the effective interest rate method (transaction costs included). Transaction costs for financial assets and liabilities measured at fair value through profit or loss are recognised immediately in profit or loss.

Negative interests on these instruments are presented as a separate item within interest expense (interest expense on financial assets) or within interest income (interest income on financial liabilities). Accrued interest is reported in the balance sheet in the same line item as the related financial asset or liability.

The following fees are an integral part of the effective interest rate of a financial instrument with a defined duration:

- Origination fees received relating to the creation or acquisition of a financial asset;
- Commitment fees received to originate a loan when the loan commitment is not measured at fair value through profit or loss and it is probable that Belfius will enter into a specific lending arrangement. If the commitment expires without granting the loan, the fee is recognised as revenue on expiry;
- Origination fees paid on issuing financial liabilities measured at amortised cost.

The underlying basis for calculating the effective interest depends on the status of the financial instrument:

- The gross carrying amount (amortised cost before deducting any expected loss allowances) for non-credit impaired financial assets (stage 1 and 2) or the amortised cost for financial liabilities;
- The net carrying amount (gross carrying amount less expected loss allowances) for credit-impaired financial assets (stage 3).

Interest income for originated or purchased credit-impaired financial assets is recognised by applying the credit-adjusted effective interest rate to the amortised cost of the financial asset. Lifetime expected credit losses are incorporated in the credit-adjusted effective interest rate.

Interest results of trading derivatives are recognised in the line item V. "Net income from financial instruments at fair value through profit or loss", whereas interest results on all other derivatives are recognised in the line items I. "Interest income" or II. "Interest expense". For interest bearing held for trading bonds, Belfius opted to record interest results under the line item I. "Interest income" and II. "Interest expense".

6.10 Financial guarantees

A financial guarantee contract is defined as a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

At transaction date, financial guarantees are recorded in the off balance sheet accounts and the paid or received premium is recognized in the accrual accounts.

The paid or received premium is recognized respectively as commission charges or commission income in accordance with the principles of IFRS 15.

7. Fee and commission income and expense

According to IFRS 15 "Revenue from Contracts with Customers" revenue is recognised to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which Belfius expects to be entitled in exchange for those goods or services. This is applied on an individual contract basis, but a portfolio approach is permitted if the impact on the financial statements will not be materially different from application on an individual contract basis.

Revenue recognition is governed by the following five step model:

- Identification of the contract;
- Identification of separate performance obligations;
- Determination of the transaction price;
- Allocation of the transaction price to performance obligations; and
- Recognition of revenue as of when each performance obligation is satisfied.

A performance obligation is satisfied when the bank transfers control of the services underlying the performance obligation to the customer. Revenue can be recognised either "over time" based upon performance completed to date, milestones reached, recurring services or "at a point in time" when the bank transfers control of the asset to the customer.

For contracts for which Belfius is acting as agent, revenue will be recognised as a net amount of consideration instead of gross amounts of relevant revenue and expenses.

Fees that are not an integral part of the effective interest rate of a financial instrument are accounted for in accordance with IFRS 15. They include:

- Fees charged for servicing a loan;
- Commitment fees to originate a loan when the loan commitment is not measured at fair value through profit or loss and it is unlikely that a specific lending arrangement will be entered into; and
- Loan syndication fees received by the bank for arranging a loan and retaining no part of the loan package for itself (or retaining a part at the same effective interest rate for comparable risk as other participants).

The commissions paid by Belfius Insurance to Belfius Bank for the sale of insurance products are, respectively, recorded in the insurance technical result and the fee and commission income. A separate presentation better reflects the profitability of the business.

8. Insurance and reinsurance activities

8.1 Classification

Belfius Insurance operates in both Life and Non-Life insurance activities.

IFRS 4 (Phase 1) "Insurance contracts" is applied to all insurance contracts where the insurer accepts a significant insurance risk by agreeing to indemnify the policyholder in the event of a well-defined and uncertain occurrence in the future (the insured event). Reinsurance policies that comply with this definition also come under this field of application. In addition, IFRS 4 is also applicable to financial instruments with a discretionary participation feature.

A contract that exposes the issuer to financial risk without significant insurance risk is not an insurance contract and is accounted for as a financial instrument under IFRS 9.

If a contract contains a deposit component (i.e. a contractual component that would be within the scope of IFRS 9 if it were a separate instrument), the deposit component is unbundled and deposit accounting is applicable.

The rules for deposit accounting apply to financial instruments without discretionary profit sharing and to the deposit component of unit-linked (branch 23 type) insurance contracts. This means that the deposit component and the insurance component are valued and presented separately. In this case IFRS 9 and not IFRS 4 is applicable for the valuation and presentation of the deposit component. With deposit accounting, the related premiums and the resulting entry of the obligation are not recorded in the statement of income. The obligations themselves are not recorded in the technical provisions, but under financial liabilities. Associated management charges and commission fees are entered immediately in the statement of income. Payments made are not entered in the statement of income, but result in a reduction of the obligation. For unit-linked (branch 23) contracts, the deposit component and the corresponding investments are valued at their fair value, with variations in the statement of income. The fair value is determined by the number of units, multiplied by the value of the unit that is based on the fair value of the underlying investments.

Group insurance cover for Belfius staff is not within the scope of IFRS 4, but instead is dealt with under the valuation rules for pension schemes.

8.2 Valuation

8.2.1 General

IFRS 4 exempts an insurer from applying the specific criteria to use in developing an accounting policy if no specific IFRS applies, but allows an insurer to continue using its accounting policies prior to IFRS. However, IFRS 4 imposes some limits on this exception:

- No provision may be made for equalisation and disaster;
- A liability adequacy test should be performed;
- An insurance liability shall be removed when, and only when, it is extinguished;

- Reinsurance contracts shall not be offset against related direct insurance contracts; and
- Reinsurance assets should be considered for impairment.

Provision for unearned premiums

The provision for unearned premiums corresponds to the part of the premiums gross of reinsurance but after deduction of the acquisition costs that has to be allocated to a subsequent reporting period to cover the unexpired risk. The change in the provision for unearned premiums is recognised in the statement of income as revenue over the contract period.

The provision for unearned premiums is calculated pro rata temporis for each agreement separately, based on the net premium. For accepted reinsurance, the reserves are recorded based on data passed on by the ceding companies.

Provisions for claims to be paid

The amount of the provision for claims to be paid in the non-life direct business equals the amount owed to beneficiaries, plus the management charges for the claims.

For the reported claims, the provision for the claims to be paid in non-life direct business is calculated on a case-by-case basis, including future settlement costs or as a separate provision for a group of claims. When a claim is settled in the form of annuity payments, the amount that needs to be reserved is calculated based on actuarial methods. For claims 'incurred but not (enough) reported' (IBN(E)R) on reporting date, a provision is determined based on past experience regarding the number and amount of claims reported after the reporting date. Account is also taken of exceptional events and additional provisions are also booked on the basis of statutory requirements, such as for workers' compensation.

Provisions for life insurance

The provision for life insurance is calculated taking account of the statutory requirements and terms regarding the life insurance business. As such, the following apply:

- Valuation using the prospective method: prospective reserving subtracts the actuarial present value of future premiums from the actuarial present value of the future insurance benefits. The calculation is based on the technical terms of the policies. This method is applied to contracts with a guaranteed return on future premiums.
- Valuation using the retrospective method: retrospective reserving subtracts accumulated value of (past) benefits from accumulated value of (past) premium. The calculation is based on the technical terms of the policies, without taking future premiums into account. This method is applied to contracts without a guaranteed return on future premiums.

For accepted reinsurance, a provision is booked separately for each agreement based on the information provided by the ceding party.

As a supplement to the rules set out above, an additional provision is booked for the low interest rate risk and other factors that have an important impact on the adequacy of the technical provisions.

Provision for (discretionary) profit sharing

A discretionary participation feature ("DPF") is a contractual right to receive additional benefits, on top of guaranteed benefits, whose amount or timing is contractually at the discretion of the insurer, also called "profit sharing". Belfius Insurance records a deferred profit sharing for the amount of the expected profit sharing to be shared with policyholders for the in-force business at balance sheet. Belfius has full discretion about its distribution. It is presented as a separate component of equity as it is expected to be distributed to the in-force business in the future upon realization of the gains presented in the OCI reserve in equity.

The amount of deferred profit sharing is reduced by the actual allocation to individual policyholders after the approval of the insurance company's annual ordinary shareholders meeting.

The deferred profit sharing related to unrealized capital gains or losses on allocated investments is recognised in the revaluation reserve in other comprehensive income (equity). Upon realization of the allocated investments, the part of the deferred profit sharing related to these realized capital gains or losses is adjusted and recorded in the insurance technical provisions.

The amount recorded through the statement of income (and presented as a liability) is based on profits realised in the past and is classified within the technical provisions in line with the recognition criteria for provisions (IAS 37).

Reinsurance activities

For accepted reinsurance, a provision is booked separately for each agreement based on the information provided by the ceding party.

For ceded reinsurance, the part of the reinsurer in the technical reserves is recorded as an asset in accordance with the relevant clauses of the reinsurance contract.

A specific reduction in value is applied to the reinsurance assets if:

- there is objective evidence, resulting from an event that occurred after the initial recognition of the reinsurance assets, that the ceding party will not recover all amounts due. Account is taken of the rating and solvency of the reinsurer; and
- the amounts are reliably measurable.

We refer to the rules related to specific impairment.

8.2.2 Liability Adequacy Test – LAT

At the end of each reporting period, Belfius Insurance conducts liability adequacy tests on its technical provisions. If these additional tests indicate that the book value of the technical provisions increased with the net unrealised gains on the investment portfolio allocated to the life and workers' compensation business is insufficient compared to the current value of the estimated future cash flows, an additional technical provision is recorded for this shortfall through the statement of income. These tests are assessed separately for technical provisions Life and technical provisions Non-Life.

For life insurance, an estimate is made of the expected cash flows of contracts, taking into account the assumptions that are also used for other modelling purposes. The present value of

these expected cash flows is determined using a discount curve according to the EIOPA methodology including a volatility adjustment calibrated on Belfius Insurance's investment portfolio.

If the calculated value is higher than the provision for Life insurance, the difference is taken through the statement of profit or loss.

For Non-Life insurance, the liability adequacy test verifies whether the provision for unearned premiums and the provision for claims are sufficient to make a full settlement of the incurred claims and all claims expected to occur within the ongoing insurance coverage period. For workers' compensation the net unrealized gains on the investment portfolio allocated to this business is added to the book reserves.

8.2.3 Shadow accounting

If the realisation of unrealised profits from financial assets measured at FVTOCI recorded under other comprehensive income has an immediate effect on the valuation of the technical provisions, shadow accounting offers a solution through the partial transfer of unrealised investment results from other comprehensive income to technical provisions.

First and foremost, Belfius Insurance applies shadow accounting if the statutory or contractual conditions in the insurance policies state that the realisation of recorded but unrealised profits on clearly defined assets belonging to the insurer has a direct effect on the valuation of the corresponding insurance contracts and investment contracts with DPf. This application occurs mainly in insurance policies managed through funds with dedicated assets.

Belfius Insurance has also decided to recognise a "shadow loss" for the difference between the value of the Life insurance obligations based on the LAT methodology described above on the one hand and the provisions for Life insurance on the other hand increased with the net unrealised gains on the investment portfolio carried at amortised cost and allocated to the life portfolio. This amount is limited to the net unrealised gains recognised in other comprehensive income for financial assets carried at fair value and covering Life insurances.

9. Network costs

Network costs consist of commissions paid to Belfius Bank independent branches and are based on outstanding volumes and production figures. Commissions for the production of interest-bearing financial assets and financial liabilities are included in interest income and expense using the effective interest-rate method.

10. Tangible fixed assets

Tangible fixed assets include property, equipment and investment properties.

All property and equipment are stated at cost less accumulated depreciation and impairments. Subsequent costs are included in the carrying amount of the asset or recognised as a separate component, if it is probable that future economic benefits will flow to Belfius and the cost of the asset can be reliably measured.

Depreciation is calculated using the straight-line method to write down the cost of such assets to their residual values over their estimated useful lives.

The estimated useful lives are:

- buildings (including acquisition costs and non-deductible taxes): 20 to 50 years;
- computer equipment: 1 to 6 years;
- leasehold improvements, equipment and furniture: 2 to 12 years;
- vehicles: 2 to 5 years.

An item of property and equipment can be composed of significant parts with individually varying useful lives. In such a case, each part is depreciated separately over its estimated useful life. The following parts have been defined for the head offices used starting 2006:

- structure of the building: 50 years;
- roof and frontage: 30 years;
- technical installations: 10 to 20 years;
- fixtures and fittings: 10 to 20 years.

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset form part of the cost of that asset and are capitalised.

Tangible fixed assets are tested for impairment when an indication of impairment loss exists. If the carrying amount of an asset is greater than its estimated recoverable amount, it is written down to its recoverable amount. The recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use. Where the recoverable amount of an asset cannot be determined individually, Belfius determines the recoverable amount of the cash-generating unit or group of cash-generating units to which the asset belongs.

After the recognition of an impairment loss, the depreciation charge for the asset shall be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any) on a systematic basis over its remaining useful life.

Gains and losses on disposals of property and equipment are included under the item VI. "Net income on investments and liabilities".

Investment properties are those properties held to earn rentals or for capital appreciation. Belfius may also partly use such properties. If the "own use" portions can be sold separately or leased out separately under finance lease, then these portions are accounted for separately. If the "own use" portions cannot be sold separately, the property will be considered as an investment property only if Belfius holds an insignificant portion for its own use.

Investment properties are recorded at cost less accumulated depreciation and impairments. The investment properties are depreciated over their useful lives on a straight-line basis. Depreciation on buildings and other assets given in operating lease are booked under in the line item XI. "Other expenses". Belfius shall transfer a property to or from investment property when there is evidence of a change in use.

11. Intangible assets

An intangible asset is recognised if, and only if, it is probable that the expected future economic benefits that are attributable to the asset will flow to Belfius (by using reasonable and supportable assumptions) and the cost of the asset can be measured reliably.

Within Belfius intangible assets consist mainly of:

- (a) internal development expenditures; and
- (b) acquired software.

The costs associated with maintaining computer software programmes are recognised as expense as incurred. However, expenditure that enhances or extends the benefits of computer software programmes beyond one year is added to the original cost of the software. Internal development costs recognised as assets are amortised using the straight-line method over their useful lives from the time the developed item is available for use.

An acquired customer portfolio is amortised using the straight-line method over the expected life of the portfolio taking into account the expected loss of customers in the acquired portfolio.

As borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset form part of the cost of that asset, they are capitalised. Other borrowing costs are recognised as an expense.

Intangible assets (other than goodwill) are tested for impairment when an indication of impairment loss exists. If the carrying amount of an asset is greater than its estimated recoverable amount, it is written down to its recoverable amount. The recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use. Where the recoverable amount of an asset cannot be determined individually, Belfius determines the recoverable amount of the cash-generating unit or group of cash-generating units to which the asset belongs.

After the recognition of an impairment loss, the depreciation charge for the asset shall be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any) on a systematic basis over its remaining useful life. Gains and losses on disposals of intangible assets are determined by reference to their carrying amount and are included in line item VI. "Net income on investments and liabilities".

12. Goodwill

12.1 Measurement of goodwill

Goodwill is an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised.

It is measured as the difference between:

- The sum of the following elements:
 - consideration transferred;
 - amount of any non-controlling interests in the acquiree;
 - fair value of the acquirer's previously held equity interest in the acquiree (if any).

- Minus the fair value determined at acquisition date of the identifiable assets acquired and the liabilities assumed.

If, after reassessment, this difference is negative ("badwill"), it is recognised immediately in profit or loss as a bargain purchase gain.

12.2 Impairment of goodwill

The carrying amount of goodwill is reviewed at year-end. For the purpose of this impairment testing, Belfius allocates goodwill to cash-generating units (CGUs) or groups of such units.

When circumstances or events indicate that there may be uncertainty about the carrying amount, goodwill is written down for impairment when the recoverable amount of the CGU or group of CGUs to which it has been allocated is lower than the carrying value.

The recoverable amount is the higher of the fair value less cost to sell or the value in use. The "value in use" is the sum of the future cash flows that are expected to be derived from a CGU. Expected cash flows used by Belfius are those of the financial budget approved by management.

The calculation of the "value in use" shall also reflect the time value of money (current risk-free rate of interest) corrected for the price for bearing the uncertainty inherent in the asset. This is reflected in the discount rate.

13. Other assets

Other assets mainly include accrued income (other than interest prorata), prepayments, operational taxes and other accounts receivable. They also include assets from insurance contracts (reinsurance, insurance premiums receivables, etc.), construction contracts, inventories and plan assets relating to employee benefit obligations.

14. Non-current assets (disposal group) held for sale and discontinued operations

If the carrying amount of a non-current asset (or disposal group) is recovered principally through a sale transaction rather than through continuing use, it will be classified as "held for sale".

Belfius measures a non-current asset (or disposal group) classified as held for sale at the lower of its carrying amount and its fair value less costs to sell. Non-current assets (or disposal groups) classified as held for sale are presented separately in the balance sheet, without restatement for previous periods. These assets are no longer depreciated once they qualify as assets (or disposal groups) held for sale.

A discontinued operation is defined as a component of an entity that either has been disposed of or is classified as held for sale and represents a separate major line of business or geographical area of operations. Post-tax profit or loss of discontinued operations is presented under a separate line in the statement of income.

15. Leases

15.1 Belfius is the lessee

Belfius enters into leases principally for the rental of equipment or real estate.

Belfius as a lessee recognises leases as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use. Assets and liabilities arising from a lease are initially measured on a present value basis.

Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payments that are based on an index or a rate;
- amounts expected to be payable by the lessee under residual value guarantees;
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the lessee shall use the lessee's incremental borrowing rate.

Lease liabilities are not presented separately, but are included within the line item "IV.A Debt securities issued and other financial liabilities - Measured at amortised cost" in the balance sheet (statement of financial position).

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- restoration costs.

The right-of-use assets are depreciated on a straight-line basis over the shorter of the asset's useful life and the lease term.

The right-of-use assets are included within the same line item "IX. Tangible fixed assets" as that within which the corresponding underlying assets would be presented if they were owned.

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss.

15.2 Belfius is the lessor

Belfius grants both operating and finance leases.

Revenue from operating leases is recognised in the statement of income on a straight-line basis over the lease term. The underlying asset is accounted for in accordance with the accounting policies applicable to this type of asset.

For finance leases, Belfius recognises "leases receivable" at an amount equal to the net investment in the lease, which can be different from the present value of minimum lease payments.

The interest rate implicit in the lease contract is the discount rate. Interest income is recognised over the term of the lease using the interest rate implicit in the lease.

16. Income taxes

If Belfius concludes that it is not probable that the taxation authority will accept a tax uncertainty for current and deferred taxes, Belfius reflects the effect of the uncertainty in determining the related taxable profit (or loss) or tax base.

16.1 Current tax

Current tax for current and prior periods shall, to the extent unpaid, be recognised as a liability. If the amount already paid in respect of current and prior periods exceeds the amount due for those periods, the excess shall be recognised as an asset. Income tax consequences of dividends are recognised in profit or loss, other comprehensive income or equity according to where the past transactions or events that generated the distributable profit were recognised.

16.2 Deferred tax

Deferred tax is recognised in full, using the balance sheet method, on temporary differences between the tax bases of assets and liabilities and their carrying amounts in the financial statements.

Deferred taxes are measured at tax rates that are expected to apply to the period when the asset is realised or the liability settled, based on tax rates (and tax laws) that have been enacted or substantively enacted.

Deferred tax assets and liabilities are not discounted. Deferred tax assets on deductible temporary differences and tax loss carry-forwards are recognised to the extent that it is probable that future taxable profit will be available against which the temporary differences and tax losses can be utilised.

A deferred tax liability is recognised on taxable temporary differences arising from investments in subsidiaries, associates and joint ventures, to the extent that Belfius is able to control the timing of the reversal of the temporary difference and it is probable that the difference will not reverse in the foreseeable future.

Deferred tax related to the fair value re-measurement of assets measured at fair value through other comprehensive income and cash flow hedges, and other transactions recorded directly in equity, are also credited or charged directly to equity.

17. Employee benefits

17.1 Short-term benefits

Short-term benefits are expected to be wholly settled within twelve months after the end of the annual reporting period in which the employee renders service. These are measured on an undiscounted basis and recognised as an expense.

17.2 Post-employment benefits

Post-employment benefits include retirement benefits (annuity or lump sum payments on retirement) and other post-employment benefits such as medical care granted after the completion of the employment.

17.2.1 Defined benefit plans

Employee benefit obligations are measured at the present value of the estimated future cash outflows based on interest rates determined by reference to market yields on high quality corporate bonds that have terms to maturity approximating to the terms of the related liability. When there is no deep market in such bonds, the market yields on government bonds shall be used. The valuation technique for the assessment of pension expenses incorporates actuarial assumptions comprising both demographic assumptions and financial assumptions such as the inflation rate, salary increase.

The amount recognised in the balance sheet for the defined benefit plan is the difference between the present value of the defined benefit obligation (using the Projected Unit Credit Method) and the fair value of any plan assets. This amount may be presented as a liability or an asset.

In case of a net asset, the amount recognised is limited to the asset ceiling, which is the present value of any economic benefits available for Belfius in the form of refunds from the plan or reductions in future contributions to the plan.

Remeasurements of the net defined benefit liability (asset) are recognised in other comprehensive income and are never reclassified to profit or loss. Remeasurements arise from the effect of changes in demographic and financial assumptions, from experience adjustments, the return on plan assets and any change in the effect of the asset ceiling.

17.2.2 Defined contribution plans

The contributions of Belfius related to defined contribution plans are charged to the statement of income in the year to which they relate.

Due to the legal minimum guaranteed rate of return imposed by the Belgian State, Belgian contribution plans are considered as defined benefit plans under IAS 19 and presented as such.

Given the change in legislation at the end of 2015 (i.e. the minimum guaranteed returns on employer and employee contributions decreased respectively from 3.25% and 3.75% to 1.75%), the valuation of the obligation of the Belgian defined contribution plans is based on the defined benefit methodology i.e. the Projected Unit Credit Method.

17.3 Other long-term benefits

A benefit is classified as other long-term employee benefits when the payment is not expected to be wholly settled before

twelve months after the end of the annual closing period in which the employee renders service. These mainly include provisions for jubilee premiums and bonuses that employees receive after completion of specified periods of service.

Due to the smaller degree of uncertainty compared with post-employment benefits, a simplified method based on actuarial calculations is required to recognise and measure jubilees and other long-term benefits. A provision is set up for the estimated liability as a result of services rendered by employees up to the balance-sheet date and remeasurements are recognised in the statement of income.

17.4 Termination benefits

Termination benefits result either from a decision of Belfius to terminate the employment before the normal date of retirement or an employee's decision to accept redundancy payments from Belfius for termination of employment. Any benefit that requires future service is not a termination benefit.

A termination benefit provision is recognised at the earlier of when related restructuring costs are recognised and when Belfius can no longer withdraw the offer of those benefits.

18. Provisions and contingent liabilities

Provisions are mainly recognised for litigation claims, restructuring and loan commitments. Provisions are measured at the present value of the best estimate of expenditures required to settle the obligation. The discount rate is the pre-tax rate that reflects current market assessments of the time value of money.

Provisions are recognised when:

- Belfius has a present legal or constructive obligation as a result of past events;
- it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- a reliable estimate of the amount of the obligation can be made.

Provisions on loan commitments and financial guarantees not measured at fair value are recognised when there is uncertainty about the creditworthiness of the counterparty. Please refer to impairment section 6.5.

Unless the possibility of an outflow of resources embodying economic benefits is remote, a contingent liability is disclosed. A contingent liability is continually assessed to determine whether an outflow of resources embodying economic benefits has become probable. If it becomes probable that an outflow of future economic benefits will be required for an item previously dealt with as a contingent liability, a provision is recognised in the period in which the change in probability occurs (except in the extremely rare circumstances where no reliable estimate can be made).

19. Levies

Levies are outflows of resources embodying economic benefits imposed by governments on entities as identified by the legislation (i.e laws and/or regulations) other than income taxes, fines or other penalties imposed for breaches of the legislation.

Belfius recognises a liability when the obligating event occurs. All levies are taken upfront in full (no accrual accounting permitted) in the line item XI. "Other expenses" and the related amounts due are booked in line item XII. "Other liabilities".

20. Share capital

Belfius recognises its dividends on its ordinary shares as a liability from the date on which they are declared. Any dividends for the year declared post-balance-sheet date are disclosed in the subsequent events note.

21. Fiduciary activities

Assets and related income that are held by Belfius, together with related undertakings to return such assets to customers, are excluded from the financial statements if Belfius acts in a fiduciary capacity such as a nominee, trustee or agent.

22. Government grants

Government grants are assistance by government in the form of transfers of resources, other than credit lending stimulation instruments, to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. They are not recognised until there is reasonable assurance that the entity will comply with the attached conditions and that the grant will be received. Government refers to government, government agencies and similar bodies such as community institutions.

The benefit of a government loan at a below market rate of interest is recognised in profit or loss on a systematic basis considering the conditions and obligations that have been met, or must be, met when identifying the costs for which the grants are intended.

Abbreviations used

AC	Amortised cost
CFH	Cash flow hedge
ECL	Expected credit loss
FVO	Fair value option
FVTOCI	Fair value through other comprehensive income
FVTPL	Fair value through profit or loss
OCI	Other comprehensive income
SPPI	Solely payments of principal and interest

IV. Operating segments reporting

(Some amounts may not add up due to roundings)

Analytically, Belfius splits its activities and accounts in three segments: Retail and Commercial (RC), Public and Corporate (PC) and Group Center (GC); with RC and PC containing the key commercial activities of Belfius.

→ **Retail and Commercial (RC)**, managing the commercial relationships with individual customers and with small & medium sized enterprises both at bank and insurance level.

→ **Public and Corporate (PC)**, managing the commercial relationships with public sector, social sector and corporate clients both at bank and insurance level.

→ **Group Center (GC)**, containing the residual results not allocated to the two commercial segments. This mainly consists of results from Bond and Derivative portfolio management.

1. Balance sheet

(In thousands of EUR)	31/12/19		
	Assets	Liabilities	Equity
Retail and Commercial	63,317,187	84,343,343	2,818,659
Public and Corporate	43,425,604	25,707,680	2,676,038
Group Center	65,696,673	51,882,442	5,011,303
TOTAL	172,439,465	161,933,465	10,506,000
of which banking group ⁽¹⁾	154,214,724	144,514,599	9,700,126
of which insurance group ⁽¹⁾	18,224,740	17,418,866	805,875

(1) The assets, liabilities and equity represent the contributions of the Belfius Insurance and Belfius Bank groups to the consolidated balance sheet.

The assets and liabilities allocated to Retail and Commercial (RC) and Public and Corporate (PC) reflect the commercial activities of those business lines. Where RC shows an excess of funding, PC is more asset driven. As a whole, the commercial balance sheet shows a funding excess with a sound 89% loan to deposit ratio at the end of December 2020.

Note that there are no internal sales or purchases between segments, these assets and liabilities within a segment are those generated and originated by the business lines.

The equity allocated to Retail and Commercial (RC) and Public and Corporate (PC) is a normative regulatory equity. The norma-

tive regulatory equity of the business line is calibrated. The business line's CET 1 ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line and some CET 1 capital deductions allocated to the business line (to a very limited extent, since the most important part of CET 1 capital deductions are allocated to GC).

Please note that the capital for the insurance activities is allocated to each business line in proportion to its contribution to Belfius Insurance Solvency II SCR requirements. Any non allocated capital is reported in Group Center.

(In thousands of EUR)	31/12/20		
	Assets	Liabilities	Equity
Retail and Commercial	66,350,990	91,197,850	2,484,593
Public and Corporate	43,372,364	29,029,216	2,678,945
Group Center	78,268,079	57,030,970	5,569,860
TOTAL	187,991,433	177,258,036	10,733,397
of which banking group ⁽¹⁾	170,212,056	160,239,032	9,973,024
of which insurance group ⁽¹⁾	17,779,378	17,019,004	760,373

(1) The assets, liabilities and equity represent the contributions of the Belfius Insurance and Belfius Bank groups to the consolidated balance sheet.

Following the strong growth of the mortgage and business loans the assets of Retail and Commercial have increased compared to end 2019. Similarly, an increase can be noted on the liability side following the increase of the saving and sight deposits.

At Public and Corporate an increase in deposits can be noted compared to end 2019. At the assets side, the loan production remained stable.

Considering the liquidity management at Belfius, additional cash was deposited at the National Bank of Belgium which is shown as an increase in the assets of the Group Center. At the liability side, further drawings on TLTRO were performed.

2. Statement of income

A. Segmentation by business line

	31/12/19			
(In thousands of EUR)	Retail and Commercial	Public and Corporate	Group Center	Total
INCOME	1,731,081	550,426	207,079	2,488,587
Net interest income bank	855,012	436,047	196,964	1,488,023
Net Fee and commissions bank	516,869	48,043	(1,813)	563,099
Life insurance contribution	248,375	47,798	(1,645)	294,528
Non-life insurance contribution	200,357	(1,310)	(0)	199,047
Other	(89,532)	19,848	13,574	(56,110)
EXPENSES	(1,056,648)	(228,346)	(167,385)	(1,452,379)
GROSS INCOME	674,433	322,081	39,694	1,036,208
Impairments on financial instruments and provisions for credit commitments	(36,841)	(77,229)	2,632	(111,438)
Impairments on tangible and intangible assets	(7,511)	750	0	(6,761)
NET INCOME BEFORE TAX	630,082	245,602	42,327	918,010
Total tax (expense) income	(168,613)	(66,884)	(16,411)	(251,907)
NET INCOME AFTER TAX	461,469	178,718	25,916	666,103
Attributable to non-controlling interests	(2,582)	(1)	1,188	(1,395)
Attributable to equity holders of the parent	464,051	178,717	24,728	667,495

	31/12/20			
(in thousands of EUR)	Retail and Commercial	Public and Corporate	Group Center	Total
INCOME	1,745,356	613,104	255,189	2,613,649
Net interest income bank	851,808	483,469	254,308	1,589,585
Net Fee and commissions bank	571,845	56,644	(6,317)	622,172
Life insurance contribution	231,796	41,718	(27)	273,488
Non-life insurance contribution	213,968	30,102	(0)	244,069
Other	(124,061)	1,171	7,225	(115,666)
EXPENSES	(1,080,034)	(245,682)	(139,203)	(1,464,919)
GROSS INCOME	665,322	367,422	115,986	1,148,730
Impairments on financial instruments and provisions for credit commitments	(182,953)	(303,543)	33,363	(453,133)
Impairments on tangible and intangible assets	(16,614)	0	0	(16,614)
NET INCOME BEFORE TAX	465,755	63,879	149,349	678,984
Total tax (expense) income	(108,298)	(12,112)	(26,949)	(147,360)
NET INCOME AFTER TAX	357,457	51,767	122,400	531,624
Attributable to non-controlling interests	(1,133)	0	1,142	9
Attributable to equity holders of the parent	358,590	51,767	121,258	531,615

Retail and Commercial net income decreased from EUR 464 million in 2019 to EUR 359 million in 2020. This is mainly due to an exceptional increase of impairments, as a result of the Covid-19 crisis. The net interest income of the bank decreased slightly due to margin pressure on non-maturing deposits, partially compensated by loan volume growth at increasing margins. Net fees and commissions increased due to higher fees from savings & investments following volume growth and increasing entry and management fees (in bps). Insurance contribution increased as a result of excellent non-life results in all three distribution channels resulting from lower claims charges despite the recognition of a claims provision to anticipate the new version of the indicative tables, partially compensated by decreasing Life income mainly due to negative evolution of financial instruments at fair value through profit or loss and lower capital gains.

Note that the expenses increased slightly, in line with Belfius' strategic development, digital and human investment programs and the accelerated depreciations on internally developed software given the rapid changes in technology and the accelerated uptake of digital services.

Public and Corporate net income decreased from EUR 179 million in 2019 to EUR 52 million in 2020. Despite good commercial results of the Bank activity the income has been strongly reduced by a high increase of impairments on financial instruments and provisions for credit commitments amounting to EUR -304 million in 2020 linked to the Covid-19 crisis. The net interest income increased thanks to a large restructuring of a specific corporate leasing file, as well as higher loan volumes, control of the margin and strict pricing discipline on savings and investments. Non-life

insurance contribution increased as a result of a further run-off of a non-profitable portfolio.

Group Center net income stands at EUR 121 million in 2020, compared to EUR 25 million in 2019. The income increased following the increase in net interest income due to interest rates transformation results and money market transactions with i.a. the impact of the two-tier system set by the ECB applicable as from end of October 2019 (as a consequence, the exempt tier of

excess liquidity holdings will be remunerated at an annual rate of 0% instead of a negative rate) and the impact of TLTRO III. Expenses decreased mainly following lower general expenses and a lower restructuring provision than in the previous year. Impairments on financial instruments and provisions for credit commitments improved due to the reversal of a provision on certain files.

Refer to the chapter Segment reporting of the Management Report for a detailed description of the segment results.

B. Segmentation by contribution scope

	31/12/19		
	Contribution Bank into group	Contribution Insurance into group	Total
(In thousands of EUR)			
INCOME	1,966,583	522,004	2,488,587
Net interest income	1,488,023	412,150	1,900,173
Dividend income	18,489	51,790	70,279
Net income from equity method companies	3,579	1,339	4,918
Net income from financial instruments at fair value through profit or loss	97,246	(1,098)	96,148
Net income on investments and liabilities	(3,887)	57,077	53,190
Net fee and commission income	563,099	16,473	579,572
Technical result from insurance activities	0	(19,975)	(19,975)
Other income & expense	(199,965)	4,248	(195,718)
EXPENSES	(1,205,006)	(247,373)	(1,452,379)
GROSS INCOME	761,578	274,631	1,036,208
Impairments on financial instruments and provisions for credit commitments	(118,066)	6,628	(111,438)
Impairments on tangible and intangible assets	(1,375)	(5,386)	(6,761)
NET INCOME BEFORE TAX	642,137	275,873	918,010
Total tax (expense) income	(181,306)	(70,601)	(251,907)
NET INCOME AFTER TAX	460,831	205,272	666,103
Attributable to non-controlling interests	23	(1,415)	(1,393)
Attributable to equity holders of the parent	460,808	206,687	667,495

	31/12/20		
	Contribution Bank into group	Contribution Insurance into group	Total
(In thousands of EUR)			
INCOME	2,069,292	544,357	2,613,649
Net interest income	1,589,585	401,921	1,991,506
Dividend income	14,142	36,123	50,265
Net income from equity method companies	1,785	3,064	4,848
Net income from financial instruments at fair value through profit or loss	47,108	(23,021)	24,086
Net income on investments and liabilities	14,935	39,582	54,517
Net fee and commission income	622,172	18,770	640,942
Technical result from insurance activities	0	67,851	67,851
Other income & expense	(220,436)	69	(220,368)
EXPENSES	(1,207,430)	(257,488)	(1,464,919)
GROSS INCOME	861,861	286,869	1,148,730
Impairments on financial instruments and provisions for credit commitments	(447,699)	(5,433)	(453,133)
Impairments on tangible and intangible assets	(13,778)	(2,836)	(16,614)
NET INCOME BEFORE TAX	400,384	278,600	678,984
Total tax (expense) income	(80,987)	(66,373)	(147,360)
NET INCOME AFTER TAX	319,398	212,227	531,624
Attributable to non-controlling interests	23	(14)	9
Attributable to equity holders of the parent	319,375	212,240	531,615

The statement of income represents the contributions of the Belfius Bank group (i.e. Belfius Bank with all its subsidiaries apart from the Belfius Insurance group) as well as the Belfius Insurance group (i.e. Belfius Insurance with its subsidiaries).

The contribution of Belfius Insurance increased with EUR 7 million from EUR 205 million at 31 December 2019 to EUR 212 million at 31 December 2020. Due to the difficult economic environment with historically low interest rates, the outstanding volumes Branch 21 decreased. Life results are under pressure due to the negative evolution of the debt instruments measured at fair value and lower capital gains. 2020 was marked by a strong improvement of the Non-Life results compared to previous year, mainly resulting from lower claims charges relating to the Covid-19 confinement period. Despite continuous cost control, costs increased after further investments in IT systems, as well as the renewal of the core insurance applications, more own-development costs are being capitalised resulting in increased depreciation of intangible assets. Furthermore, Belfius Insurance recognised accelerated depreciations in 2020 due to the revised useful life of internally developed software given the rapid changes in technology and the accelerated uptake of digital services. Impairments on financial instruments and provision for

credit commitments recognised in the statement of income increased, resulting from the new downward macro economic situation parameters as well as certain management overlays for certain risk pockets.

The contribution of Belfius Bank decreased with EUR 141 million. Belfius Bank result was strongly affected by the Covid-19 outbreak. Impairments on financial instruments and provision for credit commitments recognised in the statement of income increased by EUR 330 million resulting from the new downward macro economic situation parameters as well as certain management overlays specific risk pockets. In addition, volatility of the credit spreads and of the equity markets negatively impacted the net results from financial instruments measured at fair value through profit or loss. Furthermore, Belfius recognised accelerated depreciations in 2020 due to the revised useful life of internally developed software given the rapid changes in technology and the accelerated uptake of digital services. Nevertheless, despite pressure of the lower interest rate environment, net interest income increased, mainly due to higher volumes in commercial assets combined with a strict pricing discipline and the negative interest on the TLTRO III. The commission income evolved positively, mainly in asset management.

V. Notes on the assets of the consolidated balance sheet

(some amounts may not add up due to rounding)

5.1. Cash and cash equivalents

Cash and cash equivalents include financial instruments with an original maturity less than or equal to 90 days.

Analysis by nature

(In thousands of EUR)	31/12/19	31/12/20
Cash and balances with central banks other than mandatory reserves	5,821,928	24,474,132
Mandatory reserves with central banks ⁽¹⁾	894,000	960,000
Loans and advances due from credit institutions	4,749,919	166,793
Debt securities	260,048	280,975
TOTAL	11,725,894	25,881,900

(1) The "Mandatory reserves" include the minimum reserve deposits that Belfius has with the European Central Bank (ECB) or with other central banks.

5.2. Cash and balances with central banks

Analysis by nature

(In thousands of EUR)	31/12/19	31/12/20
Cash in hand	568,107	464,804
Balances with central banks other than mandatory reserve deposits	5,253,820	24,008,996
Mandatory reserves deposits ⁽¹⁾	894,000	960,000
TOTAL	6,715,928	25,433,799
Of which included in cash and cash equivalents	6,715,928	25,434,132
Cash and balances with central banks other than mandatory reserves	568,107	24,474,132
Mandatory reserves with central banks	6,147,820	960,000

(1) The "Mandatory reserves deposits" includes the minimum reserve deposits that Belfius has with European Central Bank or with other central banks.

Cash and balances with central banks increased by EUR 18.7 billion, or 278.7%, to EUR 25.4 billion (31 December 2019: EUR 6.7 billion). Belfius deposits part of the TLTRO III at the NBB, within the framework of its liquidity management.

As from end of October 2019, the ECB two-tier system is applicable. As a consequence, the exempt tier of excess liquidity holdings will be remunerated at an annual rate of 0% instead of a negative rate.

5.3. Loans and advances due from credit institutions

1. Summary Totals

(In thousands of EUR)	31/12/19	31/12/20
Measured at amortised cost	16,207,838	11,911,665
Measured at fair value through other comprehensive income	0	0
Measured at fair value through profit and loss	0	0
TOTAL	16,207,838	11,911,665

2. Analysis by nature

A. Not measured at fair value through profit or loss

	31/12/19		31/12/20	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Cash collateral	11,214,926	0	11,634,209	0
Sight accounts	179,704	0	110,775	0
Reverse repurchase agreements	4,710,034	0	52,705	0
Financial lease	73,236	0	65,985	0
Term loans	30,413	0	48,498	0
Impaired loans (stage 3)	0	0	0	0
Less:				
impairment (stages 1,2 and 3)	(476)	0	(506)	0
TOTAL	16,207,838	0	11,911,665	0
Of which included in cash and cash equivalents	4,749,919	0	166,793	0

Loans and advances due from credit institutions decreased with EUR 4.3 billion, or 26.5%, to EUR 11.9 billion (31 December 2019: EUR 16.2 billion). The decrease in reverse repurchase agreements

of EUR 4.7 billion, due to money market movements, was partially offset by an increase of cash collateral paid of EUR 0.4 billion.

Not measured at fair value through profit or loss - breakdown

	31/12/19		31/12/20	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Gross amount (stage 1)	16,203,829	0	11,900,622	0
less impairment allowance (stage 1)	(420)	0	(87)	0
Gross amount (stage 2)	4,484	0	11,550	0
less impairment allowance (stage 2)	(56)	0	(419)	0
Gross amount credit - Impaired (stage 3)	0	0	0	0
Impairment on credit - impaired (stage 3)	0	0	0	0
TOTAL	16,207,838	0	11,911,665	0

B. Measured at fair value through profit and loss

Nil.

3. Analysis of quality

See note 9.2.

4. Analysis of the fair value

See note 9.1.

5.4. Loans and advances

1. Summary Totals

(In thousands of EUR)	31/12/19	31/12/20
Measured at amortised cost	93,391,477	96,811,908
Measured at fair value through other comprehensive income	0	0
Measured at fair value through profit and loss	1,553,002	1,296,142
TOTAL	94,944,479	98,108,050

Loans and advances increased by EUR 3.2 billion, or 3.3%, to EUR 98.1 billion (31 December 2019: EUR 94.9 billion), stemming from an increase in loans of EUR 2.9 billion (mainly term and mortgage

loans) in line with our strategy to further develop our commercial franchise and to support the Belgian economy. Cash collateral increased by EUR 0.3 billion.

2. Analysis by counterparty

A. Not measured at fair value through profit or loss

	31/12/19		31/12/20	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Public entities	20,041,857	0	18,992,951	0
Corporate & Small and Medium Enterprises	34,485,724	0	36,749,676	0
Households	38,521,182	0	40,899,947	0
Impaired loans (stage 3)	1,858,603	0	1,997,262	0
Less:				
impairment (stages 1,2 and 3)	(1,515,890)	0	(1,827,928)	0
TOTAL	93,391,477	0	96,811,908	0

Not measured at fair value through profit or loss – breakdown

	31/12/19		31/12/20	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Gross amount (stage 1)	85,614,903	0	84,330,020	0
less impairment allowance (stage 1)	(198,110)	0	(133,883)	0
Gross amount (stage 2)	7,433,860	0	12,312,554	0
less impairment allowance (stage 2)	(159,466)	0	(495,220)	0
Gross amount credit - Impaired (stage 3)	1,858,603	0	1,997,262	0
Impairment on credit - impaired (stage 3)	(1,158,313)	0	(1,198,825)	0
TOTAL	93,391,477	0	96,811,908	0

An important increase in stage 2 gross amounts can be noted following the update of the underlying macro-economic scenarios and their weights, in line with EBA guidance, to reflect the changes in the economic environment and perspectives following the Covid-19 crisis. Furthermore, Belfius has applied management overlays on expected credit losses for certain risk pockets (defined in terms of sectors, groups of companies or

individual exposures) in the loan portfolios that were particularly hit by the Covid-19 pandemic. Refer to table 9.2.8. movements in allowances for credit losses for further information.

The gross amount in stage 1 decreased due to the shift towards stage 2, partially compensated by new production of commercial loans.

B. Measured at fair value through profit and loss

	31/12/19			
	Financial assets held for trading ⁽¹⁾	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss ⁽²⁾	Total
(In thousands of EUR)				
Public entities	0	0	1,418,217	1,418,217
Corporate & Small and Medium Enterprises	0	0	117,148	117,148
Households	17,637	0	0	17,637
TOTAL	17,637	0	1,535,365	1,553,002

	31/12/20			
	Financial assets held for trading ⁽¹⁾	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss ⁽²⁾	Total
(In thousands of EUR)				
Public entities	0	0	1,212,713	1,212,713
Corporate & Small and Medium Enterprises	0	0	79,164	79,164
Households	4,265	0	0	4,265
TOTAL	4,265	0	1,291,877	1,296,142

(1) Belfius warehouses mortgage loans, for a limited period of time, before transferring these mortgage loans to an external party.

(2) It mainly concerns loans to the public and social sector with specifically structured interest rate features that do not pass the SPPI-test and are therefore measured at fair value through profit and loss.

Loans and advances measured at fair value through profit and loss decreased due to repayments.

3. Analysis by nature

A. Not measured at fair value through profit or loss

	31/12/19		31/12/20	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Cash collateral	925,091	0	1,253,820	0
Reverse repurchase agreements	245,676	0	192,766	0
Financial lease	3,456,738	0	3,443,743	0
Other Loans and advances ⁽¹⁾	88,421,257	0	91,752,244	0
Of which bills and own acceptances	62,850	0	112,179	0
Of which consumer loans	1,749,463	0	1,704,347	0
Of which mortgage loans ⁽²⁾	35,592,409	0	38,052,041	0
Of which term loans ⁽³⁾	48,420,772	0	49,486,482	0
Of which current accounts	1,417,909	0	1,242,910	0
Of which other loans and advances ⁽⁴⁾	1,177,855	0	1,154,285	0
Impaired loans (stage 3)	1,858,603	0	1,997,262	0
Less				
impairment (stages 1,2 and 3)	(1,515,890)	0	(1,827,928)	0
TOTAL	93,391,477	0	96,811,908	0

(1) The underlying pool of loans of the covered bonds (Pandbrieven) amount to EUR 12.5 billion (31 December 2019: EUR 10.4 billion). This covered pool guarantees the outstanding covered bonds, of which EUR 5.3 billion mortgage covered bonds (31 December 2019: EUR 5.6 billion) and EUR 2.5 billion public covered bonds (31 December 2019: EUR 2.5 billion). We also refer to note 9.3.4. on Transfer of financial assets which do not qualify for derecognition in the consolidated balance sheet.

(2) End 2019, EUR 4.4 billion "mortgage loans" were securitised. In 2020, this decreased to EUR 3.2 billion. We also refer to note 12. "Securitisations" and to note 9.3.4. on Transfer of financial assets which do not qualify for derecognition in the consolidated balance sheet.

(3) End 2019, EUR 1.8 billion "term loans" were securitised. In 2020, this decreased to EUR 1.6 billion. We also refer to note 12. "Securitisations" and to note 9.3.4. on Transfer of financial assets which do not qualify for derecognition in the consolidated balance sheet.

(4) Other loans and advances concern mainly factoring activities.

B. Measured at fair value through profit and loss

	31/12/19			Total
	Financial assets held for trading ⁽¹⁾	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss ⁽²⁾	
(In thousands of EUR)				
Mortgage loans	17,637	0	0	17,637
Public sector loans	0	0	1,535,365	1,535,365

	31/12/20			Total
	Financial assets held for trading ⁽¹⁾	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss ⁽²⁾	
(In thousands of EUR)				
Mortgage loans	4,265	0	0	4,265
Public sector loans	0	0	1,291,877	1,291,877

(1) Belfius warehouses mortgage loans, for a limited period of time, before transferring these mortgage loans to an external party.

(2) It mainly concerns loans to the public and social sector with specifically structured interest rate features that do not pass the SPPI-test and are therefore measured at fair value through profit and loss.

Loans and advances measured at fair value through profit and loss decreased due to repayments.

4. Analysis of quality

See note 9.2.

5. Analysis of the fair value

See note 9.1.

5.5. Debt securities & Equity instruments

1. Summary Totals

(In thousands of EUR)	31/12/19	31/12/20
Measured at amortised cost	22,476,427	22,039,067
Measured at fair value through other comprehensive income	5,257,278	5,170,430
Measured at fair value through profit and loss	1,755,860	1,639,368
TOTAL	29,489,565	28,848,865

The Belfius Banking Group contributed EUR 17.3 billion (31 December 2019: EUR 17.6 billion) to the debt securities and equity instruments portfolio and the Belfius Insurance Group contributed EUR 11.6 billion (31 December 2019: EUR 11.9 billion).

Two types of business models can be distinguished within Belfius group. The bond portfolios within the banking group are managed within a business model whose objective is to "held to collect" contractual cash flows until maturity apart from certain positions that were classified as "held to collect and sell". The debt securi-

ties of the insurance group are managed according to their ALM policies and guidelines, resulting in the insurance group having determined that a part of this portfolio should be defined as "held to collect" and certain debt securities as "held to collect and sell" to cover the liquidity needs within Belfius Insurance.

Seeing that certain bond positions did not comply with the solely payment of principal and interest on the principal amount outstanding, a classification at fair value through profit and loss was required. It mainly concerns monetary funds within Belfius Insurance.

2. Analysis by nature

A. Not measured at fair value through profit or loss

	31/12/19		31/12/20	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Debt securities issued by public sector	10,937,183	2,424,145	10,787,351	2,579,447
Other debt securities	11,724,838	1,390,747	11,406,395	1,307,461
Equity instruments	0	1,461,737	0	1,303,641
Impaired debt securities (stage 3)	1,782	0	4,268	0
Less:				
impairment (stages 1,2 and 3)	(187,376)	(19,350)	(158,946)	(20,119)
TOTAL	22,476,427	5,257,278	22,039,067	5,170,430
Of which included in cash and cash equivalents	260,048	0	280,975	0

The debt securities measured at amortised cost decreased by EUR 0.4 billion, or 1.9%, to EUR 22.0 billion (31 December 2019: EUR 22.5 billion) following the sale of certain Italian government bonds with a book value of EUR 0.6 billion at Belfius Bank, as well as disposals at Belfius Insurance. Belfius concluded that the sales are consistent with a "held to collect" business model. Refer to chapter Accounting Principles.

The financial assets measured at fair value through other comprehensive income decreased by EUR 0.1 billion, or 1.7%, to EUR 5.2 billion (31 December 2019: EUR 5.3 billion). This is ascribed to the disposal of some equity instruments (EUR 0.4 billion) as well as to negative fair value adjustments on equity instruments following declining stock markets compared with the 2019 year-end. Debt securities increased due to positive fair value adjustments resulting from lower interest rates despite higher credit spreads compared with the 2019 year-end.

Debt securities not measured at fair value through profit or loss - breakdown

	31/12/19		31/12/20	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Gross amount (stage 1)	14,598,711	2,924,874	14,452,574	2,954,263
less impairment allowance (stage 1)	(1,471)	(1,790)	(2,165)	(2,554)
Gross amount (stage 2)	8,063,309	890,018	7,741,171	932,645
less impairment allowance (stage 2)	(185,065)	(17,560)	(153,455)	(17,565)
Gross amount credit - Impaired (stage 3)	1,782	0	4,268	0
Impairment on credit - impaired (stage 3)	(840)	0	(3,325)	0
TOTAL	22,476,427	3,795,542	22,039,067	3,866,789

B. Measured at fair value through profit and loss

	31/12/19			Total
	Financial assets held for trading	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss	
(In thousands of EUR)				
Debt securities issued by public sector	150,513	0	115,604	266,116
Other debt securities	406,186	0	870,387	1,276,573
Equity instruments	213,163	0	8	213,171
TOTAL	769,861	0	985,999	1,755,860

	31/12/20			Total
	Financial assets held for trading	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss	
(In thousands of EUR)				
Debt securities issued by public sector	153,144	0	112,936	266,081
Other debt securities	344,815	0	750,483	1,095,299
Equity instruments	277,979	0	9	277,988
TOTAL	775,939	0	863,428	1,639,368

The debt securities measured at fair value through profit or loss decreased by EUR 0.1 billion, or 6.6%, to EUR 1.6 billion (31 December 2019: EUR 1.8 billion) due to some disposals out of the funds portfolio (EUR 0.1 billion) and to negative fair value adjustments, caused by declining stock markets following the Covid-19 pandemic.

C. Measured at fair value through other comprehensive income - Equity

The table below presents the reason why the equity instruments were designated at fair value through other comprehensive income.

	31/12/19		
	Reason for designation	Fair Value	Dividend income recognised
(In thousands of EUR)			
Strategic portfolio insurance - real estate	Risk and ALM purposes	567,883	27,304
Strategic portfolio insurance - various underlying	Risk and ALM purposes	683,699	24,487
Strategic portfolio bank	Risk and ALM purposes	210,155	11,989
TOTAL		1,461,737	63,779

	31/12/20		
	Reason for designation	Fair Value	Dividend income recognised
(In thousands of EUR)			
Strategic portfolio insurance - real estate	Risk and ALM purposes	464,177	21,156
Strategic portfolio insurance - various underlying	Risk and ALM purposes	642,202	14,967
Strategic portfolio bank	Risk and ALM purposes	197,261	6,277
TOTAL		1,303,641	42,400

The table below presents the reason why the equity instruments designated at fair value through other comprehensive income were sold.

	31/12/19			
	Reason for disposal	Fair Value at derecognition date	Transfer of cumulative gain or loss within equity	Dividend income recognised
(In thousands of EUR)				
Strategic portfolio insurance - real estate	Risk and ALM purposes	134,703	3,008	7,330
Strategic portfolio insurance - various underlying	Risk and ALM purposes	138,045	67	3,413
Strategic portfolio bank	Risk and ALM purposes	1,783	1,462	22
TOTAL		274,531	4,537	10,765

	31/12/20			
	Reason for disposal	Fair Value at derecognition date	Transfer of cumulative gain or loss within equity	Dividend income recognised
(In thousands of EUR)				
Strategic portfolio insurance - real estate	Risk and ALM purposes	43,980	(30,036)	1,077
Strategic portfolio insurance - various underlying	Risk and ALM purposes	306,837	(21,966)	2,412
Strategic portfolio bank	Risk and ALM purposes	6,447	235	0
TOTAL		357,264	(51,767)	3,489

3. Analysis of quality

See note 9.2.

4. Analysis of the fair value

See note 9.1.

5.6. Derivatives

1. Analysis by nature

(In thousands of EUR)	31/12/19		31/12/20	
	Assets	Liabilities	Assets	Liabilities
Derivatives held for trading	11,730,118	11,087,539	10,720,643	10,794,164
Derivatives designated as fair value hedges	140,853	2,586,173	482	2,804,810
Derivatives designated as cash flow hedges	228,879	398,778	70,285	190,640
Derivatives designated as portfolio hedge	1,204,858	4,557,626	1,396,703	4,520,541
TOTAL	13,304,709	18,630,116	12,188,113	18,310,156

A decrease in the fair value of derivatives can be noted, mainly due to the impact of the offsetting for derivatives concluded with LCH following new reassignments, partially compensated by low-

er interest rates. The total impact of the offsetting for derivatives concluded with LCH amounted to EUR 7.8 billion end 2020, compared to EUR 7.2 billion end 2019. Refer to note 9.3.6. Offsetting.

2. Detail of derivatives held for trading

(In thousands of EUR)	31/12/19				31/12/20			
	Notional amount ⁽¹⁾		Assets	Liabilities	Notional amount ⁽¹⁾		Assets	Liabilities
	To receive	To deliver			To receive	To deliver		
Foreign exchange derivatives	20,410,656	20,477,827	1,459,212	1,488,943	24,893,783	24,781,432	1,314,015	1,178,127
Interest rate derivatives	189,787,061	192,739,148	9,872,717	9,273,749	182,446,922	187,051,381	9,002,354	9,346,108
Credit derivatives	2,056,841	1,502,650	113,285	124,566	2,334,260	1,381,606	96,187	106,806
Equity derivatives	5,844,910	5,708,489	284,904	200,282	6,687,037	6,862,864	308,087	163,124
TOTAL	218,099,469	220,428,113	11,730,118	11,087,539	216,362,001	220,077,283	10,720,643	10,794,164

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated.

The derivatives position of Belfius originated partially from the fact that Belfius was the competence center for derivatives within the former Dexia Group. These derivatives were hedged externally for market risk. The derivatives between Belfius Bank and Dexia Group entities remained in the scope of Belfius after the sale of Belfius to the Belgian State in 2011. The credit risk thereon is mitigated through the use of collateral (Credit Support Annex).

Seeing the restrictions under IFRS for hedge accounting, certain economic hedges cannot be classified as hedge derivatives un-

der IFRS. As a result, several economic hedges are considered as trading derivatives while hedging f.e. credit risk (f.e. itraxx derivatives) or basis risk stemming from hedge inefficiency (f.e. basis swaps).

For additional information on related market risk, refer to note 9.5. "Market Risk" as well as note 7.4. "Net income from financial instruments at fair value through profit or loss" for more information regarding the economic hedges.

3. Fair Value Hedges

A. Detail of derivatives designated as fair value hedges

(In thousands of EUR)	31/12/19				31/12/20			
	Notional amount ⁽¹⁾		Assets	Liabilities	Notional amount ⁽¹⁾		Assets	Liabilities
	To receive	To deliver			To receive	To deliver		
Interest rate derivatives	5,431,555	5,318,128	140,074	2,582,178	5,586,122	5,493,102	482	2,747,325
of which interest rate swaps	4,631,926	4,631,926	852	1,796,588	4,840,185	4,840,185	482	2,002,080
of which cross currency interest rate swaps	799,630	686,202	139,222	785,591	745,938	652,917	0	745,244
Credit derivatives ⁽²⁾	1,322,285	0	779	3,995	1,322,285	0	0	57,486
TOTAL	6,753,840	5,318,128	140,853	2,586,173	6,908,407	5,493,102	482	2,804,810

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated. Note that a forward sale contract mentions only one notional amount.

(2) Belfius Insurance has concluded "spreadlock" derivatives in order to hedge the asset swap spread on certain bond positions. The purpose of these transactions is to protect the Solvency II ratio. More in particular, the spreadlock transaction locks in a forward assets swap spread at the moment of the conclusion of the transaction. Seeing that the spreadlock is defined to hedge the asset swap spread (i.e. all risks except changes in fair value due to benchmark interest rate) of specific bond positions, the derivative is presented as a credit derivative for which fair value hedge accounting has been set up.

B. Detail of hedged exposure

The following table contains details of the hedged exposures covered by the Belfius' hedging strategies.

	31/12/19			
	Carrying amount of hedged item	Assets or liabilities included in hedge of a net position (before netting)	Accumulated amount of fair value adjustments on the hedged item	Accumulated amount of fair value hedged adjustments in the statement of financial positions in case of rupture
(In thousands of EUR)				
Financial assets measured at fair value through other comprehensive income	103,710	0	5	0
Credit ⁽¹⁾	103,710	0		
Financial assets measured at amortised cost	10,384,217	0	1,154,621	2,622,764
Interest rate	9,078,196	0		
Credit ⁽¹⁾	1,306,021	0		

	31/12/20			
	Carrying amount of hedged item	Assets or liabilities included in hedge of a net position (before netting)	Accumulated amount of fair value adjustments on the hedged item	Accumulated amount of fair value hedged adjustments in the statement of financial positions in case of rupture
(In thousands of EUR)				
Financial assets measured at fair value through other comprehensive income	151,366	0	5,295	(4,137)
Credit ⁽¹⁾	151,366	0		
Financial assets measured at amortised cost	10,982,359	0	1,965,519	2,349,882
Interest rate	9,636,945	0		
Credit ⁽¹⁾	1,345,414	0		

(1) Belfius Insurance has concluded "spreadlock" derivatives in order to hedge the asset swap spread on certain bond positions. The purpose of these transactions is to protect the Solvency II ratio. More in particular, the spreadlock transaction locks in a forward assets swap spread at the moment of the conclusion of the transaction. Seeing that the spreadlock is defined to hedge the asset swap spread (i.e. all risks except changes in fair value due to benchmark interest rate) of specific bond positions, the derivative is presented as a credit derivative for which fair value hedge accounting has been set up.

In the table, the carrying amount of hedged items in a fair value hedge is broken down by accounting portfolio. The accumulated amount of fair value adjustments on the hedged item includes the gains and losses on the hedged items that, as a consequence of hedge accounting, have adjusted the carrying amount of those items. Accumulated amount of fair value hedged adjustments in the statement of financial positions in case of rupture includes those hedge adjustments which, following the discontinuation of the hedge relationship and the end of the adjustment of hedged items for hedging gains and losses, remain to be amortised to the profit or loss via a recalculated effective interest rate for hedged items measured at amortised cost, or to the amount that represents the previously recognised cumulative hedging gain or loss for hedged assets measured at fair value through other comprehensive income.

C. Detail of the hedge documentation

To ensure the hedge relationship qualifies for hedge accounting, a formal documentation is prepared and the effectiveness is assessed on an ongoing basis throughout the hedging relationship.

Belfius applies fair value hedging to interest rate and foreign exchange risks on certain bonds (micro hedge). Belfius mainly uses plain vanilla interest rate swaps except for non EUR bonds where plain vanilla interest rate & currency swaps are used.

The fair value used for the measurement of hedge effectiveness is based on the fair value movements of the derivatives in the balance sheet and the fair value movement of the hedged risk of the hedged item (generally through a hypothetical derivative).

For Fair Value hedging, the prospective test is based on a critical terms comparison between the hedging instrument and the hedged item. Retrospective testing is done by applying a dollar offset method (comparison of fair value hedged item and hedging instrument) and comparing it with well-defined limits.

End 2020 all hedge effectiveness tests were respected.

Refer to note 7.4. "Net income from financial instruments at fair value through profit or loss" for more information regarding the measurement of hedge effectiveness.

4. Cash flow hedges

A. Detail of derivatives designated as cash flow hedges

	31/12/19				31/12/20			
	Notional amount ⁽¹⁾		Assets	Liabilities	Notional amount ⁽¹⁾		Assets	Liabilities
	To receive	To deliver			To receive	To deliver		
(In thousands of EUR)								
Foreign exchange derivatives	6,302,791	6,354,064	228,879	398,778	6,269,615	6,289,505	70,285	190,640
of which cross currency swaps	6,302,791	6,354,064	228,879	398,778	6,269,615	6,289,505	70,285	190,640
TOTAL	6,302,791	6,354,064	228,879	398,778	6,269,615	6,289,505	70,285	190,640

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated.

Estimated cashflows from cashflow hedging derivatives per time bucket

(In thousands of EUR)	Inflow	Outflow
Not more than three months	3,102,852	(4,354,549)
More than three but not more than six months	3,102,852	(4,344,607)
More than six months but not more than one year	2,405,945	(4,303,252)
More than one but not more than two years	2,405,945	(4,234,918)
More than two but not more than five years	2,405,945	(4,036,678)
More than five years	2,044,023	(2,884,661)

B. Detail of hedged exposure

Cash flow hedges are performed on highly probable future cash flows.

Belfius has restructured certain derivative contracts by eliminating certain optionalities. In particular, in some derivative contracts, Belfius does not have the option to choose the currency for its collateral posting anymore. As a result, Belfius needs to pay more collateral in GBP instead of in EUR. In order to hedge this additional collateral demand in GBP, Belfius has entered into some Cross Currency Swaps whereby GBP is received in exchange for EUR. These Cross Currency Swaps are recorded in a cash flow hedge relationship for the currency risk on a "highly probable forecasted transaction", whereby Belfius demonstrates that the collateral to be paid is higher than the notional of the Cross Currency Swap.

Belfius decided to cover the risk of variability of cash flows and foreign currency changes stemming from incoming invoices charging Belfius for services in foreign currencies. In order to hedge this risk, Belfius concluded Cross Currency Swaps which are recorded in a cash flow hedge relationship for the currency risk on a "highly probable forecasted transaction". Belfius demonstrates that the invoiced amounts are higher than the amounts received through the Cross Currency Swaps. Note that Belfius is closely following up the impact of the reference rate reform. However, at this stage, no impact on hedge accounting is noted as it concerns short term cash flows (6 months / 3 months) that will be adapted simultaneously between forecasted cash flow and the hedging instruments.

C. Detail of the hedge documentation

To ensure the hedge relationship qualifies for hedge accounting, a formal documentation is prepared and the effectiveness is assessed on an ongoing basis throughout the hedging relationship.

Belfius decided to cover the risk of variability of cash flows and foreign currency changes stemming from incoming invoices charging Belfius for services in foreign currencies. In order to hedge this risk, Belfius concluded Cross Currency Swaps which are recorded in a cash flow hedge relationship for the currency risk on a "highly probable forecasted transaction". Belfius demonstrates that the invoiced amounts are higher than the amounts received through the Cross-Currency Swaps. Note that Belfius is closely following up the impact of the reference rate reform. However, at this stage, no impact on hedge accounting is noted as it concerns short term cash flows (6 months / 3 months) that will be adapted simultaneously between forecasted cash flow and the hedging instruments.

For cash flow hedging, the prospective test is based on a critical terms comparison between the hedging instrument and the hedged item. Retrospective testing is done by applying a dollar offset method (comparison of fair value hedged item and hedging instrument) and comparing it with well-defined limits. Note that for a forecasted transaction, an analysis is performed to assure that the expected cash flows are still highly likely.

End 2020 all hedge effectiveness tests were respected.

Refer to note 7.4. "Net income from financial instruments at fair value through profit or loss" for more information regarding the measurement of hedge effectiveness.

D. Reconciliation of equity in relation to hedge accounting

For more information on the reconciliation of each component of equity and an analysis of other comprehensive income in relation to hedge accounting, refer to notes 1.3. "Consolidated

statement of comprehensive income" and 1.4. "Consolidated statement of change in equity".

5. Portfolio hedge

A. Detail of derivatives of portfolio hedge

(In thousands of EUR)	31/12/19				31/12/20			
	Notional amount ⁽¹⁾		Assets	Liabilities	Notional amount ⁽¹⁾		Assets	Liabilities
	To receive	To deliver			To receive	To deliver		
Interest rate derivatives	41,736,420	41,728,558	1,204,858	4,557,626	41,202,512	41,194,420	1,396,703	4,520,541
TOTAL	41,736,420	41,728,558	1,204,858	4,557,626	41,202,512	41,194,420	1,396,703	4,520,541

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated.

B. Detail of the hedge documentation

To ensure the hedge relationship qualifies for hedge accounting, a formal documentation is prepared and the effectiveness is assessed on an ongoing basis throughout the hedging relationship.

The accumulated gain/loss on the hedged item in portfolio hedge of interest rate risk on the balance sheet in line items VII. "Gain/loss on the hedged item in portfolio hedge of interest rate risk" amounts to EUR 4.6 million assets and EUR 0.4 million liabilities at year-end 2020 compared to EUR 4.9 million assets and EUR 0.3 million liabilities at year-end 2019.

For macro hedging, the prospective test is based on a volume test in which we demonstrate that (by entity, currency and time bucket) the amount of hedged items remains larger than the amount of hedging instruments (in term of notional as well as in term of interest cash flows). Retrospective testing, performed on a quarterly basis, is done by applying a dollar offset method (comparison of fair value hedged item and hedging instrument) and comparing it with well-defined limits.

End 2020 all hedge effectiveness tests were respected.

Refer to note 7.4. "Net income from financial instruments at fair value through profit or loss" for more information regarding the measurement of hedge effectiveness.

6. Interest rate benchmark reform

A. Introduction

The introduction of the EU Benchmark Regulation 2016/1011 triggered an interest rate benchmark reform for major financial benchmarks such as LIBOR and impacts a significant range of financial products and contracts.

Belfius monitors the benchmark reform on several levels given the significant impact of this reform on the industry. Task forces have been created to ensure a smooth transition from IBORs to the new Risk Free Rates in case of cessation. During 2020, Belfius has successfully completed the transition of the discounting curves EONIA to €STR and FedFunds to SOFR for its centrally cleared derivatives and certain counterparties without a material impact on accounting figures. Note that the completed transitions are only completed with regard to the discount curves, the reference rates are yet to transition.

The interest rate benchmark reform exposes Belfius to various risks, which Belfius is managing and monitoring closely. These risks include but are not limited to the following:

- Dispute risks with contracts that do not have robust fallback clauses;
- Business risks if no alternative product offer can be proposed;
- Profitability risks if the impacts cannot be fully compensated;
- Model risks if models are not correctly/timely adjusted;
- Operational risk arising from changes to Belfius' IT systems and processes.

B. Accounting implications

A project from the IASB has been set up to determine the possible accounting implications from this reference rate reform. It has been split in 2 phases: phase 1 dealing with possible pre-replacement issues and phase 2 dealing with possible replacement issues. The aim is to provide temporary reliefs from applying

specific hedge accounting requirements to hedging relationships directly affected by uncertainties related to IBOR reform. While earlier application is permitted, Belfius decided not to early adopt the amendments.

In order to give some insights in the importance of the benchmark rate reform, following quantitative information could be provided:

→ An overview of Belfius' derivatives (in nominal amounts) that have yet to transition to an alternative benchmark rate at 31 December 2020, disaggregated by significant interest rate benchmark.

(In thousands of EUR)	IFRS Hedging	Trading	Total
EUR LIBOR	0	697,024	697,024
CHF LIBOR	0	112,435	112,435
GBP LIBOR	4,821,318	15,974,416	20,795,734
JPY LIBOR	0	3,356,027	3,356,027
USD LIBOR	6,537,914	22,418,967	28,956,881
TOTAL	11,359,232	42,558,869	53,918,101

→ An overview of Belfius' non derivative financial assets and liabilities (book value) that have yet to transition to an alternative benchmark rate at 31 December 2020, disaggregated by significant interest rate benchmark.

(In thousands of EUR)			
Currency	Tenor	Assets	Liabilities
AUD	12M	0	452,435
	1M	1,688	0
	3M	187,626	312
	6M	0	49
AUD TOTAL		189,315	814
CAD	12M	0	248
	3M	55,182	173
	6M	0	4,770
CAD TOTAL		55,182	5,191
GBP	12M	0	398
	1W	0	3,345
	3M	1,293,589	85,550
	6M	68,736	2,788
GBP TOTAL		1,362,324	92,080
HKD	1W	0	279
HKD TOTAL		0	279
USD	12M	8,175	1,570
	1M	24,572	4,646
	1W	0	14,797
	3M	104,481	539,954
	4M	172	0
	6M	138,717	29,215
USD TOTAL		276,117	590,183
TOTAL		1,882,938	688,547

5.7. Investments in equity method companies

1. Carrying value

(In thousands of EUR)	2019	2020
CARRYING VALUE AS AT 1 JANUARY	47,949	64,124
Acquisitions ⁽¹⁾	8,770	5,341
Disposals	0	0
Changes in scope of consolidation (in) ⁽²⁾	4,899	26,792
Changes in scope of consolidation (out)	0	0
Share of result before tax	5,876	5,847
Share of tax	(958)	(999)
Dividend paid	(2,412)	(2,225)
Transfers	0	0
CARRYING VALUE AS AT 31 DECEMBER	64,124	98,880

(1) The acquisitions concern capital payments for the investment company M80 Capital in 2019 and 2020.

(2) The investment in Team Cyclis (47.45%) is consolidated since 2019 through the equity method. Belfius has consolidated the investments in Skipr (32.63%) for EUR 6 million, Fairville (33.33%) for EUR 0.8 million and Vicinity Affordable Housing Fund (48.03%) for EUR 20 million since 2020 through the equity method.

2. List of equity method companies

(In thousands of EUR)	Book value		Website
	2019	2020	
Isabel SA	7,753	8,409	www.isabel.eu
Erasmus Garden SA	3,497	2,952	
L'Economie populaire de Ciney CVBA (EPC) ⁽¹⁾	21,769	22,323	
Payconiq Belgium NV	6,223	6,860	
De Haan Vakantiehuizen	10,165	10,875	
M80 Capital CV	9,818	15,883	
Team Cyclis NV	4,899	5,284	
Skipr NV	0	5,502	
Fairville NV	0	792	
Vicinity Affordable Housing Fund CV	0	20,000	
TOTAL	64,124	98,880	

(1) Although Belfius owns the majority of the shares in EPC, it does not have substantiated control over the investment as (a) there is a limitation of the voting rights and (b) no shareholder/control agreements exist.

3. Financial information of the joint arrangements and associates evaluated through the equity method

(In thousands of EUR)	Assets	Liabilities	Equity	Net income	Net asset value	%	Annual report, as at
ASSOCIATES							
Isabel SA	43,960	13,211	30,749	4,399	30,749	24.00%	31/12/2019
L'Economie populaire de Ciney CVBA (EPC)	82,095	49,898	32,197	1,718	32,197	61.37%	31/12/2019
Payconiq Belgium NV	34,299	13,769	20,530	(1,364)	20,530	22.50%	31/12/2019
De Haan Vakantiehuizen	77,552	36,893	40,659	2,659	40,659	25.00%	31/12/2019
M80 Capital CV	44,459	146	44,313	(2,219)	44,313	18.70%	31/12/2019
Team Cyclis NV	7,101	5,720	1,382	408	1,382	47.45%	31/12/2019
Skipr NV	2,237	437	1,801	(1,693)	1,801	32.63%	31/12/2019
Fairville NV ⁽¹⁾						33.33%	
Vicinity Affordable Housing Fund CV ⁽¹⁾						48.03%	
JOINT VENTURES							
Erasmus Garden SA	29,825	25,105	4,720	2,263	4,720	50.00%	31/12/2019

(1) Financial information of recently created associates is not available at this stage.

There are no significant or material commitments towards the joint ventures.

There are no significant restrictions on the equity method companies, on their ability to access or use assets, and settle liabilities, of the group.

5.8. Tangible fixed assets

1. Net book value

	Land and buildings		Office furniture and other equipment		Investment property	Total
	Own use owner	Own use Right-of-use asset	Own use owner	Own use Right-of-use asset	Own use owner	
(In thousands of EUR)						
ACQUISITION COST						
AS AT 1 JANUARY 2019	1,304,645	2,507	383,317	2,714	693,523	2,386,707
Acquisitions ⁽¹⁾	11,772	4,284	4,427	0	140,833	161,315
Subsequent expenditures	(4,734)	0	0	0	10,371	5,637
Post-acquisition adjustments	0	0	0	0	(1,268)	(1,268)
Disposals ⁽²⁾	(27,914)	(99)	(14)	(2,714)	(2,425)	(33,166)
Change in scope of consolidation (in) ⁽³⁾	0	0	0	0	19,192	19,192
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations	(8,148)	(12)	(1,674)	0	(6,741)	(16,575)
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	52,213	0	0	(0)	52,213
ACQUISITION COST						
AS AT 31 DECEMBER 2019 (A)	1,275,620	58,894	386,056	0	853,485	2,574,056
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 1 JANUARY 2019	(727,004)	(2,501)	(334,510)	(1,824)	(255,260)	(1,321,099)
Accumulated depreciation	(697,914)	(2,501)	(334,510)	(1,824)	(253,475)	(1,290,225)
Accumulated impairment	(29,090)	0	0	0	(1,784)	(30,874)
Post-acquisition adjustments	0	0	0	0	0	0
Depreciation: booked	(24,062)	(5,304)	(8,320)	0	(21,863)	(59,549)
Impairment: booked	(1,536)	0	0	0	0	(1,536)
Write-back	0	0	2	0	161	162
Disposals ⁽²⁾	8,143	4	14	1,824	114	10,100
Change in scope of consolidation (in) ⁽³⁾	0	0	0	0	(416)	(416)
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations	6,039	12	1,673	0	5,716	13,440
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	0	0	0	197	197
ACCUMULATED DEPRECIATION AND IMPAIRMENT						
AS AT 31 DECEMBER 2019 (B)	(738,419)	(7,789)	(341,143)	0	(271,351)	(1,358,701)
Accumulated depreciation	(709,577)	(7,789)	(341,143)	0	(269,305)	(1,327,813)
Accumulated impairment	(28,842)	0	0	0	(2,046)	(30,888)
NET BOOK VALUE						
AS AT 31 DECEMBER 2019 (A)+(B)	537,202	51,105	44,913	0	582,135	1,215,355

(1) Acquisitions mainly include leasing contracts for the construction of property. Disposals include the delivery of these leasing contracts and the assets are at that moment reclassified to loans and advances.

(2) Disposals include the delivery of the leasing contracts and the sale of bank agencies.

(3) Change in scope of consolidation (in) concerns the acquisition of Immo Trèfles.

	Land and buildings		Office furniture and other equipment		Investment property	Total
	Own use owner	Own use Right-of-use asset	Own use owner	Own use Right-of-use asset		
(In thousands of EUR)						
ACQUISITION COST AS AT 1 JANUARY 2020	1,275,620	58,894	386,056	0	853,485	2,574,056
Acquisitions ⁽¹⁾	12,582	1,774	11,429	0	7,979	33,764
Subsequent expenditures	(5)	0	0	0	10,420	10,415
Post-acquisition adjustments	0	0	0	0	0	0
Disposals ⁽²⁾	(27,368)	(217)	(58)	0	(58,819)	(86,462)
Change in scope of consolidation (in) ⁽³⁾	0	0	0	0	39,749	39,749
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations	(11,621)	(220)	(3,368)	0	(10,194)	(25,404)
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	0	11	0	0	11
ACQUISITION COST AS AT 31 DECEMBER 2020 (A)	1,249,208	60,231	394,068	0	842,620	2,546,128
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 1 JANUARY 2020	(738,419)	(7,789)	(341,143)	0	(271,351)	(1,358,701)
Accumulated depreciation	(709,577)	(7,789)	(341,143)	0	(269,305)	(1,327,813)
Accumulated impairment	(28,842)	0	0	0	(2,046)	(30,888)
Post-acquisition adjustments	0	0	0	0	0	0
Depreciation: booked	(22,301)	(5,276)	(8,122)	0	(23,802)	(59,502)
Impairment: booked ⁽⁴⁾	(14,125)	0	0	0	(6)	(14,131)
Write-back	347	0	0	0	0	347
Disposals ⁽²⁾	17,355	0	1	0	35,159	52,515
Change in scope of consolidation (in)	0	0	0	0	0	0
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations	10,317	220	3,368	0	9,343	23,249
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	0	(8)	0	0	(7)
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 31 DECEMBER 2020 (B)	(746,825)	(12,845)	(345,904)	0	(250,656)	(1,356,230)
Accumulated depreciation	(706,833)	(12,845)	(345,904)	0	(249,020)	(1,314,602)
Accumulated impairment	(39,992)	0	0	0	(1,635)	(41,628)
NET BOOK VALUE AS AT 31 DECEMBER 2020 (A)+(B)	502,382	47,386	48,165	0	591,964	1,189,898

(1) Acquisitions mainly include leasing contracts for the construction of property. Disposals include the delivery of these leasing contracts and the assets are at that moment reclassified to loans and advances.

(2) Disposals include the delivery of the leasing contracts, the sale of bank agencies and the sale of the Galilee Building by Belfius Insurance.

(3) Change in scope of consolidation (in) concerns the acquisition of Philadelphus.

(4) Impairments are included in the line XVII. Impairments on tangible and intangible assets of the income statement.

2. Fair value of investment property

(In thousands of EUR)	2019	2020
TOTAL	822,479	820,698
Fair value subject to an independent valuation ⁽¹⁾	719,800	717,972
Fair value not subject to an independent valuation	102,678	102,726

(1) The line "Fair value subject to an independent valuation" includes investment property for which an external valuation or a recent transaction price is available.

5.9. Intangible assets

	Internally developed software	Other intangible assets	Total
(In thousands of EUR)			
ACQUISITION COST AS AT 1 JANUARY 2019	355,412	149,216	504,628
Acquisitions ⁽¹⁾	70,882	26,051	96,934
Disposals	0	(750)	(750)
Transfers and cancellations	(26,369)	(1,787)	(28,156)
Other movements	(0)	(58)	(58)
ACQUISITION COST AS AT 31 DECEMBER 2019 (A)	399,926	172,672	572,598
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 1 JANUARY 2019	(219,566)	(93,565)	(313,131)
Accumulated amortisation	(215,684)	(93,419)	(309,103)
Accumulated impairment	(3,882)	(146)	(4,029)
Amortisation and impairment: booked	(57,710)	(23,819)	(81,529)
Disposals	0	290	290
Transfers and cancellations ⁽²⁾	26,369	1,787	28,156
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 31 DECEMBER 2019 (B)	(250,907)	(115,307)	(366,215)
Accumulated amortisation	(247,025)	(109,922)	(356,947)
Accumulated impairment ⁽³⁾	(3,882)	(5,386)	(9,268)
NET BOOK VALUE AS AT 31 DECEMBER 2019 (A)+(B)	149,018	57,365	206,384

(1) During the year internally developed software costs were capitalised. The internally developed software relates to several ongoing IT projects at Belfius. These projects relate to the further digitalisation and innovation of Belfius IT platforms and applications.

(2) Transfers and cancellations mainly include cancellations of own developed software.

(3) An impairment of EUR 5.4 million was recorded on intangible assets invested for the project Jane, whereby Belfius aims to offer a sensor enabled monitoring solution for the elderly whereby they'll be able to stay longer in their own homes without special assistance. The management decided on this adjustment following the revised businessplan which presents a break-even further in time, taken into account new commercial assumptions.

	Internally developed software	Other intangible assets	Total
(In thousands of EUR)			
ACQUISITION COST AS AT 1 JANUARY 2020	399,926	172,672	572,598
Acquisitions ⁽¹⁾	93,873	15,423	109,296
Disposals	0	(91)	(91)
Transfers and cancellations ⁽²⁾	(22,936)	(160)	(23,097)
Other movements	69	(21)	48
ACQUISITION COST AS AT 31 DECEMBER 2020 (A)	470,933	187,823	658,755
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 1 JANUARY 2020	(250,907)	(115,307)	(366,215)
Accumulated amortisation	(247,025)	(109,922)	(356,947)
Accumulated impairment	(3,882)	(5,386)	(9,268)
Amortisation and impairment: booked ⁽³⁾	(92,335)	(26,950)	(119,286)
Disposals	0	67	67
Transfers and cancellations ⁽²⁾	22,936	160	23,097
Other movements	(56)	(530)	(585)
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 31 DECEMBER 2020 (B)	(320,362)	(142,560)	(462,922)
Accumulated amortisation ⁽³⁾	(316,480)	(133,787)	(450,267)
Accumulated impairment ⁽⁴⁾	(3,882)	(8,772)	(12,655)
NET BOOK VALUE AS AT 31 DECEMBER 2020 (A)+(B)	150,570	45,263	195,833

(1) During the year internally developed software costs were capitalised. The internally developed software relates to several ongoing IT projects at Belfius. These projects relate to the further digitalisation and innovation of Belfius IT platforms and applications.

(2) Transfers and cancellations mainly include cancellations of own developed software.

(3) Belfius recognised accelerated depreciations in 2020 due to the revised useful life of internally developed software given the rapid changes in technology and the accelerated uptake of digital services.

(4) An impairment was recorded on intangible assets invested for the project Jaimy in 2020 given the rapid changes in technology and the accelerated uptake of digital services.

5.10. Goodwill

(In thousands of EUR)	Positive goodwill	
	2019	2020
ACQUISITION COST AS AT 1 JANUARY	129,886	129,886
ACQUISITION COST AS AT 31 DECEMBER (A)	129,886	129,886
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 1 JANUARY	(25,920)	(25,920)
Accumulated amortisation	(25,920)	(25,920)
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 31 DECEMBER (B)	(25,920)	(25,920)
Accumulated amortisation	(25,920)	(25,920)
Accumulated impairment	0	0
NET BOOK VALUE AS AT 31 DECEMBER (A)+(B)	103,966	103,966

Positive goodwill relates to goodwill on Belfius Insurance.

The annual impairment test did not require an impairment on goodwill. The impairment test was performed by comparing the equity value of Belfius Insurance with the "value in use". This value in use was determined based on a discounted cash flow model with the following inputs:

- financial plan for 5 years;
- discount rate: a cost of equity of 10%; and
- a long term growth rate for Belgium of 0.5%.

Note that the financial plan has only a limited impact on the impairment test. The main drivers are the discount curve and

long term growth rate. Based on that scenario, a surplus could be identified, note that there have been no change in parameters compared to last year.

For 2019 and 2020, all scenarios (ranging from a growth rate from -2% to +2% and a discount rate of 6% to 12%) showed that no impairment was required. The assumptions for these scenarios are aligned with the expected evolution of the results in the financial plan and with the market conditions for capital costs. Only if the required cost of equity (discount curve) amounts to 17% together with a growth rate of 0.0%, would an impairment start to become necessary. At a cost of equity of 10%, impairment would start at a negative growth rate of 16% after realisation of the financial plan.

5.11. Deferred tax assets and liabilities

1. Analysis

(In thousands of EUR)	31/12/19	31/12/20
Deferred income tax liabilities	(55,108)	(16,190)
Deferred income tax assets	357,027	450,379
DEFERRED TAXES	301,919	434,189
Not recognised deferred tax assets ⁽¹⁾	(72,308)	(80,610)
NET RECOGNISED DEFERRED TAX ASSETS	229,611	353,579

(1) The increase of not recognized deferred tax assets concerns unrecognized tax losses carried forward at Jane, Jaimy and Belfius Ireland.

2. Movements

(In thousands of EUR)	31/12/19	31/12/20
AS AT 1 JANUARY	291,985	229,611
Movements of the year	(62,373)	123,968
Statement of income charge/credit	(36,852)	83,206
Items related to "Other Comprehensive Income" ⁽¹⁾	(51,175)	40,603
Effect of change in tax rates – statement of income	(2,968)	0
Effect of change in tax rates – equity	28,046	0
Variation of scope of consolidation	0	38
Foreign exchange adjustments	0	0
Other movements	576	120
AS AT 31 DECEMBER	229,611	353,579

(1) Evolution due to changes in deferred taxes on fair value revaluation through OCI and deferred tax on remeasurement of pension plans.

A. Deferred tax coming from assets of the balance sheet

	31/12/19		31/12/20	
(In thousands of EUR)	Total	Of which impact in result	Total	Of which impact in result
Cash and balances with central banks	0	0	0	0
Loans and advances	25,222	5,852	87,514	60,098
Debt securities	(186,428)	(29,759)	(221,655)	(6,531)
Equity	0	0	0	0
Derivatives	17,440	160,222	(66,253)	(104,818)
Gain/loss on the hedged item in portfolio hedge of interest rate risk	(978,787)	120,669	(904,229)	74,558
Investments in equity method companies	0	0	0	0
Other	9,172	(21,768)	2,222	(7,408)
Tangible fixed assets	(8,854)	(19,922)	(9,660)	(827)
Intangible assets	19,102	(396)	15,273	(3,437)
Goodwill	0	0	0	0
Other assets	(427)	(800)	(2,894)	(3,296)
Non current assets (disposal group) held for sale and discontinued operations	(650)	(650)	(497)	153
TOTAL	(1,113,381)	235,216	(1,102,402)	15,900

B. Deferred tax coming from liabilities of the balance sheet

	31/12/19		31/12/20	
	Total	Of which impact in result	Total	Of which impact in result
(In thousands of EUR)				
Cash and balances from central banks	0	0	0	0
Credit institutions borrowings and deposits	1	1	0	(1)
Customer borrowings and deposits	1,034	(2,423)	1,299	264
Debt securities issued	80,095	72,846	70,045	(10,051)
Technical provisions of insurance companies	61,497	(14,277)	92,451	(37,557)
Derivatives	1,014,732	(327,941)	1,003,251	(11,482)
Gain/loss on the hedged item in portfolio hedge of interest rate risk	65,677	16,847	93,362	27,685
Other	106,530	(18,466)	178,096	99,615
Provisions and contingent liabilities	75,433	(29,303)	159,930	107,827
Subordinated debts	(768)	(768)	(743)	25
Other liabilities	31,865	11,605	18,909	(8,237)
Liabilities included in disposal group and discontinued operations	0	0	0	0
TOTAL	1,329,567	(273,412)	1,438,503	68,474

	31/12/19		31/12/20	
	Total	Of which impact in result	Total	Of which impact in result
(in thousands of EUR)				
Deferred tax coming from the balance sheet	216,186	(38,197)	336,101	84,374
Not recognised deferred tax assets - temporary differences	(8,465)		(8,734)	
DEFERRED TAX - TEMPORARY DIFFERENCES	207,721		327,367	

C. Deferred tax coming from other elements

	31/12/19		31/12/20	
	Total	Of which impact in result	Total	Of which impact in result
(In thousands of EUR)				
Tax losses carried forward	85,733	6,881	98,088	11,762
Tax credit carried forward	0	0	0	0
Entities with special tax status	0	0	0	0
TOTAL	85,733	6,881	98,088	11,762
Not recognised deferred tax assets - tax losses carried forward	(63,843)		(71,876)	
DEFERRED TAX COMING FROM OTHER ELEMENTS AFTER NOT RECOGNISED DEFERRED TAX ASSETS - TAX LOSSES CARRIED FORWARD	21,891		26,212	

	31/12/19	31/12/20
(In thousands of EUR)		
DEFERRED TAX BEFORE NOT RECOGNISED DEFERRED TAX	301,919	434,189
DEFERRED TAX AFTER NOT RECOGNISED DEFERRED TAX	229,612	353,579

3. Expiry date of not recognised deferred tax assets

Nature

(In thousands of EUR)	31/12/19				Total
	Less than 1 year	> 1 year and ≤ 5 years	> 5 years	Unlimited maturity	
Tax losses carried forward	0	0	0	(63,843)	(63,843)
TOTAL	0	0	0	(63,843)	(63,843)

Nature

(In thousands of EUR)	31/12/20				Total
	Less than 1 year	> 1 year and ≤ 5 years	> 5 years	Unlimited maturity	
Tax losses carried forward	0	(568)	(211)	(71,097)	(71,876)
TOTAL	0	(568)	(211)	(71,097)	(71,876)

5.12. Other assets

(In thousands of EUR)	31/12/19	31/12/20
OTHER ASSETS	1,005,541	763,785
Accrued income	137,506	129,557
Deferred expenses	29,608	27,888
Payments in transit from clients	789,883	534,749
Inventories ⁽¹⁾	316	22,065
Operational taxes	48,228	49,526
OTHER ASSETS SPECIFIC TO INSURANCE COMPANIES	158,066	167,430
Receivables resulting from direct insurance transactions	60,033	70,478
Other insurance assets ⁽²⁾	98,032	96,953
Impaired insurance assets	317	983
Less Impairment	(317)	(983)
TOTAL	1,163,606	931,216

(1) As part of the sale of Galilee building, another site was exchanged to Belfius, which was recognized as inventory in other assets, as it better reflects the nature and intent with the site.

(2) Other insurance assets are deposits placed with cedants as a guarantee for reinsurance transactions and claims on reinsurers.

The other assets have decreased mainly due to a decrease of pending payments from clients.

5.13. Non current assets (disposal group) held for sale and discontinued operations

(In thousands of EUR)	31/12/19	31/12/20
Assets of subsidiaries held for sale	663	0
Tangible and intangible assets held for sale	21,121	23,276
Discontinued operations	0	0
Other assets	2,042	2,424
TOTAL	23,826	25,700

Belfius classifies assets as held for sale if the carrying amount of a non-current asset is recovered principally through a sale transaction rather than through continuing use, it mainly concerns land and buildings.

5.14. Leasing

1. Belfius as a lessor

A. Finance lease

(In thousands of EUR)	31/12/19	31/12/20
Gross investment in finance leases		
Not later than 1 year	778,591	1,032,988
> 1 year and ≤ 5 years	2,069,626	1,938,067
> 5 years	1,018,420	836,201
SUBTOTAL (A)	3,866,636	3,807,257
UNEARNED FUTURE FINANCE INCOME ON FINANCE LEASES (B)	342,982	306,027
Net Investment In Finance Leases (A)+(B)	3,523,654	3,501,230

(In thousands of EUR)	31/12/19	31/12/20
The net investment in finance leases may be analysed as follows:		
Not later than 1 year	697,416	954,311
> 1 year and ≤ 5 years	1,894,602	1,781,627
> 5 years	931,636	765,291
TOTAL	3,523,654	3,501,230

(In thousands of EUR)	31/12/19	31/12/20
Amounts of variable lease payments not included in the net investment in the lease	0	0
Amount of uncollectible finance lease payments included in the provision for loan losses at the end of the period	46,202	55,085
Residual values unguaranteed by lessees	391,188	419,197
Estimated fair value of finance lease	3,540,114	3,614,059
Accumulated allowance for uncollectible minimum lease payments	25,837	29,333
Selling profit or loss in case of assets built by Belfius and then leased out as a finance lease	1,513	1,739

The main underlying assets in finance lease relate to:

- real estate such as office buildings, commercial real estate, industrial real estate
- production equipment
- cars and trucks, locomotives and vessels
- alternative energy equipment (f.i. solar systems)
- IT equipment

B. Operating lease

(In thousands of EUR)	31/12/19	31/12/20
Future net minimum lease receivables under non-cancellable operating leases are as follows		
Not later than 1 year	33,303	31,079
> 1 year and ≤ 5 years	134,762	125,680
> 5 years	451,865	417,102
TOTAL	619,930	573,861
Amount of variable lease payments that do not depend on an index or rate	0	0

The main underlying assets in operating lease relate to:

- real estate
- cars and trucks
- IT equipment

2. Belfius as a lessee

As from 1 January 2019, the IFRS 16 standard on lease accounting became applicable and has replaced IAS 17. IFRS 16 fundamentally changes the manner in which lessees account for leases by introducing a single lessee accounting model. The adoption of IFRS 16 by lessors retains the former IAS 17 lease accounting treatment.

In line with the transitional provisions, Belfius, as a lessee, used the modified retrospective application and has exempted lease agreements for which the lease term ends within 12 months.

Accordingly, Belfius did not restate comparative information and recognized the cumulative effect of initially applying IFRS 16 as an adjustment to the opening balance of retained earnings.

At the date of initial application, a right-of-use asset and a lease liability were recognised in the balance sheet with a limited negative impact of EUR 2.8 million in retained earnings. The right-of-use assets are measured as if IFRS 16 had been applied since the start date of the lease contracts.

Leases on tangible fixed assets

(In thousands of EUR)	31/12/19	31/12/20
Minimum lease payments		
Not later than 1 year	6,109	5,897
> 1 year and ≤ 5 years	20,996	19,353
> 5 years	34,749	32,266
TOTAL	61,853	57,516

(In thousands of EUR)	31/12/19	31/12/20
Present value of lease liabilities		
Not later than 1 year	6,007	5,809
> 1 year and ≤ 5 years	20,199	18,609
> 5 years	28,618	26,657
TOTAL	54,824	51,075

(In thousands of EUR)	31/12/19	31/12/20
Contractual future minimum lease payments (A)	61,853	57,516
Correction due to discount rate (B)	54,824	51,068
Present value of the future minimum lease payments (A-B)	7,029	6,448
Amount of expense relating to variable lease payments not included in the lease liabilities	0	0
Expense relating to short-term leases	1,233	5,383
Expense relating to leases of low-value items	3,429	677

IFRS 16 provides a possibility to exempt an entity from its application if the impact is immaterial. As a result of a detailed analysis Belfius Bank implemented IFRS 16 for the lease agreements related to buildings. Cars are in scope of IFRS 16 but are exempted of application based on the "undue cost or effort" principle.

Parking lots are also in scope but are exempted due to the short term of each lease contract. Contracts related to IT material are out of scope as it concerns service contracts. For all these contracts the periodical rental costs will be charged in the profit and loss statement.

VI. Notes on the liabilities of the consolidated balance sheet

(some amounts may not add up due to rounding)

6.1. Cash and balances from central banks

1. Analysis by nature

Not measured at fair value through profit or loss

(In thousands of EUR)	31/12/19	31/12/20
Deposits	4,016,777	14,173,519
TOTAL	4,016,777	14,173,519

Cash and balances from central banks increased by EUR 10.2 billion to EUR 14.2 billion (31 December 2019: EUR 4.0 billion). At the end of 2019, Belfius had an outstanding TLTRO II and TLTRO III participation of respectively EUR 1.2 billion and EUR 2.8 billion. Belfius drew an additional EUR 11.5 billion TLTRO III in 2020 and repaid the outstanding TLTRO II, resulting in a total TLTRO III participation of EUR 14.3 billion as at 31 December 2020.

Belfius takes part in the third targeted longer-term refinancing operation (TLTRO III) program of the European Central Bank. The TLTROs are targeted operations, as the amount that can be borrowed is linked to the loans to non-financial corporations and households (excluding mortgage loans). The interest rate to be applied is linked to the realisation of certain lending performance thresholds. Borrowing rates in these operations can be as low as 50 basis points below the average interest rate on the deposit facility over the period from 24 June 2020 to 23 June 2022, and as low as the average interest rate on the deposit facility during the rest of the life of the respective TLTRO III.

Belfius has analysed the terms of this program and concluded that TLTRO III does not contain a significant benefit relative to market pricing and accounts for the financial liabilities relating to the TLTRO III programme under IFRS 9.

Based on the current and forecast net lending volumes, there is a reasonable expectation that the conditions of the TLTRO programme over the period from 24 June 2020 to 23 June 2021 will be met and therefore the effective interest rate includes the additional reduction of 50 basis points.

The TLTRO III negative interest amount recorded in the 2020 consolidated profit or loss is EUR 76 million. Refer to note 7.1. Interest income – interest expense.

2. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

3. Analysis of the fair value

See note 9.1.

6.2. Credit institutions borrowings and deposits

1. Summary Totals

(In thousands of EUR)	31/12/19	31/12/20
Measured at amortised cost	5,819,363	5,008,193
Measured at fair value through profit and loss	0	0
TOTAL	5,819,363	5,008,193

2. Analysis by nature

A. Not measured at fair value through profit or loss

(In thousands of EUR)	Amortised Cost	
	31/12/19	31/12/20
Demand deposits	107,753	53,492
Term deposits	641,417	95,037
Repurchase agreements	0	50,850
Cash collateral received	4,404,912	4,327,229
Other borrowings	665,281	481,585
TOTAL	5,819,363	5,008,193

Credit Institutions borrowings and deposits decreased by EUR 0.8 billion, or 13.9% to EUR 5.0 billion (31 December 2019: EUR 5.8 billion), resulting from a decrease in deposits explained by short term liquidity management.

B. Measured at fair value through profit or loss

Nil.

3. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

4. Analysis of the fair value

See note 9.1.

6.3. Borrowings and deposits

1. Summary Totals

(In thousands of EUR)	31/12/19	31/12/20
Measured at amortised cost	85,397,137	95,286,940
Measured at fair value through profit and loss	52,773	51,036
TOTAL	85,449,910	95,337,975

2. Analysis by nature

A. Not measured at fair value through profit or loss

	Amortised Cost	
(in thousands of EUR)	31/12/19	31/12/20
Demand deposits	27,027,580	34,232,882
Saving deposits	41,017,451	44,670,890
Term deposits	9,302,180	8,520,085
Cash collateral	20,360	14,804
Non-regulated savings accounts	8,013,660	7,829,648
TOTAL DEPOSITS	85,381,231	95,268,309
Other borrowings	15,905	18,631
TOTAL BORROWINGS	15,905	18,631
TOTAL	85,397,137	95,286,940

Borrowings and deposits increased by EUR 9.9 billion, or 11.6% to EUR 95.3 billion (31 December 2019: EUR 85.4 billion), mainly due to strong organic growth of demand and savings deposits.

B. Measured at fair value through profit or loss

	Financial liabilities designated at fair value through profit and loss	
(In thousands of EUR)	31/12/19	31/12/20
Deposits	52,773	51,036
TOTAL	52,773	51,036

3. Analysis by maturity and interest rate

See notes 9.4, 9.5. and 9.6.

4. Analysis of the fair value

See note 9.1.

6.4. Debt securities issued and other financial liabilities

1. Summary Totals

(In thousands of EUR)	31/12/19	31/12/20
Measured at amortised cost	19,341,686	16,068,804
Measured at fair value through profit and loss	8,312,819	8,333,394
TOTAL	27,654,505	24,402,198

2. Analysis by nature

A. Not measured at fair value through profit or loss

(In thousands of EUR)	Amortised Cost	
	31/12/19	31/12/20
Certificates of deposit	4,197,717	1,155,289
Customer saving certificates	1,346,283	804,083
Non-convertible debts	5,628,745	6,274,605
Covered bonds ⁽¹⁾	8,114,050	7,783,689
Lease liabilities	54,892	51,138
TOTAL	19,341,686	16,068,804

(1) Belfius has two covered bonds programmes.

The debt securities measured at amortised cost decreased by EUR 3.3 billion, or 16.9% to EUR 16.1 billion (31 December 2019: EUR 19.3 billion), mainly due to the maturity of EUR 3.0 billion in certificates of deposit and EUR 0.8 billion in covered bonds, partially compensated by the issuance of EUR 0.5 billion in covered bonds, EUR 0.5 billion in Preferred Senior bonds and EUR 0.5 billion in Non Preferred Senior bonds.

Belfius's covered bonds programmes

Belfius has two covered bond programmes:

- Mortgage Pandbrieven programme; and
- Public Pandbrieven programme.

The covering assets of the Mortgage Pandbrieven are mainly Belgian mortgage loans granted in accordance with the law on mortgage loans (law of 4 August 1992), through the branch network of Belfius. The covering assets of the Public Pandbrieven are mainly loans granted to Belgian public sector entities (municipalities, provinces, etc.).

The Belgian pandbrieven investors have a direct recourse to:

- the general estate of the issuing credit institution (i.e. repayment of the Belgian pandbrieven is an obligation of the issuing bank as a whole); and
- the segregated estate, that comprises the cover pool that is exclusively reserved for the Belgian pandbrieven investors under the specific program to which the segregated estate is joined and for the claims of other parties that are or can be identified in the issue conditions. Assets become part of the cover pool upon registration in a register held by the issuer for such purpose.

A detailed description of the covering assets (including the outstanding amount and the characteristics of the loans in the cover pool) can be consulted in the management report "Risk management" and in section 9.3. "Information on asset encumbrance and collateral received" as well as:

- for the Mortgage Pandbrieven Programme on <https://www.belfius.com/EN/debt-issuance/Belgian-mortgage-pandbrieven-programme/index.aspx>
- for the Public Pandbrieven Programme on <https://www.belfius.com/EN/debt-issuance/Belgian-public-pandbrieven-programme/index.aspx>

The carrying value of the cover pool amount to EUR 12.5 billion in December 2020 (versus EUR 10.4 billion in December 2019). The carrying value of the cover pool is accounted for in loans and advances. We also refer to note 5.4.

B. Measured at fair value through profit or loss

	31/12/19			31/12/20		
	Financial liabilities held for trading	Financial liabilities designated at fair value through profit and loss	Total	Financial liabilities held for trading	Financial liabilities designated at fair value through profit and loss	Total
(In thousands of EUR)						
Debt securities		8,253,895	8,253,895		8,190,260	8,190,260
Debt securities issued by public sector (trading positions)	58,841		58,841	142,053		142,053
Other debt securities (trading positions)	83		83	5		5
Equity instruments (trading positions)	0		0	1,076		1,076
TOTAL	58,924	8,253,895	8,312,819	143,134	8,190,260	8,333,394

The debt securities measured at fair value through profit or loss remained stable at EUR 8.3 billion.

The category "Financial liabilities designated at fair value through profit or loss" is currently used in the following situations:

- for insurance activities: mainly (unit-linked) "branch 23" insurance contracts. The return of the underlying investment fund units belongs entirely to its policyholder;
- for banking activities: to eliminate or significantly reduce a measurement or recognition inconsistency, between debt instruments and their hedges, that would otherwise arise.

The methodology used to determine the fair value of "financial liabilities designated at fair value" is detailed in note 9.1.

3. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

4. Analysis of the fair value

See note 9.1.

6.5. Provisions for insurance activities

Note that Belfius has opted to present the figures on technical provisions including intragroup transactions between bank and insurance entities, as these mainly relate to insurance contracts concluded between the bank and insurance entities and distribution commissions that Belfius Insurance pays to Belfius Bank.

(In thousands of EUR)	31/12/19	31/12/20
GROSS RESERVES		
In the consolidated balance sheet (as presented on balance sheet)	13,180,229	12,659,377
Intragroup transactions	11,258	11,292
Gross reserves including intragroup transactions	13,191,487	12,670,669

1. Insurance contracts Life

A. Gross reserves

(In thousands of EUR)	31/12/19			31/12/20		
	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total
LIFE INSURANCE RESERVES	4,664,491	6,965,698	11,630,189	4,834,701	5,960,348	10,795,049
Reserves due to results of LAT (Liability Adequacy Test)	0	0	0	0	0	0
Reserves due to shadow accounting adjustments	37,974	0	37,974	48,897	300,970	349,867
Variation due to variation of scope of consolidation IFRS 5	0	0	0	0	0	0
TOTAL LIFE INSURANCE RESERVE	4,702,465	6,965,698	11,668,163	4,883,598	6,261,318	11,144,916
Claims reserves	55,765	42,663	98,428	58,561	41,798	100,359
Profit sharing reserve ⁽²⁾	56,660	69,978	126,638	54,495	55,178	109,672
Unearned premium reserves (UPR)	0	0	0	0	0	0
Other technical reserves	699	0	699	1,248	0	1,248
Variation due to variation of scope of consolidation IFRS 5	0	0	0	0	0	0
TOTAL GROSS TECHNICAL RESERVES LIFE	4,815,589	7,078,339	11,893,928	4,997,902	6,358,293	11,356,195

(1) Discretionary participation feature (DPF).

(2) Discretionary profit sharing is a contractual but conditional right to receive additional benefits in addition to a guaranteed return. At the moment when the annual business plan is drawn up, an estimate is made of the total conditional profit sharing for the in-force business. We refer to the consolidated statement of changes in equity.

The gross technical reserves for Life decreased by EUR 538 million, or 5% to EUR 11.4 billion (31 December 2019: EUR 11.9 billion). In the current low interest rate environment, a continued shift can be noted from Branch 21 products towards alternative investment forms such as Branch 23 or Branch 44 products. As a result, a substantial part of the Branch 21 investment policies coming at maturity are not reinvested in new Branch 21 investment policies.

The total reserves in application of the shadow accounting amounts to EUR 350 million as at 31 December 2020 compared to EUR 38 million as at 31 December 2019, an increase of EUR 312 million.

An amount of EUR 49 million was transferred from the gains and losses not recognised in the statement of income to the technical reserve Life by application of shadow accounting to insurance contracts with funds with dedicated assets, compared to EUR 38 million in 2019. The increase of EUR 11 million is mainly explained by the increase in the fair value of the debt instruments resulting from lower interest rates.

By comparing the value of the Life insurance obligations based on the LAT methodology described in the accounting policies on the one hand and the provisions for Life insurance on the other hand increased with the net unrealised gains on the investment

portfolio carried at amortised cost and allocated to the life portfolio, a need for shadow loss adjustment was determined as of 31 December 2020 for an amount of EUR 301 million while at 31 December 2019 no shadow loss needed to be recognised. The increase partially stems from decreasing interest rates and an asymmetric evolution of the credit spreads on assets versus liabilities, as well as some refinements of the models.

The profit sharing reserve included in the technical provisions decreased with EUR 17 million and amounts to EUR 110 million as at 31 December 2020 compared to EUR 127 million as at 31 December 2019. The provision for the committed participation feature amounts to EUR 26 million as at 31 December 2020 compared to EUR 24 million as at 31 December 2019. The dotation in 2020 of EUR 19 million to the main portfolio Life is granted to the individual contracts for EUR 16 million, the remainder is allocated to "committed but not granted profit sharing", bringing this provision to EUR 8 million. The dotation to the funds with dedicated assets amounts to EUR 1.3 million, similar to last year. The evolution of the discretionary profit sharing element for the coming years included in the profit sharing reserve decreased by EUR 19 million from EUR 103 million as at 31 December 2019 to EUR 84 million as at end 2020, recompensating the dotation of current year to the main portfolio Life.

At the end of 2020, the estimate of the discretionary participation features amounted to EUR 182 million, of which EUR 26 million was part of the 2020 profit-sharing provision and EUR 156 million of which EUR 84 million was recognised via the income statement and EUR 72 million as a separate component of equity (cf. above and below).

B. Share of reinsurers

	31/12/19			31/12/20		
	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total
(In thousands of EUR)						
Share of reinsurers in Life insurance reserve	12,750	0	12,750	12,341	0	12,341
Share of reinsurers in claims reserves	388	0	388	382	0	382
Share of reinsurers in unearned premium reserves (UPR)	0	0	0	0	0	0
Share of reinsurers in profit sharing reserves	0	0	0	0	0	0
Share of reinsurers in other technical reserves	0	0	0	0	0	0
TOTAL SHARE OF REINSURERS IN TECHNICAL RESERVES LIFE	13,138	0	13,138	12,723	0	12,723

(1) Discretionary participation feature (DPF).

C. Discretionary participation feature included in equity

	31/12/19			31/12/20		
	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total
(In thousands of EUR)						
Net discretionary participation feature included in equity	0	33,212	33,212	0	57,552	57,552

(1) Discretionary participation feature (DPF).

The discretionary participation feature of insurance contracts included in equity increased to EUR 58 million (net of tax) as at 31 December 2020 compared to EUR 33 million (net of tax) as at 31 December 2019.

As of 31 December 2020, the total amount of future profit sharing amounts to EUR 156 million, of which an amount of EUR 84 million was recorded through the statement of income and reported in the profit sharing reserve, compared to EUR 103 million at year end 2019. The remaining EUR 72 million (EUR 58 million after tax) is presented as a separate component of equity in line with the accounting policies.

D. Reconciliation of changes in Life insurance reserve

	31/12/19			31/12/20		
	Gross amount contracts	Reinsurance amount	Net amount	Gross amount contracts	Reinsurance amount	Net amount
(In thousands of EUR)						
LIFE INSURANCE RESERVES AS AT 1 JANUARY	12,395,568	11,935	12,383,633	11,668,163	12,750	11,655,413
Reimbursement segregated fund	0	0	0	0	0	0
Net payment received/premiums receivable	701,429	6,337	695,093	692,334	7,815	684,519
Additional reserves due to shadow accounting adjustments	16,072	0	16,072	311,893	0	311,893
Additional reserves due to results of LAT (Liability Adequacy Test)	0	0	0	0	0	0
Claims paid	(1,320,205)	(1,490)	(1,318,715)	(1,368,249)	(2,134)	(1,366,115)
Results on death and on life	(83,933)	(317)	(83,616)	(81,666)	(255)	(81,411)
Attribution of technical interest	266,000	198	265,803	222,683	209	222,474
Transfers	(301,632)	0	(301,632)	(295,569)	(2,115)	(293,453)
Other changes	(5,137)	(3,913)	(1,224)	(4,673)	(3,930)	(743)
Variation due to variation of scope of consolidation IFRS 5	0	0	0	0	0	0
LIFE INSURANCE RESERVES AS AT 31 DECEMBER	11,668,163	12,750	11,655,413	11,144,916	12,341	11,132,575

E. Classification of the reserve by guaranteed interest rate

	Classification of the reserve ⁽¹⁾			
(In thousands of EUR)	31/12/19		31/12/20	
GUARANTEED INTEREST RATE				
> 4.00%	1,153,450	10%	1,204,893	11%
≤ 4.00%	730,319	6%	724,266	7%
≤ 3.50%	1,030,022	9%	911,867	8%
≤ 3.00%	1,930,601	17%	974,834	9%
≤ 2.50%	967,667	8%	805,959	7%
≤ 2.00%	1,745,886	15%	1,756,905	16%
≤ 1,50 %	601,408	5%	558,878	5%
≤ 1,00 %	1,575,483	14%	1,565,802	15%
≤ 0,50 %	1,445,835	12%	1,967,241	18%
Equal to 0%	252,692	2%	127,579	1%
Other	196,825	2%	196,825	2%
TOTAL	11.630,189	100%	10.795,049	100%

(1) Total gross technical reserves Life excluding shadow accounting adjustments.

2. Insurance contracts Non-Life

A. Gross reserves

(In thousands of EUR)	31/12/19	31/12/20
Claims reserves	1,032,272	1,041,146
Reserves Unallocated Loss Adjustment Expenses (ULAE)	43,298	44,795
Premium deficiency reserves (Non-Life LAT)	0	0
Reserves for claims incurred but not reported (IBNR) ⁽¹⁾	42,370	42,594
GROSS RESERVES	1,117,940	1,128,536
Other technical reserves	36,679	36,940
Profit sharing reserves	1,753	2,234
Unearned premium reserves (UPR)	141,188	146,764
TOTAL GROSS RESERVES NON-LIFE	1,297,560	1,314,474

(1) The definition of IBNR was refined and certain IBNR were excluded to be consistent with other reporting and statistics. The 2019 comparative figures were restated on a proforma basis.

The technical provision for Non-Life products increased by EUR 17 million, or 1% to EUR 1.3 billion (31 December 2019: EUR 1.3 billion) mainly due to an increase in the Non-Life portfolio and some additional reserves to anticipate the new version of the indicative tables on large claims with physical injuries for Motor TPL and General TPL. Nevertheless, claims provisions decreased as a result of the lockdown period following the Covid-19 crisis which positively impacted the loss results. Furthermore, Belfius recorded a release of EUR 13 million of claims provisions in line

with the risk appetite framework in comparison with a release of EUR 5 million in 2019.

Note that Belfius Insurance applies a Risk Appetite Framework for Non-Life technical reserves whereby the level of the technical provisions should exceed the Best Estimate Technical Provisions, calculated with a well-defined confidence interval and consistently applied.

B. Share of reinsurers

(In thousands of EUR)	31/12/19	31/12/20
Share of reinsurers in claims reserves	94,549	93,955
SHARE OF REINSURERS	94,549	93,955
Share of reinsurers in other technical reserves	206	162
Share of reinsurers in unearned premium reserves (UPR)	182	236
TOTAL SHARE OF REINSURERS IN TECHNICAL RESERVES NON-LIFE	94,937	94,353

C. Reconciliation of changes in claims reserves

(In thousands of EUR)	31/12/19			31/12/20		
	Gross amount contracts	Reinsurance amount	Net amount	Gross amount contracts	Reinsurance amount	Net amount
CLAIMS RESERVES AS AT 1 JANUARY	1,099,735	87,044	1,012,691	1,117,940	94,549	1,023,391
Claims paid on previous years	(157,263)	(4,077)	(153,186)	(155,386)	7,997	(163,383)
Change in claim charges on previous years	(56,214)	5,345	(61,559)	(35,812)	(16,492)	(19,320)
Liabilities on claims current year	231,682	6,237	225,445	201,795	7,902	193,893
CLAIMS RESERVES AS AT 31 DECEMBER	1,117,940	94,549	1,023,391	1,128,536	93,955	1,034,581

6.6. Provisions and contingent liabilities

1. Analysis of movements

(In thousands of EUR)	Pensions and other employment defined benefit obligations	Other long term employee benefits	Re-structuring ⁽¹⁾	Provisions for litigations ⁽²⁾	Onerous contracts	impairment on financial guarantees and commitments given	Other provisions ⁽³⁾	Total
AS AT 1 JANUARY 2019	275,898	26,604	49,044	50,511	4,624	139,595	80,475	626,752
Additional provisions ⁽¹⁾	60,896	3,278	22,147	20,190	0	138,914	4,563	249,987
Amount used	(55,908)	(2,730)	(22,529)	(444)	(385)	0	(6,129)	(88,125)
Unused amounts reversed	(91)	(83)	(130)	(4,613)	0	(147,593)	(2,846)	(155,357)
Transfers	205	0	0	0	0	(27,513)	0	(27,308)
Remeasurement pension plans ⁽⁴⁾	(56,285)	0	0	0	0	0	0	(56,285)
Foreign exchange adjustments	0	0	0	0	0	160	0	160
Other movements ⁽³⁾	(0)	(0)	(0)	0	0	0	(32,480)	(32,480)
AS AT 31 DECEMBER 2019	224,716	27,069	48,533	65,644	4,238	103,562	43,583	517,345

(1) A restructuring provision for the transformation plan in line with Belfius development program amounting to EUR 22 million was recognised. The restructuring provision is used in line with agreed plans and is reviewed annually and adjusted, where necessary.

(2) Provisions for litigations concerns mainly provisions for potential settlements of ongoing disputes with third parties. The provision for potential settlements of ongoing disputes with third parties increased with EUR 16 million due to a larger scope of clients involved.

(3) As from 1 January 2019 uncertainties with respect to income taxes (IFRIC 23) are reflected as a liability under "Tax Liabilities" and thus no longer presented under other provisions.

(4) A significant positive revaluation of the pension liabilities is the result of the positive returns of the assets of the pension plans, the revaluation of the assets at market value of the largest pension plan, the renewed salary policy with adjustment of the "salary growth" hypothesis, and the update of the inflation assumption, which compensate the negative impact of the decrease in interest rates on the liabilities.

(in thousands of EUR)	Pensions and other employment defined benefit obligations ⁽¹⁾	Other long term employee benefits	Re-structuring ⁽²⁾⁽³⁾	Provisions for litigations ⁽⁴⁾	Onerous contracts	impairment on financial guarantees and commitments given ⁽⁵⁾	Other provisions	Total
AS AT 1 JANUARY 2020	224,716	27,069	48,533	65,644	4,238	103,562	43,583	517,345
Additional provisions ⁽²⁾	61,057	2,833	28,892	8,022	0	236,620	6,374	343,797
Amount used ⁽³⁾	(51,655)	(2,988)	(21,036)	(6,392)	(385)	0	(4,505)	(86,963)
Unused amounts reversed	(10)	(45)	(3)	(6,046)	0	(113,010)	0	(119,114)
Transfers	(80)	0	0	0	0	(49,476)	0	(49,557)
Remeasurement pension plans ⁽¹⁾	20,211	0	0	0	0	0	0	20,211
Foreign exchange adjustments	0	0	0	0	0	(1,547)	0	(1,547)
Other movements	(0)	0	(34)	0	0	(0)	(31)	(65)
AS AT 31 DECEMBER 2020	254,238	26,869	56,351	61,227	3,853	176,149	45,420	624,107

(1) The negative revaluation of the pension liabilities is the result of the negative impact of decrease of interests, partly compensated by the positive return of the assets of the pension plans.

(2) Additional provisions are mainly composed of a restructuring provision for the transformation plan in line with Belfius development program, consisting of staff expenses and network costs.

(3) The restructuring provision is used in line with agreed plans and is reviewed annually and adjusted, where necessary. Refer to note 7.10. Staff.

(4) Provisions for litigations concerns mainly provisions for potential settlements of ongoing disputes with third parties.

(5) Refer to table 9.2.8. Movements in allowances for credit losses for further information.

2. Post-employment benefits

In Belgium, each employee is eligible for a state pension. In addition, Belfius provides pension plan benefits for its employees and in some cases reimburses certain medical costs for retired employees.

The liability for those benefits is calculated and booked into our accounts according to the IAS 19-methodology.

Considering that Belfius has benefit plans for employees mainly located in Belgium, the post-employment benefits are subject to the Belgian market practice and regulations (the plans abroad are not substantial).

Pension plans are mainly settled through the payment of a lump sum even though the option exists to receive a payment as an annuity.

Additional pension plans

A collective labor agreement was concluded within Belfius Bank on 10 June 2019 within the framework of the "Drive 2020" project. In the Reward 2.0 section a new methodology was agreed for the salary evolution of employees and executives. In accordance with this new methodology, the hypotheses for future wage evolution have also been adjusted. Additionally, the collective agreement stipulated that as from 1 July 2019 each new employee of Belfius Bank will be affiliated to a new defined contribution plan. This plan is financed by employer contributions that are similar to those of the Belfius Insurance defined contribution plan.

Defined Benefit plans (= DB)

Under defined benefit plans, the benefit upon retirement is defined based on various factors such as the employee's length of service and his final salary.

Before 2007 all pension plans of Belfius were defined benefit plans. Belfius employees build up rights in these defined benefit plans, which could vary according to the date of entry into service and according to the entity in which the employees are employed.

As from 1 January 2007 new employees in Belfius Bank were no longer granted access to a defined benefit plan. Instead, a defined contribution plan was introduced for new employees.

Moreover, since 1 October 2013 the existing defined benefit plans of Belfius Bank have been fully closed. In other words, each employee became affiliate to the existing defined contribution plans. From that date, the defined benefit plans of Belfius Bank are managed dynamically. This means that even if the plans are discontinued, for the already performed career until the discontinuation the final benefit continue to be impacted by salary increase.

Belfius Insurance had a similar evolution as Belfius Bank as from 1 January 2007 new employees joined a defined contribution plan. However, the employees who entered before that date kept their defined benefit plan as active plan and continue to build up rights into this defined benefit plan. Most pension plans of Belfius Insurance are internally insured and consequently, the non qualifying assets of these pension plans are not included in the reporting of the net pension liabilities.

Defined Contribution plans (= DC)

Under defined contribution plans, the benefit upon retirement depends on both employer and employee contributions to the plan, the return allocated on these contributions, and the return guarantees determined by law. Belgian defined contribution pension plans are by Belgian law subject to minimum guaranteed rates of return, borne by the employer, on employer contributions and on employee contributions.

This compulsory return implies that Belgian defined contribution plans are defined benefit plans under the requirement of IAS 19. There are several defined contribution plans within Belfius Bank. The main defined contribution plan is funded by employer and employee contributions. Employer contributions made to the plan are based on seniority and salary. Employee contributions are a fixed percentage of salary.

Belfius Bank's new "fixed contribution" plan that applies to employees recruited from 1 July 2019 is funded by employer contributions. Different contribution percentages apply on the part of the salary below or above the maximum limit for calculating the statutory pension. The defined contribution plans of Belfius Bank are all managed in an OFP (Organism for Financing of Pensions).

Belfius Insurance and Corona also dispose of defined contribution pension plans (branch 21) for their employees (internal insured plans).

For Belfius Insurance, since 2018 the guaranteed return on contributions is defined based on the Belgian legal interest rates.

Belgian Law stipulates that for the defined contribution plans that are managed through a branch 21 group insurance contract, the so-called horizontal method is applicable. The reserves contributions preserve their initial employers guarantee until the final payout. This means that the existing reserves as at 31 December 2015 are still subject to the existing guaranteed 3.75% on employee contributions and 3.25% on the employer contributions until departure. For contributions from 1 January 2016 onwards, the guarantee of 1.75% has become variable. This maximum guarantee can change in the future in function of the OLO 10 years interest rate.

For the defined contribution plans that are managed within an OFP the so-called vertical method is applicable. This means that the existing guarantee of 3.25% on employers contributions and 3.75% on employee contributions only applies until 31 December 2015. From 2016, a minimum return guarantee of 1.75% applies to the accrued reserves as well as to the new contributions.

The horizontal method applies to the defined contribution plans of Belfius Insurance and Corona, whereas the vertical method applies to Belfius Bank. Moreover, as soon as employees leave Belfius Bank, the minimum return guarantee changes to 0%.

The Belgian defined contribution plans are treated as defined benefit plans for the consolidated financial statements. This implies that the Projected Unit Credit method (with or without future contributions) has to be applied in order to determine the present value of the Defined Benefit Obligation (DBO).

Since the contribution rates of the basic DC-plan for employees recruited before 1 July 2019 from Belfius Bank and the DC-plan of Corona increase with seniority and with future contributions, the determination of liabilities are calculated upon the "projected unit credit" method.

This means that the projected benefit at the end of the career is calculated taking into account the future contributions and the salary increases until payout.

The present value of the Defined Benefit Obligation (DBO) is obtained by using the ratio of past service time to the projected service time and by calculating an actualisation using the applicable discount rate.

For the other DC-plans of Belfius, the calculation is based on the "Projected Unit Credit" method without considering future contributions. In other words, the projected benefits already refer to the current and prior periods. The present value of the Defined Benefit Obligation of those plans is obtained by discounting these benefits using the appropriate discount rate.

In all cases, if the defined benefit obligation calculated as described above, is lower than the individual account or the benefit obligation at the end of the year taking into account the legal interest rates, then the highest of these three values is included in the liabilities of Belfius.

A. Movement in the defined benefit liability (asset)

(In thousands of EUR)	Present value of obligation	Plan assets at fair value	Deficit/ (surplus)	Asset ceiling	Net liability/ (asset)
AS AT 1 JANUARY 2019	1,893,121	(1,621,766)	271,355	4,416	275,771
Service cost					
Current service cost	54,566	0	54,566	0	54,566
Past service cost and (gain)/loss on settlements	0	0	0	0	0
Administrative expenses	0	2,288	2,288	0	2,288
Interest income - Interest expense	33,651	(29,745)	3,907	102	4,009
(A) EXPENSE AND INCOME RECOGNIZED IN P&L	88,217	(27,457)	60,761	102	60,863
Remeasurements (gain)/loss					
Effect of changes in demographic assumptions	943	0	943	0	943
Effect of changes in financial assumptions ⁽¹⁾	135,118	0	135,118	0	135,118
Effect of experience adjustments	(11,272)	0	(11,272)	0	(11,272)
Return on plan assets (excl. interest income) ⁽²⁾	0	(181,095)	(181,095)	0	(181,095)
Changes in the effect of asset ceiling (excluding interest income/ expense)	0	0	0	66	66
(B) REMEASUREMENTS (GAIN)/LOSS RECOGNIZED IN OCI⁽³⁾	124,789	(181,095)	(56,306)	66	(56,240)
DEFINED BENEFIT COST INCLUDED (A)+(B)	213,006	(208,552)	4,455	168	4,623
Contributions					
Employer	0	(47,385)	(47,385)	0	(47,385)
Plan participants	3,140	(3,140)	0	0	0
Payments					
Benefit payments	(89,142)	80,785	(8,356)	0	(8,356)
Settlement payments	0	0	0	0	0
Other					
Effect of business combinations and disposals	0	0	0	0	0
Foreign exchange adjustments	2,004	(2,101)	(97)	90	(7)
AS AT 31 DECEMBER 2019⁽⁴⁾	2,022,130	(1,802,158)	219,972	4,675	224,646

(1) Effect of changes to the financial assumptions:

→ The decrease in the discount rate compared to 2018 by an average of 0.75% resulted in a significant increase in pension obligations.

→ A new system for future wage increases was introduced in 2019, based on which the 'salary growth' hypothesis was adjusted.

→ The inflation hypothesis was also lowered from 1.75% to 1.65% in line with Belgian reality.

→ The changes in the 'salary growth' and 'inflation' assumptions reduce future liabilities, but the impact of the decrease in interest rates compared to 2018 is much more important.

(2) Return on plan assets:

The positive return of the assets of the pension plans in 2019 is further reinforced by the revaluation at market value of the most important pension plan, whereby the assets were still valued in 2018 on the basis of reserves and the insurer's tariff obligations on these reserves.

(3) A significant positive revaluation of the pension liabilities is the result of:

→ the positive returns of the assets of the pension plans;

→ the revaluation of the assets at market value of the largest pension plan;

→ the renewed salary policy with adjustment of the 'salary growth' hypothesis; and

→ the update of the inflation assumption,

which compensate the negative impact of the decrease in interest rates on the liabilities.

(4) By the end of 2019, 91.0% of the total pension liabilities are related to funded pension plans, 6.8% are related to non qualifying assets, and 2.2% are related to unfunded pension liabilities.

(In thousands of EUR)	Present value of obligation	Plan assets at fair value	Deficit/ (surplus)	Asset ceiling	Net liability/ (asset)
AS AT 1 JANUARY 2020	2,022,130	(1,802,158)	219,972	4,675	224,646
Service cost					
Current service cost	56,416	0	56,416	0	56,416
Past service cost and (gain)/loss on settlements	0	0	0	0	0
Administrative expenses	0	2,382	2,382	0	2,382
Interest income - Interest expense	21,125	(18,896)	2,229	67	2,297
(A) EXPENSE AND INCOME RECOGNIZED IN P&L	77,541	(16,514)	61,028	67	61,095
Remeasurements (gain)/loss					
Effect of changes in demographic assumptions	(849)	0	(849)	0	(849)
Effect of changes in financial assumptions	72,900	0	72,900	0	72,900
Effect of experience adjustments	(13,625)	0	(13,625)	0	(13,625)
Return on plan assets (excl. interest income)	0	(37,066)	(37,066)	0	(37,066)
Changes in the effect of asset ceiling (excluding interest income/ expense)	0	0	0	(1,181)	(1,181)
(B) REMEASUREMENTS (GAIN)/LOSS RECOGNIZED IN OCI⁽¹⁾	58,426	(37,066)	21,360	(1,181)	20,179
DEFINED BENEFIT COST INCLUDED (A)+(B)	135,967	(53,579)	82,388	(1,114)	81,274
Contributions					
Employer	0	(43,291)	(43,291)	0	(43,291)
Plan participants	3,027	(3,027)	0	0	0
Payments					
Benefit payments	(110,715)	102,179	(8,536)	0	(8,536)
Settlement payments	0	0	0	0	0
Other					
Effect of business combinations and disposals	146	0	146	0	146
Foreign exchange adjustments	(2,220)	2,294	74	(76)	(2)
AS AT 31 DECEMBER 2020⁽²⁾	2,048,335	(1,797,582)	250,753	3,485	254,238

(1) The decrease in the discount rate compared to 2019 by an average of 0.35% resulted in a significant increase in pension obligations, which was partly compensated by the positive return of the assets of the pension plans in 2020.

(2) By the end of 2020,

→ 90.1% of the total pension liabilities are related to funded pension plans,

→ 6.9% are related to non qualifying assets, and

→ 2.2% are related to unfunded pension liabilities.

B. Fair value of plan assets

(In thousands of EUR)	31/12/19	31/12/20
Plan assets at fair value		
Cash and cash equivalents	15,854	18,916
Equity instruments	316,341	314,978
Debt securities	1,367,098	1,363,519
Real estate	9,927	8,314
Insurance contracts	92,938	91,855
TOTAL	1,802,158	1,797,582

C. Assumptions for Belgian plans

	31/12/19	31/12/20
Discount rate	1.08%	0.75%
Inflation rate	1.65%	1.65%
Salary growth (age related)	0,35% - 3,00%	0,35% - 3,00%

The discount rate is based on the Mercer Yield Curve (which reflects the AA corporate bond yield curve).

The inflation parameter is based on the average wage inflation of the last 10 years, the inflation assessment of the financial markets and the long-term outlook published by the European Central Bank.

Belfius uses the Belgian mortality tables that through age corrections are adapted to the current generally longer service life.

D. Sensitivity⁽¹⁾ of the present value of the Defined Benefit Obligation at end of year to changes of assumptions

	-50 bps	+50 bps
Discount rate	6.22%	-5.47%
Inflation rate	-3.39%	3.52%
Real salary increase	-2.35%	2.85%

(1) If all other assumptions are held constant.

E. Weighted average duration of the benefit obligation

(In years)	31/12/19	31/12/20
Belgium	11.22	10.88

F. Risks and ALM

The key risks to which pension plans managed by the Belfius pension fund (OPF) are exposed, relate to interest rate, inflation, longevity and age of retirement. The management of the pension plans has been delegated to an "Investment Committee" and is mainly liability driven in its investment policy. A formalised investment framework ("Statement of Investment Principles") has been set-up to ensure a well-diversified and dedicated investment portfolio. The pension plans' liabilities are evaluated at least once a year. On a regular basis, an ALM study (with cash flow analysis and stress tests) is performed to determine and analyse the sensitivities of the plans to i.e. interest rate and inflation shocks. These form an important driver for the investment committee in its deliberations on the asset allocation of the investment portfolio. Day-to-day management of this portfolio and the plans' liquidity aspects have been entrusted to an external asset manager who, on a regular basis, delivers a report of its activities to the investment committee.

The pension plans managed as group insurance branch 21 have the same risks, but the risks of interest rate and longevity are partly covered by the insurer.

3. Contingent liabilities and legal litigations

A. Commitments to Single Resolution Fund

Belfius has opted in the past to pay part of its contribution of the Single Resolution Fund through an Irrevocable Payment Commitment. This payment commitment is fully covered by cash collateral. See also note 8.5. "Commitments to Single Resolution Fund".

B. Commitments to Belfius Bank Branches

As a result of the amended company legislation, the legal form of the Belfius branches has been converted from Cooperative Society (CVBA) to Limited Liability Company (Commanditaire Venootschap (CommV)) as from 2020. In this context, as from 1 January 2020, Belfius Bank grants a guarantee to the managing partners of these limited partnerships for their unlimited liability.

C. Legal litigations

Belfius (Belfius Bank and its consolidated subsidiaries) is involved as a party in a number of litigations in Belgium, arising in the ordinary course of its business activities, including those where it is acting as an insurer, capital and credit provider, employer, investor and tax payer.

Belfius recognises provisions for such litigations when, in the opinion of its management taking into account all available elements, including an analysis by its company lawyers and external legal advisors as the case may be

- a present obligation has arisen as a result of past events,
- it is probable that Belfius will have to make a payment, and
- the amount of such payment can be estimated reliably.

With respect to certain other litigations against Belfius, of which management is aware, no provision has been made according to the principles outlined here above, as the management is of the opinion, after due consideration of appropriate advice, that, while it is often not feasible to predict or determine the ultimate outcome of all pending litigations, such litigations are without legal merit, can be successfully defended, or that the outcome of these actions is not expected to result in a significant loss.

In the opinion of Belfius, the most important cases are listed below, regardless of whether a provision has been made or not⁽¹⁾. Their description does not deal with elements or evolutions that do not have an impact on the position of Belfius. If the cases listed below were to be successful for the opposite parties, they could eventually result in monetary consequences for Belfius. For litigations for which no provision has been made, such impact remains unquantifiable at this stage. Note that, apart from the cases listed below, continued vigilance can be observed in the prevention of money laundering (AML) in the Belgian financial sector. In this context, as is customary, Belfius is collaborating with the Belgian authorities and monitors this closely.

Housing Fund of the Brussels Capital Region

On 9 October 2012, the Housing Fund of the Brussels Capital Region (Woningfonds van het Brussels Hoofdstedelijk Gewest/ Fonds du Logement de la Région de Bruxelles-Capitale) summoned Belfius Bank before the Brussels Commercial Court. The Housing Fund subscribed for a total amount of EUR 32,000,000 to 4 treasury notes issued by Municipal Holding (Gemeentelijke Holding/Holding Communale), placed by Belfius acting as dealer under the Municipal Holding commercial paper program, between July and September 2011 (Commercial Paper program). Due to severe financial difficulties encountered by the Municipal Holding, the Housing Fund granted a voluntary waiver to the Municipal Holding on 24 November 2011 and received repayment for EUR 16 million. The Municipal Holding entered into liquidation in December 2011. Due to the intervention of Belfius as dealer of the treasury notes, the Housing Fund demands the payment by Belfius Bank of the non-repaid capital. As the loss incurred on this investment is the result of a voluntary waiver of the claim by the Housing Fund, which matches half of the investment, Belfius Bank rejects the demand from the Housing Fund.

On 27 March 2014, the Brussels Commercial Court accepted the claim application by the Housing Fund, but declared it unfounded.

(1) Note that, where relevant, §92 of IAS37 may apply to this section.

The Housing Fund lodged an appeal against this judgement on 3 June 2014.

There was no significant evolution in this claim since 2016. The date of the hearings is not yet known. No provision has been made for this claim.

Arco - Cooperative shareholders

Various parties, including Belfius Bank, have been summoned by Arco - Cooperative shareholders in two separate procedures, i.e. one procedure before the Dutch speaking Commercial Court of Brussels and another procedure before the Court of First Instance of Brussels:

- On 30 September 2014, 737 shareholders from 3 companies of the Arco Group (Arcopar, Arcoplus and Arcofin) initiated (with support of Deminor) proceedings against the Arco entities and Belfius Bank before the Dutch speaking Commercial Court of Brussels (the "Deminor Proceedings"). On 19 December 2014, 1,027 additional shareholders of the Arco entities joined in the Deminor Proceedings. On 15 January 2016, 405 additional shareholders of the Arco entities joined the Deminor Proceedings, resulting in a total of 2,169 plaintiffs. On 16 November 2020, a further "Deminor" procedure was initiated, in which all plaintiffs except one joined, to anticipate a possible nullity of the original summons. The content of the two proceedings is identical. As a result, they will be treated together. The plaintiffs have requested that the Brussels Court rule, among other things:
- in first order, that the agreements by virtue of which they became shareholders of the relevant Arco entities are null and void as a consequence of an alleged defect in consent;
 - that the defendants should therefore, in solidum, reimburse the plaintiffs their financial contribution in these entities plus interest;
 - In the alternative, a compensation is asked to Belfius Bank for an alleged violation of the information duty; and
 - that the defendants are liable for certain additional damages to the plaintiffs.

The financial contribution of the 2,169 plaintiffs for which reimbursement is sought amounted to approximately EUR 6.5 million (principal amount) as at the date of this Report. The plaintiffs' claims in the Deminor Proceedings are based on allegations of fraud and/or error on the part of the Arco entities and Belfius Bank. In the alternative, the plaintiffs have argued that Belfius Bank breached its general duty of care as a normal and prudent banker. In relation to Belfius Bank, the plaintiffs have referred to certain letters and brochures allegedly containing misleading information issued by the predecessors of Belfius Bank. The Belgian State, DRS Belgium (Deminor) and the Chairman of the Management Board of the Arco entities are also defendants in the proceedings before the Commercial Court of Brussels. In the meantime, the VZW Arcoclaim also intervenes in this litigation procedure (on grounds of an alleged transfer of claim by one of the plaintiffs/shareholders). On 1 February 2021, Belfius Bank submitted its final legal briefs. The case will normally be pleaded during several pleading sessions in June 2021.

- Furthermore, on 7 February 2018, 2 cooperative shareholders summoned the Belgian State before the Court of First Instance of Brussels because they state that the Belgian State has made a fault by promising and introducing a guarantee scheme for

shareholders of financial cooperative companies (like the Arco cooperative shareholders) which has been considered illicit state aid by the European Commission. These 2 plaintiffs also summoned Belfius Bank on 8 February 2018 to intervene in this procedure, and claim compensation from Belfius Bank because they consider that Belfius Bank erred in the sale of the Arco shares. Groups of Arco-shareholders organized themselves via social media to mobilize other Arco shareholders to become claimant in this procedure, and to the knowledge of Belfius, as of end June 2020, approximately 5,380 Arco shareholders did so. The VZW Arcoclaim also intervenes in this litigation procedure. There is not yet a pleading calendar in this case.

No provision has been made for these claims because Belfius Bank is of the opinion that it has sufficient valid arguments to result in these claims being declared inadmissible and/or without merit.

Funding Loss

Belfius Bank is facing some legal actions regarding the issue of indemnities charged for funding losses incurred by the Bank. The latter are charged to professional clients in the case of early repayment of professional credits. These indemnities are calculated in line with the current legal dispositions and the contractual framework of such credits to reflect the financial losses that are actually incurred by the Bank in the case of early repayment of a professional credit. Belfius booked provisions to cover the potential adverse outcome of litigation proceedings. These provisions are reassessed on an ongoing basis, taking into account the evolution of Belgian case law.

Investigations into Panama Papers

These paragraphs are mentioned for completeness only, although the matters below do not comprise a litigation. On 5 December 2017, a police search under the lead of an examining magistrate of Brussels (onderzoeksrechter/juge d'instruction) took place at Belfius Bank's head office in the framework of the Belgian "Panama Papers" Parliamentary Commission. The Bank was investigated as a witness and has not been accused of any wrongdoing. The scope of the investigation is to establish whether there are any violations of anti-money laundering obligations and to investigate the link between Belfius Bank (or its predecessors), and, amongst others, Experta and Dexia Banque Internationale à Luxembourg (i.e. former entities of the Dexia group).

To date, Belfius Bank did not receive any further information since the above mentioned police search.

Investigation by public prosecutor into the activities of an independent bank agency

Public prosecution has been initiated, a.o. against Belfius Bank, for its alleged role in potential fraudulent activities that would have been conducted with the assistance of a director of an independent bank agency of Belfius Bank in violation of several (banking) regulations.

After a first consultation of the criminal file early January 2021, Belfius continues to believe that it has sufficient valid arguments to result in these claims being declared inadmissible and/or without merit.

No provision has been booked for this case.

6.7. Subordinated debts

1. Not measured at fair value through profit or loss

(In thousands of EUR)	Amortised Cost	
	31/12/19	31/12/20
CONVERTIBLE SUBORDINATED DEBT	0	0
NON-CONVERTIBLE SUBORDINATED DEBT	1,157,266	1,150,681
Loan capital perpetual subordinated notes	159,380	159,380
Loan capital non-perpetual subordinated notes	997,887	991,301
TOTAL	1,157,266	1,150,681
HYBRID CAPITAL AND REDEEMABLE PREFERENCE SHARES	0	0

Subordinated debts decreased by EUR 7 million, or 0.6% to EUR 1.2 billion (31 December 2019: EUR 1.2 billion).

2. Measured at fair value through profit or loss

Nil.

3. Analysis cash flows and non-cash changes

(In thousands of EUR)	31/12/19	31/12/20
OPENING BALANCE	1,219,469	1,157,266
CASH FLOWS		
Issuance of subordinated debts	168,905	0
Repayments of subordinated debts	(234,905)	0
NON-CASH CHANGES		
Foreign exchange adjustments	4,901	(5,544)
Effective Interest rate	(1,103)	(1,042)
CLOSING BALANCE	1,157,266	1,150,681

4. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

5. Analysis of the fair value

See note 9.1.

6. Data for each subordinated debt

Ref.no.	Currency	Amount in thousands of currency units	Maturity date or method for determining the duration	a) Circumstances for early redemption c) Conditions for convertibility b) Conditions for subordination	Conditions of compensations	Value in regulatory capital in thousands EUR
1.	EUR	29,990	1/3/2022	a) not applicable b) no specific conditions c) none	Euribor 3m + 43bp	6,980
2.	EUR	44,970	4/4/2022	a) not applicable b) no specific conditions c) none	6%	11,304
3.	EUR	17,500	undetermined (call date : 29/12/2023)	a) possible with the agreement of the ECB, from the date of the call, then at the end of each period of 12 years b) no specific conditions c) none	4,609% till 29/12/2023, then IRS 12y + 200bp	17,500
4.	EUR	17,500	undetermined (call date : 29/12/2022)	a) possible with the agreement of the ECB, from the time of the call, on 29/12/2029 and then at the end of each period of 10 years b) no specific conditions c) none	1,734% till 29/12/2022, then IRS 7y + 200 bp	17,500
5.	EUR	50,000	undetermined (call date : 15/07/2023)	a) possible with the agreement of the ECB, from the date of the call, then at the end of each period of 12 years b) no specific conditions c) none	5,348% till 15/07/2023, then IRS 12y + 200bp	50,000
6. ⁽¹⁾	JPY	10,000,000	11/9/2025	a) not applicable b) no specific conditions c) none	6,1%, multicurrency	74,425
7. ⁽¹⁾	JPY	10,000,000	11/9/2025	a) not applicable b) no specific conditions c) none	6,05%, multicurrency	74,425
8.	EUR	72,000	undetermined (call date : 1/1/2025)	a) possible with the agreement of the ECB, from the date of the call, then at the end of each year b) no specific conditions c) none	6,25% till 01/01/2025, then Euribor 3m + 417 bp	72,000
9.	EUR	547,460	11/05/2026	a) not applicable b) no specific conditions c) none	3.125%	547,460
10.	EUR	194,750	15/3/2028 (call date : 15/3/2023)	a) possible with the agreement of the ECB, at the date of the call b) no specific conditions c) none	1,625% till 15/03/2023, then IRS 5y + 123 bp	194,750
11. ⁽²⁾	EUR	497,083	undetermined (call date : 16/4/2025)	a) possible with the agreement of the ECB, from the date of the call, then semi-annually b) no specific conditions c) none	3,625% till 16/04/2025, then IRS 5y + 294 bp	497,083

(1) As the interest structure embedded in the contract is considered as not closely related to the host contract; it has been bifurcated and is presented as a separate derivative on the balance sheet.

(2) Issue of EUR 500 million (nominal value) Additional Tier-1 instruments (AT1), that qualify as additional equity under CRR/CRD IV. The AT1 security has been analysed in respect with IAS 32 and is considered as an equity instrument and is not included in the total of the disclosure 6.7 (subordinated debts).

6.8. Other liabilities

(In thousands of EUR)	31/12/19	31/12/20
OTHER LIABILITIES (NOT RELATING TO INSURANCE ACTIVITIES)	1,289,532	1,170,476
Accrued costs	122,614	89,801
Deferred income	22,027	21,285
Subsidies	0	0
Other granted amounts received	245	329
Salaries and social charges (payable)	129,527	132,554
Shareholder dividends payable	0	0
Operational taxes	53,658	52,915
Long-term construction contracts	0	0
Pending payments to clients and debts to service providers	516,118	443,500
Pending payments from lease contracts	126,741	96,524
Pending payments from factoring activities	318,601	333,568
Deferred DOP	0	0
OTHER LIABILITIES SPECIFIC TO INSURANCE ACTIVITIES	147,692	150,188
Debts for deposits from assignees	87,211	84,242
Debts resulting from direct insurance transactions	45,703	51,596
Debts resulting from reinsurance transactions	14,778	14,332
Other insurance liabilities	0	18
TOTAL	1,437,224	1,320,664

Other liabilities decreased mainly due to a decrease in pending payments in comparison to 2019.

VII. Notes on the consolidated statement of income

(some amounts may not add up due to rounding)

Significant items included in the statement of income

We refer to the chapter "Financial results" in the management report.

7.1. Interest income – interest expense

(In thousands of EUR)	31/12/19	31/12/20
INTEREST INCOME	3,441,636	3,352,799
INTEREST INCOME OF FINANCIAL ASSETS MEASURED AT AMORTISED COST	2,519,139	2,490,867
Loans and advances due from credit institutions	22,297	9,501
Loans and advances	1,916,189	1,917,400
Debt securities issued by public sector	365,960	373,931
Other debt securities	213,489	189,118
Other	1,204	917
INTEREST INCOME OF FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OCI	100,616	92,288
Debt securities issued by public sector	63,357	62,324
Other debt securities	37,259	29,964
INTEREST INCOME OF FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS	762,338	614,875
Financial assets held for trading	9,521	6,196
Non-trading financial assets mandatorily measured at fair value	93,734	77,995
Loans and advances	58,493	50,073
Debt securities issued by public sector	841	600
Other debt securities	34,401	27,322
Derivatives held for trading	180,182	144,534
Derivatives as hedging instruments	478,901	386,151
INTEREST INCOME ON FINANCIAL LIABILITIES (NEGATIVE YIELD)	59,543	154,770
INTEREST EXPENSE	(1,541,463)	(1,361,293)
INTEREST EXPENSE OF FINANCIAL LIABILITIES NOT MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS	(339,262)	(292,526)
Cash and balances with central banks	0	(402)
Credit institutions borrowings and deposits	(13,569)	(6,369)
Customers borrowings and deposits	(116,264)	(98,710)
Debt securities issued	(175,463)	(154,823)
Lease liabilities	(833)	(781)
Subordinated debts	(30,958)	(30,006)
Other	(2,174)	(1,436)
INTEREST EXPENSE OF FINANCIAL LIABILITIES MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS	(1,117,653)	(945,800)
Financial liabilities held for trading	(4,160)	(2,891)
Financial liabilities designated at fair value	(96,724)	(71,056)
Derivatives held for trading	(173,433)	(131,205)
Derivatives as hedging instruments	(843,336)	(740,649)
INTEREST EXPENSE ON FINANCIAL ASSETS (NEGATIVE YIELD)	(84,548)	(113,245)
MODIFICATION LOSS ON FINANCIAL ASSETS ⁽¹⁾	0	(9,722)
NET INTEREST INCOME ⁽²⁾	1,900,173	1,991,506

(1) In light of the Covid-19 crisis, a payment holiday was granted to individuals on their mortgage loans if, among other criteria, their income fell below EUR 1,700 per month (considered as vulnerable clients). Seeing that the mortgage loans of vulnerable clients are merely extended with the deferred period, without make whole for lost value, the difference between the present value of the original cash flows and the modified cash flows, both discounted at the original EIR, resulted in a "modification loss" to be recognised upfront by Belfius Bank. Refer to the section "Measures in Covid-19 crisis to support the Belgian Society" in the Credit Risk chapter of the Management Report for further information on the Covid-19 measures taken at Belfius.

(2) Interest income and expense are recognised on an accrual basis in the statement of income for all interest bearing instruments using the effective interest rate method. We refer to chapter Accounting principles.

Net interest income increased by EUR 91.3 million, or 4.8% to EUR 1,992 million (31 December 2019: EUR 1,900 million), mainly due to higher volumes in loans combined with a strict pricing discipline despite the pressure of the lower interest rate environment, lower outstandings in Branch 21 and reinvestments at lower market yields. The net interest income in 2020 was supported by the TLTRO applied interest rate for EUR 78 million (of which EUR 76 million from the TLTRO III), compared with EUR 16 million in 2019. Based on the current and forecast net lending volumes, there is a reasonable expectation that the conditions of the TLTRO programme over the period from 24 June 2020 to

23 June 2021 will be met and therefor the effective interest rate includes the additional reduction of 50 basis points. Furthermore, 2020 was also positively impacted by the extensive restructuring of a specific corporate leasing file. Finally, a modification loss of EUR 9.7 million was recognised as a result of the relief granted to vulnerable clients, following the moratorium granted on mortgage loans. The mortgage loans of vulnerable clients are merely extended by the deferred period, without making up for lost value. As a result, the present value of the lost time value needs to be recognised upfront for these loans.

7.2. Dividend income

(In thousands of EUR)	31/12/19	31/12/20
Financial assets held for trading	6,500	7,865
Financial assets measured at fair value through other comprehensive income	63,779	42,400
Non-trading financial assets mandatorily measured at fair value through profit or loss	0	0
TOTAL	70,279	50,265

Dividend income decreased in line with the evolution of the equity portfolio and the prudence in dividend distributions since the Covid-19 crisis.

7.3. Net income from equity method companies

(In thousands of EUR)	31/12/19	31/12/20
Income from equity method companies before tax	5,876	5,847
Share of tax	(958)	(999)
Impairments on goodwill	0	0
TOTAL	4,918	4,848

7.4. Net income from financial instruments at fair value through profit or loss

(In thousands of EUR)	31/12/19	31/12/20
Net trading income ⁽¹⁾⁽²⁾	91,541	44,198
Net result of financial assets designated at fair value through profit or loss and result from the related derivatives	0	0
Result of financial assets non-trading mandatorily measured at fair value through profit or loss ⁽¹⁾	(2,731)	(33,661)
Loans and advances ⁽¹⁾	4,502	(11,227)
Debt securities issued by public sector	(3,496)	(1,489)
Other Debt securities	(3,757)	(21,567)
Equity instruments	20	621
Net result of financial liabilities designated at fair value through profit or loss and result from the related derivatives (except own credit risk)	754	(1,919)
Net result of hedge accounting ⁽²⁾	6,583	15,469
TOTAL	96,148	24,086

(1) Belfius has presented pro forma figures for December 2019 following refinement of the presentation of the fair value revaluation on loans and advances mandatorily measured at fair value through profit and loss.

(2) Belfius has presented pro forma figures for December 2019 following refinement of the presentation of the impact of foreign exchange differences.

Net income from financial instruments measured at fair value through profit or loss decreased by EUR 72.1 million to EUR 24 million (31 December 2019: EUR 96 million). The net trading income decreased by EUR 47 million to EUR 44 million for the year ended 31 December 2020 mainly due to the fall in interest rates and higher funding spreads compared to year end 2019. The net result from financial instruments mandatorily measured at fair

value through profit or loss decreased by EUR 31 million to EUR -33 million for the year ending 31 December 2020 due to the negative impact of declining equity markets, partially compensated by low interest rates. The net result of hedge accounting increased by EUR 8 million to EUR 15 million for the year ending 31 December 2020 and was impacted, among other factors, by basis risks.

Net trading income

The net trading income decreased with EUR 47 million to EUR 44 million for the year ended 31 December 2020 mainly due to the decrease of interest rates and higher funding spreads compared to year end 2019. Note that the total amount recorded on the balance sheet as credit value adjustments stands at EUR -79 million end 2020 (compared to EUR -73 million end 2019), whereas total amount on the balance sheet of the debit value adjustment amounts to EUR 2 million end 2020 (compared to EUR 2 million end 2019). The total amount on the balance sheet related to funding value adjustments amounts to EUR -71 million end 2020 (compared to EUR -52 million end 2019).

The total P&L impact in the line net trading income for credit value adjustments amounted to EUR -6 million in 2020 (compared to 25 million in 2019) mainly due to higher credit spreads, for debit value adjustments EUR -0.4 million in 2020 (compared to -3 million in 2019) and for funding value adjustments EUR -18 million in 2020 (compared to EUR -7 million in 2019). Economic hedges of non basic loans through CDS itraxx amounted to EUR -7 million (2019: nil).

Result of financial assets non-trading mandatorily measured at fair value through profit or loss

The net result from financial instruments was negatively impacted by declining equity markets, partially compensated by low interest rates resulting in negative fair value changes mainly on funds at Belfius Insurance (considered as non-SPPI compliant bonds) as presented in the line "Other Debt securities" as well as negative fair value changes on non-SPPI compliant structured loans as presented in the line "Loans and advances" due to the decrease of interest rates and higher funding spreads compared to 2019.

Net result of hedge accounting

The net result of hedge accounting amounts to EUR 15 million (2019: EUR 7 million) and was negatively impacted amongst others by basis risks.

Belfius is managing basis risks through additional derivatives (economic hedges) for which no hedge accounting is set up, as the result of the impact of these hedges were recorded in the net trading income line for an amount of EUR -2 million (2019: EUR 7 million). It mainly relates to economic hedges of hedge inefficiency stemming from basis risks (hedged via basis swaps).

Result of hedge accounting

(In thousands of EUR)	31/12/19	31/12/20
FAIR VALUE HEDGES⁽¹⁾	12,098	9,746
Fair value changes of the hedged item attributable to the hedged risk ⁽¹⁾	207,333	762,957
Fair value changes of the hedging derivatives	(195,234)	(753,211)
CASH FLOW HEDGES	0	0
PORTFOLIO HEDGE	(5,515)	5,723
Fair value changes of the hedged item	422,315	182,410
Fair value changes of the hedging derivatives	(427,830)	(176,687)
TOTAL⁽¹⁾	6,583	15,469
(In thousands of EUR)	31/12/19	31/12/20
DISCONTINUATION OF CASH FLOW HEDGE ACCOUNTING (CASH FLOWS STILL EXPECTED TO OCCUR) - AMOUNTS RECORDED IN INTEREST MARGIN	(2)	60

(1) Belfius has presented pro forma figures for December 2019 following refinement of the presentation of the impact of foreign exchange differences.

All effectiveness tests were respected at all times.

For more details we refer to note 5.6. derivatives

7.5. Net income on investments and liabilities

(In thousands of EUR)	31/12/19	31/12/20
FINANCIAL ASSETS AT AMORTISED COST (NOT IMPAIRED)	5,788	5,341
Realised gains on debt securities issued by public sector	1	1
Realised gains on other debt securities	5,788	5,340
FINANCIAL ASSETS AT FAIR VALUE THROUGH OCI (NOT IMPAIRED)	57,456	23,531
Realised gains on debt securities issued by public sector	55,302	17,364
Realised gains on other debt securities	2,154	6,166
ASSETS HELD FOR SALE	0	433
Realised gains on assets held for sale	0	433
OTHER	3,692	41,771
Realised gains on tangible fixed assets	3,060	41,770
Other realised gains	632	0
FINANCIAL LIABILITIES AT AMORTISED COST	0	8
Realised gains on financial liabilities	0	8
TOTAL GAINS	66,936	71,083
FINANCIAL ASSETS AT AMORTISED COST (NOT IMPAIRED)	(12,927)	(15,547)
Realised losses on other debt securities	(12,859)	(15,547)
FINANCIAL ASSETS AT FAIR VALUE THROUGH OCI (NOT IMPAIRED)	(622)	(854)
Realised losses on debt securities issued by public sector	(231)	(215)
Realised losses on other debt securities	(391)	(639)
ASSETS HELD FOR SALE	(10)	(10)
Realised losses on assets held for sale	(10)	(10)
OTHER	(181)	(152)
Realised losses on tangible fixed assets	(181)	(142)
Realised losses on intangible fixed assets	0	(10)
FINANCIAL LIABILITIES AT AMORTISED COST	(6)	(3)
Realised losses on financial liabilities	(6)	(3)
TOTAL LOSSES	(13,745)	(16,565)
TOTAL NET INCOME ON INVESTMENTS AND LIABILITIES	53,190	54,517

Net income on investments and liabilities increased by EUR 1.3 million, or 2.5% to EUR 55 million (31 December 2019: EUR 53 million). In 2020, Belfius Insurance realised EUR 23 million from the sale of bonds in order to manage its duration gap, compared with EUR 57 million in 2019.

An additional EUR 42 million of capital gains was realised in 2020 on the sale of tangible fixed assets, mainly on the partial sale of the Galilee building.

The table below provides a summary of the realised gains and losses from derecognition on not impaired and impaired financial instruments. These realised gains and losses can be accounted for in the line-item "Net income on investments and liabilities" for not impaired debt instruments measured at fair value through OCI (note 7.5.) or in the line-item "Impairments on financial instruments and provisions for credit commitments" for impaired debt instruments, and impaired and not impaired loans and advances (note 7.13.).

1. Realised gains or losses arising from derecognition of debt instruments measured at amortised cost (impaired and not impaired)

(In thousands of EUR)	31/12/19	31/12/20
REALISED GAINS FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	7,890	294,761
Realised gains on loans and advances	1,057	751
Realised gains on debt securities issued by public sector ⁽¹⁾	289	286,615
Realised gains on other debt securities	6,544	7,396
REALISED GAINS ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	18,187	15,019
Realised gains on impaired loans and advances	18,187	15,019
Realised gains on impaired other debt securities	0	0
REALISED LOSSES ARISING FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	(29,652)	(319,059)
Realised losses on Loans and advances	(2,029)	(1,684)
Realised losses on debt securities issued by public sector ⁽¹⁾	(148)	(300,227)
Realised losses on other debt securities	(27,476)	(17,149)
REALISED LOSSES ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	(17,410)	(14,972)
Realised losses on impaired Loans and advances	(17,410)	(14,972)

(1) Realised gains and losses arising from derecognition of not impaired debt securities issued by public sector increased due to the sale of certain Italian government bonds.

2. Realised gains or losses arising from derecognition of debt instruments measured at fair value through other comprehensive income (impaired and not impaired)

(In thousands of EUR)	31/12/19	31/12/20
REALISED GAINS FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	57,456	23,531
Realised gains on debt securities issued by public sector	55,302	17,364
Realised gains on other debt securities	2,154	6,166
REALISED GAINS ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	0	0
REALISED LOSSES ARISING FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	(622)	(854)
Realised losses on debt securities issued by public sector	(231)	(215)
Realised losses on other debt securities	(391)	(639)
REALISED LOSSES ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	0	0

7.6. Fee and commission income – expense

(In thousands of EUR)	31/12/19			31/12/20		
	Income	Expense	Net	Income	Expense	Net
Commissions on unit trusts and mutual funds managed by third parties	293,353	(58,952)	234,401	306,250	(56,548)	249,702
Insurance activity	121,292	(7,688)	113,603	125,239	(4,500)	120,739
Credit activity	38,767	(8,390)	30,377	39,404	(6,219)	33,185
Purchase and sale of securities	16,995	(862)	16,133	18,372	(1,174)	17,198
Purchase and sale of unit trusts and mutual funds	24,725	(29)	24,696	44,727	(15)	44,712
Payment services	175,202	(62,111)	113,091	168,222	(61,763)	106,459
Commissions to not exclusive brokers	1,577	(14,281)	(12,705)	1,609	(12,392)	(10,783)
Services on securities other than safekeeping	5,332	(1,146)	4,186	6,607	(1,412)	5,195
Custody	28,254	(3,301)	24,953	30,297	(4,208)	26,090
Issues and placements of securities	4,280	(5,035)	(755)	9,902	(5,032)	4,871
Servicing fees of securitisation	206	(125)	80	193	0	193
Advisory services and discretionary management	27,796	(5,314)	22,481	32,856	(6,320)	26,536
Clearing and settlement	7,617	(4,209)	3,407	14,081	(4,636)	9,445
Securities lending	6,280	(3)	6,277	7,923	(1)	7,922
Financial guarantees	4,772	(5,426)	(654)	4,581	(5,102)	(521)
TOTAL	756,445	(176,873)	579,572	810,261	(169,319)	640,942

Net fee and commission income increased by EUR 61.4 million, or 10.6% to EUR 641 million (31 December 2019: EUR 580 million). The increase was attributed principally to an increase in commission income on asset management fees resulting from higher entry and management fees and higher average outstanding volumes, as well as on the insurance activity due to higher Non-Life fees. Note that commission income on payment services decreased in 2020 due to lower transaction volumes caused by the Covid-19 confinement.

7.7. Insurance results

Note that Belfius has opted to present the figures on technical results from insurance activities including intragroup transactions between bank and insurance entities, as these mainly relate to insurance contracts concluded between the bank and insurance entities and distribution commissions that Belfius Insurance pays to Belfius Bank. Please refer to note 7.6. "Fee and commission income – expense" for more details on the commission income from insurance activities.

(In thousands of EUR)	31/12/19	31/12/20
GROSS EARNED PREMIUMS		
In the consolidated income statement (as presented on statement of income)	1,463,046	1,475,214
Intragroup transactions	6,864	6,458
Gross earned premiums including intragroup transactions	1,469,910	1,481,672

1. Overview per activity

Please refer to note 4. "Operating segment reporting" part B, segmentation by contribution scope, for a breakdown of the contribution of Belfius Bank and Belfius Insurance into the group result. The contribution to the "technical result" refers also to the statement of income I X. "Technical result from insurance activities" as only insurance activities are reported to this line.

The further breakdown of the contribution of Belfius Insurance into the activities Life, Non-Life and Non-technical is based on the results of the insurance activities and the corresponding investment portfolios.

A. Consolidated statement of income

(In thousands of EUR)	31/12/19				31/12/20			
	Life	Non-Life	Non-Technical	Total	Life	Non-Life	Non-Technical	Total
INCOME	294,528	199,047	28,429	522,004	273,488	244,064	26,805	544,357
Technical result ⁽¹⁾	(183,759)	163,784	(0)	(19,975)	(140,009)	207,855	0	67,846
Gross earned premiums	758,545	711,365	0	1,469,910	751,514	730,157	0	1,481,672
Other technical income and charges	(942,305)	(547,580)	(0)	(1,489,885)	(891,524)	(522,302)	0	(1,413,826)
Financial result	458,052	34,410	33,045	525,506	395,858	36,014	25,865	457,737
Interest income, Interest expense, Dividend income	402,646	36,753	24,542	463,940	381,585	36,392	20,067	438,044
Net income on investments and liabilities	55,197	(7)	1,973	57,163	32,571	9	7,003	39,582
Net income from equity method companies, Net income from financial instruments at fair value through profit or loss, Other income, Other expense	210	(2,336)	6,530	4,403	(18,298)	(387)	(1,205)	(19,889)
Fee and commission income, Fee and commission expense	20,235	853	(4,615)	16,473	17,639	195	941	18,775
EXPENSES	(69,569)	(159,265)	(18,539)	(247,373)	(77,049)	(162,965)	(17,474)	(257,488)
Impairments on loans and advances and provisions for credit commitments, Impairments on goodwill	4,584	748	1,296	6,628	(4,009)	(950)	(474)	(5,433)
Impairments on tangible and intangible assets	0	0	(5,386)	(5,386)	0	0	(2,836)	(2,836)
NET INCOME BEFORE TAX	229,543	40,529	5,801	275,873	192,429	80,149	6,021	278,600
Tax (expense) income	(58,728)	(10,418)	(1,455)	(70,601)	(45,844)	(19,096)	(1,433)	(66,373)
NET INCOME	170,815	30,112	4,345	205,272	146,585	61,053	4,588	212,227
Attributable to non-controlling interests	458	0	(1,874)	(1,415)	0	0	(14)	(14)
Attributable to equity holders of the parent	170,357	30,112	6,219	206,687	146,585	61,053	4,602	212,240

(1) Statement of income IX. Technical result from insurance activities.

B. Consolidated balance sheet

	31/12/19				31/12/20			
	Life	Non-Life	Non-Technical	Total	Life	Non-Life	Non-Technical	Total
(In thousands of EUR)								
TECHNICAL PROVISIONS OF INSURANCE COMPANIES								
Technical provisions - insurance activities	11,893,927	1,297,560	0	13,191,487	11,356,195	1,314,474	0	12,670,669
Technical provisions unit-linked	3,671,372	0	0	3,671,372	3,813,059	0	0	3,813,059
Technical provisions - share of reinsurers	13,138	94,937	0	108,074	12,723	94,352	0	107,075

Technical result from insurance activities Life and Non-Life improved by EUR 87.8 million to a profit of EUR 68 million (31 December 2019: loss of EUR 20 million).

The technical result from insurance activities Life improved by EUR 44 million. The interest guarantees decreased by EUR 43 million due to the declining outstanding volume in Branch 21 Life and a decreasing average guaranteed interest rate on the remaining volumes.

In Non-Life, the technical margin improved by EUR 44 million mainly resulting from lower claims charges especially in Car and

Worker's Compensation insurance lines relating to the Covid-19 lockdown period, as well as in Property and All risks. The cost for natural disasters, net of reinsurance, remained stable at EUR 25 million compared to 2019. In addition, a claims provision of EUR 31 million was recognised to anticipate the new version of the indicative tables on large claims with physical injuries for Motor TPL and General TPL. Following the reassessment of the technical provisions Non-Life, and in line with the Non-Life Risk Appetite Framework, EUR 13 million release of claims provisions was booked in 2020 compared with EUR 5 million in 2019.

2. Gross earned premiums Life

	31/12/19			31/12/20		
	Insurance contracts	Investment contracts with DPF	Total	Insurance contracts	Investment contracts with DPF	Total
(In thousands of EUR)						
Gross premiums written	481,081	277,465	758,545	521,801	229,714	751,515
Change in gross unearned premium reserves (UPR)	0	0	0	0	0	0
GROSS EARNED PREMIUMS	481,081	277,465	758,545	521,801	229,714	751,515

(In thousands of EUR)		31/12/2019	31/12/2020
GROSS PREMIUMS WRITTEN LIFE		758,546	751,515
Direct business		758,370	751,515
Accepted reinsurance		175	0

(In thousands of EUR)		31/12/2019	31/12/2020
GROSS PREMIUMS WRITTEN UNIT-LINKED		368,917	206,354

3. Non-Life insurance by product group

	Gross earned premiums	Claims incurred and other technical expenses	Acquisition commis- sions	Technical result from ceded reinsurance	Net income on capital	Operating expenses	Other	Net income before tax
(In thousands of EUR)								
TOTAL AS AT 31 DECEMBER 2019	711,365	(391,947)	(137,219)	(18,414)	34,410	(159,265)	1,601	40,529
ACCEPTED REINSURANCE	818	142	(99)	3,595	1,075	(12)	(38)	5,482
DIRECT BUSINESS	710,546	(392,089)	(137,121)	(22,009)	33,334	(159,254)	1,639	35,047
All risks/accidents	118,910	(68,776)	(24,439)	(5,264)	8,246	(30,199)	101	(1,422)
Cars/third party liability	178,596	(86,947)	(29,345)	(4,293)	16,368	(43,377)	150	31,151
Cars/other branches	103,385	(60,623)	(18,957)	(804)	(1,484)	(25,001)	12	(3,472)
Fire and other damage to property	246,252	(121,284)	(59,759)	(12,023)	6,769	(47,707)	83	12,331
Other ⁽¹⁾	63,403	(54,458)	(4,621)	375	3,435	(12,969)	1,293	(3,541)

	Gross earned premiums	Claims incurred and other technical expenses	Acquisition commis- sions	Technical result from ceded reinsurance	Net income on capital	Operating expenses	Other	Net income before tax
(In thousands of EUR)								
TOTAL AS AT 31 DECEMBER 2020	730,157	(360,852)	(142,457)	(18,988)	36,014	(162,965)	(755)	80,154
ACCEPTED REINSURANCE	585	(4,778)	(73)	2,120	987	0	14	(1,145)
DIRECT BUSINESS	729,572	(356,073)	(142,384)	(21,108)	35,027	(162,965)	(770)	81,299
All risks/accidents	124,954	(66,948)	(26,036)	(5,060)	7,170	(31,604)	(371)	2,105
Cars/third party liability	179,354	(97,003)	(29,824)	(5,812)	14,278	(41,134)	(621)	19,239
Cars/other branches	107,563	(48,170)	(20,009)	(824)	1,156	(29,457)	(24)	10,235
Fire and other damage to property	259,259	(114,840)	(62,795)	(9,090)	6,619	(47,558)	(339)	31,256
Other ⁽¹⁾	58,442	(29,113)	(3,720)	(321)	5,804	(13,212)	585	18,465

(1) Includes Credit and suretyship, non-life distribution, health and accidents at work.

7.8. Other income

	31/12/19	31/12/20
(In thousands of EUR)		
Operational taxes	0	4
Rental income from investment property ⁽¹⁾	41,850	37,667
Other rental income	4,274	4,578
Other banking income	1,082	572
Write-back of provisions for litigations ⁽²⁾	5,057	12,438
Real estate projects	11,905	6,627
Asset Finance activities	87,152	86,432
Other income on other activities	65,249	69,670
OTHER INCOME	216,569	217,989

(1) Rental income from investment property decreased in line with real estate investments.

(2) We refer to note 6.6. "Provisions and contingent liabilities" for a detailed description. Please note that the additional provisions for litigations are recorded in other expense (we refer to note 7.9).

7.9. Other expense

(In thousands of EUR)	31/12/19 PF ⁽²⁾	31/12/20
Impairment on inventory	0	(101)
Sector levies ⁽¹⁾	(222,343)	(237,076)
Expenses related to investment properties that generated income during the current financial year ⁽²⁾	(27,377)	(34,980)
Other banking expenses	(18)	(587)
Provisions for litigations ⁽³⁾	(20,190)	(7,909)
Real estate projects	(9,414)	(5,259)
Asset Finance activities	(76,016)	(79,496)
Other expense on other activities ⁽⁴⁾	(56,929)	(72,948)
OTHER EXPENSE	(412,287)	(438,356)

(1) Sector levies are specific taxes for financial institutions or insurers, it includes

→ the Deposit Guarantee Scheme contributions,

→ Subscription tax,

→ Financial Stability Contribution and

→ the contributions to the Single Resolution Fund.

Belfius has opted in the past to pay part of its contribution to the Single Resolution Fund through an Irrevocable Payment Commitment. This payment commitment was fully covered by cash collateral. Belfius has recorded EUR 17.5 million in its off balance sheet accounts (stable compared to 2019).

(2) Depreciation and amortization on investment property were presented under the line item "Other expense on other activities" in the previous annual report.

(3) An additional provision for potential settlements of ongoing disputes with third parties of EUR 8 million was recognised in 2020, compared to a negative impact of EUR 20 million in 2019.

(4) "Other expenses on other activities" includes other operational expenses and other operational taxes.

7.10. Staff expense

(In thousands of EUR)	31/12/19	31/12/20
Wages and salaries	(439,793)	(439,890)
Social security and insurance costs	(121,849)	(122,043)
Pension costs-defined benefit plans ⁽¹⁾	(57,780)	(59,951)
Pension costs-defined contribution plans ⁽¹⁾	(351)	(371)
Other postretirement obligations (reversal / use)	(348)	(139)
Share-based payments	0	0
Other long-term employee benefits	(465)	200
Restructuring expenses (reversal / use) ⁽¹⁾	625	8,121
Other expense	(16,817)	(16,110)
TOTAL	(636,777)	(630,182)

(1) We refer to note 6.6. "Provisions and contingent liabilities" for a detailed description.

Staff expense decreased by EUR 6.6 million, or 1.0% to EUR 630 million (31 December 2019: EUR 637 million).

Average FTE as at 31 December 2019	Belgium	Luxembourg	Ireland	Fully consolidated
Senior Executives	140	1	1	142
Employees	6,190	4	6	6,200
TOTAL	6,330	5	7	6,342
of which banking group	5,056	3	7	5,066
of which Belins group	1,274	2	0	1,276

Average FTE as at 31 December 2020	Belgium	Luxembourg	Ireland	Fully consolidated
Senior Executives	138	1	1	140
Employees	6,098	5	6	6,109
TOTAL	6,236	6	7	6,249
of which banking group	4,945	4	7	4,956
of which Belins group	1,291	2	0	1,293

7.11. General and administrative expense

(In thousands of EUR)	31/12/19 PF	31/12/20
Occupancy ⁽¹⁾	(30,377)	(26,610)
Leases (except technology and system costs) ⁽¹⁾	(1,553)	(2,346)
Professional fees ⁽¹⁾	(66,505)	(76,152)
Marketing advertising and public relations ⁽¹⁾	(45,721)	(32,029)
Technology and system costs ⁽¹⁾	(182,871)	(189,199)
Software costs and research and development costs ⁽¹⁾	(40,139)	(41,753)
Repair and maintenance expenses	(266)	(318)
Restructuring costs other than staff	0	(3,087)
Insurance (except related to pension)	(3,241)	(3,915)
Transportation of mail and valuable ⁽¹⁾	(13,050)	(9,553)
Operational taxes ⁽¹⁾	(13,654)	(13,772)
Other general and administrative expense ⁽¹⁾	(91,142)	(72,401)
TOTAL	(488,519)	(471,136)

(1) Belfius has performed pro forma figures for 31 December 2019 following refinement of the presentation of the non-deductible VAT to the corresponding costs from "Operational Taxes".

General and administrative expense decreased by EUR 17.4 million, or 3.6% to EUR 471 million (31 December 2019: EUR 489 million), in line with the strict cost containment that is being applied and with the impact of the Covid-19 crisis on office costs, events and marketing costs and temporary reallocation of re-

sources from some more expensive long term strategic projects to less expensive shorter term crisis management, despite the increase of the professional fees (mainly due to increasing use of interims and consultancy services for some major strategic projects).

7.12. Depreciation and amortisation of fixed assets

(In thousands of EUR)	31/12/19	31/12/20
Depreciation of buildings	(24,060)	(22,301)
Depreciation of other tangible assets	(8,321)	(8,137)
Depreciation of right-of-use assets ⁽¹⁾	(5,304)	(5,276)
Amortisation of intangible assets ⁽²⁾	(77,224)	(116,470)
TOTAL	(114,909)	(152,184)

(1) Depreciation of right-of-use assets has been recognised since 2019 as a result of the application of IFRS 16.

(2) Following continuous investments in digitalization and innovation as well as the renewal of the core banking and insurance applications, more own development costs are being activated. As a result, the depreciation of intangible assets increased. Furthermore, Belfius recognised accelerated depreciations due to the revised useful life of internally developed software in 2020 given the rapid changes in technology and the accelerated uptake of digital services.

7.13. Impairments on financial instruments and provisions for credit commitments

1. Summary Totals

(In thousands of EUR)	31/12/19	31/12/20
Impairment on financial instruments and off balance commitments - Stage 1	(32,787)	65,952
Impairment on financial instruments and off balance commitments - Stage 2	27,001	(397,288)
Impairment on financial instruments, other assets and off balance commitments - Stage 3	(105,652)	(121,797)
TOTAL	(111,438)	(453,133)

Impairments on financial instruments and provision for credit commitments increased by EUR 341.7 million to EUR 453 million (31 December 2019: EUR 111 million). The evolution of the stage 1 and 2 impairments reflects the update of the underlying macro-economic scenarios and their weighting, in line with EBA guidance, to reflect the changes in the economic environment and prospects following the Covid-19 crisis. Furthermore,

Belfius applied management overlays on expected credit losses for certain risk pockets (defined in terms of sectors, groups of companies or individual exposures) in the loan portfolios that were particularly hit by the Covid-19 pandemic. Additional impairments were also recognised on a limited number of corporate customers that entered stage 3 during 2020.

2. Impairment on financial instruments and off balance commitments - Stage 1

	31/12/19				
(In thousands of EUR)	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(400)	158	0	0	(241)
Loans and advances	(131,244)	96,056	0	0	(35,188)
Debt securities	(942)	964	0	0	21
Off balance commitments	(31,155)	33,776	0	0	2,621
TOTAL	(163,741)	130,954	0	0	(32,787)

	31/12/20				
(In thousands of EUR)	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(63)	385	0	0	322
Loans and advances	(104,330)	168,372	0	0	64,042
Debt securities	(2,289)	813	0	0	(1,476)
Off balance commitments	(31,608)	34,672	0	0	3,064
TOTAL	(138,290)	204,242	0	0	65,952

Stage 1 impairment decreased with EUR 66 million in 2020 mainly following the shift towards stage 2 due to the update of the underlying macro-economic scenarios and their weights, in line with EBA guidance, to reflect the changes in the economic environment and perspectives following the Covid-19 crisis. Fur-

thermore, based on a screening of the loan portfolio to Covid-19 impacts, exposures with specific sensitivities (linked to sectors and loan characteristics) were shifted to stage 2, inducing increased higher expected losses due to lifetime calculations.

3. Impairment on financial instruments and off balance commitments - Stage 2

	31/12/19				
(In thousands of EUR)	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(76)	20	0	0	(56)
Loans and advances	(112,444)	126,965	1,057	(2,029)	13,550
Debt securities	(9,954)	28,203	1,044	(14,697)	4,597
Off balance commitments	(40,258)	49,169	0	0	8,911
TOTAL	(162,732)	204,357	2,101	(16,725)	27,001

	31/12/20				
(In thousands of EUR)	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(411)	47	0	0	(365)
Loans and advances	(447,227)	109,717	751	(1,684)	(338,442)
Debt securities	(6,589)	30,786	288,670	(301,829)	11,039
Off balance commitments	(106,309)	36,789	0	0	(69,520)
TOTAL	(560,536)	177,340	289,421	(303,512)	(397,288)

Stage 2 impairment increased by EUR 397 million in 2020 due to a significant increase in credit risk caused by the update of the underlying macro-economic scenarios and their weights, in line with EBA guidance, to reflect the changes in the economic environment and perspectives following the Covid-19 crisis.

Furthermore, Belfius has applied management overlays on expected credit losses for certain risk pockets (defined in terms of sectors, groups of companies or individual exposures) in the loan portfolios that were particularly hit by the Covid-19 pandemic.

4. Impairment on financial instruments, other assets and off balance commitments - Stage 3

(In thousands of EUR)	31/12/19						Total
	Allowances	Write-backs	Write-offs	Capital gains	Capital losses	Recoveries	
Loans and advances due from credit institutions	0	0	0	0	0	0	0
Loans and advances	(311,387)	182,257	(7,583)	6,864	(17,410)	17,401	(129,858)
Debt securities	0	0	0	0	0	0	0
Off balance commitments	(4,953)	29,625	0	0	0	0	24,672
Other assets ⁽¹⁾	(586)	1,598	0	0	(1,478)	0	(466)
TOTAL	(316,926)	213,481	(7,583)	6,864	(18,888)	17,401	(105,652)

(In thousands of EUR)	31/12/20						Total
	Allowances	Write-backs	Write-offs	Capital gains	Capital losses	Recoveries	
Loans and advances due from credit institutions	0	0	0	0	0	0	0
Loans and advances	(266,135)	154,678	(5,856)	5,515	(14,972)	14,936	(111,835)
Debt securities	(2,485)	0	0	0	0	0	(2,485)
Off balance commitments	(11,559)	4,801	0	0	0	0	(6,757)
Other assets ⁽¹⁾	(731)	50	0	0	(39)	0	(720)
TOTAL	(280,910)	159,529	(5,856)	5,515	(15,011)	14,936	(121,797)

(1) This concerns impairments on mainly other insurance assets, subject to impairment and reported under other assets on the balance sheet.

Stage 3 impairment increased with EUR 122 million in 2020 resulting from additional impairments on a limited number of corporate files.

7.14. Impairments on tangible and intangible assets

(In thousands of EUR)	31/12/19	31/12/20
Impairment on investment property	161	0
Impairment on land and buildings	(1,536)	(13,778)
Impairment on other tangible assets	0	0
Impairment on assets held for sale	0	0
Impairment on long-term construction contracts	0	0
Impairment on intangible assets	(5,386)	(2,836)
Impairment on right-of-use assets	0	0
TOTAL	(6,761)	(16,614)

Impairments on tangible and intangible assets increased by EUR 9.9 million to EUR 17 million (31 December 2019: EUR 7 million). Belfius recognised an impairment of EUR 12 million on previous refurbishment works carried out for ATMs in bank branch buildings following the project with Batopin which will centralise the management of ATMs for different Belgian banks.

Belfius reassessed its intangible and tangible assets for the Covid-19 impacts, whereby an impairment of EUR 2 million was enacted on the intangible assets of Jaimy.

Note that in 2019 an impairment of EUR 5.4 million was recorded on intangible assets invested for the project Jane, whereby Belfius aims to offer a sensor enabled monitoring solution for the elderly whereby they'll be able to stay longer in their own homes without special assistance. The management decided on this adjustment following the revised businessplan which presents a break-even point of income further in time, taking into account new commercial assumptions.

7.15. Impairments on goodwill

Nil.

The annual impairment test did not require an impairment on goodwill. The impairment test was performed by comparing the equity value of Belfius Insurance with the "value in use". This value in use was determined based on a discounted cash flow model with the following inputs:

- financial plan for 5 years;
- discount rate: a cost of equity of 10%; and
- a long term growth rate for Belgium of 0.5%.

Note that the financial plan has only a limited impact on the impairment test. The main drivers are the discount curve and long term growth rate. Based on that scenario, a surplus could be identified, note that there have been no change in parameters compared to last year.

For 2019 and 2020, all scenarii (ranging from a growth rate from -2% to +2% and a discount rate of 6% to 12%) showed that no impairment was required. The assumptions for these scenarii are aligned with the expected evolution of the results in the financial plan and with the market conditions for capital costs. Only if the required cost of equity (discount curve) amounts to 17% together with a growth rate of 0.0%, would an impairment start to become necessary. At a cost of equity of 10%, impairment would start at a negative growth rate of 16% after realisation of the financial plan.

7.16. Tax (expense) income

(In thousands of EUR)	31/12/19			31/12/20		
	Tax on current year result	Other Tax Expense	Total	Tax on current year result	Other Tax Expense	Total
Current tax expense / income: Income tax on current year	(236,125)		(236,125)	(234,690)		(234,690)
Current tax expense / income: Income tax on previous year		25,495	25,495		6,261	6,261
Current tax expense / income: Provision for tax litigations		514	514		0	0
TOTAL CURRENT TAXES			(210,116)			(228,428)
Deferred taxes on current year	(45,597)		(45,597)	63,403		63,403
Deferred taxes on previous year		3,806	3,806		17,666	17,666
TOTAL DEFERRED TAXES			(41,791)			81,069
TOTAL	(281,722)	29,815	(251,907)	(171,286)	23,927	(147,360)
TAX ON CURRENT YEAR RESULT			(281,722)			(171,286)
OTHER TAX EXPENSE			29,815			23,927
TOTAL			(251,907)			(147,360)
EFFECTIVE TAX RATE			27.44%			21.70%

Tax on current year result

(In thousands of EUR)	31/12/19	31/12/20
NET INCOME BEFORE TAX	918,010	678,984
Income and losses from companies accounted for by the equity method	4,918	4,848
TAX BASE	913,092	674,136
Statutory tax rate	29.58%	25.00%
TAX EXPENSE USING STATUTORY RATE	270,093	168,534
Tax effect of rates in other jurisdictions	1,584	(493)
Tax effect of non-taxable revenues ⁽¹⁾	(13,734)	(5,883)
Tax effect of non-tax deductible expenses	21,659	10,492
Tax effect of utilisation of previously unrecognised tax losses	0	1,204
Tax effect on tax benefit not previously recognised in profit or loss	0	0
Tax effect from reassessment of unrecognised deferred tax assets	9,399	8,646
Tax effect of change in tax rates	2,968	48
Items taxed at a reduced rate	0	0
Other increase (decrease) in statutory tax charge	(10,246)	(11,262)
TAX ON CURRENT YEAR RESULT	(281,722)	(171,286)

(1) Mainly definitively tax-exempted income (dividends and capital gains on shares).

The tax expense, including deferred taxes, decreased by EUR 104.5 million, or 41.5% to EUR 147 million (31 December 2019: EUR 252 million), mainly due to lower taxable profit in entities of Belfius and the decrease in standard tax rate to 25%.

Based on this total tax expense, we obtain an effective tax rate of 21.7% for 2020.

In 2019, the tax expense was mainly impacted by the recognition of a tax asset on the innovation income deduction and the reversal of tax uncertainties of the past. Compared to 2018, the negative impact of having less untaxed capital gains in 2019 is mostly offset by a smaller effect of change in tax rates as most DTA's were expected to reverse in 2020 or later and thus were already reassessed to 25% by end 2018.

Other notes to the consolidated annual financial statements

VIII. Notes on the consolidated off-balance sheet items

(some amounts may not add up due to roundings)

8.1. Regular way trade

(In thousands of EUR)	31/12/19	31/12/20
Loans to be delivered and purchases of assets	3,696,014	2,431,514
Borrowings to be received and sales of assets	4,995,038	11,320,885

8.2. Guarantees

(In thousands of EUR)	31/12/19	31/12/20
Guarantees given to credit institutions	1,170,819	1,241,204
Guarantees given to customers	4,318,971	4,587,080
Guarantees received from credit institutions ⁽¹⁾	1,259,648	1,126,020
Guarantees received from customers	30,276,274	28,078,339
Guarantees received from the Belgian State ⁽²⁾	0	9,142,355

(1) This amount includes the personal guarantees and similar rights of recourse obtained for derivatives.

(2) This amount concerns the allocation to Belfius of the Belgian State guarantee scheme for loans to SME in the framework of the Covid-19 crisis. The allocation of 9.1 billion EUR on a total of 50 billion EUR is based on our market share. Refer to the section "Measures in Covid-19 crisis to support the Belgian Society" in the Credit Risk chapter of the Management Report for further information on the Covid-19 measures taken at Belfius.

8.3. Loan commitments

(In thousands of EUR)	31/12/19	31/12/20
Unused lines granted to credit institutions	215,121	197,824
Unused lines granted to customers	27,520,705	29,581,213
Unused lines obtained from credit institutions	4,292	1,312
Unused lines obtained from customers	0	0

8.4. Other commitments to financing activities

(In thousands of EUR)	31/12/19	31/12/20
Insurance activity - Commitments given	0	0
Insurance activity - Commitments received	73,913	71,814
Banking activity - Commitments given ⁽¹⁾	21,984,819	36,776,363
Banking activity - Commitments received	85,486,469	85,652,163

(1) Mainly related to repurchase agreements and collateralisation of loans with the European Central Bank and other central banks. Belfius drew from TLTRO, resulting in a total TLTRO III participation of 14.3 billion as of December 2020.

The section "Banking activity - commitments given" also includes the underlying assets of the covered bond programs. The special estate of the mortgage covered bond program contains mainly residential mortgage loans for a total amount of EUR 8.1 billion

(nominal) at the end of 2019 and 7.8 billion (nominal) at the end of 2020. See also note 6.4. "Debt securities issued and other financial liabilities".

8.5. Commitments – contingent liabilities

(In thousands of EUR)	31/12/19	31/12/20
Single Resolution Fund – Commitments given ⁽¹⁾	17,473	17,473
Other contingent liabilities	143	143

(1) Sector levies are specific taxes for financial institutions or insurers, it includes:

(i) the Deposit Guarantee Scheme contributions,

(ii) Subscription tax,

(iii) Financial Stability Contribution and

(iv) the contributions to the Single Resolution Fund.

Belfius has opted in the past to pay part of its contribution to the Single Resolution Fund through an Irrevocable Payment Commitment. This payment commitment was fully covered by cash collateral. Belfius has recorded EUR 17.5 million in its off balance sheet accounts (stable compared to 2019).

8.6. Bond lending and bond borrowing transactions

(In thousands of EUR)	31/12/19	31/12/20
Securities lending	2,107,974	2,222,572
Securities borrowing	0	(0)

In the context of its liquidity management, Belfius enters from time to time into bond lending transactions against fees.

IX. Notes on risk exposure

(some amounts may not add up due to rounding)

9.1. Fair value

1. Fair value of financial instruments

A. Breakdown of fair value of assets

(In thousands of EUR)	31/12/19		
	Carrying amount	Fair value	Difference
Cash and balances with central banks	6,715,928	6,715,928	0
Loans and advances due from credit institutions	16,207,838	16,207,834	(4)
Measured at amortised cost	16,207,838	16,207,834	(4)
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	0	0	0
Loans and advances	94,944,479	101,378,367	6,433,889
Measured at amortised cost	93,391,477	99,825,365	6,433,889
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	1,553,002	1,553,002	0
Debt securities	27,814,658	29,722,426	1,907,768
Measured at amortised cost	22,476,427	24,384,195	1,907,768
Measured at fair value through other comprehensive income	3,795,542	3,795,542	0
Measured at fair value through profit or loss	1,542,689	1,542,689	0
Equity instruments	1,674,908	1,674,908	0
Measured at fair value through other comprehensive income	1,461,737	1,461,737	0
Measured at fair value through profit or loss	213,171	213,171	0
Unit linked products insurance activities	3,671,372	3,671,372	0
Derivatives	13,304,709	13,304,709	0
Gain/loss on the hedged item in portfolio hedge of interest rate risk	4,881,797	4,881,797	0
Non current assets (disposal group) held for sale and discontinued operations	23,826	36,360	12,534
TOTAL	169,239,513	177,593,699	8,354,187

(In thousands of EUR)	31/12/20		
	Carrying amount	Fair value	Difference
Cash and balances with central banks	25,433,799	25,433,799	0
Loans and advances due from credit institutions	11,911,665	11,911,666	1
Measured at amortised cost	11,911,665	11,911,666	1
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	0	0	0
Loans and advances	98,108,050	103,775,713	5,667,663
Measured at amortised cost	96,811,908	102,479,571	5,667,663
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	1,296,142	1,296,142	0
Debt securities	27,267,236	29,117,011	1,849,775
Measured at amortised cost	22,039,067	23,888,843	1,849,775
Measured at fair value through other comprehensive income	3,866,789	3,866,789	0
Measured at fair value through profit or loss	1,361,380	1,361,380	0
Equity instruments	1,581,629	1,581,629	0
Measured at fair value through other comprehensive income	1,303,641	1,303,641	0
Measured at fair value through profit or loss	277,988	277,988	0
Unit linked products insurance activities	3,813,059	3,813,059	0
Derivatives	12,188,113	12,188,113	0
Gain/loss on the hedged item in portfolio hedge of interest rate risk	4,631,922	4,631,922	0
Non current assets (disposal group) held for sale and discontinued operations	25,700	43,276	17,576
TOTAL	184,961,174	192,496,188	7,535,014

B. Breakdown of fair value of liabilities

(In thousands of EUR)	31/12/19		
	Carrying amount	Fair value	Difference
Cash and balances from central banks	4,016,777	4,032,187	15,409
Borrowings and deposits	91,269,273	91,434,298	165,025
Measured at amortised cost	91,216,500	91,381,525	165,025
Measured at fair value through profit or loss	52,773	52,773	0
Debt securities issued and other financial liabilities	27,654,505	28,303,226	648,721
Measured at amortised cost	19,341,686	19,990,407	648,721
Measured at fair value through profit or loss	8,312,819	8,312,819	0
Unit linked products insurance activities	3,671,372	3,671,372	0
Derivatives	18,630,116	18,630,116	0
Gain/loss on the hedged item in portfolio hedge of interest rate risk	262,708	262,708	0
Subordinated debts	1,157,266	1,266,835	109,569
Measured at amortised cost	1,157,266	1,266,835	109,569
Measured at fair value through profit or loss	0	0	0
Liabilities included in disposal group and discontinued operations	0	0	0
TOTAL	146,662,018	147,600,741	938,724

(In thousands of EUR)	31/12/20		
	Carrying amount	Fair value	Difference
Cash and balances from central banks	14,173,519	14,093,552	(79,967)
Borrowings and deposits	100,346,168	100,537,862	191,694
Measured at amortised cost	100,295,133	100,486,827	191,694
Measured at fair value through profit or loss	51,036	51,036	0
Debt securities issued and other financial liabilities	24,402,198	25,125,815	723,617
Measured at amortised cost	16,068,804	16,792,421	723,617
Measured at fair value through profit or loss	8,333,394	8,333,394	0
Unit linked products insurance activities	3,813,059	3,813,059	0
Derivatives	18,310,156	18,310,156	0
Gain/loss on the hedged item in portfolio hedge of interest rate risk	373,447	373,447	0
Subordinated debts	1,150,681	1,267,053	116,372
Measured at amortised cost	1,150,681	1,267,053	116,372
Measured at fair value through profit or loss	0	0	0
Liabilities included in disposal group and discontinued operations	0	0	0
TOTAL	162,569,228	163,520,945	951,716

The decrease in fair value of the loan portfolio is linked to a flattening of the long term interest rate environment compared to year-end 2019, more than compensated by higher risk adjustments following the Covid-19 pandemic and some methodological refinements. Note that an internal estimate of the future potential prepayment rate has been considered in the determination of the fair value. The evolution of debt securities reflects the impact of the economic crisis.

For some assets and liabilities, Belfius estimates that the fair value approximates the carrying value. The determination of the fair value of loans for 2019 and 2020 is explained further on in the valuation techniques. In addition, Belfius estimates that the own credit risk has not changed significantly and has thus not taken into account a revaluation of the own credit risk.

2. Analysis of fair value of financial instruments

A. Assets

(In thousands of EUR)	31/12/19			
	Level 1	Level 2	Level 3	Total
Loans and advances	0	29,804,755	87,781,446	117,586,201
Measured at amortised cost	0	29,785,601	86,247,598	116,033,199
Measured at fair value through profit or loss	0	19,153	1,533,849	1,553,002
Debt securities	20,267,382	5,645,676	3,809,367	29,722,426
Measured at amortised cost	16,504,536	4,885,813	2,993,846	24,384,195
Measured at fair value through other comprehensive income	3,185,354	247,499	362,689	3,795,542
Measured at fair value through profit or loss	577,493	512,364	452,832	1,542,689
Equity instruments	1,378,406	0	296,501	1,674,908
Measured at fair value through other comprehensive income	1,165,501	0	296,236	1,461,737
Measured at fair value through profit or loss	212,906	0	265	213,171
Unit linked products insurance activities	3,671,372	0	0	3,671,372
Derivatives	533	12,511,900	792,276	13,304,709
Non current assets (disposal group) held for sale and discontinued operations	0	34,318	2,042	36,360
TOTAL	25,317,694	47,996,648	92,681,632	165,995,975

(In thousands of EUR)	31/12/20			
	Level 1	Level 2	Level 3	Total
Loans and advances	0	26,006,617	89,680,762	115,687,379
Measured at amortised cost	0	26,002,352	88,388,885	114,391,237
Measured at fair value through profit or loss	0	4,265	1,291,877	1,296,142
Debt securities	20,079,149	4,711,735	4,326,127	29,117,011
Measured at amortised cost	16,396,932	3,999,103	3,492,808	23,888,843
Measured at fair value through other comprehensive income	3,256,635	263,910	346,244	3,866,789
Measured at fair value through profit or loss	425,583	448,722	487,075	1,361,380
Equity instruments	1,229,336	0	352,293	1,581,629
Measured at fair value through other comprehensive income	951,357	0	352,284	1,303,641
Measured at fair value through profit or loss	277,979	0	9	277,988
Unit linked products insurance activities	3,813,059	0	0	3,813,059
Derivatives	297	11,428,498	759,318	12,188,113
Non current assets (disposal group) held for sale and discontinued operations	0	40,852	2,424	43,276
TOTAL	25,121,841	42,187,701	95,120,924	162,430,467

Level 2 loans and advances measured at amortised cost decreased compared to 2019 due to a decrease in the outstanding volume of reverse repurchase agreements. Level 2 debt securities decreased due to increased liquidity in certain markets. Level 3 loans and advances measured at amortised cost increased compared to 2019 due to an increase in the outstanding volume of mortgage loans.

B. Liabilities

	31/12/19			
(In thousands of EUR)	Level 1	Level 2	Level 3	Total
Borrowings and deposits	0	91,034,308	399,990	91,434,298
Measured at amortised cost	0	90,981,535	399,990	91,381,525
Measured at fair value through profit or loss	0	52,773	0	52,773
Debt securities issued and other financial liabilities	11,050,086	6,917,536	10,335,605	28,303,226
Measured at amortised cost	10,970,170	1,428,838	7,591,399	19,990,407
Measured at fair value through profit or loss	79,916	5,488,697	2,744,205	8,312,819
Unit linked products insurance activities	3,671,372	0	0	3,671,372
Derivatives	496	17,926,880	702,740	18,630,116
Subordinated debts	953,139	96,145	217,551	1,266,835
Measured at amortised cost	953,139	96,145	217,551	1,266,835
TOTAL	15,675,093	115,974,868	11,655,886	143,305,847

	31/12/20			
(In thousands of EUR)	Level 1	Level 2	Level 3	Total
Borrowings and deposits	0	100,328,452	209,411	100,537,862
Measured at amortised cost	0	100,277,416	209,411	100,486,827
Measured at fair value through profit or loss	0	51,036	0	51,036
Debt securities issued and other financial liabilities	10,806,470	6,256,017	8,063,329	25,125,815
Measured at amortised cost	10,479,059	836,754	5,476,608	16,792,421
Measured at fair value through profit or loss	327,410	5,419,263	2,586,721	8,333,394
Unit linked products insurance activities	3,813,059	0	0	3,813,059
Derivatives	809	17,688,673	620,674	18,310,156
Subordinated debts	902,410	92,721	271,922	1,267,053
Measured at amortised cost	902,410	92,721	271,922	1,267,053
TOTAL	15,522,748	124,365,862	9,165,335	149,053,946

The increase in level 2 borrowings and deposits is mainly related to the increase in demand deposit and saving accounts. The decrease in level 3 debt securities issued and other financial liabilities is mainly due to the maturity of EUR 3.0 billion certificates of deposit.

3. Transfer between Level 1 and Level 2 fair value for assets and liabilities at fair value in the balance sheet

A. Assets at fair value in the balance sheet

	31/12/19		31/12/20	
(In thousands of EUR)	From level 1 to 2	From level 2 to 1	From level 1 to 2	From level 2 to 1
Debt securities	21,053	66,157	70,476	8,234
Measured at fair value through other comprehensive income	21,047	66,157	70,299	8,234
Measured at fair value through profit or loss	5	0	177	0
Derivatives	0	0	0	0
TOTAL	21,053	66,157	70,476	8,234

B. Liabilities at fair value in the balance sheet

Nil.

4. Reconciliation Level 3

A. Assets

(In thousands of EUR)	31/12/19									
	Opening balance	Total of unrealised gains and losses in P&L	Total gains/ losses in other comprehensive income	Purchases	Sales	Settlements	Transfer in Level 3	Transfer out of Level 3 PF	Foreign exchange adjustments	Closing balance
Loans and advances	1,787,934	(173,148)		30,595	(111,533)	0	0	0	0	1,533,849
Measured at fair value through profit or loss	1,787,934	(173,148)		30,595	(111,533)	0	0	0	0	1,533,849
Debt securities	729,923	(29,254)	1,391	332,946	(227,588)	(44,677)	54,136	(1,357)	0	815,520
Measured at fair value through other comprehensive income	285,688	202	1,391	63,169	(16,218)	(12,313)	40,770	0	0	362,689
Measured at fair value through profit or loss	444,235	(29,456)		269,778	(211,370)	(32,364)	13,367	(1,357)	0	452,832
Equity instruments	299,213	0	71	20,546	(13,550)	(9,779)	0	0	0	296,501
Measured at fair value through other comprehensive income	298,832	0	71	20,282	(13,170)	(9,779)	0	0	0	296,236
Measured at fair value through profit or loss	381	0		265	(380)	0	0	0	0	265
Derivatives	714,199	48,405		143,099	0	(118,289)	5,542	(2,539)	1,858	792,276
TOTAL	3,531,269	(153,997)	1,463	527,187	(352,671)	(172,744)	59,678	(3,896)	1,858	3,438,146

(In thousands of EUR)	31/12/20									
	Opening balance	Total of unrealised gains and losses in P&L	Total gains/ losses in other comprehensive income	Purchases	Sales	Settlements	Transfer in Level 3	Transfer out of Level 3	Foreign exchange adjustments	Closing balance
Loans and advances	1,533,849	(174,197)		30,959	(97,991)	(743)	0	0	0	1,291,877
Measured at fair value through profit or loss	1,533,849	(174,197)		30,959	(97,991)	(743)	0	0	0	1,291,877
Debt securities	815,520	(7,065)	(1,548)	337,481	(162,629)	(124,623)	9,857	(33,674)	0	833,319
Measured at fair value through other comprehensive income	362,689	(114)	(1,548)	108,984	0	(99,932)	9,829	(33,663)	0	346,244
Measured at fair value through profit or loss	452,832	(6,951)		228,497	(162,629)	(24,690)	28	(11)	0	487,075
Equity instruments	296,501	4	(15,727)	169,424	(94,586)	(3,332)	9	0	0	352,293
Measured at fair value through other comprehensive income	296,236	4	(15,727)	169,424	(94,322)	(3,332)	0	0	0	352,284
Measured at fair value through profit or loss	265	(0)		0	(265)	0	9	0	0	9
Derivatives	792,276	137,013		54,731	(779)	(137,573)	6	(83,459)	(2,897)	759,318
TOTAL	3,438,146	(44,246)	(17,275)	592,595	(355,985)	(266,270)	9,872	(117,133)	(2,897)	3,236,808

B. Liabilities

	31/12/19									
	Opening balance	Total of unrealised gains and losses in P&L	Total gains/ losses in other comprehensive income	Purchases	Sales	Direct origination	Settlements PF	Transfer in Level 3	Transfer out of Level 3	Closing balance
(In thousands of EUR)										
Debt securities issued and other financial liabilities	2,556,005	29,919		0	0	402,705	(183,100)	124,087	(185,411)	2,744,205
Measured at fair value through profit or loss	2,556,005	29,919		0	0	402,705	(183,100)	124,087	(185,411)	2,744,205
Derivatives	680,871	(1,710)		217,998	0	0	(156,692)	1,380	(39,107)	702,740
TOTAL	3,236,876	28,209		217,998	0	402,705	(339,792)	125,466	(224,518)	3,446,946

	31/12/20									
	Opening balance	Total of unrealised gains and losses in P&L	Total gains/ losses in other comprehensive income	Purchases	Sales	Direct origination	Settlements	Transfer in Level 3	Transfer out of Level 3	Closing balance
(In thousands of EUR)										
Debt securities issued and other financial liabilities	2,744,205	(20,193)		0	0	704,342	(786,929)	0	(54,705)	2,586,721
Measured at fair value through profit or loss	2,744,205	(20,193)		0	0	704,342	(786,929)	0	(54,705)	2,586,721
Derivatives	702,740	80,252		135,528	0	0	(215,710)	13	(82,149)	620,674
TOTAL	3,446,946	60,059		135,528	0	704,342	(1,002,639)	13	(136,854)	3,207,395

The column "total of unrealised gains and losses in P&L" cannot be analysed on a stand alone basis, as some assets or liabilities classified at amortised cost or some assets and liabilities classified in level 1 or 2 may be hedged by derivatives classified in level 3. The column direct origination refers to the issuance of Belfius bonds.

5. Valuation techniques and data (level 1, 2 en 3)

Financial instruments measured at fair value (trading, designated at fair value through profit or loss, debt instruments and investments in equity instruments measured at fair value through other comprehensive income, non trading financial assets mandatorily measured at fair value through profit or loss, derivatives)

Financial instruments measured at fair value for which reliable quoted market prices are available (level 1)

If the market is active – meaning that reliable bid-offer prices are available representing effective transactions for meaningful amounts concluded on an arm's length basis between willing counterparties – these market prices provide for reliable evidence of fair value and are therefore used for fair value measurement (f.e. interest rate futures, liquid bonds, etc).

The use of market prices quoted in an active market for identical instruments with no adjustments qualifies for inclusion in level 1 within IFRS 13 fair value hierarchy, which is not the case for the use of quoted prices in inactive markets or the use of quoted spreads.

Financial instruments measured at fair value for which no reliable quoted market prices are available and for which valuations are obtained by means of valuation techniques (level 2 and 3)

Financial instruments for which no quoted market prices in active markets are available, are valued by means of valuation techniques. The determination whether or not there is an active market is based on criteria such as volume, bid- offer spread and the number of price/spread contributions. The models that Belfius uses range from standard models available in the market to in-house developed valuation models. Availability of some observable market prices and model inputs reduces the need for management judgement and estimation and the uncertainty associated with the determination of fair values. These availabilities vary depending on the products and markets and are subject to changes based on specific events and general conditions in the financial markets.

Once a financial instrument is not classified as level 1, Belfius requires that two conditions are met for inclusion in level 2 (f.e. currency swaps, swaptions, cap/floors, foreign exchange contracts/options, and less liquid bonds):

- the model must have either passed a successful validation by the Validation department or comply with the price reconciliation process run by the Market Risk department that has been installed to test the reliability of valuations.
- the data that Belfius incorporates in its valuation models are either directly observable data (prices) or indirectly observable data (spreads).

Fair value measurements that do not fall under level 1 or do not comply with the two conditions for level 2 mentioned above, are reported as part of the level 3 disclosure. In that respect, the following parameters are within Belfius not considered to be observable: Belgian inflation, CMS spread, equity correlations (such as equity baskets, illiquid bonds, total return swaps, credit default obligations and credit default swaps).

For that reason, structured loans measured at fair value through profit and loss are classified as level 3. These financial assets are illiquid and not traded on an active market. The fair value of these loans is determined by a valuation model essentially based on non observable data including additional value adjustments as described below.

Bonds traded in inactive markets are valued using valuation techniques. To price its portfolio of illiquid bonds, Belfius calculates spreads based on a cross section method using a large universe of bonds and CDS spreads. The calculated spreads are challenged (back-testing) every quarter by means of comparisons with observable market spreads.

Unquoted equity instruments are systematically classified as level 3. In accordance with the principles set out in IFRS 13, different fair value measurement models for unquoted equity instruments are possible (discounted cash flow, net asset value, recent transaction price, ...).

Derivatives are valued through a model (using a discount curve that takes into account collateral agreement – if any) at mid-market prices with additional value adjustments.

Following additional value adjustments are applied within Belfius:

- Unearned credit spread: this value adjustment takes account of the possibility that a counterparty might default and part of the fair value cannot be recovered (Credit Value Adjustment) and of the creditworthiness of Belfius (Debit Value Adjustment). The Unearned credit spread is calculated both on collateralized and non collateralized derivatives. For collateralized derivatives with standard ISDA/CSA agreements, the unearned credit spread is calculated taking into account the Margin Period of Risk and the collateral exchanged. For uncollateralized derivatives an estimation is made of the expected exposures, by forecasting the future fair value of the derivative in line with market practice. These expected exposures are then multiplied by an expected loss indication. Seeing that the majority of these expected losses are not directly observable in the market, Belfius uses market-derived spreads which are determined by means of a method based on cross-sections on a large universe of bonds and CDS spreads.
- Bid/ask adjustment: because the mid-market prices do not take account of the direction in which the deal was closed, the bid/ask adjustment does take account of this information in the total fair value.
- Funding spread: this value adjustment takes into account the funding cost or benefit for uncollateralized transactions. For all uncollateralized transactions, a correction is made for the funding value adjustment based on the average funding cost of Belfius Bank. This funding cost is determined by ALM taking into account the different funding sources.
- Market price uncertainty: value adjustment for uncertainty of market parameters.
- Model risk: this value adjustment is made if the assumptions used in a valuation model cannot be verified with sufficient accuracy.
- Cash-CDS adjustment: this adjustment takes into account the spread difference between the cash instruments and corresponding derivatives.

Financial instruments measured at amortised cost (having valuations at fair value in IFRS disclosures)

The fair value of debt instruments held within the business model "hold to collect contractual cash flows", is determined using the following valuation principles.

General principles

- the carrying amount of loans maturing within 12 months is assumed to reflect their fair value;
- for bonds the valuation is done in the same way as bonds measured at fair value through other comprehensive income;

Interest-rate part

- the fair value of fixed-rate loans and mortgage loans reflects interest-rate movements since inception;
- loans with an adjustable rate are priced using the corresponding forward rates increased with the contractual margin;
- market or model values for caps, floors and prepayment options are included in the fair value of loans and receivables;
- the fair value of variable-rate loans (f.i. 3M euribor) is assumed to be approximated by their carrying amounts;
- target net commercial margins of loans are also included in the fair value, the method was refined in 2020;
- the future potential prepayment rate has been approximated by taking into account an internal estimate.

A. Quantitative information on significant unobservable data (level 3)

If the fair value of a financial instrument is determined based on valuation techniques using inputs that are not based on observable market data, alternative assumptions may impact the equity and the result.

Financial instrument	Non-observable items	Difference with alternative assumptions	Impact in P&L of alternative assumptions (in millions of EUR)	Impact in equity of alternative assumptions (in millions of EUR)
OTC swaps on Belgian inflation	Expectations in Belgian inflation	+30 bp	-2,13	
OTC derivatives on CMS spread	Correlation between CMS interest rates	10,00%	-0.14	
OTC swaps Bermudian Feature	Mean Reversion	1%	0.38	
Collateralised Debt Obligation	Credit spread	-10 bps	-5.01	
Credit Default Swap	Credit spread	-10 bps	-4.35	
Illiquid bonds	Credit spread	-10 bps	1.24	0.52

B. Valuation process

The valuation process follows a strict governance. First of all, the Risk department operates a strong Independent Price Verification process by the mean of independent controls of the parameters. Any parameters used for the valuation process are independently controlled before injection into the systems. Secondly, the models used are validated by the Validation department which reports directly to the CRO. The validation reports but also the proposals for model changes are presented to the Financial Markets Fair Value committee for decision. This committee refers directly to the Financial Markets Committee which is led by three members of the Management Board (CRO, CFO, head of PCB). For unquoted equities and participations, the fair values are challenged by the Participation Forum which presents the main fair value changes to the Financial Markets Fair Value committee for approval.

C. Transfers between valuation levels

The IFRS levels are dependent on an internal liquidity score for the bonds or on observability criteria and a validation status of the model for the derivative products. The liquidity score of the bonds is distributed between very liquid (high score) and very illiquid (low score). Therefore, a small change in the liquidity on the market does not influence the distribution of L1, L2 or L3.

A few bonds are nevertheless close to the border of illiquidity and can change from L1 to L2 or L3. The main events since the beginning of 2020 (Covid-19 pandemic, lockdown impact on the economy, monetary decisions from central banks, Brexit and finally the start of Covid vaccination program) caused big movements in the liquidity scores but not enough to increase significantly the transfer between levels. At the end of December 2020, we find a greater level of liquidity score than the end of 2019, but this did not result in many transfers between levels. For derivatives products, we have not seen any significant transfers between levels since the volume of the stock was stable and the observability of parameters did not change. Moreover, the validation of the models is increasing in coverage leading to a decreasing trend of the L3 stock.

6. Disclosure of difference between transaction prices and model values (deferred day one profit)

No significant amounts are recognized as deferred Day One Profit or Loss (DOP) in 2020.

As Belfius deals in plain vanilla products (like Interest Rate Swaps (IRS)), and some more complex products (like structured transactions) which are hedged in the market in line with market risk limits and framework, the resulting day one profit is recognised up-front.

9.2. Credit risk exposure

1. The credit risk management practices - general principles

Maximum Credit Risk Exposure is expressed as Full Exposure At Default (FEAD), and is determined as follows:

- for balance sheet assets (except for derivatives): the gross carrying amounts (before impairment);
- for derivatives: the fair value of derivatives after netting, increased with the potential future exposure calculated under the current exposure method (add-on);
- for Securities Financing Transactions:
 - for reverse repo's : the amount of collateral up to the amount lent
 - for repo's : the collateral value in excess of the amount borrowed;

→ for off-balance sheet commitments: either the undrawn part of liquidity facilities or the maximum commitment of Belfius for guarantees granted to third parties; Note that the definition of the Maximum Credit Risk Exposure as used internally and for the risk tables presented below, presenting the carrying amount of its assets gross of any impairment losses differs slightly from IFRS 7 with a presentation of assets net of impairment.

2. Inputs, assumptions and techniques used for estimating impairment

We refer to the chapter "Risk management" of the management report for further information, section Credit Risk.

3. Analysis of total credit risk exposure

A. Exposure by geographical region

	31/12/19								
(In thousands of EUR)	Belgium	France	Luxembourg	Germany	Portugal	Ireland	Italy	Greece ⁽¹⁾	Spain
Cash and balances with central banks	0	0	0	0	0	0	0	0	0
Loans and advances	93,357,038	1,847,920	576,483	141,162	3,662	2,609	49,888	69	1,118,450
Measured at amortised cost	91,793,727	1,847,920	576,483	141,162	3,662	2,609	49,888	69	1,118,450
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	1,563,311	0	0	0	0	0	0	0	0
Debt securities	8,219,856	3,665,326	126,418	258,853	255,347	247,163	2,328,379	0	1,597,147
Measured at amortised cost	6,844,214	3,038,964	65,124	160,699	39,247	125,011	1,604,590	0	1,047,436
Measured at fair value through other comprehensive income	1,080,568	510,617	61,294	85,439	216,099	109,864	680,504	0	549,646
Measured at fair value through profit or loss	295,074	115,745	0	12,714	0	12,288	43,286	0	66
Derivatives	1,205,395	913,554	37,184	243,961	0	2,754	18,464	0	198,117
Loan commitments and financial guarantees given	27,692,603	505,413	389,457	55,233	1,687	1,647	5,096	238	29,669
Other (of which mainly securities lending and margin calls)	403,872	885,030	15,724	227,578	0	853	4,290	0	31,249
TOTAL	130,878,764	7,817,244	1,145,266	926,788	260,696	255,025	2,406,116	307	2,974,632

(1) The exposure on Greece mainly concerns a small number of retail loans granted to residents in Greece having economical ties to Belgium and displaying good credit stance.

	31/12/19									
(In thousands of EUR)	Other EU countries ⁽¹⁾	Rest of Europe	United States and Canada	United Kingdom	Southeast Asia	South and Central America	Turkey	Japan	Other	Total
Cash and balances with central banks	6,674,577	2,228	5,609	1,181	362	140	35	338	618	6,685,088
Loans and advances	624,756	58,663	33,925	106,241	31,727	8,386	4,565	2,301	42,561	98,010,407
Measured at amortised cost	624,756	58,663	33,925	106,241	31,727	8,386	4,565	2,301	42,561	96,447,096
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	0	0	0	0	0	0	0	0	1,563,311
Debt securities	944,024	212,670	2,497,600	5,647,098	22,477	123,349	0	400,901	699,163	27,245,771
Measured at amortised cost	721,012	198,590	2,370,221	5,109,795	22,477	99,906	0	400,395	684,734	22,532,414
Measured at fair value through other comprehensive income	162,620	13,947	103,411	202,229	0	23,443	0	506	951	3,801,139
Measured at fair value through profit or loss	60,392	133	23,968	335,074	0	0	0	0	13,478	912,218
Derivatives	121,784	3,173	224,615	900,915	1,445	0	0	7,662	4,626	3,883,648
Loan commitments and financial guarantees given	364,316	30,446	1,087,616	1,105,027	209,181	288,383	40,536	790	336,213	32,143,548
Other (of which mainly securities lending and margin calls)	35,897	891,143	199,099	1,720,330	0	0	0	0	17,764	4,432,828
TOTAL	8,765,353	1,198,324	4,048,462	9,480,791	265,192	420,257	45,136	411,992	1,100,946	172,401,290

(1) Includes supranational entities, such as the European Central Bank.

	31/12/20								
(In thousands of EUR)	Belgium	France	Luxembourg	Germany	Portugal	Ireland	Italy ⁽¹⁾	Greece ⁽²⁾	Spain
Cash and balances with central banks	0	0	0	0	0	0	0	0	0
Loans and advances	96,111,103	515,299	619,619	262,890	4,196	2,573	43,556	70	230,553
Measured at amortised cost	94,405,823	515,299	619,619	262,890	4,196	2,573	43,556	70	230,553
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	1,705,280	0	0	0	0	0	0	0	0
Debt securities	7,810,855	6,184,642	155,066	287,309	289,497	307,960	1,619,192	0	1,331,544
Measured at amortised cost	6,528,919	5,437,624	65,140	177,968	58,011	154,985	968,424	0	834,850
Measured at fair value through other comprehensive income	996,079	658,726	89,926	109,332	231,486	140,951	650,768	0	496,628
Measured at fair value through profit or loss	285,857	88,292	0	9	0	12,024	0	0	66
Derivatives	821,522	938,233	96,476	378,534	0	65,881	15,880	0	175,270
Loan commitments and financial guarantees given	30,520,103	883,331	391,109	47,281	1,337	1,631	5,274	239	5,275
Other (of which mainly securities lending and margin calls)	457,936	1,265,668	34,039	326,468	0	194	2,206	0	10,970
TOTAL	135,721,519	9,787,173	1,296,309	1,302,482	295,030	378,239	1,686,108	309	1,753,612

(1) The exposure on Italy decreased mainly due to the sale of certain Italian government bonds in 2020.

(2) The exposure on Greece mainly concerns a small number of retail loans granted to residents in Greece having economical ties to Belgium and displaying good credit stance.

	31/12/20									
(In thousands of EUR)	Other EU countries ⁽¹⁾	Rest of Europe	United States and Canada	United Kingdom ⁽²⁾	Southeast Asia	South and Central America	Turkey	Japan	Other	Total
Cash and balances with central banks	25,418,824	2,345	8,439	3,059	200	73	55	299	504	25,433,798
Loans and advances	674,128	54,118	26,116	101,350	39,902	6,690	3,448	1,810	36,155	98,503,023
Measured at amortised cost	674,128	54,118	26,116	101,350	39,902	6,690	3,448	1,810	36,155	96,797,743
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	0	0	0	0	0	0	0	0	1,705,280
Debt securities	1,061,551	200,948	1,414,743	4,785,749	20,627	121,155	0	408,940	599,612	25,267,846
Measured at amortised cost	858,615	186,317	1,250,452	4,288,247	20,627	95,343	0	396,436	585,901	21,073,009
Measured at fair value through other comprehensive income	138,943	14,498	140,936	173,563	0	25,812	0	12,457	957	3,384,434
Measured at fair value through profit or loss	63,993	133	23,355	323,939	0	0	0	47	12,754	810,403
Derivatives	127,349	9,028	151,254	378,670	2,344	0	0	6,278	2,603	2,994,052
Loan commitments and financial guarantees given	284,137	39,043	929,258	869,749	270,984	249,090	39,789	141	366,153	34,898,649
Other (of which mainly securities lending and margin calls)	73,799	1,418,359	163,997	1,518,514	0	0	0	19,701	17,587	5,298,468
TOTAL	27,639,788	1,723,841	2,693,807	7,657,091	334,057	377,008	43,292	437,169	1,022,614	192,395,836

(1) Includes supranational entities, such as the European Central Bank. Cash and balances with central banks increased due to the TLTRO III that Belfius deposits partly at the NBB, within the framework of its liquidity management.

(2) Belfius has solid credit risk management in place for its outstanding exposures on the United Kingdom, taking into account the Brexit. We refer to the chapter "Risk management" of the management report for further information, section Credit Risk.

B. Exposure by category of counterpart

	31/12/19								
(In thousands of EUR)	Central governments	Public sector entities	Corporate	Monoline insurers	ABS/MBS	Project finance	Individuals, SME, self-employed	Financial institutions	Total
Cash and balances with central banks	6,685,088	0	0	0	0	0	0	0	6,685,088
Loans and advances	664,813	26,997,662	21,108,410	0	0	903,929	45,531,696	2,803,897	98,010,407
Measured at amortised cost	664,813	25,453,512	21,089,249	0	0	903,929	45,531,696	2,803,897	96,447,096
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	1,544,150	19,161	0	0	0	0	0	1,563,311
Debt securities	10,339,534	3,840,415	3,648,434	3,838,401	749,143	824,206	0	4,005,647	27,245,781
Measured at amortised cost	8,194,227	3,155,578	2,664,986	3,518,964	670,728	824,206	0	3,503,726	22,532,414
Measured at fair value through other comprehensive income	2,072,357	464,888	957,449	0	18,051	0	0	288,395	3,801,139
Measured at fair value through profit or loss	72,951	219,950	25,999	319,438	60,364	0	0	213,526	912,228
Derivatives	40,139	860,567	333,371	463,430	0	250,479	107	1,935,545	3,883,638
Loan commitments and financial guarantees given	104,565	12,615,019	11,195,867	415,672	0	447,482	6,688,169	676,773	32,143,548
Other (of which mainly securities lending and margin calls)	259,957	28,213	151,589	0	0	0	0	3,993,070	4,432,828
TOTAL	18,094,096	44,341,876	36,437,671	4,717,503	749,143	2,426,096	52,219,972	13,414,932	172,401,290

	31/12/20								
	Central government ments	Public sector entities	Corporate	Monoline insurers	ABS/MBS	Project finance	Individuals, SME, self- employed	Financial institutions	Total
(In thousands of EUR)									
Cash and balances with central banks ⁽¹⁾	25,433,799	0	0	0	0	0	0	0	25,433,799
Loans and advances	690,540	25,558,367	22,815,646	0	0	1,135,446	48,009,634	523,945	98,733,578
Measured at amortised cost	690,540	23,874,612	22,797,646	0	0	1,135,446	48,008,751	521,303	97,028,298
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	1,683,755	18,000	0	0	0	883	2,642	1,705,280
Debt securities	10,066,055	3,887,557	3,975,803	3,859,331	427,166	732,093	0	3,651,388	26,599,393
Measured at amortised cost	7,738,678	3,252,583	3,029,365	3,551,729	396,230	732,093	0	3,207,181	21,907,859
Measured at fair value through other comprehensive income	2,247,177	421,231	928,297	0	14,504	0	0	269,854	3,881,063
Measured at fair value through profit or loss	80,200	213,743	18,141	307,602	16,432	0	0	174,353	810,471
Derivatives	39,488	490,428	329,830	362,522	0	295,041	139	1,651,871	3,169,319
Loan commitments and financial guarantees given	109,812	13,614,560	13,036,174	378,452	0	399,208	6,543,954	821,763	34,903,923
Other (of which mainly securities lending and margin calls)	230,044	33,734	238,596	0	0	0	0	4,807,065	5,309,439
TOTAL	36,569,738	43,584,646	40,396,049	4,600,305	427,166	2,561,788	54,553,727	11,456,032	194,149,451

(1) Cash and balances with central banks increased due to the TLTRO III that Belfius deposits partly at the NBB, within the framework of its liquidity management.

C. Detail of most important countries per counterparty

	31/12/19						
	Central government bonds	Financial institutions	ABS/MBS	Public sector entities	Corporate - Project finance	Other	Total
(In thousands of EUR)							
Belgium	4,950,330	404,437	50,000	42,479,308	29,992,539	53,002,150	130,878,764
France	1,020,214	4,704,709	33,252	821,156	1,121,429	116,484	7,817,244
United Kingdom	0	2,820,821	230,825	12	3,180,965	3,248,167	9,480,791
Spain	737,907	1,787,952	117,984	108,536	210,833	11,420	2,974,632
Italy	2,198,418	41,395	72,875	0	90,279	3,149	2,406,116
United States and Canada	0	1,010,288	41,580	184,789	1,305,850	1,505,955	4,048,462
TOTAL	8,906,869	10,769,602	546,517	43,593,801	35,901,895	57,887,325	157,606,009

	31/12/20						
	Central government bonds	Financial institutions	ABS/MBS	Public sector entities	Corporate - Project finance	Other	Total
(In thousands of EUR)							
Belgium	4,757,628	330,682	0	41,664,132	33,636,646	55,332,433	135,721,521
France	1,208,693	3,435,875	149,732	838,184	1,088,493	3,066,195	9,787,173
United Kingdom	0	2,534,047	12,392	12	3,632,618	1,478,020	7,657,090
Spain	786,174	645,370	95,475	92,243	123,965	10,385	1,753,612
Italy	1,589,857	27,454	20,759	0	43,848	4,191	1,686,109
United States and Canada	0	897,273	43,267	258,744	1,287,882	206,641	2,693,807
TOTAL	8,342,352	7,870,702	321,626	42,853,317	39,813,452	60,097,864	159,299,313

Belfius has solid credit risk management in place for its outstanding exposures on the United Kingdom, taking into account the Brexit. We refer to the chapter "Risk management" of the management report for further information, section Credit Risk.

4. Maximum Credit Risk exposure by categories of Financial Instruments subject to impairment

A. Financial Assets

	31/12/19			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
CREDIT RATING GRADES				
Cash and balances with central banks	6,685,088	0	0	6,685,088
LOANS AND ADVANCES				
Measured at amortised cost	88,043,574	6,645,552	1,757,970	96,447,096
AAA to AA-	27,309,746	1,101,446	41,608	28,452,800
A+ to BBB-	40,451,501	2,201,247	7	42,652,755
Non investment grade	18,449,146	3,200,154	5,940	21,655,240
Default	0	0	1,710,002	1,710,002
Unrated	1,833,181	142,705	413	1,976,299
DEBT SECURITIES				
Measured at amortised cost	14,751,054	7,779,578	1,782	22,532,414
AAA to AA-	9,379,312	188,381	0	9,567,693
A+ to BBB-	5,263,122	7,386,775	1,782	12,651,679
Non investment grade	58,055	204,423	0	262,478
Unrated	50,564	0	0	50,564
Measured at fair value through other comprehensive income	2,994,609	806,530	0	3,801,139
AAA to AA-	1,107,736	827	0	1,108,563
A+ to BBB-	1,739,661	730,896	0	2,470,557
Non investment grade	107,031	60,033	0	167,064
Unrated	40,180	14,774	0	54,954

	31/12/20			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
CREDIT RATING GRADES				
Cash and balances with central banks	25,433,799	0	0	25,433,799
LOANS AND ADVANCES				
Measured at amortised cost	84,269,992	10,866,812	1,891,493	97,028,297
AAA to AA-	27,147,140	1,726,161	34,422	28,907,723
A+ to BBB-	38,106,183	4,003,557	221	42,109,961
Non investment grade	17,165,422	4,887,244	2,654	22,055,320
Default	0	0	1,854,103	1,854,103
Unrated	1,851,247	249,850	93	2,101,190
DEBT SECURITIES				
Measured at amortised cost	14,463,981	7,439,474	4,405	21,907,860
AAA to AA-	9,576,088	34,110	0	9,610,198
A+ to BBB-	4,778,535	7,209,583	1,782	11,989,900
Non investment grade	58,794	195,781	0	254,575
Default	0	0	2,623	2,623
Unrated	50,564	0	0	50,564
Measured at fair value through other comprehensive income	3,049,736	831,326	0	3,881,062
AAA to AA-	1,205,045	567	0	1,205,612
A+ to BBB-	1,669,941	744,953	0	2,414,894
Non investment grade	142,734	47,209	0	189,943
Default	0	0	0	0
Unrated	32,016	38,597	0	70,613

The evolution of the stage 1 and 2 exposures reflects the update of the underlying macro-economic scenarios and their weights, in line with EBA guidance, to reflect the changes in the economic environment and perspectives following the Covid-19 crisis.

Furthermore, Belfius has applied management overlays on expected credit losses for certain risk pockets (defined in terms of sectors, groups of companies or individual exposures) in the loan portfolios that were particularly hit by the Covid-19 pandemic.

B. Off-Balance sheet exposure

	31/12/19			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
CREDIT RATING GRADES				
Loan commitments and financial guarantees given	30,526,967	1,565,912	50,669	32,143,548
AAA to AA-	9,517,683	37,853	63	9,555,599
A+ to BBB-	16,025,492	513,553	0	16,539,045
Non investment grade	4,771,017	986,541	10	5,757,567
Default	0	0	50,596	50,596
Unrated	212,776	27,965	0	240,741

	31/12/20			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
CREDIT RATING GRADES				
Loan commitments and financial guarantees given	31,739,182	3,113,333	51,411	34,903,926
AAA to AA-	9,856,755	76,162	431	9,933,348
A+ to BBB-	16,687,906	1,294,186	0	17,982,092
Non investment grade	4,961,114	1,713,197	95	6,674,406
Default	0	0	50,885	50,885
Unrated	233,407	29,788	0	263,195

The evolution of the stage 1 and 2 exposures reflects the update of the underlying macro-economic scenarios and their weights, in line with EBA guidance, to reflect the changes in the economic environment and perspectives following the Covid-19 crisis. Furthermore, Belfius has applied management overlays on expected credit losses for certain risk pockets (defined in terms of sectors, groups of companies or individual exposures) in the loan portfolios that were particularly hit by the Covid-19 pandemic.

The indicated ratings are either internal or external based. In fact, Belfius applies the AIRBA (Advanced Internal Ratings Based

Approach) for the calculation of capital requirements for credit risk within the context of Pillar 1 of Basel III. Except for Asset Backed Securities (ABS) positions for which the credit risk is based on external ratings only (Fitch, Standard & Poors and/or Moody's).

C. Purchased at credit impaired

Nil.

5. Maximum credit risk exposure by class of financial instruments and impact of collateral

	31/12/19		31/12/20	
	Maximum credit risk exposure	Effect of physical collateral	Maximum credit risk exposure	Effect of physical collateral
(In thousands of EUR)				
Cash and balances with central banks	6,685,088	0	25,433,799	0
Loans and advances	98,010,407	5,237,919	98,733,578	5,567,545
Measured at amortised cost	96,447,096	5,236,373	97,028,297	5,565,999
Measured at fair value through profit or loss	1,563,311	1,546	1,705,281	1,546
Debt securities	27,245,781	0	26,599,392	0
Measured at amortised cost	22,532,414	0	21,907,859	0
Measured at fair value through other comprehensive income	3,801,139	0	3,881,062	0
Measured at fair value through profit or loss	912,228	0	810,471	0
Derivatives	3,883,638	42,538	3,169,321	0
Loan commitments and financial guarantees given	32,143,548	322,856	34,903,924	348,173
Other (of which mainly securities lending and margin calls)	4,432,828	0	5,309,439	0
TOTAL	172,401,290	5,603,313	194,149,452	5,915,718

6. Financial assets subject to impairment that are past due

A financial asset is past due when the counterparty has failed to make a payment when contractually due. This is considered on a contract by contract basis. For example, if a counterpart fails to pay the required interests at due date, the entire loan is considered as past due.

31/12/19	Financial instruments without significant increase in credit risk since initial recognition (stage 1)			Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)			Carrying amount		
							Credit impaired financial assets (stage 3)		
	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days
(In thousands of EUR)									
Loans and advances due from credit institutions	5	0	0	1,335	11	0	0	0	8
Loans and advances	186,589	30,361	7,176	104,848	22,335	11,508	284,311	59,466	356,506
Debt securities	0	0	0	0	0	0	0	0	0
TOTAL	186,594	30,361	7,176	106,183	22,346	11,508	284,311	59,466	356,514

31/12/20	Financial instruments without significant increase in credit risk since initial recognition (stage 1)			Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)			Carrying amount		
							Credit impaired financial assets (stage 3)		
	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days
(In thousands of EUR)									
Loans and advances due from credit institutions	0	0	0	275	0	0	0	0	0
Loans and advances	129,962	31,276	30,823	92,769	35,762	31,629	248,292	39,985	510,161
Debt securities	0	0	0	0	0	0	943	0	0
TOTAL	129,962	31,276	30,823	93,043	35,762	31,629	249,234	39,985	510,161

Past due outstandings relate mainly to retail and corporate loans.

A default status is assigned to the debtors who satisfy either one or both of the following criteria:

- The debtor has material exposures which are more than 90 days past due;
- The debtor is assessed as unlikely to pay its credit obligations in full without realisation of collateral, regardless the existence of any past due amount or the number of days past due.

Refer to the section "Asset quality" in the Credit Risk chapter of the Management Report for further information

7. Forbearance

(In thousands of EUR)	31/12/19			
	Gross carrying amount of exposures with forbearance measures	Impairment	Collateral received and financial guarantees received	
			Collateral received on exposures with forbearance measures	Financial guarantees received on exposures with forbearance measures
Loans and advances due from credit institutions	0	0	0	0
Loans and advances	787,784	(160,321)	424,962	29,107
Debt securities	0	0	0	0
Off-Balance sheet exposure	29,758	0	7,422	0

(In thousands of EUR)	31/12/20			
	Gross carrying amount of exposures with forbearance measures	Impairment	Collateral received and financial guarantees received	
			Collateral received on exposures with forbearance measures	Financial guarantees received on exposures with forbearance measures
Loans and advances due from credit institutions	0	0	0	0
Loans and advances	1,011,781	(183,162)	666,903	22,682
Debt securities	0	0	0	0
Off-Balance sheet exposure	18,936	0	7,490	829

Refer to the section "Asset quality" in the Credit Risk chapter of the Management Report for further information.

8. Movements in allowances for credit losses

(In thousands of EUR)	31/12/19			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
LOANS AND ADVANCES DUE FROM CREDIT INSTITUTIONS				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(173)	(19)	0	(191)
Changes due to origination, acquisition and derecognition	(193)	0	0	(193)
Changes due to credit risk ⁽¹⁾	(57)	(52)	0	(109)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	7	(7)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(4)	4	0	0
Foreign exchange and other movements	(1)	18	(0)	17
BALANCE AT 31 DECEMBER	(420)	(56)	(0)	(476)
LOANS AND ADVANCES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(162,877)	(173,662)	(1,147,237)	(1,483,775)
Changes due to origination, acquisition and derecognition	(63,750)	0	13,163	(50,587)
Changes due to credit risk ⁽¹⁾	67,547	(1,771)	(140,705)	(74,928)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	17,279	(11,347)	(5,932)	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(46,844)	77,454	(30,611)	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	(9,495)	(50,089)	59,584	0
Decrease in allowance due to write off	0	0	89,649	89,649
Foreign exchange and other movements	29	(53)	3,776	3,752
BALANCE AT 31 DECEMBER	(198,110)	(159,466)	(1,158,313)	(1,515,890)

(1) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

Changes due to credit risk in stage 2 may include a decrease due to derecognition.

31/12/19

(In thousands of EUR)

	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
DEBT SECURITIES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(1,388)	(194,105)	(840)	(196,333)
Changes due to origination, acquisition and derecognition	(37)	0	0	(37)
Changes due to credit risk ⁽¹⁾	714	15,677	0	16,390
Transfer from stage 1 (12-month ECL) to stages 2 & 3	1	(1)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(746)	746	0	0
Foreign exchange and other movements	(14)	(7,382)	0	(7,396)
BALANCE AT 31 DECEMBER	(1,471)	(185,065)	(840)	(187,376)
Measured at fair value through other comprehensive income				
BALANCE AT 1 JANUARY	(1,818)	(19,446)	0	(21,265)
Changes due to origination, acquisition and derecognition	(182)	0	0	(182)
Changes due to credit risk ⁽¹⁾	1,155	942	0	2,097
Transfer from stage 1 (12-month ECL) to stages 2 & 3	27	(27)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(972)	972	0	0
BALANCE AT 31 DECEMBER	(1,790)	(17,560)	0	(19,350)
OFF-BALANCE SHEET EXPOSURE				
BALANCE AT 1 JANUARY	43,701	60,342	35,552	139,595
Changes due to origination, acquisition and derecognition	11,134	0	(4,616)	6,518
Changes due to credit risk ⁽¹⁾	(25,435)	(4,239)	(13,037)	(42,711)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	(2,719)	2,553	166	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	13,811	(15,713)	1,902	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	588	8,493	(9,081)	0
Foreign exchange and other movements	26	76	58	160
BALANCE AT 31 DECEMBER	41,107	51,512	10,943	103,562

(1) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

The increase of expected credit losses in stage 1 reflects the production performed by Belfius. A shift of assets from Stage 2 to Stage 3 can be noted due to a credit deterioration which led to a stock decrease of the expected credit losses in Stage 2.

The effect of this shift has been partially offset by a number of debt restructuring agreements and write offs in Stage 3.

Changes due to credit risk in stage 2 may include a decrease due to derecognition.

	31/12/20			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
LOANS AND ADVANCES DUE FROM CREDIT INSTITUTIONS				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(420)	(56)	(0)	(476)
Changes due to origination, acquisition and derecognition	117	0	0	117
Changes due to credit risk ⁽¹⁾	(60)	(388)	0	(448)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	10	(10)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(33)	33	0	0
Foreign exchange and other movements	299	1	0	300
BALANCE AT 31 DECEMBER	(87)	(419)	0	(506)
LOANS AND ADVANCES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(198,110)	(159,466)	(1,158,313)	(1,515,890)
Changes due to origination, acquisition and derecognition	(30,992)	0	14,099	(16,893)
Changes due to credit risk ⁽¹⁾	85,954	(300,559)	(150,779)	(365,384)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	76,799	(75,306)	(1,492)	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(65,802)	96,692	(30,890)	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	(3,235)	(58,534)	61,769	0
Decrease in allowance due to write off	0	0	62,533	62,533
Foreign exchange and other movements	1,502	1,954	4,248	7,704
BALANCE AT 31 DECEMBER	(133,883)	(495,220)	(1,198,825)	(1,827,929)

(1) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

Changes due to credit risk in stage 2 may include a decrease due to derecognition.

	31/12/20			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
DEBT SECURITIES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(1,471)	(185,065)	(840)	(187,376)
Changes due to origination, acquisition and derecognition	(16)	0	0	(16)
Changes due to credit risk ⁽¹⁾	(228)	23,686	(2,436)	21,022
Transfer from stage 1 (12-month ECL) to stages 2 & 3	199	(150)	(49)	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(667)	667	0	0
Foreign exchange and other movements	18	7,406	0	7,424
BALANCE AT 31 DECEMBER	(2,165)	(153,455)	(3,325)	(158,946)
Measured at fair value through other comprehensive income				
BALANCE AT 1 JANUARY	(1,790)	(17,560)	0	(19,350)
Changes due to origination, acquisition and derecognition	182	0	0	182
Changes due to credit risk ⁽¹⁾	383	(1,334)	0	(950)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	110	(110)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(1,439)	1,439	0	0
BALANCE AT 31 DECEMBER	(2,554)	(17,565)	0	(20,119)
OFF-BALANCE SHEET EXPOSURE				
BALANCE AT 1 JANUARY	41,107	51,512	10,943	103,562
Changes due to origination, acquisition and derecognition	20,131	0	(7,530)	12,601
Changes due to credit risk ⁽¹⁾	(14,286)	67,538	8,281	61,533
Transfer from stage 1 (12-month ECL) to stages 2 & 3	(22,562)	22,391	171	(0)
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	13,527	(23,372)	9,845	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	532	3,010	(3,542)	0
Foreign exchange and other movements	(450)	(426)	(671)	(1,547)
BALANCE AT 31 DECEMBER	37,999	120,654	17,496	176,149

(1) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

Changes due to credit risk in stage 2 may include a decrease due to derecognition.

As at 31 December 2020, the total impairment stock reached EUR 2,184 million compared to EUR 1,827 million to the end of 2019. This increase of EUR 357 million is mainly explained by the impact of the Covid-19-crisis.

The decrease of expected credit losses in stage 1 is explained by the shifts to Stage 2 and Stage 3 resulting from the update of the underlying macro-economic scenarios and their weights, in line with EBA guidance, to reflect the changes in the economic environment and perspectives following the Covid-19-crisis. This decrease is more than counterbalanced by an increase of expected

credit losses in Stage 2 and 3 mostly driven by the overlays and name based expected credit losses adjustments for the Stage 2 and by a limited number of Corporate and SME files with material impacts for the Stage 3.

We refer to the section "Asset quality" in the Credit Risk chapter of the Management Report for further information on the Covid-19 measures taken at Belfius.

The impact on the statement of income (impairments on financial instruments and provisions for credit commitments) is EUR -453 million in 2020, compared to EUR -111 million in 2019.

9. Credit risk information for loans designated at fair value through profit or loss

There are currently no financial assets designated at fair value through profit or loss. We refer to note 5.4. loans and advances and 5.5. Debt securities & Equity Instruments.

10. Credit risk information about financial liabilities designated at fair value through profit or loss

31/12/19	Book value	Amount of change in the fair value attributable to changes in the credit risk of the liability		Difference between carrying amount of the financial liability and contractual amount required to be paid at maturity ⁽¹⁾
(In thousands of EUR)		Change of the period	Cumulative amount	
	8,306,668	0	0	208,091

31/12/20	Book value	Amount of change in the fair value attributable to changes in the credit risk of the liability		Difference between carrying amount of the financial liability and contractual amount required to be paid at maturity ⁽¹⁾
(In thousands of EUR)		Change of the period	Cumulative amount	
	8,241,296	0	0	179,851

(1) This amount includes the premium/discount and the change in market value.

11. Writte-offs

The contractual amount outstanding on financial assets that were written off during the year and that are still subject to enforcement activity is nihil.

9.3. Information on asset encumbrance and collateral received

1.1. Assets

(In thousands of EUR)	As at 31 December 2019			
	Carrying amount of encumbered assets	Fair value of encumbered assets	Carrying amount of unencumbered assets	Fair value of unencumbered assets
Equity instruments	0	0	1,674,908	1,674,908
Debt securities	4,184,459	4,762,100	23,630,199	24,912,946
Loans and advances	28,051,279		66,893,200	
of which cash collateral given	12,016,687			

(In thousands of EUR)	As at 31 December 2020			
	Carrying amount of encumbered assets	Fair value of encumbered assets	Carrying amount of unencumbered assets	Fair value of unencumbered assets
Equity instruments	0	0	1,581,629	1,581,629
Debt securities	5,772,037	6,795,444	21,495,199	22,321,567
Loans and advances	39,180,239		58,927,811	
of which cash collateral given	12,710,604			

1.2. Collateral received

(In thousands of EUR)	As at 31 December 2019		As at 31 December 2020	
	Fair value of encumbered collateral received or own debt securities issued	Fair value of collateral received or own debt securities issued available for encumbrance	Fair value of encumbered collateral received or own debt securities issued	Fair value of collateral received or own debt securities issued available for encumbrance
Collateral received by the reporting institution	193,152	6,441,043	12,666	1,415,272
Equity instruments	0	151,093	0	0
Debt securities	193,152	6,289,951	12,666	1,415,272
Other collateral received	0	0	0	0
Own debt securities issued other than own covered bonds or ABSs	0	577,810	0	587,826

2. Summary encumbrance by source

As at 31 December 2019

As at 31 December 2019	Encumbered assets						Total
	Loans and advances		Debt securities				
	Measured at amortised cost	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Fair value of encumbered collateral received or own debt securities issued	
(In thousands of EUR)							
SOURCE OF ENCUMBRANCE							
Derivatives - collateral	12,016,687	0	1,196,027	0	0	(223,934)	12,988,780
Repurchase agreements	0	0	0	0	0	0	0
Collateralised deposits other than repurchase agreements	740,625	0	247,831	0	0	4,436	992,892
Central bank funding	4,242,619	0	587,121	0	0	795	4,830,535
Covered bonds issued	9,883,418	0	96,657	0	0	0	9,980,075
Asset-backed securities issued	251,347	0	0	0	0	0	251,347
Fair value of securities borrowed with non cash-collateral	240,768	0	875,373	0	0	0	1,116,141
Securities lending	0	0	1,201,360	0	0	150,445	1,351,805
Other	429,593	0	107,016	0	23,144	109,732	669,484
TOTAL	27,805,056	0	4,311,385	0	23,144	41,474	32,181,059

As at 31 December 2020

As at 31 December 2020	Encumbered assets						Total
	Loans and advances			Debt securities			
	Measured at amortised cost	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Fair value of encumbered collateral received or own debt securities issued	
(in thousands of EUR)							
Source of encumbrance							
Derivatives - collateral	12,666,625	0	1,581,430	0	0	(933,898)	13,314,158
Repurchase agreements	2,170	0	447,447	0	0	0	449,617
Collateralised deposits other than repurchase agreements	1,760,532	0	272,839	0	272,839	4,436	2,310,645
Central bank funding	14,768,209	0	2,618,476	0	0	152,473	17,539,158
Covered bonds issued	9,592,261	0	91,843	0	0	0	9,684,104
Asset-backed securities issued	0	0	0	0	0	0	0
Fair value of securities borrowed with non cash-collateral	0	0	0	0	0	0	0
Securities lending	0	0	1,030,650	0	0	150,445	1,181,095
Other	0	0	171,473	0	204,961	109,732	486,166
TOTAL	38,789,797	0	6,214,158	0	477,799	(516,813)	44,964,942

This information on asset encumbrance was determined on a consolidated basis of Belfius Bank and Belfius Insurance, according to the current Belfius interpretation of the EBA definition and scope.

Following the EBA definition, an asset shall be treated as encumbered if it has been pledged or if it is subject to any form of arrangement to secure, collateralize or credit enhance any transaction from which it cannot be freely withdrawn. This definition covers more than the IFRS requirements that focuses more on pledged assets. Among the encumbered assets the securities lending should not be considered as pledged. As a consequence, assets pledged according to IFRS 7 amount to 43.8 billion EUR. This represents an increase of EUR 13 billion compared to 2019.

The definition of encumbered assets includes assets that were pledged as a result of repurchase agreements, loans granted by the central banks, guarantees for the issuance of covered bonds and securitisations, the assets given under bond lending transactions and collateral posted under the "Credit Support Annex" (CSA) or "Credit Support Deed" (CSD).

EBA disclosure requirements fit with IFRS 7 accounting standards disclosure requirements as it requests to report encumbered (and unencumbered) amounts of "own" assets both in carrying amount and in fair value, and encumbered (and unencumbered) amounts of received collateral in fair value.

Total collateral received amounts to EUR 1.4 billion end 2020. The Bank has the right to re-pledge this collateral that is fully available for encumbrance.

End 2020, an amount of EUR 13.3 billion of collateral is pledged for derivatives (cash + securities). Securities pledged amount to EUR 1.0 billion and are measured at amortised cost.

Belfius is active in the covered bond market since 2012. End 2020, the total notional amount issued was EUR 7.7 billion which represents a decrease of EUR 0.4 billion in 2020 compared to 2019. End 2020, the assets encumbered for this funding source consist of commercial loans (public sector and mortgage loans) and amount to EUR 9.6 billion (decrease of EUR 0.2 billion compared to end 2019). Assets segregated in cover pools cannot be re-used by investors.

Since 2017 in the context of the management of its liquidity buffer, Belfius is active in bond lending transactions under the agreed Global Master Securities Lending Agreements (GMSLA) to manage its liquidity buffer. This activity generates EUR 1.2 billion of encumbered assets.

EUR 17.5 billion of the pledged collateral to the ECB is encumbered for TLTRO funding of EUR 14.3 billion. The assets pledged to collateralize the TLTRO funding are composed of EUR 14.4 billion public, SME and mortgage loans (through securitisation vehicles Penates and Mercurius) and EUR 3.0 billion of bonds. Credit claims pledged for ECB funding cannot be re-used by the ECB.

3. Encumbered assets/collateral received and associated liabilities

	As at 31 December 2019		As at 31 December 2020	
	Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered	Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered
(In thousands of EUR)				
Carrying amount of selected financial liabilities	24,447,098	29,284,911	34,642,527	42,991,293

4. Transfer of financial assets that do not qualify for derecognition in the consolidated balance sheet

As at 31 December 2019	Carrying amount of transferred assets	Carrying amount of associated liabilities	For those liabilities that recourse only to the transferred asset		
(In thousands of EUR)			Fair value of transferred assets	Fair value of associated liabilities	Net position
Loans and advances due from credit institutions	0	0	0	0	0
Loans and advances	248,153	248,153	274,012	248,673	25,339
Debt securities	0	0	0	0	0
Equity instruments	0	0	0	0	0
Derivatives	0	0	0	0	0
TOTAL	248,153	248,153	274,012	248,673	25,339

As at 31 December 2020	Carrying amount of transferred assets	Carrying amount of associated liabilities	For those liabilities that recourse only to the transferred asset		
			Fair value of transferred assets	Fair value of associated liabilities	Net position
(In thousands of EUR)					
Loans and advances due from credit institutions	0	0	0	0	0
Loans and advances	44,209	44,209	47,359	43,471	3,888
Debt securities	20,146	19,933	0	0	0
Equity instruments	0	0	0	0	0
Derivatives	0	0	0	0	0
TOTAL	64,355	64,142	47,359	43,471	3,888

A. Repurchase agreements

Belfius uses repurchase agreements as financing transactions where securities are sold to a market counterparty in exchange for cash and where the transferred securities are repurchased at maturity date of the contract.

The repurchase agreements are conducted under the terms of the Global Master Repurchase Agreements. The market counterparties are subject to the credit risk process as described in the management report.

Since all significant risks and rewards associated with ownership of the transferred securities are retained, the securities remain on the balance sheet of Belfius. The cash obtained under this transaction is recognised as a liability.

Since the counterparty, in case of default, has not only a right on the transferred assets, but on the entire debt, the columns "for those liabilities that resort only to the transferred assets" are not applicable on this.

B. Securitisation of credits

Belfius has different securitisation vehicles that are consolidated as most of the risks and rewards remain for Belfius. The underlying financial assets continue to be recognized on the balance sheet and the liquid assets obtained through securitisation are represented by a debt instrument. We refer to note 12. "Securitisation" for further details.

5. Collateral and other credit enhancements obtained by taking possession of collateral

Amounts involved are immaterial.

6. Offsetting

Financial assets and financial liabilities are offset (and, consequently, only the net amount is reported) when Belfius has a legally enforceable right to offset and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

A. Financial assets subject to offsetting

As at 31 December 2019 PF	Gross amounts of recognised financial assets	Gross amounts of recognised financial liabilities set off	Net amounts of financial assets presented in the balance sheet	Amounts not set off in the balance		Net amount
(In thousands of EUR)				Financial instrument	Securities + cash collateral received	
Derivatives with London Clearing House ⁽¹⁾	7,209,621	7,207,113	2,508	0	0	2,508
Derivatives with master netting agreements ⁽¹⁾	12,505,695	0	12,505,695	6,999,469	4,160,631	1,345,595
Reverse repurchase agreements with London Clearing House	0	0	0	0	0	0
Reverse repurchase agreements with master netting agreements ⁽²⁾	5,848,872	893,162	4,955,710	0	4,855,116	100,595
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	25,564,188	8,100,275	17,463,913	6,999,469	9,015,746	1,448,697

As at 31 December 2020	Gross amounts of recognised financial assets	Gross amounts of recognised financial liabilities set off	Net amounts of financial assets presented in the balance sheet	Amounts not set off in the balance		Net amount
Financial instrument				Securities + cash collateral received		
(In thousands of EUR)						
Derivatives with London Clearing House ⁽¹⁾	7,752,643	7,751,359	1,284	0	0	1,284
Derivatives with master netting agreements ⁽¹⁾	11,388,410	0	11,388,410	6,107,227	4,173,747	1,107,436
Reverse repurchase agreements with London Clearing House	0	0	0	0	0	0
Reverse repurchase agreements with master netting agreements ⁽²⁾	1,177,177	931,706	245,471	0	244,895	576
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	20,318,230	8,683,065	11,635,165	6,107,227	4,418,642	1,109,296

(1) Derivatives are included on the balance sheet in line item VI. Derivatives.

(2) Reverse repurchase agreements are included on the balance sheet in line items II. Loans and advances due from credit institutions measured at amortised cost and III. Loans and advances measured at amortised cost.

B. Financial liabilities subject to offsetting

As at 31 December 2019 PF	Gross amounts of recognised financial liabilities	Gross amounts of recognised financial assets set off	Net amounts of financial liabilities presented in the balance sheet	Amounts not set off in the balance		Net amount
				Financial instrument	Securities + cash collateral pledged	
(In thousands of EUR)						
Derivatives with London Clearing House	7,230,654	7,207,113	23,541	0	0	23,541
Derivatives with master netting agreements	18,195,138	0	18,195,138	6,999,469	11,103,756	91,913
Repurchase agreements with London Clearing House	0	0	0	0	0	0
Repurchase agreements with master netting agreements	893,162	893,162	0	0	0	0
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	26,318,954	8,100,275	18,218,679	6,999,469	11,103,756	115,453

As at 31 December 2020	Gross amounts of recognised financial liabilities	Gross amounts of recognised financial assets set off	Net amounts of financial liabilities presented in the balance sheet	Amounts not set off in the balance		Net amount
				Financial instrument	Securities + cash collateral pledged	
(In thousands of EUR)						
Derivatives with London Clearing House	7,774,187	7,751,359	22,828	0	0	22,828
Derivatives with master netting agreements	17,845,797	0	17,845,797	6,107,227	11,647,970	90,601
Repurchase agreements with London Clearing House	0	0	0	0	0	0
Repurchase agreements with master netting agreements	982,592	931,706	50,886	0	49,918	968
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	26,602,577	8,683,065	17,919,512	6,107,227	11,697,888	114,397

In 2020 Belfius reassigned additional derivatives to LCH for which offsetting is applied.

9.4. Interest-rate repricing risk: breakdown by remaining maturity until next refixing interest rate

Sight accounts and saving deposits are presented in the column "At sight and on demand" as the information presented below takes into account the residual maturity until the next interest-rate refixing date on the legal repayment date, rather than on the observed behavioral customer data. However, for the determination of the interest rate sensitivity of the net asset value or earnings, the observed behaviour of customers on these liabilities is taken into account (see note 9.5. "Market risk and ALM").

1. 2019

A. Assets

	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un- determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
(In thousands of EUR)										
Cash and balances with central banks	6,715,928	0	0	0	0	0	0	0	0	6,715,928
Loans and advances due from credit institutions	11,388,058	4,734,097	12,265	71,058	0	7,989	(5,154)	0	(476)	16,207,838
Loans and advances	2,212,122	15,692,518	14,518,123	25,739,716	35,696,343	1,886,346	331,789	383,411	(1,515,890)	94,944,479
Debt securities & equity instruments	0	4,961,613	2,369,653	5,653,247	12,392,853	2,030,650	343,166	1,925,760	(187,376)	29,489,565
Derivatives							572,370	12,732,339	0	13,304,709
Unit linked products insurance activities						3,671,372				3,671,372
Gain/loss on the hedged item in portfolio hedge of interest rate risk								4,881,797		4,881,797
Investments in equity method companies						64,124				64,124
Tangible fixed assets						1,215,355				1,215,355
Intangible assets						206,384				206,384
Goodwill						103,966				103,966
Current tax assets						53,723				53,723
Deferred tax assets						284,720				284,720
Other assets	62,718	186,975	38,156	41,068	57,386	886,085	0	0	(708)	1,271,681
Non current assets (disposal group) held for sale and discontinued operations						27,622		0	(3,796)	23,826
TOTAL ASSETS	20,378,826	25,575,203	16,938,197	31,505,088	48,146,582	10,438,335	1,242,171	19,923,307	(1,708,244)	172,439,465
Regular way trade	0	3,305,887	33,214	18,657	110	338,146	0	0	0	3,696,014
Derivatives	0	112,949,632	58,679,007	40,106,106	58,816,145	2,475,259	0	0	0	273,026,151
OFF BALANCE SHEET	0	116,255,520	58,712,221	40,124,764	58,816,255	2,813,405	0	0	0	276,722,164
TOTAL FOR INTEREST RATE REPRICING RISK	20,378,826	141,830,723	75,650,418	71,629,852	106,962,837	13,251,740	1,242,171	19,923,307	(1,708,244)	449,161,629

B. Liabilities

	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un- determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
(In thousands of EUR)										
Cash and balances from central banks	4,030,839	0	0	0	0	0	(14,062)	0	0	4,016,777
Credit institutions borrowings and deposits	4,514,364	1,201,446	52,215	10,954	41,716	0	(1,331)	0	0	5,819,363
Borrowings and deposits	68,031,997	16,398,770	104,547	372,982	485,153	30	52,293	4,138	0	85,449,910
Debt securities issued and other financial liabilities	0	5,413,308	7,317,743	8,067,179	6,394,749	85	256,140	205,301	0	27,654,505
Unit linked products insurance activities						3,671,372			0	3,671,372
Derivatives							1,079,228	17,550,888	0	18,630,116
Gain/loss on the hedged item in portfolio hedge of interest rate risk								262,708	0	262,708
Provisions for insurance activities	0	0	0	0	0	13,180,229			0	13,180,229
Provisions and contingent liabilities	0	0	0	0	0	413,783	0	0	103,562	517,345
Subordinated debts	0	226,240	85,000	44,966	711,029	72,000	18,031	0	0	1,157,266
Current tax liabilities						81,540			0	81,540
Deferred tax liabilities						55,108			0	55,108
Other liabilities	126,548	838,874	14,222	4,683	1,177	451,159	561	0	0	1,437,224
TOTAL LIABILITIES	76,703,748	24,078,638	7,573,726	8,500,764	7,633,825	17,925,306	1,390,860	18,023,035	103,562	161,933,465
Regular way trade	0	4,494,152	87,097	70,772	1,702	341,314	0	0	0	4,995,038
Derivatives	0	114,569,483	66,504,805	33,067,704	59,192,152	625,268	0	0	0	273,959,411
OFF BALANCE SHEET	0	119,063,634	66,591,902	33,138,476	59,193,854	966,583	0	0	0	278,954,449
TOTAL FOR INTEREST RATE REPRICING RISK	76,703,748	143,142,272	74,165,629	41,639,240	66,827,678	18,891,889	1,390,860	18,023,035	103,562	440,887,914

C. Net position

	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
(In thousands of EUR)						
On-balance-sheet sensitivity gap	(56,324,922)	(1,311,550)	1,484,790	29,990,612	40,135,159	(5,640,149)

The actual interest rate risk of Belfius is managed based on more advanced assumptions. (See note 9.5. Market risk and ALM)

2. 2020

A. Assets

	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un- determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
(In thousands of EUR)										
Cash and balances with central banks	25,434,132	0	0	0	0	0	(333)	0	0	25,433,799
Loans and advances due from credit institutions	11,746,424	73,672	28,346	66,874	0	36	(3,180)	0	(506)	11,911,665
Loans and advances	2,373,832	15,625,802	14,411,662	26,372,169	38,440,063	1,986,049	324,798	401,603	(1,827,928)	98,108,050
Debt securities & equity instruments	0	4,759,414	3,347,968	4,653,640	11,248,661	1,945,480	323,949	2,728,699	(158,946)	28,848,865
Derivatives							274,766	11,913,347	0	12,188,113
Unit linked products insurance activities						3,813,059				3,813,059
Gain/loss on the hedged item in portfolio hedge of interest rate risk								4,631,922		4,631,922
Investments in equity method companies						98,880				98,880
Tangible fixed assets						1,189,898				1,189,898
Intangible assets						195,833				195,833
Goodwill						103,966				103,966
Current tax assets						33,622				33,622
Deferred tax assets						369,769				369,769
Other assets	69,221	164,482	45,097	44,551	46,199	670,128	0	0	(1,388)	1,038,291
Non current assets (disposal group) held for sale and discontinued operations						31,266		0	(5,566)	25,700
TOTAL ASSETS	39,623,610	20,623,370	17,833,073	31,137,234	49,734,924	10,437,986	919,999	19,675,572	(1,994,334)	187,991,433
Regular way trade	0	2,107,394	104,541	3	146	219,430	0	0	0	2,431,514
Derivatives	0	113,781,665	57,914,854	44,332,317	52,194,059	2,826,219	0	0	0	271,049,114
OFF BALANCE SHEET	0	115,889,059	58,019,395	44,332,320	52,194,205	3,045,649	0	0	0	273,480,628
TOTAL FOR INTEREST RATE REPRICING RISK	39,623,610	136,512,429	75,852,469	75,469,554	101,929,128	13,483,635	919,999	19,675,572	(1,994,334)	461,472,061

B. Liabilities

(In thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
Cash and balances from central banks	14,250,000	0	0	0	0	0	(76,482)	0	0	14,173,519
Credit institutions borrowings and deposits	4,382,476	557,684	30,753	29,229	10,103	0	(2,052)	0	0	5,008,193
Borrowings and deposits	78,883,496	15,522,059	51,967	321,607	477,174	27,550	48,926	5,196	0	95,337,975
Debt securities issued and other financial liabilities	0	3,046,407	6,066,018	8,986,860	5,990,214	1,921	129,657	181,120	0	24,402,198
Unit linked products insurance activities						3,813,059			0	3,813,059
Derivatives							811,179	17,498,977	0	18,310,156
Gain/loss on the hedged item in portfolio hedge of interest rate risk								373,447	0	373,447
Provisions for insurance activities	0	0	0	0	0	12,659,377			0	12,659,377
Provisions and contingent liabilities	0	0	0	0	0	447,959	0	0	176,149	624,107
Subordinated debts	0	224,740	85,000	203,455	547,460	72,000	18,027	0	0	1,150,681
Current tax liabilities						68,470			0	68,470
Deferred tax liabilities						16,190			0	16,190
Other liabilities	100,994	784,427	12,350	3,904	417	417,956	616	0	0	1,320,664
Liabilities included in disposal group and discontinued operations	0	0	0	0	0	0	0	0	0	0
TOTAL LIABILITIES	97,616,966	20,135,317	6,246,089	9,545,055	7,025,368	17,524,482	929,871	18,058,739	176,149	177,258,036
Regular way trade	0	10,991,369	100,006	6,138	1,529	221,844	0	0	0	11,320,885
Derivatives	0	116,220,925	66,025,157	42,307,592	48,209,679	602,865	0	0	0	273,366,218
OFF BALANCE SHEET	0	127,212,293	66,125,163	42,313,730	48,211,208	824,709	0	0	0	284,687,104
TOTAL FOR INTEREST RATE REPRICING RISK	97,616,966	147,347,610	72,371,252	51,858,785	55,236,576	18,349,191	929,871	18,058,739	176,149	461,945,140

C. Net position

(In thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
On-balance-sheet sensitivity gap	(57,993,356)	(10,835,182)	3,481,217	23,610,769	46,692,552	(4,865,557)

The actual interest rate risk of Belfius is managed based on more advanced assumptions. (See note 9.5. Market risk and ALM)

9.5. Market risk and ALM

1. Financial markets

Within Belfius Bank, the Financial Markets Services department (FM) is the central point of entry to the financial markets. In general aspect, the department does not negotiate positions for own account: all transactions are based on client transactions. Transactions made by external or internal clients, for instance ALM including liquidity management belonging to the last category, are hedged overall within a framework of limits that complies with Belfius's risk policies. As a result, the various market risks are kept within that framework, a.o. by hedging transactions. The VaR figures stated below reflect these residual positions.

The risks on client flow management activities include general interest rate, foreign exchange, equity prices, credit spread and other risks (inflation, CO₂). These risks are managed within Value at Risk limits and other appropriate risk limits.

Cash and Liquidity Management (CLM) is monitored by means of Value at Risk limits (VaR) and interest rate sensitivity limits. The spread risk of the investment portfolio and client flow management activities are managed with spread limits.

The Value-at-Risk (VaR) concept is used as the principal metric for management of the market risk Belfius Bank is facing. The VaR measures the maximum loss in Net Present Value (NPV) the bank might be facing in historical market conditions over a period of 10 days with a confidence interval of 99%. The following risks are monitored at Belfius using a VaR computation:

→ The interest rate and foreign-exchange rate risk: this category of risk is monitored via a historical VaR based on an internal model approved by the National Bank of Belgium. The historical simulation approach consists of managing the portfolio through a time series of historical asset yields. These revaluations generate a distribution of portfolio values (yield histogram) on the basis of which a VaR (% percentile) may be calculated.

The main advantages of this type of VaR are its simplicity and the fact that it does not assume a normal but a historical distribution of asset yields (distributions may be non-normal and the behaviour of the observations may be non-linear).

→ The general and specific equity risks are measured on the basis of a historical VaR with full valuation based on 300 scenarios.

→ The spread risk and the inflation risk are measured via a historical approach, applying 300 observed variations on the sensitivities.

Since the end of 2011, Belfius also computes a Stressed Value-at-Risk (S-VaR) on top of its regular VaR, which also enters into the computation of weighted risks for Market Risk. This S-VaR measure consists of calculating a historical VaR based on a 12 consecutive months observation period which generates the largest negative variations of Net Present Value in the bank's current portfolio of financial instruments.

VaR(1) (99%, 10 days) (In thousands of EUR)	31/12/19				31/12/20			
	IR ⁽²⁾ & FX ⁽³⁾	Equity	Spread	Other risks ⁽⁴⁾	IR ⁽²⁾ & FX ⁽³⁾	Equity	Spread	Other risks ⁽⁴⁾
By activity								
Average	6,827	4,763	657	697	7,344	5,767	1,205	383
EOY	6,003	4,425	314	437	8,651	6,238	510	450
Maximum	11,614	7,553	2,154	1,470	12,296	8,359	3,639	450
Minimum	3,517	3,704	214	407	4,486	2,636	237	300
Global								
Average		12,942				14,699		
EOY		11,178				15,848		
Maximum		18,423				21,478		
Minimum		9,060				9,360		
Limit		26,500				24,300		

(1) The Value at Risk (VaR) is a measure of the potential change in market value with a probability of 99% and over a period of 10 days.

(2) IR: interest rate risk.

(3) FX: foreign exchange risk.

(4) Inflation and CO₂ risk.

Interest rate risk (IR) and forex risk (FX) are not measured separately. The forex risk is however not material.

2. Value adjustments

A separate sensitivity based monitoring is in place for three blocks of activities that are not part of the VaR scope. For each type separately and for all three combined, limits are in place for interest rate, FX, inflation and credit spread sensitivities

Firstly, the value adjustments (CVA/DVA/FVA) related to Belfius' derivative exposures are sensitive to market risk as well. While certain sensitivities can be hedged almost completely (interest rate, inflation and currency), other risks like credit spreads and

funding spread can only be hedged with proxies (like ITRAXX). Similarly for the credit derivatives, the IR, FX and inflation sensitivities are well hedged, and also credit spreads and bond-cds basis sensitivity is within limits.

Finally, the hedge inefficiency of the bond portfolio due to difference in discount curve for the bond and its related swap is managed on a daily basis as well, with hedges in place for the resulting inflation, basis risk and directional IR exposure.

Basis Point Sensitivity	31/12/19 ^{PF (1)}					31/12/20				
	IR	Spread ⁽²⁾	Tenor Basis	Cross currency	Inflation risk	IR	Spread ⁽²⁾	Tenor Basis	Cross currency	Inflation risk
(In thousands of EUR)										
By activity										
EOY	(159)	(1,192)	681	265	41	(25)	(136)	0	247	6

(1) Belfius has performed pro forma figures for 2019 due to a larger scope (structured loans and ALM Portfolio Hedge Ineffectiveness) as well as an enlarged detail on the nature of sensitivity.

(2) Impact of a 1bp increase in spread (either credit spread, or bond-cds basis spread).

3. Asset-liability management (ALM)

A. Interest rate risk

Interest rate risk has two forms - economic value volatility and earnings volatility. The measurement of both is complementary in understanding the complete scope of interest rate risk in the balance sheet (excluding financial markets).

Economic value indicators capture the long-term effect of the interest rate changes on the economic value. Interest rate sensitivity of economic value measures the net change of the ALM economic value to an interest rate move by 10 basis points across the entire curve.

Earnings at Risk indicators capture the more shorter term effect of the interest rate changes on the earnings of the Bank. Therefore, indirectly through profitability, interest rate changes can also have a shorter term solvency effect. A 50 bps increase of interest rates has an estimated positive impact on net interest income (before tax) of EUR +3 million of the next book year and an estimated cumulative effect of EUR +143 million over a three year period, whereas a 35 bps decrease would lead to an estimated positive impact of EUR 1 million of the next book year and an estimated cumulative effect of EUR -90 million over a three year period (compared to EUR +27 million, resp. EUR +171 million and EUR -15 million, resp. EUR -134 million for similar rate shocks end of last year).

(In thousands of EUR)	31/12/19	31/12/20
Bank		
Economic value (+10 bps)	(50,409)	(34,770)
Earnings at risk (+50 bps)	3,264	30,889
Insurance		
Economic value (+10 bps)	6,874	5,224
Earnings at risk (+50 bps)	2,178	2,981

B. Real estate - direct property

	31/12/19	31/12/20
(In thousands of EUR)	Measured at amortised cost	Measured at amortised cost
Insurance		
Market value ⁽¹⁾	720,808	727,068
Shock 12.5% (negative)	(108,121)	(117,262)

(1) Includes real estate site which was classified under "Other assets".

Sensitivities are only reported for the direct property investment portfolio of the insurer. The direct property held by Belfius bank mainly include leasing contracts for the construction of property and property for own use.

4. Debt securities

A. Outstanding nominal amounts debt securities

	31/12/19			31/12/20		
	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss ⁽¹⁾	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss
(In thousands of EUR)						
Bank - bond portfolio (nominal value)	11,527,567		122,647	10,850,299		101,792
Insurance - bond portfolio (nominal value)	5,798,636	3,125,475	215,996	5,459,295	3,039,866	197,029
Insurance - investment funds (market value)			552,232			527,048

(1) Belfius has performed pro forma figures for 2019 as investment funds within Belfius Insurance are taken in scope.

B. Interest-rate sensitivity

	31/12/19			31/12/20		
	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss
(In thousands of EUR)						
Bank	0		0	0		0
Insurance	(5,211)	(2,693)	(142)	(6,428)	(3,549)	(274)

The interest rate risk of the bond portfolio of the bank is either micro-hedged (for the former Side portfolio; hence low net interest rate sensitivity), or is managed through the ALM-framework (hence net interest rate sensitivity part of global ALM interest rate sensitivity). The sensitivity to 1 bp interest rate increase of the value of the bond portfolio of the insurance companies amounted to EUR -10,3 million at the end of 2020, part of the global ALM management of the insurance companies.

C. Credit-spread sensitivity

This calculation estimates the sensitivity of the value of the bond portfolio after one basis point spread widening.

	31/12/19 ⁽¹⁾			31/12/20		
	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss
(In thousands of EUR)						
Bank	(18,034)		(22)	(17,655)		(11)
Insurance	(5,311)	(2,717)	(205)	(6,454)	(3,561)	(283)

(1) Belfius has performed pro forma figures for 2019 as investment funds within Belfius Insurance are taken in scope.

D. Shock Equity risk 30% (negative)

Concerns equity shock on investment funds within Belfius Insurance.

	31/12/19	31/12/20
	Measured at fair value through other comprehensive income	Measured at fair value through other comprehensive income
(In thousands of EUR)		
Insurance	(27,320)	(37,698)

5. Listed equity & real estate

	31/12/19	31/12/20
(In thousands of EUR)	Measured at fair value through other comprehensive income	Measured at fair value through other comprehensive income
Insurance		
Market value - quoted shares & assimilated	501,175	379,250
Market value - quoted real estate	277,776	195,006
Shock 30% (negative)	(233,685)	(172,277)
VaR(1) (99%, 10 days)	36,037	175,891

9.6. Liquidity risk

Liquidity is managed with a view to comply with our Liquidity Risk Management guidelines and framework. We also refer to the management report for a detailed description.

We refer to the management report for more information on the Liquidity Coverage Ratio. The Liquidity Coverage Ratio forces financial institutions to maintain a sufficient stock of quality liquid assets to withstand a crisis that puts their cash flows under pressure. The liquid assets to hold must be equal to or greater than their net cash outflow over a 30-day period under stress (as such, having at least 100% coverage). The parameters of the stress scenario are defined under Basel III.

Belfius Insurance holds a significant amount of unencumbered assets that are eligible at the ECB. More specific, the company

invests at least 40% of its bond portfolio in government bonds eligible for repos in the context of its liquidity management.

Breakdown residual maturity

We do not disclose amounts on the expected prepayment dates as such we have used the contractual maturity date for this table.

Current accounts and saving deposits are included in the column "At sight and on demand" even if they have no fixed repayment date.

All other assets and liabilities are split over the different periods according to the contractual cashflows characteristics.

1. 2019

A. Assets

(In thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity				
Cash and balances with central banks	6,715,928	0	0	0	0	0	0	0	0	6,715,928
Loans and advances due from credit institutions	11,388,058	4,734,097	6,015	71,058	6,250	7,989	(5,154)	0	(476)	16,207,838
Loans and advances	2,212,122	11,701,149	8,931,536	26,895,794	44,118,222	1,886,346	331,789	383,411	(1,515,890)	94,944,479
Debt securities & equity instruments	0	811,257	1,057,442	5,800,015	17,676,929	2,062,374	343,166	1,925,760	(187,376)	29,489,565
Unit linked products insurance activities	0	0	0	0	0	3,671,372	0	0	0	3,671,372
Derivatives	0	0	0	0	0	0	572,370	12,732,339	0	13,304,709
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	4,881,797	0	4,881,797
Investments in equity method companies	0	0	0	0	0	64,124	0	0	0	64,124
Tangible fixed assets	0	0	0	0	0	1,215,355	0	0	0	1,215,355
Intangible assets	0	0	0	0	0	206,384	0	0	0	206,384
Goodwill	0	0	0	0	0	103,966	0	0	0	103,966
Current tax assets	0	0	0	0	0	53,723	0	0	0	53,723
Deferred tax assets	0	0	0	0	0	284,720	0	0	0	284,720
Other assets	62,622	165,597	38,156	62,411	57,735	885,867	0	0	(708)	1,271,681
Non current assets (disposal group) held for sale and discontinued operations	0	0	0	0	0	27,622	0	0	(3,796)	23,826
TOTAL ASSETS	20,378,730	17,412,099	10,033,149	32,829,278	61,859,136	10,469,840	1,242,171	19,923,307	(1,708,244)	172,439,465
Regular way trade	0	3,692,494	3,469	36	0	14	0	0	0	3,696,014
Foreign exchange derivatives	0	5,728,411	2,663,028	3,715,695	15,539,573	0	0	0	0	27,646,707
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	0	9,420,905	2,666,497	3,715,732	15,539,573	14	0	0	0	31,342,721
TOTAL	20,378,730	26,833,004	12,699,646	36,545,009	77,398,709	10,469,854	1,242,171	19,923,307	(1,708,244)	203,782,186

B. Liabilities

(In thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity				
Cash and balances from central banks	4,030,839	0	0	0	0	0	(14,062)	0	0	4,016,777
Credit institutions borrowings and deposits	4,514,364	1,201,446	45,965	10,954	47,966	0	(1,331)	0	0	5,819,363
Borrowings and deposits	68,031,997	15,888,095	109,547	659,086	704,723	30	52,293	4,138	0	85,449,910
Debt securities issued and other financial liabilities	0	3,016,823	4,648,796	11,280,662	8,246,698	85	256,140	205,301	0	27,654,505
Unit linked products insurance activities	0	0	0	0	0	3,671,372	0	0	0	3,671,372
Derivatives	0	0	0	0	0	0	1,079,228	17,550,888	0	18,630,116
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	262,708	0	262,708
Provisions and contingent liabilities	0	0	0	0	0	413,783	0	0	103,562	517,345
Provisions for insurance activities	0	1,157,171	461,299	4,556,909	7,004,850	0	0	0	0	13,180,229
Subordinated debts	0	0	0	74,948	907,288	157,000	18,031	0	0	1,157,266
Current tax liabilities	0	0	0	0	0	81,540	0	0	0	81,540
Deferred tax liabilities	0	0	0	0	0	55,108	0	0	0	55,108
Other liabilities	126,548	838,552	14,222	4,710	1,472	451,159	561	0	0	1,437,224
TOTAL LIABILITIES	76,703,748	22,102,088	5,279,829	16,587,268	16,912,997	4,830,077	1,390,860	18,023,035	103,562	161,933,465
Shareholders' core equity	0	0	0	0	0	9,348,367	0	0	0	9,348,367
Gains and losses not recognised in the statement of income	0	0	0	0	0	635,605	0	0	0	635,605
TOTAL SHAREHOLDERS' EQUITY	0	0	0	0	0	9,983,972	0	0	0	9,983,972
Additional Tier-1 instruments included in equity						497,083				497,083
Non-controlling interests						24,945				24,945
TOTAL EQUITY	0	0	0	0	0	10,506,000	0	0	0	10,506,000
TOTAL LIABILITIES AND EQUITY	76,703,748	22,102,088	5,279,829	16,587,268	16,912,997	15,336,077	1,390,860	18,023,035	103,562	172,439,465
Regular way trade	0	4,995,038	0	0	0	0	0	0	0	4,995,038
Foreign exchange derivatives	0	5,812,674	2,676,929	3,694,876	15,464,162	0	0	0	0	27,648,641
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	0	10,807,712	2,676,929	3,694,876	15,464,162	0	0	0	0	32,643,678
TOTAL	76,703,748	32,909,799	7,956,758	20,282,144	32,377,159	15,336,077	1,390,860	18,023,035	103,562	205,083,143

C. Total liquidity gap

(In thousands of EUR)	Breakdown of gross amount and premium/discount					
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
Total liquidity gap	(56,325,018)	(6,076,796)	4,742,889	16,262,865	45,021,550	(4,866,224)

1. 2020

A. Assets

(In thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity				
Cash and balances with central banks	25,434,132	0	0	0	0	0	(333)	0	0	25,433,799
Loans and advances due from credit institutions	11,746,424	73,672	21,596	66,874	6,750	36	(3,180)	0	(506)	11,911,665
Loans and advances	2,373,832	11,782,395	9,589,464	27,744,651	45,733,186	1,986,049	324,798	401,603	(1,827,928)	98,108,050
Debt securities & equity instruments	0	1,061,048	2,183,370	4,727,327	16,021,434	1,961,983	323,949	2,728,699	(158,946)	28,848,865
Unit linked products insurance activities	0	0	0	0	0	3,813,059	0	0	0	3,813,059
Derivatives	0	0	0	0	0	0	274,766	11,913,347	0	12,188,113
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	4,631,922	0	4,631,922
Investments in equity method companies	0	0	0	0	0	98,880	0	0	0	98,880
Tangible fixed assets	0	0	0	0	0	1,189,898	0	0	0	1,189,898
Intangible assets	0	0	0	0	0	195,833	0	0	0	195,833
Goodwill	0	0	0	0	0	103,966	0	0	0	103,966
Current tax assets	0	0	0	0	0	33,622	0	0	0	33,622
Deferred tax assets	0	0	0	0	0	369,769	0	0	0	369,769
Other assets	69,316	147,722	45,086	61,311	46,382	669,862	0	0	(1,388)	1,038,291
Non current assets (disposal group) held for sale and discontinued operations	0	0	0	0	0	31,266	0	0	(5,566)	25,700
TOTAL ASSETS	39,623,704	13,064,837	11,839,516	32,600,163	61,807,753	10,454,223	919,999	19,675,572	(1,994,334)	187,991,433
Regular way trade	0	2,327,283	104,161	0	0	70	0	0	0	2,431,514
Foreign exchange derivatives	0	7,603,714	5,382,112	3,598,100	15,631,987	0	0	0	0	32,215,913
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	0	9,930,997	5,486,273	3,598,100	15,631,987	70	0	0	0	34,647,427
TOTAL	39,623,704	22,995,834	17,325,790	36,198,262	77,439,739	10,454,294	919,999	19,675,572	(1,994,334)	222,638,860

B. Liabilities

(In thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity				
Cash and balances from central banks	14,250,000	0	0	0	0	0	(76,482)	0	0	14,173,519
Credit institutions borrowings and deposits	4,382,476	557,684	24,003	29,229	16,853	0	(2,052)	0	0	5,008,193
Borrowings and deposits	78,883,496	15,046,554	58,967	644,563	622,724	27,550	48,926	5,196	0	95,337,975
Debt securities issued and other financial liabilities	0	498,933	3,605,710	12,239,588	7,745,858	1,331	129,657	181,120	0	24,402,198
Unit linked products insurance activities	0	0	0	0	0	3,813,059	0	0	0	3,813,059
Derivatives	0	0	0	0	0	0	811,179	17,498,977	0	18,310,156
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	373,447	0	373,447
Provisions and contingent liabilities	0	0	0	0	0	447,959	0	0	176,149	624,107
Provisions for insurance activities	0	303,561	903,926	4,160,585	7,291,305	0	0	0	0	12,659,377
Subordinated debts	0	0	0	233,445	742,209	157,000	18,027	0	0	1,150,681
Current tax liabilities	0	0	0	0	0	68,470	0	0	0	68,470
Deferred tax liabilities	0	0	0	0	0	16,190	0	0	0	16,190
Other liabilities	100,994	784,135	12,350	3,925	689	417,955	616	0	0	1,320,664
TOTAL LIABILITIES	97,616,966	17,190,867	4,604,957	17,311,335	16,419,639	4,949,514	929,871	18,058,739	176,149	177,258,036
Shareholders' core equity	0	0	0	0	0	9,815,490	0	0	0	9,815,490
Gains and losses not recognised in the statement of income	0	0	0	0	0	393,173	0	0	0	393,173
TOTAL SHAREHOLDERS' EQUITY	0	0	0	0	0	10,208,663	0	0	0	10,208,663
Additional Tier-1 instruments included in equity						497,083				497,083
Non-controlling interests						27,651				27,651
TOTAL EQUITY	0	0	0	0	0	10,733,397	0	0	0	10,733,397
TOTAL LIABILITIES AND EQUITY	97,616,966	17,190,867	4,604,957	17,311,335	16,419,639	15,682,911	929,871	18,058,739	176,149	187,991,433
Regular way trade	0	11,220,885	100,000	0	0	0	0	0	0	11,320,885
Foreign exchange derivatives	0	7,577,564	5,402,854	3,574,384	15,480,960	0	0	0	0	32,035,763
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	0	18,798,450	5,502,854	3,574,384	15,480,960	0	0	0	0	43,356,648
TOTAL	97,616,966	35,989,316	10,107,811	20,885,719	31,900,599	15,682,911	929,871	18,058,739	176,149	231,348,081

C. Total liquidity gap

(In thousands of EUR)	Breakdown of gross amount and premium/discount					
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
Total liquidity gap	(57,993,262)	(12,993,482)	7,217,979	15,312,544	45,539,140	(5,228,617)

9.7. Currency risk and foreign exchange

1. Currency risk

(In thousands of EUR)	31/12/19				
	GBP	USD	Other	EUR	Total
Total assets	10,389,061	2,456,553	1,955,106	157,638,744	172,439,465
Total liabilities	4,662,002	3,545,113	2,841,930	150,884,419	161,933,465
Total equity	(95,479)	52,957	(8,440)	10,556,962	10,506,000
Of which gains and losses not recognised in the statement of income	(95,479)	52,957	(8,440)	686,355	635,393
Of which other equity	0	0	0	9,870,607	9,870,607
NET ON BALANCE POSITION	5,822,538	(1,141,518)	(878,384)	(3,802,636)	
Off balance sheet – to receive	1,102,490	13,127,464	3,692,166	11,391,549	29,313,670
Off balance sheet – to deliver	6,923,415	11,990,074	2,679,873	7,721,331	29,314,693
OFF BALANCE SHEET – NET POSITION	(5,820,925)	1,137,390	1,012,294	3,670,218	(1,023)
NET POSITION	1,613	(4,128)	133,910	(132,418)	

(In thousands of EUR)	31/12/20				
	GBP	USD	Other	EUR	Total
Total assets	10,988,302	1,939,200	1,789,167	173,274,765	187,991,433
Total liabilities	5,063,342	2,842,930	2,469,889	166,881,875	177,258,036
Total equity	(103,039)	53,897	(4,932)	10,787,472	10,733,397
Of which gains and losses not recognised in the statement of income	(103,039)	53,897	(4,932)	447,040	392,965
Of which other equity	0	0	0	10,340,432	10,340,432
NET ON BALANCE POSITION	6,027,999	(957,627)	(675,790)	(4,394,581)	
Off balance sheet – to receive	3,541,652	13,294,729	3,553,261	13,648,801	34,038,444
Off balance sheet – to deliver	9,661,274	12,230,420	2,769,564	9,192,808	33,854,066
OFF BALANCE SHEET – NET POSITION	(6,119,621)	1,064,309	783,697	4,455,993	184,378
NET POSITION	(91,623)	106,682	107,907	61,412	

Depending on the measurement of the asset, foreign exchange gains and losses are recognised in profit or loss “Net income from financial instruments at fair value through profit or loss” or in other comprehensive income. We refer to the accounting policies for more information.

2. Foreign exchange

		31/12/19		31/12/20	
		Closing rate	Average rate	Closing rate	Average rate
Australian dollar	AUD	1.5984	1.6080	1.5840	1.6580
Canadian dollar	CAD	1.4560	1.4784	1.5583	1.5380
Swiss franc	CHF	1.0863	1.1108	1.0802	1.0705
Koruna (Czech republic)	CZK	25.4055	25.6470	26.2490	26.5018
Danish krone	DKK	7.4721	7.4657	7.4410	7.4532
Euro	EUR	1.0000	1.0000	1.0000	1.0000
Pound sterling	GBP	0.8487	0.8735	0.8968	0.8881
Hong Kong dollar	HKD	8.7449	8.7698	9.4835	8.8968
Forint	HUF	330.4450	325.9291	363.5500	353.5867
Shekel	ILS	3.8818	3.9719	3.9325	3.9219
Yen	JPY	121.9300	122.0464	126.1950	121.9450
Mexican peso	MXN	21.1818	21.5939	24.3101	24.7375
Norwegian Krone	NOK	9.8477	9.8556	10.4556	10.7800
New Zealand dollar	NZD	1.6648	1.6950	1.6949	1.7601
Swedish krona	SEK	10.4758	10.5840	10.0204	10.4715
Singapore dollar	SGD	1.5093	1.5241	1.6179	1.5789
Turkish lira	TRY	6.6793	6.3432	9.0970	8.1650
US dollar	USD	1.1225	1.1196	1.2232	1.1470

9.8. Insurance Risk

1. Definition

Belfius Insurance, as a part of Belfius, takes up risk through the insurance contracts that it underwrites. The risks within the underwriting risk category are associated with both the exposure covered by the specific line of insurance (Life or Non-Life) and the specific processes associated with insurance business (claims processing, premium collection, pricing, selection, etc.).

The risks that apply to all lines of the insurance business can be globally categorised as follows:

Life underwriting risk: is the risk arising from the life insurance obligations, in relation to the perils covered and the processes used in the conduct of business. It is split up into:

- mortality risk, which is the risk that mortality increases. It applies to all undertakings for which the expected pay-outs increase when mortality increases;
- longevity risk is the opposite of the mortality risk. It applies to policies for which a fall in mortality would result in an increase in the expected payouts (e.g. pension policies). Improvements in medical treatments that prolong life without restoring the ability to work could cause these risks to materialise at a greater frequency than currently observed;
- morbidity or disability risk relates to the risk of loss or disadvantageous movement in expected benefits caused by changes in the level, nature, trend or volatility of the degree of disability;
- lapse risk for Life is described as the risk of loss or increase in pay-out caused to a difference between the effective exercise rate of the contractual options by the policyholder and the expected exercise rate. The term "options" should be viewed in the broad sense of the word: this submodule contains options in relation to redemption, cancellation or premium reduction, as well as the expansion of the guarantees. For some policies, exercise may be at the benefit of the insurance company, while for others it may result in a loss. As a result, this submodule features two scenarios: one in which the options are exercised more frequently than expected and another where they are exercised less frequently;
- expense risk corresponds with the risk that the expenses are higher than expected or that they subdue to higher inflation than expected;
- revision risk only applies for the annuities whose amounts may be valued negatively for the insurer as the result of a change in the statutory environment or in the policyholder's health situation;
- catastrophe risk is restricted to policies where an immediate and dramatic rise in mortality would result in an increase in benefits.

Non-Life underwriting risk: is the specific insurance risk arising from Non-Life insurance contracts. This uncertainty about the results of the insurer's underwriting could be defined as:

- premium risk which is the risk where the amount of premiums received is not sufficient to pay claims that occur during the coverage period to which the premiums relate to;
- reserve risk is the risk of loss or unfavourable change in the

value of the insurance undertakings arising from changes in the frequency and severity of the insured events, as well as in the date and amount of the claims to be paid;

- catastrophe risk is the risk arising from unpredictable events including, but not limited to, windstorms, coastal inundation, floods, severe winter weather, and other weather-related events, pandemics, large-scale fires, industrial explosions, earthquakes and other man-made disasters such as civil unrest and terrorist attacks, that is not covered by the premiums or reserves.

Product design risk: is the risk of loss resulting from features, options or guarantees that were unanticipated in the design and pricing of the insurance product.

2. Managing the insurance risk

The Risk & Underwriting Committee gives recommendations about strategy in the area of underwriting and reserving for the insurance companies within Belfius Insurance and the resulting policy, in particular with regard to the following points:

- types and characteristics of the insurance business that

Belfius Insurance is willing to manage:

- selection criteria for the risks that match the risk appetite;
- the way in which the actual underwriting is monitored;
- the managing between, on the one hand, the insurance premiums collected and, on the other, the claims to be paid out when costs are borne;
- identification of the risks arising from the undertakings of Belfius Insurance, including the implicit options and the capital that is guaranteed by the insurance products;
- making provisions for claims.

The overall strategy is developed by each concerned entity and is follow-up by the local persons in charge.

Reinsurance is one of the methods used to limit the insurance risk. The main objective of reinsurance is to reduce volatility in capital requirements and profits, and to diminish the uncertainty associated with the risk in the insurer's valuation.

The drivers of reinsurance are:

- capacity: reinsurance gives insurers greater flexibility in terms of scope, type of risk and business volume that they can safely accept. This enables insurers to embark on new business or to expand their activities for a short period;
- stability: structured reinsurance programmes enable insurers to stabilise their operating income;
- protection: reinsurance provides protection against cumulative financial losses caused by a succession of events (such as poor weather) or against significant financial losses arising from a single event;
- funding: reinsurance can be an alternative to a capital increase;
- expertise: reinsurers assist insurers in their area of expertise. The qualified staff of reinsurance companies offer their services, for instance in establishing a new business.

3. Sensitivities

Belfius Insurance evaluates the effect of sensitivities on available financial resources.

Given the low interest rates, the value of the technical reserves is higher than the redemption value, which results in a negative impact on capital in the event of a reduction in the lapse rate. The sensitivity to the lapse rate is relatively stable in 2020 compared to 2019.

The review of cost assumptions has a negative impact on the available financial resources and its sensitivity. The low interest rates increases the impact.

An increase of the mortality rates has also a negative impact on available financial resources.

As for life activities, in non-life business, higher cost assumptions lead to a lower result. An increase of claims leads also to a lower result.

Underwriting risk Life: scenario that corresponds to⁽¹⁾

(In millions of EUR)	Impact on available financial resources before taxes	
	31/12/19	31/12/20
An increase of 15% in mortality	(40.2)	(45.4)
An increase of 10% in costs + 1% inflation	(188.7)	(207.5)
A decrease of 10% in the redemption rate	(33.2)	(33.8)

(1) Scope: Belfius Insurance SA and Corona SA (= Belins conso).

Underwriting risk Non-Life: scenario that corresponds to⁽¹⁾

(In millions of EUR)	Impact on income before taxes	
	31/12/19	31/12/20
An increase of 10% in administrative costs	(8.8)	(9.4)
An increase of 5% in claims made	(21.3)	(17.3)

(1) Scope: Belfius Insurance SA and Corona SA (= Belins conso).

4. Development of claims

The claims triangle is the usual method for expressing the settlement of non-life claims stretched out over a number of years. Inter alia it enables actuaries to assess the appropriateness of the non-life technical provisions. Between the event and closing date of a claim, the insurer assess the amount on total cost of the claim. During this period, the insurer establishes a reserve that equals to the estimated amount of future payments for the claim.

Given the reserve is an estimate, there is a risk that the amount effectively paid is different (higher or lower). To assess that risk,

it is necessary to study the variation of two amounts:

- the total of payments made prior to that date;
- the reserve established on that date for future payments.

The sum of these two components is called the total incurred claims cost.

The table below shows the evolution for Belfius Insurance SA and Corona SA since 2010 of the sum at the end of each year, of the total incurred claims cost per year of occurrence.

Claims development (excluding reinsurance and internal costs)

Year of settlement	Year of occurrence										
	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
Estimation at the end of the year of occurrence	376,927	368,410	366,403	365,798	415,445	389,632	427,822	417,069	441,459	452,780	394,673
1 year later	377,982	365,547	350,517	324,524	392,976	361,479	402,910	396,145	431,019	438,787	
2 years later	376,143	355,306	334,313	312,883	381,044	353,512	385,904	377,854	430,883		
3 years later	370,819	350,249	329,882	306,454	374,836	351,551	379,367	377,418			
4 years later	370,924	352,804	328,046	303,051	371,983	345,737	374,251				
5 years later	363,378	350,780	323,899	301,179	369,929	346,817					
6 years later	360,537	351,335	319,633	297,842	370,320						
7 years later	357,875	344,245	317,895	295,826							
8 years later	354,384	341,644	313,659								
9 years later	350,988	338,422									
10 years later	351,308										

(In thousands of EUR)											
Actual estimation	351,308	338,422	313,659	295,826	370,320	346,817	374,251	377,418	430,883	438,787	394,673
Cumulative payments	(306,478)	(305,439)	(278,017)	(259,715)	(319,533)	(280,290)	(299,521)	(282,143)	(307,822)	(298,653)	(188,381)
Actual provisions	44,830	32,983	35,642	36,111	50,787	66,527	74,730	95,275	123,061	140,134	206,292

(In thousands of EUR)											
Provisions (after 2010)											906,372
Provisions (before 2010)											152,847
Internal costs											44,967
Accepted deals											24,350

TOTAL⁽¹⁾ **1,128,536**

(1) Claims reserves 31 December 2020 - note 6.5.2.

X. Notes on the significant changes in scope of consolidation and list of subsidiaries and affiliated enterprises of Belfius

10.1. Significant changes in scope of consolidation

(Only those changes that have a material impact (i.e. an impact of more than 1% of balance sheet total and/or P&L) have been reported).

1. As at 31 December 2019

Belfius Insurance extended its commercial offering beyond insurance by launching two new entities; Jaimy and Jane (The latter was called Charlin at initial start-up).

Jaimy was commercially launched in the second half of 2019 and provides an online platform where users can request small home repairs. In March 2019 additional share capital was issued for a value of EUR 11.6 million. The additional shares were issued to Belfius Insurance and Boston Consulting Group. Boston Consulting Group bought the shares for cash, whereas Belfius Insurance received additional shares for contributing in-house developed software used by the platform. The stake of Belfius Insurance decreased from 100% to 78.5% as a result of this capital increase.

Jane was commercially launched at the end of 2019 and provides a sensor enabled monitoring solution that allows the elderly to stay longer in their own homes without special assistance. In March 2019 additional share capital was issued for a value of EUR 15.1 million. The additional shares were issued to Belfius Insurance and Boston Consulting Group. Boston Consulting Group bought the shares for cash, whereas Belfius Insurance received additional shares for contributing in-house developed software used by the platform. The stake of Belfius Insurance decreased from 100% to 77.4% as a result of this capital increase.

The real estate company Immo Trèfles, a company specialized in retirement homes, was purchased and is fully consolidated since December 2019.

In line with the Belfius strategy to centralise and commercialise its core innovation development as close as possible to its core operations, the companies Spencr and Smart Belgium Services were liquidated in 2019.

The investment company Belfius Insurance Invest merged with Belfius Insurance as from 1 July 2019, allowing for a more flexible liquidity management within the declining asset portfolio.

The investment in Team Cyclis, a bicycle leasing company, is consolidated through the equity method as from 2019 in accordance with the shares held by Belfius Bank in this company.

2. As at 31 December 2020

Belfius acquired a stake of 32.63% in Skipr, a mobility software solution for professionals which enables its users to manage, plan, book and pay for their mobility requirements. The investment is consolidated using the equity method. Belfius announced a partnership with Immovlan in 2020, an innovative real estate platform and will become a reference shareholder by acquiring a 30% equity stake in January 2021. The investments in Skipr and Immovlan enable Belfius to create partnerships around two of its major strategic focus areas: Mobility and Home.

Belfius acquired a stake of 33.33% in Fairville through the incorporation of certain assets of its wholly owned subsidiary The Studio. This new partnership allows Belfius to accelerate the development of sustainable digital local citizen services. The subsidiary is consolidated using the equity method.

Belfius sold its fully consolidated subsidiary Brightknight.

Belfius Insurance injected an additional EUR 3 million into Jaimy which increased its shareholding to 89.19%. Furthermore, Belfius Insurance also injected an additional EUR 3 million into Jane, which increased its shareholding to 87.97%. In March 2021 Belfius Insurance injected additional capital of EUR 1 million into Jaimy, which increased its shareholding to 90.84%. Furthermore, in January 2021 Belfius Insurance injected additional capital of EUR 2.2 million into Jane, which increased its shareholding to 91.04%. These investments ensure that the entities can further develop and commercially expand in their respective markets.

Belfius Insurance continues to invest in direct property and purchased the real estate companies, Immo Saint Michel and Philadelphus. Both entities are fully consolidated. Furthermore, Belfius Insurance acquired a stake of 48.03% in the real estate investment company, Vicinity Affordable Housing Fund. This investment is consolidated using the equity method.

Belfius Insurance acquired a 100% stake in the real estate company, Alysea, in February 2021, for a total amount of EUR 21 million.

The investment company, Auxipar, changed its name to Capline on 4 February 2020.

10.2. Acquisitions and disposals of consolidated companies

1. Main acquisitions

A. Year 2019

The real estate company Immo Trèfles, a company specialized in retirement homes, was purchased and is fully consolidated since December 2019. The investment in the bicycle leasing company Team Cyclis has been consolidated according to the equity method since December 2019.

The assets and liabilities acquired were as follows:

(In thousands of EUR)	2019	
	Immo Trèfles	Team Cyclis
Loans and advances due from credit institutions	1,280	
Debt securities & equity instruments	0	
Investments in equity method companies	0	4,899
Tangible fixed assets	18,776	
Tax assets	0	
Other assets	663	
Borrowings and deposits	(15,854)	
Tax liabilities	0	
Other liabilities	(738)	
NET ASSETS	4,127	4,899
Group share	4,127	4,899
Already in possession of the Group	0	0
Purchase price (in cash)	4,127	4,899
Less: cost of the transaction		
Less: cash and cash equivalents in the subsidiary acquired		
NET CASH OUTFLOW THROUGH ACQUISITION	4,127	4,899

B. Year 2020

The real estate company Immo Saint Michel was purchased by Belfius Insurance and is fully consolidated since March 2020.

The real estate company Philadelphus was purchased by Belfius Insurance and is fully consolidated since June 2020.

In June 2020 Belfius acquired 32.63% in Skipr, a mobility software solution for professionals which enables its users to manage, plan, book and pay for their mobility requirements. The investment is consolidated using the equity method as from June 2020.

Belfius acquired a stake of 33.33% in Fairville through the incorporation of certain assets of its fully owned subsidiary The Studio. This new partnership allows Belfius to accelerate the development of sustainable digital local citizen services, the subsidiary is consolidated using the equity method from December 2020.

Belfius Insurance acquired a stake of 48.03% in the real estate investment company Vicinity Affordable Housing Fund. This investment is consolidated using the equity method from December 2020.

The assets and liabilities acquired were as follows:

(In thousands of EUR)	2020				
	Immo Saint Michel	Philadelphus	Skipr	Fairville	Vicinity
Loans and advances due from credit institutions	390	409			
Debt securities & equity instruments					
Investments in equity method companies			6,000	792	20,000
Tangible fixed assets		39,749			
Tax assets		38			
Other assets	4,132	642			
Borrowings and deposits		(19,401)			
Tax liabilities	(9)				
Other liabilities	(16)	(389)			
NET ASSETS	4,497	21,049	6,000	792	20,000
Group share	4,497	21,049	6,000	792	20,000
Already in possession of the Group					
Purchase price (in cash)	4,497	21,049	6,000	792	20,000
Less: cost of the transaction					
Less: cash and cash equivalents in the subsidiary acquired	(390)				
NET CASH OUTFLOW THROUGH ACQUISITION	4,107	21,049	6,000	792	20,000

2. Main disposals

A. Year 2019

There were no significant disposals as at 31 December 2019.

B. Year 2020

Belfius sold its investments in "Brightknight".

The assets and liabilities were as follows:

	2020
(In thousands of EUR)	Brightknight
Loans and advances due from credit institutions	131
Debt securities & equity instruments	
Investments in equity method companies	
Tangible fixed assets	13
Tax assets	
Other assets	204
Borrowings and deposits	
Tax liabilities	(23)
Other liabilities	(207)
NET ASSETS	118
Proceeds from sale (in cash)	550
Less: cost of the transaction	
Less: Cash and cash equivalents in the subsidiary sold	
NET CASH INFLOW ON SALE	550

3. Assets and liabilities included in disposal groups held for sale and discontinued operations

A. Year 2019

As at 31 December 2019 no subsidiaries were recorded as "Non current assets (disposal group) held for sale and discontinued operations".

B. Year 2020

As at 31 December 2020 no subsidiaries were recorded as "Non current assets (disposal group) held for sale and discontinued operations".

10.3. Subsidiaries, equity-accounted enterprises, affiliated enterprises and enterprises in which the group holds rights representing at least 20% of the issued capital

1. Fully-consolidated subsidiaries

Name	Head Office	% of capital held ⁽¹⁾	Business code
Belfius Asset Finance Holding SA	Place Charles Rogier 11 B-1210 Bruxelles	100	10
Belfius Auto Lease SA	Place Charles Rogier 11 B-1210 Bruxelles	100	5
Belfius Commercial Finance SA	Place Charles Rogier 11 B-1210 Bruxelles	100	15
Belfius Financing Company SA	Rue de l'Industrie 20 L-8399 Windhof	100	49
Belfius Immo SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Belfius Insurance SA	Place Charles Rogier 11 B-1210 Bruxelles	100	28
Belfius Insurance Services Finance SA	Rue de l'Industrie 20 L-8399 Windhof	100	21
Belfius Investment Partners SA	Place Charles Rogier 11 B-1210 Bruxelles	100	19
Belfius Ireland Unltd	23 Shelbourne Road Ballsbridge Dublin 4 IE 4886676 P	100	49
Belfius Lease SA	Place Charles Rogier 11 B-1210 Bruxelles	100	5
Belfius Lease Services SA	Place Charles Rogier 11 B-1210 Bruxelles	100	5
Capline SA	Place Charles Rogier 11 B-1210 Bruxelles	74.99	10
Caring people SA	De Kleetlaan 7A B-1831 Machelen	100	30
Coquelets SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Corona SA	De Kleetlaan 7A B-1831 Diegem	100	28
Crefius SA	Place Charles Rogier 11 B-1210 Bruxelles	100	6
Dexia Secured Funding Belgium SA	Place Charles Rogier 11 B-1210 Bruxelles	10	49
Elantis SA	Rue des Clarisses 38 B-4000 Liège	100	6
ImmoActivity SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Malvoz SPRL	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Sint-Michel	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Trèfles SPRL	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Zeedrift SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Interfinance SCRL	Place Charles Rogier 11 B-1210 Bruxelles	74.99	10
Jaimy SA	Place Charles Rogier 11 B-1210 Bruxelles	89.16	47
Jane SA	Place Charles Rogier 11 B-1210 Bruxelles	87.97	47
Legros-Renier	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Les Amarentes Seigneurie de Loverval SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
LFB SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Mercurius Funding SA	Place Charles Rogier 11 B-1210 Bruxelles	5	49

(1) Percentage of capital held by holding company.

Name	Head Office	% of capital held ⁽¹⁾	Business code
Offico Immo SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Penates Funding SA	Rue Royale 97 b4 B-1000 Bruxelles	10	49
Philadelphus NV	Place Charles Rogier 11 B-1210 Bruxelles	100	31
The Studio SA	Place Charles Rogier 11 B-1210 Bruxelles	100	34

(1) Percentage of capital held by holding company.

There are no significant restrictions on the subsidiaries, on their ability to access or use assets, and settle liabilities, of the group.

2. Non-consolidated subsidiaries

Name	Head Office	% of capital held ⁽¹⁾	Reason for exclusion	Business code
Belfius Fiduciaire SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	23
Belfius Part SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	10
Fynergie SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	32
Global Cleantech Capital II Feeder BV	Herengracht 338 NL-1016 CG Amsterdam	100	non-significant	41
Immo Tumulis SPRL	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	31
Les News 24 NV	Rue de Genève 175 B-1140 Evere	60.55	non-significant	45
Qualitass NV	Vilvoordsesteenweg 166 B-1850 Grimbergen	100	non-significant	30
Service Communal de Belgique SCI	Avenue Louise 106 B-1050 Ixelles	63.59	in liquidation	47
Shop Equipments SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	31
VDL - Interass NV	Brusselsesteenweg 346C B-9090 Melle	100	non-significant	30

(1) Percentage of capital held by holding company.

3. Affiliated companies accounted for by the equity method

Name	Head Office	% of capital held ⁽¹⁾	Business code
Bancontact Payconiq Company SA	Rue d'Arlon 82 B-1040 Bruxelles	22.5	48
De Haan Vakantiehuizen NV	Woluwedal 58 B-1200 Woluwe-Saint-Lambert	25	31
EPC SCRL (Economie Populaire de Ciney)	Rue E Dinot 30 B-5590 Ciney	61.37	33
Erasmus Gardens SA	Avenue Hermann-Debroux 42 B-1160 Bruxelles	50	31
Fairville NV	Steenweg Deinze 154 B-9810 Nazareth	33.33	34
Isabel SA	Boulevard de l'Impératrice 13-15 B-1000 Bruxelles	24	39
M80 Capital Comm.V	Rue de la Victoire 1 B-1060 Bruxelles	18.7	10
SKIPR NV	Rue du Mail 50 B-1050 Ixelles	32.63	34
Team Cyclis NV	Nieuwe Dijk 34 B-3920 Lommel	47.45	5
Vicinity Affordable Housing Fund CV	Rue du Gruyer 50 B-1170 Watermael-Boitsfort	48.03	12

(1) Percentage of capital held by holding company.

4. Affiliated companies not accounted for by the equity method

Name	Head Office	% of capital held ⁽¹⁾	Reason for exclusion	Business code
Arkafund NV	Alfons Gossetlaan 30 B-1702 Groot-Bijgaarden	25	in liquidation	21
Assurcard NV	Fonteinstraat 1A Bus 0301 B-3000 Leuven	20	non-significant	34
Banking Funding Company SA	Rue d'Arlon 82 B-1040 Bruxelles	21.62	non-significant	48
Batopin SA	Rue Saint-Lazare 10 B-1210 Bruxelles	25	non-significant	21
Bedrijvencentrum Regio Mechelen NV	De Regenboog 11 B-2800 Mechelen	24.33	non-significant	41
Belwing SA	Avenue Maurice-Destenay 13 B-4000 Liège	20	non-significant	10
BF3 Belgium SAS	Rue de Balzac 23 F-75008 Paris	33.33	non-significant	10
Bizimmo SA	Boulevard du Souverain 68 bte 9 B-1170 Watermael-Boitsfort	50	non-significant	31
Buildingnest SA	Boulevard du Souverain 68 bte 9 B-1170 Watermael-Boitsfort	50	non-significant	31
Canius I CVA	Plankstraat 13 B-3800 Sint-Truiden	24.71	non-significant	16
Corfius Immo NV	Industrielaan 18 B-3730 Hoeselt	50	non-significant	31
DG INFRA + Bis SCS	Karel Oomsstraat 37 B-2018 Antwerpen	28.53	non-significant	10
DG INFRA + Ter SCS	Karel Oomsstraat 37 B-2018 Antwerpen	37.50	non-significant	10
Frunpark Parndorf GmbH	Rathen 20 A-4081 Hartkirchen	25	non-significant	32
Groene Poort Dreef NV	Westlaan 120 B-8800 Roeselare	50	non-significant	31
IDE Lux Finances SCRL	Drève de l'Arc-en-Ciel 98 B-6700 Arlon	36.87	non-significant	16
Imsol NV	Borsbeeksesteenweg 26 B-2000 Antwerpen	39.98	non-significant	31
Inforum G.I.E.	Rue d'Arlon 53 bte 4 B-1040 Bruxelles	50	non-significant	41
Justinvest NV	Heistraat 129 B-2610 Antwerpen	33.33	non-significant	32
Kuborn Real Estate NV	Avenue Maurice 8 B-1050 Bruxelles	20	non-significant	32
Leskoo SA	Avenue des Communautés 100 B-1200 Woluwe-Saint-Lambert	50	non-significant	31
Letsgo City SA	Boulevard Piercot 44 B-4000 Liège	25.61	non-significant	34
NEB Foncière SA	Rue Louvrex 95 B-4000 Liège	20.49	non-significant	31
1App SRL	Rue Boi-Eloi 34 B-1380 Lasne	30	non-significant	62
Partners Through Innovation SA	Place Charles Rogier 11 B-1210 Bruxelles	25.10	non-significant	34
Rabot Invest NV	Heistraat 129 B-2610 Antwerpen	25	non-significant	32
R.E.D. Laboratories NV	Z1. Researchpark 100 B-1731 Zellik	22.20	non-significant	33
Re-Vive Brownfield Fund I CVBA	Nieuwewandeling 62 B-9000 Gent	24.97	non-significant	31
Société Mixte de Développement Immobilier SA	Avenue Maurice Destenay 13 B-4000 Liège	25.04	non-significant	32
Syneco Agence Conseil ASBL	Rue des Glaces Nationales 169 B-5060 Sambreville	20	non-significant	47
The Birdhouse CVBA	Kortrijksesteenweg 1070 B-9051 Sint-Denijs-Westrem	21.82	non-significant	47

(1) Percentage of capital held by holding company.

Name	Head Office	% of capital held ⁽¹⁾	Reason for exclusion	Business code
TDP NV	Karel Oomsstraat 37 B-2018 Antwerpen	50	non-significant	47
Wandelaar Invest SA	Rue du Vieux Marché aux Grains 63 B-1000 Bruxelles	25	non-significant significant	5

(1) Percentage of capital held by holding company.

5. Belfius Bank Branches (not consolidated)

As a result of the amended company legislation, the legal form of the Belfius branches has been converted from Cooperative Society (CVBA/SCRL) to Limited Liability Company (Commanditaire Vennootschap (CommV)/ Société en commandite (SComm)) as from 2020. At the same time, the name Belfius was removed from the corporate name of each agent listed here.

Name	Head Office	% of capital held ⁽¹⁾	Business code
Agent de banque et d'assurances Ardenne - Spa - Pays de Herve SComm	Place du Marché 22 B-4651 Battice	26	4
Agent de banque et d'assurances Auderghem-Boitsfort SComm	Boulevard du Souverain 282 B-1160 Bruxelles	24	4
Agent de banque et d'assurances Borinage SComm	Rue J. Dufrane 3-5 B-7080 Frameries	26	4
Agent de banque et d'assurances Brussels City Center SComm	Place Stéphanie 8 B-1050 Bruxelles	24.76	4
Agent de banque et d'assurances Brussels East SComm	Rue des Champs 6 B-1040 Bruxelles	19.5	4
Agent de banque et d'assurances Brussels North SComm	Boulevard de Smet de Nayer 2a B-1090 Bruxelles	26	4
Agent de banque et d'assurances Charleroi Centre & Villes SComm	Boulevard Joseph Tirou 76-82 B-6000 Charleroi	26	4
Agent de banque et d'assurances Cœur du Hainaut SComm	Rue Albert 1 ^{er} 23 B-7100 La Louvière	26	4
Agent de banque et d'assurances Condroz-Famenne SComm	Rue Saint-Eloi 1 B-5590 Ciney	24.76	4
Agent de banque et d'assurances Entre Sambre & Meuse SComm	Rue de France 50-52 B-5600 Philippeville	23.66	4
Agent de banque et d'assurances Fléron - Visé SComm	Rue Saint-Hadelin 1 B-4600 Visé	24	4
Agent de banque et d'assurances Forêt de Soignes SComm	Avenue Brugman 247 B-1180 Bruxelles	22.29	4
Agent de banque et d'assurances Hesbaye SComm	Grand'Place 5 B-4280 Hannut	26	4
Agent de banque et d'assurances Liège City-Airport SComm	Rue des Mineurs 12 B-4000 Liège	26	4
Agent de banque et d'assurances Liège Nord & Est SComm	Chaussée de Tongres 391 B-4000 Liège	26	4
Agent de banque et d'assurances Meuse-Ourthe-Amblève SComm	Place Joseph Thiry 47 B-4920 Aywaille	26	4
Agent de banque et d'assurances Namur - Eghezée SComm	Chaussée de Louvain 440 B-5004 Namur	26	4
Agent de banque et d'assurances Namur - Gembloux SComm	Avenue Faculté d'Agronomie 12 B-5030 Gembloux	25.30	4
Agent de banque et d'assurances Namur Haute-Meuse SComm	Rue de Marchovelette 1 B-5000 Namur	26	4
Agent de banque et d'assurances Nivelles-Tubize SComm	Rue de Nivelles 30 B-1480 Tubize	25.16	4
Agent de banque et d'assurances Nord Picardie SComm	Rue de la Station 39 Boîte 41 B-7700 Mouscron	24	4
Agent de banque et d'assurances Pays de Mons SComm	Avenue Jean d'Avesnes 9 B-7000 Mons	26	4
Agent de banque et d'assurances Porte du Brabant SComm	Place Franklin D. Roosevelt 42/43 B-6180 Courcelles	26	4
Agent de banque et d'assurances Région Huy-Andenne SComm	Avenue du Bosquet 41 boîte 11 B-4500 Huy	26	4

(1) Percentage of capital held by holding company.

Name	Head Office	% of capital held ⁽¹⁾	Business code
Agent de banque et d'assurances Sille & Dendre SComm	Grand Place 72 B-7850 Enghien	26	4
Agent de banque et d'assurances Sud-Luxembourg SComm	Rue d'Alba 1 B-6700 Arlon	26	4
Agent de banque et d'assurances Tournai-Val de Verne SComm	Rue Royale 105/107/109 B-7500 Tournai	26	4
Agent de banque et d'assurances Val de Sambre SComm	Rue de Falisolle 401 B-5060 Sambreville	21.82	4
Agent de banque et d'assurances Val d'Haine et Haut-Pays SComm	Rue Grande 49 B-7380 Quiévrain	26	4
Agent de banque et d'assurances Vallée de la Dyle SComm	Place Alphonse Bosch 15 B-1300 Wavre	22.61	4
Agent de banque et d'assurances Waterloo SComm	Chaussée de Bruxelles 306 B-1410 Waterloo	26	4
Agent de banque et d'assurances West-Brabant SComm	Chaussée d'Alseberg 1410 B-1620 Drogenbos	26	4
Bank- en verzekeringsagent Antwerpen Zuid CommV	Grote Steenweg 456 B-2600 Berchem	26	4
Bank- en verzekeringsagent Brugs Ommeland-Oudenburg CommV	Dorpsstraat 8 B-8200 Brugge Sint-Michiels	26	4
Bank- en verzekeringsagent Centrum-West CommV	Hendrik Consciencestraat 23 bus 6 B-8800 Roeselare	26	4
Bank- en verzekeringsagent Druivenstreek CommV (in liquidation)	Stationsplein 17 B-3090 Overijse	26	4
Bank- en verzekeringsagent Durmevallei CommV	Marktplaats 3 B-9220 Hamme	26	4
Bank- en verzekeringsagent Geraardsbergen-Ninove CommV	Oudenaardsestraat 4-6 B-9500 Geraardsbergen	26	4
Bank- en verzekeringsagent Hageland Noord CommV	Bogaardenstraat 26 B-3200 Aarschot	26	4
Bank- en verzekeringsagent Kempen Noord CommV	Gemeenteplaats 6 B-2960 Brecht	26	4
Bank- en verzekeringsagent Kempen Oost CommV	Markt 27 B-2400 Mol	26	4
Bank- en verzekeringsagent Klein Brabant CommV	Nieuwstraat 21 B-2830 Willebroek	26	4
Bank- en verzekeringsagent Kortrijk - Menen - Ieper CommV	Wijngaardstraat 52 B-8500 Kortrijk	26	4
Bank- en verzekeringsagent Leuven CommV	Brusselsestraat 2 B-3000 Leuven	24	4
Bank- en verzekeringsagent Mandel-Leie CommV	Holdestraat 19 B-8760 Meulebeke	26	4
Bank- en verzekeringsagent Midden Limburg CommV	Dorpsstraat 1A B-3530 Houthalen-Helchteren	26	4
Bank- en verzekeringsagent Netevallei CommV	Grote Markt 13 B-2500 Lier	26	4
Bank- en verzekeringsagent Noord-Brabant CommV	Kattestraat 2 B-1730 Asse	24.37	4
Bank- en verzekeringsagent Noord-Limburg CommV	Hertog Janplein 45 B-3920 Lommel	26	4
Bank- en verzekeringsagent Regio Aalst CommV	Stationsstraat 4 B-9300 Aalst	26	4
Bank- en verzekeringsagent Regio Antwerpen Oost CommV	André Hermanslaan 1 B-2100 Deurne	26	4
Bank- en verzekeringsagent Regio Dendermonde-Buggenhout CommV	Kerkstraat 64-66 B-9200 Dendermonde	26	4
Bank- en verzekeringsagent Regio Erpe-Mere CommV	Marktplaats 36 B-9520 Sint-Lievens-Houtem	26	4
Bank- en verzekeringsagent Regio Genk-Hoge Kempen CommV	Fruitmarkt 7 B-3600 Genk	26	4
Bank- en verzekeringsagent Regio Gent CommV	Zonnestraat 23-25 B-9000 Gent	26	4
Bank- en verzekeringsagent Regio Hasselt CommV	Havermarkt 36-38 B-3500 Hasselt	26	4

(1) Percentage of capital held by holding company.

Name	Head Office	% of capital held ⁽¹⁾	Business code
Bank- en verzekeringsagent Regio Leie-Schipdonk CommV	Volhardingslaan 72 (bus 1) B-9800 Deinze	26	4
Bank- en verzekeringsagent Regio Mechelen CommV	Grote Markt 31 B-2800 Mechelen	26	4
Bank- en verzekeringsagent Regio Menen-Wevelgem CommV (in liquidation)	Kerkomtrek 16 B-8930 Menen	26	4
Bank- en verzekeringsagent Regio Mortsel Kontich CommV	Mechelsesteenweg 56 B-2640 Mortsel	26	4
Bank- en verzekeringsagent Regio Noord-Antwerpen CommV	Antwerpsesteenweg 49 B-2950 Kapellen	26	4
Bank- en verzekeringsagent Regio Oostende-Knokke CommV	Lippenslaan 74 B-8300 Knokke-Heist	26	4
Bank- en verzekeringsagent Regio Sint-Niklaas CommV	Hendrik Heymanplein 9 B-9100 Sint-Niklaas	26	4
Bank- en verzekeringsagent Regio Turnhout-Hoogstraten CommV	Vrijheid 109 B-2320 Hoogstraten	26	4
Bank- en verzekeringsagent Regio Waregem- Kruishoutem CommV (in liquidation)	Markt 12 B-8790 Waregem	26	4
Bank- en verzekeringsagent Scheldeland CommV	Kalkendorp 21 B-9270 Laarne	26	4
Bank- en verzekeringsagent Tienen-Sint-Truiden CommV	Clockemstraat 38 B-3800 Sint-Truiden	26	4
Bank- en verzekeringsagent Vilvoorde-Tervuren CommV	Portaelsplein 68 B-1800 Vilvoorde	26	4
Bank- en verzekeringsagent Vlaamse Ardennen CommV	Nederstraat 17 B-9700 Oudenaarde	26	4
Bank- en verzekeringsagent Westkust CommV	Kerkstraat 58 B-8430 Middelkerke	26	4
Bank- en verzekeringsagent Zennevallei CommV	Basiliekstraat 13 B-1500 Halle	26	4
Bank- en verzekeringsagent Zuid-Oost-Limburg CommV	Visésteenweg 204 (Bus 1) B-3770 Riemst	26	4

(1) Percentage of capital held by holding company.

Business code

1. Bank, credit institution	27. Captive reinsurance
2. Private savings bank	28. General insurance
3. Government credit institution	29. Financial product agency and broking
4. Banking agency	30. Insurance agency and broking
5. Leasing	31. Real estate (proprietary portfolio)
6. Home loans	32. Real estate agency (third party)
7. Development capital	33. Health and welfare
8. Consumer credits	34. Computer business / Information Technology
9. Other lending activities	35. Banking associations
10. Investment company	36. Other associations
11. Stock broking	37. Sewage, road cleaning and maintenance and waste management
12. Variable capital investment company	38. Recreation
13. Mutual funds	39. Telecommunications
14. Fund manager	40. Transportation
15. Factoring	41. Other services
16. Infrastructure and construction financing	42. Energy
17. Other specific financing	43. Economic development
18. Financial market administration	44. Water
19. Asset and portfolio management, financial advisory services	45. Book publishing and multimedia
20. Financial engineering, consultancy, financial research	46. Research and development
21. Other professional services in financial sector	47. Other service activities
22. Guarantee company	48. Production, management, distribution of computerized payment media
23. Trust company	49. Financing
24. Foreign currency exchange	50. Merchant banking
25. Life insurance	
26. Non-life insurance	

10.4. Involvement with unconsolidated structured entities

1. The nature, purpose, and activities of a structured entity

Belfius' involvement with unconsolidated structured entities is mainly from an investor's perspective. The purpose is to generate a stable interest margin from these investments.

Belfius has the following types of exposures to unconsolidated structured entities in its portfolio (mainly stemming from the former Side portfolio):

→ Mortgage backed securities (MBS): these structured entities invest in residential and/or commercial mortgage loans which are financed through the issue of notes. Belfius has invested in the most senior tranches.

→ Asset Backed Securities (ABS): these entities invest in loans, debt securities, leases and/or receivables which are financed through the issue of notes. Belfius has invested in the most senior tranches.

→ Multi issuer covered bonds: these structured entities are set up by several banks, each participating for a certain percentage in the covered pool.

→ Derivatives: Belfius has some derivatives with unconsolidated structured entities such as Credit Default Swaps, Total Return Swaps and Interest Rate Swaps.

Refer to note 12. "Securitisation".

2. Amounts concerned

	2019	
	Carrying amount	Maximum credit risk exposure
(In thousands of EUR)		
FINANCIAL ASSETS	1,228,133	1,214,354
Financial assets held for trading	512,955	508,291
Non-trading financial assets mandatorily at fair value through profit or loss	17,078	17,078
Financial assets designated at fair value through profit or loss	0	0
Financial assets at fair value through other comprehensive income	18,051	18,051
Financial assets at amortised cost	680,049	670,934
Derivatives - Hedge accounting	0	0
FINANCIAL LIABILITIES	21,525	0
Financial liabilities held for trading	21,525	0
Financial liabilities measured at fair value through profit or loss	0	0
Financial liabilities at amortised cost	0	0
Derivatives hedge accounting	0	0
OFF-BALANCE SHEET ITEMS - GIVEN	0	0
Loan commitments - given	0	0
Financial guarantees - given	0	0

	2020	
	Carrying amount	Maximum credit risk exposure
(In thousands of EUR)		
FINANCIAL ASSETS	903,314	975,248
Financial assets held for trading	311,322	387,702
Non-trading financial assets mandatorily at fair value through profit or loss	16,432	16,432
Financial assets designated at fair value through profit or loss	0	0
Financial assets at fair value through other comprehensive income	14,504	14,504
Financial assets at amortised cost	561,056	556,610
Derivatives - Hedge accounting	0	0
FINANCIAL LIABILITIES	1,144	0
Financial liabilities held for trading	1,144	0
Financial liabilities measured at fair value through profit or loss	0	0
Financial liabilities at amortised cost	0	0
Derivatives hedge accounting	0	0
OFF-BALANCE SHEET ITEMS - GIVEN	0	0
Loan commitments - given	0	0
Financial guarantees - given	0	0

XI. Related parties transactions

The standard IAS 24 “Related Parties Disclosures” provides a partial exemption from the disclosure requirements for government-related entities. Consequently these related entities are not included in the table “Related parties transactions”. The exposure of Belfius on for instance Belgian Government bonds can be found in the chapter “Risk Management” of the management report.

1. Related parties transactions

(In thousands of EUR)	Directors and key management personnel ⁽¹⁾		Subsidiaries ⁽²⁾	
	31/12/19	31/12/20	31/12/19	31/12/20
Loans ⁽³⁾	2,531	2,738	6,904	6,095
of which impaired loans stage 3	0	0	0	0
Interest income	40	34	229	212
Deposits and debt securities ⁽³⁾	7,825	10,128	6,446	9,944
Interest expense	(3)	(3)	0	0
Net commission	0	0	81	87
Guarantees issued and commitments provided by the Group ⁽⁴⁾	0	0	12	9
Guarantees and commitments received by the Group	4,336	5,543	0	0

(In thousands of EUR)	Associates		Joint ventures in which the entity is a venturer	
	31/12/19	31/12/20	31/12/19	31/12/20
Loans ⁽³⁾	297,856	289,445	5,672	5,906
of which impaired loans stage 3	0	0	0	0
Interest income	6,286	5,454	126	172
Deposits and debt securities ⁽³⁾	66,103	72,950	4,418	2,233
Interest expense	(21)	(2)	0	0
Net commission	(1,762)	(661)	175	33
Guarantees issued and commitments provided by the Group ⁽⁴⁾	267,528	227,836	12,778	3,791
Guarantees and commitments received by the Group	73,787	104,510	55	55

(1) Key management includes the Board of Directors and the Managing Board, as well as these persons's children and spouses or domestic partners and children of these person's spouses or domestic partners.

(2) The amounts reported relate to transactions with subsidiaries that are not consolidated due to immateriality.

(3) Transactions with related parties are concluded at general market conditions.

(4) Unused lines granted.

2. Key management compensations⁽¹⁾

(In thousands of EUR)	31/12/19	31/12/20
Short-term benefits ⁽²⁾	4,113	4,319
Post-employment benefits	0	0
Other long-term benefits	634	637
Termination benefits	0	0
Employee benefit expense	0	0

(1) Key management includes the Board of Directors and the Management Board.

(2) Short-term benefits include the salaries, bonuses and other advantages.

2. Dexia Real Estate Capital Markets

Dexia Real Estate Capital Markets (DRECM) was sold by Belfius in July 2010 to Dexia Holdings, Inc. (DHI). In June 2011, DRECM was sold by DHI to its parent, Dexia Crédit Local SA (DCL). In December 2016, DRECM assigned to DHI all of the assets, business and activities of DRECM, and DHI assumed all of DRECM's liabilities and obligations related thereto. Following such transfer, DRECM was liquidated into DCL with the DRECM legal entity being dissolved. DHI thus acts as the successor to DRECM. Although DHI (as the successor to DRECM) is no longer a related party to Belfius, an overview of the remaining engagements of Belfius towards the former activities of DRECM is presented. Note that no claims have been made up to the date of this report towards Belfius under these representations and warranties.

A. The purpose and context of the comfort letters

In the framework of the last Commercial Real Estate Mortgage Loans securitisation operation in which DRECM was involved until February 2020, DRECM entered into a Mortgage Loan Purchase Agreement as a seller of Commercial Mortgage Loans and into an Indemnification Agreement. In these agreements, DRECM gave certain representations and warranties in respect to some aspects of corporate standing and on some characteristics of the Commercial Mortgage Loans to certain CMBS trusts. Under the Mortgage Loan Purchase Agreement, a loan seller would be obligated under the reps and warranties to repurchase a loan if there was a material breach of the reps and warranties or a material document defect that can not be remedied, or cured,

within a certain period of time (usually 90 days with extensions possible), so long as the repurchase demand was made in a timely manner. Given the fact that this was a kind of operational ongoing obligation of DRECM and DRECM was a non-rated entity, transaction participants and rating agencies required a larger first loss tranche (economically expensive for DRECM) or a counter guarantee from a rated entity. In this context Belfius Bank as a successor of Artesia Banking Corporation S.A. delivered the said comfort letters because the bank had a sufficient rating to reduce the requirement for credit enhancement.

B. The legal nature of the comfort letters

The first obligation to respect the terms of the Mortgage Loan Purchase Agreements and the Indemnification Agreements is the responsibility of DHI (as the successor to DRECM). It is only in case DHI (as the successor to DRECM) would not be performing that Belfius Bank promised to intervene with all means be it, human, technical or financial. The obligations of Belfius are obligations to perform or to pay. It is not a guarantee on first demand, nor an obligation to buy any non performing loan but a stand by back-up agreement for performance or payment. Although the shares of Belfius in DRECM were sold to DHI on 16 July 2010, these comfort letters are still in place. However, we believe that the risks for Belfius are extremely remote, seen no repurchase demands are outstanding, no previous transactions have led to any repurchases, and DHI (as a successor to DRECM) is sufficiently capitalized to meet its contractual obligations.

XII. Securitisation

Belfius currently has three traditional securitisation vehicles: Dexia Secured Funding Belgium, Penates Funding and Mercurius Funding. The total assets of these companies amount to EUR 4,809 million at 31 December 2020 compared to EUR 6,565 million at 31 December 2019.

According to the definition of control under IFRS 10, Dexia Secured Funding Belgium, Penates Funding and Mercurius Funding are included in the consolidated financial statements. Belfius has:

- full power over its securitisation vehicles;
- exposure to their variable returns; and
- the ability to use its power to affect the amount of the returns.

Dexia Secured Funding Belgium (DSFB) is a Belgian securitisation vehicle (société d'investissement en créances (SIC) under Belgian Law) with currently six compartments, one of which with activity, namely DSFB-2.

DSFB-2 (using the second ring-fenced compartment of DSFB) is a securitisation transaction of loans granted to Belgian entities (public and other). All the loans are 100% guaranteed by one of the three Belgian regions. This EUR 1,621 million transaction was launched on 28 April 2008. One tranche of floating rate notes, rated at closing AA/Aa1/AA+ by respectively S&P, Moody's and Fitch, was issued. Belfius Bank has guaranteed the full and timely payment of principal and interest on the notes. AS AT 31 December 2020, EUR 745 million were still outstanding. The notes had a rating of A-sf/Aa3/A-sf at 31 December 2020. The DSFB-2 Notes are held by Belfius Bank and its subsidiary Belfius Ireland.

Penates Funding is a Belgian securitisation vehicle with currently ten compartments, two of which with activity in 2020, namely, Penates-5 and Penates-6.

On 16 November 2015, Belfius closed a EUR 1,030 million RMBS securitisation transaction. The SPV, Penates Funding acting through its compartment Penates-5, securitised Belgian residential mortgage loans originated by Belfius Bank and issued EUR 350 million Class A1 Mortgage-Backed Floating Rate Notes due 2049 (Fitch AAAsf/Moody's Aaa(sf)); EUR 450 million Class A2 Mortgage-Backed Floating Rate Notes due 2049 (Fitch AAAsf/Moody's Aaa(sf)); EUR 200 million Class B Mortgage-Backed Floating Rate Notes due 2049 (unrated); EUR 30 million Class C Floating Rate Notes due 2049 (unrated).

The Class A1 Notes were redeemed in full over the course of 2018. The remaining outstanding Notes (Class A2 Notes, the Class B Notes and Class C Notes) were redeemed in full with the exercise of the Optional Redemption Call on 23 November 2020.

On 15 May 2017, Belfius closed a EUR 6,030 million RMBS securitisation transaction. The SPV, Penates Funding acting through

its compartment Penates-6, securitised Belgian residential mortgage loans originated by Belfius Bank and issued EUR 2,490 million Class A1 Mortgage-Backed Floating Rate Notes due 2051 (DBRS AAAsf/Moody's Aaa(sf)); EUR 2,490 million Class A2 Mortgage-Backed Floating Rate Notes due 2051 (DBRS AAAsf/Moody's Aaa(sf)); EUR 1,020 million Class B Mortgage-Backed Floating Rate Notes due 2051 (unrated); EUR 30 million Class C Floating Rate Notes due 2051 (unrated).

As at 31 December 2019, these ratings were unchanged from their initial rating. The Class A1 Notes were redeemed in full over the course of 2020. The outstanding amount of the Class A2 Notes stood at EUR 2,202 million, while the outstanding amounts of the other classes of notes were still at their initial amount. Hence there was EUR 3,252 million outstanding under Penates-6 at 31 December 2020. The notes are held by Belfius Bank and its subsidiary Belfius Insurance. The Penates-6 senior notes can be used as collateral in agreements with the European Central Bank or other counterparties.

Mercurius Funding is a Belgian securitisation vehicle with currently six compartments. It was established in 2012. One compartment, Mercurius-1, had outstanding notes at the end of 2020.

On 7 May 2012, Belfius Bank closed a EUR 4,124 million SME (Small & Medium Enterprises) CLO securitisation transaction. The SPV, Mercurius Funding acting through its compartment Mercurius-1, securitised Belgian SME loans originated by Belfius and issued two classes of notes: EUR 3,200 million Class A SME Loan-Backed Fixed Rate Notes due 2035; EUR 924 million Class B SME Loan-Backed Fixed Rate Notes due 2037.

On 12 May 2014, the Mercurius-1 issued new notes: EUR 3,200 million Class A SME Loan-Backed Fixed Rate Notes due 2035 (Fitch A+(sf)/Moody's A1(sf)/DBRS A(high) (sf)); EUR 924 million Class B SME Loan-Backed Fixed Rate Notes due 2037 (not rated). The proceeds were used to purchase an additional portfolio of SME loans and to redeem the old notes.

On 25 June 2018, the Mercurius-1 transaction was restructured. The main modifications were on the Interest Rates, the Reserve Fund and the Principal Priority of Payments. The rating of Fitch was also discontinued.

At the end of 2020, the ratings on the Class A Notes were AA(sf) at DBRS and Aaa(sf) at Moody's. The outstanding balance of the Class A Notes and the Class B Notes decreased to respectively EUR 458 million and EUR 424 million at 31 December 2020.

The Mercurius notes are held by Belfius Bank and its subsidiary Belfius Ireland. The notes can be used as collateral in agreements with the European Central Bank or other counterparties.

Belfius Bank SA

Statutory auditor's report to the general meeting of Belfius Bank NV/SA on the consolidated financial statements as of and for the year ended 31 December 2020

In the context of the statutory audit of the consolidated financial statements of Belfius Bank SA/NV ("the Company") and its subsidiaries (jointly "the Group"), we provide you with our statutory auditor's report. This includes our report on the consolidated financial statements for the year ended 31 December 2020, as well as other legal and regulatory requirements. Our report is one and indivisible.

We were appointed as statutory auditor by the general meeting of 29 April 2020, in accordance with the proposal of the board of directors issued on the recommendation of the audit committee and as presented by the workers' council. Our mandate will expire on the date of the general meeting deliberating on the annual accounts for the year ended 31 December 2022. This is the first year we have performed the statutory audit of the consolidated financial statements of the Group.

Report on the consolidated financial statements

Unqualified opinion

We have audited the consolidated financial statements of the Group as of and for the year ended 31 December 2020, prepared in accordance with International Financial Reporting Standards as adopted by the European Union, and with the legal and regulatory requirements applicable in Belgium. These consolidated financial statements comprise the consolidated balance sheet as at 31 December 2020, the consolidated statement of income, the consolidated statement of comprehensive income, the consolidated statement of changes in equity and the consolidated cash flow statement for the year then ended and notes, comprising a summary of significant accounting policies and other explanatory information. The total of the consolidated balance sheet amounts to EUR ('000) 187.991.433 and the consolidated statement of income shows a net income for the year of EUR ('000) 531.624.

In our opinion, the consolidated financial statements give a true and fair view of the Group's equity and financial position as at 31 December 2020 and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union, and with the legal and regulatory requirements applicable in Belgium.

Basis for our unqualified opinion

We conducted our audit in accordance with International Standards on Auditing ("ISAs") as adopted in Belgium. In addition, we have applied the ISAs as issued by the IAASB and applicable for the current accounting year while these have not been adopted in Belgium yet. Our responsibilities under those standards are further described in the "Statutory auditors' responsibility for the audit of the consolidated financial statements" section of our report. We have complied with the ethical requirements that are relevant to our audit of the consolidated financial statements in Belgium, including the independence requirements.

We have obtained from the board of directors and the Company's officials the explanations and information necessary for performing our audit.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Impairments on loans and advances and debt securities

We refer to headings III.A “Loans and advances measured at amortised cost”, IV.A “Debt securities measured at amortised cost” and IV.B “Debt securities measured at fair value through other comprehensive income” of the consolidated balance sheet in the consolidated financial statements and to notes n° 5.4 “Loans and advances”, n° 5.5 “Debt securities and equity instruments” and 9.2 “Credit risk exposure” in which the impairment losses are disclosed.

Description

As at 31 December 2020, the Group has EUR ('000) 96.811.908 of loans and advances measured at amortised cost, EUR ('000) 22.039.067 of debt securities measured at amortised cost and EUR ('000) 3.866.789 of debt securities measured at fair value through other comprehensive, representing 65% of total assets.

The measurement of the expected credit losses and the determination of the stage allocation contain subjective elements and require significant judgement from management, such as the selection of macro-economic scenarios used in the determination of expected credit losses, the evaluation of deteriorating credit quality (including deterioration due to the impact of the COVID-19 crisis), and the application of models for the determination of expected credit losses.

Given the significance of impairments on loans and advances and debt securities, and the related high degree of estimation uncertainty, we consider the determination and measurement of impairments on loans and advances and debt securities as a key audit matter.

Our audit procedures

With the assistance of our IT, Financial Risk Management and Economic specialists, we performed the following procedures:

- Evaluation of the design, implementation and operating effectiveness of key controls around the expected credit loss.
- Performance of risk assessment procedures on the loan portfolio (sector focus, risk ratings migration).
- Inspection of the minutes of the relevant committees and rationale for conclusions made therein for our risk assessment and to support our selection and extent of audit procedures.
- Evaluation if key models are delivering a reliable output on the basis of the assessment of the model validation process, including the assessment of the Macro-Economic Factors (“MEF”) and the weights associated to the different economic scenarios set in time of COVID-19.
- Evaluation of the reliability of key inputs to the models such as loans and advances or debt securities data as well as collateral used to determine the collective impairment. For a sample of loans and advances and debt securities, comparison of data used in the models with underlying documentation such as contracts and other relevant documents.
- Evaluation whether the manual adjustments to the model-based expected credit loss are adequately justified and supported.
- Inspection of a sample of credit files and debt securities in stage 1, 2 and 3 to assess whether the stage classification used in the expected credit loss (including assessment of whether any events of default have occurred (including the impact of the

COVID-19 crisis) and of inputs and assumptions used, such as reasonableness of scenarios, scenario weighting, expected cash flows, collateral values, effective interest rates, etc, including assessment of compliance with IFRS 9) is reasonable.

- Evaluation of the appropriateness of management documentation of evidence and rationale when despite the occurrence of impairment triggers, no provision was recognized.
- Assessment of the adequacy of the accounting treatment of the assistance measures defined by the Belgian government (moratorium, state guarantee, ...).
- Assessment of the adequacy of the relevant disclosures in the consolidated financial statements.

Observation

- The expected credit losses reflect the best estimate of Management as of 31 December 2020. We refer to section I. “Key Number – Covid-19 crisis” of the consolidated financial statements as at 31 December 2020 that indicates that the evolution of the pandemic and its economic impacts remain uncertain and might influence the level of defaults in the coming years.

Fair value measurement of Level 2 and Level 3 financial instruments

We refer to headings III.C “Loans and advances measured at fair value through profit or loss”, IV.B “Debt securities and equity instruments measured at fair value through other comprehensive income”, IV.C “Debt securities and equity instruments measured at fair value through profit and loss”, VI “Derivatives” (assets and liabilities), III.B “Borrowings and deposits measured at fair value through profit or loss” and IV.B “Debt securities issued and other financial liabilities measured at fair value through profit and loss” of the consolidated balance sheet in the consolidated financial statements and to notes n° 5.4 “Loans and advances”, n° 5.5 “Debt securities & Equity instruments”, n° 5.6 “Derivatives”, n° 6.3 “Borrowings and deposits”, n° 6.4 “Debt securities issued and other financial liabilities” and to note n° 9.1 “Fair value” in which the fair value analysis of the financial instruments recognized on the balance sheet is disclosed.

Description

As at 31 December 2020, the Group has:

- Loans and advances measured at fair value through profit or loss for EUR ('000) 4.265 Level 2 and EUR ('000) 1.291.877 Level 3;
- Debt securities measured at fair value through other comprehensive income for EUR ('000) 263.910 Level 2 and EUR ('000) 346.244 Level 3;
- Debt securities measured at fair value through profit or loss for EUR ('000) 448.722 Level 2 and EUR ('000) 487.075 Level 3;
- Equity instruments measured at fair value through other comprehensive income for EUR ('000) 352.284 Level 3;
- Equity instruments measured at fair value through profit or loss for EUR ('000) 9 Level 3;
- Derivatives for EUR ('000) 11.428.498 Level 2 and EUR ('000) 759.318 Level 3 recognized on the asset side and EUR ('000) 17.688.673 Level 2 and EUR ('000) 620.674 Level 3 recognized on the liability side;
- Borrowings and deposits measured at fair value through profit or loss for EUR ('000) 51.036 Level 2;

- Debt securities issued and other financial liabilities measured at fair value through profit or loss for EUR ('000) 5,419,263 Level 2 and EUR ('000) 2,586,721 Level 3.

The determination of the fair value of Level 2 and 3 financial instruments is based on a range of inputs. Where observable market data is not available, estimates are developed and are subject to a higher level of judgment.

The determination of the fair value of Level 2 and 3 financial instruments, including complex financial instruments, represent a higher exposure to risk of incorrect valuation due to the absence of observable market data, the complexity of certain valuation models and the higher level of judgment involved.

Our audit procedures

With the assistance of our Financial Risk Management specialists we performed the following procedures:

- Obtaining an understanding of the processes regarding the valuation of financial instruments;
- Evaluation of the design and implementation of key controls around the valuation of financial instruments, e.g. controls over model development and independent pricing verification;
- Inspection of model validation reports from the independent validation function;
- Inspection of the minutes of the relevant committees and rationale for conclusions made therein for our risk assessment and to support our selection and extent of audit procedures;
- Independent determination of the fair value for the Level 2 and 3 financial instruments on a sample basis;
- Evaluation whether the model provisions are adequately justified and supported; and
- Assessment of the adequacy of the relevant disclosures in the consolidated financial statements.

Valuation of liabilities arising from life insurance contracts

We refer to the heading VIII "Provisions for insurance activities" of the consolidated balance sheet in the consolidated financial statements and to note n° 6.5.1 "Provisions for insurance activities – Insurance contracts Life".

Description

As at 31 December 2020, the Group has EUR ('000) 11,356,195 of technical provisions arising from life insurance contracts. These provisions are calculated based on actuarial techniques as determined by law, which are based on pre-specified mortality tables and other parameters derived from the contracts. These liabilities represent a significant component of the Group's balance sheet.

The adequacy of the liabilities arising from life insurance contracts is assessed based on a Liability Adequacy Test (LAT). These liabilities are increased with any insufficiency arising from the execution of the LAT. The actuarial models used for the calculation of the LAT are complex and the assumption setting process within these models contains judgment considering that best estimate/current assumptions are applied (and no longer the parameters embedded in the law and the contract conditions).

The judgements made in the assumptions setting process may have a significant impact on the LAT outcome.

Our audit procedures

With the assistance of our actuarial and IT specialists, we have performed the following procedures:

- Assessment of the design and implementation and evaluation of the operating effectiveness of key controls relating to the actuarial processes for the determination of the technical provisions for life insurance contracts and Liability Adequacy Test (LAT).
- Assessment of the appropriateness of the actuarial techniques used for the calculation of the technical provisions for life insurance contracts and the assumptions used.
- Assessment of the roll-forward analysis of the technical provisions for life insurance contracts prepared by Management ("Fourret analysis"), including inspection of reconciling items, if any.
- Recalculation of the technical provisions for a sample of life insurance contracts.
- Assessment of the consistency of the actuarial techniques applied for the LAT and whether changes made to the actuarial models are in line with our understanding of the business, and our expectations derived from market experience.
- Benchmarking the assumptions used in the LAT with market observable data.
- Assessment of the results of the LAT outcome, including a comparison of the results from one reporting period to another.
- Inspection of the reports issued by the actuarial function and rationale for conclusions made therein as input for our risk assessment.
- Testing the completeness and accuracy of data used in the calculation processes and output from key IT systems used for the calculation of the technical provisions for life insurance contracts.
- Assessment of the adequacy of the relevant disclosures in the consolidated financial statements.

Valuation of liabilities arising from non-life insurance contracts

We refer to the heading VIII "Provisions for insurance activities" of the consolidated balance sheet in the consolidated financial statements and to note n° 6.5.2 "Provisions for insurance activities – Insurance contracts Non-Life".

Description

As at 31 December 2020, the Group has EUR ('000) 1,314,474 of technical provisions arising from non-life insurance contracts. The estimation of these provisions involves actuarial techniques and requires judgement given that these are based on previous claims experience, existing knowledge of events, expectations about future developments and terms and conditions of the relevant insurance policies.

Estimates have to be made for both the expected ultimate cost of claims reported at the balance sheet date, and for the expected ultimate cost of claims incurred but not yet reported (IBNR) at the balance sheet date. These estimates are sensitive to var-

ious factors and uncertainties and require judgement in setting the underlying assumptions.

Our audit procedures

With the assistance of our actuarial and IT specialists, we have performed the following procedures:

- Assessment of the design and implementation and evaluation of the operating effectiveness of the controls relating to the actuarial processes for the determination of the technical claim provisions for non-life insurance contracts.
- Assessment of the consistency and appropriateness of the actuarial techniques applied for the most important business lines (including the underlying assumptions) and whether the actuarial models are in line with our understanding of business, and our expectations derived from market experience.
- Assessment whether the claim liabilities have been determined in accordance with the implemented reserving policies.
- Independent calculation of the claim provisions for the major business lines based on commonly used actuarial techniques. We compared the results of our independent calculation with the amounts determined by the Group, and we obtained evidence supporting any significant differences observed.
- Assessment of the adequacy of the technical claims provisions for non-life insurance contracts through an analysis of the run-off results of the claims and annuity liabilities.
- Assessment of the results of the Liability Adequacy Test (LAT), including a comparison of the results from one reporting period to another.
- Inspection of the reports issued by the actuarial function and rationale for conclusions made therein as input for our risk assessment.
- Testing the completeness and accuracy of data used in the calculation processes and output from key IT systems used for the calculation of the liabilities arising from non-life insurance contracts.
- Assessment of the adequacy of the relevant disclosures in the consolidated financial statements.

IT systems and controls over financial reporting

Description

We identified IT systems and controls over financial reporting as a key audit matter for the Group because its financial accounting and reporting systems are fundamentally reliant on IT systems and automated application controls to process significant transaction volumes. Automated application controls and general IT controls, which include IT governance, general IT controls over program development and changes, access to programs and data and computer operations, are required to be adequately designed and to operate effectively to ensure accurate financial reporting.

Our audit procedures

With the assistance of our IT specialists, we have performed the following procedures:

- Examination of the framework of governance over the Group's IT organisation.
- Assessment of the design, implementation and evaluation of the operating effectiveness of general IT controls over program development and changes, access to programs and data and computer operations on key IT systems that support fi-

nancial accounting and reporting also taking into consideration compensating controls and direct testing with source data whenever controls are not operating effectively.

- Assessment of the design and implementation and evaluation of the operating effectiveness of IT application controls in the key processes impacting financial reporting of the Group, including compensating controls and substantive procedures whenever supporting general IT controls are not operating effectively (e.g. access to programs and data).
- Assessment of the integrity of data transmission through the different IT systems to the financial reporting systems.
- Assessment of the design and implementation and evaluation of operating effectiveness of controls at the relevant service organization.
- Assessment of the design and implementation and evaluation of the operating effectiveness of controls (access controls and configuration controls) over End User Computing ("EUC") tools considered relevant in supporting financial accounting and reporting, also taken into consideration compensating controls and direct testing with source data whenever controls over EUC are not operating effectively.

Other matter

The consolidated financial statements of the Group for the year ended 31 December 2019, were audited by another auditor who expressed an unqualified opinion on 8 April 2020 on those consolidated financial statements.

Board of directors' responsibilities for the preparation of the consolidated financial statements

The board of directors is responsible for the preparation of these consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union, and with the legal and regulatory requirements applicable in Belgium, and for such internal control as the board of directors determines, is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the board of directors is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the board of directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Statutory auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance as to whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of the users taken on the basis of these consolidated financial statements.

When performing our audit, we comply with the legal, regulatory and professional requirements applicable to audits of the consolidated financial statements in Belgium. The scope of the statutory audit of the consolidated financial statements does not extend to providing assurance on the future viability of the Group nor on the efficiency or effectivity of how the board of directors has conducted or will conduct the business of the Group. Our responsibilities regarding the going concern basis of accounting applied by the board of directors are described below.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also perform the following procedures:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control;
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the board of directors;
- Conclude on the appropriateness of the board of directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern;
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation;
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the audit committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the audit committee with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

For the matters communicated with the audit committee, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

Other legal and regulatory requirements

Responsibilities of the Board of directors

The board of directors is responsible for the preparation and the content of the board of directors' annual report on the consolidated financial statements, the statement of the non-financial information attached to the board of directors' annual report on the consolidated financial statements and the other information included in the annual report.

Statutory auditor's responsibilities

In the context of our engagement and in accordance with the Belgian standard which is complementary to the International Standards on Auditing as applicable in Belgium, our responsibility is to verify, in all material respects, the board of directors' annual report on the consolidated financial statements, the statement of the non-financial information attached to the board of directors' annual report on the consolidated financial statements and the other information included in the annual report, and to report on these matters.

Aspects concerning the board of directors' annual report on the consolidated financial statements and other information included in the annual report

Based on specific work performed on the board of directors' annual report on the consolidated financial statements, we are of the opinion that this report is consistent with the consolidated financial statements for the same period and has been prepared in accordance with article 3:32 of the Companies' and Associations' Code.

In the context of our audit of the consolidated financial statements, we are also responsible for considering, in particular based on the knowledge gained throughout the audit, whether the board of directors' annual report on the consolidated financial statements and other information included in the annual report:

- Belfius profile, and
- Other information (GRI, Abbreviations and Additional Information)

contain material misstatements, or information that is incorrectly stated or misleading. In the context of the procedures carried out, we did not identify any material misstatements that we have to report to you.

The non-financial information required by article 3:32 §2 of the Companies' and Associations' Code has been included in the board of directors' annual report on the consolidated financial statements, which is part of section Management Report – Corporate Social Responsibility (CSR) of the annual report. The Company has prepared this non-financial information based on the Global Reporting Initiative ("GRI") standards. In accordance with art 3:80 §1, 1st paragraph, 5° of the Companies' and Associations' Code, we do not comment on whether this non-financial information has been prepared in accordance with the mentioned GRI standards.

Information about the independence

- Our audit firm and our network have not performed any engagement which is incompatible with the statutory audit of the consolidated accounts and our audit firm remained independent of the Group during the term of our mandate.
- The fees for the additional engagements which are compatible with the statutory audit referred to in article 3:65 of the Companies' and Associations' Code were correctly stated and disclosed in the notes to the consolidated financial statements.

Other aspect

- This report is consistent with our additional report to the audit committee on the basis of Article 11 of Regulation (EU) No 537/2014.

Zaventem, 12 April 2021

Statutory auditor

KPMG Bedrijfsrevisoren - Réviseurs d'Entreprises
represented by

Olivier Macq
Réviseur d'Entreprises
Bedrijfsrevisor

Kenneth Vermeire
Réviseur d'Entreprises
Bedrijfsrevisor

**Non-consolidated
financial statements** (BE GAAP)
as at 31 December 2020

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Balance sheet (after appropriation)

Assets		
(In thousands of EUR)		
	31/12/19	31/12/20
I. Cash in hand, balances with central banks and post office banks	568,105	24,474,131
II. Treasury bills eligible for refinancing with central banks	0	0
III. Loans and advances to credit institutions	22,184,203	12,700,188
A. Repayable on demand	16,546,098	11,642,541
B. Other loans and adv. (with agreed maturity dates)	5,638,105	1,057,647
IV. Loans and advances to customers	89,749,854	94,674,503
V. Debt securities and other fixed-income securities	15,602,666	13,638,131
A. Issued by public bodies	5,573,892	5,181,736
B. Issued by other borrowers	10,028,774	8,456,395
VI. Shares and other variable-yield securities	276,660	338,283
VII. Financial fixed assets	2,746,301	2,746,973
A. Participating interests in affiliated enterprises	2,089,238	2,081,434
B. Participating interests in other enterprises linked by participating interests	88,145	96,854
C. Other shares held as financial fixed assets	48,918	48,685
D. Subordinated loans to affiliated enterprises and to other enterprises linked by participating interests	520,000	520,000
VIII. Formation expenses and intangible fixed assets	146,393	146,415
IX. Tangible fixed assets	513,792	488,011
X. Own shares	0	0
XI. Other assets	1,762,566	1,614,975
XII. Deferred charges and accrued income	17,170,033	16,268,583
TOTAL ASSETS	150,720,573	167,090,193

Liabilities			
(In thousands of EUR)		31/12/19	31/12/20
I.	Amounts owed to credit institutions	9,733,444	19,155,995
A.	Repayable on demand	4,385,902	4,263,964
B.	Amounts owed as a result of the rediscounting of trade bills	0	0
C.	Other debts with agreed maturity dates or periods of notice	5,347,542	14,892,031
II.	Amounts owed to customers	87,036,122	97,144,522
A.	Savings deposits	40,999,373	44,651,819
B.	Other debts	46,036,749	52,492,703
1.	Repayable on demand	29,374,681	36,928,566
2.	With agreed maturity dates or periods of notice	16,662,067	15,564,137
3.	As a result of the rediscounting of trade bills	0	0
III.	Debts evidenced by certificates	27,461,322	24,483,910
A.	Debt securities and other fixed-income securities in circul.	23,128,935	23,335,140
B.	Other	4,332,387	1,148,770
IV.	Other liabilities	2,258,644	2,032,103
V.	Accrued charges and deferred income	13,305,581	12,989,648
VI.	A. Provisions for liabilities and charges	191,089	182,520
1.	Pensions and similar obligations	212	102
2.	Taxation	49,500	37,900
3.	Other liabilities and charges	141,376	144,518
B.	Deferred taxes	2,892	4,422
VII.	Fund for general banking risks	988,737	988,737
VIII.	Subordinated liabilities	1,636,319	1,629,738
CAPITAL AND RESERVES		8,106,423	8,478,598
IX.	Capital	3,458,066	3,458,066
A.	Subscribed capital	3,458,066	3,458,066
B.	Uncalled capital (-)	0	0
X.	Share premium account	209,232	209,232
XI.	Revaluation surpluses	210	208
XII.	Reserves	4,277,915	4,282,507
A.	Legal reserve	345,807	345,807
B.	Reserves not available for distribution	2,344	2,344
1.	In respect of own shares held	0	0
2.	Other	2,344	2,344
C.	Untaxed reserves	33,052	37,641
D.	Reserves available for distribution	3,896,712	3,896,715
XIII.	Profits (losses (-)) brought forward	161,000	528,585
TOTAL LIABILITIES		150,720,573	167,090,193

Off-balance sheet

(In thousands of EUR)		31/12/19	31/12/20
I.	Contingent liabilities	17,134,439	15,944,577
	A. Non-negotiated acceptances	79,440	183,352
	B. Guarantees serving as direct credit substitutes	14,875,947	13,098,931
	C. Other guarantees	2,019,399	2,465,973
	D. Documentary credits	159,653	196,321
	E. Assets charged as collateral security on behalf of third parties	0	0
II.	Commitments which could give rise to a risk	30,105,059	30,065,013
	A. Firm credit commitments	1,978,398	117,581
	B. Commitments as a result of spot purchases of transferable or other securities	413,645	335,133
	C. Undrawn margin on confirmed credit lines	27,188,016	29,087,299
	D. Underwriting and placing commitments	525,000	525,000
	E. Commitments as a result of open-ended sale and repurchase agreements	0	0
III.	Assets lodged with the credit institution	118,359,849	120,318,106
	A. Assets held by the credit institution for fiduciary purposes	0	0
	B. Safe custody and equivalent items	118,359,849	120,318,106
IV.	Uncalled amounts of share capital	15,611	19,409

Statement of income (presentation in list form)

(In thousands of EUR)	31/12/19	31/12/20
I. Interest receivable and similar income	2,297,655	2,326,225
of which: from fixed-income securities	284,570	275,962
II. Interest payable and similar charges (-)	(1,029,388)	(934,803)
III. Income from variable-yield securities	207,867	52,777
A. From shares and other variable-yield securities	12,822	12,548
B. From participating interests in affiliated enterprises	183,257	34,937
C. From participating interests in other enterprises linked by participating interests	9,845	2,898
D. From other shares held as financial fixed assets	1,942	2,394
IV. Commissions receivable	635,619	697,326
A. Brokerage and commissions	0	0
B. Allowances for services of administration, advice and custody	0	0
C. Other commissions receivable	635,619	697,326
V. Commissions payable (-)	(387,616)	(385,089)
VI. Profit (loss (-)) on financial transactions	208,203	105,637
A. On trading of securities and other financial instruments	75,795	21,692
B. On disposal of investment securities	132,408	83,945
VII. General administrative expenses (-)	(1,007,352)	(1,048,566)
A. Remuneration, social security costs and pensions	(503,580)	(502,576)
B. Other administrative expenses	(503,772)	(545,990)
VIII. Depreciation/Amortization of and other write-downs on (-) formation expenses, intangible and tangible fixed assets	(91,219)	(97,004)
IX. Decrease/Increase (-) in write-downs on receivables and in provisions for off balance sheet items "I. Contingent liabilities" and "II. Commitments which could give rise to a risk"	(132,647)	(122,741)
X. Decrease/Increase (-) in write-downs on the investment portfolio of debt securities, shares and other fixed-income or variable-yield securities	247	(2,485)
XI. Utilization and write-backs of provisions for liabilities and charges other than those included in the off balance sheet items "I. Contingent liabilities" and "II. Commitments which could give rise to a risk"	31,017	37,277
XII. Provisions for liabilities and charges other than those included in the off balance sheet items "I. Contingent liabilities" and "II. Commitments which could give rise to a risk"	(46,705)	(25,147)
XIII. Transfer from (Transfer to) the fund for general banking risks	0	0
XIV. Other operating income	182,780	172,124
XV. Other operating charges	(181,503)	(148,330)
XVI. Profits (Losses (-)) on ordinary activities before taxes	686,958	627,201
XVII. Extraordinary income	13,638	8,207
A. Adjustments to depreciation/amortization of and to other write-downs on intangible and tangible fixed assets	5	1
B. Adjustments to write-downs on financial fixed assets	0	85
C. Adjustments to provisions for extraordinary liabilities and charges	0	0
D. Gain on disposal of fixed assets	10,339	8,121
E. Other extraordinary income	3,294	0
XVIII. Extraordinary charges (-)	(3,253)	(40,169)
A. Extraordinary depreciation/amortization of and extraordinary write-downs on formation expenses and intangible and tangible fixed assets	(279)	(34,836)
B. Write-downs on financial fixed assets	(2,120)	(5,198)
C. Provisions for extraordinary liabilities and charges	0	0
D. Loss on disposal of fixed assets	(845)	(94)
E. Other extraordinary charges	(9)	(41)
XIX. Profits (Losses (-)) for the period before taxes	697,343	595,239
XIXbis. A. Transfer to deferred taxes (-)	722	(1,530)
B. Transfer from deferred taxes	0	0
XX. Income taxes	(135,511)	(144,534)
A. Income taxes (-)	(158,337)	(162,350)
B. Adjustment of income taxes and write-back of tax provisions	22,825	17,816
XXI. Profits (Losses (-)) for the period	561,110	449,175
XXII. Transfer to untaxed reserves (-)	1,719	(4,590)
Transfer from untaxed reserves	0	0
XXIII. Profit (Losses (-)) for the period available for approbation	559,391	444,585

Approbation account

(In thousands of EUR)	31/12/19	31/12/20
A. Profits (Losses (-)) to be appropriated	559,391	605,585
1. Profits (Losses (-)) for the period available for approbation	559,391	444,585
2. Profits (Losses (-)) brought forward	0	161,000
B. Transfers from capital and reserves	0	0
1. From capital and share premium account	0	0
2. From reserves	0	0
C. Appropriations to capital and reserves	298,391	0
1. To capital and share premium account	0	0
2. To legal reserve	0	0
3. To other reserves	298,391	0
D. Result to be carried forward	161,000	528,585
1. Profits to be carried forward (-)	161,000	528,585
2. Losses to be carried forward	0	0
E. Shareholders' contribution in respect of losses	0	0
F. Distribution of profits (-)	100,000	77,000
1. Dividends ⁽¹⁾	100,000	77,000
2. Director's entitlements ⁽¹⁾	0	0
3. Other allocations ⁽¹⁾	0	0

(1) Only applicable to Belgian limited liability companies.

Belfius Bank NV/SA

Statutory auditor's report to the shareholders' meeting on the annual accounts for the year ended 31 December 2020

We refer to the annual report published in Dutch or French.

Global Reporting Initiative (GRI) - table

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 102: GENERAL DISCLOSURES					
GRI 102: GENERAL DISCLOSURES - ORGANIZATIONAL PROFILE					
102-1	Name of the organization	Belfius Bank NV/SA			
102-2	Activities, brands, products, and services	→ Profile of Belfius	2		
102-3	Location of headquarters	Place Charles Rogier 11, B-1210 Brussels			
102-4	Location of operations	Belgium			
102-5	Ownership and legal form	Public limited company			
102-6	Markets served	→ Segment reporting	85		
102-7	Scale of the organization	→ Profile of Belfius, Key Figures	2, 5		
102-8	Information on employees and other workers	→ HR, Our employees: the backbone of the organisation The scope of employees is limited to Belgium; Data were collected in SAP.	67	Whether a significant portion of the organization's activities are performed by workers who are not employees was not disclosed by Belfius.	#8 Decent work and economic growth
102-9	Supply chain	→ Profile of Belfius → Sustainability, A responsible bank-insurer, Purchasing more sustainably In 2020, Belfius reviewed its procurement policy to more systematically integrate environmental, social and governance (ESG) considerations into the selection of its suppliers.	2 31		
102-10	Significant changes to the organization and its supply chain	→ Management Report, Message from the chairmen	10		
102-11	Precautionary Principle or approach	→ Risk management	124		
102-12	External initiatives	→ Sustainability, Social Commitment, Sustainable community involvement	54		
102-13	Membership of associations	→ Sustainability, Social Commitment, Dialogue with our stakeholders	64		
GRI 102: GENERAL DISCLOSURES - STRATEGY AND ANALYSIS					
102-14	Statement from senior decision-maker	→ Management Report, Message from the Chairmen	10		
GRI 102: GENERAL DISCLOSURES - ETHICS AND INTEGRITY					
102-16	Values, principles, standards, and norms of behavior	→ Human Resources, Continuing the implementation of the new corporate culture → Sustainability, A sound governance, Our corporate values as a cornerstone → Risk Report 2020, VII.5 Compliance Risk → Sustainability, Social Commitment, Our employees	67 26 85 56		

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 102: GENERAL DISCLOSURES - GOVERNANCE					
102-18	Governance structure	→ Corporate Governance	163		
102-22	Composition of the highest governance body and its committees	→ Corporate Governance	163		
102-24	Nominating and selecting the highest governance body	→ Corporate Governance	163		
GRI 102: GENERAL DISCLOSURES - STAKEHOLDER ENGAGEMENT					
102-40	List of stakeholder groups	→ Sustainability, Social Commitment, Dialogue with our stakeholders	64		
102-41	Collective bargaining agreements	In 2020, 95.2% of the employees are covered by a collective bargaining agreement. Only the Board of Directors, key & senior executives are not covered by collective bargaining agreements but are covered by a "management contract".			#8 Decent work and economic growth
102-42	Identifying and selecting stakeholders	→ Sustainability, Social Commitment, Dialogue with our stakeholders	64		
102-43	Approach to stakeholder engagement	→ Sustainability, Social Commitment, Dialogue with our stakeholders	64		
102-44	Key topics and concerns raised	→ Sustainability, Social Commitment, Dialogue with our stakeholders	64		
GRI 102: GENERAL DISCLOSURES - REPORTING PRACTICE					
102-45	Entities included in the consolidated financial statements	→ Consolidated Financial Statements	190		
102-46	Defining report content and topic Boundaries	The financial consolidation boundary of Belfius Group is applied unless otherwise stated.			
102-47	List of material topics	→ Sustainability, Social Commitment, Materiality analysis	65		
102-48	Restatements of information	→ Profile of Belfius, Key figures, ESG as a business driver The scope of "investment funds based on sustainable criteria" was changed (see footnote in table)	6		
102-49	Changes in reporting	No changes			
102-50	Reporting period	Fiscal year from 1 January 2020 to 31 December 2020			
102-51	Date of most recent report	The most recent report containing economic, environmental and social information is the Annual Report 2019.			
102-52	Reporting cycle	Annual			
102-53	Contact point for questions regarding the report	csr@belfius.be			
102-54	Claims of reporting in accordance with the GRI Standards	This report has been prepared in accordance with the GRI Standards: Core option.			
102-55	GRI content index	→ Annual report, Global Reporting Initiative (GRI) - table	356		
102-56	External assurance	Belfius' statutory auditor KPMG Reviseurs d'Entreprises, reviewed the Annual Report to assess whether this report is consistent with the consolidated financial statements for the same period and has been prepared in accordance with article 3:32 of the Companies' and Associations' Code, hence including the disclosure of non-financial and diversity information (transposition of Directive 2014/95/EU).			
GRI 103: MANAGEMENT APPROACH					
103-1	Explanation of the material topic and its Boundaries	Material topic boundaries, management approaches and their respective evaluation methods are explained together with the particular practice discussed. → Sustainability, Social Commitment, Dialogue with our stakeholders, Materiality analysis	64, 65		
103-2	The management approach and its components	→ Sustainability	20		
103-3	Evaluation of the management approach	→ HR	66		

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 201: ECONOMIC PERFORMANCE					
201-1	Direct economic value generated and distributed	→ Consolidated Financial Statements → Sustainability, A responsible bank-insurer, An honest taxpayer → Sustainability, Social commitment, Sustainable community involvement, Charitable projects"	190 29 54		#5 Gender equality #7 Affordable and clean energy #8 Decent work and economic growth #9 Industry, innovation and infrastructure
GRI 203: INDIRECT ECONOMIC IMPACTS					
203-1	Infrastructure investments and services supported	→ Sustainability, Sustainable solutions, Sustainable finance and insurance	33		#8 Decent work and economic growth
203-2	Significant indirect economic impact	→ Sustainability, Sustainable solutions, Sustainable finance and insurance, Digital innovation at the service of sustainable development	46		#9 Industry, innovation and infrastructure #10 Reduced inequalities #11 Sustainable cities and communities
GRI 205: ANTI-CORRUPTION					
205-3	Confirmed incidents of corruption and actions taken	In 2020, 2 corruption-related incidents were recorded. → Sustainability, A responsible bank-insurer, True and reliable business conduct	28		
GRI 207: TAX					
207-1	Approach to tax	→ Sustainability, A responsible bank-insurer, An honest taxpayer	29		
207-2	Tax governance, control & risk management	→ Sustainability, A responsible bank-insurer, An honest taxpayer	29		
207-4	Country-by-country reporting	→ General information, Country-by-country reporting	189		
GRI 301: MATERIALS					
301-1	Materials used by weight and volume	This is mainly covering paper consumption, which shows a decreasing trend. → Sustainability, Environment & Climate, Reducing resource use and avoiding waste	49		#12 Responsible consumption and production
GRI 302: ENERGY					
302-1	Energy consumption within the organization	→ Sustainability, Environment & Climate, Reducing resource use and avoiding waste	49		#7 Affordable and clean energy #13 Climate action
302-2	Energy consumption outside of the organization	→ Sustainability, Environment & Climate, Reducing resource use and avoiding waste	49		
302-4	Reduction of energy consumption	→ Sustainability, Environment & Climate, Reducing resource use and avoiding waste	49		
GRI 303: WATER					
303-5	Water resources	→ Sustainability, Environment & Climate, Reducing resource use and avoiding waste	49		
GRI 305: EMISSIONS					
305-1	Direct (Scope 1) GHG emissions	→ Sustainability, Environment & Climate, The Belfius Group's carbon footprint	48		#3 Good health and well-being #13 Climate action
305-2	Energy indirect (Scope 2) GHG emissions	→ Sustainability, Environment & Climate, The Belfius Group's carbon footprint	48		
305-3	Other indirect (Scope 3) GHG emissions	→ Sustainability, Environment & Climate, The Belfius Group's carbon footprint	48		
GRI 306: EFFLUENTS AND WASTE					
306-2	Waste by type and disposal method	→ Sustainability, Environment & Climate, Reducing resource use and avoiding waste	49		#3 Good health and well-being

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 401: EMPLOYMENT					
401-1	New employee hires and employee turnover	→ HR, Our employees: the backbone of the organisation	67		
401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	Differentiation of benefits for employees based on the type of employment contract is possible, e.g. certain instruments made available by the company are not granted to employees with a temporary employment contract. - In principle, for part-time employees, the same benefits apply than for the full-time employees, apart from the fact that some are calculated on a 'pro rata' basis, depending on their % of their work regime (e.g. salary, premiums, etc). - In principle, for fixed-term contract employees, some benefits do not apply. Those are mainly linked to the cafeteria plan and lease contracts. Benefits where the leasing period is longer than the duration of the fixed-term contract, do not apply for those fixed-term contract employees.			#5 Gender equality #8 Decent work and economic growth
401-3	Parental leave	→ Sustainability, Social commitment, Our employees, An active diversity policy, Gender Diversity	59		
GRI 403: OCCUPATIONAL HEALTH AND SAFETY					
403-4	Worker participation, consultation, and communication on occupational health and safety	→ HR, Continuing to invest in well-being.	71		#3 Good health and well-being
403-9	Work-related injuries	→ Sustainability, Social commitment, Our employees, Strong focus on wellbeing, especially in pandemic times	57		#3 Good health and well-being #8 Decent work and economic growth
GRI 404: TRAINING AND EDUCATION					
404-1	Average hours of training per year per employee	→ HR, Investing in our talents	71		
404-3	Percentage of employees receiving regular performance and career development reviews	→ Sustainability, Social Commitment, Our employees, A sustainable career policy The career policy implemented in 2019, applies to 95,2% of the employees (those covered by a collective bargaining agreement). → Sustainability, Social Commitment, Our employees, Sustainability-linked criteria in management remuneration → Sustainability, Social Commitment, Dialogue with our stakeholders	57 58 64	No information on gender split available. Those information will be included in next year report.	#4 Quality education and lifelong learning #8 Decent work and economic growth
GRI 405: DIVERSITY AND EQUAL OPPORTUNITY					
405-1	Diversity of governance bodies and employees	→ Sustainability, Social Commitment, Our employees, An active diversity policy	58		#5 Gender equality #8 Decent work and economic growth
GRI 418: CUSTOMER PRIVACY					
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	→ Sustainability, Social Commitment, The customer at the heart of our strategy, Listening to our customers: complaint management, Discrimination and privacy complaints	63		#16 Promote just, peaceful and inclusive societies

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
FINANCIAL SUPPLEMENT					
FS1	Policies with specific environmental and social components applied to business lines	→ Sustainability, A responsible bank-insurer, Integrating ESG into risk criteria	29		
FS2	Procedures for assessing and screening environmental and social risks in business lines	→ Sustainability, A responsible bank-insurer, Integrating ESG into risk criteria	29		
FS6	Percentage of portfolio by business line by region, size and sector.	→ Sustainability, Sustainable Solutions → Segment Reporting"	32 85		
FS7	Monetary value of products and services developed in order to obtain specific social benefits by business line and purpose	→ Sustainability, Social Commitment, Sustainable community involvement, Philanthropy programme → Sustainability, Social Commitment, Sustainable community involvement, Inclusion and equal opportunities	55 56		#8 Decent work and economic growth #9 Industry, innovation and infrastructure #10 Reduced inequalities #11 Sustainable cities and communities
FS8	Monetary value of products and services designed to deliver a specific environmental benefit for each business line broken down by purpose	→ Sustainability, Sustainable Solutions, Sustainable lending solutions	33		
FS11	Percentage of assets that have undergone positive or negative environmental and social screening.	→ Sustainability, Sustainable Solutions, Towards sustainable asset growth, Overview of and ambition in sustainably managed funds; → Sustainability, Sustainable Solutions, Portfolio21: responsible management of Belfius Insurance's reserves	43 45		
FS14	Initiatives to improve access to financial services for disadvantaged people	→ Sustainability, Social Commitment, Sustainable community involvement, Inclusion and equal opportunities	56		

Abbreviations

Acronym	
ABS	Asset-Backed Securities
ALM	Asset-Liability Management
AUM	Assets Under Management
BRRD	Bank Recovery and Resolution Directive
B/S	Balance Sheet
bp	Basis Point
C/I	Cost-Income
CCF	Credit Conversion Factor
CET 1	Common Equity Tier 1
CoR	Cost of Risk
CRD	Capital Regulative Directive
CRR	Capital Requirements Regulation
CVA	Credit Value Adjustment
DCM	Debt Capital Markets
EAD	Exposure at Default
EBA	European Banking Authority
ECB	European Central Bank
ECM	Equity Capital Markets
EIF	European Investment Fund
EL	Expected Loss
FEAD	Full Exposure at Default
FHIC	Federal Holding and Investment Company
GDP	Gross Domestic Product
GRI	Global Reporting Initiative
IRB	Internal Rate Based
LCM	Liquidity and Capital Management
LCR	Liquidity Coverage Ratio
LGD	Loss Given Default
LRE	Leverage Risk Exposure
LT	Long Term
LTRO	Long-Term Refinancing Operations
MCRE	Maximum Credit Risk Exposure
MREL	Minimum Requirement for own funds and Eligible Liabilities
NBB	National Bank of Belgium
NFR	Non-Financial Risks
NIG	Non-Investment Grade
NPS	Non Preferred Senior Bonds
NSFR	Net Stable Funding Ratio
P&L	Profit and Losses
PD	Probability of Default
PS	Preferred Senior Bonds
RAF	Risk Appetite Framework
RMBS	Residential Mortgage-Backed Securities
ROA	Return On Assets
ROE	Return On Equity
RoNRE	Return on Normative Regulatory Equity
SRB	Single Resolution Board
SREP	Supervisory Review and Evaluation Process
SRM	Single Resolution Mechanism
TLOF	Total Liabilities and Own Funds
TREA	Total Risk Exposure Amount
TRIM	Targeted Review of Internal Models
T-LTRO	Targeted Long-Term Refinancing Operations
VaR	Value at Risk

Additional information

Additional addresses of Belfius Bank and Belfius Insurance's main subsidiaries and branch⁽¹⁾

Belfius Auto Lease

Operational vehicle leasing and car fleet management, maintenance and claims management services

Place Charles Rogier 11
BE-1210 Brussels
Tel: + 32 2 285 35 94
www.belfius-autolease.be

Belfius Commercial Finance

Financing commercial loans to debtors, debtor insolvency risk cover and debt recovery from debtors

Place Charles Rogier 11
BE-1210 Brussels
Tel: + 32 2 285 26 11
www.belfius-commercialfinance.be

Belfius Insurance

Insurance company marketing life and non-life insurance products, savings products and investments for individuals, the self-employed, liberal professions, companies and the public and social sector

Place Charles Rogier 11
BE-1210 Brussels
Tel: + 32 2 286 76 11
www.dvvlap.be
www.belfius-insurance.be

Belfius Investment Partners

Collective Investment Management Company

Place Charles Rogier 11
BE-1210 Brussels
Tel: +32 2 222 12 01
www.belfiusip.be

Belfius Ireland Unlimited Company

Managing part of the GC portfolios in run-off

23 Shelbourne Road
Ballsbridge
IE-Dublin 4
Tel: + 353 15 31 15 00

Belfius Lease

Financial leasing and renting of professional capital goods to the public sector

Place Charles Rogier 11
BE-1210 Brussels
Tel: + 32 2 222 37 08
www.belfius-lease.be

Belfius Lease Services

Financial leasing and renting of professional capital goods to the self-employed, companies and liberal professions

Place Charles Rogier 11
BE-1210 Brussels
Tel: + 32 2 222 37 08
www.belfius-lease.be

Corona

Direct life and non-life insurance products for individuals

De Kleetlaan 7A
BE-1831 Diegem
Tel: + 32 2 244 23 23
www.coronadirect.be

Crefius

Granting and managing mortgage loans

Registered office

Place Charles Rogier 11
BE-1210 Brussels
Tel: +32 51 23 21 11
www.crefius.com

Elantis

Granting and managing mortgage loans and consumer loans through a network of brokers

Registered office

Rue des Clarisses 38
BE-4000 Liège
Tel: + 32 4 232 45 45
www.elantis.be

The Studio

Digital lab aimed to develop and market digital products & services

Place Charles Rogier 11
BE-1210 Brussels
Tel: + 32 2 222 09 36

(1) Included in this list: all subsidiaries and the branches operating in the banking and insurance sector (or whose operations contribute to banking and insurance activities).

General information about Belfius Bank

Company name and legal form

Belfius Bank SA/NV

Contact

Tel: + 32 2 222 11 11

Registered office

Place Charles Rogier 11
B-1210 Brussels

Main postal address

Place Charles Rogier 11
B-1210 Brussels

Company number

RLE Brussels VAT BE 403.201.185

FSMA number

19649 A

Website

www.belfius.be

Complaints

If you encounter a problem, you can take it initially to your branch or your relationship manager. If your problem is not resolved, then contact the Complaints department.

Belfius Bank
Complaints department – Colis 7908
Place Charles Rogier 11
B-1210 Brussels
E-mail: complaints@belfius.be

If you are not satisfied with the response you receive, you can turn to the Negotiation department of Belfius Bank

Belfius Bank
Negotiation – Colis 7913
Place Charles Rogier 44
B-1210 Brussels
E-mail: negotiation@belfius.be

If you are a natural person acting in a private capacity and you are not satisfied with the responses you have received from the Bank's official bodies mentioned above, you can take your complaint to the Ombudsman in financial conflicts if it relates to banking products.

Ombudsman in financial conflicts
North Gate II
Boulevard du Roi Albert II 8, boîte 2
B-1000 Brussels
Tel: +32 2 545 77 70
Fax: +32 2 545 77 79
E-mail: Ombudsman@Ombudsfin.be

For insurance products, you can take your complaint to the Insurance Ombudsman.

Insurance Ombudsman
Square de Meeûs 35
B-1000 Brussels
E-mail: info@ombudsman.as

CONTACT

For further general info over Belfius Bank & Insurance, feel free to surf www.belfius.com.

Got a question about Belfius Bank's results or strategy? Then please e-mail financialcommunication@belfius.be.

Any other queries? Then call +32 2 222 12 01 (Mon-Fri: 8 am-10 pm/Sat: 9 am-5 pm).

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